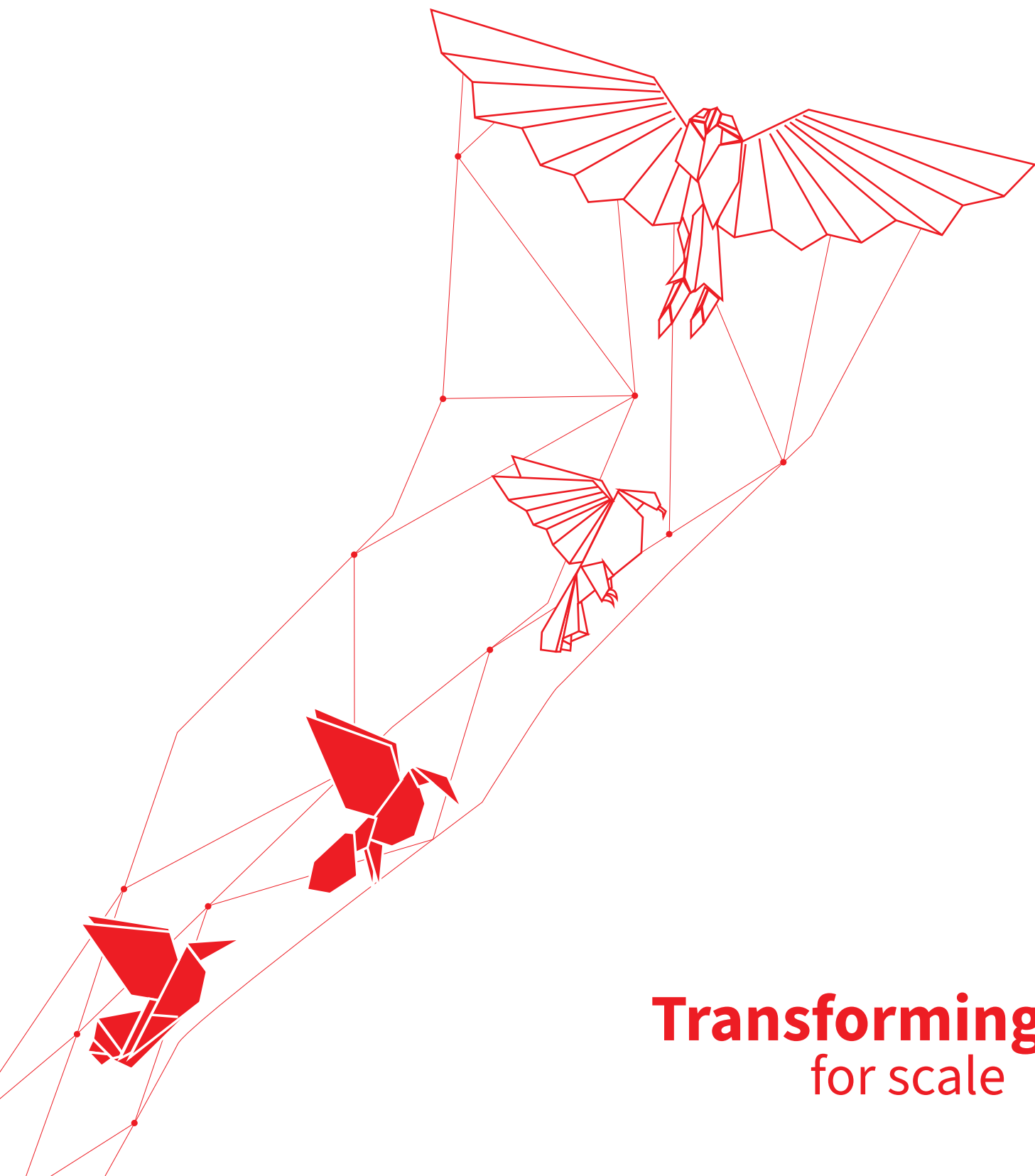




Transforming
for scale



**Financial Backing
for the Bold.**

**Hausla hai toh
ho jayega.**

T&C apply

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Brand Film



Scan to watch
Hausla Talks

Transforming for scale

We have embarked on a journey to transform at scale. We are currently navigating this multi-year transformation and have made meaningful progress. This is a journey to become a customer-centric organisation.

This transformation is being driven ground up, anchored in simple but pertinent principles of speed, simplicity, transparency and technology. These principles are being seamlessly integrated across all customer-facing channels and internal processes that shape the customer experience. Our ultimate aspiration is to deepen customer relationships and deliver exceptional value.

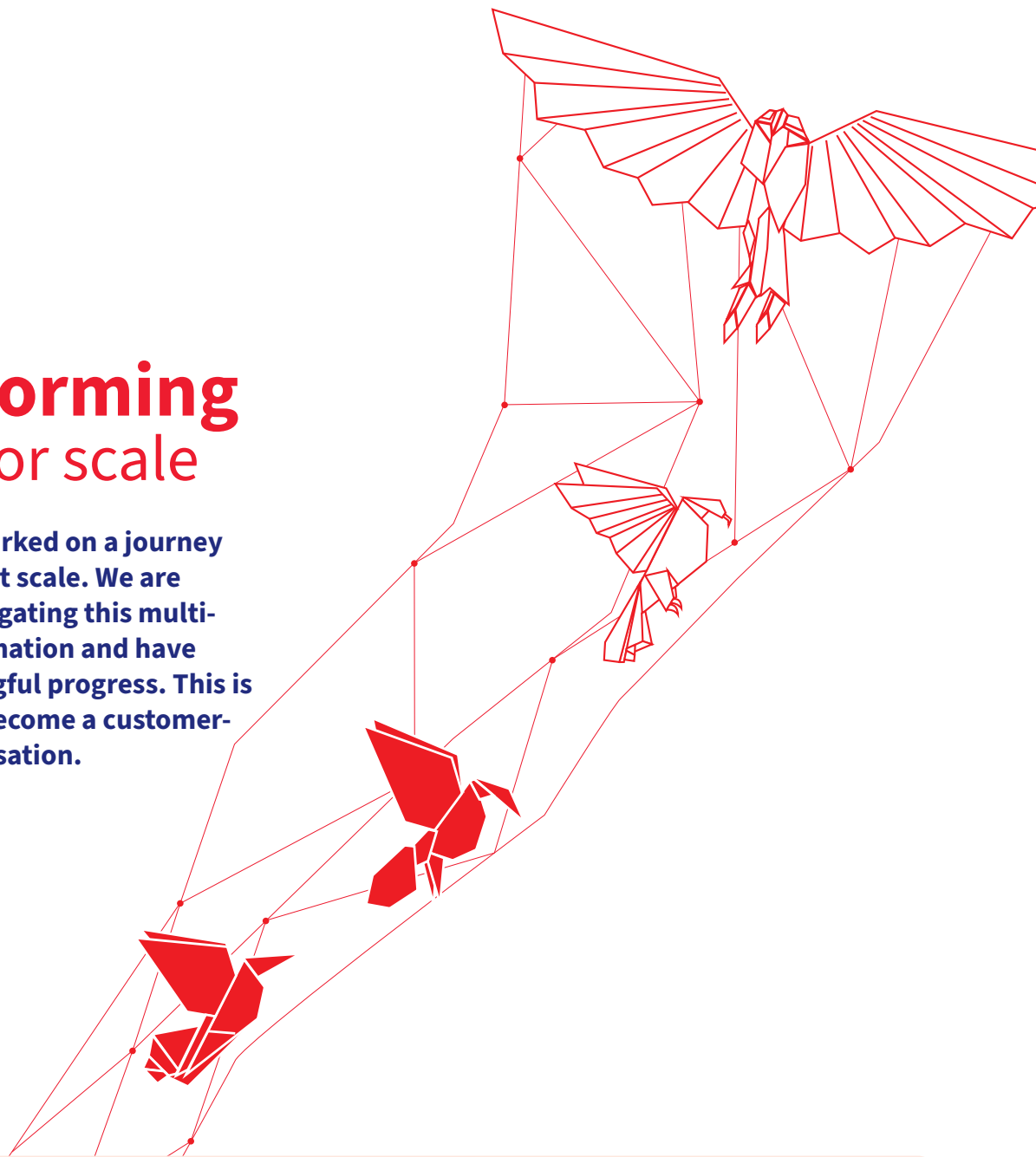
While we transform for scale, we want scale for relevance and not just for the sake of size. We want responsible scale. Scale that does not dilute our ethos of risk management and profitability. Scale that is sustainable, inclusive and anchored in long-term value creation.

We recognise that our colleagues play a critical role in this journey of transformation. Their empowerment is

central to our strategy, and we have invested in enabling them through tools such as digital automation and AI-powered chatbots. We have also infused external talent, as we saw fit, including strengthening our technology talent teams.

Additionally, the counter-cyclical benefits derived from the diversified business mix of our group companies, spanning Banking & Lending, Capital Markets, Asset Management and Protection, and our fortress-like balance sheet, provide resilience and stability in our financial outcomes.

With all of these elements in place, the organisation is poised to deliver growth and continue to create sustainable value for its shareholders.



About this Report

The publication of our 40th Annual Report, which also represents our 5th Integrated Annual Report, underscores our continued commitment to transparency and responsible growth. This report offers a comprehensive view of the performance and progress of Kotak Mahindra Bank Limited (also referred to as 'the Bank' or 'Kotak Mahindra Bank') and its subsidiaries (also collectively referred as, 'Kotak Mahindra Group', 'the Group', or 'Kotak')¹ for FY 2024-25² on key financial as well as sustainability aligned non-financial parameters. At Kotak, we believe that true success stems from synergy of financial performance with commitment to environmental sustainability and social impact. This Integrated Annual Report is a reflection of our unwavering dedication to creating long-term value for our stakeholders.

The report highlights our endeavour for creating lasting value across the Group, while ensuring that Environmental, Social and Governance (ESG) principles are embedded into our strategy, governance framework and risk management. The material matters, highlighted on pages 30-39 inform about our strategic decision-making and risk management practices. Through the materiality lens, we had engaged with stakeholders and evaluated the impacts, risks and opportunities across our operational landscape, aligning them with our commitment to short, medium and long-term value creation (outlined on pages 48-49). To provide a holistic perspective, comparative data from the previous years has been included wherever available and relevant. For clarity, the term colleague(s) in this Report refers to all our employees in full-time roles (both permanent and those on fixed-term contracts) as well as those in part-time positions.

Reporting Guidelines

While preparing this Integrated Annual Report, we have referenced the Integrated Reporting framework and the National Guidelines on Responsible Business Conduct. This report includes the Bank's Business Responsibility and Sustainability Reporting (BRSR) on standalone basis.

Furthermore, the contents of the report include disclosures prepared with reference to GRI Sustainability Reporting Standards (GRI Standards). We have also attempted to align some of our updates and disclosures presented in this report to the Sustainable Development Goals (SDGs).

The financial and statutory information has been presented as per the requirements specified by the following regulations and standards:

The Companies Act, 2013 (including the rules made thereunder)

The Indian Accounting Standards

The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements Regulations), 2015

The Banking Regulation Act, 1949 and other relevant RBI regulations

Regulations, notifications, guidelines and directives issued by other regulators applicable to respective subsidiaries.

Organisational Boundary for ESG Disclosures³

This report captures information related to Kotak Mahindra Group. The list of our subsidiaries is mentioned on pages 458-459. The ESG disclosures encompass details of our Group's national and international footprint, including office premises, branches and ATM network.

The BRSR is prepared for the Bank on a standalone basis, aligned with our standalone financial statements. The GRI indicators are predominantly disclosed for the Bank, on a standalone basis. For some GRI indicators, mapping has also been undertaken for the Group. Furthermore, in continuation of our endeavour to expand the reporting boundary, we have voluntarily disclosed certain indicators on both standalone and consolidated basis, such as energy consumption within the organisation, GHG emissions (Scope 1 and 2), energy and emission intensity, employee headcount, employee hires and turnover. The boundaries for specific disclosures are clearly indicated in the notes of the relevant sections within this Report. There have been changes in methodology and assumptions in computing certain indicators which have been duly disclosed in the respective sections, along with the impact of these changes, if any.⁴

Assurance for ESG Disclosures⁵

Reasonable and limited assurance on the identified indicators in the Integrated Annual Report, including the Business Responsibility and Sustainability Report, has been provided by DNV Business Assurance India Private Limited, in accordance with DNV's VeriSustain™ protocol, which is based on the principles of international standard in Assurance Engagements, International Standard on Assurance Engagement (ISAE) 3000 (revised) - Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by International Auditing and Assurance Standard Board (IAASB) and ISO 14064-3 - Specification with guidance for the verification and validation of greenhouse gas statements. The Assurance statement may be referred on pages 514-521 of this report.

Assurance for FY 2024-25



Board Review

This Integrated Annual Report has been reviewed and approved for publication, by the Board of Directors of the Bank.⁶

Feedback

All suggestions, views and perspectives you may have about this Report are valuable to us in our constant effort towards improvement and growth. Kindly reach out to us at investor.relations@kotak.com for any suggestions and feedback.⁷

¹GRI 2-1 | ²GRI 2-3 | ³GRI 2-2 | ⁴GRI 2-4 | ⁵GRI 2-5 | ⁶GRI 2-14 | ⁷GRI 2-3

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About us

One Kotak - Unlocking synergies for growth

Established in 1985, Kotak is one of India's leading diversified and integrated financial services conglomerates, providing a wide range of financial solutions across customer and geographic segments within India. As a Group, Kotak also operates in overseas markets through international subsidiaries and branches in key geographies¹

Kotak has been built on the ethos of trust, governance, prudent risk management practices, product expertise, innovation in its offerings and a talented management team with an entrepreneurial mindset. This confluence of elements has resulted in the creation of the robust financial conglomerate structure that it is today. We have done this, keeping in mind, the long-term interest of our stakeholders for sustainable growth. We are uniquely positioned to serve our customers across every spectrum of their financial needs.

We are a **₹ 8.8 trillion institution*** with a market capitalisation of **₹ 4.3 trillion**, as of 31st March, 2025.

At Kotak, we offer virtually every financial services product. This is evident across our diversified financial conglomerate, which is akin to a plane with four engines — banking and lending, capital markets, asset management and protection, all of which provides us with counter cyclical benefits.



Kotak Universe[#]

₹ 879,774 cr

Total assets

₹ 486,166 cr

Total advances

₹ 494,707 cr

Total deposits

₹ 669,885 cr

Assets under management

₹ 920,000 cr+

Relationship value**

114,000+

Full-time employees

5.3 cr

Number of customers
of the Bank

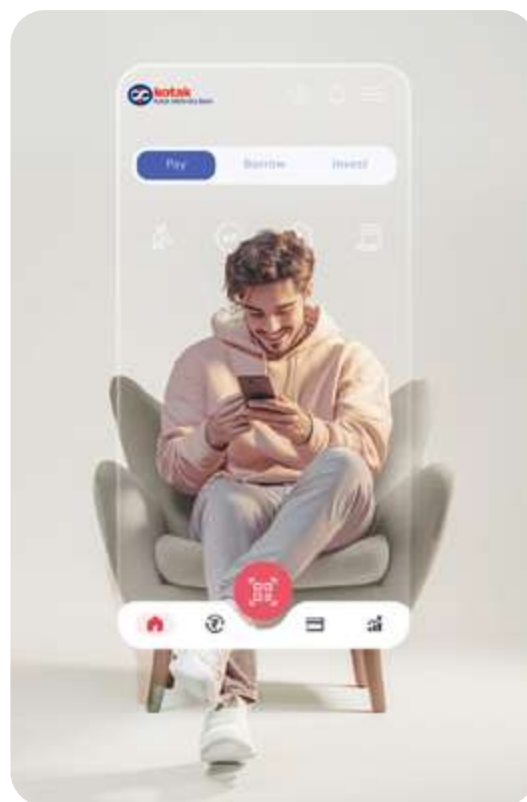
^{*}Consolidated Assets | ^{*}All numbers are on a consolidated basis except where stated | ^{**}Relationship value of Private Banking + Priority as of 31st March, 2025 | ¹ GRI 2-1

Orchestrating Cohesive User Experiences Across Multiple Platforms

Our commitment to delivering a seamless customer experience across physical, digital and voice channels remains a core strategic priority. Kotak continues to play an active role in India's digital transformation, consistently working to enhance and simplify the banking experience for its customers.

The Bank is further strengthening its distribution framework across these channels, with product-led propositions aligned to defined customer personas within target segments. Our services are accessible through a diverse set of platforms including the website, mobile apps, WhatsApp, chatbots, voice bots and self-service kiosks, ensuring a consistent and convenient experience across all touchpoints.

While we will explore our digital footprint in greater detail later, it is worth noting that our digital ecosystem is supported by a resilient and scalable technology architecture. This foundation enables us to deliver agile, secure and innovative solutions to our customers, helping us stay future-ready and customer-centric.



Physical Footprint

Our pan-India distribution network, comprising branches and franchisees, enables us to serve a large customer base. We also have an international banking unit in Gujarat International Finance Tec-City (GIFT City), a Bank branch in the Dubai International Financial Centre (DIFC) and international offices in New York, London, Mauritius, Dubai, Singapore and Abu Dhabi.

2,148

Bank branches*

3,295

Bank ATMs**

961

Pan-India operating locations of the Bank

5,378

Group branch network in India*#

Group Branch Network in India

159

Kotak Mahindra Prime

1,143

Kotak Securities#

323

Kotak Mahindra Life Insurance

106

Kotak Mahindra Asset Management

878

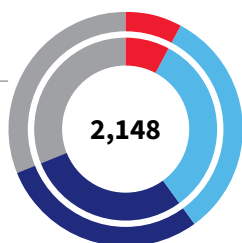
BSS Microfinance

621

Sonata Finance

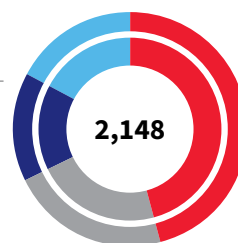
Bank Branch Distribution (No. | %)

East	177 8%
North	691 32%
South	623 29%
West	657 31%



Bank Branch Classification (No. | %)

Metro	985 46%
Urban	471 22%
Semi Urban	318 15%
Rural	374 17%



▲ YoY | *In addition, Bank branches are present in DIFC (Dubai) and GIFT City (Gujarat) | **Including cash recyclers | #Kotak Securities network includes branches, franchises and referral co-ordinators

Board of Directors

Guardians of your trust



Standing Left to Right

- Ashok Gulati**
Independent Director
- Amit Desai**
Non-Executive Director
- Jaideep Hansraj**
Whole-time Director
(Executive Director)
- Ketaki Bhagwati**
Independent Director
- Eli Leenaars**
Independent Director
- Uday Shankar**
Independent Director

Sitting Left to Right

- Shanti Ekambaram**
Deputy Managing Director
- Ashok Vaswani**
Managing Director & CEO
- C S Rajan**
Non-Executive Independent
Part-time Chairman
- Uday Kotak**
Non-Executive Director
- Ashu Suyash**
Independent Director

Message from Ashok Vaswani¹

Transforming for scale



“Last year is best described as one of resilience, recovery, reinvention and realignment, both in the external world and within Kotak.”

Ashok Vaswani
Managing Director & CEO



¹GRI 2-22

Dear Shareholders,

Last year is best described as one of resilience, recovery, reinvention and realignment, both in the external world and within Kotak.

The heightened geo-political situation and a rapidly evolving, volatile global economic order are the new realities that have compelled all countries, including India, to realign. The Indian economy proved resilient, growing at 6.5%. Growth recovered in the second half of the year, supported by the RBI's efforts to revive momentum through interest rate reductions and a liquidity boost. These developments naturally impacted our business.

Specific to Kotak, early in the year, the RBI directed us to strengthen our technology platform, pause digital onboarding of new customers and issuance of new credit cards. The team demonstrated a great deal of resilience in resolving the issues comprehensively to the RBI's satisfaction. The embargo was lifted in February 2025. Separately last year, the microfinance industry faced a significant downturn. This required us to make some changes to strengthen our operating model. While doing all of this, we remained focused on our broader goal of transforming for scale by leveraging technology and continuing to realign our culture with a sharper focus on customer centricity and collaboration.



“We committed to transforming our business for scale. Scale, not just for the sake of size but for relevance, with a single-minded focus on the customer.”

Stepping back from the immediate, let me turn to the strategic vision and roadmap we set out in the early part of calendar year 2024. We committed to transforming our business for scale. Scale, not just for the sake of size but for relevance, with a single-minded focus on the customer.

Building on that strategic intent, let me now turn to how Kotak's unique position as a diversified financial services conglomerate with interests in Banking, Capital Markets, Asset Management and Insurance, is a key enabler of this strategy. Thus, we have the entire range of financial products and services; and the goal is to leverage technology to pull together relevant products and services to meet the needs of our various customer segments. What I am proud of is that while the immediate challenges did take a lot of resources and management bandwidth, we have made solid progress on our strategic roadmap as well.

We said we would measure our progress against our four key stakeholders - Customer, Company, Colleague and Community.



Customers

The Heart of Our Business



“We strongly believe that the only way we will get it right is if we get it right by the customer.”

We strongly believe that “the only way we will get it right is if we get it right by the customer.”

Given the breadth of our product and service capabilities, our focus has been on integrating relevant products and services across the Group for our defined target customer segments. This is best illustrated in our offering for HNI & Ultra HNI customers through our Private Bank, which manages wealth for 60% of India's top 100 families. It is equally evident in our 811 proposition, which resonates strongly with core India. While we had paused digital customer acquisitions during the year through the 811 app, we significantly deepened relationships with existing ones. Our SME proposition also saw strong growth. Most recently, we launched the Solitaire proposition for affluent customers and early feedback has been encouraging.



“Technology is central to our strategy to transform for scale.”

Technology is central to our strategy to ‘Transform for scale’. We invested significantly in building resilience, capacity and security. Despite the embargo, we redefined our go-to-market strategy with two apps, the new Kotak Mobile Banking App and the new 811 App, targeting affluent and core customers respectively. These persona-based apps enable us to deliver the right product and proposition to each customer segment. They are complemented by Neo, Kotak Securities' app for traders and Cherry, an investment-only app for banking customers. We also enhanced our net banking platform for corporate clients — fyn. We have made considerable progress in comprehensively reviewing all customer journeys - simplifying, re-engineering, centralising, automating and digitising. This is a multi-year effort. The early results have been gratifying with net customer complaints declining by over 28% during the year, with increased throughput and improved productivity.

Message from Ashok Vaswani



Company

Building Sustainable value

We are very mindful that our shareholders give us the capital to run our business. In turn, we are committed to building a sustainable franchise that delivers growth and returns, underpinned by prudent risk management and world-class governance.

Primarily, we measure ourselves on book value per share. We delivered a 21% growth on this metric. From a risk appetite perspective, we target to grow assets at 1.5 to 2 times nominal GDP growth. In FY 2024-25, our average advances grew by 18%, in line with our risk appetite, and average deposits by 16%, to ensure a balanced customer growth franchise. The technology embargo primarily affected our Consumer Bank, while the microfinance industry wide downturn impacted our Commercial Bank. Our Corporate Bank remained resilient and delivered growth for the Bank. Within the Commercial Bank, our Tractor Finance business was a standout, with a market share of 11.5%.



“A strong risk management culture remains at the heart of Kotak and that is the one thing that will not change.”

Our diversified business model offers significant counter-cyclical benefits, clearly demonstrated this year with the capital market businesses having a stellar year. Kotak Mahindra Capital Company (KMCC), our Investment Banking subsidiary, retained its number one position in Equity Capital Markets category for the third consecutive year. Kotak Securities’ institutional equities business and Kotak Asset Management Company both had exceptional years. Our retail securities and life insurance businesses also performed strongly.

A strong risk management culture remains at the heart of Kotak and that is the one thing that will not change. We seek sustainable, profitable growth without compromising on our strong governance process and mindset, which are of utmost importance to us.

We also take pride in our strong balance sheet and capital position. This strength enables us to weather downturns and take advantage of opportunities as they arise.



“We seek sustainable, profitable growth without compromising on our strong governance process and mindset, which are of utmost importance to us.”

The acquisition of the ₹ 3,330 crore personal loan book from Standard Chartered Bank, India was one such opportunity.

Into this year, we recognise that managing the businesses through the regulatory repo rate cut cycle and navigating avenues for growth, are important business challenges that lie ahead.



“We take pride in our strong balance sheet and capital position. This strength enables us to weather downturns and take advantage of opportunities as they arise.”



Colleagues

Our Greatest Asset

Our Colleagues are our greatest assets. At its core the transformation that we have embarked upon is one of culture change - designed to allow Kotak to capture opportunities in a fast-changing world and scale our businesses. This year, we launched a number of initiatives including ‘Best of Kotak for Kotakites’ and transparent career growth plans for branch managers. We also continued to invest in our young talent through initiatives like Kotak Young Leaders programme. At senior management levels, we have introduced both financial and non-financial measures to focus the organisation on customer centricity and collaboration. We are seeking to ensure a good balance of organisational memory with the skills that are needed for the new age. All of this while ensuring that we build a diversified management bench capable of taking Kotak to the next level.



“Our Colleagues are our greatest assets.”



“Over the years,
our vision and
aspirations have
evolved to achieve
the audacious.”



Community

Thriving Together

Our regulators are among our most important stakeholders. We operate under the licence they provide, and our goals are fully aligned. We are committed to being role models in building a compliant and sustainable franchise.

We are committed to giving back to the community in which we live. We understand that our prosperity is inherently linked to theirs. We are immensely proud of the work that we do in the community focused on financial inclusion, education, healthcare and sustainability. We recognise that economic growth and jobs is what will power India ahead and that it is essential that this growth be evenly spread and lift as many boats as possible. Towards this objective, we have launched Kotak Biz Labs - a programme to help entrepreneurs grow and scale up.



“...our brand Kotak has been built brick by brick, with ambition and hard work.”

Finally, our brand Kotak has been built brick by brick, with ambition and hard work. Over the years, our vision and aspirations have evolved to achieve the audacious. That is who we are, and who we will always be. And that is what India represents, the bold hopes and aspirations of over a billion people. We are committed to partnering with aspirational India, because we believe - **Hausla hai toh ho jayega!**

In Closing

While, last year was eventful, we made substantial progress in laying the foundations of our transformation journey. We expect momentum to build in the years ahead. We thank you for your continued support and remain committed to building a franchise you are proud of.

Let's keep going!

Ashok Vaswani
Managing Director & CEO

07th July, 2025

Business Overview¹

Diversified businesses with a unified vision

This year, we continued on our strategic journey of driving our businesses by keeping the customer at the centre of all our business decisions. Guided by this principle, we built our propositions, harnessing the wide range of products from across the Bank and the group, while leveraging our digital platforms to enable scale, increase efficiencies and provide better customer experiences.

Kotak Mahindra Bank Limited



Consumer Banking

Provides a wide spectrum of propositions to retail customers (including corporate salaried customers and the self-employed), small businesses, NRIs, retail institutions, government departments and entities, backed by convenient, innovative and digital-first solutions.

Products and Services

Savings and Current Accounts, Term Deposits, Home Loans and Loans Against Property, Personal Loans, Consumer Finance, Business Banking, Credit Cards, Priority Banking, Small Business Loans, Private Banking, Rural Housing, Business Loans and FASTags.

Customer Centricity at the Core

Central to our transformation journey lies a deep commitment to customer centricity. We have realigned our functions and worked on our strategy around this principle.

The Consumer Bank has been strategically organised into three core segments i.e. Product, Distribution and Proposition. The Distribution segment engages customers through three distinct channels — branch network, digital and voice. Each channel is now persona-driven whether SME, affluent or others, influencing everything from branch staffing to app design and functionality.

Leveraging our comprehensive product suite, we have crafted bespoke solutions tailored to the distinct needs of our target customer segments. Our offerings span essential financial use cases including saving, investing, borrowing and protection, drawing on the strengths and capabilities of our Group companies to deliver integrated and impactful propositions.

A manifestation of this approach is evident in the recent launch of Kotak Solitaire, our new proposition for the affluent customers.

Furthermore, all three segments work on deepening customer engagement, guided by defined personas right from the onboarding stage through co-origination of products and continuing across the customer lifecycle with personalised nudges and targeted offers.

To elevate customer service at our branches, we have focused on two key areas: branch decongestion and optimising the time our colleagues spend on operational tasks. Decongestion is achieved by redirecting customer interactions to digital and voice channels, ensuring faster and more convenient service. For customers who continue to visit branches, we have enhanced operational efficiency through our frontline digitisation initiatives. These include the Transaction Authorisation System (TAS), automation of daily branch reports and an AI-powered bot, each designed to streamline workflows and empower branch staff to deliver superior service.

Impact of the Above Strategies:

- + Our persona-based approach for our focus customer segments has played an enabling role in optimising our deposit mix, as reflected in our efficient CA to SA ratio and cost of funds.
- + The Bank's strategic focus in growing the consumer assets segment has enhanced portfolio granularity and improved the overall yield.

¹GRI 2-6

11% ▲Growth in Deposits
of the Bank**18%** ▲

Growth in ActivMoney

5.10%Cost of Funds for
FY 2024-25 for the Bank**17%** ▲Growth in Consumer
Assets**Kotak811****A full-stack digital banking proposition that aims to simplify banking for a billion Indians (core India).****Products and Services**

Offers a wide suite of products, including Savings Accounts, Term Deposits, Debit cards, Credit cards, Loans, Investments and Protection plans.

Kotak811 - Where Banking meets Technology

In FY 2024-25, Kotak811 integrated advanced technologies and data analytics to enhance customer experience and accelerate growth. The key highlights include:

- ✦ We restarted acquisition post the lifting of the RBI restrictions with a revamped tech stack and strengthened the guardrails by leveraging AI/ML to deliver secure and scalable customer onboarding experience.
- ✦ Further, the Kotak811 App with its minimalistic and unbiased design was enhanced to provide seamless digital journeys for sachet-sized cards, loans, investment and protection, all accessible in 2-3 clicks.
- ✦ Supported by a hybrid platform (field staff supported by voice channel), sales officers were empowered to co-originate products at the time of onboarding.

Strategic Focus in FY 2024-25 on

- ✦ Acquisition of better-quality customers with higher savings potential.
- ✦ 811Super - Designed for customers with higher credit activity per month. The proposition includes a 5% cashback (up to ₹ 6,000 annually) on debit card spends, improving customer engagement.
- ✦ Early engagement (while onboarding through 811App) has driven product penetration and increased wallet share.

Brand Campaign: 'Makkhan Jaise Smooth Banking'

'Banking so smooth, it's Makkhan' captures the essence of what modern banking should feel like - effortless, fast and smooth. It reflects the app's user-friendly design and its ability to cater to every financial need with just a few clicks.

2.56 crKotak811 Savings
A/c* [8.0% YoY]**17%** ▲

Growth in Deposits

35% ▲Growth in Savings A/c
throughput**

kotak811

Loans, fully digital.

Now, that's Makkhan.

#811makkhanbanking

Download Kotak811 App

*TSC Apply

kotak
Kotak Mahindra Bank

Business Overview



Commercial Banking

Plays a significant role in meeting financial inclusion goals and financing deep into 'Bharat'.

Products and Services

Tractors, Commercial Vehicles and Construction Equipment Loans, Credit loans to Small and Medium Enterprises in the Agri Value Chain, Logistics and EPC segments, Microcredit Loans to women borrowers under Joint Liability Group (JLG) and Gold Loans to individuals and small businesses.

Deepening Engagement in Bharat

We witnessed healthy disbursement growth across businesses, resulting in higher YoY market share in Commercial Vehicle and Construction Equipment segments. We also successfully maintained our leadership position in Tractor Financing. We are strategically expanding our asset pool to small and medium enterprises in the Agri Value Chain and Gold Loans segments.

By leveraging risk scorecards and analytics-driven strategies, we are driving disciplined and efficient credit cost management, improving operational efficiency and optimising risk-adjusted returns ensuring sustainable profitability.

Microcredit Business

The microcredit business operates through our business correspondents - BSS Microfinance Limited and Sonata Finance Private Limited.

In FY 2024-25, the microcredit business faced increased headwinds as the industry faced increased stress. In response, we adopted a more risk-sensitive underwriting approach while staying committed to supporting the underserved segments. We also set up a dedicated collections team to strengthen recovery.

Harnessing Opportunities Across Customer Segments

- ✦ We continue to deepen our reach by fostering stronger collaboration with our branches and channel partners, enabling seamless customer acquisition.
- ✦ Leveraging the integrated product suite of Kotak's conglomerate structure, we are unlocking cross-sell opportunities and deepening customer engagement through a broader product portfolio. For example, we successfully introduced working capital and banking solutions to existing term loan clients, thereby enhancing overall customer value.

Continued Investment in Technology to Improve the Ease of Doing Business and Build Process Efficiency

Key initiatives that we continue to progress on

- ✦ **Loan Origination System:** A fully digital, end-to-end journey has been built for our vehicle loan product portfolio. Accessible via mobile and web, it enables our team to manage more cases efficiently with faster response times. The journey includes digital documentation and optimised workflows across Credit and Operations.
- ✦ **CRM:** A unified platform for managing leads, campaigns and conversions, driving improved sales effectiveness and cross-sell opportunities.
- ✦ **Microcredit platform upgrade:** Migration to a new SaaS version, offering better architecture and digital capabilities across business and risk. This sets the stage for integrating BSS Microfinance and Sonata onto a common platform.

Harnessing the Power of Analytics Across the Customer Lifecycle Enabling Smarter, Faster Decision-Making

We are undergoing a strategic shift powered by

- ✦ **Data Infrastructure:** Deployment of an improved centralised data platform with automation and self-serve analytics has streamlined data access and enabled scalable decision-making across acquisition, underwriting and collections.
- ✦ **Advanced Analytical Models:** Embedded machine learning scorecards and rule-based segmentation support smarter disbursal and engagement strategies across the product portfolio.

Initiatives Undertaken to Elevate Customer Engagement

- ✦ Promoted health among commercial vehicle drivers through the 'Sehat ka Safar' initiative, focusing on health screenings and disease management.
- ✦ Introduced digital delinquency notifications for tractor loan customers, enhancing compliance and tracking to encourage responsible borrowing.

#1

Tractor financier among banks in India, with a market share[^] of 11.5% as of 31st March, 2025 and a geographical presence in 560 districts

[^] Tractor and Mechanisation Association (TMA) website



Wholesale Banking

Caters to a wide range of corporate customer segments, including large Indian corporates, conglomerates, financial institutions, public sector undertakings, multinational companies, financial sponsors, including private equity funds and portfolio investors, new-age companies, small- and medium enterprises and realty businesses.

Products and Services

Offers a portfolio of products and services, including working capital finance, medium-term finance, project finance, trade and supply chain finance, foreign exchange services, other transaction banking requirements, custody services, debt capital markets, structured financing solutions and treasury services.

Business Model for Excellence

The wholesale bank continued on its journey towards excellence by reducing reliance on asset-based revenues and enhancing customer flow-led and fee income streams. In light of the falling interest rate environment, wholesale banking focused on short-term and working capital lending to optimise returns and manage interest rate risk more effectively. Trade and Supply Chain offerings were strengthened, including through digital offerings and this led to increased share of customer flows and higher liability and fee incomes. Continued focus on customer experience, productivity and digital enhancements led to strong growth in Assets, Liabilities and Profitability, delivering a healthy ATROE.

The Bank was awarded the 'Best Bank for Large Corporates in India' by Euromoney in its Awards for Excellence, 2025. This accolade, won for the second consecutive year, reflects the strength and prominence of our wholesale banking model.

Granular Growth

The Bank continued its granular growth strategy, with the SME and mid-market segments outpacing overall wholesale bank growth. The market share gains were driven by strong customer acquisitions through network expansion, salesforce upskilling and process improvements. Digital platforms such as fyn were enhanced to deepen customer engagement, while advanced analytics supported targeted growth. We enhanced customer returns through the strategic offering of products across group entities. Asset quality remained healthy, with minimal slippages, aided by strengthened credit monitoring.

Debt Capital Markets and Other Fee Income

We achieved record DCM (Debt Capital Market) fees through marquee deals across diverse products and sectors, enabling clients to raise debt financing from capital markets and loan markets at competitive rates. The Bank strengthened its leadership position in

debt financing and was recognised as 'India's Best Investment Bank for Financing' by Euromoney Excellence Awards, 2025.

We also grew our non-credit income from Forex, Cash Management Services (CMS) and Transaction Banking, steadily increasing the proportion of non-risk revenues and enhancing Return on Equity through a more favourable earnings mix.

Liability Growth

We continued our digital-first, solution-oriented approach in CMS, driving strong increase in transaction volumes and growth in Current Account balances. Product-led innovations and the enhanced CMS technology stack have helped us penetrate customer segments such as mutual funds and payment aggregators. Tax payments grew strongly, with ~2x growth in value processed.

Digital Initiatives

This year, there was an increased focus on digitisation of transactions for better customer experience, improved productivity and reduced TATs. Kotak fyn, the Bank's integrated portal for collections, payments, trade and account services saw significant growth in adoption. Kotak fyn's capabilities were expanded through the introduction of new products, service requests and DIY journeys. Its omni-channel proposition was further strengthened through introduction of Trade Approvals on the fyn App.

For the merchant ecosystem, we have developed the 'Sampark Setu' platform, a Bank-level unified platform, designed in-house to include all digital payment modes.

The Cash Management Services technology stack was enhanced by making available native APIs. This has helped the wholesale bank penetrate high CMS volume clients in the BFSI and payment aggregator space.

11% ▲

Growth in Wholesale
Banking book

31% ▲

Growth in fund-based
SME Loan book

26% ▲

Growth in New-to-bank
customers in SME business

Business Overview



Custodial Services

Recognised as one of India's leading domestic custodians, offering integrated custody, clearing and fund accounting services to both domestic and international clients—tailored to meet their evolving needs.

Products and Services

We cater to both domestic and international asset managers, with a focus on clients from regions including the Middle East, North America, Europe, the United Kingdom, Mauritius and the Far East.

Robust Capital Markets: Continued Growth and Expansion

We benefitted from a steady rise in domestic flows through the addition of large clients, including PMS funds and Domestic AIFs.

We prioritised product development to enhance capacity of our clearing platform, enabling it to efficiently handle high transaction volumes. In addition, we expanded our clearing capabilities to support trade clearing across multiple exchanges in India and GIFT exchange, strengthening our market presence. One of the key initiatives was the launch of commodity clearing service on our existing platform for FPIs in the BSE derivative segment.

In FY 2024-25, we secured a license in GIFT City to provide Global Custody Services, expanding our capability to provide custodial services for assets held internationally.



Private Banking

A premium proposition offering, designed to cater to the sophisticated needs of our UHNI and HNI clients—entrepreneurs, business families and professionals. A trusted partner for client families for their diverse wealth creation and preservation needs.

Products and Services

Offers an open architecture proposition through its comprehensive platform, covering a wide array of products and services through product partners, providers and internal group companies. These include Investment Advisory*, Discretionary solutions*, Investments, Family Office*, Estate Planning** and Banking Solutions.

Two Decades of Trust: A Lifetime of Commitment

Completed 20 years of serving clients and have crossed USD 100 billion in Relationship Value^{^^} during FY 2024-25.

Expanding Horizons: Commitment to the Global Indian

We are strengthening our presence to serve the 'Global Indian'. We have developed platforms and propositions for resident Indians to invest globally and NR Indians to invest in the domestic markets.

*Offered by Kotak Alternate Asset Managers Ltd. | **Offered by Kotak Mahindra Trusteeship Services Ltd. | [^]Derived from Forbes India Rich List 2024 | ^{^^}Relationship Value of Private Banking + Priority

This is facilitated through our Bank branches at DIFC and GIFT City. These branches complement Kotak Private Banking with their ability to advise and arrange investment products globally and in India.

Enhancing Client Relationships through Technological Advancements

- ✦ We launched Salesforce CRM during FY 2024-25 to enhance productivity and cost efficiencies of our internal teams. Features such as Customer 360 and RM 360 reduce turnaround time and improve customer experience.
- ✦ We applied data analytics techniques, such as segmentation models, propensity scorecards and demographic based client mining, to identify opportunities and design personalised propositions.

60%

of India's top 100 families are managed by Kotak Private Banking^{*}

₹920,000 cr+

Relationship Value^{^^} as on 31st Mar, 2025



Asset Reconstruction Division

Addresses potential turnaround cases and structured funding opportunities, backed by commensurate cash flows and collaterals, additionally considers opportunities in the corporate, SME and retail stressed assets space, based on strong resolution expertise built over the years.

Products and Services

One of the few banks in India that looks at opportunities and takes exposure in distressed/Non-Performing Assets ('NPA') accounts through Security Receipts investments, Stressed/NPA Loan/Portfolio buyout from other Banks/NBFCs/FIs. We have been active in the distressed asset buyouts and investments space for almost two decades. We provide structured funding, need-based priority funding and working capital in potential turnaround those accounts.

Changing Environment Creates Opportunities

In FY 2024-25, we recorded the highest-ever profitability. The resolution of stressed accounts gained momentum, supported by improved judicial and enforcement mechanisms. Despite headwinds from geopolitical uncertainties, inflation and rising commodity prices, we continue to monitor risk and apply due diligence in recovery efforts. Our exposure in the structured funding space which includes working capital funding has been on an increasing trend. Our diversified approach enables lender exits, provides revival financing to companies, while providing strong RoE for investors and overall value creation for the Bank.

44

Buyout Transactions



Car and Two-Wheeler Loans (Kotak Mahindra Prime Limited)

Provides financing to retail consumers and dealers in the passenger vehicle and two-wheeler segments, as well as retail consumers in the Loan Against Property (LAP) segment.

Products and Services

Offers financing of new, pre-owned passenger cars and two wheelers for retail consumers while also providing wholesale financing to automobile dealerships. The Company also offers loans under preferential financier relationships and tie-ups with various automobile manufacturers, along with Loans Against Property against both commercial and residential real estate.

Leveraging Technology to Drive Customer Value and Strengthen Compliance

We leverage advanced technologies to enhance operational efficiency, customer experience and compliance. The key initiatives included deploying Aadhaar-based eKYC with facial recognition to reduce impersonation risks, utilising data analytics for deeper customer insights and implementing a cloud-based compliance platform integrated with audit management tools to streamline risk monitoring. We also launched a loan origination platform for the Loan Against Property segment, significantly reducing the turnaround time for loan processing.

16% ▲

Growth in Assets
under Management



Lending and Investments (Kotak Mahindra Investments Limited)

Primarily engaged in real estate developer finance, corporate loans and other activities such as holding long-term strategic investments.

Products and Services

Lends to developers across the entire spectrum of residential, commercial and retail segments. For lending to other industries, KMIL offers a trusted and dedicated platform with expertise in complex transactions, thereby broadening their access to capital.

Stable Performance

We are focused on expanding our real estate lending portfolio, along with the corporate lending portfolio, which is diversified across various sectors, including manufacturing, services, education and NBFCs (including investments in pass-through certificates).

0.14%

Net NPA on
Customer Assets



Infrastructure Financing (Kotak Infrastructure Debt Fund Limited)

Provides long-term finance to infrastructure projects that have completed at least one year of satisfactory commercial operations.

Products and Services

Long-term finance (Loans as well as NCDs)

Maintaining Pristine Asset Quality

In FY 2024-25, we expanded into emerging infrastructure segments such as data centres while maintaining a strong focus on renewable energy, which now accounts for approximately 70% of our total loan book. We continue to employ a range of various risk management techniques, such as careful project selection, diversification and stringent credit assessment, to mitigate associated risks and maintain the highest level of asset quality.

20% ▲

Growth in
Customer Assets

**Maintained highest Credit
Rating of AAA/Stable by
CRISIL and ICRA**

Business Overview



Stock Broking (Kotak Securities Limited)

Full-service broker offering services to retail and institutional investors across the Indian capital market.

Products and Services

The retail broking arm offers a wide array of services and products, including investment and trading in equities, derivatives (equities, commodities and currency) and mutual funds. It also provides Research Services, Margin Trading Facility, Depository Services and distribution of third-party products such as insurance, PMS and AIF.

The institutional equities arm offers a wide range of services, including a full spectrum of comprehensive research and advisory services, corporate access and trade execution across cash, futures and options. It is one of the leading institutional brokers in India for IPOs, block trades, qualified institutional placements, share buybacks and offers-for-sale.

Digitising Trading and Investments for Retail Segment

Our next-gen platform Kotak Neo, powered by advanced tools, has enhanced the trading and investing experience for DIY clients with the addition of features including a revamped demat opening process with a fully native experience. Further, features such as Trade from Charts, Strategy Bot (a multi-leg trading tool) and simplified IPO and Mutual Fund investment journeys have yielded strong results.

In FY 2024-25, 98% of all orders were self-executed, reflecting customers' confidence in our tech capabilities. During the year, trading volume through the Kotak Securities Mobile App recorded 44% YoY* growth.

We introduced competitively priced digital trading plans in the following products - Trade Free Plans, Trade Free Youth Plan and Trade Free Pro Plan, each targeted at the niche investor segment to encourage them to conduct their transactions on the Kotak Neo platform. These digital plans contributed 61% of the overall new accounts acquired in FY 2024-25.

Launched the brand campaign 'Jo Tez Hain, Woh Aage Hain', featuring a series of TV Commercials, emphasising the speed and simplicity of the Kotak Neo platform.

India's Dominant Institutional Broker

We are a top tier broker for global and institutional investors; working in collaboration with Kotak Mahindra Capital (Investment Banking) for end-to-end ECM solutions.

We executed 55 equity capital market transactions during FY 2024-25, including 24 block deals worth USD 6.7 billion. Our

research covers 286 stocks, representing ~84% of India's market capitalisation. In FY 2024-25, we added 86 new institutional investors, both global and local.

₹ 1,640 cr

Highest ever PAT
in FY 2024-25

9.4%

Equity Market Share
for FY 2024-25*

12.9%

Equity Derivative Market
Share for FY 2024-25

11.6%

Overall Market Share
for FY 2024-25*



Investment Banking (Kotak Mahindra Capital Company Limited)

A Year of Excellence in Equity Capital Markets (ECM) and Advisory.

Products and Services

Comprehensive capital market and advisory solutions for Indian and global clients.

India's #1 ECM House, Now in Top 10 Globally

Kotak Investment Bank has maintained its position as India's #1 ECM house for the third consecutive year and further reinforced its leadership by topping Asia's IPO league tables® and breaking into the LSEG global top 10 ranking.

We successfully completed 31 ECM transactions, including 18 IPOs, 11 QIPs, 1 REIT QIP and 1 Rights Issue in FY 2024-25. These include marquee transactions such as Hyundai (India's largest listing till date), Swiggy (Asia's fourth-largest listing) and Hexaware (largest Indian IT services IPO globally in a decade), along with 15 other notable listings during the year.

On the advisory side, we led several high-impact and complex deals. Key among them were acting as a buy-side advisor and managing the open offer for the acquisition of joint control in Manappuram Finance by Bain Capital, serving as an exclusive

*Retail and institutional market share after excluding the proprietary segment. Based on notional turnover for equity futures and premium turnover for equity options segment. | #Source: Bloomberg | ®League tables: Bloomberg LSEG, Dealogic – for CY 2024

financial advisor to the Godrej family in the re-alignment of ownership within their group and providing buy-side advisory to the Carlyle Group for the creation of a diversified global auto components platform. In addition, we executed eight other advisory transactions, further reinforcing our position as a trusted financial advisor in high-impact, complex deals.

#1

Ranking in ECM transactions for CY 2024 for the third consecutive year[#]

#1

Ranking in Advisory amongst Investment Banks by deal value for FY 2024-25^{**}



Life Insurance

(Kotak Mahindra Life Insurance Company Limited)

Offers a wide range of life insurance solutions under individual and group platforms through a multi-channel distribution network. With a customer-first approach, the Company offers enhanced propositions across the value chain from policy purchasing to servicing and claim settlement.

Products and Services

Providing a diverse range of products across multiple platforms—Savings, Protection, Investment, Health and Annuity, tailored to meet the needs of all customer segments at different life stages. It ensures an omni-channel experience across the entire value chain, with immediate resolution of servicing requests.

Launched Innovative Products Offering Protection and Long-term Income

- + Unique multigenerational coverage products to serve the insured customers across two generations
- + Unit-linked and a participating retirement products that helps individuals save for retirement

Digital Enhancements Driving Growth, Productivity and Stakeholder Value

Optimus Platform: We launched Optimus, a next-generation omni-channel customer onboarding platform that offers configurable product launches and integrated journeys. It has reduced more than 50% of onboarding time.

HappyYou: An all-in-one health and wellness platform offering real-time health tracking, free teleconsultations across India, discounted diagnostics, pharmacy and emergency services. It streamlines medical record management and provides exclusive

benefits and rewards for Kotak Group employees and Kotak Life customers to encourage proactive healthcare.

Distributor Empowerment: Partnering with VYMO, we launched an Activity Management module for our agency employees, boosting sales productivity through actionable insights, intuitive engagement tool and performance tracking. Additionally, our Boost 360 app, designed for advisors and partners, has attracted ~1 lakh registered users and processed over 2.5 million service requests annually.

₹ 18,376 cr

Gross Written Premium
[3.8% YoY]

₹ 9,832 cr

Individual Renewal
Premium [12.5% YoY]

25.0%

Value of New Business
(VNB) Margin

15.6% [▲]

Growth in Indian
Embedded Value (IEV)[^]
at ₹ 17,612 cr

₹ 91,807 cr

Assets Under Management
[15.0% YoY]

>70%

Share of Individual New
Business Premium from
Traditional products

Ek plan ki suraksha,
do generations ki raksha*

— INTRODUCING —
Kotak GEN2GEN Protect

Secure Now

*On opting Legacy ROP option, this plan provides life cover to the parent and after that to the identified child up to the specified age.

kotaklife.com | Ref No: KLI/24-25/E-BB/243

▲ YoY | [^]Computed based on the principles prescribed by APS10. The methodology, assumptions and results have been reviewed by Willis Towers Watson Actuarial Advisory LLP | ^{**}Total deal value does not include the transactions where value is not disclosed, Bloomberg data as on 28th April 2025

Business Overview



Mutual Fund

(Kotak Mahindra Asset Management Company Limited)

Serves investor requirements across both active and passive funds on a continuing basis, focusing on the local and offshore markets across debt, equity and commodities segments for retail and institutional investors. Offers schemes that cater to investors with varying risk-return profiles. We are India's first signatory to the PRI, supported by the United Nations.

Products and Services

Diversified product portfolio across a wide range of equity, debt, exchange-traded funds (ETFs), index funds and overseas funds.

Enhanced Distributor Engagement and Market Awareness

We have re-engineered the 'Business Hub' app, enhancing the UI/UX for distributors' seamless experience. The new features include transaction management, SIP pause, KYC updates, feedback submission and scheme-level AUM insights—boosting efficiency and productivity. The distributor user base increased by 28% YoY.

We launched the investor awareness campaign 'Sapno Ko Skip Nahi, SIP Karo' to educate the public on Systematic Investment Plans (SIPs). The campaign engaged over 257 million people via social media and attracted more than 22 lakh website visits, empowering individuals to take charge of their financial futures.

Our continued efforts in investor education and digital engagement have significantly reinforced our market presence:

- ✦ 14% YoY growth in cumulative SIP count
- ✦ 22% YoY increase in unique investors
- ✦ 35.3% YoY increase in AAUM at ₹ 468,820 crore

5th

Largest fund house in India in terms of AAUM

7.09%

Market share in AAUM (FY 2018-19: 6.14% and FY 2015-16: 4.32%)



Pension Fund

(Kotak Mahindra Pension Fund Limited)

Authorised as a pension fund management company under the National Pension System (NPS), managing nine schemes across asset classes.

Products and Services

Pension fund management

Earning Your Trust

We are among the top two best-performing equity funds in the NPS industry (NPS Tier 1) over 1 and 3-year periods as of 31st March, 2025.

36% ▲

Growth of Assets under Management

(Source: NPS Trust Website)





Alternate Assets (Kotak Alternate Asset Managers Limited*)

Diversified multi-asset investment manager providing private capital to Indian companies and advising discerning family offices and HNIs on asset allocation.

Products and Services

We are among the leading private markets investment managers, with a strong presence across asset classes, including Private Credit, Real Estate, Infrastructure and Private Equity. Our investment advisory services are tailored to meet specific client objectives, offering customised solutions aligned with individual risk profiles. For retail investors, our digital investment platform, Kotak Cherry, provides a seamless experience to invest in mutual funds, fixed deposits and curated mutual fund baskets.

A Leading Diversified Multi-asset Investment Manager

- During FY 2024-25, we attracted new capital commitments ~₹ 12,200 crore across various funds and strategies, showing a growth rate of 15% versus FY 2023-24.
- Discretionary Solutions Platform offers bespoke investment solutions, which include Kotak Iconic (complete Equity Portfolio Solutions) and Kotak Optimus (Multi-Asset, Multi-Strategy Portfolio Solution) suited for Ultra-High Net Worth Individuals (UHNIs) and Family Offices. The platform manages an AUM of over ₹ 6,000 crore, reflecting growing investor confidence.
- We expanded our presence to cities beyond Tier 1 and Tier 2. During FY 2024-25, the investment advisory practice crossed ₹ 120,000 crore of assets under advice.

USD 10.9 bn

Total funds raised since inception



International Business

Kotak Mahindra (International) Limited
Kotak Mahindra (UK) Limited
Kotak Mahindra Inc.
Kotak Mahindra Asset Management (Singapore) Pte Limited
Kotak Mahindra Financial Services Limited

Offers financial services across our offices in Singapore, London, New York, Dubai, Abu Dhabi and Mauritius.

Products and Services

Offerings include India-bound Asset Management, Investment Advisory and Alternate Assets, India-bound Institutional Equities and Prime Brokerage and International Wealth Management.

Promoting the India Story Internationally

Our 'Kotak Fund- India Midcap Fund', with an AUM of over approx. USD 3.3 billion, continues to be one of the largest* India focused offshore funds (actively managed with daily liquidity).

Our International Business has expanded beyond active fund management to include passive investment strategies and successfully launched the 'Kotak MSCI India ETF Fund', raising an AUM in excess of USD 100 million within the first month of launch. This is in line with our broader strategy to scale up the asset management business.

Further, the International Business initiated the launch of an app-driven wealth management platform with the capability to offer investment opportunities across 80+ markets globally.

USD 5.5 bn

Assets Managed/Advised

35% ▲

Growth in PATW



▲ YoY | *Kotak Alternate Asset Managers Limited (formerly known as Kotak Investment Advisors Limited) | ^Portfolio of Data Centre has been consolidated under Real estate; Portfolio of Strategic Situations has been consolidated under Private Credit | *Bloomberg

Strengthening our technology backbone

Kotak Mahindra Bank’s transformation journey is anchored in technology as a key enabler, guided by a customer-centric philosophy and strategically focused on achieving scale.

During FY 2024-25, we undertook a comprehensive upgrade of the technology infrastructure and enhanced the UI/UX and core features of its apps and platforms. This transformation was driven by the strategic belief that building a resilient, secure and scalable core is fundamental to delivering improved customer experiences in an increasingly digital-first world. These efforts also resulted in resolving the regulatory restrictions highlighted in the RBI Order dated 24th April, 2024, which were subsequently removed by its letter dated 12th February, 2025.

To enhance customer experience with a focus on resiliency, security and scalability, we initiated several strategic actions. Key among them are outlined below:

Upgradation of Core Banking Solution

We have made significant efforts to upgrade our Core Banking Solution (CBS), which has led to load reduction, improvements in monitoring and ensuring that critical services remain available with near-zero unplanned downtime. We have also strengthened the IT governance and risk management practices with an emphasis on cybersecurity, data encryption standards and enhanced user access controls.

Creation of Unified and Interoperable Platforms

These platforms are designed to modernise the core infrastructure and serve as a robust foundation for powering front-end applications. They enable seamless integration, faster development cycles and consistent performance across channels. Key ones being:

Data EXchange (DEX) Platform

A unified data platform for smart banking, the cloud-native DEX platform serves as the intelligence backbone of Kotak’s digital transformation. Purpose-built on modern cloud architecture, DEX ingests, processes and analyses vast volumes of data in real time, powering everything from hyper-personalised experiences to intelligent risk management. DEX has broken down legacy data silos by unifying structured and unstructured data across business lines into a single, trusted platform.

It enables a 360-degree view of the customer, allowing for smarter engagement, faster response times and more proactive interventions. By embedding advanced analytics and machine learning models directly into the platform, DEX empowers real-time fraud detection, personalised product recommendations and automated credit risk scoring. The platform’s scalability ensures that the Bank stays ahead as data volumes and complexity grow.

Unified Onboarding Platform

The unified onboarding platform provides best-in-class, unified branding customer experience across journeys and resiliency (99.5%+ uptime) due to cloud-native re-usable micro-services. From the customer’s perspective, the platform allows journey resumption from any point and supports web, mobile and assisted experiences. This platform seamlessly integrates with KYC modules, risk assessment components, customer drop-off management and other common banking services.

Leveraging Data and Analytics

The Bank has advanced its capabilities in predictive analytics, customer behaviour modelling and operational efficiency. AI and ML are embedded across various layers, from intelligent automation in backend processes to personalised experiences in customer-facing applications. The development of advanced data analytics frameworks has empowered the Bank to derive actionable insights, supporting business decisions and scalable growth.

Kotak AI Platform

We are building Kotak AI, a proprietary Generative AI platform that will serve as the cognitive core of the Bank’s ecosystem. It is being deeply embedded into the Bank’s technology fabric, enabling predictive insights, contextual intelligence and seamless automation across interactions.

➔ Read more on page 436

Digital Powerhouse

Kotak has developed a suite of digital apps and platforms designed specifically to meet the diverse needs of its chosen customer segments.

For Affluent, Non-Residents and Self-Employed Customers

Kotak Bank App

The Bank launched a new Kotak Bank App - a personalised app that facilitates savings, investing, paying, spending, borrowing and protection. The app is created on the core tenets of speed, simplicity and security. User experience is optimised, offering 70% of frequently used actions within 2 clicks, with a 4X improvement in the time taken to first scan and pay. Bank transfers now require 2X fewer clicks, further reducing customer friction, thereby enhancing the customer experience.

The app is packed with features, with over 250 capabilities, including 50+ new additions. It is engineered to deepen customer relationships and drive product adoption through pre-approved loans, credit card management, availing insurance and more, all accessible within a few clicks. The app curates an experience to allow users to seamlessly switch between personal and business profiles. Features such as one-click mutual fund investments and easy EMI conversions are just a few of the ways the app simplifies banking.

For Investments

Kotak Cherry

Kotak Cherry is the go-to app providing users with in-depth strategies, curated insights and a framework to build a multi-product portfolio. This app allows seamless one-click investments for Kotak Bank customers. It offers a unified experience where users can invest in mutual funds, fixed deposits and more, all in one place.

Kotak Cherry launched 'Portfolio Analyser Reports', a personalised tool offering data-driven insights, detailed micro-to-macro analysis and Kotak's recommendations for smarter mutual fund decisions. We also introduced 'Cafe', an interactive in-app hub that blends financial literacy with engaging content like blogs and videos.

For a Billion Indians

Kotak811

Kotak811 is now a full-stack digital banking proposition that aims to simplify banking. Launched in March 2024, the Kotak811 App features a minimalistic and unbiased design that offers 100+ features, earning top ratings on both the App Store and

Play Store. It provides seamless digital journeys for sachet-sized cards, loans, investment and protection plans, all accessible in 2-3 clicks. Notably, it is among the few banking apps that facilitates and rewards digital payments.



Meet the Kotak
Digital Powerhouse



For Customers Keen on Trading

Kotak Neo

Kotak Neo platform enables users to trade and invest in stocks, equity & commodity derivatives, mutual funds, ETFs and IPOs all at one place. It is well integrated with the Kotak Bank platform for instant onboarding and one-click fund transfers, offering a frictionless experience to the Bank's customers.

Users benefits from Kotak's in-house research including stock and sector insights, expert views and timely updates. The platform also empowers its users with features such as margin trading facilities and advanced trading and charting tools.

For Corporate and SME Customers

Kotak fyn

Kotak fyn is an enterprise portal providing a unified and integrated view of the account services, collections, payments and trade services. Kotak fyn's latest feature enhancements focus on efficiency, security and customer empowerment, ensuring that customer businesses can operate with greater ease and confidence.

During the year, key features were added such as trade transaction approvals on the go, issuance of digital bank guarantees, digital journeys to create online term deposits and availability of engaging training videos to explore functionalities.

For Merchants

Sampark Setu Platform

We have developed the 'Sampark Setu' platform, a Bank-level unified platform, designed in-house to include all digital payment modes. It acts as a central hub for the merchant ecosystem, enabling

seamless onboarding, settlement, reconciliation, risk and compliance. Hosted on Kotak cloud, it is designed to build high availability, scalability, security, operational efficiency and audit control.

These apps for our chosen customer segments are fundamental to deepen our digital engagement with customers. Along with back-end tech upgrades, a significant focus has been placed on enhancing the UI/UX and core features of these apps.

Talent

Empowering Our People: Building a Future-Ready Kotak

At Kotak, our people are our greatest strength. We recognise that our success hinges on the talent, dedication and diversity of our colleagues. As we continue to grow and evolve, our unwavering commitment to creating a workplace where every Kotakite feels valued, empowered and inspired remains central to our transformation journey. FY 2024-25 was a year of meaningful progress, driven by our belief that when our people thrive in this dynamic environment, so does our organisation.

With a strategic focus on employee engagement and talent retention, we anchored our initiatives around five core pillars:



Best of Kotak for Kotakites

We offered value propositions and benefits to our colleagues on preferential terms. In FY 2024-25, we launched Kotak Staff Home Loan Policy with the objective to provide home loan benefits to Kotak Bank colleagues at preferential rates.



Colleague Development

We believe in unlocking the potential of every colleague. *Kotak MyLearn*, the Bank's digital learning platform was extended to the subsidiaries. It offers curated, role-based journeys and AI-driven insights. With gamification, social learning and content from platforms such as Udemy and LinkedIn, it empowers self-driven growth and data-backed development.



95%

Bank colleagues participated in at least one learning intervention

49.5

Average training hours per employee (20% ▲)

Complementing this is *My Kareer*, our AI-powered internal talent marketplace that empowers colleagues at the Bank to bridge skill gaps, access relevant learning and plan career growth through profile building and accessing internal opportunities.

About 8,500 leaders embraced customer-first thinking under the Customer Centricity Programme. Leadership programmes at the Bank, like *Lead to Transform*, focus on building accountable, customer-centric leaders who drive innovation and cross-functional collaboration. The Strategic Leadership Development Programme supports participants in strengthening their leadership style while keeping their alignment to business strategy. The *DRONA Coaching and Mentoring Programme*, develops managers as mentors and coaches. Programmes such as *iRise* and *Toastmasters* enhance communication skills across levels.

The *Kotak Young Leaders Council (KYLC)*, the Group's flagship initiative, fosters cross-functional learning and mentorship for emerging leaders.



Building a Culture of Appreciation

Through the *Celebrating You* philosophy, we bring appreciation into everyday work life. At the Bank level, it includes *Long Service Awards* and *Hi-Five Awards* for real-time recognition.

We also launched *Kotak Shining Stars* - the Group's most prestigious annual awards, recognising impactful initiatives for FY 2024-25. Additionally, the *Infinity Awards* celebrate contributions to sustainability, community and inclusivity.

With over 13,000 recognitions shared since its launch in November 2024, the Bank's digital recognition platform, *K-Applaud*, has transformed how we celebrate success.



Transparent Communication

Open dialogue is at the heart of our culture. *Amber*, the AI-powered feedback platform, captures real-time sentiment from colleagues across the Bank, while *My Kotak My Say* is a Bank-wide survey conducted in partnership with Great Place to Work®. Together, they ensure every voice is heard and can provide insights that directly shape our people strategies.



➔ Read more on pages 98-111



Enhanced Colleague Value Proposition

We are shaping employee experience through various initiatives that support every stage of life and career:

The Bank advanced colleague wellbeing through 24X7 counselling via employee assistance programmes, preventive screenings and health check-ups, health camps and seamless access to 'Care' via the Worklife App. Additionally, the Bank also launched *Stepathon* – an initiative where colleagues participated in a three-month long wellness challenge making health a shared priority.

The Bank deepened its cultural focus through key initiatives. DEIB Council led *Beyond Bias* programme, sensitising 27,000 colleagues around unconscious bias to build a more equitable workplace, while *Am I an Inspiring Leader?* programme equips managers to lead with empathy. A team of Culture Drivers strengthened mentorship and inclusive leadership.

Programmes such as *GATI*, *Race* and *Unnati* focused on enabling role transitions for Kotakites in early career stages across Consumer and Commercial bank.

The Kotak *ReLaunch* programme, launched last year, supports women returning to the workforce with structured second-career opportunities at the Bank.

Additionally, the top 10% performers in mid- to senior grades were covered through a special share-linked grant to strengthen the overall employee value proposition, also helping drive a strong sense of ownership.

26.4%

Gender diversity at the Group

Kotak Bank has been recognised among India's Top 100 Best Companies to Work (2024 and 2025), as one of the Best Employers among Nation Builders (2022 to 2025) and among Top 50 India's Best Workplaces in BFSI (2024 and 2025) by Great Place to Work® (GPTW)

Key Performance Indicators

Responsible growth, resilient performance

All numbers are on a consolidated, basis except where stated

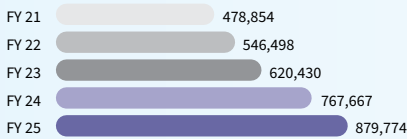
Our consistent return ratios and fortress-like balance sheet reflect our unwavering commitment to creating sustainable and long-term value for all stakeholders.

Operational Metrics

Total Assets

(₹ in crore)

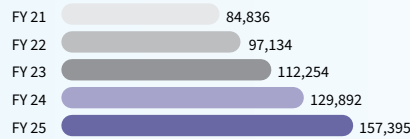
CAGR **16%** ▲



Capital and Reserves and Surplus

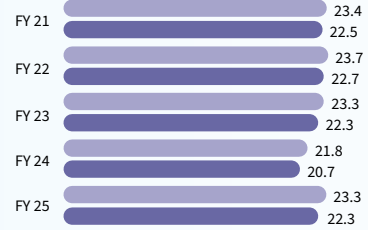
(₹ in crore)

CAGR **17%** ▲



Capital Adequacy Ratio and CET 1

(%)

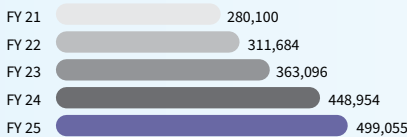


● Capital Adequacy Ratio ● CET 1

Bank Deposits

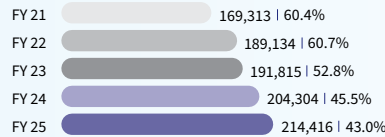
(₹ in crore)

CAGR **16%** ▲



Bank Current Account and Savings Account (CASA)

CAGR **6%** ▲



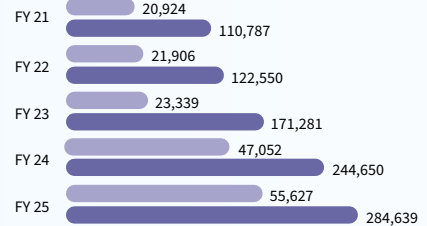
CASA Balances (₹ in crore) | CASA (%)

Bank Term Deposits

(₹ in crore)

CAGR **28%** ▲

CAGR **27%** ▲

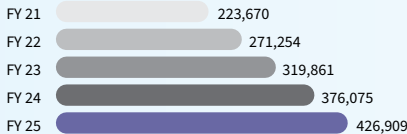


● TD Sweep/ActivMoney (Part of Total Term Deposits) ● Total Term Deposits

Bank Advances

(₹ in crore)

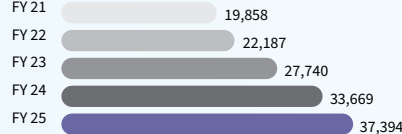
CAGR **18%** ▲



Net Interest Income

(₹ in crore)

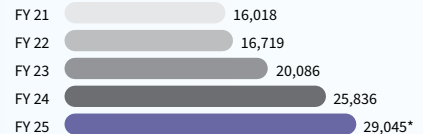
CAGR **17%** ▲



Operating Profit

(₹ in crore)

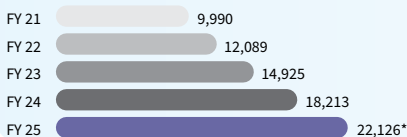
CAGR **16%** ▲



Net Profit

(₹ in crore)

CAGR **22%** ▲



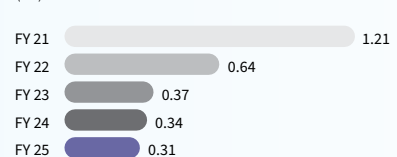
Bank - Net Interest Margin (NIM)

(%)



Bank - Net NPA

(%)

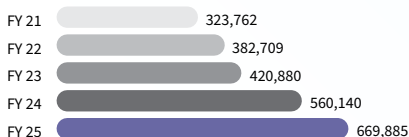


▲ 4-year CAGR | *Operating Profit and Net Profit for FY 2024-25 includes gain on divestment of stake in Kotak Mahindra General Insurance Company Limited amounting to ₹ 3,803 crore and ₹ 3,013 crore respectively

Group Company Metrics

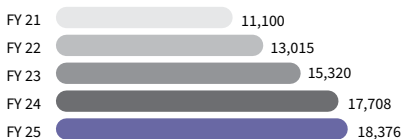
Total Assets Under Management

(₹ in crore)

CAGR **20%** ▲

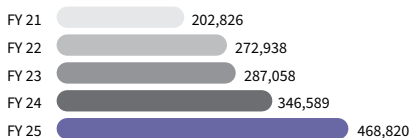
Kotak Mahindra Life Insurance - Gross Written Premium

(₹ in crore)

CAGR **13%** ▲

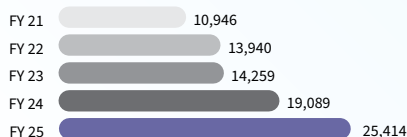
Kotak Mahindra Asset Management - AAUM* - Overall

(₹ in crore)

CAGR **23%** ▲**11.6% | 9.4%**Overall Market Share | Equity Market Share - Kotak Securities for FY 2024-25^{##}

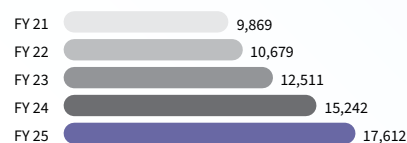
Kotak Securities - Average Daily Volume (ADV)*

(₹ in crore)

CAGR **23%** ▲

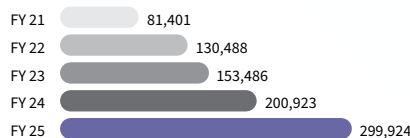
Kotak Mahindra Life Insurance - Indian Embedded Value (IEV)**

(₹ in crore)

CAGR **16%** ▲

Kotak Mahindra Asset Management - AAUM* - Equity

(₹ in crore)

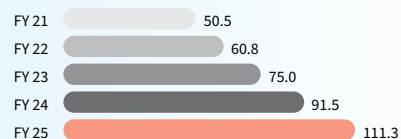
CAGR **39%** ▲**25.0%**

Value Of New Business (VNB) Margin - Kotak Mahindra Life Insurance for FY 2024-25**

Valuation Metrics

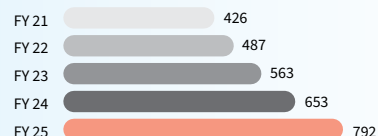
Basic Earnings Per Share (EPS)

(₹)

CAGR **22%** ▲

Book Value Per Share

(₹)

CAGR **17%** ▲**19.5x**Price-to-earnings (P/E) as on 31st March, 2025**2.7x**Price-to-book (P/B) as on 31st March, 2025**2.7%**

Return on Assets (RoA) for FY 2024-25

15.2%

Return on Equity (RoE) for FY 2024-25

85.5%

Credit - Deposit Ratio (CD) for FY 2024-25

▲ 4-year CAGR | *KSEC ADV is computed based on the revised disclosures by NSE from April'23, accordingly previous period numbers are recomputed |

**Computed based on the principles prescribed by APS10. The methodology, assumptions and results have been reviewed by Willis Towers Watson Actuarial Advisory LLP | #Average assets under Management | ##excluding Proprietary Segments

Stakeholder Engagement and Materiality Assessment

Creating Value and Nurturing Relationships

Material topics serve to help shape our strategy. By conducting materiality evaluation, we align our strategic objectives to the insights from emerging risks and opportunities. This guarantees that our activities are consistent with our values and vision, resulting in an impactful change.

An issue is considered material if it has the potential to significantly affect our ability to create, sustain and deliver value to our stakeholders in the short, medium and long-term.

Hausla hai toh
ho jayega.

At Kotak, we are committed to transparent and meaningful engagement with our stakeholders to build trust and create shared value. In an evolving business landscape, understanding the expectations of our stakeholders remains central to identifying emerging risks and opportunities. Our materiality assessment process serves as a strategic tool that helps align our focus areas with stakeholder priorities and enables us to measure progress against key material topics that drive sustainable performance.

Stakeholder engagement helps us to:

Improve

stakeholders' trust and confidence in our business



Increase

our ability to understand stakeholder inputs



Materiality Assessment¹

Materiality Assessment Journey

In FY 2023-24, we conducted an improved materiality assessment to shape our ESG strategy. This exercise involved engaging with stakeholders to evaluate the evolving economic and regulatory landscape, enabling us to understand the impacts of emerging risks, opportunities and their impacts on our business, society and the environment.

Aligned with **GRI 3: Material Topics 2021** and guided by the double materiality principles of the **European Sustainability Reporting Standards (ESRS)**, the assessment examined two dimensions shown in the figure below.



¹ GRI 3-1

Stakeholder Engagement and Materiality Assessment

Materiality Assessment Process

The following steps were undertaken as a part of the improved materiality assessment process during FY 2023-24 :

Step 1

Identification and Articulation of Topics

- Identified key sustainability topics by analysing emerging business trends, risks and opportunities
- Conducted secondary research, including benchmarking against industry practices, peer strategies and assessments by financial institutions
- Evaluated wider environmental and societal impacts to ensure a holistic perspective

Step 2

Stakeholder Engagement²

- Engaged key stakeholders through online surveys to gather their perspectives on material topics
- Assessed the scale and scope of potential risks, opportunities and impacts through stakeholders survey inputs which provided valuable insights that informed and shaped our sustainability strategy

Step 3

Analysis and Materiality Matrix Development

- Collected feedback from stakeholders was analysed to derive material outcomes, including the categorisation of material topics into three groups: Foundation, Growth and Ecosystem
- Reviewed by the Board's executive directors and senior management³

Materiality Review – FY 2024-25

During FY 2024-25, we reviewed the previous year's materiality assessment in consultation with key internal stakeholders to ensure alignment with emerging trends and sector dynamics. The review reaffirmed the continued relevance of our identified material topics with no significant changes, as shown in the materiality assessment outcome.

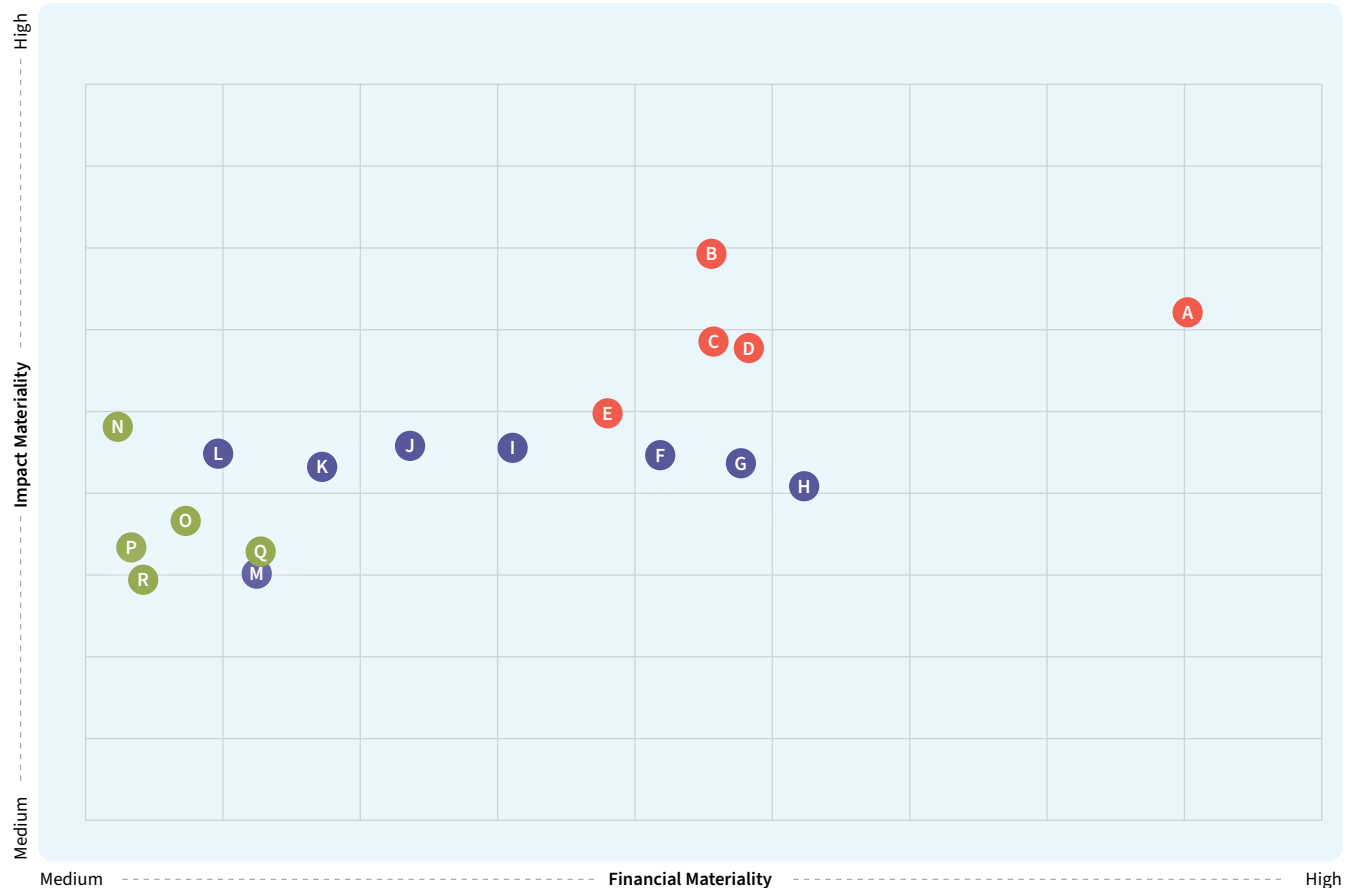
We remain committed to aligning our strategies with the identified material topics to create long-term value for stakeholders while ensuring sustainable growth of our business.



² GRI 2-29 | ³ GRI 2-14

Materiality Assessment Outcome³

The Outcome of Materiality assessment conducted for FY 2023-24 was as follows:



Material issues³

Our Material issues are categorised into the following:

Foundation

Material topics core to Kotak's operations and sustainability

- A** — Data Security and Resilient IT Systems
- B** — Regulatory Compliance
- C** — Data Privacy
- D** — Business Ethics
- E** — Corporate Governance

Growth

Material topics driving Kotak's progress and business excellence

- F** — Customer Centricity
- G** — Brand Recognition
- H** — Employee Development and Engagement
- I** — Formulation of an ESG Roadmap
- J** — Diversity, Equity and Inclusion
- K** — Employee Health and Well Being
- L** — Promoting Green Finance
- M** — ESG and Climate Risk Management in Lending and Investments

Ecosystem

Material topics integrating Kotak's long-term vision to contribute to national goals and commitments on sustainable development

- N** — Financing Inclusion and Social Development
- O** — Operational Eco-efficiency and Resilience to Climate Change
- P** — Policy Advocacy
- Q** — Community Well-being
- R** — Supply Chain Sustainability

³ GRI 3-2

Stakeholder Engagement and Materiality Assessment

Key Performance on Material Topics – FY 2024-25

Material Topics for our organisation and the related key performance indicators covered in this Report³ are in the table depicted below:

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
Data Security and Resilient IT Systems			
Prevent and address IT system failures and major cybersecurity incidents to facilitate seamless operations resulting in resilient IT systems.	Data security is a significant risk for organisations handling large volumes of sensitive financial and personal data. Lack of robust data privacy systems can result in financial penalties, increased legal fees arising from lawsuits and reduction in customer retention.	Delivering excellence through Governance (pages 62-67)	Information Security Management System (ISMS) certified under: ISO/IEC 27001 Complete compliance with the RBI's Cybersecurity Framework - Implementation of PCI DSS 4.0 standards
Regulatory Compliance			
Adherence to laws, regulations and guidelines.	In an evolving regulatory landscape, it is imperative for organisations to ensure compliance to current and emerging regulations. Failure to keep updated with the dynamic policy and regulatory landscape can lead to litigation, regulatory and reputational risks.	Delivering excellence through Governance (pages 62-67)	Number of Directors/KMPs/ employees against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption: 0
Data Privacy			
Measures taken to ensure safe and secure use and maintenance of sensitive personal information.	Data breaches or unauthorised access to customer data could lead to legal liabilities, including lawsuits from customers, regulatory investigations, financial penalties and damage to reputation leading to reduction in customer retention.	Generating value for customers (pages 54-61) Delivering excellence through Governance (pages 62-67)	Updated data privacy practices as per Digital Personal Data Protection Act (DPDPA), 2023 Privacy notice for EU customers aligned with GDPR **

● Risk* ● Opportunity#  Customers  Company  Colleagues  Community **Foundation** **Growth** **Ecosystem**

³Financial implications are -ve | ⁴Financial implications are +ve | ⁵GRI 3-2 | ⁶BSR, Section A, Question 26 describing rationale for identifying a material topic as risk or opportunity, approach to adapt or mitigate and the financial implications of the risk or opportunity | ⁷GRI 3-3 | ⁸The performance is indicated for the Bank wherever it is not mentioned specifically. The static figures mentioned in the KPIs are as on 31st March, 2025. The period figures mentioned are for FY 2024-25. | ⁹General Data Protection Regulation guidelines

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
Business Ethics			
Ethical conduct of business, including taxation and accounting, anti-corruption, anti-money laundering, anti-competitive practices, insider trading and intellectual property issues.	Ethical business practices strengthen our reputation, help manage risks and play an important role in attracting and retaining both employees and customers.	Delivering excellence through Governance (pages 62-67) Empowering Colleagues (pages 98-111)	Percentage of employees who acknowledged adherence to Code of Conduct (CoC): 99.8% Total employee training hours on Anti-money laundering: 1 million+ hours
Corporate Governance			
Covers Board and management effectiveness and integrity, succession planning, remuneration policies and practices, reporting and audit of financial and non-financial information that promotes high level of transparency, accountability and Board oversight.	Failure to uphold strong governance practices can pose significant risks to operations, financial performance and the long-term success of the organisation. It may lead to financial penalties, reduced access to capital and diminished stakeholder trust.	Delivering excellence through Governance (pages 62-67) Report on Corporate Governance (pages 349-401)	Comprehensive succession planning policy ensuring seamless transition Percentage of Independent Directors on the Board: 55% Number of Directors with expertise on Risk Management: 5 Average Board meeting attendance: 95%
Customer Centricity			
Enhance customer experience and satisfaction and address customer expectations via product innovation, efficient processes, digital solutions, user friendly interfaces, easy access to products and services, fair marketing practices and efficient complaint resolution.	Enhancing customer experience and satisfaction can help Kotak improve customer retention, increase revenue, differentiate the Bank from its competitors, build a strong brand image, increase customer base and reduce costs.	Generating value for Customers (pages 54-61)	Reduction in Net complaints ^{**} : 28% YoY Automated resolution through APIs of: 40% of service requests Disability friendly infrastructure: 980+ ATMs and 650+ branches

● Risk*

● Opportunity[#]

Customers



Company



Colleagues



Community

Foundation

Growth

Ecosystem

*Financial implications are -ve | [#]Financial implications are +ve | ⁴BRSR, Section A, Question 26 describing rationale for identifying a material topic as risk or opportunity, approach to adapt or mitigate and the financial implications of the risk or opportunity | ⁵The performance is indicated for the Bank wherever it is not mentioned specifically. The static figures mentioned in the KPIs are as on 31st March, 2025. The period figures mentioned are for FY 2024-25 | ^{**}Net Complaints are total complaints excluding the complaints which are resolved within 0 & 1 working Days

Stakeholder Engagement and Materiality Assessment

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
Brand Recognition			
Enhance the brand image, presence and reputation to boost stakeholder confidence and goodwill.	Positive brand reputation and presence help attract and retain customers and other stakeholders such as investors, employees and shareholders. A positive reputation can also help minimise the impact of macroeconomic risks.	Generating value for Customers (pages 54-61)	Growth in Customer base: 6% YoY Growth in customer assets: 13% YoY**
Employee Development and Engagement			
Invest in training, upskilling, leadership development and succession planning to nurture, advance and retain talent. Initiatives to improve collaboration and mutual respect, towards creating an open and approachable work culture.	Encouraging learning, development and an open work culture presents an opportunity to boost employee engagement, retention and performance. It also helps lower hiring costs, enhance the organisation's reputation, attract top talent and build a lasting competitive advantage.	Empowering Colleagues (pages 98-111)	Average person hours of training: 49.5 hours Increase in investments in training and development^{##}: 29%
Formulation of an ESG Roadmap (ESG Stewardship)			
Specify and communicate a forward-looking ESG trajectory, including targets and commitments for promoting sustainability across portfolio and operations.	Indicating a strategic roadmap demonstrates commitment to responsible business practices, enhancing brand reputation and financial performance. This would also inform our stakeholders about our contribution to national goals and commitments on climate and sustainable development.	Embracing Sustainability (pages 78-97)	Oversight of a Board committee on ESG strategy Published our aspiration to have women represent one-third of our workforce to improve gender diversity. Board-approved frameworks on Green and Sustainable finance

● Risk* ● Opportunity#  Customers  Company  Colleagues  Community  Foundation  Growth  Ecosystem

*Financial implications are -ve | #Financial implications are +ve | ⁴BRSR, Section A, Question 26 describing rationale for identifying a material topic as risk or opportunity, approach to adapt or mitigate and the financial implications of the risk or opportunity | ⁵The performance is indicated for the Bank wherever it is not mentioned specifically. The static figures mentioned in the KPIs are as on 31st March, 2025. The period figures mentioned are for FY 2024-25. | ⁶**Customer Assets comprise Advances (incl. IBPC & BRDS) and Credit Substitutes | ^{##}This includes cost of training staff, subscription for e-learning modules and conferences etc

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
Diversity, Equity and Inclusion			
Run programmes and activities to hire, mentor and support employees for promoting workforce diversity, equity and inclusion. Provide equal and fair treatment, remuneration and advancement opportunities to all employees. 	Promoting diversity, equity and inclusion (DEI) amongst employees can provide numerous benefits, including increased innovation and creativity, enhanced reputation, better risk management and compliance with regulations.	Empowering Colleagues (pages 98-111)	Percentage of women workforce at the Group: 26.4% ; at the Bank: 26.0% Share of women workforce in Senior Management at the Group: 8.5% ; at the Bank: 8.1% Percentage reduction in turnover rate of permanent women employees: 19% YoY
Employee Health and Well-Being			
Provide a safe workplace and proactively address health and safety related concerns through trainings, safety drills, ergonomics, insurance, daycare, etc. 	Promoting employee health, safety and well-being enhances employee productivity and minimises absenteeism, employee turnover and hiring costs.	Empowering Colleagues (pages 98-111)	ISO 45001:2018 certified offices: 8 Percentage of workforce covered by OHSMS (ISO 45001:2018) certified premises: 20% Percentage of our workforce operating from LEED/IGBC certified premises: 25%
Promoting Green Finance			
Providing products, services and incentives to depositors and borrowers for mobilising capital towards positive environmental and climate impact. Strengthen the systems and build capacities to raise and deploy green and climate finance. 	Promoting green finance could help build trust among conscious stakeholders, reduce exposure and losses arising from climate risks and support transition to a low carbon economy.	Embracing Sustainability (pages 78-97)	Increase in electric four wheeler loans by KMPL in FY 2024-25: 66% Green asset book as on 31 st March, 2025 ⁵ : ₹7,900 +cr⁵

Stakeholder Engagement and Materiality Assessment

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
ESG and Climate Risk Management in Lending and Investments			
Integrating ESG screening and due diligence into the evaluation of potential borrowers and transactions, while managing our investment and advances portfolio through scenario analysis and climate risk stress testing.	Considering ESG and climate risk management in lending and investment aligns with global sustainability guidelines, mitigates financial risks, enhances reputation and fosters long-term value creation. Addressing these factors proactively reinforces stakeholder trust and resilience in the face of evolving policies and technologies.	Embracing Sustainability (pages 78-97)	ESG Management Systems Plan has been revamped in FY 2024-25 to enhance the ESG risk evaluation of eligible transactions Transition risk assessment on pilot basis for Power and Cement sectors
Financing Inclusion and Social Development			
Promoting financial inclusion via ensuring availability and access to financial services and providing financial literacy for unbanked and underbanked people. Extending financial services to contribute to positive societal good such as education, nutrition and healthcare.	Promoting financial inclusion is an opportunity to access new markets, generate new revenue streams, improve reputation and also contribute to economic development.	Embracing Sustainability (pages 78-97)	Active microcredit women borrowers as on 31 st March, 2025 at the Group: ~ 23 lakh Financial literacy camps conducted: 4,100+ Percentage of women in the lending base of BSS and Sonata: 100%
Operational Eco-efficiency and Resilience to Climate Change			
Optimising energy and water use, along with reducing greenhouse gas emissions and waste and investments in environmentally sustainable programmes to promote efficiency in operations. Organisation's operational readiness to handle chronic and acute climate incidents, such as temperature rise and floods/cyclones respectively.	Operational eco-efficiency can help meet regulatory requirements, enhance reputation, reduce costs and increase revenue. Efforts to become resilient to climate change can contribute to business continuity.	Embracing Sustainability (pages 78-97)	Share of renewable electricity used by the Bank: 5.5% LEED/IGBC certified premises: 16

● Risk*
● Opportunity[#]
 Customers
 Company
 Colleagues
 Community
Foundation
Growth
Ecosystem

^{*}Financial implications are -ve | [#]Financial implications are +ve | ⁴BRSR, Section A, Question 26 describing rationale for identifying a material topic as risk or opportunity, approach to adapt or mitigate and the financial implications of the risk or opportunity | ⁵The performance is indicated for the Bank wherever it is not mentioned specifically. The static figures mentioned in the KPIs are as on 31st March, 2025. The period figures mentioned are for FY 2024-25. | ⁶As on 28th February, 2025

Description	Rationale for materiality and management approach ⁴	Section of the report covering management approach ^{4,5}	Our performance ⁶
Policy Advocacy			
Provide views and ideas to help develop regulations and policies for building sustainable practices in the industry.	Contributing to the development of regulations and policies could be an opportunity to demonstrate commitment to responsible governance, reduce regulatory risk, enhance collaboration and improve brand and reputation.	Delivering excellence through Governance (pages 62-67)	Active participation as part of industry associations
Community Well-being			
Programmes to address the developmental needs of communities through CSR programmes and donations.	By investing in community development, organisations can make a positive impact on the communities and contribute to the long-term sustainability of business operations. This can result in stronger relationships with communities.	Supporting Communities (pages 112-121)	Group's CSR expenditure: ₹ 389.3 cr ⁷ CSR beneficiaries ^{**} : 14.6 lakh+ for the Group
Supply Chain Sustainability			
Engaging with service providers on sustainability. Integrate sustainability in sourcing decisions.	Meaningfully engaging with the supply chain can foster stronger and longer partnerships that create business value and contribute to business continuity. Sourcing sustainably demonstrates commitment to environmental stewardship and social responsibility.	Embracing Sustainability (pages 78-97)	Purchases by value from MSME vendors: 20%

● Risk*

● Opportunity*



Customers



Company



Colleagues



Community

Foundation

Growth

Ecosystem

*Financial implications are -ve | *Financial implications are +ve | ⁴BRSR, Section A, Question 26 describing rationale for identifying a material topic as risk or opportunity, approach to adapt or mitigate and the financial implications of the risk or opportunity | ⁶The performance is indicated for the Bank wherever it is not mentioned specifically. The static figures mentioned in the KPIs are as on 31st March, 2025. The period figures mentioned are for FY 2024-25. | ⁷Inclusive of transfer to Unspent CSR Account, administrative overhead and impact assessment. | ** We estimate CSR beneficiaries based on data provided by the implementing agencies and some of them may not be unique.

Strategy

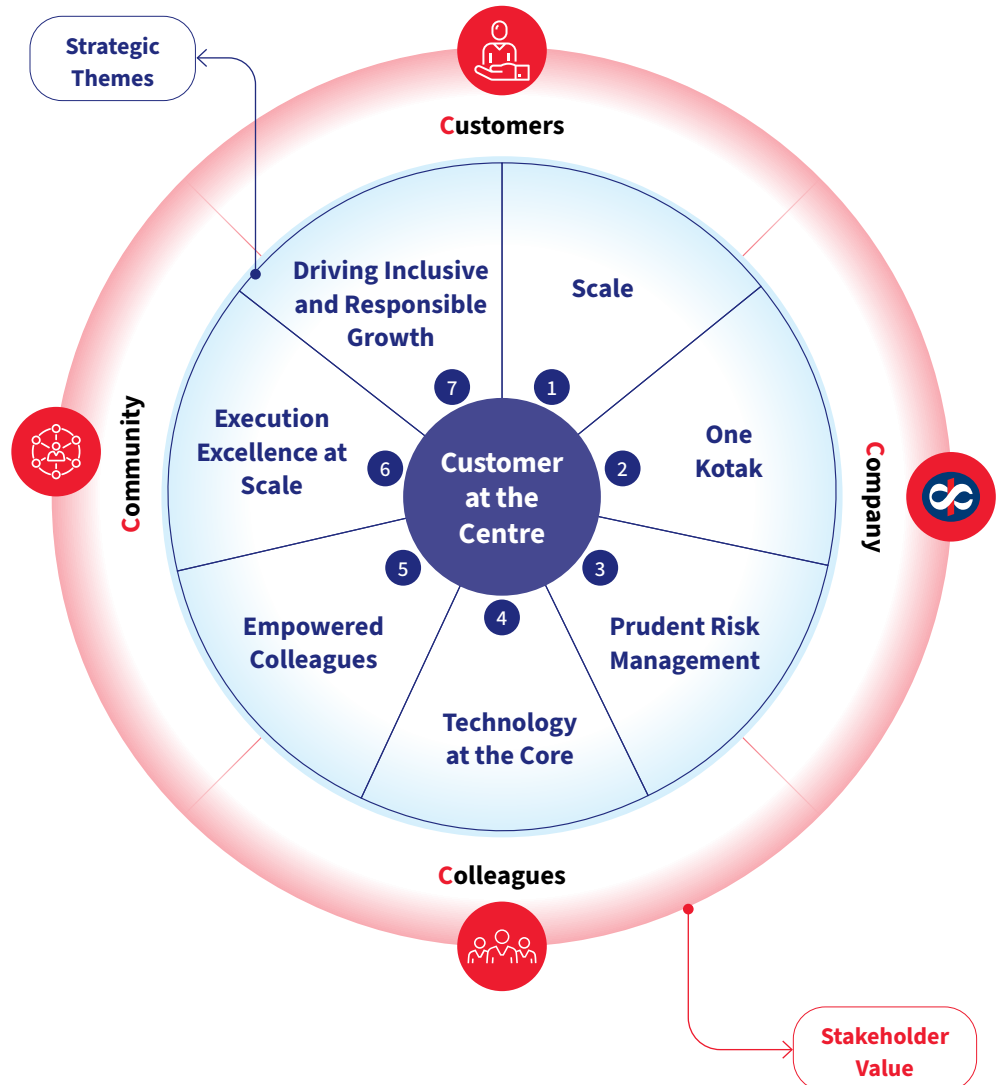
Transforming for scale

Our strategic initiatives are designed with the customer at the centre of our focus. ‘Do right by the Customer’ is the guiding principle behind the ongoing evolution in our product propositions, customer service initiatives and customer experience journeys across physical, digital and voice interactions with the Bank.

We designed our strategy across a set of seven strategic themes last year and continue to drive these initiatives forward:

- 1 Scale**
Powered by organic initiatives, partnerships and inorganic initiatives
- 2 One Kotak**
Meeting the holistic needs of the customer by drawing on the capabilities of the Group
- 3 Prudent Risk Management**
Ensuring a sustainable risk-reward relationship
- 4 Technology at the Core**
Ensuring that systems and platforms are best-in-class
- 5 Empowered Colleagues**
A diverse, engaged and productive workforce
- 6 Execution Excellence at Scale**
Driving efficiency
- 7 Driving Inclusive and Responsible Growth**
Driven by the highest standards of compliance and ESG

The progress of the Bank in its strategic initiatives is reflected through the value delivered to all of our stakeholders i.e., **C**ustomers, **C**ompany, **C**olleagues and **C**ommunity. We measure this progress through the ‘**4C framework**’ as outlined subsequently in this section.





Scale

Powered by Organic Initiatives, Partnerships and Inorganic Initiatives



Relevant Material Topics

Customer Centricity
Brand Recognition
Financing Inclusion and Social Development

Contribution to SDGs



Capital Linkage



Organic Initiatives: We believe that our path to scale has three key levers:

- ★ **Best-in-Class Customer Service:** The core tenets pivotal to the delivery of excellent customer experience are: speed and simplicity, transparency, consistency, resilience and a seamless omnichannel experience - all of which are supported by a strong backbone of technology and digital platforms.
- ★ **Focused Propositions:** This involves stitching together strong product and service bouquets designed for specific customer cohorts.
- ★ **Deep Engagement:** This entails meeting the customer needs holistically by leveraging product capabilities across the Group.

We further believe that the convenience of digital banking experience and the trust of branch presence are among the most important factors influencing the customer's choice of bank. This helps expansion of reach while enabling multi-modal customer engagement and service delivery. This shall be enabled through the following:

- ★ **Expanding Access:** We will drive our distribution network across all three modes – branch, digital and voice. This will enable deeper, omnichannel engagement with customers, resulting in higher growth in the retail deposit base, in particular current, savings and ActivMoney deposits, all of which aid in maintaining a competitive cost of deposits. In addition, our large and engaged customer base is expected to aid asset growth and distribution growth across businesses, especially across the retail, commercial and MSME segments.
- ★ **Digital Capabilities:** We recognise the importance of digital capabilities for scaling up the pace of customer acquisition and providing a best-in-class customer experience. With a promise of quick account opening through an entirely digital journey, at any time of day, our digital capabilities are instrumental in driving acquisition of savings account

customers. As part of our core digital focus, we continue to invest towards improving our digital touchpoints like Web and Mobile banking including the new Kotak banking app, Kotak811 app (Our full-stack digital banking proposition for a billion Indians), Kotak Neo (Our securities trading platform), Kotak Cherry (Our unified investments platform) and Kotak fyn (Our digital platform for banking needs of enterprise customers) for different customer segments to create simplified, technology-driven journeys for customer acquisition and servicing across many other products as well.

- ★ **Leveraging Technology to Power Scale:** We are fully committed to ensure that Technology infrastructure is resilient to empower aspirations of growth at scale. To achieve this, we will continue to invest in technology for both infrastructure and applications with a dual objective- 'run the Bank' and 'change the Bank'. During the year, the Bank overhauled its core banking architecture, reducing the system load to improve reliability of the system at scale, improved observability of the platform through central observability platform, cybersecurity, data privacy and integrity through specific Personally Identifiable Information frameworks. In addition to the Tech infrastructure investments, we have also created a highly capable tech organisation which will be critical to ensure the Bank is agile and nimble in the ever-evolving digital landscape.

Partnerships and Inorganic Initiatives: To help us scale faster, we actively seek opportunities in line with our internal framework for partnerships and M&A, such as businesses or assets that either enable us to expand our market share (e.g. the acquisition of ₹ 3,330 crore Personal loans portfolio of Standard Chartered Bank in FY 2024-25, strengthening our presence in the unsecured loan segment and giving access to 80,000+ customers in the Affluent segment); allow entry into an industry, customer or geographic segment that we are currently not present in; or empower us to provide new capabilities.

Strategy



One Kotak

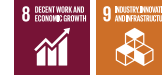
Meeting the Holistic Needs of the Customer



Relevant Material Topics

Customer Centricity
Brand Recognition

Contribution to SDGs



Capital Linkage



We have identified certain high value customer segments and seek to meet their needs holistically.

The Group manufactures and distributes a variety of products across its integrated and diversified businesses, offering financial products across 'Pay, Save, Borrow, Invest, Protect' needs through a combination of the Bank, subsidiaries and associate companies. Through a 'One Kotak' approach, we

have revamped our entire product design philosophy through a Customer segment lens. This enables the Bank to seamlessly stitch together different bouquet of services for different customer segments in order to best meet the holistic needs of that segment. This helps deepen customer relationships and enables the Bank to become the primary banking partner for these focus customer segments.



Prudent Risk Management

Ensuring a Sustainable Risk-Reward Relationship



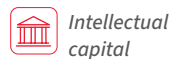
Relevant Material Topics

Data Security and Resilient IT Systems
Data Privacy
ESG and Climate Risk Management in Lending and Investments

Contribution to SDGs



Capital Linkage



We intend to pursue sustainable and efficient growth through right quality asset at risk adjusted pricing:

Advances Growth with Healthy Risk-reward Balance:

Our strategy is centred on risk adjusted returns with a sharp focus on return on capital across our various businesses. The Consumer lending business across secured and unsecured business lines, along with the SME lending businesses, are expected to remain a key driver of our overall growth strategy. We aim to meet our Priority Sector Lending targets by providing financing for tractors, small enterprises, allied agricultural activities and microcredit for women borrowers. The core focus of the wholesale business is to acquire quality customers and

deliver customised solutions in trade finance, forex and cash management through efficient technology platforms backed by high-quality service.

Risk Management: At its core, we consider the Bank to be a 'risk management Company empowered by technology'. Strategy for risk optimisation on unsecured credit involves continuous enrichments in high-quality model-based risk frameworks, while going from strength to strength in traditional areas of touch-and-feel credit and treasury risk management. With the emergence of newer risks in the area of cybersecurity, operations and technology, we will continue to double down on our focus towards strengthening and building appropriate guardrails.



Technology at the Core

Ensuring that Systems and Platforms are Best-in-Class



Relevant Material Topics

Data Security and Resilient IT Systems
Data Privacy
Customer Centricity

Contribution to SDGs



Capital Linkage



Intellectual
capital

We will continue our journey to provide best-in-class digital interface and processes at speed.

Speed, Simplicity and Transparency: We are working on mapping, automating and digitising customer journeys across the ecosystem of products and services, in both physical and digital worlds. The operating philosophy behind the revamp is to make our journeys faster, simpler, more intuitive and more well-informed for the customer. We have launched unified digital onboarding journeys across multiple Bank channels, including web, mobile and assisted onboarding. The platform, which seamlessly integrates with KYC components, risk assessment components and drop-off management, is already live for New-to-Bank Savings account onboarding and existing-to-bank Personal Loan journeys, with other similar journeys across product segments under implementation.

Best-in-Class Digital Banking Experience: We have launched the revamped mobile-banking app and Kotak811 app to make it more user friendly, intuitive, faster and safer.

The new versions offer best-in-class digital experience, optimised to reduce number of clicks for many frequently used services, secure transactions and several other banking services at the fingertips of our customers including easy intuitive spend analysis to empower our customers to manage their finances. We will continue to invest in digital transaction channels for enhancing customer acquisition, servicing and transaction processing capability, especially across payments and transfers.

Leverage Digital Public Infrastructure: The rail roads for Digital Public Infrastructure in India have become wider and stronger with the advent and success of key government initiatives under India Digital Stack (UPI, Digilocker, Account Aggregator, ONDC and others). We are completely focussed on unlocking the full value that each of these initiatives can create for our customers, duly complemented by our initiatives on advancing our analytics and underwriting engine and using direct and proxy data. Together, these shall enable personalised and well-informed customer outcomes.



Empowered Colleagues

A Diverse, Engaged and Productive Workforce



Relevant Material Topics

Employee Health and Well-being
Employee Development and Engagement
Diversity, Equity and Inclusion

Contribution to SDGs



Capital Linkage



Human
Capital

Our colleagues are our biggest asset and ambassadors. As the organisation of the future is evolving both in terms of structure and composition, we are preparing ourselves with the right

human capital to navigate the complexities of the modern world, enhance employee satisfaction and performance and drive sustainable growth. The pathway to this is a well-rounded

Strategy

strategy which enriches the colleague value proposition, learning and development towards career growth, culture of transparency and recognition.

- ✦ **Colleague Value Proposition:** We are committed to providing best-in-class colleague value proposition based on five pillars:
 - Providing the 'Best of Kotak for Kotakites and their families – offering differentiated/ best-in-class products and services to colleagues
 - People development through continuous learning, leadership development and skill enhancement
 - Recognising and celebrating colleagues
 - Transparent communication philosophy

- Enhancing value proposition for each distinctive employee group

- ✦ **Organisation of the Future:** Further, we are designing an organisation for the future by:

- Hiring the best and driving harmonious integration with 'Kotak culture'
- Continuing to invest in tech, digital, analytical and propositional talent
- Developing pipeline of future leaders and focusing on addressing turnover rate
- Fostering professional entrepreneurship within the organisation



Execution Excellence at Scale

Driving Efficiency



Relevant Material Topics

Regulatory Compliance
Customer Centricity
Employee Development and Engagement
Operational Eco-efficiency and Resilience to Climate Change

Contribution to SDGs



Capital Linkage



Intellectual capital

We continue to leverage technology for scalability while also ensuring time and cost-efficient operations. We have revamped our internal processes to enable the customer to 'Do-It-Yourself' (DIY) and empowering our workforce with tech-enabled tools like 'Straight through Processing' frameworks to efficiently service the growing customer base, improving productivity and turnaround times. Some of the key focus areas are:

Operational Efficiency: We continue to expand our market share across businesses, bringing scale-led efficiency. Additionally, we will continue to invest in various digital initiatives and technology infrastructure to acquire customers and enrich service delivery, thereby optimising associated costs on a per unit basis. This will also make internal operations more efficient. Revamped customer journeys and process re-engineering initiatives will further help us achieve deeper relationships and cost efficiencies associated with lean

processes. The Bank has launched *Voice Channel* for managing customers that may need assistance in their DIY journeys without requirement of branch visits.

Employee Productivity: We endeavour to consistently improve employee productivity levels and have identified technology, automation and straight-through-processing as critical enablers to achieve this objective. Automating repetitive tasks not only helps in reducing costs, but creates customer delight leading to an increased customer wallet-share and improved operating leverage. We are also focus on placing the right tools in the hands of our colleagues, especially at the front lines, to enrich the quality of engagement with customers, thereby enabling superior outcomes.

We are also implementing Gen AI led processes for our employees to efficiently service customers, including Kotak AI-powered Virtual assistants for automatic, prompt resolution of

routine customer queries. We have also introduced two Agentic AI tools to improve our employee productivity – ‘Kompanion’ – a conversational AI agent for the frontline staff and ‘Koder’ – for our software developers.

Capital: We plan our capital with the objective of meeting regulatory and business requirements, while striking a balance between risk-reward on the capital to be deployed. We will continue to maintain Tier-I capital in excess of the regulatory requirements and will continue to ensure that the Credit-to-Deposit ratio remains within acceptable levels.



Driving Inclusive and Responsible Growth

Driven by Highest Standards of Compliance and ESG



Relevant Material Topics

- Regulatory Compliance
- Promoting Green Finance
- Financing Inclusion and Social Development
- ESG and Climate Risk Management in Lending and Investments
- Operational Eco-efficiency and Resilience to Climate Change
- Formulation of an ESG Roadmap
- Community Wellbeing

Contribution to SDGs



Capital Linkage

- Financial capital
- Natural capital
- Social and Relationship Capital

We will continue to strengthen the compliance framework, lead efforts in responsible banking and create impact beyond banking.

Financial Inclusion: Our asset growth strategy continues to focus on granular, high-quality and sustainable businesses. We continue to increase the base of Jan Dhan accounts to lower-income groups, distribute government-sponsored lending/insurance schemes and offer services such as Aadhar Enabled Payment Systems through our branch and Business Correspondent (BC) network. Our digital ecosystem has further opened opportunities to offer financial services to a vast population by leveraging the partner network. We continue to explore fintech partnerships for new use cases and business models.

Compliance: We will continue to follow a comprehensive compliance framework to ensure adherence to all the regulatory requirements at all times. We maintain transparency in communication with stakeholders, including customers, employees, investors and regulators.

Sustainable and Responsible Banking: We continue to focus on addressing carbon footprint and promoting resource efficiency. We have board approved frameworks for green and sustainable finance in place and are working on strengthening our approach to addressing ESG and climate risks in our portfolio and operations. We have been publishing detailed ESG disclosures since FY 2021-22 and have since received Gold Award for Sustainability reporting in services sector by ICAI for two consecutive years and featured among India's Most Sustainable Companies by Businessworld.

Strategy

We measure the progress of our strategy in driving value to our stakeholders through the '4C framework'



Customers

Across businesses, key outcomes that we pursue are:

- ✦ Building trust with customers
- ✦ Enhancing customer engagement
- ✦ Scale in customer base

Success is measured typically through parameters such as growth in customer base, market share, NPS, product holding, among others.

At the overall Bank level, the number of customers increased to 5.3 crore as on 31st March, 2025, as against 5.0 crore as on 31st March, 2024. This was primarily led by acquisitions in the Consumer and Commercial Bank businesses. During the year, R-NPS score, a measure of customer trust and therefore willingness to refer the Bank to others, saw an increase by 7 points*. Kotak fyn, our platform geared towards SME and Enterprise clients saw a growth of 72% YoY in customer base.



Colleagues

Key outcomes that we pursue are:

- ✦ Engaged and enabled colleagues
- ✦ Productive workforce
- ✦ Diversity

We have been recognised among India's Top 100 Best Companies to Work (2024 and 2025), as one of the Best Employers among Nation Builders (2022 to 2025) and among Top 50 India's Best Workplaces in BFSI (2024 and 2025) by Great Place to Work® (GPTW).

As a measure of colleague engagement, the Bank received a 75%+ score in the Annual Employee Pulse Survey. Further, our focus on employee engagement led to a drop in turnover rate from 39.6% in FY 2023-24 to 33.3% in FY 2024-25 at the Bank. Additionally, 21% of our senior management of the Bank has > 20 years tenure with the Group.

Some of the highlights of the GPTW Survey – Dec'24 are as follows:

79% of employees say –

'I feel a sense of Pride when I look at what we accomplish at Kotak'

78% of employees say –

'I would say this is a great place to work taking everything into account'

76% of employees say –

'I feel I make a difference at Kotak'

78% of employees say –

'I recommend my manager as effective people manager, taking everything into account'

We have 25%+ women employees. We aim to foster and encourage diversity further through supportive policies appropriate for various life-stages.

*Improvement in score over the period July 2023 to March 2025



Company

Key outcomes that we pursue are:

- ✦ Sustainable growth
- ✦ Value creation
- ✦ Capital efficiency

One of the key drivers of sustainable growth is the quality of deposit franchise. Our deposit base is highly granular with 78% of total deposits being CASA and TDs that are less than ₹ 5 crore as on March 2025. Our CASA ratio has declined marginally to 43% in FY 2024-25 and Cost of Funds was 5.1%* which is competitive vis-à-vis peer private sector banks.

We witnessed 13.5% YoY growth in total net advances, driven by Mortgage loans (Home loans and Loans against property), Retail personal and business loans, Small and medium enterprise loans and Business Banking loans. Prudent and timely risk management measures have enabled our asset quality to remain stable despite the broader industry trends. The Gross NPA and Net NPA of the Bank is 1.42% and 0.31%,

respectively, as of 31st March, 2025 (compared to 1.39% and 0.34%, respectively, as on 31st March, 2024).

Our consolidated Balance sheet overall is well capitalised at 23.3% CRAR, with healthy return on assets of 2.7% and return on equity of 15.2% for FY 2024-25.

Some of the awards received by the Bank during FY 2024-25 include

- ✦ India's Best Bank for Large Corporates by Euromoney Awards for Excellence 2024
- ✦ Best Transaction Bank in India and Best Cash Management Bank in India by The Asian Banker Transaction Finance Awards 2024
- ✦ Best Private Sector Bank by FE Best Banks Awards 2024



Community

Key outcomes that we pursue are:

- ✦ Inclusive growth
- ✦ Responsible growth

We continue to focus on financial inclusion and saw 35% growth in number of active Jan Dhan Accounts with the Bank, ~₹ 15,000 crore+ PSL eligible advances over regulatory requirement.

We are also committed to community well-being and focus our efforts to enable access, build resilience, promote inclusion and contribute to institution building through our CSR programmes in education, livelihood enhancement, entrepreneurship and innovation, healthcare, environment, relief and rehabilitation and sports.

We have launched Kotak BizLabs (Bank's accelerator programme for early revenue stage startups in India), awarded 7,600+ scholarships towards education and supported 11,000+ cancer patients. We are committed to building institutions that go beyond immediate impact – rooted in excellence, built to scale and designed to serve generations.

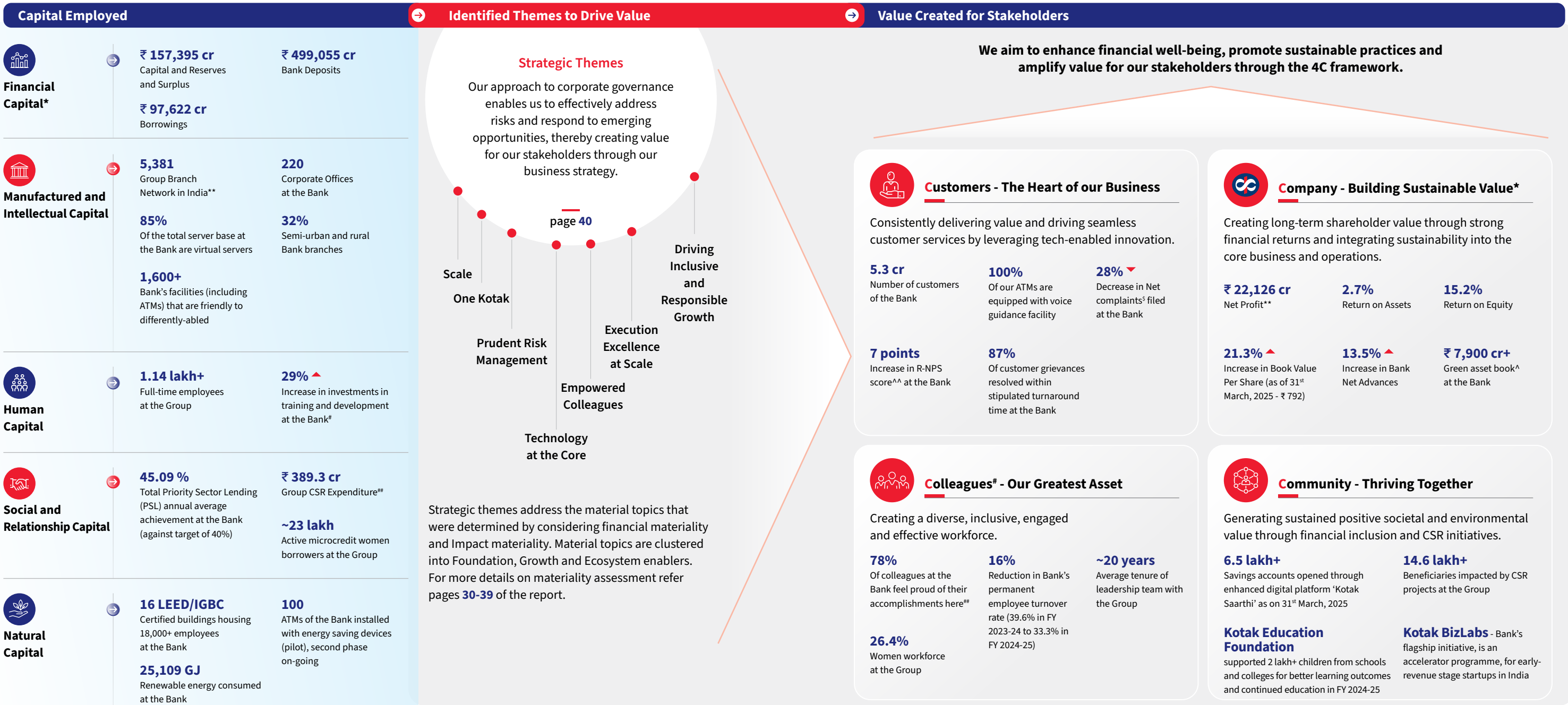
In FY 2024-25, we received the following awards for performance on ESG:

- ✦ #4 India's Most Sustainable Companies in Banking by Businessworld 2024
- ✦ India's Top 50 Most Sustainable Companies by Businessworld 2024

In essence, our strategy is focussed on Transforming for scale – an over-arching focus on 'Doing right by the customer', driven through the seven strategic themes enabling value creation for all our 4C stakeholders. Our commitment is to consistently progress against these goals.

Value Creation Model

Perceiving value through the 4C framework



Awards and Accolades

Recognition of Excellence



Recognition for Business Excellence

Kotak Mahindra Bank

- ✦ **Best Large-Cap Company (Gold)** by FinanceAsia's Best Companies Poll 2025
- ✦ **India's Best Bank for Large Corporates** and **India's Best Service for Trade-Domestic Bank** by Euromoney Awards for Excellence 2024
- ✦ **India's Best Investment Bank for Financing** by Euromoney Awards for Excellence 2025
- ✦ **Best Transaction Bank in India, Best Cash Management Bank in India** and **Best Payment Initiative** by The Asian Banker Transaction Finance Awards 2024
- ✦ **Best Private Sector Bank** by FE Best Banks Awards 2024
- ✦ **Large Enterprises Segment** under Services Sector by FE CFO Awards 2024
- ✦ **Best Private Bank, Highly Commended in India** by the Asset Triple A Private Capital Awards 2024
- ✦ **Best Private Bank, Highly Commended in India** by PWM & The Banker Global Private Banking Awards 2024

Kotak Securities

- ✦ **Broker of the Year Award (India)** by ASSOCHAM Branding & Marketing Summit cum Excellence Awards 2024
- ✦ **Best performer in Equity-Primary Market Segment** by BSE 2024
- ✦ **Leading Member of the Exchange** at MCX Awards 2025

Kotak Mahindra Capital Company

- ✦ **Ranked #1 in India in the Equity Capital Markets (ECM) category** by Bloomberg League Table - CY2024 for the **3rd consecutive year***
- ✦ **Best Equities House, India** by Euromoney Securities Houses Awards 2024
- ✦ **Asian Bank of the Year** and **India Equity House of the Year** by IFR Asia Awards 2024
- ✦ **Best Equity Deal** and **Best Acquisition Financing** by The Asset Triple A Country Awards 2025
- ✦ **Ranked #1** in the LSEG Asia IPO League Table - CY2024
- ✦ **Ranked #1** Investment Bank in advisory by Bloomberg League Table, FY 2024-25, by total deal value**
- ✦ **Only Indian Investment Bank to be featured** in the LSEG Global Equity League Table - CY2024

*Source: Bloomberg League Table – ranked by deal volume & market share in India | **Total deal value does not include the transactions where value is not disclosed, Bloomberg data as on 28th April, 2025



Recognition for Technology and Digital Prowess

Kotak Mahindra Bank

- ✦ Wholesale Banking Group won **Digital Bank of the Year – India** by The Asset Triple A Digital Awards 2025
- ✦ Kotak fyn won **Platinum Award in Channel Innovation** at Infosys Finacle Innovation Awards 2024
- ✦ Kotak Private won **Digital Private Bank of the Year – India** by The Asset Triple A Digital Awards 2025

Kotak Securities

- ✦ **Best Use of Data Analytics in Marketing** by ASSOCHAM Branding & Marketing Summit cum Excellence Awards 2024

Kotak Alternate Assets Management

- ✦ Kotak Cherry won **Best Digital Wealth Management Experience - India** by The Asset Triple A Digital Awards 2025
- ✦ Kotak Cherry won **Best Customer Experience Solution** by FinTech India Innovation Awards 2025



Recognition for Employee Excellence and Learning Initiatives

- ✦ **Shanti Ekambaram** (Deputy Managing Director - Kotak Mahindra Bank) received **Future Female Icon Award 2025** at CNBC-TV18's The Women's Collective
- ✦ **Nilesh Shah** (Managing Director - Kotak Mahindra Asset Management) received **Lifetime Achievement Award** by Navabharat
- ✦ **Manoj Gupta** honored with **CA Business Leader Award in the Large Corporates, BFSI Segment** at the 18th ICAI Awards



Recognition for Harnessing Talent and Culture

- Kotak Mahindra Bank**
 - ✦ **Top 100 India's Best Companies to Work for 2025**, as well as **Top 50 India's Best Workplaces in BFSI 2025** and **one of the India's Best Employers Among Nation Builders 2025** by Great Place to Work®
- Kotak Securities**
 - ✦ **India's Best Workplaces in Investment 2025** by Great Place to Work®
- Kotak Life Insurance**
 - ✦ **Best Organisations For Women 2025** Award by ET Now



Recognition for Sustainability

- Kotak Mahindra Bank**
 - ✦ **India's Top 50 Most Sustainable Companies** by Businessworld 2024
- ✦ **#4 India's Most Sustainable Companies in Banking** by Businessworld 2024



Recognition for Brand and Marketing

- Kotak Securities**
 - ✦ **Customer Engagement Campaign of the Year** by ASSOCHAM Branding & Marketing Summit cum Excellence Awards 2024
 - ✦ **Best Digital Marketing Campaign Award** at The Great Indian BFSI Awards 2024
- Kotak Mutual Fund**
 - ✦ **Most Effective Use of OTT / Digital** by E4M Pitch BFSI Marketing Awards
 - ✦ **Excellence in Mobile Advertising** at FINIXX Awards 2024
- ✦ **Most Effective Use of OTT / Digital** by DATAMATIXX Awards 2024
- ✦ Kotak Mutual Fund at MOBEXX Awards 2024
 - ✦ **Excellence in data-driven social media marketing & content marketing**
- ✦ Kotak Mutual Fund at DIGIXX Awards 2024
 - ✦ **Best Brand Integration (YouTube)**
 - ✦ **Best Social Content Campaign**
 - ✦ **Best Creative Strategy in Digital**
 - ✦ **Best Use of Video**

Sustainability Snapshot

Customers

Achievements

28%

Reduction YoY in net complaints* at the Bank

30%

Of Bank's ATMs are differently-abled friendly

> 40%

Improvement in RNPS® scores of Affluent and NR Customers** at the Bank

40%

Of service requests automated for faster complaint resolution at the Bank

Initiatives

Customer

Centric initiatives such as 811, Customer 360 and Voice channel⁵

Care Index

For service quality monitoring through key channels

Training

Front-line staff for proactive prevention of fraud

Grievance Redressal

Strengthened with 11-member Internal ombudsman support desk working with 3 Internal ombudsmen



Colleagues

Achievements

26.4%

Gender diversity at the Group

16%

YoY reduction in employee turnover at the Bank

78%

Employees** take pride in being a part of the Bank

49.5 Hours

Average person hours of training at the Bank

Initiatives

Aspiration

To have women represent one-third of our workforce

5 pillars

of employee development through talent engagement

ISO 45001:2018

certified offices - eight

Diversity

Initiatives such as Women re-launch programme



*Net Complaints are total complaints excluding the complaints which are resolved within 0 & 1 working Days | ⁵ Voice channel is an initiative to ensure seamless integration between Digital(digital platforms), Phygital (virtual relationship managers, live support, etc.) and Physical(branches and relationship managers). Further 'Digital Powerhouse' section of the report on pages 24-25 | **Period of calculation is from September 2024 to March 2025 | ^{##} respondents to the Great Place To Work® survey

Company

Achievements

27%

Board gender diversity

> 20%

Of Bank's workforce operating from ISO 45001:2018 certified premises

₹ 7,900+ cr

Green assets* as on 31st March 2025 at the Bank

~20 years

Average tenure of leadership team with the Group

Initiatives

ISO 27001

Certified Information Security and Management Systems of the Bank

Integrating ESG

Considerations in Credit and Risk management processes

5.5%

Share of renewable electricity used by the Bank

Open Access

Renewable energy to power some of the larger office premises and rooftop solar to power five bank-owned premises



Community

Achievements

2 lakh+\$

Children from schools and colleges supported by Kotak Education Foundation

7,600+

Scholarships awarded for continuation of education of school and college students

~19,000\$

Differently abled beneficiaries for better education, healthcare & livelihood

11,000+\$

Cancer patients supported

Initiatives

Kotak BizLabs

accelerator programme for early-revenue stage startups in India

1.5 lakh+

Saplings creating mini forests

15

Women-specific CSR programmes

6

Flagship Institutions / Programmes built and/or under development



* As per green activities/projects indicated in RBI's 'Framework for acceptance of Green deposits' issued in April, 2023, based on internal mapping. |

§ We estimate CSR beneficiaries based on data provided by the implementing agencies and some of them may not be unique

Generating Value for Customers

Re-imagining Customer Experience

At Kotak, we remain steadfast in our commitment to fostering enduring customer relationships through our customer-first philosophy. By seamlessly integrating advanced digital capabilities with deep market intelligence, we strive to deliver superior customer satisfaction. Our expanding portfolio of digital products and solutions is designed to meet the diverse and dynamic needs of customers across segments. Whether it is simplifying everyday banking (Makkhan jaise smooth banking) or supporting the financial dreams and aspirations of our customers (Hausla hai toh ho jayega), we are focused on delivering a holistic customer experience — one that is seamless, responsive and future-ready.

Key Highlights*

28%

Reduction in Net complaints**

40%

Of service requests automated through API

87%

Customer grievances resolved within stipulated turnaround time#

6%

Growth in the Bank's customer base from 5 crore to 5.3 crore



Material Topics Covered

- + Customer Centricity
- + Data Privacy
- + Brand Recognition

Contribution to SDGs



Capital Linkage

-  Social and Relationship Capital
-  Intellectual Capital

“

If you get it right by the customer, everything else will fall into place. If you don't get it right by the customer, then nothing else matters. ”

Ashok Vaswani

MD & CEO
Kotak Mahindra Bank Limited

*at the Bank | ** Net Complaints are total complaints excluding the complaints which are resolved within 0 & 1 working Days | #In comparison to 80% in FY 2024-25

In an increasingly digital and interconnected world, we recognise that customer expectations are rapidly evolving. Our strategy is focused on proactively anticipating these needs and embedding customer-centricity into every aspect of our operations, from policy design to service delivery and from product innovation to effective grievance redressal.

Our governance framework reinforces this commitment towards our customers. The Board-level Customer Service Committee (CSC) plays a pivotal role in shaping our customer experience strategy, monitoring both qualitative and quantitative indicators such as digital engagement, resolution effectiveness and first-contact resolution. This data-driven oversight ensures that customer feedback is not only heard but also acted upon, driving continuous improvement across the Bank. Our service excellence framework integrates real-time feedback from multiple channels, directly linking it to frontline performance and accountability.

Our investments in resilient systems and global-standard data security protocols reflect our belief that safeguarding customer data is fundamental to trust. Simultaneously, we continue to evolve our digital platforms to offer intuitive, accessible and empowering experiences that enable customers to bank on their terms, with confidence and ease.

To institutionalise a culture of empathy and responsiveness, we implemented a suite of customer-centric policies which embed responsibility and transparency across the organisation. The details of the policies are available in our BRSR disclosures on

pages **503-506**. These efforts are complemented by structured engagement with customers and internal stakeholders, ensuring that every touchpoint is aligned with our broader digital transformation agenda.

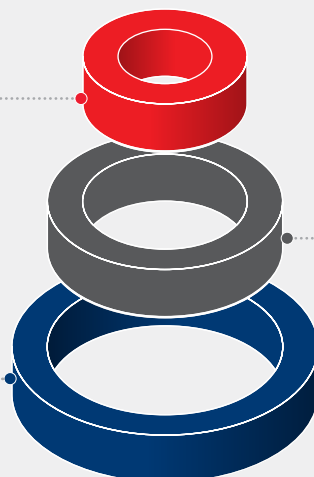


Kotak generates and delivers value to its customers through three strategic levers

Customer-Centric Innovation that anticipates and addresses evolving needs



Enhanced Grievance Resolution that builds trust through proactive, transparent and technology-enabled prompt resolution, turning moments of dissatisfaction into opportunities for building loyalty



Superior Customer Experience that ensures consistent, seamless, secure and personalised interactions



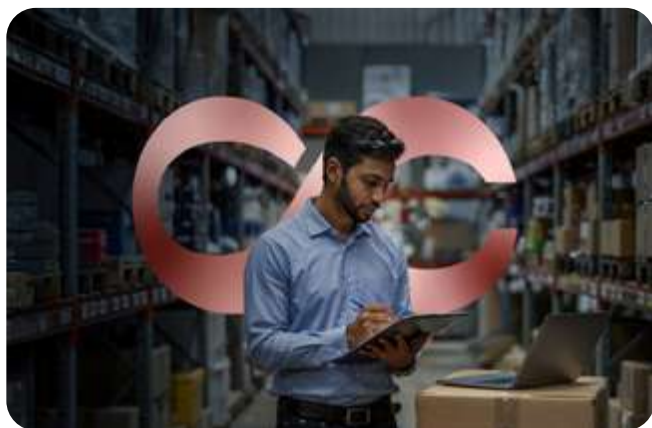
Generating Value for Customers

Customer-Centric Innovation

Our consumer banking initiatives are anchored in delivering inclusive, personalised and empowering experiences for customers. Through innovative approaches such as Customer 360, we are identifying new engagement opportunities with our customers to become a holistic partner to address their financial needs. By leveraging advanced analytics, we are enabling our frontline teams with monthly customer-level insights for over 3 million customers. Initiatives such as R360 model are helping us improve frontline productivity and thereby driving customer centricity.

Our efforts in strengthening digital infrastructure, exemplified by the launch of our new digital banking app and expansion of DIY investment journeys, enhanced accessibility and convenience for millions of customers. Initiatives such as 811, Voice channel* and enhanced contact centre capabilities bridged digital and human touchpoints, ensuring seamless service across all channels. Further details on innovation and progress towards digital transformation agenda in FY 2024-25 is covered in detail under 'Digital Powerhouse' section of the report on pages 24-25.

Innovation is not just about new products for us. It is about creating meaningful ecosystems that empower our customers to thrive. We introduced a specialised Hardship Assistance Programme, a proactive initiative that reimaged traditional lending through the lens of empathy and adaptability. This programme offers eligible customers tailored support during financial stress, providing them with flexible payment options and temporary relief to ease their debt burden. By enabling customers to navigate short-term challenges without compromising long-term financial stability, we are reinforcing our belief that innovation must be both human-centered and impact-driven.



*Voice channel is an initiative to ensure seamless integration between Digital(digital platforms), Phygital (virtual relationship managers, live support etc.) and Physical(branches and relationship managers). Further details in 'Digital Powerhouse' section of the report on pages 24-25

Superior Service Experience

In today's dynamic and competitive banking landscape, customer experience is more than just a service function, it is a strategic differentiator. We have elevated our Customer Experience team into a Centre of Excellence, embedding it as a critical pillar of our organisational fabric. This team plays a pivotal role in capturing, analysing and acting on customer feedback across all segments, ensuring that every voice is heard and every insight is translated into meaningful action.

We adopt a multi-channel strategy to raise customer awareness tailored to product, segment and campaign needs. Our outreach includes digital marketing, mass media and branch-level promotions, complemented by financial education content and influencer collaborations. Customer engagement and collection of feedback are through various direct and indirect modes such as:



Regular Net Promoter Score (NPS) surveys



Retail banking surveys conducted every six months



Social media sentiment analysis



Operational insights during execution of transactions



Annual surveys that are conducted across wealth management, SME, commercial and wholesale banking segments

The insights gathered through these engagements are more than diagnostic; they are directional. They help us identify areas of opportunity, prioritise improvement and ensure we consistently deliver on and exceed customer expectations.

We leverage the Net Promoter Score (NPS) framework as a strategic tool to continuously assess and enhance customer experience. By tracking both Relationship NPS (R-NPS) and Transactional NPS (T-NPS), we gain a nuanced understanding of customer sentiment from an overall brand perception to specific service interactions. As a result of our efforts, we recorded a 17 point increase in R-NPS score for consumer banking (Improvement in score over the period July 2023 to March 2025) and more than 40% improvement in R-NPS scores of Affluent and NR Customers from September 2024 to March 2025.



Our customer-first philosophy is further reinforced by clearly defined service-level targets which are monitored rigorously across the organisation to drive accountability and excellence. Some of the key initiatives towards improving customer experience were:



Technology

We introduced several technology-driven enhancements in FY 2024-25. The implementation of the Transaction Authorisation System (TAS) significantly reduced turnaround times for NEFT, RTGS and fund transfer transactions, enabling faster processing and improved service delivery.



Responsible Debt Collection

We institutionalised a Responsible Debt Collection Policy, supported by a structured training programme for all empanelled vendors. This initiative emphasises key principles such as adherence to the Code of Conduct, effective escalation handling and appropriate behavioural protocols. The training ensured that every vendor adopted a consistent, systematic and customer-sensitive approach.



Service Quality Monitoring

The Care Index is a performance benchmarking tool that tracks customer satisfaction at the branch level and fosters a culture of accountability across our network. The Care index evaluation takes into consideration various parameters essential for delivering world class services at our branch touchpoints.



Personalised Customer Journey

Recognising the pivotal role of start-ups in shaping India's economic future, we deepened our engagement with the entrepreneurial community through strategic partnerships and on-ground presence. In FY 2024-25, we signed three Memoranda of Understanding (MoUs) with leading start-up incubators and accelerators and actively participated in over 17 ecosystem events in collaboration with institutions such as IIT Madras and ICAI. These initiatives are designed to foster dialogue and co-create solutions for emerging businesses. In parallel, we continue to embed innovation into everyday customer journeys through our WhatsApp Chatbot for Merchant Support. This initiative simplifies service delivery, enabling merchants to raise and track service requests directly through a familiar real-time messaging platform.



Responsible Advertising

The Bank is committed to fair, transparent and responsible advertising that empowers customers to make informed financial decisions. All customer-facing communication undergoes a structured review process involving product, legal, compliance and brand teams to ensure regulatory alignment and factual accuracy. Our marketing practices adhere to guidelines issued by the RBI, the SEBI and the IRDAI and all messaging clearly discloses product features, terms and disclaimers. We prioritise transparency and avoid misleading claims or over-promising, reinforcing our commitment to ethical and customer-centric communication. Our employees underwent over 2,50,000 hours of training that includes fair advertising policies and procedures in FY 2024-25.

Generating Value for Customers



Proactive Prevention of Fraud

We provide weekly learning series and annual certifications to educate branches on safe banking practices such as prevention of fraud. This facilitates proactive protection of customers from negative experiences, protection of customer interests and delivery of better service quality through confident interactions.

Measures taken by Branch staff in detecting and preventing frauds are also highlighted internally to create awareness and encourage the staff to be extra vigilant, especially towards vulnerable sections such as senior citizens. The common modus/scenarios identified, are detailed to Branch staff and customers and they are encouraged to report a fraud or any suspicious activity, using the Bank's fraud reporting helpline or the government cybercrime helpline. The effectiveness of our awareness programmes is reflected through real time instances of staff preventing fraudulent transactions and providing timely alerts to customers. Such proactive efforts of employees are also recognised via 'Hall of Fame' and 'Hawk Eye' mailers to appreciate them and inspire other employees.



Customer stories

At one of our Hyderabad branches, a potential fraud amounting to approximately ₹ 30 lakh was successfully averted due to the vigilance and coordinated efforts of our frontline staff. When a senior citizen customer requested premature closure of a term deposit and an immediate RTGS transfer, our staff sensed unusual behaviour and escalated the matter.

Upon further engagement, it was discovered that the customer had been coerced by fraudsters impersonating law enforcement officials. The branch team acted swiftly by declining the transaction, maintaining communication with the customer's spouse, involving a trusted family friend and alerting the customer's children abroad. After sustained efforts, the customer was convinced of the fraudulent nature of the threat.

This incident underscored the impact of our fraud awareness training and the critical role of frontline staff in protecting vulnerable customers through proactive, empathetic intervention.

At one of our branches in Pondicherry, a high-value fraud attempt involving ₹ 75 lakh was successfully intercepted through the vigilance and persistence of our branch team. A long-standing HNI customer arrived in a visibly distressed state, urgently requesting a large RTGS transfer. His behaviour raised immediate red flags as he was evasive, uncommunicative and appeared to be under external pressure. When verbal communication proved ineffective, the team resorted to written notes to discreetly assess the situation.

The branch contacted the beneficiary bank, which confirmed suspicious activity in the recipient account. Further engagement revealed that the customer had been coerced via a video call by fraudsters impersonating government officials. The team's calm, methodical approach which was grounded in recent internal fraud awareness training, ultimately convinced the customer to disengage and report the incident.

Their timely intervention not only prevented a significant financial loss but also reinforced the customer's trust in the Bank's commitment to their safety and well-being.

Enhanced Grievance Resolution

We recognise that a truly sustainable customer relationship is built on responsiveness and reliability. Our multi-channel 3-tiered grievance redressal mechanism shown below, is built on a foundation of transparency.



Our grievance redressal process is structured across two escalation levels, ensuring that every voice is heard and every issue is addressed with the seriousness it deserves. In line with the Reserve Bank of India's guidelines, we have also institutionalised the role of an Internal Ombudsman which is an independent authority whose decisions are binding on the Bank.

This reinforces our commitment to fairness, impartiality and regulatory compliance.

The Salesforce CRM system has empowered our frontline teams with real-time access to customer information and enabling faster and more accurate resolution of issues. The system ensures end-to-end tracking, categorisation and root-cause analysis of every complaint, turning data into actionable insights that drive continuous improvement.

In FY 2024-25, we reinforced our grievance redressal framework by fortifying our Internal Ombudsman support desk with 11 members, who work closely with the 3 Internal Ombudsmen to effectively address escalated issues. We also updated issue resolution policies and processes pertaining to ATM and cash related disputes.

To ensure transparency, we have implemented a rigorous tracking system. Every complaint is assigned a Turnaround Time (TAT), which is communicated to the customer at the time of registration. Our Bank has a dedicated team that plays a pivotal role in analysing customer complaints, identifying root causes and driving targeted interventions across policy, process and technology.



Generating Value for Customers



In addition to the quarterly review with Customer Service Standing Committee and the CSC, we have established a monthly complaints review at the leadership level of the Bank, involving the respective Product and Business heads on a regular basis. An Outstanding Complaints Ageing Report is regularly published and monitored by a specialised team, which reports the complaint trends quarterly to the Board-level CSC and the regulator. We have also institutionalised the practice of publishing case studies on customer escalations with the objective of disseminating learnings through sharing practical experience, thereby driving awareness, accountability and continuous improvement in service excellence.

We continue to lay strong emphasis on promoting self-service options, both across our digital platforms and within our branches. By empowering customers with intuitive on-demand tools, we are making everyday banking faster, simpler and more accessible.

Our subsidiaries have implemented robust mechanisms to facilitate smooth customer experience and grievance redressal.

KSL has embraced a structured and insight-driven approach to enhance customer satisfaction and service quality. A formal service recovery mechanism ensures that unresolved issues are addressed comprehensively, while detractor feedback is systematically analysed to generate actionable insights. These insights are shared across relevant functions such as operations, product and training to drive targeted improvements. Additionally, KSL channels process-related feedback to its process improvement team, ensuring continuous refinement of service delivery. In FY 2024-25, KSL further strengthened its customer sentiment framework by expanding in-app feedback touchpoints and implementing a interaction CSAT (customer satisfaction score) model, enabling real-time, post-interaction insights that support more responsive and personalised engagement.

Impact

Our initiatives mentioned so far are delivering measurable impact. Our AI- and ML-powered tools proactively identified potential escalations and helped resolve issues before they intensified. Additionally, validations and automated execution of service requests through APIs streamlined the service request journey, resulting in 40% of requests being processed

automatically. These interventions supported by a dedicated Kaizen team, led to 28% YoY reduction in net complaints and 9.13% YoY decrease in Banking Ombudsman complaints. These initiatives also contributed to the increase in R-NPS score that measures overall customer satisfaction.

The measures undertaken and the impact outlined above reflects our commitment to eliminate the root cause of the issues rather than just resolving them. This approach has transformed grievance redressal mechanism into a catalyst for continuous innovation and operational resilience.

At Kotak, customer satisfaction is not just a metric — it is a mindset that drives all our decisions. By embedding innovation, resilience, agility and empathy into our service ethos while we are resolving problems, we are also simultaneously building a stronger and more responsive Kotak for the future.



Delivering Excellence in Governance

Our Guiding Principles

We believe effective corporate governance is the solid foundation upon which organisational success can be built. Accordingly, we are committed to upholding the highest standards of integrity, transparency and accountability across our business operations. We have established a robust governance framework that ensures our policies, systems and procedures effectively communicate our values, priorities and strategic objectives throughout the organisation.



Key Highlights

27%

Board gender diversity

~20 years

Average tenure of leadership team with the Group

ISO/IEC 27001

Certified Information security management system

Material Topics Covered

- ♦ Regulatory Compliance
- ♦ Corporate Governance
- ♦ Business Ethics
- ♦ Data Security and Resilient IT Systems
- ♦ Data Privacy
- ♦ Brand Recognition

Contribution to SDGs



Capital Linkage



Social and Relationship Capital



Intellectual Capital

Corporate Governance

Our governance approach is guided by four core principles: accountability, responsibility, independence and transparency. These principles are reinforced by a diverse and independent Board of Directors, comprehensive and transparent policies, robust risk management framework and advanced cybersecurity measures. By combining these elements, we foster a culture of integrity, transparency and responsible banking practices that benefits all stakeholders. This framework not only fosters stakeholder trust but also ensures regulatory compliance and drives long-term sustainability as we pursue excellence.

The Bank's Board of Directors (Board) plays a vital role in safeguarding and enhancing shareholders' capital. To achieve this, our Board has, amongst other things, fostered effective management, inculcated compliance culture, adopted best practices and nurtured responsible leadership. We have also adopted several key policies that underpin our governance framework.

The Bank's Policy on Board Diversity aims to ensure a diverse and inclusive Board, bringing varied perspectives and expertise to inform strategic decision-making. Our Vigilance Policy promotes integrity, transparency and accountability within the organisation, while our Whistle Blower Policy encourages open reporting of concerns and fosters a culture of compliance. We also have a comprehensive Policy against Sexual Harassment in the Workplace, ensuring a safe and respectful work environment for all.

Additionally, our Policy for Determination of Materiality of Events or Information ensures timely and accurate disclosure of material information to stakeholders, while our Code of

Conduct in Dealing in Securities, prohibits insider trading. These policies are an integral part of our governance framework. The Bank has put in place a Succession Plan Policy with a view to ensure a continuous pipeline of internal and external talent of Executive Directors, Key Managerial Personnel and Senior Management Personnel.

Further details on our policies can be found on pages **503-506** of this report.

Composition of the Board¹

Our Board has 55% independent directors and 27% gender diversity. Our directors are highly respected professionals in their respective domains, well-aware of their fiduciary duties and dedicated to meeting the expectations of all stakeholders. Our directors bring a unique blend of skills, expertise and perspectives for informed strategic decision-making and drives the success of our organisation. The composition of the Board can be found in Directors' Report on pages **309-311** of this report.

Our Board has established a number of Board and Management committees to focus on specific areas and oversee activities that meet the organisation's long, medium and short-term goals. These committees have been delegated powers for various functional areas and provide oversight and support to the Board in fulfilling its responsibilities. Details of Board committees of the Board of Directors can be found on pages **363-386** in the Report on Corporate Governance forming part of the Directors' Report.

Roles and Responsibilities of the Vigilance Unit



Fostering a Culture of Ethics²

We have established a framework to communicate our values, priorities and strategy across the organisation. Our policies are periodically reviewed to reflect changing needs and ensuring compliance with regulatory requirements and industry best practices.

Our Code of Conduct (CoC) serves as the foundation for our ethical framework, guiding all stakeholders interactions and promoting integrity, professionalism and mutual respect. Employees receive CoC training upon joining and are also required to confirm adherence to the same annually.³ We empower our employees to champion responsible behavior through regular training sessions and awareness-building initiatives.

Our anti-bribery and anti-corruption philosophy is enshrined in the CoC and the Vigilance Policy. The Anti-Money Laundering (AML) Policy, including stringent Know Your Customer (KYC) guidelines, undergo annual review by our directors. A dedicated function oversees anti-corruption measures. A Code of Conduct on Dealing in Securities guides responsible share trading practices. In FY 2024-25, the Bank's employees had undergone trainings on anti-corruption policies such as AML standards and KYC norms for Banking and Insurance, completing over 1 million training hours. For a comprehensive overview of our key policies, refer to pages **503-506** of the report.

Our Vigilance Policy, approved by the Board, outlines roles and responsibilities of a Management level Vigilance Committee and an independent vigilance function and ensures effective implementation of anti-corruption measures across the organisation.

¹GRI 405-1 | ²GRI 2-23, GRI 2-24, GRI 3-3, GRI 205-2 | ³GRI 402-1

Delivering Excellence in Governance



As part of our vigilance mechanism, internal operating guidelines delineate appropriate conduct and approval processes. We have a Board-approved delegation matrix for expense and credit approvals in place, which is reviewed regularly. We also use automated workflows for purchase orders, payments and credit approvals which helps in minimising errors. We conduct background checks and credit credential checks for new employees. Additionally, the business units and functions define their internal policies and processes, the adherence to which is monitored by the Internal Audit and Risk Control Unit (RCU) teams.

A vigilance clearance is required for transition of employees to high-risk roles. High value fraud cases are reported to a Special committee of the Board for monitoring and follow-up of frauds. This committee ensures accountability, monitor trends in fraud cases, delays in fraud reporting and pendency in staff accountability in fraud cases. This committee also review the mitigating measures taken by Bank to strengthen internal controls and oversees fraud risk management framework to

minimise the fraud risk. Refer to 'Management's Discussion and Analysis' section of the report on page [452](#) for further details on fraud risk management.

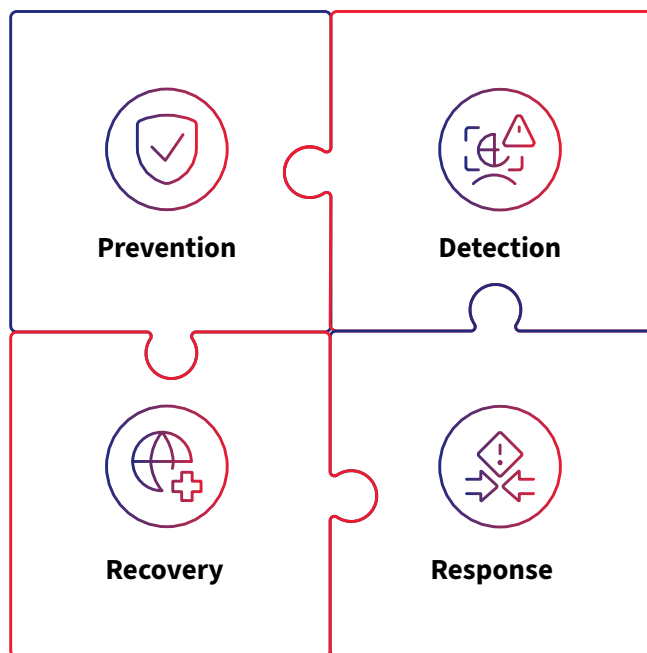
The Whistleblower Policy is readily available on our intranet and website and we promote awareness through regular communications, including email updates and employee training programmes. Employees are encouraged to report any unusual events or concerns immediately through our Whistleblower Policy, which provides a confidential and secure channel for raising genuine concerns about activities that may constitute fraud, malpractice, unethical business conduct, violations of laws, rules, regulations and judicial directives, impropriety, abuse or wrongdoing. There were no recorded legal actions related to anti-competitive behavior in FY 2024-25, demonstrating our commitment to fair business practices. The policies, procedures and practices of our subsidiaries align with the Group's overall values and principles.

Cybersecurity and Data Privacy

As technology continues to evolve and cyber threats grow in complexity, the Bank remains committed to cybersecurity and data privacy as core pillars of its IT governance framework. We believe that protection of sensitive information and assurance of uninterrupted service are critical to continue serving millions of customers across multiple digital touch-points.

Our governance framework for managing technology and cybersecurity risks is structured around a three-line defence system, as detailed below:

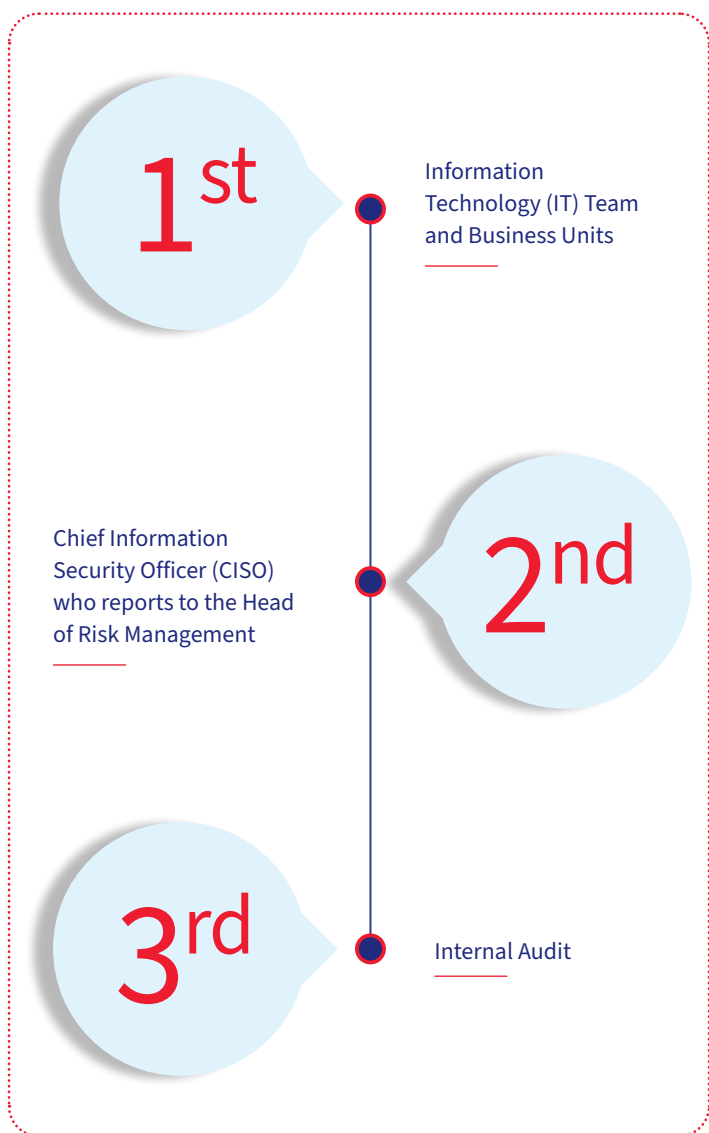
We have established clear controls and mechanisms to identify and address cybersecurity risks. Specifically, we have implemented controls in the following areas:



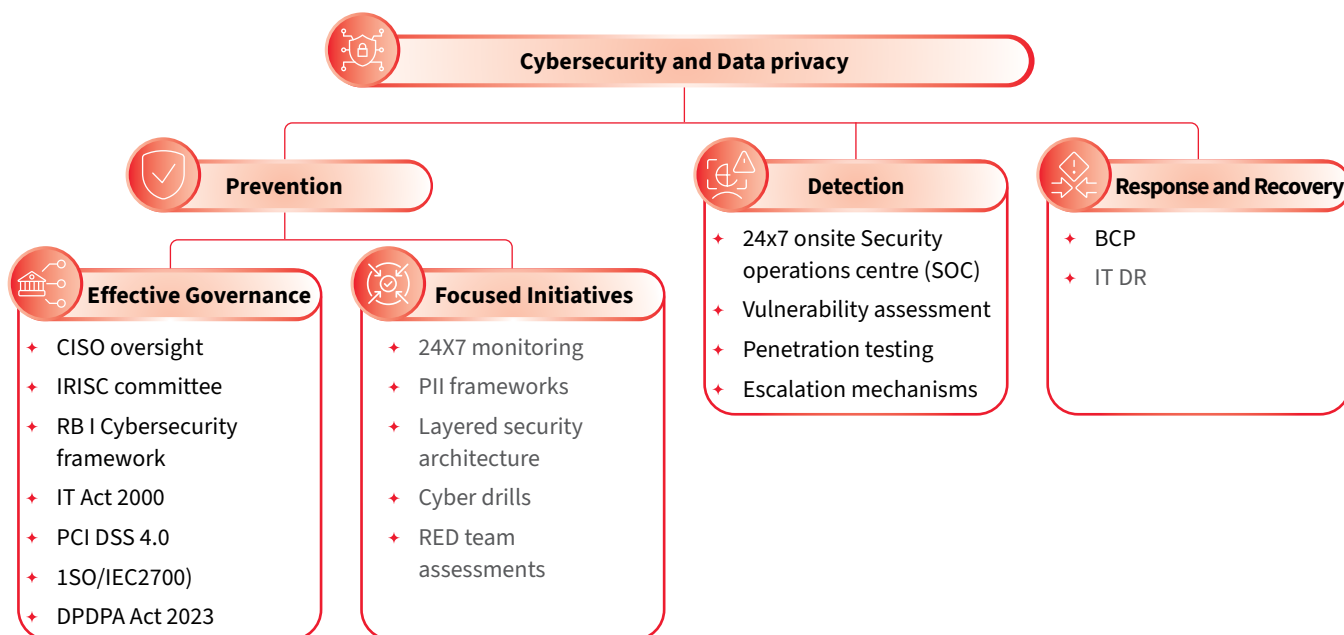
Prevention through effective Governance

Our Board-approved Information Security and Cybersecurity Policy is regularly updated to comply with regulatory guidelines and industry best practices. The policy guides us to proactively monitor internal and external infrastructure and applications to detect and respond timely to any alerts and vulnerabilities. We conduct periodic vendor security assessments to protect the Bank's and customer data. We also have a well-defined Information and Cybersecurity organisational structure to reinforce governance. The Chief Information Security Officer (CISO), leads the oversight of our cybersecurity strategy, ensuring that our digital operations remain secure, compliant and customer-centric.

The IT Risk and Information Security Committee (IRISC) oversees the Bank's overall security posture and operates under a Board-sanctioned policy framework, which is reviewed annually. The Bank maintains full compliance with Indian regulatory standards, including the RBI Cybersecurity Framework, IT Act 2000 and PCI DSS 4.0. We are certified under ISO/IEC 27001 for our Information Security Management System demonstrating our commitment to maintaining the highest



Delivering Excellence in Governance



standards of information security in accordance with globally recognised best practices.

Our Data Privacy Policy governs the collection, use, retention, transfer and destruction of personal data, setting clear expectations for employees and third parties. A dedicated Data privacy office within the Risk Management Unit oversees these efforts, ensuring alignment with the Digital Personal Data Protection Act (DPDPA), 2023.

Prevention Through Focused Initiatives

Real-time monitoring forms a cornerstone of our cybersecurity operations. Critical applications, databases and network devices are continuously monitored, generating about 4 million metrics per minute. These metrics are fed into a centralised incident management and alerting system, enabling proactive service-level monitoring, rapid incident detection and swift resolution.

Additionally, we have upgraded our technical infrastructure to be resilient, secure and trustworthy. We have also made significant investments to modernise our core banking system and strengthen our in-house engineering capabilities. These efforts have reduced our dependency on external vendors, thereby enhancing control over customer data.

The Bank has implemented robust data protection measures, including defined Personally Identifiable Information (PII) frameworks, advanced encryption standards and stringent user access controls. These measures are complemented by improvements in patch and change management, IT strategy

committee governance, vendor oversight and regulatory compliance processes.

The Bank has implemented a layered security architecture designed to detect, prevent and recover from cyber threats such as denial-of-service attacks, malware intrusions and data breaches. Our 24x7 security operations team continuously monitors the IT infrastructure to ensure rapid identification and response to potential threats. To strengthen external threat management, advanced solutions have been deployed to enhance visibility and control over the Bank's attack surface. Critical and high-severity vulnerabilities are addressed immediately, ensuring minimal exposure and operational continuity. Additionally, we conduct cyber drills and RED team assessments to rigorously test and validate the effectiveness of our security controls, reinforcing our commitment to resilient and secure digital banking.

Detection

A dedicated, onsite 24x7 Security Operations Centre (SOC) ensures constant vigilance against data breaches and cyberattacks. The Bank conducts regular scenario-based testing to assess and enhance its preparedness. Our incident management procedure outlines clear protocols for managing and recovering from security incidents, ensuring a coordinated and effective response.

We conduct security assessments of new software vendors, software and hardware, during onboarding as well as on ongoing basis. We also perform external assessments such

as Vulnerability Assessment (VA) and Penetration Testing (PT), along with internal assessments like Vulnerability Assessment and Configuration Audit (VACA), Dynamic Application Security Testing (DAST) and Static Application Security Testing (SAST), all aligned to the Bank's security standards. We have an escalation mechanism in place, through which our colleagues can raise concerns pertaining to information and cybersecurity to the Bank's 24x7 Security monitoring team or email at security.incident@kotak.com.

In FY 2024-25, we observed no substantiated privacy grievances, underscoring the effectiveness of our controls and vigilance.

Response and Recovery

We maintain a dedicated email channel for cybersecurity concerns to support incident reporting. Our layered technology architecture, along with robust Disaster Recovery (DR) and Business Continuity Plans (BCP), enables effective management of operational risks and ensures continuity of service under all conditions.

The Bank has an IT DR plan and drill calendar which defines the frequency of DR drills for critical and non-critical applications. The IT DR Plan specifies the Recovery Time Objective (RTO). RTO is the period of time within which IT infrastructure, systems, applications and databases must be recovered at the DR site. The Bank has demonstrated its capability to move all critical and dependent business and infrastructure applications to DR site and operate from there for extended periods. This has been tested thrice in FY 2024-25.

Trainings Provided To Augment IT Security

We provide comprehensive induction training, including dedicated modules on cybersecurity awareness to all our new employees. We also have mandatory annual refresher courses on information security for all staff. In addition, the Information Risk Management (IRM) and Chief Information Security Officer (CISO) teams regularly share security updates and best practices, fostering a culture of awareness across the organisation. We have targeted awareness sessions to help employees identify phishing attempts and malicious software.

All Bank employees are required to complete the Information Security course annually on MyLearn, the Bank's Learning Management System. This initiative ensures a consistent and organisation-wide understanding of data protection practices, reinforces a culture of cybersecurity across the ecosystem. We embed cybersecurity awareness and governance excellence across all levels of the Bank. Our Board is regularly updated on key cybersecurity matters, reinforcing oversight and alignment with best-in-class practices. In FY 2024-25, ~72,000 employees of the Bank completed cybersecurity training, collectively accounting more than 76,000 training hours. The training equipped the employees with essential knowledge to identify cyber threats and uphold the Bank's cybersecurity standards.

To further strengthen vigilance, we also conduct periodic phishing awareness exercises. These initiatives form a part of our broader commitment to business ethics and sound corporate governance, which guide every aspect of our operations and decision-making. Our processes are designed to uphold the highest standards of integrity, transparency and accountability.



Institutionalising Risk Resilience

Safeguarding stakeholder interests

We consider risk management as a cornerstone of strategic planning and a core competence. Ensuring sound management of risks through timely identification, assessment and management is of utmost importance to us. Risk Management is integral to our operations and our approach towards risk is designed to align the outcomes of our risk-taking activities with our strategic goals as well as risk tolerance. We achieve this by maintaining a balanced approach, ensuring that risks are managed prudently to optimise shareholder value.

Key Highlights*

0.31%

Bank's Net NPA

23.30%

Group's Capital Adequacy Ratio

135.46%

Group's Liquidity Coverage Ratio

115.71%

Group's Net Stable Funding Ratio

Material Topics Covered

- ✦ Data Security and Resilient IT Systems
- ✦ ESG and Climate Risk Management in Lending and Investments
- ✦ Operational Eco-efficiency and Resilience to Climate Change

Contribution to SDGs



Capital Linkage



Financial Capital



Intellectual Capital



Governance mechanism

We are committed to an integrated risk management approach that supports our strategic planning. Through a proactive and disciplined process of risk identification, assessment and mitigation, we ensure that all business activities are aligned with our core objectives, risk appetite and capital allocation strategies. As on 31st March, 2025, the Bank and its major entities continue to maintain a strong financial profile, sound asset quality, robust liquidity and capital adequacy, as reflected in our current 'AAA' credit ratings.

*The values are as on 31st March, 2025

The Enterprise-wide Risk Management (ERM) framework provides a unified and integrated approach to managing risks, enabling the group to balance risk and return while driving long-term sustainability, shareholder value creation and financial strength. The framework also supports delivery of customer-centric products and services. The ERM policy, which guides the ERM framework, forms the basis for risk management across the group, with tailored modifications for individual businesses. A suite of policies and procedures supports this framework, providing clear guidelines for managing specific risks and aligning risk mitigation with business objectives. By integrating risk management into our core operations, we ensure a balanced approach that maximises opportunities while minimising potential losses. Refer to 'Management's Discussion and Analysis' section of the report on page 444 for further details on ERM framework.

The Group Chief Risk Officer (CRO), appointed by the Board, reports directly to the MD & CEO and heads the independent risk

function in the Bank. The risk management team comprises of several units, that are responsible for managing different kinds of risk and report to the CRO. Detailed reports related to the performance in relation to risk appetite are presented by the CRO to the Board and its Risk Management Committee (RMC) on a quarterly basis. The RMC and the Board are professionally qualified to discharge their responsibilities, equipped with deep industry knowledge, skills, experience, professional qualifications and relevant technical as well as financial acumen in risk and related disciplines.

Our Bank has implemented the Three Lines of Defence model for risk management, establishing a robust and transparent governance framework that includes active involvement of both the Board and senior management. This framework ensures a unified understanding of risk across the organisation, promoting a collaborative approach to risk identification, assessment and mitigation.

First Line of Defence: Business Lines

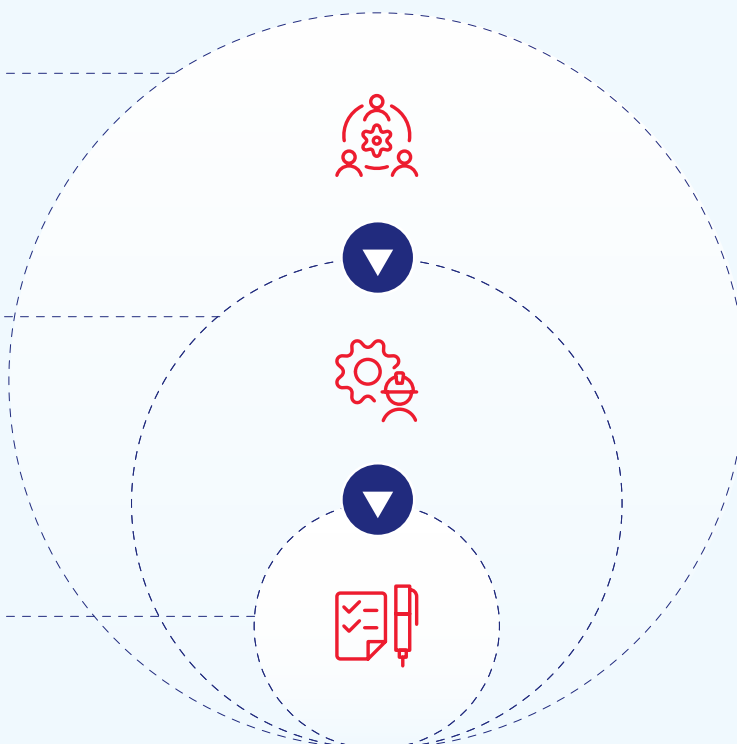
Business units assume risk-taking positions, managing risk within approved frameworks and boundaries.

Second Line of Defence: Risk Management, Finance and Compliance

This line provides independent review, challenge and oversight of the first line. It sets risk management frameworks, policies, appetite and limits that must be adhered to by the first line. It also monitors risk exposure, reviews risks and ensures senior management and the Board are informed.

Third Line of Defence: Audit Function

The audit function provides independent assurance on internal controls, risk management and processes through the first two lines. This function conducts regular assessments and reports to a Board-level audit committee.



Institutionalising Risk Resilience

Risk Management

Our Group conducts Internal Capital Adequacy Assessment Process (ICAAP) analysis annually. This provides a comprehensive view of overall risks and assesses the capital required to mitigate them. The ICAAP findings are reviewed by senior management and approved by the Board. There are two critical components of risk management - Risk appetite framework and Stress testing.

- ✦ The Risk Appetite framework outlines the acceptable levels of risk the Group is willing to assume in support of its strategic objectives. It establishes a clear tone from the leadership, providing a comprehensive framework for managing risks. The framework is meticulously cascaded to individual business segments, ensuring alignment and consistency.

Effective management of Risk Appetite involves early triggers to alert management of potential issues before reaching the formal limit. Quarterly performance monitoring ensures that approved plans are aligned to strategy and maintain a balance between risk and return.

- ✦ Stress testing strengthens our predictive risk management by estimating tail risks and determining adequate capital levels for a forward-looking operating environment. The Board-approved stress testing policy defines indicative stress scenarios, which include liquidity tests to assess the Bank's ability to withstand approved stress scenarios. We employ both comprehensive stress testing and reverse stress testing methodologies to prepare for all potential scenarios.

The governance structure, including the frameworks and policies, enforce mitigating actions for each of the seven key financial risks as well as the emerging risks. Refer to 'Management's Discussion and Analysis' section pages [444-455](#) for further details on the key financial risks.

Key Financial Risks

	Mitigating Actions
 Credit Risk Risk of financial loss resulting from the failure of a borrower or counterparty to fulfil their contractual obligations, leading to non-payment of loans or default on financial obligations.	 Our credit risk management framework is designed to ensure that all lending activities are conducted in a prudent manner. The framework encompasses a comprehensive three-stage approach to credit approval, comprising initial assessment (pre-sanction), authorisation (sanction) and ongoing monitoring (post-sanction). The risk management process involves a combination of techniques customised to the type of borrower and facility. The approval stage goes through multiple checks which includes meticulous documentation by our credit administration team followed by systematic monitoring of covenant adherence and regular assessment of the overall portfolio's performance.
 Liquidity Risk Risk of not being able to meet short-term obligations due to an inability to convert assets into cash or obtain funding at reasonable cost.	 The key components of comprehensive liquidity risk management framework implemented by the Bank include maintaining high-quality liquid asset buffers and a structured approach to monitoring and managing liquidity risk through cash flow management, internal limits and stress testing. A contingency liquidity plan, approved by the Asset Liability Management Committee (ALCO) and the Board, provides an early warning system for emerging or stressed liquidity conditions.



Interest Rate Risk in Banking Book

Risk of losses in a Bank's earnings or economic value of its capital due to fluctuations in interest rates affecting value of assets, liabilities and net interest income.

Mitigating Actions



The risk limits set by the ALCO are adhered to and interest rate risk is transferred by business unit through a transfer price to a centralised Treasury function. In addition to short term measures such as Earnings at Risk (EaR) that assess the sensitivity of NII and NIM over a one-year period, the Bank also uses long term risk metrics such as economic value of equity (EVE) to estimate sensitivity to interest rate changes in the long term.



Group Risk

Risk arising from interconnectedness and exposures within a banking group, including risks associated with inter-group transactions, funding and contagion effects between entities within the Group.



The Bank has a Group Risk Management Committee (GRMC) that oversees group-related risk management activities. Our comprehensive group risk management framework includes a robust governance structure, comprehensive risk policies, a clearly defined risk appetite for the Group and regular monitoring and reporting of risks.



Market Risk

Risk of losses in a Bank's trading or investment portfolio due to adverse movements in market factors such as interest rates, exchange rates, commodity prices and equity prices.



By leveraging Value at Risk (VaR) models and conducting stress testing and scenario analysis, our Bank quantifies and manages its exposure to extreme market movements, which help in reducing its risk of losses and protecting its capital and assets.



Fraud Risk

Risk of financial and reputational losses that arises due to illegal act of obtaining money, assets or other property owned or held by a financial institution or its customers through deceit, deception or other forms of misrepresentation by an individual or organisation.



Fraud risk management is a Board approved policy and is supported by a system which enables timely triggers to identify anomalies. An unusual event can be raised by a user, based on systems trigger or observation, which is thoroughly investigated to identify any process gaps that can be exploited by fraudsters. The Bank effectively manages fraud risk by deploying proactive, preventive, detective approaches and leverages enterprise level fraud risk management system, machine learning models, market intelligence and in-house early warning triggers in the approach. We also have a Whistle blower policy and platform, which is open to employees and vendors for raising their concerns, with full confidentiality, on any fraud, malpractice or any other untoward activity or event.

Institutionalising Risk Resilience



Operational Risk

Risk of loss or damage arising from weaknesses in internal processes, personnel, technology and external factors that affect the Bank's ability to conduct its operations effectively.



Mitigating Actions

A Risk and Control Self-Assessment (RCSA) process identifies operational risks and Key Risk Indicators (KRIs), which are tracked to monitor trends in key operational risk parameters. A group-wide IT security programme ARISTI, has been launched to ensure robust data security and integrity. Disaster Recovery (DR) and Business Continuity Plans (BCP) ensure continuity of operations. Risk transfer via insurance is used as one of the key strategies, to mitigate operational risk. Third party risk assessment is undertaken through a Board approved Outsourcing policy which is aligned with the RBI Guidelines on outsourcing of financial services. In FY 2024-25, our Bank has strengthened the framework relating to Digital Payment Products by amplifying existing controls and implementing additional controls in place for Digital Payment Security. Further, we have also strengthened the processes for a detailed review of product and process documentation to ensure robust product operating procedures.

Emerging Risk Landscape

The banking sector faces a diverse range of emerging risks, including cybersecurity threats, technological disruptions and climate-related financial vulnerabilities. To effectively mitigate these risks, our Bank is developing a proactive and adaptable risk management approach, complemented by a forward-thinking strategy to foster resilience and sustainable value creation.



Data Privacy and Cybersecurity Risk

Data privacy and cybersecurity risk is the risk of financial loss, disruption of business operations or damage to our reputation resulting from failures or inadequacies in technology systems, data breaches or IT infrastructure failures.

Mitigating Actions

The Data Privacy Policy governs the overall management including handling of personally identifiable information of customers and incorporates the principles for collection, use, retention, transfer, disclosure and destruction of any personal data belonging to customers of the Bank. Various initiatives undertaken to ensure data privacy include advanced security infrastructure, prompt incident response and recovery mechanisms, employee training and awareness, for data handling to ensure strict compliance and monitoring. The Bank has initiated assessment and implementation under the Digital Personal Data Protection Act (DPDPA), 2023. We have a Data Privacy Office within the Risk Management Unit to handle privacy related matters and relevant initiatives.

Sophisticated actors continuously probe financial institutions for vulnerabilities. To protect ourselves against cybersecurity risks, we have invested significant efforts in automated patch management, multi-factor authentication and encryption protection against known attack vectors. We also employ behavioral monitoring which helps us identify novel threats.



B Technology Risk

Technology simultaneously represents our greatest opportunity and the most complex risk. As banking becomes increasingly digital, traditional risk boundaries blur, creating interconnected vulnerabilities requiring holistic management approaches. Our strategy acknowledges this complexity while maintaining focus on fundamental risk principles.

The pace of technological change accelerates annually — systems considered cutting-edge today may become obsolete tomorrow. This reality shapes our investment philosophy as we focus on building flexible, scalable architectures capable of evolving rather than rigid systems requiring wholesale replacement. We emulate this philosophy in dealing with the various core technology risks and the risks that arise due to rapid technology evolution. Detailed explanation on technology advancements can be found 'Digital Powerhouse' section of the report on pages [24-25](#).

Technology risks can be further detailed into two below domains i.e. core technology risks and risks associated with emerging technologies.

Core Technology Risks

Mitigating Actions	
 Infrastructure Resilience Risk Risk of not being able to maintain services during disruptions due to failure in infrastructure	 Our technology foundation has been designed to withstand both routine stresses and extraordinary events. Achievement of zero unplanned downtime and 50% improvement in recovery metrics in Q4 of FY 2024-25 demonstrate robustness of infrastructure. This enables protection of customer trust and regulatory standing.
 Data and Analytics Risk Risks associated with using data analytics such as potential for inaccurate results, misleading conclusions and wasted resources	 Every model we employ undergoes thorough data quality check, validation, regular review and assessments for bias to ensure fair and reliable outcomes. This strong governance ensures protection from the consequences of models built on poor data or biased algorithms that can impact thousands of people.
 Third-party Technology Risk Risks from relying on external vendors or partners for technology-related services or products.	 To address risks such as data breaches, compliance violations, supply chain disruptions and operational issues, we have strengthened our vendor governance processes—assessing not only service quality but also the security practices and operational resilience of our partners.

Institutionalising Risk Resilience

Risks Associated with Technology Evolution

	Emerging Technology Risk	Mitigating Actions
	Risks associated with the adoption of new and disruptive technologies such as AI and machine learning	→ To manage uncertainty involved in the adoption of new technologies, we are taking a careful, step-by-step approach that incorporates testing thoroughly, staying alert to regulatory changes and investing in strong security and training. This helps us innovate responsibly while protecting our business and customers.
	Investment and Obsolescence Risk	→ Investing in technology involves striking the right balance between meeting current needs and staying flexible for tomorrow. Our phased implementation strategy helps us stay agile, allowing for adjustments along the way while keeping financial risks in check. Regular architecture reviews ensure our systems continue to support both current operations and future growth.
	Operational Risk Considerations	→ Our monitoring infrastructure provides early warning of developing issues by processing 4 million metrics per minute. Automated resolution capabilities prevent incidents from impacting customers. By shifting non-critical functions away from core systems to more flexible platforms, we reduce concentration risk and boost performance.
	Regulatory and Compliance Evolution	→ We stay in regular contact with regulators to help in shaping practical policies that support both innovation and stability. By taking a proactive approach to compliance, we are better prepared for regulatory changes and can avoid last-minute scrambles to adapt.

Technology risk management must anticipate rather than react. Scenario planning exercises explore potential futures - from quantum computing's impact on encryption to AI regulation's effect on business models. This forward-looking approach ensures preparedness for multiple potential outcomes.

While significant progress was made by us in FY 2024-25, technology risk remains dynamic. Continued investments in resilience, automation and security capabilities position us to navigate future challenges while capitalising on emerging opportunities. Our commitment extends beyond risk mitigation to risk-informed innovation, ensuring technology serves as an enabler of sustainable growth.



Strengthening Cybersecurity and IT Risk Management- A case study



Incident

The Bank had received an order dated 24th April, 2024 ('Order') from the RBI, inter alia, directing the Bank to cease and desist, with effect from 24th April, 2024, from on-boarding new customers through the Bank's online and mobile banking channels and issuing fresh credit cards. The Order was based, inter alia, on the deficiencies observed by the RBI in the Information Technology (IT) Examinations of the Bank, for the years 2022 and 2023.



Response

In view of the above, the Bank undertook a series of strategic initiatives to enhance its cybersecurity posture. Senior industry experts were onboarded to guide these efforts and comprehensive gap assessments were completed against the RBI Master Directions, covering Digital Payment Security Controls, IT Governance, Outsourcing and Cybersecurity Frameworks. To drive proactive closures of identified risks, weekly insights and summaries were published and shared with senior management and security committees, enabling improved visibility and informed decision-making.

All policies and standards were reviewed and updated and regulatory advisories are tracked and addressed promptly by a dedicated team. To further strengthen governance, the Bank has established IT Risk and Information Security Committee (IRISC), which reviews technology risks based on a structured risk register. The implementation of a Security Orchestration, Automation and Response (SOAR) solution and a comprehensive

ransomware response playbook has significantly enhanced the Bank's incident response capabilities. Additionally, information security awareness has been reinforced through regular mailers and phishing simulation exercises, fostering a strong culture of cybersecurity across the organisation.

The Bank also regularly monitors Key Risk Indicators (KRIs) and conducts thematic assessments across key risk areas which are reviewed in various management and committee forums to ensure continuous oversight and improvement.



Impact

Risk monitoring has been significantly strengthened through timely vulnerability management, RED team exercises, tabletop simulations and third-party assessments, which have validated the effectiveness of cybersecurity controls and identified areas for enhancement.

The RBI, vide its letter dated 12th February, 2025, communicated its decision to the Bank to lift the aforementioned restrictions placed on the Bank, having satisfied itself of the remedial measures undertaken by the Bank to address the supervisory concerns and the submission of compliances made to it (including the report of the external Auditor).



Institutionalising Risk Resilience

C ESG Risk and Climate Risk¹



ESG (Environmental, Social and Governance) risk is the risk associated with environmental issues (such as pollution, improper industrial discharge and loss of biodiversity), social issues (such as occupational safety and social unrest) and/or issues related to poor governance. This risk may be associated with the borrowers in our portfolio or related to our own operations.

Climate risk is the risk of financial loss due to climate change. This includes physical risk which arises from the impact of climate events on portfolio and operations (such as natural calamities or gradual changes in climate conditions) and transition risk which arises from the transition towards a low-carbon economy (such as carbon tax or renewable energy costs).

Mitigating Actions

A dedicated ESG function within our Bank focuses on addressing ESG and climate risks. The Heads of CSR and ESG and the Head of Sustainability hold direct accountability and a Whole Time Director provides oversight and guides this function. This function works closely with business units to ensure that best practices in environmental and social responsibility are integrated into the services we provide. We also use ratings as a tool to understand the ESG risks faced by the Bank and use the analysis to address these risks. Details on how we address ESG risk in our lending portfolio is available under 'Advancing ESG in our Core Businesses' on page 80 of Embracing Sustainability.

Considering the escalating threat of climate-related risks to the broader economy, we undertook a forward-looking, scenario-based assessment of climate risk and opportunities in FY 2022-23 and FY 2023-24, in alignment with global guidelines. We have employed a two-pronged approach to understand the potential climate-related risks that may impact our operations and portfolio.



Analysis to understand physical climate risk to our operations

We conducted a physical risk assessment for our operations in FY 2022-23, which indicated that estimated annual financial impacts were within the Bank operational risk appetite. Leveraging the findings from the assessment, we established guidelines covering governance, oversight, assessment frequency and internal roles and responsibilities as well as data collation practices and proposed mitigation measures such as business continuity planning. This assessment is conducted on a periodic basis.



Analysis to understand transition climate risk to our portfolio

To identify transition risks in the Bank's corporate lending portfolio, we are adopting a sectoral approach, analysing two scenarios informed by global guidelines and India's net zero commitments. The focus sectors include Power Generation (FY 2022-23) and Cement Manufacturing (FY 2023-24). These ongoing climate risk assessments have given insight into portfolio emissions, data challenges and emerging sectoral technologies. As this is an evolving process, we are proactively addressing challenges, monitoring emerging developments and refining our methodologies to enhance reliability of these assessments while increasing the sector coverage.

¹GRI 201-2

We are in the process of drafting a comprehensive Climate Change Policy, outlining guidelines for assessing climate risks across our Bank's operations and portfolio. This policy is proposed to align with the key areas to be specified in the Reserve Bank of India's (RBI) expected guidelines on climate-related financial disclosures.

The RBI framework encourages the regulated entities to take proactive steps in reducing their carbon footprint in addition to disclosure of their climate-related exposures. In line with this directive, we are undertaking efforts to develop a decarbonisation strategy. Further details on this are available in Embracing sustainability section pages [78-97](#).

The advent of climate change presents both risks and opportunities for financial institutions. While it poses significant challenges that require immediate attention, it also creates a compelling business case for banks to play a pivotal role in financing the transition to a low-carbon economy. We are poised to capitalise on the growing demand for climate-resilient investments and infrastructure projects through financing opportunities such as renewable energy, green buildings, electric vehicles and advanced battery storage solutions. Some of the steps taken by the Bank towards these opportunities is available in Embracing Sustainability pages [78-97](#).



Risk Culture

Our risk governance model is reinforced by a strong risk culture, empowering all employees to understand and manage risks in line with their roles and responsibilities. We prioritise responsible business practices, customer needs and transparency through our risk culture framework. This approach reinforces high level of risk awareness across our organisation, integrating risk management into decision-making processes. Employees are constantly engaged through risk related communication as well as tailored training programmes. In FY 2024-25, we conducted specialised risk management trainings of amounting to ~500 hours for employees in the risk team, in association with prestigious institutions such as the RBI, NIBM (National Institute of Bank Management) and FEDAI (Foreign Exchange Dealers' Association of India). Around 3 lakh hours of risk-related training has been imparted to employees across the Bank. For further details, please refer to 'Management's Discussion and Analysis' section of the report on pages [444-455](#).

Compliance with risk management policies and protocols is a part of Kotak's DNA and all employees are expected to abide by these protocols. Continuous adherence checks are ensured for highest level of safety and compliance to risk policies. Risk management is made part of the annual performance appraisals for employees to foster accountability and encourage responsible decision-making.

Embracing Sustainability

Transforming For a Sustainable Future

Our approach towards ESG integration goes beyond compliance and is geared towards long-term value creation through responsible finance, inclusive growth and environmental management. We are conscious of our environmental footprint and are actively assessing and managing the environmental impact of our operations, while also supporting sustainability across the sectors we work with. We are committed to promoting financial inclusion, ensuring that our services reach underserved communities and contribute meaningfully to equitable economic growth.

Key Highlights

₹ 7,900+ cr

Green asset book*
at the Bank

~ 23 lakh

Active micro credit
women borrowers
at the Group

32%

Bank branches in rural
and semi urban areas

16

LEED/IGBC Certified
buildings

Material Topics Covered

- ✦ Corporate Governance
- ✦ Promoting Green Finance
- ✦ ESG and Climate Risk Management in Lending and Investments
- ✦ Financial Inclusion and Social Development
- ✦ Operational Eco-Efficiency and Resilience to Climate Change

Capital Linkage

-  Financial Capital
-  Social and Relationship Capital
-  Natural Capital

Contribution to SDGs



The ESG lens offers us a distinct perspective and we are leveraging it to mobilise our efforts across relevant areas. We pursue environmental sustainability by investing in our physical spaces, making them cleaner and greener. We have an ongoing commitment to improve gender diversity at the Bank. Our focus on enhancing colleague value proposition aims to build careers and reduce attrition. Through CSR, we are partnering with premier academic institutions to shape the workforce and organisations of tomorrow. We are contributing to nation building by supporting entrepreneurs, enabling livelihoods and empowering women. We have demonstrated our commitment to enhancing customer experience by reimagining our IT systems and strengthening data security architecture.



Shanti Ekambaram

Deputy Managing Director
Kotak Mahindra Bank Limited

We integrate social and environmental considerations into our strategic vision and operational practices through a comprehensive ESG Policy Framework, supported by subsidiary-specific ESG policies.

* As per green activities/projects indicated in RBI's 'Framework for acceptance of Green deposits' issued in April, 2023, based on internal mapping.

In FY 2024–25, we reviewed our material topics to ensure that our KPIs continue to be impact-oriented, ensuring our strategy continues to be resilient, responsive and relevant. These insights refine our ESG roadmap, enhance disclosure quality and reinforce enterprise risk management. More details of the referred assessment are provided under the ‘Stakeholder Engagement and Materiality Assessment’ section on pages 30–39.

ESG Governance and Oversight

Our ESG agenda is governed through Board level Corporate Social Responsibility and Environmental Social Governance Committee (CSR and ESG Committee), which provides strategic oversight and guidance to Bank’s sustainability and ESG-related initiatives. The CSR and ESG Committee comprises of experts with extensive experience. Members* as on 31st March, 2025 were:

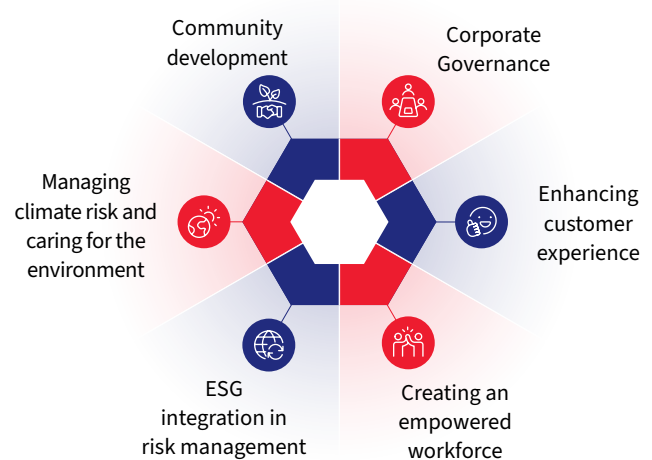
- + Mr. C.S. Rajan (Non-Executive Independent Director, Part-Time Chairman)
- + Dr. Ashok Gulati (Non-Executive Independent Director)
- + Mr. Ashok Vaswani (Managing Director & CEO)
- + Ms. Shanti Ekambaram (Deputy Managing Director)

**Mr. Amit Desai (Non-Executive Director) joined the Committee on 01st April, 2025.*



We have a dedicated ESG function that is responsible for implementing the ESG Policy Framework, analysing ESG performance and reporting progress to stakeholders. We also have an ESG taskforce, comprising representatives from key functions and group companies that supports implementation.

The ESG Policy Framework is aligned to national and global best practices and is anchored in six focus areas that guides our strategies, processes and disclosures. The focus areas address material issues relevant to our industry and organisation and are stated below:



Each focus area is underpinned by key performance indicators (KPIs) and monitored through a structured governance mechanism. Over the past years, we have reviewed select relevant policies and made necessary amendments to align our processes and practices with best practices. More detail into each focus area can be found in our Environment, Social and Governance Policy Framework document through this [link](#).

We understand that sustainable development requires both responsible practices and a well-equipped, knowledgeable and informed workforce. We are developing structured training and sensitisation programmes to create ESG awareness for our credit team, relationship managers, risk managers and other teams to drive ESG focus in areas such as credit underwriting, client engagement and operational decision-making. Our Code of Conduct (CoC) for Service Providers also articulates our expectations on ethical conduct, labour standards, anti-corruption and environmental responsibility, enabling ESG alignment across our value chain.

Embracing Sustainability

Advancing ESG in our Core Businesses

Kotak Mahindra Bank

Our ESG Management Systems Plan (EMSP or the Plan) was originally modelled on IFC Performance Standards and enables us to systematically identify, assess and mitigate ESG risks in our lending portfolio. The EMSP outlines the framework for conducting due diligence and evaluating eligible borrowers through an ESG perspective. It classifies borrowers based on their sector of operation, extent of business operation's impact on social and environmental factors and includes tailored assessment checklists depending on the nature and risk classification of each transaction. The Plan applies to loans exceeding pre-specified thresholds of quantum and tenure and for specific end uses. Scoring is based on tailored ESG evaluation questionnaires, which are incorporated in the credit assessment note - for borrowers identified as high risk, the score is to be adjusted downward. Furthermore, the Plan also features an exclusion list, which is currently being reinforced for implementation and monitoring. In summary, EMSP includes sectoral risk categorisation, ESG due diligence protocols and an exclusion list, ensuring that our capital deployment aligns with sustainability principles. In FY 2024-25, we have revamped the EMSP questionnaire by updating it in the context of current ESG standards and incorporating practical insights from pilot implementation.



Through our Board approved Green and Sustainable Finance Frameworks, we have commenced efforts to channel capital toward projects with measurable environmental and social impact. Our green asset portfolio was ₹ 7,900+ crore, as per green activities and projects indicated in the RBI's 'Framework for acceptance of Green deposits' issued in April, 2023, based on internal mapping.

Key ESG-Aligned Transactions

Renewable Energy

- Sanctioned ₹ 1,295 crore for 100 MW round-the-clock hybrid renewable energy projects in Gujarat and Andhra Pradesh
- Disbursed ₹ 255 crore for a 66 MW hybrid renewable power plant in Karnataka
- Sanctioned term loans of ₹ 225 crore to other renewable energy projects
- Subscribed to ₹ 1,000 crore of Commercial Papers and sole arranger and underwriter for NCDs of ₹ 750 crore for renewable energy companies
- Allocated ₹ 204 crore to SMEs within bio-gas energy, generation and distribution and other non-conventional energy and other infrastructure projects

Green Buildings

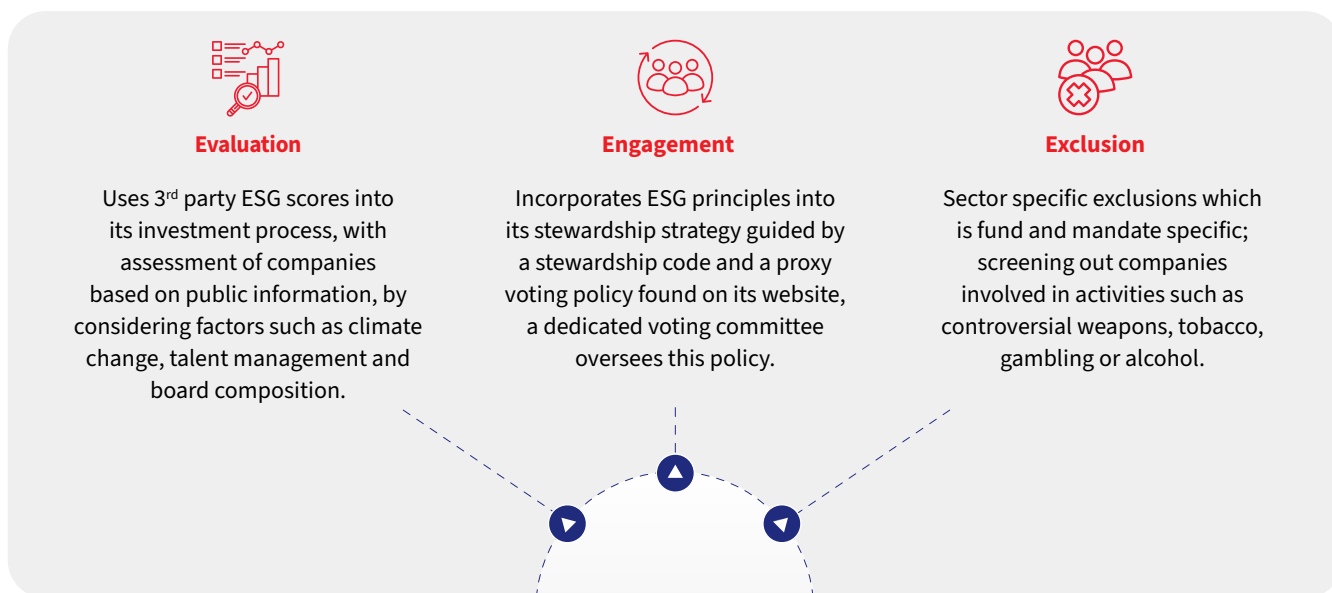
- Cumulative sanction of ₹ 999 crore to three LEED-certified green buildings
- Continued support to the affordable housing project 'Suraksha Smart City', where over 50% falls under Pradhan Mantri Awas Yojana

Water and Waste Management

- Commercial banking division continued building up its book in water infrastructure and waste management and undertook disbursements of over ₹ 1,000 crore at the end of FY 2024-25

Kotak Mahindra Asset Management Company (KMAMC)

KMAMC is the first Indian asset management company to have become a signatory to the United Nations-supported Principles for Responsible Investment (PRI). KMAMC uses an ESG framework based on the 3E strategy – Evaluation, Engagement and Exclusion -- as part of its fundamental analysis. This comprehensive framework is tailored to address specific mandates for exclusionary strategies while being applicable across all stocks under its scope of coverage.



KMAMC is also a signatory to Climate Action 100+, an investor-led initiative that works with prominent contributors to GHG emissions. As a member, KMAMC's senior management engages with companies on the implementation and progress of their climate change mitigation strategies.

KMAMC has established an equity fund, 'Kotak ESG Exclusionary Strategy Fund', with Assets Under Management (AUM) ₹ 847.62 crore as of 31st March, 2025. This fund focuses on ESG parameters where companies with higher ESG score are given preference. The fund engages with investee companies on ESG-related factors in accordance with KMAMC's stewardship policy which is available in the public domain. The policy requires engagement with investee companies once a year, incorporating ESG factors into discussions. KMAMC actively participates as an investor by casting votes on all board resolutions of investee companies, in accordance with the voting policy. The investment committee sets guidelines for investments and is responsible for formulating and approving policies, including those related to ESG.

Embracing Sustainability

Kotak Mahindra Asset Management Singapore (KMAMS)

KMAMS, as the international arm of KMAMC, is also a signatory to PRI, a member of Climate Action 100+ and uses the 3E strategy. In its named ESG funds, KMAMS maintains strict investment limits and exclusions for direct investments in issuers operating in sectors with significant ESG concerns. While some fund mandates may not have comprehensive ESG exclusions, they incorporate ESG considerations at every stage of the investment assessment process. Specifically, environmental factors are assessed through monitoring of carbon emissions, energy consumption, resource efficiency, alternative energy use and adherence to climate-related regulations. In terms of social indicators, KMAMS focuses on employee safety, retention, diversity and corporate social responsibility. The governance evaluation includes examination of shareholder structure, board composition and independence as well as ethical conduct.



Kotak Alternate Asset Managers Limited (KAAML)

KAAML has established a governance framework to promote responsible investing practices. An ESG Committee oversees strategic direction, ensures policy execution, consistency across fund strategies and provides guidance on implementing the ESG Policy Framework. The objective of the ESG Policy Framework is to provide clear guidance to business verticals managing various capital pools for multiple asset classes, including Private Equity, Real Estate, Infrastructure, Strategic Situations, Private Credit, Kotak Discretionary Solutions and Investment Advisory. KAAML's board-approved ESG Policy applies to select funds managed by it and serves as a framework to develop fund-level Environmental and Social Management Systems (ESMS) tailored to their specific needs.

The Kotak Infrastructure Investment Fund (KIIF), managed by KAAML, has developed its own ESG Policy and ESMS. This system outlines the integration of ESG practices into the investment process and mandates the engagement of external third-party ESG experts to conduct an ESG due diligence (DD) for prospective investments. Every potential investment under KIIF undergoes ESG DD as per the relevant requirements set forth by Indian Legal regulations and various applicable investor safeguards such as IFC Performance Standards, AIIB E&S Framework and ADB Safeguard Policy Framework. The due diligence assesses ESG aspects of potential investee companies, which are documented in an Environmental and Social Action Plan (ESAP) enabling investee companies to implement strategies to mitigate the ESG related risks. ESAP is monitored periodically following the closure of a deal.



Kotak Mahindra Prime Limited (KMPL)

KMPL, our vehicle finance subsidiary, is expanding its green portfolio by providing finance for electric, hybrid and energy efficient vehicles. In FY 2024-25, we saw a healthy increase in lending to electric four wheelers, with a 66% growth in unit terms.

**Kotak Life Insurance (KLI)**

KLI has launched its comprehensive ESG Policy and Climate Risk Management Framework in FY 2024-25, developed in-line with IRDAI directives. KLI has also formed an ESG Steering Committee and a dedicated nodal team to oversee various ESG initiatives and proactively implement measures guided by its Climate Risk Management Framework.



Embracing Sustainability

Financial Inclusion

Advancing financial inclusion remains a focus area for us. We continued to design and deliver targeted solutions for under-served communities including small and marginal farmers, women borrowers, micro-enterprises and underbanked regions, ensuring equitable access to financial services that foster long-term economic empowerment.

In alignment with our commitment to inclusive banking and digital empowerment, our Bank, with the approval of UIDAI, had launched the 'Aadhaar on Wheels' (AOW) initiative—an innovative mobile service designed to deliver Aadhaar enrolment and update facilities directly to customers' doorsteps. This initiative was instrumental in reaching segments of society that often face mobility challenges, including senior citizens, residents of old age homes, hospital patients, persons with disabilities, pregnant women, new-borns and students. By setting up camps in housing societies, educational institutions and office premises, we ensured that Aadhaar services are accessible, convenient and customer-centric. During FY 2024-25, the Bank deployed 23 Aadhaar on Wheels vans across 23 locations nationwide and successfully provided 74,341 Aadhaar enrolment and update transaction services.

We continue to deepen our distribution footprint by extending access beyond traditional branches. Through the establishment of independent Business Correspondent (BC) and Business Facilitator (BF) outlets in strategic locations around our branch network, we enhanced the reach of essential banking services in underserved areas. As of 31st March, 2025, we had over 18,800 BC/BF agents, reinforcing our commitment to inclusive and community-driven financial outreach.

In FY 2024-25, the Bank significantly enhanced its indigenous digital platform, Kotak Saarthi, which is a comprehensive solution for managing the BC and BF agent network. This platform enabled the delivery of a wide range of banking products and services to underserved communities through a cost-effective, tech-enabled model. As of 31st March, 2025, the platform had enabled the Bank to open more than 6.5 lakh customer savings account, underscoring its role as a scalable and impactful channel for inclusive growth. We leveraged BC services of BSS Microfinance Limited (BSS) and Sonata Finance Pvt. Ltd. (Sonata), along with partnerships with other corporate BC networks, to expand our distribution network.

Key highlights* for FY 2024-25 include:

Sonata's collaboration with the Uttar Pradesh Micro Finance Association marked a significant step in aligning with the state's 'One District One Product' (ODOP) initiative, successfully connecting its borrowers to regional markets by supporting the sale of locally crafted products such as Mirzapur pottery, Bhadohi carpets and Aligarh locks.

Integration of Aadhaar seeding functionality into our digital banking journey through BC-assisted channels, enabled the customers to link Aadhaar with their bank accounts, ensuring direct and timely receipt of government subsidies under the Direct Benefit Transfer schemes.

Robust network of over 50,000 Aadhaar-Enabled Payment System (AEPS) points, facilitating over 1.2 crore acquiring transactions, ensuring last-mile delivery of financial services across urban and rural India.

Provision of health insurance coverage at reasonable premium amounts through BSS's Hospicash insurance.

All ATMs equipped with voice guidance facility to aid visually challenged.

Over 650 ATMs and 990 branches are differently-abled friendly.

692 branches in rural and semi-urban locations.

*All figures are as on 31st March, 2025 unless otherwise stated

Women-Centred Financial Inclusion



We expand our microcredit reach by focusing on women borrowers through the Bank's Joint Liability Group (JLG) loans offering. The entire lending base of Sonata and BSS are women. Our total number of active women microcredit borrowers (including Sonata and BSS) as of 31st March, 2025 at the Group was ~23 lakh and 99% of loans disbursed therein were for income generating purposes.

Sonata remains deeply committed to advancing women's financial inclusion by providing financial support to ~ 9 lakh women clients, with over 68% of its loan portfolio located in rural areas. Further enhancing operational efficiency and accessibility, Sonata has fully digitised its loan management system, from sourcing to disbursement, reinforcing its commitment to inclusive and technology-enabled banking.

BSS is driving meaningful socio-economic transformation by extending microcredit services to women in underserved rural and semi-urban areas, enabling them to engage in income-generating activities and achieve financial independence. With a strong presence across 13 states through a network of over 878 branches, BSS currently serves ~ 15 lakh families, prioritising women's financial empowerment as a catalyst for breaking cycles of poverty and strengthening community resilience.

Participation in Government Schemes

Our Bank actively participates in various government initiatives such as opening accounts under Jandhan scheme, facilitating uptake of insurance, pension and lending schemes. During FY 2024-25, we undertook the following key initiatives:

PM Street Vendor's Atma Nirbhar Nidhi (PMSVANIDHI)

Our Bank actively participated in PMSVANIDHI scheme by providing collateral free working capital loan for street vendors. As on 31st March, 2025, the Bank disbursed over 18,000 loans to beneficiaries.

Pradhan Mantri Jan-Dhan Yojana (PMJDY)

Our Bank, through Kotak Saarthi, opened over 2.32 lakh accounts under PMJDY, a National Mission for financial inclusion to ensure access to financial services, through a basic savings and deposit account for an unbanked person.

Atal Pension Yojana (APY) Scheme

The scheme aims to provide financial stability to the unorganised sector after retirement with pension amount of ₹ 1,000 to ₹ 5,000 per month. As on 31st March, 2025, we had a total of 2,67,468 APY subscriptions, out of which 1,32,440 were sourced during FY 2024-25, achieving 219% of annual target assigned by regulator

Pradhan Mantri Mudra Yojana (PMMY) Scheme

The Bank disbursed over ₹ 3,000 crore under the PMMY Scheme, which focuses on income generation and employment creation in manufacturing, services, retail and agri-allied activities.

Stand up India

The Bank actively participated in Stand up India, a government-driven lending scheme for providing entrepreneurship support to Schedule Caste, Schedule Tribe and women entrepreneurs, enabling them to participate in the economic growth of the nation.



Embracing Sustainability

Financial Literacy

Financial literacy is a cornerstone of meaningful financial inclusion, empowering individuals to make informed decisions and fully benefit from formal banking services. In FY 2024–25, we reinforced this commitment by conducting over 4,100 financial literacy camps through our rural branch network, reaching communities where awareness and access often remain limited. Complementing these on-ground efforts, we also launched a series of digital awareness campaigns aimed at educating customers on responsible banking practices, digital transactions and financial planning. These initiatives reflect our ongoing efforts to build a financially aware and empowered customer base.

Sonata provides comprehensive training programmes at the time of loan disbursement, covering essential topics such as the significance of financial discipline, cultivating saving habits, timely repayment of loans and strategic investment in income-generating activities, which are practices that promote financial resilience and reduce individual credit risk. The impact of this approach is reflected in strong repayment behaviour and improved financial awareness among borrowers. Furthermore, Sonata also conducts awareness sessions on vital issues including safe sanitation, clean drinking water and menstrual health, aimed at promoting a holistic approach to financial inclusion and overall well-being.



Priority Sector Lending

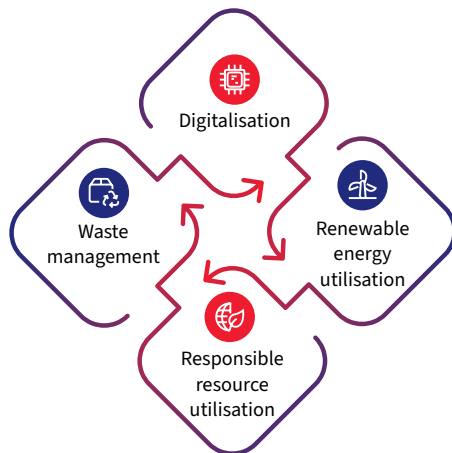
We view Priority Sector Lending (PSL) as a strategic lever to advance financial inclusion and support key segments of India's economy. Our approach is rooted in the belief that PSL plays a vital role in extending credit access to underserved communities and sectors that are fundamental to the nation's socio-economic fabric.

In FY 2024-25, the Bank achieved an annual average PSL contribution of 45.09% of the applicable Adjusted Net Bank Credit (ANBC), including the purchase and sale of PSL certificates—well above the mandated threshold of 40%. We successfully met regulatory targets across all PSL sub-categories, including 18.17% in agriculture, 10.15% for small and marginal farmers, 13.89% for non-corporate farmers and 8.96% for micro-enterprises. Additionally, our PSL lending to weaker sections stood at 14.36%, reflecting our continued focus on inclusive credit delivery. These outcomes underscore our commitment to responsible banking and our strategic intent to align business growth with national development priorities.

Environmental Management¹

We recognise the growing threat of climate change and its far-reaching implications for our planet and society. We are committed to proactively addressing this challenge through integrating sustainability into the core of our business operations and are adopting a range of sustainability initiatives aimed at reducing our environmental footprint. Our CSR and ESG Committee plays a pivotal role by providing strategic guidance and driving a holistic approach that integrates environmental considerations into our business functions. At Kotak Mahindra Bank, we track our environmental performance across all major locations, including our domestic and international subsidiaries. This helps us in identifying areas for improvement. A range of eco-friendly initiatives have been introduced over the years across our corporate offices, branches and ATM network to minimise our carbon footprint.

Our approach to minimising our operational environmental footprint is built on four key pillars, which are designed to reduce our impact on the environment. Some of our key corporate offices serve as common premises with the subsidiaries. Therefore, the data from these premises includes data from the subsidiaries.



We have 16 key corporate office premises that hold LEED/IGBC certifications. Seven additional premises are currently undergoing the certification process, targeted for completion in FY 2025-26. These certified premises promote resource efficiency and contribute to healthier indoor environments, which is crucial for employee well-being. About 25% of the Bank's full time employees operate from these certified premises.

Over FY 2024-25, we have refined our data collection methodologies, enabling us to provide more accurate reporting on key environmental metrics. We remain committed to exploring innovative solutions to minimise our ecological footprint while driving long-term value for our stakeholders.

Energy Management

Our corporate offices, branches, offsite ATMs and subsidiary premises are primarily powered by electricity sourced from the grid. In instances of power disruptions, diesel-powered generators which are managed either by us or by third party vendors or batteries at select locations serve as alternative means of meeting energy requirements. Group's energy consumption for FY 2024-25 was primarily from grid electricity, sourcing 5,28,347 GJ and 19,352 GJ² from diesel-powered generators.

The reporting boundary for electricity covers 220 corporate offices, 2,151^{*} Bank branches, 924 offsite ATMs which are managed by the Bank and 2,192^{**} premises managed by the subsidiaries. In FY 2024-25, we also included units generated from DG sets owned by the lessors to power Kotak premises for select corporate offices. Bank's energy intensity for FY 2024-25 was 7.01 GJ/₹crore revenue³, which has decreased from 8.58 GJ/₹crore revenue for FY 2023-24.

Renewable energy partially powered three of our key corporate offices that accommodated about 10% of the Bank's workforce. We had implemented rooftop solar installations at select locations in FY 2023-24, as pilot to assess impact on decarbonisation of branch network. The 62 KVA rooftop solar installation that was operational for most of FY 2024-25, generated 23 MWh. Additionally, in FY 2024-25 we commissioned another 40 KVA rooftop solar. The total renewable energy consumption during FY 2024-25 was 25,109 GJ and accounted for around 5.5% of the total purchased electricity at the Bank.

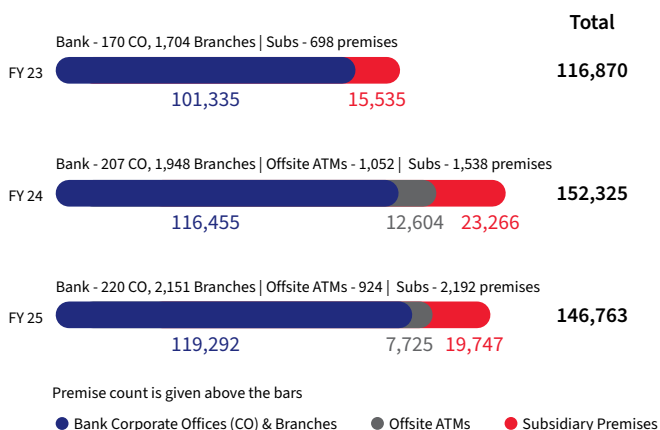
We regularly carry out evaluation of energy consumption and resource utilisation across major premises to find avenues for conservation. During FY 2024-25, a comprehensive energy audit was undertaken at two high-energy consuming premises in collaboration with experts from the Indian Institute of Technology Bombay, providing valuable insights into our current energy usage patterns, trends and areas for improvement.

Targeted initiatives were implemented to optimise energy consumption and reduce emissions from our operations. Over the past few years, we completely transitioned to using energy-efficient lighting systems (LEDs) across all our premises, which helps us avoid emissions. We successfully piloted and installed power-saving devices at 100 offsite ATMs, resulting in annual energy savings of 12% in FY 2023-24 at those locations. We are currently progressing with second phase of this initiative, where an additional 100 offsite ATMs are planned to be equipped with these energy-efficient solutions (44% installations have been completed).

¹GRI 3-3 | ²GRI 302-1 | ³GRI 302-3 | ^{*}including one ex-counter* and two international bank branches | ^{*}Ex-counter is an extended branch facility, but not a full-fledged branch, generally manned by a single person for query resolution | ^{**}The number is inclusive of branches managed by the respective subsidiaries, their Head Quarters, Regional Offices, Zonal Offices and other supporting offices (as per the premise structuring of respective subsidiaries) and it excludes the franchises and cash recyclers of KSL

Embracing Sustainability

Group's Electricity Consumption - MWh



Notes

- Coverage of reporting has been enhanced, it includes 13 new corporate offices, 203 additional Bank branches including 2 international Bank branches (reported first time) and 654 subsidiary premises from FY 2023-24 and hence the data is not comparable to FY 2023-24
- Wherever actual units consumed were not available energy charges were estimated as percentage of overall electricity bill through random sampling of electricity bills sourced from various premises across regions. In FY 2022-23 and FY 2023-24 the state-wise average grid tariff was used for estimating the units consumed. In FY 2024-25, we have used state-wise tariff rates provided by SEBI's latest circular on Sustainable Reporting (BRSR) Core. These tariffs are higher than the rates used by us in FY 2023-24. As a result, the consumption units for FY 2024-25 would have been lower even if the amounts spent were the same as FY 2023-24
- For Bank branches, offsite ATMs and subsidiary premises, where neither billing amount nor consumption data was available, we have estimated consumption based on average calculated from recorded data
- In FY 2024-25, we also included units consumed from DG set owned by lessors for corporate offices wherever the data was available (first year of reporting on DG set units). Since, batteries get charged by grid electricity, the power supplied by the batteries is already covered in the grid electricity units
- In FY 2022-23 and FY 2023-24, we had not included electricity consumption for premises, which were operational for less than six months. In FY 2024-25, we included the electricity consumption from such premises as well
- Electricity consumption by Offsite ATMs has reduced compared to FY 2023-24, primarily due to closure of some ATMs, followed by tariff change and energy saving initiatives.
- Of the 146,763 MWh electricity consumed in FY 2024-25, renewable energy was 6,975 MWh (9,242 MWh in FY 2023-24)
- The count of subsidiary premises in FY 2024-25 has increased largely due to acquisition of Sonata, which has small branches that consume low electricity per branch. Zurich Kotak General Insurance Company (India) Limited (Formerly known as Kotak Mahindra General Insurance Company Limited)⁴ has been excluded from reporting in FY 2024-25.

Energy optimisation and efficiency initiatives⁵ at Kotak Mahindra Bank and its Subsidiaries

Our sustainability initiatives and best practices implemented and followed during FY 2024-25 focus on reducing energy consumption and emissions. The initiatives mentioned below refer primarily to the Bank, while some subsidiary premises also have adopted these practices:

- Smart Lighting Solutions:** Sensor-based lighting systems and timer-controlled lights were utilised across our premises to optimise energy usage during non-occupancy hours.
- Sustainable Lighting:** Replacement of around 675 traditional light sources with LED lights for signboards, occupancy and daylight sensors installed in non-emergency light fixtures resulted in reduced energy consumption.
- Efficient Glow Signage Management:** Timer controls were installed at over 1,900 premises to regulate operating hours of glow signage boards and minimise unnecessary energy usage.
- Energy-efficient Parking Area Lighting:** Transition from normal lighting to dimmable lights at our parking areas was done to reduce electricity consumption during non-occupancy periods.
- Temperature Management:** Consistent temperature of 24°C for air conditioning was maintained to minimise energy consumption and improve comfort levels.
- AI-powered Energy Monitoring:** AI-driven module to monitor energy consumption of air conditioners, enabling data-driven decision-making.
- Virtual Server Adoption:** Transition from physical servers has become 85% in FY 2024-25 from 75% in FY 2023-24, reducing both energy consumption and resource utilisation.
- Energy-efficient Equipment Procurement:** Procurement of 3-star rated or higher energy-efficient electronic equipment such as LED lights, air conditioning units, microwave ovens and refrigerators was ensured to promote better energy efficiency, longer lifespan, lower electricity consumption and reduced maintenance costs.
- Variable Air Volume (VAV) Systems:** The implementation of pressure-independent VAV systems optimised air distribution, enabling temperature control according to user requirements and reducing energy consumption during non-occupancy periods.
- Alternative Energy Solutions:** Inverter-batteries have been installed at most branches, minimising the use of diesel generators (DGs) during power cuts while ensuring uninterrupted operations and reducing environmental impact.

⁴On 18th June, 2024, the Bank completed the divestment of 70% stake in its subsidiary Kotak Mahindra General Insurance Company Limited ('KGI') to Zurich Insurance Company Limited ('Zurich'). Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024. As at 31st March 2025, the Bank continues to hold the remaining 30% of the share capital in said company. | ⁵GRI 302-4

Green House Gas (GHG) Emissions

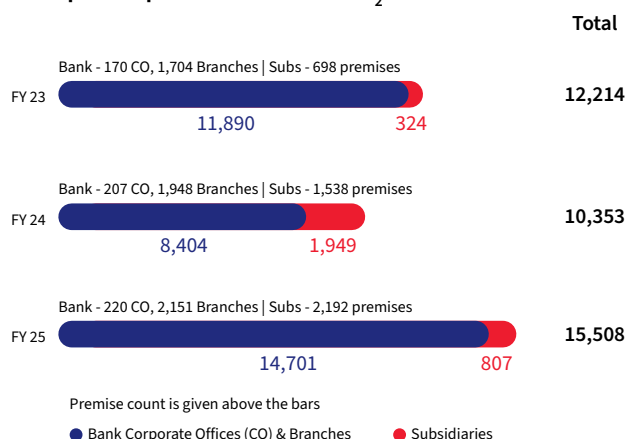
The GHG emissions reporting boundary includes premises under our operational control, encompassing offices, branches and ATMs. To accurately assess our emissions, we utilise actual consumption data wherever available and supplement with representative estimates based on expenditure, asset inventory or other relevant factors. The detailed breakdown of Scope 1, 2 and 3 emissions is presented in subsequent sections. Our reporting is in-line with the GHG Protocol and Intergovernmental Panel on Climate Change methodologies to ensure accuracy, consistency and compliance with global standards.

Scope 1⁶

Scope 1 emissions from Bank managed premises, includes corporate offices, branches and offsite ATMs and emissions from subsidiary premises. The Scope 1 emissions⁷ encompass diesel consumption, refrigerant leakage in air-conditioning and cooling units and emissions from fire extinguishers. In FY 2024-25, our total Scope 1 emissions for the Group were 15,508 tCO₂e⁸. We used Spend-Based Approach as guided by SEBI's latest circular on Sustainable Reporting for BRSR Core, for emission calculation from diesel consumed. We also revised our emissions estimation methodology for refrigerant and fire extinguisher refilling for FY 2024-25. We utilised recorded data to calculate emissions from all premises managed by the Bank, whereas for subsidiaries we used estimates based on asset registers. Newly purchased fire extinguishers were also included in our emissions calculation to ensure a more comprehensive coverage. Refilling of refrigerant was based on need and maintenance schedule, while fire extinguishers were replaced either on usage or expiry, which can be from 1 to 5 years, as a result of which emissions vary significantly year to year.

We track performance over multiple years to understand emission trends. The scope of reporting was broadened for FY 2024-25 to include 13 new corporate offices, 201 additional Bank branches as well as 654 additional subsidiary premises. This enhanced coverage enables a more comprehensive evaluation of our environmental footprint. Please refer BRSR Principle 6 Essential Indicator 7 page 491 for details of Scope 1 emissions for the Bank.

Group's Scope 1 Emissions - tCO₂e



Notes:

- + Coverage of reporting has been enhanced, it includes 13 new corporate offices, 201 additional Bank branches and 654 subsidiary premises from FY 2023-24 and hence the data is not comparable to FY 2023-24
- + Scope 1 coverage includes emissions from firefighting equipment, diesel consumed in DG sets and refrigerant refilling in the air conditioning devices at premises managed by the Bank
- + Scope 1 data for the Bank is inclusive of the offsite ATM data as well and is not shown separately as its contribution is not significant
- + Scope 1 emissions from two international sites and leased offices were not accounted for, as we do not have direct operational control over these facilities. As reporting for Scope 1 is not 100% for all locations on all parameters, below mentioned are the limitations:
 - a) Diesel reporting is limited to locations where DG sets are available and managed by Kotak
 - b) Refrigerant and Fire extinguisher emissions are based on actuals for all offices and Bank branches. For subsidiaries, estimation methodology has been used basis asset register
- + Scope 1 calculations done for FY 2024-25 are based on the emission factors taken from IPCC, AR6 – updated in August 2024 (this includes all the GWP values used for the refrigerant gases and fire extinguishers and the emission factors used to calculate emissions generated from diesel consumption). Had we used the same emissions/conversion factors as used in FY 2023-24, following are to be noted
 - a) Emissions from diesel would have been 0.3% more for the Bank and 0.3% more for the subsidiaries (for the Group – 0.3% higher)
 - b) Emissions from refrigerant refilling would have been 13.7% lesser for the Bank and 12% lesser for the subsidiaries than the calculation for FY 2024-25 (for the Group – 13.6% lesser)
 - c) Emissions from fire extinguisher refilling would have been 4% lesser for the Bank and 7% lesser for the subsidiaries than the calculation FY 2024-25 (for the Group – 4% lesser)

Embracing Sustainability

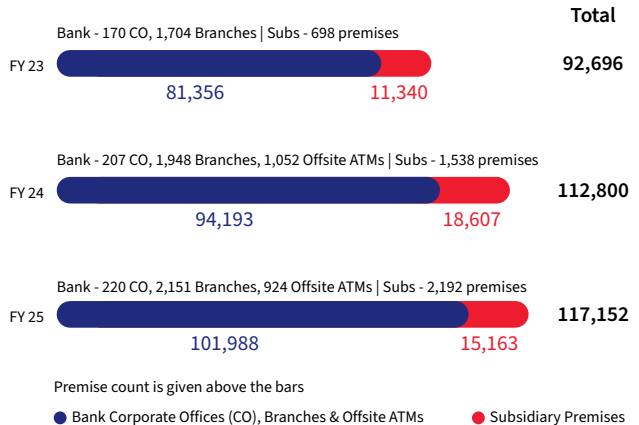
Scope 2⁹

Our Scope 2 emissions are generated from grid electricity consumption, diesel used in third-party managed generators powering Kotak premises and electricity generated by rooftop solar panels. Our energy mix includes both renewable sources (solar and wind) and non-renewable sources. Emissions from rooftop solar power are accounted for within Scope 2, using the same methodology as grid electricity, as the Renewable Energy Certificates (RECs) are held by the service provider. For FY 2024-25, we utilised the latest emission factors for grid electricity published by the Central Electricity Authority (CEA), taking into account cross-border electricity transfers, including those from renewable energy sources and captive power injection into the grid. We expanded our Scope 2 emissions calculation to include emissions generated from diesel fuelled generators managed by lessors of select premises and emissions generated from solar rooftop related energy intake.

In FY 2023-24, we had expanded the reporting boundary for Scope 2 to include electricity consumption-related emissions from offsite ATMs and have continued it since. For financial years prior to FY 2023-24, these emissions were reported under the 'Upstream Leased Assets' subcategory of Scope 3. As of FY 2024-25, our total Scope 2 emissions from purchased electricity for corporate offices, branches, independently managed subsidiary premises as well as ATMs operated by the Bank, stand at 1,01,643 tCO₂e¹⁰. In FY 2024-25, the renewable energy procured through open access was removed from the Scope 2 emissions calculation as the associated green credits were neither traded nor registered for trading. We also included the Scope 2 emissions from premises operational for less than 6 months; this was not accounted previously. The total Scope 1 and Scope 2 emissions for the Group was 1,17,152 tCO₂e.

Since FY 2023-24, emissions from third party managed offsite ATMs are being reported under the 'Purchased Goods and Services' subcategory of Scope 3, which continued in FY 2024-25.

Group's Scope 1 and 2 emissions - tCO₂e



Notes:

- + Coverage of reporting has been enhanced, it includes 13 new corporate offices, 203 additional Bank branches including 2 international Bank branches and 654 subsidiary premises from FY 2023-24 and hence the data is not comparable to FY 2023-24
- + In FY 2024-25, we also included the emissions from DG sets owned by lessors of leased premises that power the Bank's premises for key corporate offices under Scope 2
- + In FY 2024-25, we also included Scope 2 emissions from premises which were operational for less than six months, this was not accounted previous years
- + Renewable energy procured for three corporate offices through open access was 5.3% of the total energy (total energy also includes energy from diesel consumption). This is 5.5% of the total electricity procured for the Bank in FY 2024-25. This was removed from the Scope 2 emission calculations as it was confirmed by the vendor to be green energy and was not registered under any RECs. This has resulted in a reduction of 5,053 tCO₂e¹¹ in Scope 2 emissions
- + Scope 2 GHG emissions are calculated based on emission factors in Central Electricity Authority, Govt. of India (CEA Version_20.0): Grid Emission Factors - Weighted Average Emission Rate (Incl RES), including cross-border electricity transfers which was 0.727 kgCO₂ per kWh for FY 2024-25 and was 0.716 for FY 2023-24

⁹GRI 305-2 | ¹⁰GRI 305-2 | ¹¹GRI 305-5

Scope 1 and 2 Emission Intensity¹²

The emission intensity per FTE for the Group was 1.02, while for the Bank it was 1.35. As the Group embraced automation and increased the use of technology, the energy requirements were expected to outpace the increase in workforce, thus leading to higher intensity per FTE. The emissions intensity per ₹ crore revenue for the Bank which may be a more appropriate indicator of efficiency, reduced to 1.50 in FY 2024-25 from 1.68 for FY 2023-24. For the Group the emission intensity per ₹ crore revenue decreased to 1.10 in FY 2024-25 from 1.20 in FY 2023-24. Refer BRSR Principle 6 Essential Indicator 7, page 491 for more details on GHG Emission intensity information related to the Bank.

Bank's Emission intensity per crore revenue (tCO₂e/₹ crore)



Bank's Emission intensity per FTE (tCO₂e/FTE)



Group Emission intensity per crore of revenue (tCO₂e/₹ crore)



Group's Emission intensity per FTE (tCO₂e/FTE)

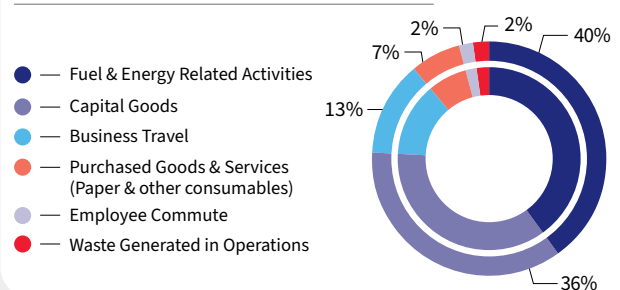


In FY 2022-23, we conducted a comprehensive scenario analysis to project our Scope 1 and Scope 2 emissions over short, medium and long-term horizons. This exercise enabled us to identify key strategies for emission reduction, including increasing renewable energy adoption, adopting energy efficiency measures and transitioning to cleaner alternatives. During the period under review, we consumed around 6,951 MWh renewable energy from open access. Furthermore, we made investments in solar power infrastructure, installing a total capacity of 102 KVA rooftop solar systems across five owned premises.

Scope 3¹³

We report Scope 3 emissions across six key categories: capital goods, fuel and energy-related emissions, purchased goods and services, business travel, employee commute and waste. Our total Scope 3 emissions for FY 2024-25 were 42,397 tCO₂e¹³. Major sources of Scope 3 emissions were from fuel and energy-related emissions, capital goods (such as software, IT equipment, vehicles and furniture) and business travel. Our assessment helps us identify the primary sources of Scope 3 emissions; however, certain categories such as post-sales processing and downstream asset utilisation were not accounted for in our analysis. Ongoing efforts concentrate on refining methodologies to comprehensively capture indirect emission sources and further enhance our understanding of opportunities for reduction. Refer BRSR Principle 6 Leadership Indicator 2, page 495 for more details on Scope 3 emissions of the Bank.

Bank's Scope 3 Emissions - tCO₂e



¹²GRI 305-4 | ¹³GRI 305-3

Embracing Sustainability

Scope 3 Categories Explained

Category 1: Purchased Goods and Services includes paper-related emissions, other consumables such as stationary supplies and emissions generated from purchased electricity by our vendor managed offsite ATMs. Emissions factors are sourced from DEFRA 2024 for emission calculation for paper, from US Environmental Protection Agency (EPA) for other consumables and from CEA for vendor managed ATMs' electricity consumption.

Category 2: Capital Goods cover IT equipment and ATM machines, vehicles procured for employee use, office fixtures and equipment and services which include civil and interior work fee and software systems. Capital goods are considered based on additions in Fixed Asset Register. US Environmentally-Extended Input-Output (USEEIO) code has been used to source the emission factors for emission calculations of Capital Goods. The increase in Capital Goods over FY 2023-24 has happened due to change in methodology of attributing Emission Factors to various capital goods, along with updating the Emission Factors as per the latest USEEIO Code, therefore the data is not comparable to FY 2023-24.

Category 3: Fuel and Energy Related Emissions cover emissions from the electricity lost due to AT&C Losses and emissions associated with extraction, transport, refining, purification and/or conversion of primary fuels (diesel) to direct usable form. Emissions have been calculated based on emission factors sourced from CEA, DEFRA 2024 and Ministry of Power. The AT&C losses percentage and emissions factors were updated as per the latest DEFRA 2024. Had we applied the same emission factors as used in FY 2023-24, the reported emissions for FY 2024-25 would have been 29% higher.

Category 5: Waste category covers all the wastes generated from our operations, both hazardous and non-hazardous such as paper and cardboard, plastic, metal, organic, STP sludge, construction and demolition, battery, biomedical, sanitary, used oil and E-waste. Emission factor for all waste categories are based on disposal method and have been sourced from DEFRA 2024. For the computation of waste quantities, please refer the waste management section.

Category 6: Business Travel covers emissions generated from air (domestic and international) and train travel. Estimation of distance travelled is done using sources available in the public domain. The applicable emission factors have been sourced from India Specific Air Transport Emission Factors, 2015 for domestic travel, DEFRA 2024 for international travel and India Specific Rail Transport Emission Factors, 2015 for rail.

Category 7: Emissions from employee commute are accounted for based on third-party managed buses and cabs offered by the Bank. The applicable emission factors have been sourced from India GHG Programme 2015 and DEFRA 2024.

Effective Water Management

Given India's vulnerability to water scarcity, we place significant emphasis on prudent water management. To address this challenge, we have implemented various measures to optimise water usage and reduce our environmental footprint. Municipal corporations and tanker services were our primary source¹⁴ of water in urban areas and the majority of water usage was for human consumption and washrooms. Our approach for estimating water usage aligns with the 'Indian Standard 1172: Code of Basic Requirements for Water Supply, Drainage and Sanitation (1993)'. We estimated water usage at our key corporate offices wherever actual data was not available. This estimation was based on employee count and average number of working days in FY 2024-25, considering daily consumption rate of 45 litres per person/day as recommended in the SEBI's latest circular on Sustainable Reporting for BRSR Core. In addition to our efforts to optimise water usage, we also implemented measures to manage wastewater discharge in a responsible manner.

Three of our key corporate offices are Zero Liquid Discharge¹⁵ (ZLD) premises, with sewage treatment plants (STPs) enabling treatment and reuse of wastewater, thereby eliminating¹⁶ any discharge into the environment. For our other premises, where STPs were not available or feasible, we made use of the municipal sewage drains¹⁷ to manage wastewater discharge. Also, at these three key corporate offices, we utilised 53,477 KL in FY 2024-25 of recycled water for non-potable purposes such as flushing in washrooms and horticulture activities, thereby reducing our dependence on potable water sources. This approach aligns with regulatory requirements and ensures that our operations contribute to the overall water management. Moreover, rainwater-harvesting facility is available at five offices, which not only conserves this valuable resource by recharging groundwater aquifers but also support irrigation activities at the premises. The Bank's total water withdrawal in FY 2024-25 was 2,63,789 KL¹⁸. We have limited the boundary for water reporting for FY 2024-25 to key corporate offices. By restricting water data reporting to these offices (majority of which have water meters) we aim to get a realistic estimate of water withdrawal and consumption so we can plan and implement conservation measures.

¹⁴GRI 303-1 | ¹⁵GRI 303-1 | ¹⁶GRI 303-2 | ¹⁷GRI 303-2 | ¹⁸GRI 303-3

We have installed low-flow plumbing fixtures, enabling efficient use of water without compromising functionality or user experience. Additionally, we promote a culture of water conservation among employees by encouraging responsible habits. We estimated that about 80% of our total water withdrawal was discharged, with the remaining 20% consumed¹⁹ for essential purposes. This calculation was in line with Central Pollution Control Board's report on 'Status of Water Supply, Wastewater Generation and Treatment in Class-I Cities & Class-II Towns of India'. In FY 2024-25, the Bank discharged a total of 1,43,254 KL²⁰ from the key corporate office premises.



Waste Management²¹

We prioritised sustainable practices across all our premises, with a focus on efficient waste management. Our efforts concentrate on critical areas such as electronic waste (e-waste), battery waste, office supplies (including paper and stationery items) and organic waste generated from our canteens. Although certain categories such as construction waste, plastic waste, scrap metal, wood and glass may not be directly applicable to the financial services sector, we acknowledge the importance of their safe disposal and are committed to minimising them wherever feasible. To ensure effective waste segregation, we have dedicated collection facilities for both dry and wet waste. Through partnerships with authorised vendors, we ensured responsible disposal of e-waste, battery waste, hazardous materials, used oil generated from generator set maintenance and sludge generated from sewage treatment plants (STPs) and other types of wastes.

We have organic waste converters (OWCs) at six corporate office premises that process food waste into nutrient-rich manure, which was utilised for landscaping and beautification purposes within our premises or distributed to nearby housing societies. Out of the three STPs at our key corporate offices, one uses Submerged Aerated Fixed Film, which resulted in bare minimum quantity of generated sludge, disposal for which was not required as it gets recirculated in the aeration tank. For the other two that use Membrane Bio Reactor, the sludge generation was minimal and it was disposed through authorised vendors to ensure safe disposal.²⁴

The overall waste generation was 1,536.8 metric tonnes across our key corporate offices for FY 2024-25, of which about 735 metric tonnes²² was either reused or recycled. Majority of the hazardous waste such as used oil, e-waste and batteries amounting to 72.8 tonnes was recycled through authorised vendors, except bio-medical waste which was incinerated. In addition, about 250.4 metric tonnes of non-hazardous organic waste (food) was composted through onsite OWC and authorised vendors, while other non-hazardous waste like plastic, paper and metal etc. amounting to 411.7 metric tonnes was recycled through authorised vendors. A minimal amount of hazardous biomedical waste of 0.002 metric tonnes²⁵ and 4.8 metric tonnes²⁶ of sanitary waste was given to authorised vendors which was incinerated. About 797 metric tonnes²³ was sent to landfill, which primarily comprised construction and demolition waste and paper. We intend to work towards enhancing our waste management practices, even as this topic is not considered material for the financial services sector. Waste data coverage for e-waste and construction and demolition waste was for the entire Bank, whereas data for all other types of waste was limited to the larger corporate offices due to data collection limitations. Details of waste generated at the Bank can be found on page 493 of the report.



¹⁹GRI 303-5 | ²⁰GRI 303-4 | ²¹GRI 306-1 | ²²GRI 306-4 | ²³GRI 306-5 | ²⁴GRI 306-4 | ²⁵GRI 306-5 | ²⁶GRI 306-5

Embracing Sustainability

Methodology for Waste Calculation

In FY 2023-24, the data for various categories of waste was primarily reported for select corporate offices and Bank branches based on available actual recorded data and associated estimation. In line with evolving sustainability reporting standards, we have adopted an updated calculation and estimation methodology in FY 2024-25 to provide more comprehensive and accurate information. Kotak expanded its waste management coverage to include sanitary waste and STP sludge also in FY 2024-25. This expansion contributed to an increase in our total waste disposal quantity. Details of the waste categories, scope and boundary and methodology for calculation are mentioned below²⁸:

E-Waste

We considered the quantity of e-waste recycled through authorised vendors, which was recycled during FY 2024-25. The waste calculation was done for all Bank premises, including corporate offices, branches and ATMs by using the quantity of waste disposed as mentioned on the documents submitted to the regulators (manifests).

Biomedical Waste

Generation of biomedical waste occurred only at two of our corporate offices, which have on-site medical facilities and it was disposed through authorised vendors to ensure safe disposal.

Construction Waste

Construction waste is generated during renovation and refurbishment at Kotak premises. The estimation of waste was based on average waste per square foot for renovation activities, applied to other premises undergoing similar work. Since the number of premises and the total renovated area vary year-to-year, this data is not directly comparable to FY 2023-24.

Battery Waste

Disposal occurred from select corporate offices which was taken into account. This was disposed through authorised vendors to ensure safe disposal.

Paper and Cardboard Waste

The total paper procured at Kotak during FY 2024-25 was considered to be consumed and generated as waste. Paper, which was disposed through the authorised waste disposal vendors, was considered to be recycled, it was taken at actuals and the rest was assumed to have gone to landfill. We adopted this assumption of considering all paper procured as paper waste in FY 2023-24, which led to increase in waste to landfill. Hence, the data is comparable to FY 2023-24 and not the years prior to that.

Plastic Waste

Disposal occurred from select corporate offices and we used actual recorded data. This waste was disposed through authorised vendors to ensure safe disposal.

Used Oil

Generation of used oil occurs at select corporate office premises, where the maintenance of the generators is under our purview. The data was taken at actuals as it was disposed through authorised vendors to ensure safe disposal and the records of disposal are also shared with the regulators (manifests).

Metal Waste

This was generated from select corporate offices and has been taken at actuals. This waste was disposed through authorised recyclers for safe disposal.

Glass Waste

This was generated from select corporate offices. A one-off type of waste which was generated and calculation has been done taken using actual data. This waste is disposed through authorised recyclers for safe disposal.

Organic Waste

Food waste was generated at our select corporate offices. Its disposal was done through authorised vendors or was converted to manure through the OWCs onsite. We have calculated the waste based on recorded data.

Sanitary Waste

This category of waste has been incorporated in the disclosure from FY 2024-25; it was generated from select corporate offices and select branches, while the calculation has been done using the data received from these locations.

Sludge

This was generated from select corporate offices which have a functional STP and the calculation has been done using the disposal data. Sludge was disposed through authorised vendors to ensure safe disposal.

²⁸GRI 306-2

Waste Management Initiatives at Kotak Mahindra Bank

The Bank is committed to minimising its environmental footprint while promoting sustainable practices in all aspects of its operations. Some of the waste management initiatives undertaken include:



Limitation of Single-Use Plastic Usage: Adoption of 'no single use plastic policy' at select corporate offices, discouraging the use of single-use plastic bottles and promoting the adoption of reusable alternatives



Food Waste Reduction and Minimisation: Implementation of strategies to minimise food wastage by adopting efficient inventory management practices and encouraging employees to plan meals and reduce consumption of perishable items

These initiatives contribute towards our overall sustainability goals and demonstrate our commitment to reducing our ecological footprint while promoting a culture of environmental responsibility within Kotak.



Organic Waste Recycling: Organic Waste Converters (OWC) to convert food waste into manure, reducing environmental impact of our operations



Reduction of Paper Waste Generation through Digitisation: Leveraging technology to minimise paper waste by adopting digital invoicing practices, streamlining our processes and reducing the need for physical documentation



Responsible E-waste Disposal and Hazardous Waste Management: Responsible disposal of e-waste and hazardous waste through authorised channels, ensuring that all electronic devices and hazardous materials were handled and disposed in an environmentally friendly manner

Embracing Sustainability

Resource Management

With a strong focus on responsible resource utilisation, we have undertaken initiatives aimed at reducing paper usage. In FY 2024-25, we successfully achieved a reduction of approximately 47 lakh A4 sheets through the implementation of duplex printing and the migration of physical bank account statements to electronic statements.

In FY 2024-25, we adopted an initiative to utilise recycled paper, which was implemented at select key corporate offices, resulting in a total savings of about 7.6 tons of virgin paper during the year, leading to avoidance of emissions equivalent

to 10.2 tCO₂e. Furthermore, Sonata, one of our microcredit subsidiaries, digitised its entire loan management process from sourcing to disbursement, significantly reducing reliance on physical documentation. This includes electronic signing of loan documents, sharing e-signed documents with clients via WhatsApp to minimise printed document requirements, increased utilisation of system-generated reports and reduction in the number of physical registers maintained at branches. These efforts aim to further reduce paper consumption and contribute to a more sustainable business practice within Kotak.





Other Environmental Initiatives

01

To promote a culture of environmental stewardship within our organisation, we conduct regular employee awareness sessions that reinforce our commitment to environmentally responsible practices across all levels of the company.

02

To encourage the adoption of eco-friendly transportation options, we have installed electric vehicle charging stations at our key offices, providing our employees with convenient access to sustainable commuting alternatives.

03

We have implemented Green Seal Housekeeping chemicals at three of our key premises, contributing to a healthier indoor environment for our employees while also reducing our environmental impact through the use of more environmentally friendly cleaning solutions.

We are committed to implementing our comprehensive ESG Policy Framework across various sustainability-focused initiatives, with an aim to drive significant positive impact. We remain committed to minimise our environmental footprint through strategic initiatives, focusing primarily on optimising resource consumption across our energy and water usage. Staying abreast of evolving regulatory requirements, industry standards and stakeholder expectations through active

engagement with relevant authorities, trade associations and other key stakeholder groups. We are investing in energy-efficient technologies and are looking to diversify our power mix further by increasing our reliance on renewable energy sources. We aim to refine and enhance our sustainability practices, ultimately contributing to long-term value creation for our stakeholders as we work towards minimising our environmental footprint.

Empowering Colleagues

Colleagues at the Core

Our colleagues* are the backbone of our organisation, driving innovation and fueling future growth. We foster an inclusive culture that prioritises colleague well-being, diversity and opportunities for professional development, enabling each individual to thrive and reach their full potential.

Key Highlights

1.14 lakh+

Full-time Employees (FTE)
at our Group

26.4%

Women Employees at
the Group

75,322

FTE of the Bank

16%

YoY (39.6% to 33.3%)
reduction in employee
turnover at the Bank

Material Topics Covered

- Employee Health and Well-being
- Employee Development and Engagement
- Diversity, Equity and Inclusion

Capital Linkage



Human
Capital

Contribution to SDGs



In FY 2024-25, we continued to shape a workplace where every Kotakite feels valued, empowered and inspired to bring their best selves to work. From strengthening career journeys to deepening inclusion and well-being, our focus has been on meaningful progress. Through every change and challenge, our commitment remained steady to nurture potential, build trust and grow together with the spirit of **‘Hausla hai to ho jayega’**.

Anupam Kaura

Chief Human Resources Officer
Kotak Mahindra Bank Limited

* In this report, colleague(s) refers to all employees on full time (permanent and fixed term contracts) and part time roles.

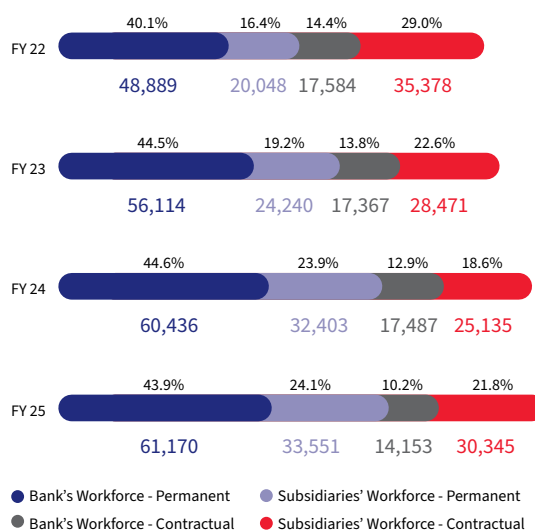
Overview of Our Workforce¹

The Group's total employee strength was over 1.39 lakh, as of 31st March, 2025, reflecting a 3% YoY increase. This included 1.14 lakh full-time staff and 0.25 lakh part-time staff.* 68% of the Group employees were permanent. Our permanent workforce has shown a steady increase YoY. There has been a marked decline in contractual roles at the Bank and subsidiaries, with KLI being the only exception*.

We continue to invest in shaping the workforce of tomorrow, with 42.7% of roles held by individuals under 30 and over 1,100 employees under 30 now holding middle management positions at the Group. There was a marked improvement in gender diversity at the Group in FY 2024-25, with women accounting for 26.4% of the workforce (25.7% in FY 2023-24). In addition, at the Bank, our proportion of permanent women employees increased to 27.3% from 26.5% in FY 2023-24. Of the total new hires at the Group, 25.4% were women.

Employee retention improved with turnover rates for permanent employees at the Bank declining 16%, from 39.6% in FY 2023-24 to 33.3% in FY 2024-25.² There was from 39.7% in FY 2023-24 to 32.1% in FY 2024-25. For mid- and senior-management level employees turnover rate was significantly lower at 14.8% and 14.0% respectively, showing notable decline over FY 2023-24. The average tenures for mid- and senior-management was over six and twelve years, respectively. Internal mobility remained a focus, with 243 colleagues transitioning to new roles within the Group. For detailed retention metrics and employee data, refer to Section A 20-A 22, pages 457-458 of the BRSR and ESG Data Tables, pages 507-510.

Our Growing Workforce



Attracting the Right Talent

We recognise the critical role of technology in driving growth and innovation. We are committed to investing in professionals who share our vision for harnessing the latest digital tools and capabilities to deliver exceptional customer experiences.

Our talent acquisition strategy, centered around the Hire-Train-Deploy (HTD) model, drives a robust pipeline of role-ready talent. We have expanded our sourcing channels through off-campus and lateral hires from top-tier organisations by introducing innovative programmes such as the Kotak NextGen Bankers Programme (in partnership with Manipal Academy of BFSI). To further strengthen our digital capabilities, we have launched initiatives to enhance intake of STEM (Science, Technology, Engineering, Mathematics) professionals and reorganise roles with a focus on digital transformation. We intend to create a more diverse workforce by specifically increasing representation of women by targeting to hire women with diverse qualifications and backgrounds and fostering an inclusive environment that attracts and retains top talent.

¹GRI 3-3, GRI 2-7, BRSR, Section A, Question 20. | ²GRI 401-1

*Due to nature of business, Kotak Mahindra Life Insurance Limited (KLI) has hired insurance brokers, which are primarily contractual.

Empowering Colleagues

Five Pillars of Talent Engagement

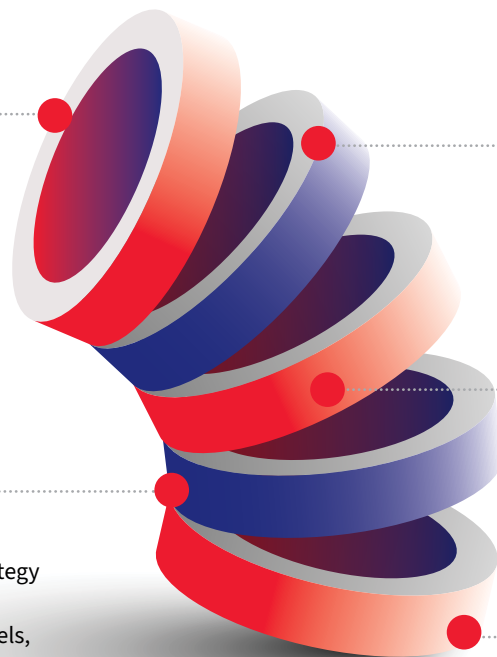
Talent engagement was identified as a strategic priority by the Bank and its leadership team, underscoring our commitment to fostering a high-performance and inclusive culture. To guide our efforts, we have introduced a framework built on five key pillars and initiated foundational steps to embed these principles across the organisation. This structured approach aims to enhance colleague experience, strengthen alignment with organisational goals and drive long-term engagement.

The Best of Kotak for Kotakites

Aims to deliver tailored offerings. Offered a dedicated 'Staff Home Loan Policy'

Transparent Communication

Strengthening its communication strategy by enhancing both the quality and accessibility of communication channels, fostering a culture of transparency, trust and alignment across the organisation



Colleague Development

Targeted initiatives for colleague development fostering continuous learning, leadership development and skill enhancement

Building a Culture of Appreciation

Celebrating and rewarding exceptional performance and contributions across all. Rewards and Recognition platform 'K-Applaud', nurture a culture of appreciation

Colleague Value Proposition

Fostering a deeper sense of purpose and pride in being part of Kotak

These five pillars reflect our dedication to making Kotak not just a place to work, but a place to grow, achieve and belong.

Colleague Development

We foster a culture of ongoing development by offering diverse learning opportunities that empower colleagues to grow at every stage of their careers. Through structured programmes, digital platforms and on-the-job experiences, we ensure that our people are equipped to thrive in a dynamic environment and seize new opportunities as they emerge.

Empowering our Colleagues

We remain committed to investing in our colleagues' growth through a structured and data-driven approach to career development. Our initiatives include targeted training, tailored learning opportunities and a robust performance management system. Leveraging insights from engagement and development data, we design strategies to build critical skills, support key roles and enable career progression from onboarding to retirement.

My Kareer – Internal Talent Management Platform

At the Bank, as part of our continued commitment to colleague development and internal mobility, we enhanced the My Kareer platform, an AI-powered intuitive talent marketplace designed to support Kotakites in navigating their professional journeys. The platform enables colleagues to build personalised profiles, explore internal job opportunities and apply seamlessly across functions. It also identifies individual skill gaps, recommends learning resources and offers visibility into diverse career paths within Kotak. This initiative reinforces our focus on empowering colleagues with the tools and insights needed to achieve their career aspirations.

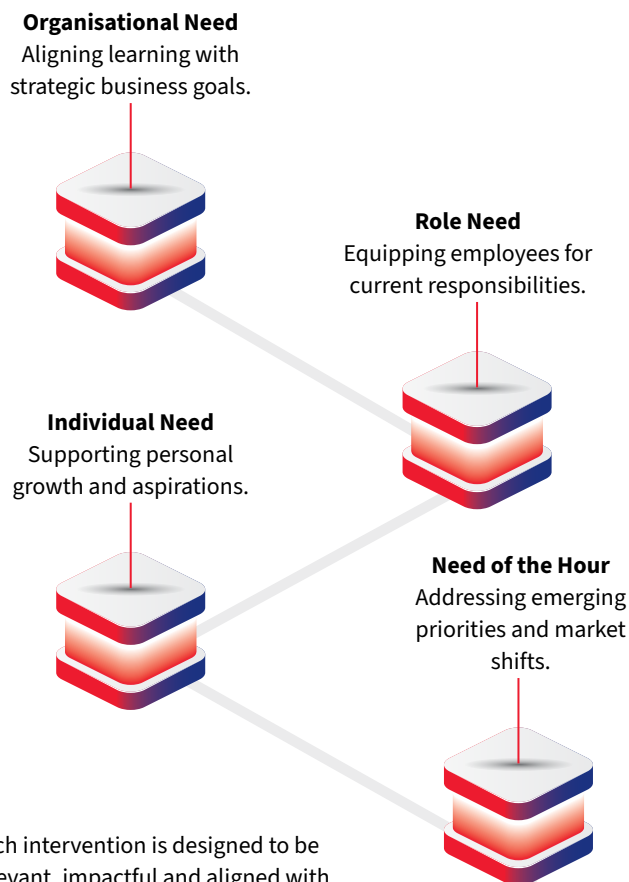
Performance Management System – PRAISE

At the Bank, PRAISE is our goal-setting and performance management system, designed to align organisational objectives with personal aspirations and inspiring individuals to shape their own paths to achievement. Built on four key pillars, growth, transparency, collaboration and fairness, it uses Specific, Measureable, Achievable, Relevant, Time-bound (SMART) KRAs to set clear and trackable goals. Regular feedback sessions support continuous development, while a structured and fair evaluation process also includes an appeal mechanism wherein an employee can seek a revision of performance rating. We also provide tools for personal growth and equip first-time managers with skills to mentor and appraise. In FY 2024-25, all eligible employees underwent comprehensive assessments, resulting in promotions for approximately 10% of our permanent workforce.³

We have begun including ESG considerations in our leadership team's performance appraisals. This was implemented through incorporating the 4C framework – Customers, Company, Colleagues and Community, wherein gender diversity features under Colleagues. Details of the 4C framework can be found in the 'Strategy' section on pages 46-47.

Enhancing Learning Opportunities

At Kotak, learning is a continuous journey, supporting employees from onboarding to leadership. Every initiative is aligned with our business strategy and talent philosophy. Our learning framework is built around four pillars:



Each intervention is designed to be relevant, impactful and aligned with our growth trajectory.

Kotak MyLearn

Launched in FY 2023-24, Kotak MyLearn is our unified digital learning ecosystem. It offers curated role-based journeys and performance-driven insights to support personalised and purposeful career development.

Kotak MyLearn fosters a culture of ownership and empowerment wherein colleagues drive their own growth, managers gain insights and leaders leverage data to scale performance. Aligned with the 'One Kotak' vision, the platform was extended to subsidiaries in FY 2024-25, delivering a unified and high-impact learning experience that builds a future-ready workforce.

³ BRSR Section C, Principle 3, Essential Indicator 9

Empowering Colleagues

Kotak MyLearn offers a personalised, mobile-first experience with an intuitive interface boosting engagement through social learning, gamification and leader boards. AI-powered recommendations from platforms such as Udemy and LinkedIn personalise content-based on user behaviour and role-specific skill requirements.

In addition to traditional learning methods, Kotak's learning architecture integrates diverse pedagogies including:

- ✦ Influencer-led sessions
- ✦ Subject matter expert sessions
- ✦ Peer learning
- ✦ Group and peer coaching
- ✦ Action learning projects
- ✦ Mentoring and coaching via certified internal experts

Some mandatory programmes that are common for all Kotakites and accessed through our learning management system Kotak MyLearn are AML Standards and KYC Norms for Banking and Insurance, Information Security and phishing Awareness, Business Continuity Planning, Kotak Orientation for New Employees, Kotak DNA, Code of Conduct and Prevention of Sexual Harassment (POSH).

Highlights of the Bank's training efforts in FY 2024-25

49.5 hours

average training hours (20% YoY increase) were spent on skill upgradation⁵

₹ 59.4 cr

was invested (29% YoY increase) in employee training, skill upgradation and development⁶

37.9 lakh

of the total recorded learning hours, 52% were offered by instructors across virtual and in-person modes whereas 48% offered by online self-paced sessions

95%

of the Bank's workforce engaged in at least one learning intervention⁴

Over 1 mn hours

of training completed by Bank's employees on anti-corruption policies such as AML standards and KYC norms for Banking and Insurance⁷

Testimonials on Kotak MyLearn from learners



The courses on Kotak MyLearn align well with my job responsibilities and learning goals. They provided valuable insights and practical skills that I can directly apply to my work, helping me perform more effectively in my role. ”

Alkesh Ashokbhai Bhatt

(Associate Vice President, Location Operations Manager)



Kotak MyLearn platform has been incredibly helpful in familiarising me with the organisation's policies, culture and overall functioning. ”

Sunil Sharma

(Principal-Technical Programme Management, Data and Analytics)

⁴GRI 404-2, BRSR Section C, Principle 1, Essential Indicator 1 | ⁵GRI 404-1 | ⁶The costs include cost of training staff, subscription for e-learning modules and conferences. | ⁷GRI 205-2

Leadership Programmes

Kotak Young Leaders Council (KYLC)

The year-long KYLC programme develops future leaders through immersive learning, cross-functional projects and mentoring. High-potential talent gain hands-on experience with strategic challenges while building leadership skills aligned with Kotak's priorities. The KYLC programme has shaped 107 careers till FY 2023-24. In FY 2024-25, it was expanded to Group companies and 84 promising young leaders were selected.



KYLC Batch 2024-25



KYLC has been an exciting journey! The hands-on projects, inspiring mentors and real-time challenges are shaping me into a stronger, more confident leader every day. ”

Amrutha Kandukuri

(Associate Vice President, ESG)

Strategic Leadership Development Programme

Launched in September 2024, the programme engaged 78 senior leaders from key business units. Focused on enhancing strategic leadership styles, it addressed development areas through assessments and peer feedback. With a 4.7 average rating, the programme reinforced leadership excellence in a dynamic environment.

Quantum Leadership Programme

A transformational programme for senior management was launched in FY 2024-25 in collaboration with Cornell University. Focused on strategic agility, innovation and customer centricity, it empowered ~50 senior leaders across verticals to lead through disruption in FY 2024-25. Participants rated this programme 4.8/5 on an average across cohorts.



The session on future business was profoundly insightful. It has significantly transformed my perspective and encouraged me to think beyond traditional boundaries. I am now inspired to explore innovative business ideas and, most importantly, to focus on their effective implementation. ”

Akhil Jain

(Executive Vice President, Zonal Head - Consumer Bank)

Empowering Colleagues

Lead to Transform Programme

This programme aims to build accountable, customer-centric leaders who drive innovation and cross-functional collaboration. In FY 2024-25, it engaged 77 senior leaders to strengthen the One Kotak mindset.

Executive Education for Employees Programme (EEEP)

The EEEP, in partnership with premier institutes such as IIM Indore, Lucknow and Calcutta, delivered curriculum over 80 hours of tailored learning in FY 2024-25. Focused on general management, it empowered 150 Consumer Banking employees with skills aligned to business goals.



The immersion programme was engaging and highlighted the importance of putting the customer at the centre with technology as a key enabler of customer engagement. ”

Bhuvan M

(Senior Vice President, National Sales Manager - Consumer Bank)

Managerial Effectiveness Programmes

Transitioning into new roles is a critical moment in any career. At the Bank, we support these shifts through specialised programmes.

First-Time Managers

This programme supports first-time people managers with key skills in team management and time management. In FY 2024-25, it empowered 1,452 employees to lead effectively and build productive teams.

Manager of Managers

A leadership transition programme designed to equip managers with the mindset and skills to lead through management tiers, align teams and foster strategic and collaborative leadership. In FY 2024-25, it supported 23 leaders.

Branch Manager Next

Branch Manager Next is a talent development initiative that identifies and prepares high-potential employees for future branch leadership roles. The programme certified 238 employees in FY 2024-25, with 175 of participants promoted to Branch Manager positions.

Toast Master

This programme helps employees build public speaking and leadership skills and confidence while promoting personal growth and peer learning. In FY 2024-25, it benefited 136 employees, out of which 87 were branch managers.

Customer Centricity Programme

We recognise that our success is driven by two key stakeholders, our customers and our colleagues. Colleague Development, a core pillar of our talent engagement strategy directly fuels our customer-centric approach.

At the Bank in FY 2024-25, we launched the 'Building Customer Centricity' initiative, reinforcing our belief that putting customers first drives sustainable growth. We aim to exceed customer expectations while fostering a supportive and transparent work environment. In FY 2024-25, around 14,000 employees participated in the programme, fostering a unified customer-first mindset and driving a meaningful shift in how we serve and support our customers.



I feel immensely proud that we got an opportunity to talk about such an important topic in different workshops. I have not only gained insights into understanding customer experience from the customer's point of view, but have also shared this knowledge with others to help them adopt a similar approach. This workshop is definitely going to bridge the gap between customer expectation and our service. ”

Prashant Bharadwaj

(Senior Manager, Product Manager - Consumer Bank)

Succession Planning

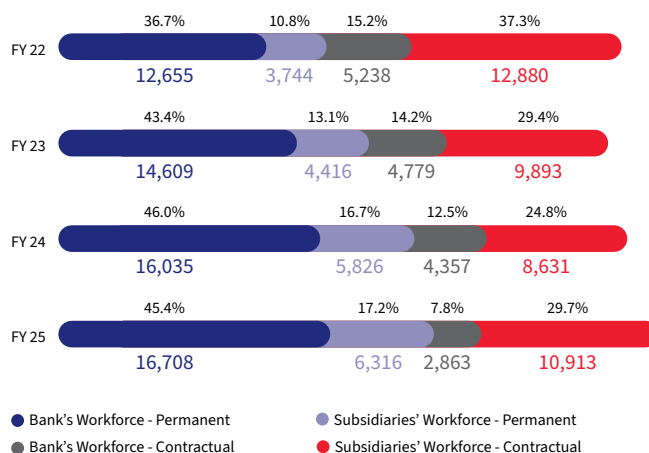
The Bank has a robust succession planning policy, reviewed by the Nomination and Remuneration Committee (NRC), to ensure smooth leadership transitions across key roles. It identifies and evaluates candidates for senior positions based on experience, skills and regulatory compliance. The NRC may also engage external experts to support the selection process, ensuring leadership continuity and Board effectiveness.

Our subsidiaries run targeted development programmes to build future-ready talent. KSL offers the PACE programme to enhance customer interaction and the Connexion Programme for soft skills training. KLI, 'KLICK 40 Under 40' nurtures young leaders through IIM Kozhikode engagement initiative and peer learning. Its Leadership Development Programme (LDP), in partnership with IIM Lucknow and TinkerLabs, trained 29 leaders in design thinking. Three of the eight business projects generated through the programme won internal awards. Additionally, Sonata launched 'Nayi Rah,' a career progression plan for employees.

Diversity and Inclusion⁸

We are committed to fostering a diverse, inclusive and equitable workplace. We aspire to have women represent at least a third of the Bank's workforce. We have established a Diversity, Equity, Inclusion and Belonging (DEIB) council at the Bank, which is led by an executive director and comprises leaders across business segments. The council oversees our DEIB charter, focused on culture, people and policies ensuring inclusive practices, empowering women and embedding DEIB principles across the organisation. We uphold fairness and transparency in recruitment, compensation and career progression and actively promote women's participation through targeted hiring initiatives.

Our Women Workforce at the Group:



We are building a workplace where everyone is seen, heard and valued -not despite our differences but because of them. Inclusion is how we grow together. ”

Paritosh Kashyap

Chairperson – DEIB Council, Group President and Head – Wholesale Bank

Empowering Colleagues

Our Equal Employment Opportunity Policy is in alignment with the 2016 Rights of Persons with Disabilities Act. We have 44 differently abled permanent employees in the Group (27 in the Bank). Our workplace is designed to be accessible for individuals with disabilities, with ramps at key premises facilitating easier access. Additionally, more than 980 ATMs and over 650 branches feature differently abled friendly entrances.

In FY 2024-25, through a targeted initiative we engaged with a NGO to provide internship opportunities to differently abled people and seven differently abled professionals completed internship with us. Post which they were on-boarded into full-time roles with the Bank. Smooth transition was supported through sensitisation workshops for their managers and peers, fostering a culture of acceptance, empathy and understanding.

Our women focused programme, Kotak Wonder Women (KWW) is a testament to our commitment to empowering women in leadership roles. Under the programme, we undertook several initiatives to break down barriers and ensure that our women colleagues have access to equitable opportunities. Our key initiatives include,

- ✦ **Maternity Leave:** Leave policy for all women colleagues. Commissioning and adopting mothers are also entitled to maternity leave benefit.
- ✦ **New Mother Benefit:** Monthly financial support for 12 months, with options for flexible hours, part-time work and sabbatical leave.
- ✦ **Maternity Support:** Enhanced infrastructure including priority parking, ergonomic workspaces and role transition training for expecting and returning mothers.
- ✦ **Performance Protection:** PRAISE ratings safeguarded during maternity leave.
- ✦ **Kotak Relaunch Programme:** A 6-month reintegration programme for women returning from career breaks.
- ✦ **Flexible Work Arrangements:** Remote and part-time work options to support diverse needs.
- ✦ **Safe Travel:** Dedicated cab service for safer commuting.
- ✦ **Childcare Support:** Crèche facilities through partnerships with leading childcare providers.
- ✦ **Travel with Caregiver:** Enhanced travel entitlements for mothers with infants and caregivers.
- ✦ **SheUnites Sessions:** Leadership engagement forums promoting DEIB, career growth and peer networking.
- ✦ **Employee Assistance Programme:** 24x7 access to professional counseling for personal and professional support.

Our women's networks provide vital support, mentorship and inspiration. Through cross-functional programmes and partnerships, we encourage knowledge-sharing and collaboration, building a strong and inclusive community.

Across subsidiaries, several initiatives are empowering women and promoting inclusion. At KMCC, the BILD U-Leadership programme was launched to empower women through structured discussions and personal and leadership development training. Sonata introduced the POWER Club, a dedicated platform fostering women's professional growth through mentorship and capability-building sessions and the SHE SUVIDHA initiative was established as a Women's Cell to address grievances and provide counselling. Sonata focuses on hiring women employees to handle its customers, which is observed to be an enabler of increasing women customers. Additionally, KSL hosted the Diversity Marathon, a flagship event aimed at promoting inclusive leadership and celebrating workplace diversity.

At KLI, diversity, equity and inclusion are core parts of the HR strategy, which has been reflected in impactful initiatives such as Transcendence, a leadership development programme that empowers future women leaders through expert-led, experiential learning; Fem-Tribe, a women-led think tank that amplifies diverse voices to foster inclusion and equity across the organisation; and Careers for Life, a hiring initiative focused on supporting women particularly those returning from career breaks in restarting their professional journeys. Following the hiring target set at KLI in FY 2023-24, a focused career fair enabled onboarding seven differently abled people.

Colleague Value Proposition

Kotak remains committed to building a purpose-driven and inclusive workplace. In FY 2024-25, we introduced targeted initiatives to enhance colleague engagement, foster professional growth and strengthen our culture of recognition and well-being. These efforts reflect our ongoing investment in developing talent and reinforcing the pride of being a Kotakite. We promote awareness through regular training and communications, equipping colleagues with the tools to foster inclusive workplaces.

We promote awareness through regular diversity and inclusion training and communications, equipping colleagues with the tools to foster inclusive workplaces.

Culture of Inclusivity and Beyond Bias

We are committed to fostering an inclusive culture through focused DEIB initiatives. The 'Culture of Inclusivity and Beyond Biases' initiative was launched to strengthen awareness of DEIB across the Bank. Through structured modules, colleagues explored visible and invisible aspects of diversity, biases, inclusive mindsets, emotional intelligence and allyship. In FY 2024-25, over 27,000 employees completed the programme, advancing our commitment to building an inclusive, empathetic and equitable workplace.

Testimonials of Culture of Inclusivity and Beyond Biases



As a manager I should not be biased towards any team member. This session taught us how to identify different types of biases, improve our awareness and avoid them in day-to-day life. ”

Ambili A Nair

(Associate Vice President, Cluster Manager - Wholesale Bank)



Recognising, understanding and respecting differences in cultural backgrounds, values, beliefs and practices is essential. Creating an environment that encourages meaningful participation from people of all backgrounds is key to fostering inclusivity. ”

Srikrishna Moorthy Sivakumar

(Executive Vice President, Lead-Acquisition & Digital Marketing - Consumer Bank)

Health and Wellness⁹

Employee health and wellness are core to our enhanced colleague value proposition. By supporting physical, emotional and mental well-being, we drive productivity and long-term organisational resilience. Our annual health check programme is available to all eligible Bank employees, offering a range of preventive health screenings. These services are facilitated through partnerships with diagnostic centres nationwide. For colleagues and their families who are not covered under the eligibility criteria, the screenings are offered at discounted rates, ensuring access to health management solutions for all.

Integrated Health Solutions - The Kotak Worklife App now features annual health screening, enabling colleagues to book appointments, access telemedicine and receive personalised nutrition guidance promoting holistic well-being for them and their families.

Promoting Work-Life Balance and Wellness - Regular webinars and weekly activities such as yoga, desk exercises and wellness games, promote emotional, social, mental and physical well-being among colleagues.

Stepathon Challenge – A Walk for a Cause Initiative - In December 2024, we launched a 3-month fitness challenge encouraging daily activity via a tracking app. Colleagues collectively worked toward the symbolic goal of reaching the moon and back, promoting a culture of health and well-being.



Finding harmony through sounds on Yoga Day

We conducted specialised health camps addressing diverse wellness needs, including breast cancer screenings, vaccinations and other critical health programmes. These initiatives reflect our commitment to holistic employee well-being and a culture of care.

⁹GRI 403-6

Empowering Colleagues

Employee Volunteering

Volunteering remained a key pillar of employee engagement at Kotak. In FY 2024-25, at the Bank, 6,634 employees volunteered across 20 initiatives nationwide, reflecting our strong commitment to community impact and social responsibility.

Theme: Education

Light a Life - Building Solar Lamps: Volunteers learned about electricity usage while assembling solar lamps, which were donated to underprivileged children for community welfare.

Educard: Volunteers created engaging educational cards with new words, images and educational concepts. These child-friendly cards were donated to underprivileged children to support their learning.

Jenga Blocks: Volunteers customised Jenga blocks with fun challenges on Math, GK and English, making learning playful. These were donated to underprivileged children.

Donation Drive: During Daan Utsav and Secret Santa, colleagues donated educational items for students of the Kotak Education Foundation.



Theme: Relief and Rehabilitation

Relief and First Aid Kits: In response to the devastating landslides and floods in Wayanad, Kotak provided Relief and First Aid Kits to support displaced families.

Theme: Livelihood

Diya Painting: Across 75 offices, Kotak volunteers painted 26,265 diyas to spread festive cheer and support underprivileged children and women from Self Help Groups.

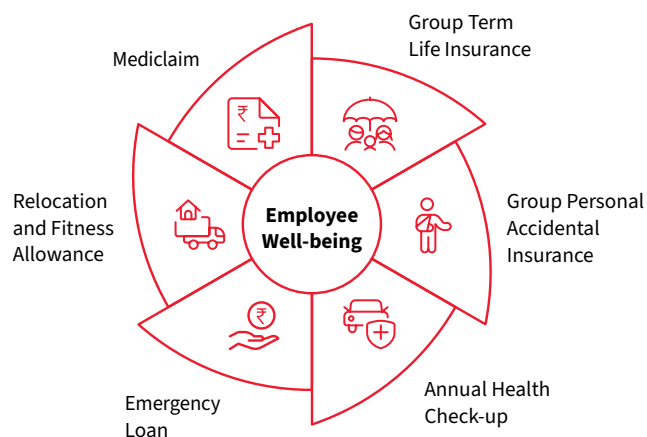


Best of Kotak for Kotakites¹⁰

We are extending the great benefits we offer our customers to our Kotakites at exclusive employee rates, while streamlining policies to make access and usage of these benefits to be simpler and efficient.

Kotakites Health and Well-being

Caring for well-being of Kotakites[#]



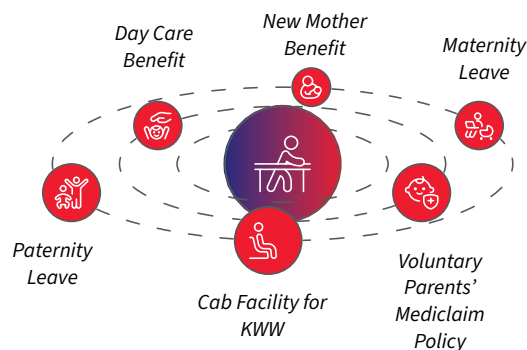
¹⁰GRI 401-2, BRSR Section C, Principle 3, Essential Indicator 1a | [#]Applicable for the Bank and select subsidiaries

We offer a comprehensive suite of benefits to support the well-being and growth of our employees at the Bank. Comprehensive employee benefits include insurance coverage, voluntary parental insurance, corporate perks such as corporate credit card and business car for certain grades, fitness and relocation allowances, learning programmes and wellness initiatives that ensure holistic well-being and growth for all Kotakites.

From energising yoga and Zumba sessions to fun quizzes and social events, we bring wellness to life both online and on-site. Our 'Health to the Power Infinity' platform offers easy access to doctors, nutritionists, emotional support and exclusive pharmacy discounts.¹¹

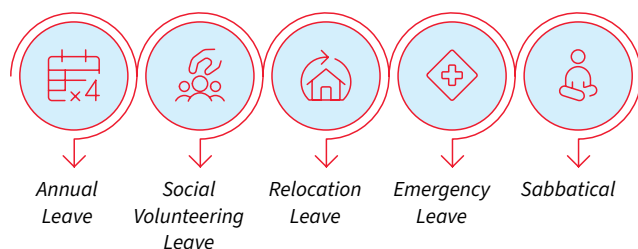
Supporting Kotakites to Take Care of Their Families[#]

Kotakites enjoy benefits that support both personal and family well-being. Parental benefits at the Bank include day care, helping colleagues balance work and family with ease. The Group facilitates insurance coverage to dependent parents and parents in laws through voluntary parental insurance.



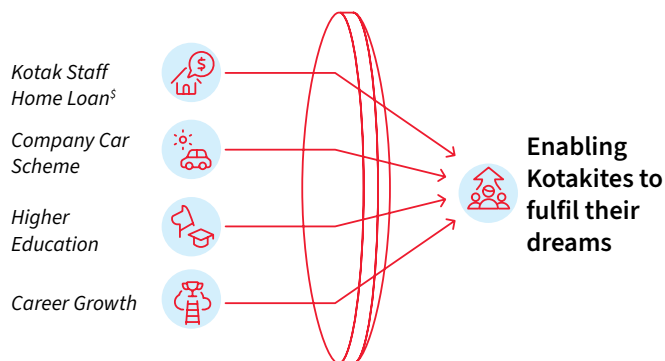
Encouraging Kotakites to Take Time-off[#]

We provide comprehensive leave benefits and actively encourage colleagues to utilise their leave entitlements to maintain a healthy work-life balance.



Enabling Kotakites Achieving Their Dreams[#]

We help Kotakites turn their dreams into reality with exclusive benefits such as subsidised home loans[§], Company car schemes and support for higher education and career advancement, empowering every step of their journey.



Enabling Kotakites to Plan for Retirement[#]

Kotakites are empowered to plan a secure future with retirement benefits such as NPS, provident fund, superannuation[§] and gratuity. Eligible employees also enjoy stock ownership[§] opportunities, helping build long-term financial well-being.



Our subsidiaries, KAAML, KMCC, KLI and KSL run a CARE programme for mental health and well-being of the employees and also facilitate annual health checkup.

KLI promotes employee well-being through initiatives such as Mental Health Café, which provides a platform for bi-monthly mental health sessions, reaching 1,200+ employees and wellness camps on physical and emotional health. For women on maternity leave or returning to work, the 'NurtureNet' programme offers group therapy, peer support and guidance to ease the transition back to work.

¹¹GRI 403-6 | [§]Applicable for the Bank only | [#]Applicable for the Bank and select subsidiaries

Empowering Colleagues

Culture of Appreciation

In partnership with the Great Place to Work® (GPTW) Institute, we conduct annual engagement survey that continues to reflect the strength of our workplace culture. We are proud to share that 78%* of our employees who responded believe Kotak is truly a Great Place to Work.



Our colleague-centric approach has earned us top honors from GPTW institute

- + Among Top 50 India's Best Workplaces in BFSI for two consecutive years (2024 and 2025)
- + Among India's Top 100 Best Companies to Work for two consecutive years (2024 and 2025)
- + Among India's Best Employers among Nation Builders for four consecutive years (2022 to 2025)
- + Among India's Best Workplaces for Women for two consecutive years (2023 and 2024)

'Celebrating You' is our recognition framework that integrates appreciation into daily work life through initiatives such as Long Service Awards, Hi-Five Awards for real-time recognition and Infinity Awards for contributions to sustainability, community and inclusivity. K-Applaud is a platform that brings all rewards and recognition efforts to colleagues' fingertips, enabling us to appreciate our peers and performers. We also celebrate our people through vibrant initiatives such as the KMIL premier league, our 39th anniversary virtual celebration and Kotak Karnival, which engages colleagues and families through talent showcases and volunteering.

We celebrate individuals driving positive change through our infinity annual awards, recognising champions of diversity and inclusion. KLI fosters engagement through onboarding programmes, recognition initiatives and AI-driven support for 11,000+ employees. KSL's people-first culture earned it the Great Place to Work certification.

Transparent Communication

We believe open dialogue builds trust and drives engagement. Through platforms such as town-halls and skip level meetings, leaders maintain direct and meaningful connections with colleagues. These forums encourage the sharing of ideas, concerns and feedback. To further strengthen communication, we have developed multiple channels that ensure every Kotakite's voice is heard and valued.

At the Bank, we have introduced Amber, our smart assistant to the CHRO tool, that reaches out to colleagues for any feedback that they may have on working with Kotak. Amber plays a vital role in strengthening employee engagement by capturing real-time feedback across all stages of tenure and provides actionable insights that shape our strategies and decisions. With an engagement score of 81/100, Amber continues to be a cornerstone of our responsive and people-centric culture.

**Out of the employees who took the survey, 78% say Kotak Mahindra Bank is a great place to work and take pride in being a part of the Bank.*

Our Intranet Platform, KotakWorld, launched in FY 2024-25, is a one-stop solution to all the latest news and happenings at the Bank.

We regularly conduct annual employee satisfaction surveys to measure our progress and identify areas for improvement. Building on this, we have established 'My Kotak My Say', an innovative platform that enables colleagues to share their thoughts and feedback in a structured and confidential manner.

Occupational Health and Safety¹²

We ensure a safe and healthy workplace through ISO 45001:2018-certified Occupational Health and Safety Management System (OHSMS), implemented at eight major corporate locations covering over 20% of the Bank's workforce.¹³ These sites undergo regular third-party audits and internal evaluations. Our OHSMS manual outlines governance, audit protocols, team responsibilities and performance metrics, with senior management actively overseeing safety outcomes to drive continuous improvement.

In line with ISO 45001:2018, we conduct regular Hazard Identification and Risk Assessment (HIRA) exercises to evaluate and mitigate workplace risks. HIRA outcomes are reviewed annually, updated based on incidents and shared across locations to strengthen preventive safety measures.¹⁴

At our ISO 45001:2018 certified sites, we ensure effective occupational health and safety management by considering factors such as work organisation, leadership, culture, past incidents, emergency preparedness and evolving hazard information. Our Occupational Health and Safety Management Representative (HMR) oversees hazard identification, ensuring it is conducted by qualified experts. The HMR supervises all site activities, conducts safety 'Toolbox Talks' for vendors and maintains an up-to-date hazard checklist. Clear methodologies guide systematic risk assessments for both routine and non-routine tasks. We ensure employee safety through regular fire drills led by trained wardens, preventive health services and enhanced workplace safety with slip-resistant flooring and ergonomic seating.¹⁵

Employees are encouraged to report hazards via our helpdesk for swift action. Our learning portal offering digital trainings on safety, covering scenarios such as robbery, bomb threats and fires. It was accessed by 15,217 employees in FY 2024-25.¹⁶ OHSMS updates are shared through emails, signage and nodal contacts.

Human Rights

We are committed to upholding human rights and fostering a safe, inclusive and respectful workplace. Our Human Rights and Anti-Discrimination Policy at the Bank supports the United Nations Universal Declaration of Human Rights and the International Labor Organisations' (ILO) fundamental conventions, adopted by India, in our applicable laws and regulations, promoting equal opportunity, fair treatment and protection against child and forced labor. We also engage in collective bargaining, with 2.1% of the Bank's permanent workforce represented by trade unions.¹⁷

We enforce a zero-tolerance approach to harassment through our POSH policy, which is supported by an internal committee and regular employee training. Over 60% of the Bank's workforce completed trainings covering aspects of human rights in FY 2024-25.¹⁸ Our employee survey in FY 2024-25 assessed workplace culture, inclusion, safety and development opportunities to guide improvements.

Multiple confidential channels, including our internal platforms, HR helpdesk and direct contact with HR team support grievance redressal. Our Code of Conduct ensures anonymity and protection against retaliation. A robust whistleblower policy further empowers employees and stakeholders to report concerns safely and anonymously.¹⁹

Our people are the foundation of our success. We invest in their growth through robust talent development, digital transformation, inclusive culture and wellness initiatives, empowering every Kotakite to thrive and drive sustainable and future-ready growth.

¹²GRI 403-1, GRI 3-3, BRSR Section C, Principle 3, Essential Indicator 10 | ¹³GRI 403-8 | ¹⁴GRI 403-2, GRI 403-3, GRI 403-9 | ¹⁵GRI 403-7, GRI 403-3 | ¹⁶GRI 403-4, GRI 403-5 | ¹⁷GRI 2-30, BRSR Section C, Principle 3, Essential Indicator 7 | ¹⁸BRSR Section C, Principle 5, Essential Indicator 1 | ¹⁹GRI 2-25, GRI 2-26, BRSR Section C, Principle 3, Essential Indicator 6

Supporting Communities

At Kotak, our commitment to communities goes beyond providing access to financial services. It is the Group's endeavor to contribute towards sustainable development and growth by adopting responsible business practices that serve the interests of all its stakeholders, including society at large.

Reach

21

States

100+

Districts



Through our CSR initiatives, we aim to improve the quality of life of the communities we serve. Our CSR initiatives are focused in areas such as Education, Livelihood enhancement, Entrepreneurship and Innovation, Healthcare, Environment and Sustainable Development, Relief and Rehabilitation and Sports. Our strategic partnerships and innovation in CSR interventions are directed towards addressing social challenges and contributing to nation building. In FY 2024-25, we continued to strengthen our community development initiatives, ensuring that our efforts are impactful and scalable.

The Bank's and its subsidiaries' CSR policies, outlining their approach to corporate social responsibility, are available on their respective websites. Additional information on the Bank's CSR programmes can be found in the Director's Report on pages **318-323**.

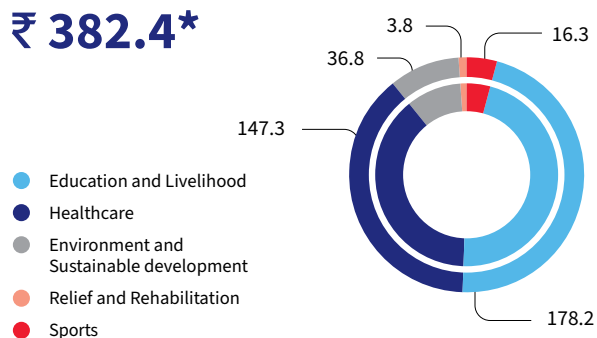

14.6 lakh+

Beneficiary reach*

**We estimate CSR beneficiaries based on data provided by the implementing agencies and some of them may not be unique.*

Group CSR Expenditure FY 2024-25 (in ₹ cr)

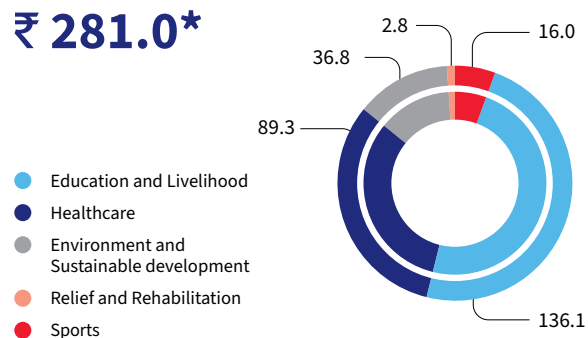
₹ 382.4*



For FY 2024-25, the mandated CSR expenditure for the Group was ₹ 388.8 crore and the actual CSR expenditure was ₹ 389.3 crore (including transfer to Unspent CSR Account, administrative overheads and impact assessment)

Bank CSR Expenditure FY 2024-25 (in ₹ cr)

₹ 281.0*



For FY 2024-25, the mandated CSR expenditure for the Bank was ₹ 285.5 crore and the actual CSR expenditure was ₹ 285.7 crore (including transfer to Unspent CSR Account, administrative overheads and impact assessment)

*The breakdown of actual CSR expenditure (excluding overheads and impact assessment costs) towards various themes is given above.

Pillars of Kotak's CSR Philosophy



Supporting Communities



Enabling ACCESS

Our CSR efforts in Education and Healthcare aim at complementing the existing system by bridging the gaps in resources and opportunities. Our programmes take a holistic life cycle approach.



Enabling Access - to Education

Our interventions in education are high-impact, long-term investments that aim at creating an equitable education landscape and bringing advancements in education at the grassroots. We support multiple programmes that focus on teacher training, scholarships and infrastructure upgradation for schools.



Learning Outcomes and Remedial Education

- ✦ 2,600+ schools supported with interventions around foundational literacy and numeracy, digital learning, communicative English and school leadership development
- ✦ 18,000+ teachers equipped with digital tools and skills to deliver quality education

The key outcomes targeted through these interventions were improved academic performance, especially in STEM (Science, Technology, Engineering and Mathematics), improved attendance and mainstreaming of dropouts.

Infrastructure Upgrade

- ✦ 180+ government schools and anganwadis renovated and/or augmented with learning materials and digital tools.

These interventions created a better learning environment, particularly in schools and anganwadis with limited resources and those catering to children from poor socio-economic backgrounds.

Scholarships

7,600+ students from economically challenged backgrounds were supported through long-term scholarships for continued education. Major initiatives undertaken:

- ✦ Kotak Junior and Kotak Graduate - Economically vulnerable students from standard 11 up to graduation supported with merit-based scholarships.
- ✦ Kotak Kanya - Merit-based scholarships for girl students from economically weak backgrounds to pursue professional courses at graduation level from premier institutions such as IITs, AIIMS among others.
- ✦ Kotak Shiksha Nidhi - Crisis-driven scholarships to support children who lost a primary earning member to Covid-19 to achieve their educational milestones.

Most of our scholarship initiatives go beyond financial support by addressing other key needs such as mentorship, mental wellness and life skill training that enable students to pursue promising career paths with significantly improved earning potential.

Key implementing agencies: Kotak Education Foundation, Khan Academy, IIMPACT and Parivaar Education Society

4.9 lakh

Students benefited

2,900+

Schools and
Anganwadis
reached

18,000+

Teachers supported



Enabling Access - to Health

Our interventions in Healthcare are primarily targeted towards building a comprehensive healthcare ecosystem around selected themes wherein we attempt to address the full spectrum of critical needs. Such integrated efforts form the backbone of our approach to holistic healthcare—one that is patient-centric, accessible and resilient. By combining specialised expertise, grassroots outreach and robust infrastructure, we aim to create a lasting impact on communities for generations to come.

Cancer Care

- ✦ 60+ medical institutions and hospitals benefitted from critical infrastructure and operational support
- ✦ 11,000+ cancer patients supported

Our efforts in the cancer care continuum start with cancer screening and diagnosis, medical equipment for hospitals and extend to supporting nutrition and medical needs (incl. surgeries) and palliative care for terminally ill patients. Our comprehensive approach in pediatric cancer also includes accommodation, transport, educational and recreational support to the child and guardian, apart from diagnosis and treatment support.

By making advanced cancer care more accessible, we aim to reduce disparities and improve outcomes for the vulnerable.

Last-mile Care

- ✦ 8.5 lakh+ footfall across health camps proving primary care and screening
- ✦ ~40 Mobile Medical Units and telemedicine centres

We are deeply invested in strengthening primary care services and supporting inclusive healthcare delivery to the last mile.

Through Mobile Medical Units we reach marginalised communities delivering essential services such as check-ups, diagnostics and health education directly to those who need it the most. Additionally, we conducted dedicated health camps that covered basic consultations, routine health checks, eye and dental check-ups and extended support for diagnosis and treatment for oral cancer and cataract.

Under primary care services, we also have several initiatives towards maternal and child health that prioritise early intervention and preventive care, ensuring healthier beginnings and stronger futures for families.



Infrastructure

- ✦ Supported 60+ Government and Charitable Hospitals to upgrade their infrastructure with equipment for MRI, CT, PET CT, 2D ECHO, Dialysis and ambulances.

Underpinning all healthcare efforts is our commitment to developing and enhancing critical healthcare infrastructure. Last year, we supported projects that involved expanding hospital capacities by providing medical equipment to support diagnosis and treatment. These investments improve efficiency and also aid in faster lead times in patient care, shorter wait times for enhanced turnaround and quality care.

Key implementing agencies: CanKids...KidsCan, Smile Foundation and Tata Memorial Centre

5.6+ lakh **8,000+** **250+**

Overall healthcare
beneficiaries

Surgeries
supported

Hospitals / medical
institutions supported

Supporting Communities



Building RESILIENCE

Kotak aims to equip communities to adapt to climate and economic stress through a combination of interventions across environment, social and economic aspects.



Climate Resilience

- ✦ 11,000+ farmers and households in water stressed regions supported
- ✦ 16 lakh+ KL water harvesting capacity created and 9,500+ acres of land positively impacted

We work towards ensuring water security and better crop yield through soil and water conservation measures that include building and reviving water harvesting structures and de-siltation of traditional water tanks. The structural barriers and conservation measures that we have supported are expected to reduce water stress over a period of time.

Our efforts in natural resource management and ecosystem restoration were complemented by our demand-side interventions with farmers. We supported trainings on yield increase, reduction in input cost and integrating micro-irrigation practices. Further, income diversification efforts are expected to significantly improve farmer incomes. We also support policy-influencing research on farming practices, high-value crops, farm produce and value chains for improving farmer income capabilities.



Income Resilience

Livestock Development

- ✦ 27,000+ cattle under livestock programmes benefitting marginal and landless farmers.

Our livestock development programmes support creation of a steady secondary income source for farmers. The programme provides doorstep breeding services and access to veterinary services and Government schemes.



Sustainable Agriculture

- ✦ 7,900+ marginal farmers trained
- ✦ 6,700+ acres of farm land poised to benefit

Under our sustainable agriculture initiatives, we provided training and support for better agri-input, value chain development, irrigation, crop diversification to strengthen Farmer Producer Organisation and other collectives. Cumulatively, our efforts aim to enhance agricultural production and income through better yield, reduced input cost and better water availability.

Skill Development

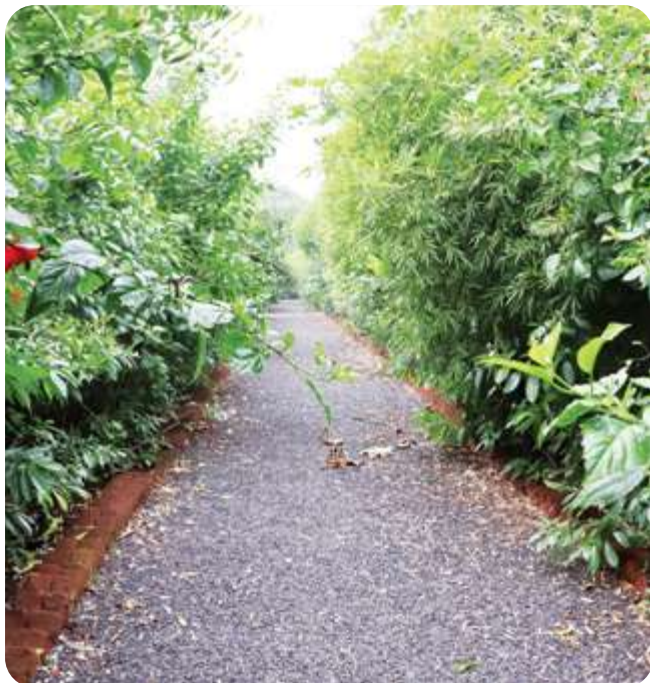
- ✦ 11,000+ youth trained (~70% placed)

We support sector specific short-term courses that offer professional and life skills training, spoken English, personality development, work readiness and placement assistance for a secure career in these trades: BFSI, Customer Relationship and Sales, Hospitality, Heavy machinery operator, etc.

Nano Entrepreneurship

- ✦ 1,400+ Nano entrepreneurs supported

We supported entrepreneurs in rural and semi-urban areas to facilitate upward mobility for marginalised groups such as women, small or landless farmers and self-employed people. The projects facilitate access to credit, mentorship, market linkages and bridging the gap of innovation and digitalisation.



Restoring Habitats

- ✦ 1.5 lakh+ saplings planted
- ✦ Restoration work on 11 waterbodies initiated

We supported afforestation on barren lands restoring them into micro-habitats for biodiversity to flourish. Over the past three years, we have planted three lakh+ saplings over 30 acres across seven cities.

Since FY 2022-23, we have also supported restoration of 13 lakes. Around 400 acres of lake and drain area was restored by clearing waste and silt and was fenced. Cumulatively, the water harvesting capacity of these waterbodies was increased by ~18 lakh KL. This restoration safeguards waterbodies from the risk of encroachment, illegal waste dumping and degradation. In FY 2024-25, we extended support for restoration of 11 additional waterbodies.

Apart from the long-term impact on biodiversity, microclimatic conditions and carbon sequestration potential, such green spaces also act as recreational spaces for local communities to connect with nature that stays protected against risks of encroachment and waste dumping.

Key implementing agencies: Watershed Organisation Trust, Professional Assistance for Development Action, Green Yatra Trust and Environmentalist Foundation of India

19,000+ Farmers reached **16,300+** Acres of land **16,000+** Youth benefitted

Supporting Communities



Building Flagship INSTITUTIONS

Through our CSR interventions, we support institutions that create impact and can render benefits to the society over a long period of time. We have supported the creation of aspirational institutions and programmes, many of which are in partnership with prestigious institutions in India.

Kotak Education Foundation (KEF)

KEF is the primary implementing partner for our education-based CSR programmes. It is on a mission to empower economically disadvantaged children and youth through a trinity of school education, scholarships and vocational education.

In FY 2024-25, the education programmes reached 800 schools across Maharashtra, Goa, Andhra Pradesh and Gujarat. Two lakh students and 4,500 youth benefitted⁵ from KEF's education, scholarship and skill training programmes.

Kotak Pullela Gopichand Badminton Academy (KPGBA)

The Kotak Pullela Gopichand Badminton Academy was built with a vision to create world-class badminton players from India and strengthen sports infrastructure and unlock avenues for the youth of the country.

The badminton training centre in Hyderabad offers advanced infrastructure and amenities, along with international-level coaches, to provide training to athletes and is an aspirational facility for potential players across the country. In FY 2024-25, around 30+ professional athletes were trained at the facility and bagged 80+ medals at national and international competitions.



Kotak IISc AI - ML Centre (KIAC)

The AI-ML Centre at IISc Bangalore was established with the goal of enabling world-class education, research and innovative solutions in the field of AI and ML over a period of time by training people from across the country and providing cutting edge solutions to the industry. We have been supporting the centre for carrying out research and development work in AI and ML since FY 2022-23.

Kotak IIT Madras Save Energy Mission (KISEM)

Kotak partnered with IIT Madras in FY 2021-22 to create a long-term programme to support decarbonisation efforts in Indian manufacturing sector with a focus on SMEs. In FY 2024-25, the programme was expanded to three additional locations. Currently, 10 IITs across India are conducting energy assessments across local manufacturing clusters. More than 250 SMEs have initiated their journey towards energy efficiency and sustainability so far.

Kotak School of Sustainability (KSS)

In FY 2023-24, we initiated support to IIT Kanpur to establish a School of Sustainability at their main campus. KSS is an integrated school, which has academic entities and Centres of Excellence to carry out academic programmes and research.

Fifteen impactful research and development projects in interdisciplinary areas of Weather, Climate and Floods, Environment, Public Health and Sanitation, Green-tech and Sustainable Production. were supported in FY 2024-25. In addition, a Master's Programme in AI for Sustainability was launched, integrating AI with environmental science, water management and urban sustainability.

⁵ We estimate CSR beneficiaries based on data provided by the implementing agencies and some of them may not be unique.

**Ashok Vaswani**

Managing Director & CEO
Kotak Mahindra Bank Limited

“

At Kotak, we are committed to building institutions that go beyond immediate impact – rooted in excellence, built to scale and designed to serve generations. ”

Our recently launched Kotak BizLabs Accelerator Programme is a testament to our commitment to strengthening India's entrepreneurial ecosystem. As a beacon of support and scale, this programme empowers visionary entrepreneurs to build sustainable ventures, create jobs and drive inclusive growth.

Our flagship CSR initiatives are not just projects – they are platforms for possibility, designed to fueling the dreams of the aspirational Indian.

Kotak BizLabs Accelerator Programme

Our flagship initiative - Kotak BizLabs Accelerator Programme that was launched in FY 2024-25, supports scaling up of early-revenue stage startups in India. Kotak Bizlabs offers an amalgamation of tailored mentorship, strategic partnerships and catalytic grant funding support to startups operating in critical sectors such as agritech, climatech, fintech, healthcare, edtech and sustainability.

In the current cohort, 55 startups are actively engaged in an intensive acceleration journey. A broader cohort of approximately 1,000 startups are being supported with access to an intensive online startup school, one-to-many mentorship sessions and networking opportunities.

The Kotak BizLabs Accelerator Programme embodies the commitment of the Group to foster innovation, nurture job creation and drive economic prosperity through entrepreneurship.



Supporting Communities



Supporting DIVERSITY and INCLUSION



People with Disability (PWD)

- ✦ Skill training and employment to 5,500+ PwD youth
- ✦ Medical and counselling interventions that supported 11,000+ people with physical and intellectual disabilities
- ✦ About 2.4 lakh parents of children and youth with special needs given access to information on service providers for better care
- ✦ Supported ~2,600 corrective surgeries and treatments to children with congenital abnormalities such as clubfoot and hearing impairment to restore function and mainstreaming them.

Our PwD inclusion programmes aim to mainstream people with disability and enable them for independent living. We are following a life cycle approach by supporting projects across early intervention and rehabilitation, special education, higher education, distribution of assistive devices and mobility aids, skill training and livelihood.



Gender Diversity

- ✦ 180+ women entrepreneurs enabled
- ✦ Around 850 Kotak Kanyas supported

We support NSRCEL at IIMB for a women start-up programme that enables ambitious and innovative women entrepreneurs to transform their ideas into business ventures. Through its tailored approach, the programme provides holistic mentorship, strategic advisory, access to resources and funding to startups from the ideation to scale up stage.

‘Kotak Kanya’, an aspirational pan-India scholarship helps meritorious undergraduate girl students pursue higher education at premier institutions across the country.

We supported around 15 women-focused programmes across livelihood, education and healthcare. Women inclusion is also ensured in all other programmes.

Key implementing agencies: NSRCEL, KEF, Sarthak Educational Trust, Y4J and Anushkaa Foundation



Kotak is committed to aiding transformation of communities it serves through meaningful CSR initiatives. By implementing programmes and fostering partnerships with a diverse network of non-governmental organisations, Kotak aims to deliver measurable and positive change for communities across the nation.

Hausla hai toh *ho jayega.*



The support I received, particularly for strawberry tissue culture and goats, has transformed my life and my farm. This programme has empowered me and shown me the true potential of women in agriculture. ”

- Phulmani Devi, 38-year-old farmer of Gandhoniya hamlet, Dadi block, Jharkhand; Member of the Maa Gandhoniya Sakhi Mandal Self-Help Group

Income crossed **2 lakh per annum** by cultivating her 2.2 acres rearing goats and backyard poultry



Due to water availability this is the first time wheat is growing in our fields. We are expecting a yield of 10 to 15 quintal of wheat per acre. ”

- Surta Devi, Samithed hamlet, Kherwara block, Gujarat



On the interview day, I was nervous; I stumbled over a few words, my hands trembled slightly, but I answered the questions truthfully and confidently. I spoke passionately about my skills, my problem-solving abilities and dedication to excellence. ”

- With newfound skills and confidence, Soham Amiya Roy Dastidar (26 year old with autism spectrum disorder) secured a position as a Multi-Purpose Facilitator at JP Morgan



Sara received emergency medical aid and began treatment at Varanasi. Her family was given safe accommodation at Home Away from Home as well as provided nutritious meals and emotional support. Her mother, initially consumed by fear, gained strength through counselling and parent-child bonding activities. Sara has now completed her treatment and entered the follow-up phase. She continues to grow stronger each day.

A 15 month old, diagnosed with hepatoblastoma, a rare and life-threatening liver cancer.



Himanshi bagged a coveted three-month internship with Jaguar Land Rover India Ltd. This role, which comes with a noteworthy monthly stipend, represents a major milestone in her career and offers invaluable industry experience.

Himanshi is daughter of a local printing press worker from small town.



Kotak fueled Mousum's resilience and dedication to complete Btech from IIT Guwahati. We celebrate her placement in Goldman Sachs as software developer.

Having lost her father and been abandoned by her mother, she was raised by her paternal uncle.

Our Kotak Kanyas' stories powerfully illustrate how timely support can catalyse remarkable achievements and set the stage for a bright and promising career.



Makkhan jaise *smoooooooooooooth* banking



Easy
FD



Easy
KYC



Easy
UPI



Easy
Loans



Easy Mutual
Funds



3 min A/C
Opening



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T&C* Apply Mutual Fund investments are subject to market risks. Read all scheme related documents carefully before investing.



kotak
Kotak Mahindra Bank

Financial Statements and Statutory Reports

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Consolidated Financial Highlights 2024-2025

(₹ in crore)

FINANCIAL HIGHLIGHTS	FY 2020-21	FY 2021-22	FY 2022-23	FY 2023-24	FY 2024-25
Advances	252,170	304,474	359,107	430,352	486,166
Investments*	116,565	115,907	139,359	175,302	202,899
Total Assets	478,854	546,498	620,430	767,667	879,774
Net Profit	9,990	12,089	14,925	18,213	22,126
KEY FINANCIAL INDICATORS					
Net Interest Margin (NIM)^	4.5%	4.7%	5.4%	5.3%	5.0%
Return on Average Assets (RoAA)	2.2%	2.4%	2.6%	2.7%	2.7%
Book Value Per Share (₹)	426	487	563	653	792
Basic Earnings Per Share (EPS) Face Value ₹ 5 per share	50.5	60.8	75.0	91.5	111.3
Return on Equity (RoE)	12.8%	13.4%	14.4%	15.1%	15.2%
Capital Adequacy Ratio	23.4%	23.7%	23.3%	21.8%	23.3%
Gross NPA (₹ crore)	8,276	7,334	6,419	6,003	7,112
Net NPA (₹ crore)	3,106	2,149	1,479	1,567	1,752
Gross NPA Ratio	3.2%	2.4%	1.8%	1.4%	1.4%
Net NPA Ratio	1.2%	0.7%	0.4%	0.4%	0.4%

* Excludes Policyholders' investments

^ Excluding dividend and interest on income tax refunds.

(₹ in crore)

MARKET RELATED RATIOS	FY 2020-21	FY 2021-22	FY 2022-23	FY 2023-24	FY 2024-25
Market Price (₹)	1,753	1,754	1,733	1,786	2,171
Market Capitalisation (₹ crore)	347,416	348,080	344,240	354,943	431,683
Price to Book Ratio	4.1	3.6	3.1	2.7	2.7
Price to Earnings Ratio	34.7	28.9	23.1	19.5	19.5

Standalone Financial Highlights 2024-2025

(₹ in crore)

Financial Highlights	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Deposits	280,100	311,684	363,096	448,954	499,055
Advances	223,670	271,254	319,861	376,075	426,909
Investments	105,099	100,580	121,404	155,404	181,907
Total Assets	383,470	429,428	489,862	600,357	693,624
Net Interest Income	15,340	16,818	21,552	25,993	28,342
Fee Income	3,145	4,201	5,440	7,049	7,944
Other Non Interest Income *	1,606	1,785	1,643	3,224	7,017
Operating profit	11,762	12,051	14,848	19,587	24,526
Provisions and Contingencies	2,459	690	457	1,574	2,942
Tax Provision	2,338	2,789	3,452	4,232	5,134
Net Profit	6,965	8,573	10,939	13,782	16,450
Key Financial Indicators					
Net Interest Margins	4.4%	4.6%	5.3%	5.3%	5.0%
Cost to Income Ratio*	41%	47%	48%	46%	43%
Return on Average Assets	1.9%	2.1%	2.5%	2.6%	2.7%
Fee / NII Plus other Income*	15.7%	18.4%	19.0%	19.4%	18.3%
NII / NII Plus other Income*	76.4%	73.8%	75.3%	71.7%	65.5%
Capital Adequacy Ratio	22.3%	22.7%	21.8%	20.5%	22.3%
Tier I	21.4%	21.7%	20.8%	19.2%	21.1%
Gross NPA Ratio	3.3%	2.3%	1.8%	1.4%	1.4%
Net NPA Ratio	1.2%	0.6%	0.4%	0.3%	0.3%

*On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore, resulting in net gain from such sale of ₹ 3,519.90 crore (pre-tax) for the year ended 31st March, 2025. Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited) as at 31st March, 2025.

Consolidation at a Glance

(₹ in crore)

	2024-25		2023-24		March 31, 2025	March 31, 2024
	Profit before Tax	Profit after Tax	Profit before Tax	Profit after Tax	Capital & Reserves and Surplus	Capital & Reserves and Surplus
Kotak Mahindra Bank Limited	21,584.11	16,450.08	18,013.72	13,781.58	117,145.62	96,639.46
Subsidiaries						
Kotak Mahindra Prime Limited	1,356.86	1,015.47	1,188.36	888.06	10,195.53	9,176.48
Kotak Securities Limited	2,175.23	1,640.46	1,635.18	1,226.17	10,012.04	8,286.15
Kotak Mahindra Capital Company Limited	460.53	360.63	276.69	215.01	1,630.20	1,181.03
Kotak Mahindra Life Insurance Company Limited	1,174.99	769.47	1,041.24	688.62	6,403.07	5,863.23
Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited)(till 17 th June, 2024)	(20.56)	(20.56)	(88.95)	(88.95)	-	447.12
Kotak Mahindra Investments Limited	674.51	501.25	690.51	514.21	3,841.65	3,329.02
Kotak Mahindra Asset Management Company Limited	1,035.12	795.71	570.64	424.41	2,938.71	1,995.62
Kotak Mahindra Trustee Company Limited	235.28	180.79	135.20	100.77	766.64	525.32
Kotak Mahindra (International) Limited	96.13	93.34	65.82	64.28	1,124.84	1,001.34
Kotak Mahindra (UK) Limited	80.58	57.84	55.24	38.63	570.03	495.19
Kotak Mahindra, Inc.	7.41	5.32	13.95	11.08	107.44	98.79
Kotak Alternate Asset Managers Limited (erstwhile known as Kotak Investment Advisors Limited)	179.65	139.31	76.87	58.84	1,187.44	864.58
Kotak Mahindra Trusteeship Services Limited	7.80	5.84	7.68	5.87	40.84	35.00
Kotak Infrastructure Debt Fund Limited	52.91	53.20	43.40	43.40	572.62	519.61
Kotak Mahindra Pension Fund Limited	1.93	1.93	(0.21)	(0.21)	59.17	52.40
Kotak Mahindra Financial Services Limited	0.40	0.40	(0.59)	(0.59)	3.53	3.05
Kotak Mahindra Asset Management (Singapore) Pte. Limited	109.94	98.08	85.32	75.32	474.98	363.99
IVY Product Intermediaries Limited	0.36	0.25	0.44	0.33	6.93	6.69
BSS Microfinance Limited	(99.34)	(73.67)	509.04	383.22	936.32	1,009.85
Sonata Finance Private Limited	17.27	12.66	(16.64)	(13.71)	402.07	389.41
Total	29,131.11	22,087.80	24,302.91	18,416.34	158,419.67	132,283.33
Add: Associates		180.25		236.38	1,767.59	1,587.34
Less: Dividend, Inter company and other adjustment		142.06		439.51	2,792.18	3,978.27
Consolidated Profit After Tax / Capital & Reserves and Surplus		22,125.99		18,213.21	157,395.08	129,892.40
Consolidated Earnings per Share (₹)		111.29		91.45		
Consolidated Book Value per Share (₹)					791.64	653.41

Independent Auditor's Report

To the Members of Kotak Mahindra Bank Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

OPINION

1. We have audited the accompanying consolidated financial statements of **Kotak Mahindra Bank Limited** (the 'Bank'), its subsidiaries (the Bank and its subsidiaries together referred to as the 'Group'), and its associates, which comprise the Consolidated Balance Sheet as at 31 March 2025, the Consolidated Profit and Loss account, the Consolidated Cash Flow Statement for the year ended 31 March 2025, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as the 'Consolidated Financial Statements').
2. In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements and the other financial information of subsidiaries and associates, the aforesaid Consolidated Financial Statements give the information required by the Banking Regulation Act, 1949 and Companies Act, 2013 (the 'Act'), and the circulars, guidelines and directions issued by Reserve Bank of India (the 'RBI') from time to time (the 'RBI guidelines'), in the manner so required for banking companies and give a true and fair view, in conformity with the Accounting Standards prescribed under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021 as applicable to banks and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group and its associates as at 31 March, 2025, and their consolidated profit, and their consolidated cash flows for the year ended 31 March, 2025.

BASIS FOR OPINION

3. We conducted our audit in accordance with the Standards on Auditing ('SAs') specified under section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group and its associates in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act, and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained along with the consideration of audit reports of the other auditors referred to in the "Other Matters" section below is sufficient and appropriate to provide a basis for our opinion on the Consolidated Financial Statements.

KEY AUDIT MATTERS

4. Key audit matters are those matters that, in our professional judgment, and based on the consideration of the reports of the other auditors on separate financial statements and other financial information of the subsidiaries and its associates were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our report.

Identification of and Provisioning against Non-performing Assets ("NPAs"):

Total Loans and Advances (Net of Provision) as at March 31, 2025: ₹ 426,909.20 Crores

Provision for NPAs as at March 31, 2025: ₹ 4,790.41 Crores

Refer Schedule 9, Schedule 17(C)(2) and Schedule 18(A), note 11 and note 13 of Standalone Financial Statements

Key Audit Matter	How our audit addressed the key audit matter
The Bank is required to comply with the Master Circular issued by the Reserve Bank of India ('RBI') on 'Prudential Norms for Income Recognition, Asset Classification and Provisioning pertaining to Advances' (the 'IRAC norms') and amendments thereto ("RBI guidelines") which prescribes the norms for identification and classification of Non-performing Assets ('NPAs') and the minimum provision required for such assets.	Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provisioning pertaining to advances. In particular: • We have evaluated and understood the Bank's internal control system in adhering to the RBI guidelines;

Key Audit Matter	How our audit addressed the key audit matter
The Bank is also required to apply its judgement to determine the identification and provision required against NPAs considering various quantitative as well as qualitative factors. As the identification of and provisioning against NPAs requires considerable level of management estimation, application of various regulatory requirements and its significance to the overall audit due to stakeholder and regulatory focus, we have identified this as a key audit matter.	• We have analysed and understood key IT systems/ applications used and tested the design and implementation and operational effectiveness of relevant controls in relation to income recognition, asset classification, viz., standard, sub-standard, doubtful and loss with reference to the RBI guidelines and provisioning pertaining to advances; and • We test checked advances to examine the validity and accuracy of the recorded amounts, impairment provision for NPAs, and compliance with IRAC norms of RBI guidelines.

Information Technology ('IT') Systems and Controls impacting Financial Reporting

Key Audit Matter	How our audit addressed the key audit matter
As the Bank operates on core banking solution across its branches and asset centres, the reliability and security of Information Technology ("IT") systems plays a key role in the business operations. Since large volume of transactions are processed daily, the IT controls are required to ensure that applications process data as expected and that changes are made in an appropriate manner. IT infrastructure is critical for smooth functioning and accurate accounting and financial reporting process. Due to the pervasive nature and complexity of the IT environment, we have ascertained key IT systems used in financial reporting process and its related controls as a key audit matter.	In assessing the controls over the IT systems of the Bank, we involved our technology specialists to understand the IT control environment, IT infrastructure and IT systems. We conducted an assessment and identified key IT systems that are critical for accounting and financial reporting process and are relevant for our audit and tested their internal controls. In particular: • We obtained an understanding of the Bank's IT control environment and key changes during the audit period that may be relevant to the audit; • We tested the design, implementation and operating effectiveness of the Bank's General IT controls over the key IT systems that are critical to accounting and financial reporting. This included evaluation of Bank's controls for user access management, program change management, database management, network operations, incident management and other IT operations performed by the Bank during the period of audit; • We tested key automated and manual business cycle controls and logic for system generated reports relevant to the audit; and • We also tested compensating controls and performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the financial statements.

5. The following Key Audit Matter was included in the audit report dated 30 April 2025 containing an unmodified audit opinion on the special purpose financial statements of Kotak Mahindra Investments Limited, a subsidiary of the Bank issued by Varma & Varma, an independent firm of Chartered Accountants reproduced by us as under:

Provision for Non-performing assets (NPA) in respect of Loans and Advance (including credit substitutes)

Key Audit Matter	How our audit addressed the key audit matter
Identification and provision on non-performing advances (NPA) Advances constitute significant portion of the Company's total assets. They are, inter-alia, governed by income recognition, asset classification and provision (IRAC) norms and other circulars and directives issued by the Reserve Bank of India ("RBI") from time to time which provides guidelines related to classification of Advances into performing and non-performing Advances (NPA). The Company is also required to apply its judgement to determine the identification and provision required against NPAs by applying quantitative as well as qualitative factors. The provision for identified NPAs is estimated based on ageing and classification of NPAs, recovery estimates, value of security and other qualitative factors and is subject to the minimum provisioning norms specified by the RBI. The Company has detailed its accounting policy in this regard as disclosed in the Significant accounting policies disclosed in the Financial Statements. Significant judgements and estimates for NPA identification and provision could give rise to material misstatements on: • Completeness and timing of recognition of non-performing assets in accordance with criteria as per IRAC norms; • Measurement of the provision for non-performing assets based on loan exposure, ageing and classification of the loan, realizable value of security; • Appropriate reversal of unrealized income in the NPAs. Considering the materiality involved, nature of the transactions, regulatory requirements, existing business environment, estimation/judgement involved in valuation of securities, we have determined this as Key Audit Matters	Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provision pertaining to loans and advances. In particular: • Reviewing account statements and other related information of the borrowers selected based on quantitative and qualitative risk factors. • Test checked advances to examine the validity of the recorded amounts, loan documentation, provision for non-performing assets and compliance with income recognition, asset classification and provisioning pertaining to advances in terms of applicable RBI guidelines. • For Non-performing advances identified, based on factors including stressed sectors and account materiality, tested the asset classification dates, reversal of unrealized interest, value of available security and provision as per IRAC norms • Recomputed the provision for NPA after considering the key input factors and compared our measurement outcome to that prepared by management.

6. The following Key Audit Matter was included in the audit report dated 29 April 2025 containing an unmodified audit opinion on the special purpose financial statements of Kotak Securities Limited, a subsidiary of the Bank issued by one of the joint auditor, an independent firm of Chartered Accountants reproduced by us as under:

Key Information Technology {IT} systems used in financial reporting process

Key Audit Matter	Auditor's Response
The Company's operational and financial processes are dependent on IT systems due to large volume of transactions that are processed daily. The Company uses Oracle Fusion system as the General Ledger for overall financial reporting which is interfaced with other systems that process transactions, which impacts significant account balances. The Company relies on automated processes and controls for recordings of its transactions and accordingly our audit was focused on key IT systems and controls due to pervasive impact on the special purpose financial statements.	Principal Audit procedures performed included the following: We involved our IT specialists to obtain an understanding of the entity's IT related control environment. Furthermore, we conducted a risk assessment and identified IT applications, databases and operating systems that are relevant to our audit. For the key IT systems relevant to financial reporting, our areas of audit focus included Access Security (including controls over privileged access), Program Change controls and Network Operations. In particular: • We obtained an understanding of the entity's IT environment and key changes if any during the audit period that may be relevant to the audit; • We tested the design, implementation and operative effectiveness of the General IT control over the key IT systems that are critical to the financial reporting. This included evaluation of entity's controls to ensure segregation of duties and access rights being provisioned / modified based on duly approved requests, access for exit cases being revoked in a timely manner and access of all users being re-certified during the period of audit. Further, controls related to program change were evaluated to verify whether the changes were approved, tested in an environment that was segregated from production and moved to production by appropriate users; • We tested key automated business cycle controls, related interfaces and logics for system generated reports relevant to the audit for evaluating completeness and accuracy; • We also tested the controls over network segmentation, restriction of remote access to the entity's network, controls over firewall configurations and mechanisms implemented by the entity to prevent, detect and respond to network security incidents; and we tested compensating controls or performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the Special Purpose Financial Statements.

7. The following Key Audit Matters were included in the audit report dated 30 April 2025 containing an unmodified audit opinion on the special purpose financial statements of Kotak Mahindra Prime Limited, a subsidiary of the Bank, issued by joint auditors Borkar & Muzumdar and Singhi & Co., an independent firm of Chartered Accountants reproduced by us as under:

Assessment of Provision for Non-Performing Assets (NPA) in respect of Loans and Advances

Key Audit Matter	How our audit addressed the key audit matter
(Refer Notes 14, 19 and 25(b) of the special purpose financial statements) The loan balances (including credit substitutes) towards Vehicle Finance, Structured Loans, Personal and other Loans aggregates to ₹ 4,055,659 lakh, which also include Gross Non-Performing Assets ₹ 91,882 lakh. These balances are significant to the special purpose financial statements and involves judgement around the calculation of the NPA provision of ₹ 52,485 lakh. NPA provision represents management's estimate of losses incurred within the loan portfolios at the balance sheet date and are inherently judgmental. NPA provision is calculated in accordance with the NPA policy which is in compliance with the Reserve Bank of India (RBI) guidelines read with the notifications issued by the RBI. Qualitative factors like nature of loan, deterioration in credit quality, reduction in the value of collateral, uncertainty over realisability of collateral, erosion over time and other related factors are taken into consideration to assess need and extent of NPA provision. Given the significant judgment and the complexity of audit procedures involved, we determined this to be a key audit matter.	Our audit approach was a combination of test of internal controls and substantive procedures which included the following: • We performed end to end process walkthroughs to identify the key systems, applications and controls used in the NPA provisioning processes. • We understood and evaluated the design effectiveness and tested the operating effectiveness of the key controls over the assessment and computation of NPA provision. • We independently assessed the appropriateness of NPA provisioning policies and methodologies followed by the Management. • For sample of loans across the portfolio, we recomputed the NPA provision to ensure arithmetical accuracy and compliance with the NPA policy as referred to in the Company's special purpose financial statements. • We evaluated the adequacy of presentation and disclosures in relation to NPA provisions in the special purpose financial statements.

8. The following Key Audit Matter was reported to us by the auditor Price Waterhouse Chartered Accountants LLP of Kotak Mahindra Asset Management Company Limited, a subsidiary of the Bank vide their communication dated 29 April 2025 which are reproduced by us as under:

Revenue Recognition – Management fees and portfolio management services

Key Audit Matter	How our audit addressed the key audit matter
The Company recognizes revenue from management fees from mutual fund schemes and Portfolio Management Services rendered to customers, the amounts of which are material to the special purpose standalone financial statements. There are inherent risks of material misstatement since management fee / portfolio management services fee depending upon contractual terms. Accordingly, recognition of revenue is considered to be a key audit matter.	Our audit procedures included: • Obtained understanding of the revenue recognition in respect of Management fees and portfolio management services • Evaluated the design effectiveness and tested the operating effectiveness of relevant controls in place in relation to revenue recognition of Management fees and Portfolio Management Services. • Reviewed the terms of the contracts for Management fees and Portfolio Management Services. • Obtained the computation details of Management fees and portfolio management services from the Management and recomputed the same on a test check basis. • Verified invoices raised by the Company and traced collection to the bank statements on a test check basis.

Key Audit Matter	How our audit addressed the key audit matter
	• Verified that changes in the rate structure of the management fee and portfolio management services with the approvals of the authorised personnel to ensure that the invoices are raised at the correct amounts. • Verified the management fees on scheme level with the certificate issued by the statutory auditors of scheme mutual fund. • In respect of management fees and portfolio management fee receivable at the end of the year tested, the subsequent realization on a test check basis. Basis the above procedures performed, we did not note any exceptions with respect to the management fees and portfolio management services.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREON

9. The Bank's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the consolidated financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the Consolidated Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

RESPONSIBILITIES OF MANAGEMENT AND BOARD OF DIRECTORS' FOR THE CONSOLIDATED FINANCIAL STATEMENTS

10. The accompanying Consolidated Financial Statements have been approved by the Bank's Board of Directors. The Bank's Board of Directors are responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group including its associates, in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standard) Rules, 2021 as applicable to banks, provisions of section 29 of the Banking Regulation Act, 1949 and the RBI guidelines. The respective Board of Directors of the Bank and the subsidiary companies included in the Group and its associate companies are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act, the Banking Regulation Act, 1949 and the RBI guidelines for safeguarding of the assets of the Group and of its associates and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; selection of the appropriate accounting software for ensuring compliance with applicable laws and regulations including those related to retention of audit logs; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Management and Directors of the Bank, as aforesaid.
11. In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group and of its associates are responsible for assessing the ability of the respective companies included in the Group and of its associates, to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the companies included in the Group and its associates or to cease operations, or has no realistic alternative but to do so.

12. The respective Board of Directors of the companies included in the Group and of its associates are also responsible for overseeing the financial reporting process of the subsidiary companies included in the Group and of its associates.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

13. Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.
14. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Bank has adequate internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls;
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management;
 - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates to cease to continue as a going concern;
 - Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;
 - Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group and its associates, to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of financial statement of such entities included in the Consolidated Financial Statements, of which we are the independent auditors. For the other entities included in the Consolidated Financial Statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

15. We communicate with those charged with governance of the Bank and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
16. We also provide those charged with governance of the Bank with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
17. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTERS

18. We did not audit the financial statements of 15 subsidiaries (including Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited) for the period from 1 April 2024 to 17 June 2024, whose financial statements reflect total assets of ₹ 159,403.92 crores (before consolidation adjustments) and net assets of ₹ 27,467.22 crores (before consolidation adjustments) as at 31 March 2025, total revenues of ₹ 34,659.23 crores (before consolidation adjustments) and net cash flows amounting to ₹ 845.47 crores for the year ended on that date, as considered in the Consolidated Financial Statements. The Consolidated Financial Statements also include the Group's share of net profit of ₹ 180.25 crores for the year ended 31 March 2025 in respect of 3 associates (including Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited) for the period from 18 June 2024 to 31 March 2025) whose financial statements have not been audited by us. These financial statements have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and associates, and our report in terms of sub-section (3) of section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, and associates, is based solely on the reports of the other auditors.

Further, of these subsidiaries, 5 subsidiaries are located outside India, whose annual financial statements have been prepared in accordance with accounting principles generally accepted in their respective countries, and which have been audited by other auditors under the respective auditing standards used by the component auditors, as applicable in their respective countries. The Bank's management has converted the financial statements of such subsidiaries from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. An Independent firm of Chartered Accountants appointed by the Bank's management in India have audited these conversion adjustments made by the Bank's management. Our opinion, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, is based on the audit reports of other auditors and the conversion adjustments prepared by the management of the Bank and audited by the Independent firm of Chartered Accountants appointed by the Bank's management in India.

Our opinion above on the Consolidated Financial Statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done by and the reports of the other auditors.

19. Further, 5 subsidiary companies whose financial statement reflects total assets of ₹ 32,823.81 crores (before consolidation adjustments) and net assets of ₹ 13,806.83 crores (before consolidation adjustments) as at 31 March 2025, total revenues of ₹ 7,467.60 crores (before consolidation adjustments) and net cash flows of ₹ 579.23 crores for the year ended 31 March 2025, as considered in the Consolidated Financial Statements, which have been audited by, one of the joint auditors of the Bank, whose reports have been furnished to us by the Parent's management, and accordingly opinion of KKC & Associates LLP, (formerly Khimji Kunverji & Co LLP), the other joint auditors of the Bank on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiary companies, and our report in terms of sub-section (3) of section 143 of the Act, in so far as it relates to the aforesaid subsidiary companies, is based solely on the reports of the auditors of subsidiary companies.

Our opinion is not modified in respect of this matter .

20. The following other matter paragraph has been included in the audit report of Kotak Mahindra Life Insurance Company Limited ('KLIFE') the subsidiary of the Bank, issued by the joint auditors of KLIFE vide their report dated 29 April 2025:

"The actuarial valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2025 is the responsibility of the Company's Appointed Actuary (the "Appointed Actuary"). The actuarial valuation of the liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2025 has been duly certified by the Appointed Actuary and in his opinion, the actuarial liabilities have been calculated in accordance with generally accepted actuarial principles, the requirements of the Insurance Act, 1938, Insurance Act (Amendment), 2015, relevant Regulations and the Actuarial Practice Standards and Guidance Notes of the Institute of Actuaries of India. We have relied upon the Appointed Actuary's certificate in this regard during our audit of the valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2025, as contained in the financial statements of the Company. Our opinion is not modified in respect of this matter."

21. The following other matter paragraph has been included in the audit report of Zurich Kotak General Insurance Company (India) Limited ('ZKGICL') (formerly known as Kotak Mahindra General Insurance Company Limited), the associate of the Bank, issued by the joint auditors of ZKGICL vide their report dated 29 April 2025:

"Pursuant to IRDAI Financial Statements Regulations, the actuarial valuation of liabilities in respect of claims Incurred But Not Reported ("IBNR"), claims Incurred But Not Enough Reported ("IBNER") and Premium Deficiency Reserve ("PDR") as at 31 March 2025, has been duly certified by the Appointed Actuary. They have also certified that assumptions used for such valuation are appropriate and in accordance

with the guidelines and norms issued by the IRDAI and the Institute of Actuaries of India in concurrence with the IRDAI. Accordingly, we have relied upon the aforesaid certificate from the Appointed Actuary while forming our opinion on the financial statements of the Company. Our opinion is not modified in respect of this matter.”

Our opinion is not modified in respect of this matter.

22. The Consolidated Financial Statements for the year ended 31 March 2024 were jointly audited by Price Waterhouse LLP and KKC & Associates LLP (formerly Khimji Kunverji & Co LLP) under the Act and the Banking Regulation Act, 1949, who vide their report dated 4 May 2024 expressed an unmodified opinion on those audited Consolidated Financial Statements. Accordingly, Deloitte Haskins & Sells does not express any opinion on the figures reported in the Statement for the corresponding year ended 31 March 2024.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

23. The Consolidated Balance Sheet and the Consolidated Profit and Loss Account have been drawn up in accordance with the provisions of section 29 of the Banking Regulation Act, 1949 and section 133 of the Act and the relevant rules issued thereunder.
24. In our opinion and to the best of our information and according to the explanations given to us, the provisions of Section 197 of the Act are not applicable to the Bank by virtue of Section 35B(2A) of the Banking Regulation Act, 1949. Accordingly, the reporting under Section 197(16) of the Act regarding payment/ provision for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act, is not applicable.

Based on the consideration of audit report of the statutory auditors of Kotak Mahindra Life Insurance Company Limited, the subsidiary company and Zurich Kotak General Insurance Company (India) Limited ('ZKGICL') (formerly known as Kotak Mahindra General Insurance Company Limited), the associate company, the remuneration paid to their directors during the year ended 31 March 2025 was in accordance with the provisions of section 197 of the Act, read with section 34A of the Insurance Act, 1938.

Further, based on the consideration of audit reports of the statutory auditors of twelve subsidiaries reported to us namely, Kotak Securities Limited, Kotak Mahindra Trusteeship Services Limited, Kotak Mahindra Capital Company Limited, Kotak Mahindra Trustee Company Limited, Kotak Mahindra Prime Limited, Kotak Mahindra Pension Fund Limited, BSS Microfinance Limited, Kotak Mahindra Asset Management Company Limited, Kotak Mahindra Investments Limited, Kotak Infrastructure Debt Fund Limited, Sonata Finance Private Limited, Kotak Alternate Asset Managers Limited, the remuneration paid to their directors during the year ended 31 March 2025 was in accordance with the provisions of section 197 of the Act.

Further based on the consideration of audit report of the statutory auditors of IVY Products Intermediaries Limited, subsidiary company, Phoenix ARC Private Limited and Infina Finance Private Limited, the associate companies, the provisions of section 197 read with Schedule V of the Act, are not applicable to it for the year ended 31 March 2025.

25. Further, as required by section 143 (3) of the Act, based on our audit and on the consideration of the reports of the other auditors on the separate financial statements of the subsidiaries and associates referred to in the Other Matters section above, we report, to the extent applicable, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid Consolidated Financial Statements;
 - b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors; except for the matters stated in paragraph 25(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
 - c) The Consolidated Balance Sheet, the Consolidated Profit and Loss Account, and the Consolidated Cash Flow Statement dealt with by this report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements;
 - d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standard) Rules, 2021, to the extent they are not inconsistent with the accounting policies prescribed by RBI.
 - e) On the basis of the written representations received from the directors of the Bank and taken on record by the Board of Directors of the Bank and the reports of the statutory auditors of its subsidiary companies and associate companies incorporated in India, none

of the directors of the Group companies and its associate companies incorporated in India, are disqualified as on 31 March, 2025 from being appointed as a director in terms of section 164(2) of the Act;

- f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 25(b) above on reporting under Section 143(3)(b) and paragraph 25(h)(vi) below on reporting under Rule 11(g) of the Rules.
- g) With respect to the adequacy of the internal financial controls with reference to the Consolidated Financial Statements of the Bank, its subsidiary and its associate companies incorporated in India and the operating effectiveness of such controls, refer to our separate report in 'Annexure A'; and
- h) With respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of audit reports of other auditors on separate financial statements of such subsidiaries, associates, as noted in the "Other Matters" paragraph:
 - i. The consolidated financial statements disclose the impact of pending litigations as at 31 March 2025 on the consolidated financial position of the Group, and its associates as detailed in Refer - Schedule 12.I, Schedule 17-Note 2(X) and Schedule 17-Note 9 to the consolidated financial statements;
 - ii. Provision has been made in the Consolidated Financial Statements as at 31 March, 2025, as required under the applicable law or the Accounting Standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts as at 31 March 2025 as detailed in Refer Schedule 12.II, Schedule 17 Note 2(G), Schedule 17-Note 2(X) and Schedule 17-Note 7 and Note 9 to the Consolidated Financial Statements in respect of such items as it relates to the Schedule 17 - Note 20 to the Consolidated Financial Statements in respect of the Group's share of net profit of its associates;
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Bank, and its subsidiary companies, and associate companies incorporated in India, as applicable, during the year ended 31 March 2025.
 - iv.
 - a. The respective Managements of the Bank, subsidiaries and its associates which are companies incorporated in India whose financial statements have been audited under the Act have represented to us, and the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, other than as disclosed in Schedule 17 - Note 24, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Bank or any of such subsidiaries and associates to or in any other person(s) or entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Bank or any of such subsidiaries and associates ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
 - b. The respective Managements of the Bank, its subsidiaries and associate which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, other than as disclosed in Schedule 17 - Note 24, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries and associates from any person(s) or entity(ies), including foreign entities ('Funding Parties'), with the understanding, whether recorded in writing or otherwise, that the Bank or any of such subsidiaries and associates shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - c. Based on the audit procedures, that which we have has been considered reasonable and appropriate in the circumstances, performed by us and those performed by the auditors of the subsidiaries and associates which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.
 - v. The dividend declared and paid during the year by the Bank and its subsidiaries and associates is in compliance with Section 123 of the Act.

- vi. Based on our examination, which included test checks, and that performed by respective auditors of the subsidiaries and associates, which are incorporated in India whose financial statements have been audited under the Act, except for one instance in a subsidiary for an accounting software where the audit trail is not maintained for modification by certain users with specific access and for two instances in two subsidiaries for two accounting softwares, the audit trail feature was not enabled at the database level; the Bank, its subsidiaries and associates have used accounting software for maintaining books of account for the financial year ended 31 March 2025 which have a feature of recording audit trail and that has operated throughout the year for all relevant transactions recorded in the accounting software. Further, during the course of audit, other than the aforesaid instances of audit trail not maintained, we and respective other auditors, whose reports have been furnished to us by the Management of the Bank, have not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved as per as the statutory requirements for record retention, since enabled.

For Deloitte Haskins & Sells

Chartered Accountants

Firm Registration Number: 117365W

G. K. Subramaniam

Partner

Membership Number: 109839

UDIN: 25109839BMOFVD1414

Place: Mumbai

Date: 3 May 2025

For KKC & Associates LLP

(formerly Khimji Kunverji & Co LLP)

Chartered Accountants

Firm Registration Number: 105146W/W100621

Gautam Shah

Partner

Membership Number: 117348

UDIN: 25117348BMOBCI4194

Place: Mumbai

Date: 3 May 2025

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS OF KOTAK MAHINDRA BANK LIMITED FOR THE YEAR ENDED 31 MARCH 2025

REFERRED TO IN PARAGRAPH 25(g) UNDER 'REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS' SECTION OF OUR REPORT OF EVEN DATE

Independent Auditor's Report on the Internal Financial Controls with reference to the aforesaid Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the consolidated financial statements of **Kotak Mahindra Bank Limited** ('the Bank') and its subsidiaries (the Bank and its subsidiaries together referred to as 'the Group'), and its associates as at and for the year ended 31 March 2025, we have audited the internal financial controls with reference to consolidated financial statements of the Bank, its subsidiary companies and its associate companies, which are companies covered under the Act, as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The respective Board of Directors of the Bank, its subsidiary companies and its associate companies, to whom reporting under clause (i) of sub-section 143 of the Act in respect of adequacy of the internal control with reference to financial statements is applicable, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting ('the Guidance Note') issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act, the Banking Regulation Act, 1949 and the RBI guidelines.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to Consolidated Financial Statements

3. Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Bank, its subsidiary companies and its associate companies, as aforesaid, based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing ('SAs') issued by the ICAI and prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those SAs and the Guidance Note require that we comply with

ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements were established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the "Other Matters" paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to the Consolidated Financial Statements.

Meaning of Internal Financial Controls with Reference to the Consolidated Financial Statements

6. A Bank's internal financial controls with reference to the Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Bank's internal financial controls with reference to Consolidated Financial Statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Bank; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Bank are being made only in accordance with authorisations of management and directors of the Bank; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Bank's assets that could have a material effect on the Consolidated Financial Statements.

Inherent Limitations of Internal Financial Controls with Reference to the Consolidated Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial controls with reference to consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion and based on the consideration of the reports of the other auditors on internal financial controls with reference to Consolidated Financial Statements of the subsidiary companies and associate companies, which are companies covered under the Act, have in all material respects, adequate internal financial controls with reference to Consolidated Financial Statements and such controls were operating effectively as at 31 March 2025, based on the internal control over financial reporting criteria established by the Group considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

9. Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to the Consolidated Financial Statements in so far as it relates to fifteen subsidiary companies and three associate companies, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

Our opinion is not modified in respect of this matter.

10. The following other matter paragraph has been included in the Annexure 'A' to the audit report of Kotak Mahindra Life Insurance Company Limited ('KLIFE') the subsidiary of the Bank, issued by the joint auditors of KLIFE vide their report dated 29 April 2025:

"The actuarial valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2025 is required to be certified by Appointed Actuary as per the regulations and has been relied upon by us, as mentioned in para 4 and 11 of our audit report on the financial statements for the year ended 31 March 2025. Accordingly, our opinion on the internal financial control over financial reporting does not include reporting on the operating effectiveness of the management's internal controls over the valuation and accuracy of the aforesaid actuarial valuation. Our opinion is not modified in respect of this matter."

Our opinion above is not modified in respect of this matter.

11. The following other matter paragraph has been included in the Annexure 'A' to the audit report of of Zurich Kotak General Insurance Company (India) Limited ('ZKGICL') (formerly known as Kotak Mahindra General Insurance Company Limited), the associate of the Bank, issued by the joint auditors of ZKGICL vide their report dated 29 April 2025:

"Pursuant to IRDAI Financial Statement Regulations, the actuarial valuation of liabilities in respect of claims Incurred But Not Reported ("IBNR"), claims Incurred But Not Enough Reported ("IBNER") and Premium Deficiency Reserve ("PDR") as at 31 March 2025, has been duly certified by the Appointed Actuary.

They have also certified that assumptions used for such valuation are appropriate and in accordance with the guidelines and norms issued by the IRDAI and the Institute of Actuaries of India in concurrence with the IRDAI. We have relied upon the aforesaid certificate from the Appointed Actuary while forming our opinion on the financial statements of the Company as mentioned in Other Matter paragraph in our audit report on the financial statements for the year ended 31 March 2025. Accordingly, our opinion on the internal financial controls with reference to financial statements does not include reporting on the adequacy and operating effectiveness of the internal control over the valuation and accuracy of the aforesaid actuarial liabilities. Our opinion is not modified in respect of this matter."

Our opinion above is not modified in respect of this matter.

For Deloitte Haskins & Sells

Chartered Accountants

Firm Registration Number: 117365W

For KKC & Associates LLP

(formerly Khimji Kunverji & Co LLP)

Chartered Accountants

Firm Registration Number: 105146W/W100621

G. K. Subramaniam

Partner

Membership Number: 109839

UDIN: 25109839BMOFVD1414

Gautam Shah

Partner

Membership Number: 117348

UDIN: 25117348BMOBCI4194

Place: Mumbai

Date: 3 May 2025

Place: Mumbai

Date: 3 May 2025

Consolidated Balance Sheet

as at 31st March, 2025

(₹ in thousands)

	Schedule	As at 31 st March, 2025	As at 31 st March, 2024
CAPITAL AND LIABILITIES			
Capital	1	9,941,115	9,939,604
Employees' Stock Options (Grants) Outstanding		942,677	792,938
Reserves and Surplus	2	1,564,009,706	1,288,984,358
Deposits	3	4,947,074,752	4,452,687,613
Borrowings	4	976,220,344	751,056,062
Policyholders' Funds		851,210,618	733,755,969
Other Liabilities and Provisions	5	448,344,158	439,453,046
Total		8,797,743,370	7,676,669,590
ASSETS			
Cash and Balances with Reserve Bank of India	6	417,483,508	362,867,354
Balances with Banks and Money at Call and Short Notice	7	373,134,027	289,196,520
Investments	8	2,842,549,990	2,464,457,213
Advances	9	4,861,655,200	4,303,515,813
Fixed Assets	10	28,108,003	25,625,078
Other Assets	11	265,335,075	221,530,045
Goodwill on Consolidation		9,477,567	9,477,567
Total		8,797,743,370	7,676,669,590
Contingent Liabilities	12	11,271,592,571	7,340,573,761
Bills for Collection		526,908,188	474,677,060
Significant Accounting Policies and Notes to Accounts forming part of the Consolidated Financial Statements	17		
The schedules referred to above form an integral part of this Consolidated Balance Sheet			

As per our report of even date attached.

For and on behalf of the Board of Directors

For KKC & Associates LLP
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No. 117365W

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

G. K. Subramaniam
Partner
Membership No.109839
Mumbai
3rd May, 2025

Consolidated Profit and Loss Account¹

for the year ended 31st March, 2025

(₹ in thousands)

	Schedule	For the year ended 31 st March, 2025	For the year ended 31 st March, 2024
I. INCOME			
Interest Earned	13	656,688,252	562,366,323
Other Income	14	412,334,116	380,372,782
Total		1,069,022,368	942,739,105
II. EXPENDITURE			
Interest Expended	15	282,745,509	225,672,371
Operating Expenses	16	457,794,210	458,708,240
Provisions and Contingencies (Refer Note 7.A - Schedule 17)		109,025,273	78,590,241
Total		849,564,992	762,970,852
III. PROFIT			
Net Profit for the year		219,457,376	179,768,253
Add: Share in profit / (loss) of Associates		1,802,514	2,363,822
Consolidated Profit for the year attributable to the Group		221,259,890	182,132,075
Add : Balance in Profit and Loss Account brought forward from previous year		750,043,044	635,331,703
Total		971,302,934	817,463,778
IV. APPROPRIATIONS			
Transfer to Statutory Reserve		41,125,200	34,454,000
Transfer to Special Reserve u/s 45 IC of RBI Act, 1934		3,006,764	2,959,203
Transfer to Special Reserve u/s 36(1)(viii) of Income Tax Act, 1961		1,500,000	1,250,000
Transfer to Debenture Redemption Reserve		175,000	75,000
Transfer to Capital Redemption Reserve		-	5,000,000
Transfer to Capital Reserve		20,652,700	-
Transfer to General Reserve		1,611	-
Transfer to / (from) Investment Reserve Account		-	8,316,321
Transfer to Investment Fluctuation Reserve Account		5,000,000	12,000,000
Dividend		3,976,240	3,366,210
Balance carried over to Balance Sheet		895,865,419	750,043,044
Total		971,302,934	817,463,778
V. EARNINGS PER SHARE [Refer Note 10 - Schedule 17]			
Basic (₹)		111.29	91.45
Diluted (₹)		111.29	91.45
Face value per share (₹)		5.00	5.00
Significant Accounting Policies and Notes to Accounts forming part of the Consolidated Financial Statements	17		
The schedules referred to above form an integral part of this Consolidated Profit and Loss Account			

As per our report of even date attached.

For and on behalf of the Board of Directors

For KKC & Associates LLP
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No. 117365W

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

G. K. Subramaniam
Partner
Membership No.109839
Mumbai
3rd May, 2025

¹GRI 201-1

Consolidated Cash Flow Statement

for the year ended 31st March, 2025

(₹ in thousands)

	Year Ended 31 st March, 2025	Year Ended 31 st March, 2024
CASH FLOW FROM OPERATING ACTIVITIES		
Net Profit before share in profit / (loss) of Associates	219,457,376	179,768,253
Add: Provision for tax	70,432,918	58,865,554
Net Profit before taxes	289,890,294	238,633,807
Adjustments for :-		
Employee Stock Options Expense	366,850	449,476
Depreciation on Group's property	9,409,087	7,917,534
Provision for Diminution / (Write back) in the value of Investments	936,479	742,296
(Profit) / Loss on revaluation of Investments (net)	1,927,938	(46,437,867)
Profit on sale of investment in subsidiary	(38,034,000)	-
Profit on sale of Investments (net)	(47,302,723)	(27,735,517)
Amortisation of Premium / Discount on Investments	151,698	2,714,066
Provision for Non Performing Assets, Standard Assets and Other Provisions	37,655,876	18,982,391
Profit on sale of Fixed assets	(458,046)	(71,379)
	254,543,453	195,194,807
Adjustments for :-		
(Increase) / Decrease in Investments - Available for Sale, Held for Trading and Stock-in-Trade	(6,855,669)	(363,267,540)
Increase in Advances	(593,964,822)	(708,186,386)
Increase in Other Assets	(51,509,361)	(18,755,386)
Increase in Deposits	494,387,139	839,961,392
Increase in Policyholders' Funds	117,454,649	153,961,243
Increase in Other Liabilities and Provisions	18,489,034	118,317,766
Sub-total	(21,999,030)	22,031,089
Direct Taxes Paid	(63,387,093)	(60,375,926)
NET CASH FLOW FROM/ (USED IN) OPERATING ACTIVITIES (A)	169,157,330	156,849,970
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Fixed assets	(12,128,454)	(11,266,882)
Sale of Fixed assets	647,585	346,136
Proceeds from sale of Investment in Subsidiaries (net)	40,730,802	-
Acquisition of equity shares in subsidiary	-	(5,319,411)
Increase in Other Investments (including investments in HTM securities)	(281,970,757)	(74,729,127)
NET CASH FLOW FROM/ (USED IN) INVESTING ACTIVITIES (B)	(252,720,824)	(90,969,284)
CASH FLOW FROM FINANCING ACTIVITIES		
Dividend paid	(3,976,240)	(3,366,210)
Money received on issue of Equity Shares / exercise of stock options	464,007	1,992,348
Redemption of Perpetual Non-Cumulative Preference Shares	-	(5,000,000)
Increase in borrowings	225,164,282	161,524,930
NET CASH FLOW FROM / (USED IN) FINANCING ACTIVITIES (C)	221,652,049	155,151,068
Increase in Foreign Currency Translation Reserve (D)	697,552	365,228
Net Cash and Cash Equivalent on Acquisition of Subsidiary (E)	-	1,413,421
NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS (A + B + C + D + E)	138,786,107	222,810,403
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR (Refer Note below)	652,063,874	429,253,471
Less: Reduction due to deconsolidation of subsidiary during the year	(232,446)	-
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR (Refer Note below)	790,617,535	652,063,874

Consolidated Cash Flow Statement

for the year ended 31st March, 2025

(₹ in thousands)

	Year Ended 31 st March, 2025	Year Ended 31 st March, 2024
Note:		
Balance with banks in India in Other Deposit Accounts (As per Schedule 7 I (i) (b))	108,884,165	103,217,847
Balance with banks in India in Current Account (As per Schedule 7 I (i) (a))	4,930,913	5,151,790
Money at call and short notice in India with Banks (As per Schedule 7 I (ii) (a))	-	-
Money at call and short notice in India with Other Agencies (As per Schedule 7 I (ii) (b))	78,832,798	130,534,255
Cash in hand (As per Schedule 6 I)	17,424,803	20,257,279
Balance with RBI in Current Account (As per Schedule 6 II (i))	197,788,705	192,100,075
Balance with RBI in Other Account (As per Schedule 6 II (ii))	202,270,000	150,510,000
Balance with banks Outside India:		
(i) In Current Account (As per Schedule 7 II (i))	61,863,125	28,511,274
(ii) In Other Deposit Accounts (As per Schedule 7 II (iii))	118,623,026	21,781,354
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	790,617,535	652,063,874

As per our report of even date attached.

For KKC & Associates LLP
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No. 117365W

G. K. Subramaniam
Partner
Membership No. 109839
Mumbai
3rd May, 2025

For and on behalf of the Board of Directors

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

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Group President and
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3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

Schedules

forming part of Consolidated Balance Sheet as at 31st March, 2025

SCHEDULE 1 - CAPITAL

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
Authorised Capital		
2,800,000,000 Equity Shares of ₹ 5/- each	14,000,000	14,000,000
2,800,000,000 (31 st March, 2024: 2,800,000,000 Equity Shares of ₹ 5/- each)		
1,000,000,000 (31 st March, 2024: 1,000,000,000) Perpetual Non Cumulative Preference Shares of ₹ 5/- each	5,000,000	5,000,000
	19,000,000	19,000,000
Issued, Subscribed and Paid-up Capital		
1,988,222,993 (31 st March, 2024: 1,987,920,898) Equity Shares of ₹ 5/- each fully paid-up	9,941,115	9,939,604
Total	9,941,115	9,939,604

SCHEDULE 2 - RESERVES AND SURPLUS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Statutory Reserve		
Opening Balance	182,771,983	148,317,983
Add: Transfer from Profit and Loss Account	41,125,200	34,454,000
Total	223,897,183	182,771,983
II. Capital Reserve		
Opening Balance	3,531,886	3,531,886
Add: Transfer from Profit and Loss Account	20,652,700	-
Add: Transfer from AFS Reserve	141,899	-
Total	24,326,485	3,531,886
III. General Reserve		
Opening Balance	6,749,708	6,561,992
Add: Increase / (Decrease) during the year (Refer Note 28 - Schedule 17)	8,519,658	-
Add: Amount transferred on Employee's Stock Options (Grant) Outstanding lapsed	156,983	69,716
Add: Transfer from Profit and Loss Account	1,611	-
Add: Transfer from Debenture Redemption Reserve	65,000	118,000
Add: Transfer from Investment Reserve Account	8,316,321	-
Total	23,809,281	6,749,708
IV. Securities Premium Account		
Opening Balance	255,329,595	253,154,188
Add: Received during the year	519,367	2,175,407
Total	255,848,962	255,329,595
V. Special Reserve under Section 45 IC of the RBI Act, 1934		
Opening Balance	23,472,611	20,513,408
Add: Transfer from Profit and Loss Account	3,006,764	2,959,203
Less: Transfer to Profit and Loss Account	(447,500)	-
Total	26,031,875	23,472,611
VI. Capital Reserve on Consolidation		
Opening Balance	1,475,671	1,475,671
Total	1,475,671	1,475,671
VII. Foreign Currency Translation Reserve (Refer Note 2(G)(viii) and (xii)- Schedule 17)		
Opening Balance	5,440,193	5,074,965
Add: Increase / (Decrease) during the year	697,552	365,228
Total	6,137,745	5,440,193

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
VIII. Investment Reserve Account		
Opening Balance	8,316,321	-
Add: Transfer from Profit and Loss Account	-	8,316,321
Less: Transfer to General Reserve	(8,316,321)	-
Total	-	8,316,321
IX. Special Reserve under Section 36(1)(viii) of the Income Tax Act, 1961		
Opening Balance	10,192,000	8,942,000
Add: Transfer from Profit and Loss Account	1,500,000	1,250,000
Total	11,692,000	10,192,000
X. Investment Fluctuation Reserve		
Opening Balance	35,000,000	23,000,000
Add: Transfer from Profit and Loss Account	5,000,000	12,000,000
Total	40,000,000	35,000,000
XI. Capital Redemption Reserve		
Opening Balance	5,101,800	101,800
Add: Transfer from Profit and Loss Account	-	5,000,000
Total	5,101,800	5,101,800
XII. Amalgamation Reserve		
Opening Balance	1,224,046	1,224,046
Total	1,224,046	1,224,046
XIII. Investment Allowance (Utilised) Reserve		
Opening Balance	500	500
Total	500	500
XIV. Debenture Redemption Reserve		
Opening Balance	335,000	378,000
Add: Transfer from Profit and Loss Account	175,000	75,000
Less: Transfer to General Reserve	(65,000)	(118,000)
Total	445,000	335,000
XV. Available for Sale Reserve*		
Opening Balance	-	-
Add: Increase during the year (Refer Note 28 - Schedule 17)	43,786,495	-
Less: Transfer to Capital Reserve	(141,899)	-
Total	43,644,596	-
(*) on revaluation of Available for Sale category of investments.		
XVI. Balance in the Profit and Loss Account	895,865,419	750,043,044
Add: Increase during the year**	4,061,643	-
Add: Transfer from Special Reserve under Section 45 IC of the RBI Act, 1934	447,500	-
Total	900,374,562	750,043,044
(**) Increase due to discontinuation of Kotak General Insurance Limited from consolidation during the year. (Refer Note 25 - Schedule 17)		
Total (I to XVI)	1,564,009,706	1,288,984,358

SCHEDULE 3 - DEPOSITS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A.		
I. Demand Deposits		
i. From Banks	4,098,529	3,068,958
ii. From Others	806,958,832	731,268,682
Total	811,057,361	734,337,640

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
II. Savings Bank Deposits	1,315,552,776	1,290,951,628
III. Term Deposits		
i. From Banks	66,919,525	96,581,087
ii. From Others	2,753,545,090	2,330,817,258
Total	2,820,464,615	2,427,398,345
Total Deposits* (I to III)	4,947,074,752	4,452,687,613
B.		
I. Deposits of Branches in India	4,921,099,683	4,424,292,712
II. Deposits of Branches Outside India	25,975,069	28,394,901
Total Deposits (I + II)	4,947,074,752	4,452,687,613

* Amount of deposits against which lien is marked in Total Deposits is ₹ 29,875.41 crore (previous year ₹ 27,061.11 crore)

SCHEDULE 4 - BORROWINGS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Borrowings in India		
(i) Reserve Bank of India	108,710,000	-
(ii) Other Banks	124,852,238	193,774,035
(iii) Other Institutions and Agencies (Refer Note 12 - Schedule 17)	671,010,859	483,302,871
Total	904,573,097	677,076,906
II. Borrowings outside India		
Banks and Other Institutions	71,647,247	73,979,156
Total	71,647,247	73,979,156
Total Borrowings (I + II)	976,220,344	751,056,062
Secured Borrowings (other than CBLO and Repo Borrowings included in I above)	351,229,882	326,521,665

SCHEDULE 5 - OTHER LIABILITIES AND PROVISIONS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Bills Payable	36,395,992	36,051,339
II. Interest Accrued	36,650,891	30,324,751
III. Provision for tax (net of advance tax and tax deducted at source)	17,838,041	8,784,143
IV. Standard Asset provision	22,217,902	20,029,538
V. Derivative Liabilities	69,027,934	28,806,448
VI. Others (including provisions) (Refer Note 3, 6 and 23 (a) - Schedule 17)	266,213,398	315,456,827
Total	448,344,158	439,453,046

SCHEDULE 6 - CASH AND BALANCES WITH RESERVE BANK OF INDIA

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Cash in hand (including foreign currency notes)	17,424,803	20,257,279
II. Balances with RBI		
(i) in Current Account	197,788,705	192,100,075
(ii) in Other Account	202,270,000	150,510,000
Total	417,483,508	362,867,354

SCHEDULE 7 - BALANCES WITH BANKS AND MONEY AT CALL AND SHORT NOTICE

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. In India		
(i) Balances with Banks		
(a) In Current Accounts	4,930,913	5,151,790
(b) In Other Deposit Accounts (Refer Note 4 - Schedule 17)	108,884,165	103,217,847
Total	113,815,078	108,369,637
(ii) Money at Call and Short Notice		
(a) With Banks	-	-
(b) With Other Agencies	78,832,798	130,534,255
Total	78,832,798	130,534,255
Total (i + ii)	192,647,876	238,903,892
II. Outside India		
(i) In Current Accounts	61,863,125	28,511,274
(ii) In Other Deposit Accounts	118,623,026	21,781,354
Total (i + ii)	180,486,151	50,292,628
Total (I + II)	373,134,027	289,196,520

SCHEDULE 8 - INVESTMENTS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Investments in India in (Refer Note 5 & 28 - Schedule 17)		
i. Government Securities	1,786,378,121	1,562,220,211
ii. Other approved Securities	-	-
iii. Shares	311,361,744	246,082,121
iv. Debentures and Bonds	327,267,976	367,256,537
v. Subsidiaries and Joint Ventures (Refer Note 1(a) - Schedule 17)	10,000	10,000
vi. Associates *	24,731,367	16,884,672
vii. Others [Units, Certificate of Deposits (CD), Commercial Paper (CP), Security Receipts, Pass Through Certificates (PTC), Alternate Asset and Other similar funds]	384,742,307	254,721,020
Total	2,834,491,515	2,447,174,561
II. Investments Outside India in		
i. Government Securities	2,546,709	2,892,369
ii. Shares	413,546	18,052
iii. Debentures and Bonds	4,922,484	14,011,382
iv. Others [Venture, Private Equity and other similar funds]	175,736	360,849
Total	8,058,475	17,282,652
Total Investments (I + II)	2,842,549,990	2,464,457,213
* Investment in Associates		
Equity Investment in Associates	7,057,081	1,012,900
Less: Capital reserve on Consolidation (Share of pre-acquisition profits)	1,651	1,651
Cost of Investment in Associates	7,055,430	1,011,249
Add: Post-acquisition profit / (loss) and Reserve of Associates (Equity method)	17,675,937	15,873,423
Total	24,731,367	16,884,672

SCHEDULE 9 - ADVANCES

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A. (i) Bills purchased and discounted #	55,296,796	75,847,475
(ii) Cash Credits, Overdrafts and Loans repayable on demand [^]	1,414,319,469	1,204,741,113
(iii) Term Loans [@]	3,392,038,935	3,022,927,225
Total	4,861,655,200	4,303,515,813
[#] Bills purchased and discounted is net of bills rediscounted ₹ 2,760.15 crore (previous year ₹ 2,723.66 crore)		
[^] net of borrowings under Inter Bank Participatory certificates of ₹ Nil (Previous Year ₹ 2.54 crore)		
[@] net of borrowings under Inter Bank Participatory certificates of ₹ 14,996.90 crore (Previous Year ₹ 12,787.26 crore)		
B. (i) Secured by tangible assets *	3,898,315,251	3,362,281,542
(ii) Covered by Bank / Government guarantees	15,448,793	33,710,160
(iii) Unsecured	947,891,156	907,524,111
Total	4,861,655,200	4,303,515,813
* including advances secured against book debts		
C. I Advances in India		
(i) Priority Sector	1,948,052,268	1,677,430,941
(ii) Public Sector	24,545,864	23,509,188
(iii) Banks	8,718	13,650,218
(iv) Others	2,807,823,401	2,528,418,889
Total	4,780,430,251	4,243,009,236
C. II Advances outside India		
(i) Due from banks	-	-
(ii) Due from others		
a) Bills purchased and discounted	-	-
b) Syndicated and term loans	81,224,949	60,506,577
c) Others	-	-
Total	81,224,949	60,506,577
Grand Total (C.I and C.II)	4,861,655,200	4,303,515,813

SCHEDULE 10 - FIXED ASSETS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A. Premises (Including Land)		
Gross Block		
At cost on 31 st March of the preceding year	11,326,696	11,324,469
Add: Additions/Exchange Gain/(Loss) during the year	-	2,240
Less: Deductions during the year	130,800	13
Total	11,195,896	11,326,696
Depreciation		
As at 31 st March of the preceding year	2,733,633	2,546,441
Add: Charge/Exchange Gain/(Loss) for the year	185,659	187,192
Less: Deductions during the year	55,831	-
Depreciation to date	2,863,461	2,733,633
Net Block	8,332,435	8,593,063
B. Other Fixed Assets (including furniture and fixtures)		
Gross Block		
At cost on 31 st March of the preceding year	52,689,152	42,967,959
Add: Additions/Exchange Gain/(Loss) during the year (including on acquisitions)	12,220,026	11,203,084
Less: Deductions during the year*	2,026,058	1,481,891
Total	62,883,120	52,689,152

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
Depreciation		
As at 31 st March of the preceding year	35,657,137	29,290,926
Add: Charge/Exchange Gain/(Loss) for the year	9,223,433	7,730,342
Less: Deductions during the year*	1,773,018	1,364,131
Depreciation to date	43,107,552	35,657,137
Net Block (Refer Note 21 - Schedule 17)	19,775,568	17,032,015
*As at 31 st March, 2025 includes cost and accumulated depreciation pertaining to Kotak General Insurance Limited (Refer Note 25 - Schedule 17).		
C. Leased Fixed Assets		
Gross Block		
At cost on 31 st March of the preceding year	-	1,540,585
Add: Additions/Exchange Gain/(Loss) during the year	-	-
Less: Deductions during the year	-	1,540,585
Total	-	-
Depreciation		
As at 31 st March of the preceding year	-	1,383,601
Add: Charge/Exchange Gain/(Loss) for the year	-	-
Less: Deductions during the year	-	1,383,601
Depreciation to date	-	-
Net Block	-	-
Total (A) + (B) + (C)	28,108,003	25,625,078

SCHEDULE 11 - OTHER ASSETS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Interest accrued	74,340,439	62,252,623
II. Advance tax (net of provision for tax)	1,725,456	2,634,973
III. Stationery and stamps	195,250	102,605
VI. Derivative Asset	66,048,196	26,581,075
VII. Others* (Refer Note 3, 20 and 23 (b) - Schedule 17)	123,025,734	129,958,769
Total	265,335,075	221,530,045

* Includes Deposits placed with NABARD/ SIDBI ₹ 2,050.97 crore (Previous year ₹ 3,253.85 crore)

SCHEDULE 12 - CONTINGENT LIABILITIES

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Claims not acknowledged as debts	10,322,462	9,881,398
II. Liability on account of outstanding forward exchange contracts	8,741,277,097	5,019,201,824
III. Guarantees on behalf of constituents		
i) In India	397,106,608	321,157,013
ii) Outside India	6,992,012	124,606
IV. Acceptances, Endorsements and Other Obligations	251,650,944	262,663,257
V. Other items for which the Group is contingently liable:		
i) Liability in respect of interest rate, currency swaps and forward rate agreements	1,713,944,165	1,565,132,212
ii) Liability in respect of other derivative contracts	104,473,027	118,435,081
iii) Capital commitments not provided	40,401,117	39,858,367
iv) Unclaimed Customer balances transferred to RBI DEAF Scheme	5,425,139	4,120,003
Total	11,271,592,571	7,340,573,761

Schedules

forming part of Consolidated Profit and Loss Account for the year ended 31st March, 2025

SCHEDULE 13 - INTEREST EARNED

(₹ in thousands)

	For the year ended 31 st March, 2025	For the year ended 31 st March, 2024
I. Interest / discount on advances / bills	473,080,993	408,661,623
II. Income on investments	159,903,168	132,966,020
III. Interest on balances with RBI and other inter-bank funds	18,141,184	15,423,610
IV. Others	5,562,907	5,315,070
Total	656,688,252	562,366,323

SCHEDULE 14 - OTHER INCOME

(₹ in thousands)

	For the year ended 31 st March, 2025	For the year ended 31 st March, 2024
I. Commission, exchange and brokerage	124,632,748	103,827,061
II. Profit on sale of Investments (net) (Refer Note 25 - Schedule 17)	85,564,095	27,735,517
III. Profit / (Loss) on revaluation of investments (net)	(1,927,938)	46,437,867
IV. Profit on sale of building and other assets (net)	458,046	71,379
V. Profit on exchange on transactions (net) (including derivatives)	15,288,372	12,687,959
VI. Premium on Insurance business	182,208,693	184,253,086
VII. Profit on recoveries of non-performing assets acquired	3,989,614	3,217,957
VIII. Miscellaneous Income (Refer Note 23 (c) - Schedule 17)	2,120,486	2,141,956
Total	412,334,116	380,372,782

SCHEDULE 15 - INTEREST EXPENDED

(₹ in thousands)

	For the year ended 31 st March, 2025	For the year ended 31 st March, 2024
I. Interest on Deposits	224,341,255	182,285,015
II. Interest on RBI / Inter-Bank Borrowings	13,867,355	15,815,528
III. Others (Refer Note 13 - Schedule 17)	44,536,899	27,571,828
Total	282,745,509	225,672,371

SCHEDULE 16 - OPERATING EXPENSES

(₹ in thousands)

	For the year ended 31 st March, 2025	For the year ended 31 st March, 2024
I. Payments to and provision for employees (Refer Note 3 and 11 - Schedule 17)	119,635,966	103,473,126
II. Rent, taxes and lighting (Refer Note 15 - Schedule 17)	12,027,226	9,687,465
III. Printing and Stationery	1,670,948	2,232,761
IV. Advertisement, Publicity and Promotion	15,481,815	15,563,775
V. Depreciation on Group's property	9,409,087	7,917,534
VI. Directors' fees, allowances and expenses	164,148	146,585
VII. Auditors' fees and expenses		
Statutory Audit fees	134,102	122,850
Other Matters	18,510	11,004
VIII. Law Charges	446,976	461,806
IX. Postage, telephones etc.	5,901,514	5,317,349
X. Repairs and maintenance	17,388,481	14,393,747
XI. Insurance	5,600,831	4,739,689
XII. Policyholders' reserve cost	115,600,290	152,734,888
XIII. Claims and benefits paid pertaining to insurance business	84,613,331	78,320,590
XIV. Other Expenditure (Refer Note 23 (d) - Schedule 17)	69,700,985	63,585,071
Total	457,794,210	458,708,240

SCHEDULE 17 – SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**1. GENERAL:****OVERVIEW**

Kotak Mahindra Bank Limited ('the Bank' or 'KMBL'), together with its subsidiaries (collectively, 'the Group'), is a diversified financial services group providing a wide range of banking and financial services including Consumer Banking, Commercial Banking, Treasury and Corporate Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory Services, Asset Management and Life Insurance. The Bank set up and commenced operations in May 2016, at its International Financial Services Center Banking Unit ('IBU') in Gujarat International Finance Tec ('GIFT') City, Gujarat. The Bank has commenced operations in October 2019 at its first overseas branch at the Dubai International Financial Centre ('DIFC'), Dubai, UAE.

BASIS OF CONSOLIDATION

The consolidated financial statements of the Group are prepared in accordance with Accounting Standard 21 (AS-21), "Consolidated Financial Statements". Investment in Associates are accounted by the Group under the equity method in accordance with Accounting Standard 23 (AS-23), "Accounting for Investments in Associates in Consolidated Financial Statements" specified under Section 133 and the relevant provisions of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021 in so far as they apply to the Group as amended from time to time.

The Bank consolidates entities in which it holds, directly or indirectly through subsidiaries, more than 50% of the voting rights or where it exercises control, on a line by line basis by adding together like items of assets, liabilities, income and expenses in accordance with AS-21. The Goodwill or Capital Reserve on consolidation represents the difference between the Group's share in the networth of the subsidiary and the cost of acquisition at the time of making investment in the subsidiary. Intragroup balances, intragroup transactions and resulting unrealised profits, if any, are eliminated in full. Unrealised losses resulting from intragroup transactions are also eliminated unless cost cannot be recovered. Goodwill on consolidation is not amortised. Assessment is done at each balance sheet date as to whether there is any indication that goodwill may be impaired.

Minority interest representing the part of net results of operations and of the net assets of subsidiary attributable to interests not owned directly or indirectly through subsidiaries is presented separately from liabilities and the equity. Further, the Group accounts for investments in entities where it holds 20% to 50% of the voting rights or exercises significant influence by the equity method of accounting in accordance with AS-23. The financial statements of the subsidiaries and associates used in consolidation are drawn up to the same reporting date as that of the holding Company i.e. 31st March, 2025. The Bank does not consolidate entities where the significant influence/control is intended to be temporary or entities which operate under severe long-term restrictions that impair their ability to transfer funds to parent/investing entity or where the objective of control is not to obtain economic benefit from their activities.

a. The list of subsidiaries is as under:

Name of the Subsidiary	Country of Origin	% Shareholding of Group (31 st March, 2025)	% Shareholding of Group (31 st March, 2024)
Kotak Mahindra Prime Limited	India	100.00	100.00
Kotak Securities Limited	India	100.00	100.00
Kotak Mahindra Capital Company Limited	India	100.00	100.00
Kotak Mahindra Life Insurance Company Limited	India	100.00	100.00
Kotak Mahindra Investments Limited	India	100.00	100.00
Kotak Mahindra Asset Management Company Limited	India	100.00	100.00
Kotak Mahindra Trustee Company Limited	India	100.00	100.00
Kotak Mahindra (International) Limited	Mauritius	100.00	100.00
Kotak Mahindra (UK) Limited	UK	100.00	100.00
Kotak Mahindra, Inc.	USA	100.00	100.00
Kotak Alternate Asset Managers Limited (formerly known as Kotak Investment Advisors Limited)	India	100.00	100.00
Kotak Mahindra Trusteeship Services Limited	India	100.00	100.00
Kotak Infrastructure Debt Fund Limited	India	100.00	100.00
Kotak Mahindra Pension Fund Limited	India	100.00	100.00

Name of the Subsidiary	Country of Origin	% Shareholding of Group (31 st March, 2025)	% Shareholding of Group (31 st March, 2024)
Kotak Mahindra Financial Services Limited	UAE	100.00	100.00
Kotak Mahindra Asset Management (Singapore) PTE. Limited	Singapore	100.00	100.00
Zurich Kotak General Insurance Company (India) Limited (formerly Kotak Mahindra General Insurance Company Limited) (w.e.f. 18 th June, 2024) (Refer Note 25 of Schedule 17)	India	-	100.00
IVY Product Intermediaries Limited	India	100.00	100.00
BSS Microfinance Limited	India	100.00	100.00
Sonata Finance Private Limited (w.e.f 28 th March, 2024)	India	100.00	100.00

Kotak Karma Foundation (“the Foundation”) incorporated under Section 8 of the Companies Act, 2013, is a wholly owned subsidiary of the Bank for setting up a Centre of Excellence (CoE) for furtherance of part of its Corporate Social Responsibility (CSR) Initiatives. Being a Section 8 Company and as per terms of articles, the Foundation operates with restrictions to transfer funds to the Bank, hence in accordance with the requirements of Accounting Standard 21 on “Consolidated Financial Statements”, the Company is excluded from consolidation.

- b. As per AS-23, the Consolidated Financial Statements incorporate the audited results of the following associates except as indicated.**

Name of the Associate	Country of Origin	% Shareholding of Group (31 st March, 2025)	% Shareholding of Group (31 st March, 2024)
Infina Finance Private Limited	India	49.99	49.99
Phoenix ARC Private Limited	India	49.90	49.90
Zurich Kotak General Insurance Company (India) Limited (formerly Kotak Mahindra General Insurance Company Limited) (w.e.f. 18 th June, 2024) (Refer Note 25 of Schedule 17)	India	30.00	-

2. ACCOUNTING METHODOLOGY AND SIGNIFICANT ACCOUNTING POLICIES:

A. ACCOUNTING METHODOLOGY

The Consolidated Financial Statements have been prepared on historical cost basis of accounting. The Group adopts the accrual method of accounting and historical cost convention unless stated otherwise. The Group has prepared these consolidated financial statements to comply in all material respects with the Accounting Standards notified under Section 133 and the relevant provisions of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021 in so far as they apply to the Group and the guidelines issued by the Reserve Bank of India (RBI), Insurance Regulatory and Development Authority of India (IRDAI) from time to time as applicable and the generally accepted accounting principles prevailing in India.

The financial statements of Indian subsidiaries (excluding insurance companies) and associates (excluding insurance companies) are prepared as per Indian Accounting Standards in accordance with the Companies (Indian Accounting Standards) Rules, 2015. The financial statements of subsidiaries located outside India are prepared in accordance with accounting principles generally accepted in their respective countries. However, for the purpose of preparation of the consolidated financial results, the results of subsidiaries and associates are prepared in accordance with Generally Accepted Accounting Principles in India (“GAAP”) specified under Section 133 and relevant provision of Companies Act, 2013 read with Companies Accounting Standard Rules, 2021 and the guidelines issued by the RBI to the extent applicable. In case the accounting policies followed by consolidating entities are different from those followed by Bank, the same have been disclosed separately.

B. USE OF ESTIMATES

The preparation of financial statements requires the management to make estimates and assumptions in the reported amounts of assets and liabilities (including contingent liabilities) as at the date of the financial statements and the reported income and expenses during the reporting period. Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Actual results could differ from these estimates. Any revision in the accounting estimates is recognised prospectively in the current and future periods.

C. REVENUE RECOGNITION**a. Lending / Investing:**

- i. Interest income is recognised on accrual basis.
- ii. Interest income in respect of retail advances is accounted for by using the internal rate of return method to provide a constant periodic rate of return.
- iii. Interest income on investments in Pass-Through-Certificates (PTCs) and loans bought out through the direct assignment route is recognised at their effective interest rate.
- iv. Service charges, fees and commission income are recognised when due, where the Group is reasonably certain of ultimate collection. The guarantee commission and letter of credit commission are recognised over the period of the guarantee and letter of credit respectively. Syndication / arranger fee is recognised as income as per the terms of engagement.
- v. Bank recognizes interest income on Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits over tenure of the instrument on a straight line basis and subsidiaries recognize on constant periodic rate of return. Interest income on other discounted instruments is recognised over the tenure of the instruments so as to provide a constant periodic rate of return.
- vi. Upon an asset becoming non-performing assets (NPAs) the income accrued gets reversed, and is recognised only on realisation, as per the RBI guidelines. Penal interest/charges is recognised as income on realisation other than on running accounts where it is recognised to the extent of limits available in the account.
- vii. Gain on account of securitisation of assets is amortised over the life of the securities issued in accordance with the guidelines issued by the RBI. Loss on account of securitisation of assets is recognised immediately in profit and loss account.
- viii. Gain on account of assignment of assets on bilateral basis is recognised based on the difference between the book value of the assigned assets and sale consideration received.
- ix. Dividend income is accounted on an accrual basis when the right to receive the dividend is established.
- x. In respect of non-performing assets acquired from other Banks / FIs and NBFCs, collections in excess of the consideration paid at each asset level or portfolio level is treated as income in accordance with the RBI guidelines and clarifications.
- xi. Fees received on sale of Priority Sector Lending Certificates is considered as Miscellaneous Income, while fees paid for purchase is recognised as expense under other expenses in accordance with the guidelines issued by the RBI.

b. Investment Banking:

- i. Issue management fees and placement fees, underwriting commission, referral fees and financial advisory fees are accounted on completion of milestones specified in the contract.

c. Life Insurance:

- i. Premium including rider (net of GST) is recognised as income when it is due from policyholders except on unit linked policies, where the premium is recognised when associated units are created.
- ii. In accordance with the terms of insurance policies, uncollected premium on lapsed policies is not recognised as income until revived.
- iii. Top Up / Lump sum contributions are accounted as a part of the single premium.

- iv. Income from unit linked policies, which include fund management fees, policy administration charges, mortality charges and other charges, if any, are recovered from the linked fund in accordance with the terms and conditions of the insurance contracts and is accounted for as income when due.
- v. Reinsurance premium ceded is accounted on due basis at the time when related premium income is accounted in accordance with the terms and conditions of the relevant treaties with the reinsurer. Profit commission on reinsurance ceded is accounted as income in the year of final determination of profit. Profit commission on reinsurance ceded is netted off against premium ceded on reinsurance.
- vi. Interest on policy reinstatement is accounted for on receipt basis.

d. General Insurance:

- i. Interest income is recognised on accrual basis. Accretion of discount and amortisation of premium relating to debt securities is recognised over the maturity period of such securities on a constant yield.
- ii. Premium net of indirect tax (including reinsurance accepted) is recognised on commencement of the risk. In case of policies where payments are received in installment, the revenue is recognized at the time of receipt of installment. Premium earnings are recognised over the period of the policy or period of risk. Any revisions in premium amount are recognised in the year in which they occur and over the remaining period of the policy. Any subsequent cancellations of policies are recognised in the period in which they occur.
- iii. Commission on reinsurance ceded is recognised as income on ceding of reinsurance premium. Profit commission under reinsurance treaties, wherever applicable, is recognised in the year of final determination of the profits and as intimated by the reinsurer.
- iv. Proportional Reinsurance premium ceded is accounted on due basis at the time when related premium income is accounted for. Non-proportional reinsurance cost is accounted as per terms of the reinsurance arrangements. Any revisions in reinsurance premium ceded are recognised in the period in which it occur. On cancellation of policies, related reinsurance premium ceded are recognised in the same period in which it occur. Reinsurance inward acceptances are accounted for on the basis of reinsurance slips, accepted from the reinsurer.
- v. In respect of policies booked where risk inception date is subsequent to the balance sheet date, the premium collected is presented in balance sheet as premium received in advance.
- vi. Premium deficiency is recognised when sum of expected claim cost, related expenses and maintenance cost (related to claims handling) exceed related reserve for unexpired risk. It is recognised on an annual basis and at segment level for the insurance company viz., fire, marine and miscellaneous. Premium deficiency reserve is estimated and certified by the appointed actuary.

e. Broking:

- i. Placement and other fee based income are accounted for on the basis of the progress of the assignment.
- ii. Brokerage Income (net of indirect tax):
 - On primary market subscription / mobilisation is accounted on receipt of intimation of allotment.
 - On secondary market transaction is recognised upon completion of brokerage services to customers.
- iii. Depository Fees (net of indirect tax), is recognised on accrual basis and as per terms agreed with the customers. Other charges recovered from secondary broking customers are recognised upon completion of services.
- iv. Securities lending or borrowing fees are recognised on pro-rata basis over the tenure of the contract.

f. Asset Management and Advisory Services:

- i. Investment management fees are recognised on rendering of services and are dependent on the net asset value and expenses as recorded by the schemes of the funds.
- ii. Management fee (net of indirect tax) from venture funds, private equity funds and other similar funds is recognised on accrual basis at the rates specified in the investment management agreement from the date of initial closing of funds under management. Advisory fees (net of indirect tax) is recognised on accrual basis as per the terms of contract.

- iii. Revenue from rendering of investment advisory business is recognised on a straight line basis over the period when services are rendered, which is in accordance with the terms of the mandate letters entered between the Company and the high networth individual client.
- iv. Portfolio advisory service fees are recognised on accrual basis in accordance with the terms of agreement.
- v. Portfolio management service fees are recognised on accrual basis in accordance with the terms of agreement between the Company and the respective clients.
- vi. Income on account of distribution from venture capital funds/ alternate investment fund is recognised on the receipt of the distribution letter or when right to receive is established.
- vii. The Group receives fees for providing research to clients and records the income at the time services are provided.

D. FIXED ASSETS (PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS)

Property, Plant and Equipment and Intangible assets have been stated at cost less accumulated depreciation and amortisation and adjusted for impairment, if any. Cost includes cost of purchase inclusive of freight, duties and other incidental expenses and all expenditure like site preparation, installation costs and professional fees incurred on the asset before it is ready to put to use. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future benefit / functioning capability from / of such assets. Gain or loss arising from the retirement or disposal of a Property, Plant and Equipment and Intangible asset are determined as the difference between the net disposal proceeds and the carrying amount of assets and recognised as income or expense in the profit and loss account. Profit on sale of premises of the Bank, net of taxes and transfer to statutory reserve is appropriated to capital reserve as per the RBI guidelines.

DEPRECIATION / AMORTISATION

Depreciation / amortisation is provided on a pro-rata basis on a straight line method over the estimated useful life of the assets at rates which are equal to or higher than the rates prescribed under Schedule II of the Companies Act, 2013 in order to reflect the actual usage of the assets. The estimated useful lives of assets based on technical evaluation by management are as follows:

Asset Type	Useful life in years
Premises	58
Leasehold land Improvement to leasehold premises	Over the lease period Over the period of lease subject to a maximum of 6 years
Office equipments (High capacity chillers, Transformers, UPS, DG set, Fire Suppression, HVAC, PAC & Elevators)	10
Office equipments (other than above)	5
Computers	3
Furniture and Fixtures	6
Motor Vehicles	4
ATMs	5
Software (including development) expenditure	3
Goodwill (Other than on consolidation)	5
Membership Card of the Bombay Stock Exchange Limited	20
Asset Management Rights	5

Used assets purchased are depreciated over the residual useful life from the date of purchase.

Assets costing less than ₹ 5,000 are fully depreciated in the year of purchase.

E. EMPLOYEE BENEFITS

i. Defined Benefit Plans:

Gratuity:

The Group provides for gratuity covering employees in accordance with the Payment of Gratuity Act, 1972, service regulations and service awards as the case may be. The Group's liability is actuarially determined using projected unit credit method at the balance sheet date. The Bank and seven of its subsidiaries make contributions to a gratuity fund administered by trustees and managed by Life Insurance companies. In other subsidiaries gratuity obligation is wholly unfunded. The contribution made to the trusts is recognised as planned assets.

Pension:

In respect of pension payable to certain employees of erstwhile ING Vysya Bank Limited (eIVBL) under Indian Banks' Association (IBA) structure, the Bank contributes 10% of basic salary to a pension fund and the difference between the contribution and the amount actuarially determined by an independent actuary is trued up based on actuarial valuation conducted as at the balance sheet date. The pension fund is managed by a Life Insurance company. The present value of the Bank's defined pension obligation is determined using the projected unit credit method as at the balance sheet date.

Employees covered by the pension plan are not eligible for employer's contribution under the provident fund plan.

The contribution made to the pension fund is recognised as planned assets.

The defined benefit obligation recognised in the balance sheet represents the present value of the defined benefit obligation as reduced by the fair value of the plan assets.

Actuarial gains or losses in respect of all defined benefit plans are recognised immediately in the profit and loss account in the year in which they are incurred.

ii. Defined Contribution Plans:

Provident Fund:

Contribution as required by the statute made to the government provident fund or to a fund set up by the Bank and administered by a board of trustees is debited to the profit and loss account when an employee renders the related service. The Group has no further obligations.

Superannuation Fund:

The Group makes contributions in respect of eligible employees, subject to a maximum of ₹ 0.01 crore per employee per annum to a fund administered by trustees and managed by Life Insurance companies. The Group recognises such contributions as an expense in the year when an employee renders the related service. The Group has no further obligations.

New Pension Scheme:

The Group contributes upto 10% of eligible employees' salary per annum, to the New Pension Fund administered by a Pension Fund Regulatory and Development Authority (PFRDA) appointed pension fund manager. The Group recognises such contributions as an expense in the year when an employee renders the related service.

DIFC Employee Workplace Savings Scheme (DEWS):

The Bank's branch in DIFC contributes up to 8.33% of eligible branch employees' salary per annum to the DIFC Employee Workplace Savings Scheme (DEWS). The Bank recognises such contributions as an expense in the year when an employee renders the related service. The Bank has no further obligation.

iii. Compensated Absences: Other Long-Term Employee Benefits:

The Group accrues the liability for compensated absences based on the actuarial valuation as at the balance sheet date conducted by an independent actuary, which includes assumptions about demographics, early retirement, salary increases, interest rates and leave utilisation. The net present value of the Group's obligation is determined using the projected unit credit method as at the balance sheet date. Actuarial gains or losses are recognised in the profit and loss account in the year in which they arise.

iv. Other Employee Benefits:

As per the Group policy, employees are eligible for an award after completion of a specified number of years of service with the Group. The obligation is measured at the balance sheet date on the basis of an actuarial valuation using the projected unit credit method.

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees is recognised during the period when the employee renders the service. These benefits include performance incentives.

F. INVESTMENTS**Policies applicable for the year ended March 31 2025:****For the Bank & Subsidiaries (excluding insurance subsidiary) (“the Group”):****1. Classification:**

In accordance with Reserve Bank of India (‘RBI’) Master Direction - Classification, Valuation and Operation of Investment Portfolio of Commercial Banks (Directions), 2023 (‘RBI Directions’) issued on 12 September 2023, the Group classifies its entire investment portfolio (except investments in their own subsidiaries, joint ventures and associates) under three categories, viz., Held to Maturity (‘HTM’), Available for Sale (‘AFS’) and Fair Value through Profit and Loss (‘FVTPL’), Held for Trading (‘HFT’) is a separate investment sub-category within FVTPL.

Under each of these categories, investments are further classified under six groups – Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investments in Subsidiaries / Joint Ventures, and Other Investments for the purposes of disclosure in the Balance Sheet.

The Bank follows ‘Settlement Date’ accounting for recording purchase and sale transactions in securities, except in the case of equity shares by Bank where ‘Trade Date’ accounting is followed. The subsidiaries follow ‘Trade Date’ accounting for recording purchase and sale transactions in securities.

Basis of classification:

The Group classifies its investments as subsequently measured at either HTM, AFS or FVTPL based on the business model for managing the investments and the contractual cash flow characteristics of the investments.

Business model assessment:

The Group makes an assessment of the objective of a business model in which an investment is held such that it best reflects the way the business is managed and is consistent with information provided to management. The information considered includes:

- The objectives for the portfolio, in particular, management’s strategy of focusing on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the investments to the duration of the liabilities that are funding those investments or realising cash flows through the sale of the investments;
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group’s stated objective for managing the investments is achieved and how cash flows are realised; and
- The risks that affect the performance of the business model, the investments held within that business model and how those risks are managed.

Assessment whether contractual cashflows are solely payments of principal and interest

For the purposes of this assessment, ‘principal’ is defined as the fair value of the investment on initial recognition. ‘Interest’ is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- Reset terms;
- Contingent events that would change the amount and timing of cash flows;
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- Features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

Investments at HTM

An investment is classified at HTM only if both of the following conditions are met:

- It is held with the objective to collect the contractual cash flows; and
- The contractual terms of the investment give rise to cash flows that are Solely Payments of Principal and Interest ('SPPI' criterion) on principal outstanding on the specified dates.

Investments at AFS

An investment is classified at AFS only if both of the following conditions are met:

- It is acquired with an objective that is achieved by both collecting contractual cash flows and selling investment; and
- The contractual terms of the investment meet SPPI criteria.

For equity instruments not held with the objective of trading, the Group has an option on initial recognition to classify such instruments under AFS. The Group makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

Investments at FVTPL

Any investment, which does not meet the criteria for categorization as at HTM or as AFS, is classified at FVTPL.

Investments at HFT

HFT is a separate investment sub-category within FVTPL consisting of instruments that meet the specifications for HFT instruments or are held with the intention of trading or short-term gains is classified under HFT as set out in the RBI Circular dated 12th September, 2023.

Investments in Subsidiaries, Associates and Joint Ventures

All investments in subsidiaries, associates and joint ventures are held in a distinct category for such investments separate from the other investment categories (viz. HTM, AFS and FVTPL)

2. Acquisition Cost:

The cost of investments is determined on "first-in, first-out" ('FIFO') basis by Bank and on "weighted average cost" basis by subsidiaries.

Broken period interest paid to seller is not capitalized but treated as an item of expenditure under Profit and Loss Account in respect of investment in securities by Bank. The transaction costs including brokerage, commission, etc. paid at the time of acquisition of investments is recognised in Profit and Loss Account by Bank. In case of subsidiaries the broken period interest and transaction costs including brokerage, commission etc. paid at the time of acquisition of investments is capitalised.

3. Disposal of investments:

- **Investments classified as AFS**
 - **Debt instruments:** Upon sale or maturity, the accumulated gain/ loss in the AFS Reserve is transferred from the AFS Reserve and recognized in the Profit and Loss Account.
 - **Equity instruments:** Any gain or loss on sale is transferred from AFS Reserve to the Capital Reserve by Group.

- **Investments classified as FVTPL/ HFT**

Any gain or loss on sale of investments is recognised in the Profit and Loss Account.

- **Investments in subsidiaries, associates and joint ventures**

Profit or loss on sale of investments is recognised in the Profit and Loss Account and profit, if any, on sale of investments is appropriated to the Capital Reserve Account after adjustments for tax and transfer to Statutory Reserve.

- **Investments classified as HTM**

Profit on sale or redemption of investments is recognised in the profit and loss account and is appropriated to capital reserve after adjustments for tax and transfer to statutory reserve by Bank. Loss on sale or redemption is recognised in the profit and loss account.

4. **Short Sale:**

The Bank undertakes short sale transactions in central government dated securities in accordance with the RBI guidelines. The short position is categorised under HFT category and netted off from investments in the balance sheet. The short position is marked to market and loss, if any, is charged to the profit and loss account while gain, if any, is ignored. Gain or loss on settlement of the short position is recognised in the profit and loss account.

5. **Valuation:**

The valuation of investments is performed in accordance with the RBI guidelines as follows:

- a. **Investments classified as HTM** – These are carried at cost and not Marked-to-Market ('MTM') after initial recognition. Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account.
- b. **Investments classified as AFS** – These are fair valued on a quarterly basis. The valuation gains and losses are aggregated, and the net appreciation or depreciation directly gets credited or debited to AFS reserve (net of effect of applicable taxes). Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account.
- c. **Investments classified as FVTPL/HFT** - These are fair valued and the net gain or loss arising on such valuation is directly credited/debited to the Profit and Loss Account. Securities that are classified under the HFT sub-category within FVTPL are fair valued on daily basis, whereas other securities in FVTPL are fair valued on a quarterly basis. Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortized is reflected as a part of interest earned in the Profit and loss Account.
- d. **Investments in subsidiaries, associates and joint ventures** - All investments in subsidiaries, associates and joint ventures are held at acquisition cost. Any discount or premium on the acquisition of debt instruments of subsidiaries and associates are amortised over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account. The Group assesses these investments for impairment and provides for the same, in accordance with RBI Directions.
- e. The fair value of the quoted securities are the prices declared by the Financial Benchmarks India Private Limited ('FBIL'). For securities whose prices are not published by FBIL, the fair value of the quoted securities is based upon quoted price as available from the trades/ quotes on recognised stock exchanges, reporting platforms or trading platforms authorised by RBI or Securities and Exchange Board of India ('SEBI') or prices declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA').
- f. Non INR India linked bonds and debentures are valued at prices published by counter party quotes.
- g. Treasury bills, exchange funded bills, commercial paper and certificate of deposits being discounted instruments, are valued at carrying cost.

- h. Market value of units of mutual funds is based on the latest net asset value declared by the mutual fund.
- i. Market value of investments where current quotations are not available are determined as per the norms prescribed by the RBI as under:
- In case of unquoted bonds, debentures, Pass Through Certificates (PTCs) and preference shares where interest/dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to maturity for Government Securities as published by FIMMDA/ FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each categories and credit ratings along with residual maturity issued by FIMMDA/ FBIL is adopted for this purpose.
 - Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the Company's latest balance sheet. The date as on which the latest balance sheet is drawn up shall not precede the date of valuation by more than 18 months. In case the latest balance sheet is not available, the shares are valued at ₹1 per investee company;
 - Security receipts are valued as per the NAV obtained from the issuing Asset Reconstruction Company or Securitisation Company or estimated recoverable value, whichever is lower.
 - Units of Alternate Investment Funds (AIF) are valued at the NAV published by the AIFs. If AIF fails to carry out and disclose valuation of its investments by an independent valuer as per the frequency mandated by the SEBI regulations, the value of units shall be treated as ₹ 1. If the AIF is not registered under the applicable SEBI regulations and the latest disclosed valuation of its investments by an independent valuer is not available for a period beyond 18 months, the investment shall be valued at ₹ 1 per unit. Further, the Bank and NBFCs provides for investments in Alternate Investments Funds (AIFs) in linewith RBI circular dated 19th December, 2023 and 27th March 2024.
- j. Non-performing investments (NPIs) are identified and provision is made thereon based on the RBI guidelines. Subsequent, MTM gains on NPIs are ignored. NPIs are segregated from rest of the portfolio and are not considered for netting valuation gains and losses. Interest on non-performing investments is not recognized in the profit and loss account until received. The Bank classifies Security Receipts whose tenure has exceeded 8 years, as NPI.
- k. **Repurchase and reverse repurchase transactions** – Securities sold under agreements to repurchase (Repos) and securities purchased under agreements to resell (Reverse Repos) are accounted as collateralised borrowing and lending transactions respectively. The difference between the consideration amount of the first leg and the second leg of the repo is recognised as interest income or interest expense over the period of the transaction.

Day 1 gain/ loss on initial recognition

All investments are measured at fair value on initial recognition.

Unless facts and circumstances suggest that the fair value is materially different from the acquisition cost, it is presumed that the acquisition cost is the fair value. Situations where the presumption is tested include:

- The transaction is between related parties.
- The transaction is done outside the principal market for that class of securities.
- The transaction is taking place under duress where one party is forced to accept the price in the transaction.

The Bank does not expect day 1 gain/ loss in case of investments which are executed through trading platforms like Recognized Stock Exchange or through online investment platforms whereby the prices are determined in an orderly transaction between market participants on the measurement date. Day 1 gain/ loss is tested when transactions are conducted outside the principal market or transactions are done with related parties.

Where the securities are quoted or the fair value can be determined based on market observable inputs (such as yield curve, spread, etc.) any day 1 gain/ loss is recognised in the Profit and Loss Account.

Any day 1 loss arising from Level 3 investments is recognised immediately in the Profit and Loss Account.

Any day 1 gains arising from Level 3 investments is deferred. In the case of debt instruments, the day 1 gain is amortized on a straight-line basis up to the maturity date, while for unquoted equity instruments, the gain is set aside as a liability until the security is listed or derecognised.

Fair Value Hierarchy:

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date.

The management uses its judgment in selecting an appropriate valuation technique for financial instruments not quoted in an active market. Valuation techniques commonly used by market participants are applied.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible.

Fair values are categorized into different levels (Level 1, Level 2, or Level 3) in a fair value hierarchy based on the inputs used in the valuation techniques. The levels are described as follows:

Level 1: The inputs used for valuation of financial instruments are quoted prices (unadjusted) in active markets for identical instruments that the Group can access at the measurement date.

Level 2: The valuation of financial instruments is based on inputs, other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: The valuation of financial instruments is based on unobservable inputs i.e. not based on observable market data.

Transition date accounting on 1st April, 2024

In line with the RBI Circular dated 12th September, 2023, the fair value as on 31st March, 2024 is the revised carrying value of investments. Further, the difference between the fair value as on 31st March 2024 and previous carrying value has been adjusted in the Revenue/ General Reserve except that in case of Equity shares in AFS book, the same is adjusted to the AFS Reserve.

For the Life Insurance Company:

- a. Investments are recorded at cost on trade date which includes brokerage, transfer charges, transaction taxes as applicable, etc. but excludes pre-acquisition interest, if any and indirect tax on brokerage where input tax credit is being claimed.
- b. Bonus entitlements are recognised as investments on the 'ex-bonus date'. Rights entitlements are recognised as investments on the 'ex-rights date'.
- c. Gain / Loss on transfer or sale of securities is the difference between the transfer or sale price and the net amortised cost / carrying value which is computed on a weighted average basis as on the date of transfer or sale. Sale consideration for the purpose of realised gain / loss is net of brokerage and taxes, if any.

Valuation – Shareholders' Investments and non-linked policy-holders' investments

- d. All debt securities are classified as "HTM" for the purpose of valuation and are accordingly recorded at historical cost (excluding interest paid, if any). Debt securities including government securities are stated at net amortised cost. Money market instruments are valued at historical cost subject to accretion of discount. The premium or discount, if any, on purchase of debt securities is amortised or accreted over the period to maturity on an internal rate of return basis.
- e. Listed equity shares as at the balance sheet dates are stated at fair value being the quoted closing price on National Stock Exchange Limited (NSE). If an equity share is not listed or traded on NSE, then closing share price on BSE (formerly known as Bombay Stock Exchange) is used. Unlisted shares or shares awaiting listing are stated at historical cost subject to provision for diminution, if any. In case of Infrastructure Investment Trusts (InvIT), where market quote is not available for the last 30 days, the units shall be valued as per the latest NAV (not more than 6 months old) of the units published by the trust. All redeemable unlisted preference shares are classified as held to maturity and stated at historical cost.

In case of diminution in the value of investment as at the balance sheet date which is other than temporary, the amount of such diminution is recognised as an expense in the profit and loss account to the extent of difference between the remeasured fair value of the investment and its acquisition cost as reduced by any previous impairment loss recognised in profit and loss account. Any reversal of impairment loss is recognised in the profit and loss account.

- f. Investments in mutual funds are valued at the latest NAV of the funds in which they are invested. Investments in Alternative Investment Funds are valued at the latest NAV.

The investment in Additional Tier 1 Bonds are valued at an applicable market yield rates provided by Credit Rating Information Services of India Limited (CRISIL) on the basis of CRISIL Bond Valuer.

- g. Unrealised gains due to change in the fair value of the investments is taken to a fair value change account and is adjusted in the carrying value of investment. The unrealised loss due to change in the fair value of investments, other than due to reversal of the gains recognised in fair value change account, is recognised in the profit and loss account. The gain or loss on sale of investments includes the accumulated changes in the fair value change account.
- h. Real estate investment property represents building held for investment purpose to earn rental income or for capital appreciation and is not occupied. Such investment property is initially valued at cost including any direct attributable cost. Investment in the real estate investment property is valued at historical cost plus revaluation, if any. Revaluation of the investment property is done at least once in three years. Any change in the carrying amount of the investment property is accounted to revaluation reserve forming part of "Reserves and Surplus". Impairment loss, if any, exceeding revaluation reserve is recognised as expense in the profit and loss account

Unlisted units of Real Estate Investment Trusts (REIT) awaiting listing are stated at historical cost subject to provision for diminution, if any. Investment in units of REIT are valued at market value (last quoted price should not be later than 30 days). Where market quote is not available for the last 30 days, the units shall be valued as per the latest NAV (not more than 6 months old) of the units published by the trust.

- i. Certain guaranteed products offered by the Life Insurance subsidiary assure the policy holders a fixed rate of return for premiums to be received in the future and the Life Insurance subsidiary is exposed to interest rate risk on account of re-investment of interest & principal maturities at future date & guarantee risk on premiums from already written policies. The Life Insurance subsidiary is following hedge accounting for all derivative transactions.

For derivatives which are designated as a cash flow hedge in a hedging relationship, hedge effectiveness is ascertained at the time of inception of the hedge and periodically.

- The portion of fair value gain / loss on interest rate derivative that is determined to be an effective hedge is recognized directly in policyholders' funds.
- The ineffective portion of the change in fair value of such instruments is recognized in profit and loss account in the period in which they arise.
- If the hedging relationship ceases to be effective or it becomes probable that the expected forecasted transaction will no longer occur, hedge accounting is discontinued and the cumulative gains or losses that were recognized earlier in balance sheet shall be reclassified to the profit and loss account in the same period or periods during which the hedged forecasted cash flows affect the profit and loss account.

Recognition of Derivatives in Balance Sheet

- Initial Recognition: All derivatives are initially recognized in the Balance sheet at their fair value, which usually represents their cost.
 - Subsequent Recognition: All derivatives are subsequently re-measured at their fair value, with change in fair value is recognized as per hedge accounting principles. All derivatives are carried as assets when the fair values are positive and as liabilities when the fair values are negative.
- j. All assets where the interest and/or instalment of principal repayment remain overdue for more than 90 days at the balance sheet date are classified as NPA and provided for in the manner required by the IRDAI regulations in this regard.

Valuation – Unit linked Business

- k. All Government securities, except treasury bills, held in linked business are valued at prices obtained from CRISIL. Debt securities other than government securities are valued on the basis of CRISIL bond valuer. The discount on purchase of treasury bills, certificate of deposit, commercial papers and triparty repo is accreted over the period to maturity on an internal rate of return basis. Listed shares and Exchange Traded Funds (ETF) are valued at fair value, being the last

quoted closing price on the NSE (In case of securities not listed on NSE, the last quoted closing price on the BSE is used). Equity shares awaiting listing are stated at historical cost subject to provision for diminution, if any, in the value of such investments. Such diminution is determined separately for each individual investment. Unrealised gains and losses are recognised in the profit and loss account.

- l. Mutual fund units are valued at the latest NAV of the fund in which they are invested.
- m. All unlisted redeemable preference shares are considered as held to maturity and stated at historical cost.
- n. Transfer of investments (other than debt securities) from Shareholders' fund to the Policyholders' fund is at book value or market price, whichever is lower. Transfer of debt securities from Shareholders' to Policyholders' fund is transacted at the lower of net amortised cost or market value. Transfers of investments between unit-linked funds are done at prevailing market price.

For General Insurance Company:

- a. Investments are recorded at cost and include brokerage, transfer charges, stamps etc., and exclude pre acquisition interest, if any.
- b. Debt securities and non-convertible preference shares are considered as 'HTM' and stated at historical cost adjusted for amortisation of premium or accretion of discount determined on constant yield to maturity basis over the holding / maturity period.
- c. Mutual fund units are stated at their NAV as at the balance sheet date. Any unrealised gain / loss is accounted for under fair value change account and is included in the carrying value of investment. In case of any net mark to market loss, the additional provision to the extent of the loss in fair value change account on the balance sheet date is recognised in profit and loss account.
- d. Gain / loss on transfer or sale of securities is the difference between the transfer or sale price and the net amortised cost / carrying value which is computed on a Weighted average cost basis as on the date of transfer or sale. Sale consideration for the purpose of realised gain / loss is net of brokerage and taxes, if any.
- e. The realised gain or loss on mutual funds is the difference between sale consideration and carrying cost as on the date of sale, determined on a weighted average cost basis. Any unrealised gain or loss in respect of mutual funds are recognised in 'fair value change account' in balance sheet and are included in the carrying value of investment.

Policies applicable for the year ended March 31 2024:

For the Bank:

Classification:

In accordance with the RBI guidelines on investment classification and valuation, investments are classified on the date of purchase into "Held for Trading" ('HFT'), "Available for Sale" ('AFS') and "Held to Maturity" ('HTM') categories (hereinafter called "categories"). Subsequent shifting amongst the categories is done in accordance with the RBI guidelines at the lower of the acquisition cost or carrying value and market value on the date of the transfer, and depreciation, if any, on such transfer is fully provided.

Under each of these categories, investments are further classified under six groups (hereinafter called "group/groups") - Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investments in Subsidiaries / Joint Ventures and Other Investments for the purposes of disclosure in the Balance Sheet.

The Bank follows 'Settlement Date' accounting for recording purchase and sale transactions in securities, except in the case of equity shares where 'Trade Date' accounting is followed.

Basis of classification:

Investments that are held principally for resale within 90 days from the date of purchase are classified under HFT category. As per the RBI guidelines, HFT securities, which remain unsold for a period of 90 days are reclassified as AFS securities as on that date. Investments which the Bank intends to hold till maturity are classified as HTM securities. The Bank has classified investments in subsidiaries, joint ventures and associates under HTM category. Investments which are not classified in either of the above two categories are classified under AFS category.

Acquisition Cost:

The cost of investments is determined on weighted average basis. Broken period interest on debt instruments and government securities are considered as a revenue item. The transaction costs including brokerage, commission, etc. paid at the time of acquisition of investments is recognised in Profit and Loss Account.

Disposal of investments:

- **Investments classified as HFT or AFS** - Profit or loss on sale or redemption is recognised in the Profit and Loss Account.
- **Investments classified as HTM** - Profit on sale or redemption of investments is recognised in the Profit and Loss Account and is appropriated to Capital Reserve after adjustments for tax and transfer to Statutory Reserve. Loss on sale or redemption is recognised in the Profit and Loss Account.

Short Sale:

The Bank undertakes short sale transactions in Central Government dated securities in accordance with RBI guidelines. The short position is categorised under HFT category and netted off from Investments in the Balance Sheet. The short position is marked to market and loss, if any, is charged to the Profit and Loss Account while gain, if any, is ignored. Gain or loss on settlement of the short position is recognised in the Profit and Loss Account.

Valuation:

The valuation of investments is performed in accordance with the RBI guidelines as follows:

- a) **Investments classified as HTM** – These are carried at their acquisition cost. Any premium on acquisition of debt instruments / government securities is amortised over the balance maturity of the security on a straight line basis. Any diminution, other than temporary, in the value of such securities is provided.
- b) **Investments classified as HFT or AFS** – Investments in these categories are marked to market and the net depreciation, if any, within each group is recognised in the Profit and Loss Account. Net appreciation, if any, is ignored. Further, provision other than temporary diminution is made at individual security level. Except in cases where provision other than temporary diminution is made, the book value of the individual securities is not changed as a result of periodic valuations.
- c) The market or fair value of quoted investments included in the 'AFS' and 'HFT' categories is measured with respect to the market price of the scrip as available from the trades or quotes on the stock exchanges, SGL account transactions, price list of RBI or prices declared on Fixed Income Money Market and Derivatives Association of India ('FIMMDA') website by Financial Benchmark India Private Limited (FBIL) as at the year end.
- d) Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost.
- e) Market value of units of mutual funds is based on the latest net asset value declared by the mutual fund.
- f) Investments in subsidiaries / joint ventures (as defined by RBI) are categorised as HTM and assessed for impairment to determine other than temporary diminution, if any, in accordance with RBI guidelines.
- g) Market value of investments where current quotations are not available are determined as per the norms prescribed by the RBI as under:
 - In case of unquoted bonds, debentures and preference shares where interest / dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to Maturity for Government Securities as published by FIMMDA / FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit rating along with residual maturity issued by FIMMDA / FBIL is adopted for this purpose;
 - In case of bonds and debentures (including Pass Through Certificates) where interest is not received regularly (i.e. overdue beyond 90 days), the valuation is in accordance with prudential norms for provisioning as prescribed by the RBI. Interest on such securities is not recognised in the Profit and Loss Account until received;

- Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the Company's latest Balance Sheet. In case the latest Balance Sheet is not available, the shares are valued at ₹ 1 per investee company;
 - Units of Venture Capital Funds (VCF) held under AFS category where current valuations are not available are marked to market based on the Net Asset Value (NAV) shown by VCF as per the latest audited financials of the fund. In case the audited financials are not available for a period beyond 18 months, the investments are valued at ₹ 1 per VCF. Investment in unquoted VCF after 23rd August, 2006 are categorised under HTM category for the initial period of three years and valued at cost as per RBI guidelines. Such investments are required to be transferred to AFS thereafter;
 - Security receipts are valued as per the Net Asset Value (NAV) obtained from the issuing Asset Reconstruction Company or Securitisation Company or estimated recovery whichever is lower. The Bank has classified Security Receipts whose tenure has exceeded 8 years, as "Non Performing investments".
 - The Bank provides for investments in Alternate Investments Funds (AIF) in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.
- h) Non-performing investments are identified and depreciation / provision are made thereon based on RBI guidelines. The depreciation / provision on such non-performing investments are not set off against the appreciation in respect of other performing securities. Interest on non-performing investments is not recognized in the Profit & Loss Account until received.

Repurchase and reverse repurchase transactions - Securities sold under agreements to repurchase (Repos) and securities purchased under agreements to resell (Reverse Repos) are accounted as collateralised borrowing and lending transactions respectively. The difference between the consideration amount of the first leg and the second leg of the repo is recognised as interest income or interest expense over the period of the transaction.

For other entities (other than insurance):

Investments, other than stock-in-trade are classified into long term investments and current investments in accordance with Accounting Standard 13 (AS-13) "Accounting for Investments". Investments, which are intended to be held for more than one year from the date, on which the investments are made, are classified as long term investments and investments, which are intended to be held for less than one year from the date, on which the investments are made, are classified as current investments. Long term investments are carried at cost and provision for diminution in value is made to recognise a decline other than temporary in the value of investment, such reduction being determined and made for each investment individually.

Current investments are valued at cost (calculated by applying weighted average cost method) or market/ fair value whichever is lower. In case of investments in units of a mutual fund, the NAV of units is considered as market or fair value. The fair value of PTC is determined based on the yield to maturity for government securities as published by FIMMDA and suitably marked up for credit risk applicable to the credit rating of the instrument. The securities acquired with the intention to trade are classified as Stock-in-Trade. Investments classified as "Stock-in-Trade" by some of the subsidiaries are valued at cost (calculated by applying weighted average cost method) or market price, whichever is lower determined by the category of investments. Brokerage, stamping and additional charges paid are included in the cost of investments. The profit or loss on sale of investments (including Stock-in-trade) is recognised on trade date in the profit and loss account.

NBFCs provides for investments in Alternate Investments Funds (AIF) in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.

G. FOREIGN CURRENCY AND DERIVATIVE TRANSACTIONS

For the Bank:

- i. Foreign currency monetary assets and liabilities are translated as at the balance sheet date at rates notified by the Foreign Exchange Dealers' Association of India (FEDAI) and the resultant gain or loss is accounted in the profit and loss account.
- ii. Income and expenditure items are translated at the rates of exchange prevailing on the date of the transaction except for representative office (which are integral in nature) expenses, which are translated at the monthly average rate of exchange.

- iii. Outstanding forward (other than deposit and placement swaps) and spot foreign exchange contracts outstanding at the balance sheet date are revalued at rates notified by FEDAI for specified maturities and at the interpolated rates of interim maturities. In case of forward contracts of greater maturities where exchange rates are not notified by FEDAI are revalued at the forward exchange rates implied by the swap curves in respective currencies. The forward profits or losses on the forward contracts are discounted using discount rates and the resulting profits or losses are recognised in the profit and loss account as per the regulations stipulated by the RBI.
- iv. Foreign exchange swaps “linked” to foreign currency deposits and placements are translated at the prevailing spot rate at the time of swap. The premium or discount on the swap arising out of the difference in the exchange rate of the swap date and the maturity date of the underlying forward contract is amortised over the period of the swap and the same is recognised in the profit and loss account.
- v. Contingent liabilities on account of letters of credit, bank guarantees and acceptances and endorsements outstanding as at the balance sheet date denominated in foreign currencies and other foreign exchange contracts are translated at year-end rates notified by FEDAI.
- vi. Notional amounts of derivative transactions comprising of swaps, futures and options are disclosed as off balance sheet exposures. The Bank recognises all derivative contracts (other than those designated as hedges) at fair value, on the date on which the derivative contracts are entered into and are re-measured at fair value as at the balance sheet date. Derivatives are classified as assets when the fair value is positive (positive marked to market) or as liabilities when the fair value is negative (negative marked to market). Changes in the fair value of derivatives other than those designated as hedges are recognised in the profit and loss account.
- vii. Outstanding derivative transactions designated as “Hedges” are accounted in accordance with hedging instrument on an accrual basis over the life of the underlying instrument. Option premium paid or received is recognised in the profit and loss account on expiry of the option. Option contracts are marked to market on every reporting date.
- viii. The financial statements of IBU and DIFC branch which are in the nature of non-integral overseas operations are translated on the following basis: (a) Income and expenses are converted at the average rate of exchange during the year and (b) All assets and liabilities are translated at closing rate as at Balance sheet date. The exchange difference arising out of year end translation is debited or credited as “Foreign Currency Translation Reserve” forming part of “Reserves and Surplus”.

For other entities:

- ix. On initial recognition, all foreign currency transactions are recorded by applying to the foreign currency amount exchange rate between the reporting currency and the foreign currency at the date of the transaction.
- x. Monetary assets and liabilities denominated in foreign currencies are reported using the closing rate of exchange as at the balance sheet date.
- xi. Exchange differences arising on settlement of the transaction and on account of restatement of monetary assets and liabilities are recognised in the profit and loss account. In case of items which are covered by forward exchange contracts entered to hedge the foreign currency risk, the difference between the year-end rate and the rate on the date of the contract is recognised as exchange difference in the profit and loss account and the premium paid or received on forward exchange contracts is amortised as expense or income over the life of the contract. Any profit or loss on cancellation or renewal of such a forward exchange contract is recognised in the profit and loss account.
- xii. The financial statements of all subsidiaries incorporated outside India which are in the nature of non-integral foreign operations are translated on the following basis: (a) Income and expenses are converted at the average rate of exchange applicable for the year and (b) All assets and liabilities are translated at the closing rate as at the balance sheet date. The exchange difference arising out of year end translation is debited or credited as “Foreign Currency Translation Reserve” forming part of “Reserves and Surplus”.

On the disposal / partial disposal of a non-integral foreign operation, the cumulative / proportionate amount of the exchange differences which has been accumulated in the foreign currency translation reserve and which relates to that operation are recognised as income or expenses in the same period in which gain or loss on disposal is recognised.

Currency/ Interest rate derivatives / Equity index / Equity futures, Equity index / Equity options, Embedded derivatives / other derivatives (Not designated as hedges):

- xiii. Outstanding derivative contracts, including embedded derivatives, are measured at fair value as at each balance sheet date. Fair value of derivatives is determined using quoted market prices in an actively traded market, for the instrument, wherever available, as the best evidence of fair value. In the absence of quoted market prices in an actively traded market, a valuation technique is used to determine the fair value. In most cases the valuation techniques use observable market data as input parameters in order to ensure reliability of the fair value measure.
- xiv. Initial Margin - Derivative Instrument representing the initial margin paid and / or additional margin paid over and above the initial margin, for entering into contracts for equity index / stock futures and equity index / stock options / other derivatives, which are released on final settlement / squaring-up of the underlying contracts, are disclosed under Other Assets. "Deposit for Marked to Market Margin - Derivative Instrument" representing the deposit paid in respect of marked to market margin is disclosed under other assets.
- xv. On final settlement or squaring up of contracts for equity index / stock futures / other derivatives, the realised profit or loss after adjusting the unrealised loss already accounted, if any, is recognised in the profit and loss account and shown as profit on exchange transactions (net) (including derivatives).
- xvi. On settlement or squaring up of equity index / stock options / other derivatives before expiry, the premium prevailing in option contracts on that date is recognised in the profit and loss account.
- xvii. When more than one contract in respect of the relevant series of equity index / stock futures or equity index / stock options / other derivatives contract to which the squared-up contract pertains is outstanding at the time of the squaring-up of the contract, the contract price of the contract so squared-up is determined using the weighted average cost method for calculating the profit or loss on squaring-up.

H. ADVANCES**Classification:**

- i. Advances are classified as performing and non-performing advances (NPAs) based on the RBI guidelines and are stated net of bills rediscounted, inter-bank participation with risk, specific provisions, interest in suspense and claims received from Export Credit Guarantee Corporation and Emergency Credit Line Guarantee Scheme (ECLGS) with respect to non-performing advances, provisions for funded interest term loan and provisions in lieu of diminution in the fair value of restructured assets. Also, NPAs are classified into sub-standard, doubtful and loss as required by the RBI guidelines. Interest on NPAs remaining uncollected is transferred to an interest suspense account and not recognised in the profit and loss account until received.
- ii. Amounts paid for acquiring non-performing assets from other Banks and NBFCs are considered as advances. Actual collections received on such non-performing assets are compared with the cash flows estimated while purchasing the asset to ascertain over dues. If such over dues are in excess of 90 days, the Group classifies such assets into sub-standard, doubtful or loss as required by the RBI guidelines on purchase of non-performing assets.
- iii. The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown under advances.

For Bank and NBFC subsidiaries- Provisioning:

- iv. Provision for non-performing assets comprising sub-standard, doubtful and loss assets is made in accordance with the RBI guidelines. In addition, the Bank and its NBFC subsidiaries consider accelerated specific provisioning that is based on past experience, evaluation of security and other related factors. Specific loan loss provisions in respect of non-performing advances are charged to the profit and loss account. Any recoveries made in case of NPAs written off are recognised in the profit and loss account.

- v. The Bank and its NBFC subsidiaries consider a restructured account as one where the Bank, for economic or legal reasons relating to the borrower's financial difficulty, grants to the borrower concessions that they would not otherwise consider. Restructuring would normally involve modification of terms of the advance / securities, which would generally include, among others, alteration of repayment period / repayable amount / the amount of installments / rate of interest (due to reasons other than competitive reasons). Restructured accounts are classified as such only upon approval and implementation of the restructuring package. Necessary provision for diminution in the fair value of a restructured account is made.

In accordance with the RBI guidelines, the Bank and its NBFC subsidiaries create general provision on standard assets including credit exposures computed as per the current marked to market values of interest rate and foreign exchange derivative contracts, and gold at levels stipulated by the RBI from time to time. The Bank also creates additional standard asset provision for overseas step down subsidiaries of Indian corporates and standard provision at higher than the prescribed rates in respect of advances to stressed sectors as per the framework approved by Board of Directors. In case of frauds, the Bank and its NBFC subsidiaries makes provision for amounts it is liable for in accordance with the guidelines issued by the RBI.

- vi. Further to provisions required as per the asset classification status, provisions are held by Bank for individual country exposure (except for home country) as per the RBI guidelines. Exposure is classified in the seven risk categories as mentioned in the Export Credit Guarantee Corporation of India Limited (ECGC) guidelines and provisioning is done for that country if the net funded exposure is one percent or more of the Bank's total assets based on the rates laid down by the RBI.
- vii. Provisions for Unhedged Foreign Currency Exposure of borrowers are made by the Bank as per the RBI guidelines.
- viii. In accordance with the RBI guidelines relating to COVID-19 Regulatory Package dated 27th March, 2020, 17th April, 2020 and 23rd May, 2020 and clarification issued by the RBI through Indian Bankers Association dated 6th May, 2020, the Bank and its NBFC subsidiaries have granted a moratorium on the payment of instalments and / or interest, as applicable, falling due between 1st March, 2020 and 31st August, 2020 ('moratorium period') to eligible borrowers classified as Standard, even if overdue, as on 29th February, 2020. In accordance with the RBI guidelines, the moratorium period, wherever granted, is excluded by the Bank and its NBFC subsidiaries from the number of days past-due for the purpose of asset classification under RBI's Income Recognition and Asset Classification norms. A general provision on the entire amount outstanding from borrowers who had an overdue on 29th February, 2020 and to whom moratorium was given is made by Bank and its NBFC subsidiaries. In accordance with the said guidelines, such accounts where moratorium has been granted are not considered as restructured.
- ix. In respect of borrowers restructured under the Resolution Framework – 1.0 and Resolution Framework 2.0 for COVID-19 related stress, the Bank and its NBFC subsidiaries holds provisions higher than the provisions as required by the RBI guidelines. The Bank classifies its advances, investments and overdues from crystallised derivatives including those at overseas branches into performing and non performing in accordance with guidelines issued by the RBI

For other entities:

- x. Receivables/ Sundry Debtors (included in Schedule 11-Other assets) are stated at original invoice amount less provision for any uncollectible amounts. An estimate for doubtful debts is made when collection of the full amount is no longer probable. Bad debts are written off when there is no possibility of recovery.

I. STRUCTURED LIABILITIES

The Group has issued structured liabilities wherein the return on these liabilities is linked to non-interest benchmarks. Such structured liabilities have an embedded derivative which is the non-interest related return component. The embedded derivative is separated from the host contract and accounted separately {Refer Note 2 (G)(xiii)}.

The resultant debt component of such structured liabilities is recognised in the balance sheet under borrowings and is measured at amortised cost on a yield to maturity basis.

J. LIABILITY FOR POLICIES

- i. Provision is made for policy liabilities in respect of all "in force" policies and "lapsed policies" that are likely to be revived in future based on actuarial valuation done by the appointed actuary in accordance with generally accepted actuarial practices, requirements of IRDAI and the Institute of Actuaries of India.
- ii. Liabilities in respect of funds arising from discontinued policies are shown as 'Policyholders' Funds'.
- iii. Linked liabilities comprise of unit liability representing fund value of policies and are shown as 'Policyholders' Funds'.

K. ACTUARIAL METHOD – LIFE INSURANCE

- i Actuarial method and assumptions: The actuarial liabilities have been calculated by the appointed actuary in accordance with generally accepted actuarial principles, the requirements of the Insurance Act 1938 as amended by the Insurance Laws (Amendment) Act, 2015, the Insurance Regulatory and Development Authority Act, 1999 and the regulations framed thereunder, the Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002, the Insurance Regulatory and Development Authority of India (Assets, Liabilities and Solvency Margin of Life Insurance Business) Regulations, 2016, and other relevant regulations, orders/ directions issued by IRDAI in this regard and the prescribed guidance notes issued by the Institute of Actuaries of India. In respect of unit linked policies, a unit reserve equal to the value of units as at the balance sheet date and an additional non-unit reserve calculated on gross premium prospective valuation method is created. The method adopted for par policies (accumulation contracts) is the value of the accumulated fund and an additional non-unit reserve calculated on gross premium prospective valuation method. In respect of individual conventional business / Group business where premiums are guaranteed for more than one year, gross premium prospective method is used. Additional reserve on lapsed unit-linked policies is created and shown as 'Policyholders' Funds'.
- ii The assumptions used in the gross premium valuation are based on best estimates together with appropriate margins for adverse deviations from experience. The principal assumptions are interest, inflation, return to policyholders' accounts, lapses, expenses, mortality and morbidity.
- iii Reserves for group life one year renewable policies are calculated as the risk premium for the unexpired term with an allowance for expenses and a margin for adverse deviations. The actuarial liability for Group fund based is equal to account value as at valuation date plus a non-unit reserve to provide for expenses and mortality benefits.
- iv Reserve for freelook cancellation is held to meet any premium refunds from policy freelook cancellations. The reserve held is equal to assumed probability of freelook cancellations.
- v The Life Insurance subsidiary reinsures mortality with an optimum level of retention on guaranteed premiums bases, with financially strong reinsurers. They also carry out resilience test on balance sheet and its impact on solvency margin.

L. RESERVE FOR UNEXPIRED RISK – GENERAL INSURANCE

Reserve for unexpired risk is recognised net of reinsurance ceded and represents premium written that is attributable and to be allocated to succeeding accounting periods for risks to be borne by the Group under contractual obligations over a contract period basis or period of risk, whichever is applicable. As per circular vide IRDA/F&A/CIR/CPM/056/03/2016 dated 4th April, 2016 such reserves are calculated on a pro-rata basis under 1/365 basis subject to 100% for marine hull business, on all unexpired policies at balance sheet date.

M. DISCOUNTED INSTRUMENTS

The liability is recognised at face value at the time of issuance of discounted instruments, less unexpired discount. The discount on the issue is amortised over the tenure of the instrument.

N. ACQUISITION COSTS OF INSURANCE CONTRACTS

Acquisition costs such as commission and medical fees are costs that vary with and are primarily related to the acquisition of new and renewal insurance contracts. Such costs are recognised in the year in which they are incurred.

O. SECURITIES LENDING AND BORROWING

The broking subsidiary enters into security lending and borrowing transaction which is accounted as below:

- a. Initial margin and / or additional margin paid over and above the initial margin, for entering into contracts for equity shares which are released on final settlement / squaring – up of the underlying contracts, are disclosed under other assets.
- b. On final settlement or squaring up of contracts for equity shares the realised profit or loss after adjusting the unrealised profit or loss already accounted, if any, is recognised in the profit and loss account.

P. BULLION

The Bank imports bullion including precious metal bars on a consignment basis for selling to its wholesale customers. The difference between the sale price to customers and actual price quoted by supplier is reflected under other income.

The Bank also borrows and lends gold, which is treated as borrowings or lending as the case may be in accordance with the RBI guidelines and the interest paid or received is classified as interest expense or income and is accounted on an accrual basis.

Q. TAXES ON INCOME

The income tax expense comprises current tax and deferred tax. Current tax is measured at the amount expected to be paid in India in respect of taxable income for the year in accordance with the Income Tax Act, 1961 enacted in India. Tax expenses relating to overseas subsidiaries are determined in accordance with the tax laws applicable in countries where such subsidiaries are domiciled.

Deferred tax assets and liabilities are recognised for the future tax consequences of timing differences being the difference between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent period.

Deferred tax assets on account of timing differences are recognised only to the extent there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. In case of carry forward losses and unabsorbed depreciation, under tax laws, all the deferred tax assets are recognised only to the extent there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Deferred tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted at the balance sheet date. Changes in deferred tax assets / liabilities on account of changes in enacted tax rates are given effect to in the profit and loss account in the period of the change. The carrying amount of deferred tax assets are reviewed at each balance sheet date. The Group writes-down the carrying amount of a deferred tax asset to the extent that it is no longer reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which deferred tax asset can be realised.

Deferred tax assets and deferred tax liabilities are off set when there is legally enforceable right to set-off assets against liabilities representing current tax and where the deferred tax assets and deferred tax liabilities relate to taxes on income levied by the same governing taxation laws. Deferred tax assets and deferred tax liabilities across various entities are not set off against each other as the Group does not have a legal right to do so.

R. SEGMENT REPORTING

In accordance with guidelines issued by the RBI and Accounting Standard 17 (AS-17) on "Segment Reporting"; the Group's business has been segregated into the following segments whose principal activities are as under:

Segment	Principal activity
Corporate / Wholesale Banking	Wholesale borrowings and lending and other related services to the corporate sector which are not included in Retail Banking.
Retail Banking	Comprises of:
Digital Banking	Business involving digital banking products acquired by Digital Banking Unit including existing digital banking products as identified by the Management in accordance with the instructions of the RBI vide its circular dated 7 th April, 2022.
Other Retail Banking	Includes (other than covered under Digital Banking above): Lending Commercial vehicle finance, personal loans, home loans, agriculture finance, other loans / services and exposures which fulfill the four criteria for retail exposures laid down in Basel Committee on Banking Supervision document "International Convergence of Capital Measurement and Capital Standards: A Revised Framework". Branch Banking Retail borrowings covering savings, current and term deposit accounts and Branch Banking network and services including distribution of financial products. Credit Cards Receivables / loans relating to credit card business.
Treasury, BMU and Corporate centre	Money market, forex market, derivatives and investments and primary dealership of Government securities and Balance Sheet Management unit (BMU) responsible for Asset Liability Management and Corporate Centre which primarily comprises of support functions.
Vehicle Financing	Retail vehicle finance and wholesale trade finance to auto dealers from its Subsidiary Company.

Segment	Principal activity
Other Lending Activities	Securitisation and other loans / services not included under Retail Banking and Corporate / Wholesale Banking from its Subsidiary Companies.
Broking	Brokerage income on market transactions done on behalf of clients, interest on delayed payments, distribution of financial products from its Subsidiary Company.
Advisory and Transactional Services	Providing financial advisory and transactional services such as mergers and acquisition advice, equity / debt issue management services and Business Correspondent services from its Subsidiary Companies.
Asset Management	Management of funds and investments on behalf of clients and investment distribution (Cherry) from its Subsidiary Companies.
Insurance	Life and General Insurance (till 17 th June, 2024) business of its Subsidiary Companies.

A transfer pricing mechanism between segments has been established by Asset Liability Committee (ALCO) for allocation of interest cost to its segments based on borrowing costs, maturity profile of assets / liabilities etc. and which is disclosed as part of segment revenue.

Segment revenues consist of earnings from external customers and inter-segment revenue as stated above. Segment expenses consist of interest expenses including those allocated, operating expenses and provisions.

Segment results are net of segment revenue and segment expenses including interdivisional items.

Segment assets include assets related to segments and exclude tax related assets. Segment liabilities include liabilities related to the segment excluding net worth, minority interest and employees' stock option (grants outstanding).

Since the business operations of the Group are primarily concentrated in India, the Group is considered to operate only in the domestic segment.

S. EMPLOYEE SHARE BASED PAYMENTS

Equity-settled:

The Equity Option Schemes ('ESOP') & the Performance Linked Restricted Stock Unit Scheme ('PRSU') of the Bank are in accordance with SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021. The schemes provide for grant of options & restricted stock units to employees of the Group to acquire the equity shares of the Bank that vest as per the vesting schedule and that are to be exercised within a specified period.

RBI, vide its clarification dated 30th August, 2021 on Guidelines on Compensation of Whole Time Directors / Chief Executive Officers / Material Risk Takers and Control Function Staff, advised Banks that the fair value of share-linked instruments on the date of grant should be recognised as an expense for all instruments granted after the accounting period ending 31st March, 2021.

In accordance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 and the Guidance Note on "Accounting for Employee Share-based payments" issued by The Institute of Chartered Accountants of India, the cost of equity-settled transactions is measured using the intrinsic value method for all options granted on or before 31st March, 2021. The intrinsic value being the excess, if any, of the fair market price of the share under ESOSs over the exercise price of the option is recognised as deferred employee compensation with a credit to Employee's Stock Option (Grant) Outstanding account.

In accordance with the RBI guidance, for all options granted after 31st March, 2021 the fair value of the option is estimated on the date of grant using Black-Scholes model and is recognised as deferred employee compensation with a credit to Employee's Stock Option (Grant) Outstanding account.

The deferred employee compensation cost is amortised on a straight-line basis over the vesting period of the option. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the number of equity instruments that are outstanding.

The options that do not vest because of failure to satisfy vesting condition are reversed by a credit to employee compensation expense in "Payment to and provision for employee", equal to the amortised portion of the cost of lapsed option and credit to deferred employee compensation equal to the unamortised portion. In respect of the options which expire unexercised the balance

standing to the credit of Employee's Stock Option (Grant) Outstanding account is transferred to General Reserve. The fair market price is the latest available closing price, preceding the date of grant of the option, on the stock exchange on which the shares of the Bank are listed.

Where the terms of an equity-settled award are modified, the minimum expense recognised in 'Payments to and provision for employees' is the expense as if the terms had not been modified. An additional expense is recognised for any modification which increases the total intrinsic / fair value of the share-based payment arrangement, or is otherwise beneficial to the employee as measured at the date of modification.

Cash-settled:

The cost of cash-settled transactions, stock appreciation rights (SARs) having grant date on or before 31st March, 2021 is measured initially using intrinsic value method at the grant date taking into account the terms and conditions upon which the instruments were granted. Similar to Equity settled options, SARs granted after 31st March, 2021 are measured on fair value basis.

The intrinsic / fair value is amortised on a straight-line basis over the vesting period with a recognition of corresponding liability. This liability is remeasured at each balance sheet date up to and including the vesting date with changes in intrinsic / fair value recognised in the profit and loss account in 'Payments to and provision for employees'. The SARs that do not vest because of failure to satisfy vesting conditions are reversed by a credit to employee compensation expense, equal to the amortised cost in respect of the lapsed portion.

T. CLAIMS / BENEFITS

In respect of Life Insurance subsidiary, benefits paid comprise of policy death benefit, maturity, surrenders, survival benefits, discontinuance and other policy related claims and change in the outstanding provision for claims at the year end. Claims by death and surrender are accounted when intimated. Survival benefits are accounted when due. Maturity claims are accounted on the date of maturity. Amounts recoverable from reinsurers are accounted for in the same period as the related claim. Repudiated claims disputed before judicial authorities are provided for, based on the best judgment of the management considering the facts and evidence in respect of each such claim. Withdrawals under unit-linked policies are accounted in respective schemes when the associated units are cancelled. Death claim benefit includes specific claim settlement costs wherever applicable.

In respect of General Insurance entity, claims incurred includes claims paid net of reinsurance recovery and salvage value retained by the insured, change in loss reserve during the period, change in claims incurred but not reported (IBNR) & change in claims incurred but not enough reported (IBNER). Claims incurred also include survey fees, legal fees and other expenses directly attributable to claim cost. Claims are recognised as and when intimation of it is received and provision is determined (net of reinsurance recovery) by the management on the best estimate of claims likely to be paid based on survey reports, based on information received from various sources and from past experience.

Any subsequent information may result in revision of likely amount of final claim payment and accordingly provision for outstanding claims gets restated.

Estimated liability for IBNR and IBNER has been estimated by the appointed actuary in compliance with the relevant regulations and guidelines issued by IRDAI and the same is duly certified by the appointed actuary.

U. LOSS ON SALE OF ADVANCES TO ASSET RECONSTRUCTION COMPANY

Loss on sale of Advances sold to Asset Reconstruction Company is recognised immediately in the profit and loss account.

V. SECURITISATION

The Group enters into purchase / sale of corporate and retail loans through direct assignment / Special Purpose Vehicles (SPVs). In most cases, post securitisation, the Group continues to service the loans transferred to the SPV. The Group also provides credit enhancement in the form of cash collaterals and / or by subordination of cash flows to senior PTCs holders. In respect of credit enhancements provided or recourse obligations (projected delinquencies, future servicing etc.) accepted by the Group, appropriate provision / disclosure is made at the time of sale in accordance with Accounting Standard 29, (AS-29) "Provisions, Contingent Liabilities and Contingent Assets".

In accordance with the RBI guidelines on Securitisation of Standard Assets dated 24th September, 2021, the profit, loss or premium on account of securitisation of assets at the time of sale is computed as the difference between the sale consideration and the book value of the securitised asset. Any resultant profit, loss or premium realised on account of securitisation is recognised to the Profit and Loss Account in the period in which the sale is completed.

W. LEASES**As Lessee:**

Leases where all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Operating lease payments are recognised as an expense in the profit and loss account on a straight-line basis over the lease term.

As Lessor:

Leases where the Group has substantially retained all the risks and rewards of ownership are classified as operating leases and included in fixed assets. Lease income is recognised in the profit and loss account on a straight-line basis over the lease term.

Initial direct costs in respect of operating leases such as legal costs, brokerage costs, etc. are recognised as expense immediately in the profit and loss account.

In respect of leases of tangible assets where the Group has substantially transferred all the risks and rewards incidental to legal ownership, such leases are classified as finance leases. Such assets are recognised as a receivable at an amount equal to the net investment in the lease. The lease payment is apportioned between finance income and the repayment of principle i.e. the net investment in the lease.

X. ACCOUNTING FOR PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

The Group has assessed its obligations arising in the normal course of business, including pending litigations, proceedings pending with tax authorities and other contracts including derivative and long term contracts. In accordance with Accounting Standard - 29 on 'Provisions, Contingent Liabilities and Contingent Assets', the Group recognises a provision for material foreseeable losses when it has a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are measured based on best estimate of the expenditure required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

In cases where the available information indicates that the loss on the contingency is reasonably possible but the amount of loss cannot be reasonably estimated, a disclosure to this effect is made as contingent liabilities in the financial statements. The Group does not expect the outcome of these contingencies to have a materially adverse effect on its financial results. Contingent assets are neither recognised nor disclosed in the financial statements.

The Bank estimates the liability for credit card reward points and cost per point using actuarial valuation conducted by an independent actuary, which includes assumptions such as mortality, redemption and spends.

Y. SCHEME EXPENSES

New fund offer expenses and other expenses not chargeable to schemes, in accordance with applicable circulars and guidelines issued by SEBI and Association of Mutual Funds in India (AMFI) are borne by the Asset management company of the Group. Brokerage paid for close ended schemes before 22nd October, 2018 circular issued by SEBI in relation to upfront brokerage are amortised by the Asset Management Company of the Group over the tenor of each scheme on a straight line basis.

Z. CONTRIBUTION TO POOL-FOR GENERAL INSURANCE ENTITY**TERRORISM RISK INSURANCE POOL**

In accordance with the requirements of IRDAI, the General Insurance Entity, together with other insurance companies, participated in the Terrorism Pool. This Pool is managed by General Insurance Corporation of India (GIC). In accordance with the terms of the agreement, GIC retro cedes, to the Group, terrorism premium to the extent of shares agreed to be borne by the Group in the risk which is recorded as reinsurance accepted. Such Insurance accepted is recorded based on quarterly confirmation received from GIC. Reinsurance accepted on account of Terrorism Pool is recorded based on statement received from GIC.

The entire amount of reinsurance accepted for the current year on this account, net of claims and expenses up to the above date, is carried forward to the subsequent accounting period as changes in unearned premium for subsequent risks, if any, to be borne by the Group.

MARINE CARGO FOR EXCLUDED TERRITORIES POOL (MCET POOL)

With the need for covering loss against shipment of fertilizers and other commodities, while under transit in marine cargo against Russia, Ukraine, Belarus (referred as 'excluded territories'), the Company together with other insurance company, participated in Marine Cargo Pool for Excluded Territories (referred as MCET Pool) which is managed by General Insurance Corporation of India (GIC Re). In accordance with the terms of the agreement, the Company accepts retrocession risk as per shares specified in the Schedule of agreement, which is recorded as reinsurance accepted. Such Insurance accepted is recorded based on quarterly confirmation received from GIC Re. Accordingly, reinsurance accepted on account of MCET Pool has been recorded in accordance with the latest statement received from GIC Re.

The entire amount of reinsurance accepted for the current year on this account has been carried forward to the subsequent accounting period as Changes in unearned premium under Insurance Contract Liabilities for subsequent risks, if any, to be borne by the Company.

AA. CONTRIBUTION TO SOLATIUM FUND

As per the requirements of IRDAI, the General Insurance Entity provides for contribution to solatium fund at 0.10% on the gross direct premium of motor third party policies.

AB. SHARE ISSUE EXPENSES

Share issue expenses are adjusted from securities premium account as permitted by section 52 of the Companies Act, 2013.

AC. EARNINGS PER SHARE

Basic earnings per share are calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events of bonus issue and stock split.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares. Diluted earnings per share reflect the potential dilution that could occur if securities or other contracts to issue equity shares were exercised or converted during the year.

AD. IMPAIRMENT

The carrying amount of assets are reviewed at each balance sheet date if there is any indication of impairment based on internal / external factors. Impairment loss, if any, is recognised in the profit and loss account to the extent carrying amount of assets exceeds their estimated recoverable amount.

AE. CASH AND CASH EQUIVALENTS

Cash and cash equivalents in the balance sheet comprise Cash in hand, Balances with Reserve Bank of India and Balances with Banks and Money at Call and Short Notice (including the effect of changes in exchange rates on cash and cash equivalents in foreign currency).

AF. ACCOUNTING FOR DIVIDEND

As per AS 4 (Revised), with effect from April 2016, the Bank is not required to provide for dividend proposed / declared after the Balance Sheet date. The same shall be appropriated from next year amount available for appropriation.

AG. UNCLAIMED AMOUNT OF POLICYHOLDERS

The unclaimed amount of policyholders is governed by the IRDAI Master circular no. IRDA/F&A/CIR/Misc/282/11/2020 dated November 17, 2020, and Investment Regulations, 2016 read with circular no. IRDA/Life/CIR/Misc/41/02/2024 as amended from time to time. The Company maintains a single segregated fund to manage all unclaimed amounts.

Unclaimed amount of policyholders' liability is determined on the basis of NAV of the units outstanding as at the valuation date.

Income on unclaimed amount of policyholders is accreted to the unclaimed fund and is accounted for on an accrual basis, net of fund management charges.

The amounts remaining unclaimed for a period of 120 months as on 30th September every year, are transferred to the Senior Citizens' Welfare Fund (SCWF) on or before 1st March of that financial year.

NOTES TO ACCOUNTS

3. EMPLOYEE BENEFITS

- a. The Group has recognised the following amounts in the profit and loss account towards contributions to provident fund and other funds.

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Provident Fund	463.74	402.19
Superannuation Fund	1.49	1.38
New Pension Fund	21.92	18.13
DIFC Employee Workplace Savings Scheme (DEWS)	0.79	0.70

b. Gratuity

The gratuity plan provides a lumpsum payment to vested employees at retirement or on termination of employment based on respective employee's salary and years of employment with the Group subject to a maximum of ₹ 0.20 crore. There is no ceiling on gratuity payable to directors and certain categories of employees subject to service regulations and service awards.

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for gratuity benefits is given below.

(₹ in crore)

Particulars	As at 31 st March, 2025		As at 31 st March, 2024	
	Funded	Unfunded	Funded	Unfunded
Change in benefit obligations				
Liability as at the beginning of the year	748.31	13.96	656.04	11.71
Transfer from Unfunded to Funded	-	-	-	-
Current Service cost	135.77	1.52	112.97	2.20
Interest cost	56.73	0.45	50.45	0.91
Actuarial (gain) / loss on obligations	41.89	0.48	24.82	0.98
Past Service cost	-	-	5.87	-
Addition due to acquisition	-	-	14.43	-
Liabilities assumed on acquisition / (settled on divestiture)	0.14	(10.71)	0.24	(0.30)
Benefits paid	(113.55)	(0.81)	(116.51)	(1.54)
Liability as at the end of the year	869.29	4.89	748.31	13.96
Change in plan assets				
Fair value of plan assets as at the beginning of the year	805.83	-	630.59	-
Expected return on plan assets	56.86	-	41.23	-
Actuarial Gain / (loss)	21.51	-	77.83	-
Addition due to amalgamation	-	-	12.94	-
Benefits paid	(113.55)	(0.81)	(116.51)	(1.54)
Employer contributions	84.24	0.81	159.75	1.54
Fair value of plan assets as at the end of the year	854.89	-	805.83	-

Reconciliation of present value of the obligation and the fair value of the plan Assets

(₹ in crore)

Particulars	As at 31 st March, 2025		As at 31 st March, 2024	
	Funded	Unfunded	Funded	Unfunded
Fair value of plan assets as at the end of the year	854.89	-	805.83	-
Liability as at the end of the year	869.29	4.89	748.31	13.96
Net Asset / (Liability) included in "Others" under "Other Assets" / "Other Liabilities"	(14.40)	(4.89)	57.52	(13.96)

(₹ in crore)

Particulars	As at 31 st March, 2025		As at 31 st March, 2024	
	Funded	Unfunded	Funded	Unfunded
Expenses recognised for the year				
Current service cost	135.77	1.52	112.97	2.20
Interest cost	56.73	0.45	50.45	0.91
Expected return on plan assets	(56.86)	-	(41.23)	-
Actuarial (gain) / loss	20.38	0.48	(53.01)	0.98
Past Service Cost	-	-	5.87	-
Effect of the limit in Para 59(b)	-	-	-	-
Net gratuity expense recognised in Schedule 16.I	156.02	2.45	75.05	4.09
Actual return on plan assets	78.37	-	119.06	-

Reconciliation of the Liability recognised in the Balance Sheet

(₹ in crore)

Particulars	As at 31 st March, 2025		As at 31 st March, 2024	
	Funded	Unfunded	Funded	Unfunded
Net (Asset) / Liability as at the beginning of the year	(57.52)	13.96	25.45	11.71
Transfer from Unfunded to Funded	-	-	1.49	-
Expense recognized	156.02	2.45	75.05	4.09
Liabilities assumed on acquisition / (settled on divestiture)	0.14	(10.71)	0.24	(0.30)
Employer contributions	(84.24)	(0.81)	(159.75)	(1.54)
Effect of the limit in Para 59(b)	-	-	-	-
Net (Asset) / Liability included in “Others” under “Other Assets” or “Other Liabilities”	14.40	4.89	(57.52)	13.96

Investment details of plan assets

The plan assets are invested in insurer managed funds. Major categories of plan assets as a percentage of fair value of total plan assets:

Particulars	As at 31 st March, 2025 %	As at 31 st March, 2024 %
Equity shares	51.05	51.55
Government securities	23.70	26.92
Bonds, debentures and other fixed income instruments	17.74	14.48
LIC managed funds [#]	2.49	1.87
Money market instruments and other assets	5.02	5.18
Total	100.00	100.00

[#] The plan assets are invested in a fund managed by Life Insurance Corporation of India. In the absence of detailed information regarding plan assets of the fund, the composition of each major category of plan assets, the percentage or amount for each category of the fair value of plan assets has not been disclosed.

Actuarial assumptions used

Particulars	As at 31 st March, 2025 %	As at 31 st March, 2024 %
Discount rate	6.37% to 6.62% p.a.	7.15% to 7.18% p.a.
Salary escalation rate	5.50% p.a. - IBA	5.50% p.a. - (IBA)
	7.00% to 9.00% p.a. - (Others)	7.00% to 9.00% p.a. - (Others)
Expected rate of return on plan assets	6.37% to 7.50 % p.a	7.00% to 7.50 % p.a.

The estimates of future salary increase, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.

Experience adjustments

Amounts for the current and previous four years are as follows:

(₹ in crore)

Gratuity	Year ended 31 st March				
	2025	2024	2023	2022	2021
Defined benefit obligation	874.18	762.27	667.77	651.68	618.14
Plan assets	854.89	805.83	630.61	704.80	666.73
Surplus / (deficit)	(19.29)	43.56	(37.16)	53.12	48.59
Experience adjustments on plan liabilities	21.67	19.61	8.68	28.32	12.38
Experience adjustments on plan assets	21.51	77.64	(47.93)	38.56	65.23

The Group expects to contribute ₹ 64.86 crore to gratuity fund in financial year 2025-26.

The above information is as certified by the actuaries of the respective companies and relied upon by the auditors.

c. Pension

Pension liability relates to employees of eIVBL.

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for pension benefits is given below.

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
	Funded	Funded
Change in benefit obligations		
Liability as at the beginning of the year	2,111.67	1,912.65
Current Service cost	63.81	74.28
Interest cost	148.83	135.35
Actuarial (gain) / loss on obligations	137.74	171.29
Past Service cost	-	-
Benefits paid	(195.58)	(181.90)
Liability as at the end of the year	2,266.47	2,111.67
Change in plan assets		
Fair value of plan assets as at the beginning of the year	1,879.31	1,873.26
Expected return on plan assets	136.87	126.45
Actuarial Gain / (loss)	16.36	13.37
Benefits paid	(195.58)	(181.90)
Employer contributions	347.49	48.13
Fair value of plan assets as at the end of the year	2,184.45	1,879.31

Reconciliation of present value of the obligation and the fair value of the plan Assets

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
	Funded	Funded
Fair value of plan assets as at the end of the year	2,184.45	1,879.31
Liability as at the end of the year	2,266.47	2,111.67
Net Asset/ (Liability) included in "Others" under "Other Assets" or "Other Liabilities"	(82.02)	(232.36)

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
	Funded	Funded
Expenses recognised for the year		
Current service cost	63.81	74.28
Interest cost	148.83	135.35
Expected return on plan assets	(136.87)	(126.45)
Actuarial (gain) / loss	121.38	157.92
Effect of the limit in Para 59(b)	-	-
Net pension expense recognized in Schedule 16.I	197.15	241.10
Actual return on plan assets	153.23	139.81

Reconciliation of the Liability recognised in the Balance Sheet

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
	Funded	Funded
Net (Asset) / Liability as at the beginning of the year	232.36	39.39
Expense recognized	197.15	241.10
Employer contributions	(347.49)	(48.13)
Effect of the limit in Para 59(b)	-	-
Net (Asset)/ Liability included in “Others” under “Other Assets” or “Other Liabilities”	82.02	232.36

Investment details of plan assets

The plan assets are invested in a fund managed by Life Insurance Corporation of India. In the absence of detailed information regarding plan assets of the fund, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

Actuarial assumptions used

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
Discount rate	6.65% p.a.	7.19% p.a.
Salary escalation rate	5.50% p.a.	5.50% p.a.
Expected rate of return on plan assets	7.50% p.a.	7.50% p.a.
Inflation	10.00% p.a.	10.00% p.a.

The estimates of future salary increase, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors like settlement with employee unions.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.

Experience adjustments

Amounts for the current year and previous years are as follows:

(₹ in crore)

Pension	Year ended 31 st March				
	2025	2024	2023	2022	2021
Defined benefit obligation	2,266.47	2,111.67	1,912.65	1,909.31	1,891.94
Plan assets	2,184.45	1,879.31	1,873.26	1,953.43	1,872.49
Surplus / (deficit)	(82.02)	(232.36)	(39.39)	44.12	(19.45)
Experience adjustments on plan liabilities	28.75	133.49	140.78	248.33	199.72
Experience adjustments on plan assets	16.36	13.37	11.27	34.13	(1.52)

The Bank expects to contribute ₹ 210.28 crore to pension fund in financial year 2025-2026.

d. Compensated absences

The actuarially determined liability for compensated absences (accumulated leave) of the employees of the Group is given below:
(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
Total actuarial liability	200.67	184.57
Assumptions:		
Discount rate	6.37% to 6.62% p.a.	7.15% to 7.18% p.a.
Salary escalation rate	5.50% p.a. - IBA	5.50% p.a. (IBA)
	7.00% to 9% p.a. - (Others)	7.00% to 9% p.a. (Others)

e. Long Service Award

The actuarially determined liability in respect of Long Service Award of the employees of the Group is given below:

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
Total actuarial liability	15.77	13.56
Assumptions:		
Discount rate	6.55% to 6.63% p.a	7.15% to 7.19% p.a

4. DEPOSIT UNDER LIEN

Balance with Banks in other deposit accounts include ₹ 9,445.86 crore (previous year ₹ 9,460.81 crore) which are under lien.

5. SECURITIES PLEDGED AND ENCUMBERED

- Investments include Government Securities with face value of ₹ 36,381.85 crore (previous year ₹ 4,327.45 crore) pledged and encumbered for availment of fund transfer facility, clearing facility, margin requirements and with the RBI for liquidity adjustment facility (LAF).
- Investments pledged with National Securities Clearing Corporation Limited towards exposure in derivatives segment as at 31st March, 2025 ₹ 436.92 crore (previous year ₹ 560.17 crore).
- Investments pledged with Clearing Corporation of India Limited and Stock Exchange towards margin requirements as at 31st March, 2025 ₹ 323.94 crore (previous year ₹ 328.26 crore).

- “Others” in Other Liabilities and Provisions (Schedule 5) include the following items of provisions in respect of contingencies and other provisions, which have been recognised in the accounts in respect of obligations arising from past event, the settlement of which is expected to result in an outflow embodying economic benefits.

a) Provision for Credit Card and Debit Card Reward Points

The following table sets forth, for the periods indicated, movement in actuarially determined provision for credit card and debit card account reward points:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Opening provision for reward points	124.12	68.26
Provision for reward points made during the year	267.42	267.06
Utilisation/write-back of provision for reward points	(255.55)	(211.20)
Closing provision for reward points*	135.99	124.12

* This amount will be utilised towards redemption of the credit card and debit card accounts reward points.

b) Legal:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Opening Provision	36.59	43.01
Add: Addition during the year	3.64	0.56
Less: Reduction during the year	(2.38)	(6.98)
Closing Provision	37.85	36.59

c) Fraud and Other Provisions:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Opening Provision	46.96	39.04
Add: Addition during the year	16.36	27.74
Less: Reduction during the year	(27.92)	(19.82)
Closing Provision	35.40	46.96

7. A. PROVISIONS AND CONTINGENCIES:

Breakup of "Provisions and Contingencies" shown under the head Expenditure in Profit and Loss Account:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Provision for Taxation (Refer Note 8 below)	7,043.29	5,886.55
Provision for Non-performing Assets (including write-offs and net of recoveries)	3,582.11	1,691.65
Provision for Standard Assets	160.56	247.90
General Provision – COVID-19 Deferment Cases	(52.83)	(126.29)
Provision for Unhedged Foreign Currency Exposure	23.43	10.71
Provision for Diminution in value of Investments ⁵	93.65	74.23
Other Provision and Contingencies	52.32	74.27
Total	10,902.53	7,859.02

⁵ Includes provision of ₹ 46.90 crore (Previous year ₹ 33.13 crore) on applicable Alternate Investments Funds (AIF) Investments in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.

- B.** The Bank and its subsidiaries held an aggregate COVID-19 related provision of ₹ 263.33 crore as of 31st March, 2024. Based on the improved outlook and on actual collections, the Bank and its subsidiaries have reversed provisions amounting to ₹ 52.83 crore during the year ended 31st March, 2025 and continue to hold provisions aggregating to ₹ 210.50 crore as at 31st March, 2025.

8. PROVISION MADE FOR TAXES DURING THE YEAR:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Current tax	7,296.60	5,885.31
Deferred tax	(253.31)	1.24
Total	7,043.29	5,886.55

9. DESCRIPTION OF CONTINGENT LIABILITIES:

Sr. No.	Contingent Liability*	Brief Description
1.	Claims not acknowledged as debts	This includes liability on account of Direct and Indirect tax demands and legal cases filed against the Group. The Group is a party to various legal proceedings in the normal course of business. The Group does not expect the outcome of these proceedings to have a material adverse effect on the Group's financial conditions, result of operations or cash flows. In respect of appeals filed by the Income Tax department with higher authorities, where the matter was settled in favour of the Group at the first appellate stage, and where in view of the Management, it gives rise to an item of timing difference, no contingent liability is envisaged by the Group.
2.	Liability on account of outstanding forward exchange contracts	The Group enters into foreign exchange contracts with inter-bank participants and with its customers. Forward exchange contracts are commitments to buy or sell foreign currency at a future date at the contracted rate.
3.	Guarantees on behalf of constituents in and outside India	Primarily as part of its banking activities, the Group issues guarantees on behalf of its customers. Guarantees generally represent irrevocable assurances that the Group will make payments in the event of customer failing to fulfill its financial or performance obligations.
4.	Acceptances, endorsements and other obligations	These include: • Documentary credit such as letters of obligations, enhance the credit standing of the customers of the Group • Bills re-discounted by the Group and cash collateral provided by the Group on assets which have been securitised. • Underwriting commitments in respect of Debt Syndication
5.	Other items for which the Group is contingently liable	These include: • Liabilities in respect of interest rate swaps, currency swaps, forward rate agreements, futures, options and other derivative contracts. The Bank enters into these transactions with inter Bank participants and its customers. Currency Swaps are commitments to exchange cash flows by way of interest/ principal in one currency against another, based on predetermined rates. Interest rate swaps are commitments to exchange fixed and floating interest rate cash flows. The notional amounts that are recorded as contingent liabilities are amounts used as a benchmark for the calculation of interest component of the contracts. • Liability in respect of capital commitments relating to fixed assets and undrawn commitments in respect of investments. • Amount Transferred to RBI under the Depositor Education and Awareness Fund ('DEA Fund').

* Also refer Schedule 12 – Contingent Liabilities

10. EARNINGS PER EQUITY SHARE:

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Reconciliation between weighted shares used in the computation of basic and diluted earnings per share:		
Weighted average number of equity shares used in computation of basic earnings per share	1,988,096,870	1,987,326,015
Effect of potential equity shares for stock options outstanding	41,645	150,565
Weighted average number of equity shares used in computation of diluted earnings per share	1,988,138,515	1,987,476,580
Following is the reconciliation between basic and diluted earnings per share:		
Nominal value per share (₹)	5.00	5.00
Basic earnings per share (₹)	111.29	91.45
Effect of potential equity shares for stock options (₹)	0.00	0.00
Diluted earnings per share (₹)	111.29	91.45
Profit for the year after tax (₹ in crore)	22,125.99	18,213.21
Less : Preference dividend including tax (₹ in crore)	-	38.51
Earnings used in the computation of basic and diluted earnings per share (₹ in crore)	22,125.99	18,174.70

11. EMPLOYEE SHARE BASED PAYMENTS:

The shareholders of the Bank had passed Special Resolutions on 29th June, 2015 and 22nd December, 2023 respectively, to grant options to the eligible employees of the Bank and its subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Equity Option Scheme 2015 and Kotak Mahindra Equity Option Scheme 2023 have been formulated and adopted, respectively. The Kotak Mahindra Equity Option Scheme 2015 is operational only to the extent of treatment of options granted till 22nd December, 2023 and Kotak Mahindra Equity Option Scheme 2023 is currently in force.

Performance Linked Restricted Stock Units

The shareholders of the Bank have passed Special on 20th February, 2025 to grant performance linked restricted stock units to the eligible employees of the Bank and its concerned subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 has been formulated and adopted. No options have been granted under this scheme during the year ended 31st March, 2025.

Equity-settled options

The Bank has granted options to employees of the Group vide various employee stock option schemes. During the year ended 31st March, 2025, the following schemes were in operation:

Particulars	Plan 2015	Plan 2023
Date of grant	Various Dates	Various Dates
Date of Board Approval	Various Dates	Various Dates
Date of Shareholder's approval	29 th June, 2015	22 nd December, 2023
Number of options granted	21,080,963	1,977,977(*)
Method of Settlement (Cash / Equity)	Equity	Equity
Vesting Period	0.01 – 4.16 years	1.01 – 4.05 years
Exercise Period	0.03 – 1.00 year	0.50-1.00 year
Vesting Conditions	Graded / Cliff vesting	Graded / Cliff vesting

(*) Net off 33,990 options which were unallocated and stood cancelled ab initio.

The details of activity under Plan 2015 have been summarised below:

Particulars	Year ended 31 st March, 2025		Year ended 31 st March, 2024	
	Number of Shares	Weighted Average Exercise Price (₹)	Number of Shares	Weighted Average Exercise Price (₹)
Outstanding at the beginning of the year	2,699,729	1,825.57	3,573,225	1,642.98
Granted during the year	-	-	1,112,490	1,939.00
Forfeited during the year	116,681	1,871.63	206,273	1,804.14
Exercised during the year	286,551	1,520.39	1,364,316	1,460.33
Expired during the year	774,834	1,852.04	415,397	1,768.94
Outstanding at the end of the year	1,521,663	1,866.90	2,699,729	1,825.57
Out of the above exercisable at the end of the year	88,207	1,883.86	334,878	1,579.64
Weighted average remaining contractual life (in years)		1.33		1.65
Weighted average fair value of options granted		-		509.70

The details of activity under Plan 2023 have been summarised below:

Particulars	Year ended 31 st March, 2025		Year ended 31 st March, 2024	
	Number of Shares	Weighted Average Exercise Price (₹)	Number of Shares	Weighted Average Exercise Price (₹)
Outstanding at the beginning of the year	108,417	1,823.00	-	-
Granted during the year	1,869,560(*)	1,714.17	108,417	1,823.00
Forfeited during the year	104,687	1,734.63	-	-
Exercised during the year	15,544	1,823.00	-	-
Expired during the year	-	-	-	-
Outstanding at the end of the year	1,857,746	1,718.46	108,417	1,823.00
Out of the above exercisable at the end of the year	6,334	1,823.00	-	-
Weighted average remaining contractual life (in years)		2.31		2.44
Weighted average fair value of options granted		425.92		377.70

(*) Net off 33,990 options which were unallocated and stood cancelled ab initio.

The weighted average share price at the date of exercise for stock options exercised during the year was ₹ 1,821.57 (Previous year ₹ 1,842.83).

The details of exercise price for stock options outstanding at the end of the year are:

31st March, 2025

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
1,601-1,700	1,529,810	2.17	1,697.00
1,701-1,800	703,760	1.86	1,780.49
1,801-1,900	374,200	1.00	1,813.96
1,901-2,000	725,299	1.66	1,938.43
2,101-2,200	46,340	2.38	2,144.90

31st March, 2024

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
1,201-1,300	10,020	0.28	1,240.89
1,301-1,400	174,514	0.25	1,341.00
1,701-1,800	786,518	1.65	1,798.00
1,801-1,900	774,484	1.48	1,814.32
1,901-2,000	1,062,610	2.08	1,939.00

Stock appreciation rights (SARs)

At the General Meeting on 29th June, 2015, the shareholders of the Bank had passed Special Resolution to grant SARs to the eligible employees of the Bank and its subsidiaries. Pursuant to this resolution, Kotak Mahindra Stock Appreciation Rights Scheme 2015 had been formulated and adopted. Subsequently, the SARs have been granted under this scheme.

The Board of Directors of the Bank have formulated and adopted the Kotak Mahindra Stock Appreciation Rights Scheme 2023 effective from 1st December, 2023 in place of SARs Scheme 2015. SARs Scheme 2015 is operational only to the extent of treatment of SARs granted till 30th November, 2023.

The SARs are settled in cash and vest on the respective due dates in a graded manner as per the terms and conditions of grant. The contractual life of the SARs outstanding range from 1.01 to 5.10 years.

Detail of activity under SARs is summarised below:

Particulars	Year Ended 31 st March, 2025	Year Ended 31 st March, 2024
Outstanding at the beginning of the year	3,176,673	2,540,038
Granted during the year (*)	2,387,970	1,849,441
Settled during the year	1,006,637	945,470
Forfeited during the year	380,691	267,336
Outstanding at the end of the year	4,177,315	3,176,673

* Net-off 16,050 SARs which were unallocated and stood cancelled ab initio.

Fair value of Employee stock options

The fair value of the equity-settled options is estimated on the date of grant using Black-Scholes options pricing model taking into account the terms and conditions upon which the options were granted. The fair value of the cash-settled options is remeasured at each Balance Sheet date. The following table lists the inputs to the model used for equity-settled and cash-settled options:

Particulars	Year ended 31 st March,			
	2025		2024	
	Equity-settled	Cash-settled	Equity-settled	Cash-settled
Exercise Price ₹	1,696.55-2,144.90	0-1,939	1,823-1,939	0-1,939
Weighted Average Share Price ₹	1,713.78	1,791.58	1,927.50	1,828.97
Expected Volatility	20.62%-30.50%	21.01%-34.86%	16.79%-32.42%	11.25%-25.27%
Historical Volatility	20.62%-30.50%	21.01%-34.86%	16.79%-32.42%	11.25%-25.27%
Life of the options granted (Vesting and exercise period)				
- At the grant date	1.26-4.55		1.25-4.42	
- As at 31 st March		0.01-4.17		0.02-3.84
Risk-free interest rate	6.54%-7.22%	6.28%-6.62%	7.01%-7.26%	6.89%-7.19%
Expected dividend rate	0.09%-0.12%	0.09%-0.10%	0.08%	0.08%-0.09%

The expected volatility was determined based on historical volatility data and the Bank expects the volatility of its share price may not differ from historical volatility. The measure of volatility used in the Black-Scholes options pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. For calculating volatility, the daily volatility of the stock prices on the National Stock Exchange, over a period prior to the date of grant for equity settled options and remeasurement date for the cash settled options, corresponding with the expected / residual life of the share-linked instruments has been considered.

Effect of the employee share-based payment plans on the Profit and Loss Account and on the financial position:

(₹ in crore)

Particulars	Year ended 31 st March	
	2025	2024
Total Employee compensation cost pertaining to share-based payment plans	378.23	265.22
Compensation cost pertaining to equity-settled employee share-based payment plan included above	36.69	44.95
Liability for employee stock options outstanding as at year end	170.56	140.44
Deferred Compensation Cost	76.29	61.15
Closing balance of liability for cash-settled options	436.17	264.13

12. TIER II BONDS

Lower Tier II Bonds outstanding as at 31st March, 2025 ₹ 20.00 crore (previous year ₹ 20.00 crore).

13. Interest Expended - Others (Schedule 15.III) includes interest on subordinated debt (Lower and Upper Tier II) ₹ 1.67 crore for the year ended 31st March, 2025 (previous year ₹ 1.67 crore).

14. SEGMENT REPORTING

The summary of the operating segments of the Group for the year ended 31st March, 2025 are as given below:

(₹ in crore)

31 st March	2025	2024
Segment Revenues:		
Treasury, BMU and Corporate Centre	16,666.22	10,956.31
Retail Banking*	33,829.72	27,831.08
(i) Digital Banking	2,171.33	1,536.19
(ii) Other Retail Banking	31,658.39	26,294.89
Corporate / Wholesale Banking	24,786.28	22,788.95
Vehicle Financing	4,100.64	3,415.80
Other Lending Activities	2,227.57	1,918.48
Broking	4,369.02	3,213.90
Advisory and Transactional Services	1,682.06	1,371.46
Asset Management	2,893.67	1,941.89
Insurance	25,268.44	28,110.08
Sub-total	115,823.62	101,547.95
Add: Unallocated Income	-	-
Less: Inter-segment revenues	(8,921.38)	(7,274.04)
Total Income	106,902.24	94,273.91

(₹ in crore)

31 st March	2025	2024
Segment Results:		
Treasury, BMU and Corporate Centre	9,109.53	5,505.43
Retail Banking*	5,858.18	5,732.75
(i) Digital Banking	284.45	118.36
(ii) Other Retail Banking	5,573.73	5,614.39
Corporate / Wholesale Banking	7,890.16	7,473.79
Vehicle Financing	699.04	706.11
Other Lending Activities	737.75	649.14
Broking	1,524.47	1,129.11
Advisory and Transactional Services	294.98	729.89
Asset Management	1,721.47	984.84
Insurance	1,153.45	952.32
Sub-total	28,989.03	23,863.38
Add: Unallocated Income / (Expense)	-	-
Total Profit before tax, minority interest and associates	28,989.03	23,863.38
Less: Provision for tax	(7,043.29)	(5,886.55)
Net Profit before share of Associates and Minority	21,945.74	17,976.83
Segment Assets:		
Treasury, BMU and Corporate Centre	228,006.78	187,565.09
Retail Banking*	443,829.55	384,257.91
(i) Digital Banking	52.99	60.60
(ii) Other Retail Banking	443,776.56	384,197.31
Corporate / Wholesale Banking	274,494.22	239,539.02
Vehicle Financing	29,848.75	28,262.24
Other Lending Activities	24,726.19	23,779.45
Broking	20,970.01	17,562.29
Advisory and Transactional Services	1,301.64	1,169.06
Asset Management	8,253.15	6,442.32
Insurance	94,811.03	85,062.53
Sub-total	1,126,241.32	973,639.91
Less: Inter-segment assets	(247,876.32)	(207,816.22)
Total	878,365.00	765,823.69
Add: Unallocated Assets	1,409.34	1,843.27
Total Assets as per Balance Sheet	879,774.34	767,666.96
Segment Liabilities:		
Treasury, BMU and Corporate Centre	185,732.26	139,213.04
Retail Banking*	395,970.73	353,357.46
(i) Digital Banking	19,063.17	15,585.65
(ii) Other Retail Banking	376,907.56	337,771.81
Corporate / Wholesale Banking	244,021.51	218,547.17
Vehicle Financing	18,016.04	21,800.15
Other Lending Activities	19,157.39	16,755.39
Broking	16,943.98	15,618.60
Advisory and Transactional Services	252.40	294.45
Asset Management	716.44	1,115.25
Insurance	87,317.44	77,931.56
Sub-total	968,128.19	844,633.07

(₹ in crore)

31 st March	2025	2024
Less: Inter-segment liabilities	(247,876.32)	(207,816.22)
Total	720,251.87	636,816.85
Add: Unallocated liabilities	2,127.38	957.71
Add: Share Capital, Reserves and Surplus and Minority Interest	157,395.09	129,892.40
Total Capital and Liabilities as per Balance Sheet	879,774.34	767,666.96
Capital Expenditure:		
Treasury, BMU and Corporate Centre	228.93	187.35
Retail Banking	641.50	630.10
Corporate / Wholesale Banking	78.06	57.75
Vehicle Financing	13.28	16.68
Other Lending Activities	9.77	1.09
Broking	64.69	53.56
Advisory and Transactional Services	12.54	20.63
Asset Management	35.13	22.82
Insurance	138.10	128.02
Total	1,222.00	1,118.00
Depreciation / Amortisation:		
Treasury, BMU and Corporate Centre	151.93	119.23
Retail Banking	518.39	448.99
Corporate / Wholesale Banking	59.19	47.55
Vehicle Financing	13.10	11.70
Other Lending Activities	3.57	0.88
Broking	65.14	55.63
Advisory and Transactional Services	12.45	11.30
Asset Management	25.53	22.22
Insurance	91.61	74.25
Total	940.91	791.75

Segment information is provided as per the management information system available for internal reporting purposes, which includes certain estimates and assumptions.

(*) RBI's Master Direction on Financial Statements - Presentation and Disclosures, requires to divide the 'Retail banking' into (a) Digital Banking (as defined in RBI circular on Establishment of Digital Banking Units dated 7th April, 2022) and (b) Other Retail Banking segment.

15. ASSETS TAKEN ON LEASE

- (i) The Group has taken various premises and equipment under operating lease. The lease payments recognised in the Profit and Loss Account are ₹ 966.07 crore (previous year ₹ 765.74 crore).
- (ii) The future minimum lease payments under non-cancelable operating lease not later than one year is ₹ 840.51 crore (previous year ₹ 772.48 crore), later than one year but not later than five years is ₹ 2,429.99 crore (previous year ₹ 2,210.07 crore) and later than five years ₹ 988.52 crore (previous year ₹ 954.30 crore).

The lease terms include renewal option after expiry of primary lease period. There are no restrictions imposed by lease arrangements. There are escalation clauses in the lease agreements.

16. ASSETS GIVEN ON LEASE

Details of gross investments, unearned finance income and present value of rentals in respect of assets given under finance lease are as under:

(₹ in crore)

As at 31 st March	2025	2024
Gross Investments (A):		
(i) Not later than 1 year	87.99	85.73
(ii) Between 1-5 years	163.22	163.86
Total	251.21	249.59
Unearned Finance Income (B):		
(i) Not later than 1 year	22.36	21.95
(ii) Between 1-5 years	24.26	26.13
Total	46.62	48.08
Present Value of Rentals (A-B):		
(i) Not later than 1 year	65.63	63.77
(ii) Between 1-5 years	138.96	137.74
Total	204.59	201.51
Accumulated provision on the Gross Investments	2.86	2.98

17. In accordance with the IRDAI Financial Statements Regulations, the Life Insurance subsidiary revalues its investment property at least once in three years, the market value being the lower of valuations performed by two independent valuers. The real estate investment property is accordingly valued at ₹ 239.16 crore at 31st March, 2025 (previous year ₹ 239.16 crore). The historical cost of the property is ₹ 158.56 crore (previous year ₹ 158.56 crore). The revaluation gains have been included in policyholders' funds.

The life insurance subsidiary has entered into agreements for leasing out its real estate investment properties. These arrangement are in the nature of operating lease. There are no restrictions imposed by lease arrangement and the rent is not determined based on any contingency. The lease payments recognised in profit and loss account in the current year is ₹ 15.24 crore (previous year ₹ 16.35 crore).

18. The Group enters into various types of derivative contracts such as interest rate swaps, cross currency interest rate swaps, foreign currency swaps, forwards, forward rate agreements, index / equity futures and options. The details of such derivatives for subsidiaries (other than bank) are as under:

Derivative instrument outstanding as at 31st March, 2025

As at 31 st March	2025	2024	Purpose
Particulars of Derivatives	Quantity	Quantity	
Futures			
S&P CNX Nifty Futures Short	225	-	Trading
Stock Futures Long	-	1,801,455	Trading
Stock Futures Short	29,755,907	27,352,414	Trading
Options			
S&P CNX Nifty Options Long	162,600	52,700	Trading
S&P CNX Nifty Options Short	137,700	43,400	Trading
Stock option Long	128,400	160,000	Trading
Forward Exchange Contracts			
USD-INR Long	-	USD 500,000	Hedging
USD-INR Short	-	USD 250,000	Hedging
Forward rate agreement (₹ crore)*	10,256.84	10,362.16	Hedging

*Total outstanding notional principal amount of forward rate agreement entered by Life insurance subsidiary to hedge Interest rate risk on its liability side

Unhedged forex exposure outstanding as at the Balance Sheet date

(₹ in crore)

Particulars	As at 31 st March, 2025	As at 31 st March, 2024
Amount Receivable in foreign currency	8.66 (USD 1,012,831) 0.32 (GBP 29,919) 0.32 (EUR 35,000)	12.81 (USD 1,535,884) 1.44 (GBP 137,000) 0.05 (EUR 6,000) 0.16 (CAD 26,000)
Amount Payable in foreign currency	2.29 (USD 267,460) 2.29 (SGD 359,569)	3.26 (USD 391,000) 0.72 (SGD 116,000)

19. Additional information to consolidated accounts at 31st March, 2025, (Pursuant to Schedule III of the Companies Act, 2013)

(₹ in crore)

Name of the Entity	Net Assets*				Share in Profit or Loss			
	As at 31 st March, 2025		As at 31 st March, 2024		For the year ended 31 st March, 2025		For the year ended 31 st March, 2024	
	As % of Consolidated Net Assets	Amount	As % of Consolidated Net Assets	Amount	As % of Consolidated Profit or Loss	Amount	As % of Consolidated Profit or Loss	Amount
Kotak Mahindra Bank Limited	74.43%	117,145.62	74.40%	96,639.46	74.35%	16,450.08	75.67%	13,781.58
Indian Subsidiaries:								
Kotak Mahindra Prime Limited	6.48%	10,195.53	7.06%	9,176.48	4.59%	1,015.47	4.89%	888.06
Kotak Securities Limited	6.36%	10,012.04	6.38%	8,286.15	7.41%	1,640.46	6.74%	1,226.17
Kotak Mahindra Capital Company Limited	1.04%	1,630.20	0.91%	1,181.03	1.63%	360.63	1.18%	215.01
Kotak Mahindra Life Insurance Company Limited	4.07%	6,403.07	4.51%	5,863.23	3.48%	769.47	3.78%	688.62
Kotak Mahindra General Insurance Company Limited (upto 17 th June, 2024)	-	-	0.34%	447.12	(0.09%)	(20.56)	(0.49%)	(88.95)
Kotak Mahindra Investments Limited	2.44%	3,841.65	2.56%	3,329.02	2.27%	501.25	2.82%	514.21
Kotak Mahindra Asset Management Company Limited	1.87%	2,938.71	1.54%	1,995.62	3.60%	795.71	2.33%	424.41
Kotak Mahindra Trustee Company Limited	0.49%	766.64	0.40%	525.32	0.82%	180.79	0.55%	100.77
Kotak Alternate Asset Managers Limited (formerly known as Kotak Investment Advisors Limited)	0.75%	1,187.44	0.67%	864.58	0.63%	139.31	0.32%	58.84
Kotak Mahindra Trusteeship Services Limited	0.03%	40.84	0.03%	35.00	0.03%	5.84	0.03%	5.87
Kotak Infrastructure Debt Fund Limited	0.36%	572.62	0.40%	519.61	0.24%	53.20	0.24%	43.40
Kotak Mahindra Pension Fund Limited	0.04%	59.17	0.04%	52.40	0.01%	1.93	0.00%	(0.21)
IVY Product Intermediaries Limited	0.00%	6.93	0.01%	6.69	0.00%	0.25	0.00%	0.33
BSS Microfinance Limited	0.59%	936.32	0.78%	1,009.85	(0.33%)	(73.67)	2.10%	383.22

(₹ in crore)

Name of the Entity	Net Assets*				Share in Profit or Loss			
	As at 31 st March, 2025		As at 31 st March, 2024		For the year ended 31 st March, 2025		For the year ended 31 st March, 2024	
	As % of Consolidated Net Assets	Amount	As % of Consolidated Net Assets	Amount	As % of Consolidated Profit or Loss	Amount	As % of Consolidated Profit or Loss	Amount
Sonata Finance Private Limited	0.26%	402.07	0.30%	389.41	0.06%	12.66	(0.08%)	(13.71)
Foreign Subsidiaries:								
Kotak Mahindra (International) Limited	0.71%	1,124.84	0.77%	1,001.34	0.42%	93.34	0.35%	64.28
Kotak Mahindra (UK) Limited	0.36%	570.03	0.38%	495.19	0.26%	57.84	0.21%	38.63
Kotak Mahindra, Inc.	0.07%	107.44	0.08%	98.79	0.02%	5.32	0.06%	11.08
Kotak Mahindra Financial Services Limited	0.00%	3.53	0.00%	3.05	0.00%	0.40	0.00%	(0.59)
Kotak Mahindra Asset Management (Singapore) Pte. Limited	0.30%	474.98	0.28%	363.99	0.44%	98.08	0.41%	75.32
Minority Interests in subsidiary	0.00%	-	0.00%	-	0.00%	-	0.00%	-
Associates:								
Infina Finance Private Limited			-	-	0.42%	93.80	0.70%	128.13
Phoenix ARC Private Limited			-	-	0.40%	91.72	0.60%	108.25
Zurich Kotak General Insurance Company (India) Limited (w.e.f 18 th June, 2024)			-	-	(0.02%)	(5.27)	-	-
Inter-company and Other adjustments	(0.65%)	(1,024.59)	(1.84%)	(2,390.94)	(0.64%)	(142.06)	(2.41%)	(439.51)
Total	100.00%	157,395.08	100.00%	129,892.39	100.00%	22,125.99	100.00%	18,213.21

* Total assets minus total liabilities

20. The Group has recorded net deferred tax asset which has been included in “Others – Other Assets” (Schedule 11.VI).

The break-up of deferred tax assets and liabilities into major items is as follows:

(₹ in crore)

Particulars	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Deferred Tax Assets		
Provision for non-performing and doubtful debts, general provisions and contingencies	867.56	618.41
Depreciation on assets	92.63	76.24
Unabsorbed business losses/Depreciation	58.58	-
Provision for investments	1.46	13.37
Unamortised Income	-	9.78
Expenditure allowed on payment basis and others	215.15	160.81
Deferred Tax Liabilities		
Depreciation on assets	-	0.86
Deduction u/s. 36(1)(viii) of the Income Tax Act, 1961	281.77	244.02
Fair Valuation of Investments	910.74	-
Others	3.13	1.72
Net Deferred Tax Assets / (Liabilities)	39.74	632.01

21. FIXED ASSETS

Fixed Assets as per Schedule 10 include intangible assets, details of which are as follows:

(₹ in crore)

Particulars	Year ended 31 st March, 2025	Year ended 31 st March, 2024
PURCHASED SOFTWARE AND SYSTEM DEVELOPMENT EXPENDITURE		
Gross Block		
At cost on 31 st March of the preceding year	1,535.81	1,345.87
Addition / (Reduction) due to Acquisition / stake sale	(35.91)	0.84
Add: Additions during the year	242.16	220.09
Less: Deductions during the year	(13.49)	(30.99)
Total	1,728.57	1,535.81
Amortisation		
As at 31 st March of the preceding year	1,174.01	959.78
Addition / (Reduction) due to Acquisition / stake sale	(30.36)	0.72
Add: Charge for the year	255.44	241.00
Less: Deductions during the year	(13.44)	(27.49)
Amortisation to date	1,385.65	1,174.01
Net Block	342.92	361.80
MEMBERSHIP CARDS OF STOCK EXCHANGE		
Gross Block		
At cost on 31 st March of the preceding year	4.66	4.66
Add: Additions during the year	-	-
Less: Deductions during the year	-	-
Total	4.66	4.66
Amortisation		
As at 31 st March of the preceding year	4.66	4.66
Add: Charge for the year	-	-
Less: Deductions during the year	-	-
Amortisation to date	4.66	4.66
Net Block	-	-
ASSET MANAGEMENT RIGHTS		
Gross Block		
At cost on 31 st March of the preceding year	15.90	15.90
Add: Additions during the year	-	-
Less: Deductions during the year	-	-
Total	15.90	15.90
Amortisation		
As at 31 st March of the preceding year	15.90	15.90
Add: Charge for the year	-	-
Less: Deductions during the year	-	-
Amortisation to date	15.90	15.90
Net Block	-	-

22. RELATED PARTY DISCLOSURES:

	Nature of relationship	Name of Related Party
A.	Individual having significant influence over the enterprise	Mr. Uday S. Kotak, Promoter along with the persons / entities forming part of the Promoter Group, holds 25.88% of the paid-up share capital of Kotak Mahindra Bank Limited as on 31 st March, 2025.
		Mr. Uday S. Kotak, was appointed as a Non Executive Director w.e.f. 2 nd September, 2023.
B.	Other Related Parties	
	Associates / Others	Infina Finance Private Limited Phoenix ARC Private Limited Zurich Kotak General Insurance Company (India) Limited (formerly Kotak Mahindra General Insurance Company Limited) - (Subsidiary upto 17 th June, 2024, Associate w.e.f. 18 th June, 2024) ING Vysya Foundation Kotak Karma Foundation (w.e.f. 26 th June, 2023)
	Key Management Personnel (KMP)	Mr. Uday S. Kotak - Managing Director & CEO (upto 1 st September, 2023) Mr. Dipak Gupta - Joint Managing Director (upto 31 st December, 2023) Mr. Ashok Vaswani - Managing Director & CEO (w.e.f. 1 st January, 2024) Mr. KVS Manian - Joint Managing Director (upto 30 th April, 2024) Ms. Shanti Ekambaram - Deputy Managing Director Mr. Jaideep Hansraj - Whole-Time Director (w.e.f. 11 th February, 2025)
	Enterprises over which KMP/ Individual having Significant influence over Bank relatives of such personnel; have control / significant influence	Aero Agencies Private Limited Kotak and Company Private Limited Komaf Financial Services Private Limited Asian Machinery & Equipment Private Limited. Insurekot Sports Private Limited Kotak Trustee Company Private Limited Cumulus Trading Company Private Limited Palko Properties Private Limited Kotak Chemicals Limited Kotak Ginning & Pressing Industries Private Limited Kotak Commodity Services Private Limited Harisiddha Trading and Finance Private Limited Puma Properties Private Limited Business Standard Private Limited Business Standard Online Private Limited Allied Auto Accessories Private Limited Uday S Kotak HUF Suresh A Kotak HUF KF Trust Kotak Family Foundation Helena Realty Private Limited Doreen Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024) Renato Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024) Pine Tree Estates Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024) Meluha Developers Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024) Quantyco Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024)

Nature of relationship	Name of Related Party
	Xanadu Properties Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22nd August, 2024) Laburnum Adarsh Trust Manian Family Trust (upto 30th April, 2024) Brij Disa Arnav Trust (upto 31st December, 2023) Brij Disa Parthav Trust (upto 31st December, 2023) Kotak Mahindra Group Employee Welfare Trust TML Benefit Trust Brij Disa Foundation (upto 31st December, 2023) Amrit Lila Enterprises Private Limited Manians Family Trust II (upto 30th April, 2024) USK Benefit Trust III Kudin Trusteeship Services Private Limited Shanti Family Trust Shivkaran Trust Niraant Aviation Private Limited (w.e.f. 29th June, 2024) Anukriya Foundation (w.e.f. 11th February, 2025) USK Capital Partners (w.e.f. 1st January, 2024)
Relatives of KMP/Individual having Significant influence over the Bank	Ms. Pallavi Kotak Mr. Suresh Kotak Ms. Indira Kotak Mr. Jay Kotak Mr. Dhawal Kotak Ms. Aarti Chandaria Ms. Aditi Arya (w.e.f. 7th November, 2023) Ms. Anita Gupta (upto 31st December, 2023) Ms. Urmila Gupta (upto 31st December, 2023) Mr. Arnav Gupta (upto 31st December, 2023) Mr. Parthav Gupta (upto 31st December, 2023) Mr. Prabhat Gupta (upto 31st December, 2023) Ms. Jyoti Banga (upto 31st December, 2023) Ms. Seetha Krishnan (upto 30th April, 2024) Ms. Lalitha Mohan (upto 30th April, 2024) Ms. Shruti Manian (upto 30th April, 2024) Mr. Shashank Manian (upto 30th April, 2024) Mr. Ramesh Krishnan (upto 30th April, 2024) Ms. Vanathi Gopalakrishnan (upto 30th April, 2024) Ms. G. Saraswathi Ms. Shobha Srivastava Ms. Archana Jaideep Hansraj (w.e.f. 11th February, 2025) Mr. Rahul Jaideep Hansraj (w.e.f. 11th February, 2025) Ms. Sanjana Hansraj (w.e.f. 11th February, 2025) Mr. Sanjeev Hansraj (w.e.f. 11th February, 2025) Mr. Varun Dinkar Gogri (w.e.f. 11th February, 2025) Ms. Veena Vaswani (w.e.f. 1st January, 2024)

Details of related party transactions as at / for the year ended 31st March, 2025:

(₹ in crore)

Items/Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank	Total
I. Liabilities					
Deposits	177.33	7.68	221.59	161.07	567.67
	(49.59)	(61.02)	(107.84)	(174.02)	(392.47)
Borrowings	-	-	-	-	-
	(-)	(-)	(-)	(-)	(-)
Interest Payable	0.04	#	1.68	0.74	2.47
	(0.23)	(-)	(1.13)	(0.61)	(1.97)
Other Payables	2.38	0.15	0.02	-	2.55
	(3.48)	(#)	(0.06)	(#)	(3.54)
II. Assets					
Advances	10.31	5.77	1.35	1.37	18.80
	(25.31)	(0.01)	(1.31)	(0.05)	(26.68)
Investments – Gross	425.10	-	#	-	425.10
	(103.28)	(-)	(#)	(-)	(103.28)
Diminution on Investments	-	-	#	-	#
	(-)	(-)	(#)	(-)	(#)
Commission Receivable	19.68	-	-	-	19.68
	(-)	(-)	(-)	(-)	(-)
Other Receivables	135.72	0.03	3.77	0.02	139.54
	(0.23)	(#)	(10.49)	(0.03)	(10.75)
Non Fund/ Commitments					
Bank Guarantees	-	-	1.13	-	1.13
	(-)	(-)	(1.13)	(-)	(1.13)
Forward/CIRS o/s	-	-	-	-	-
	(-)	(-)	(-)	(-)	(-)
III. Expenses					
Salaries (Include ESOP cost) / fees	-	22.95	-	0.61	23.56
	(-)	(24.60)	(-)	(0.57)	(25.17)
Interest Paid	1.14	3.73	6.01	12.28	23.16
	(7.32)	(14.50)	(4.78)	(12.71)	(39.31)
Other Expenses	6.67	-	2.79	0.01	9.47
	(#)	(-)	(4.29)	(0.02)	(4.31)
IV. Income					
Interest Income	1.89	0.08	0.06	0.03	2.06
	(4.53)	(-)	(0.06)	(0.30)	(4.89)
Other Income	127.50	0.82	1.41	0.13	129.86
	(0.57)	(1.48)	(2.08)	(0.13)	(4.26)
V. Other Transactions					
Dividend Paid	-	102.47	0.10	0.67	103.24
	(-)	(76.95)	(0.23)	(0.53)	(77.71)
Reimbursement to companies	0.28	-	-	-	0.28
	(-)	(-)	(-)	(-)	(-)
Reimbursement from companies	1.04	-	-	-	1.04
	(0.27)	(-)	(-)	(-)	(0.27)

(₹ in crore)

Items/Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank	Total
Loan Repaid	15.00	-	-	-	15.00
	(15.00)	(-)	(-)	(-)	(15.00)
Purchase of Investments	-	-	-	-	-
	(1.00)	(-)	(-)	(-)	(1.00)
Sale of Investments	-	-	-	-	-
	(-)	(-)	(-)	(5.64)	(5.64)
Purchase of Fixed assets	0.25	-	-	-	0.25
	(-)	(-)	(-)	(-)	(-)
Swaps/Forwards/Options Contracts	0.38	3.50	26.34	23.97	54.19
	(2.84)	(4.50)	(4.32)	(24.61)	(36.27)

Material transactions/outstanding with related parties:

(₹ in crore)

Items / Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank	Total
I. Liabilities:					
Other Liabilities					
Other Payables					
Zurich Kotak General Insurance Company (India) Limited	2.33	-	-	-	2.33
	(-)	(-)	(-)	(-)	(-)
Others	0.05	0.15	0.02	-	0.22
	(3.48)	(#)	(0.06)	(#)	(3.54)
II. Assets:					
Investments					
Zurich Kotak General Insurance Company (India) Limited	321.82	-	-	-	321.82
	(-)	(-)	(-)	(-)	(-)
Phoenix ARC Private Limited	101.18	-	-	-	101.18
	(101.18)	(-)	(-)	(-)	(101.18)
Others	2.10	-	#	-	2.10
	(2.10)	(-)	(#)	(-)	(2.10)
Diminution on investments					
Business Standard Private Limited	-	-	#	-	#
	(-)	(-)	(#)	(-)	(#)
Commission Receivable					
Zurich Kotak General Insurance Company (India) Limited	19.68	-	-	-	19.68
	(-)	(-)	(-)	(-)	(-)

(₹ in crore)

Items / Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank	Total
Other Receivables					
Zurich Kotak General Insurance Company (India) Limited	134.53	-	-	-	134.53
	(-)	(-)	(-)	(-)	(-)
Others	1.19	0.03	3.77	0.02	5.01
	(0.23)	(#)	(10.49)	(0.03)	(10.75)
Non Fund Commitments					
Bank Guarantees					
Aero Agencies Private Limited	-	-	1.00	-	1.00
	(-)	(-)	(1.00)	(-)	(1.00)
KF Trust (formerly known as USK Benefit Trust II)	-	-	0.13	-	0.13
	(-)	(-)	(0.13)	(-)	(0.13)
III. Expenses:					
Salaries (Includes ESOP cost)					
Mr. Uday Kotak	-	1.57	-	-	1.57
	(-)	(0.95)	(-)	(-)	(0.95)
Mr. Jaideep Hansraj	-	0.76	-	-	0.76
	(-)	(-)	(-)	(-)	(-)
Mr. Dipak Gupta	-	-	-	-	-
	(-)	(8.37)	(-)	(-)	(8.37)
Mr. KVS Manian	-	(0.53)	-	-	(0.53)
	(-)	(6.72)	(-)	(-)	(6.72)
Ms. Shanti Ekambaram	-	7.01	-	-	7.01
	(-)	(6.73)	(-)	(-)	(6.73)
Mr. Ashok Vaswani	-	14.14	-	-	14.14
	(-)	(1.83)	(-)	(-)	(1.83)
Others	-	-	-	0.61	0.61
	(-)	(-)	(-)	(0.57)	(0.57)
Other Expenses					
Aero Agencies Private Limited	-	-	2.37	-	2.37
	(-)	(-)	(4.24)	(-)	(4.24)
Zurich Kotak General Insurance Company (India) Limited	6.67	-	-	-	6.67
	(-)	(-)	(-)	(-)	(-)
Others	-	-	0.42	0.01	0.43
	(#)	(-)	(0.05)	(0.02)	(0.07)
IV. Income:					
Other Income					
Zurich Kotak General Insurance Company (India) Limited	126.12	-	-	-	126.12
	(-)	(-)	(-)	(-)	(-)
Others	1.38	0.82	1.41	0.13	3.74
	(0.57)	(1.48)	(2.08)	(0.13)	(4.26)

(₹ in crore)

Items / Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank	Total
V. Other Transactions:					
Dividend Paid					
Mr. Uday S. Kotak	-	102.20	-	-	102.20
	(-)	(76.66)	(-)	(-)	(76.66)
Others	-	0.27	0.10	0.67	1.04
	(-)	(0.29)	(0.23)	(0.53)	(1.05)
Reimbursements from companies					
Zurich Kotak General Insurance Company (India) Limited	1.03	-	-	-	1.03
	(-)	(-)	(-)	(-)	(-)
Others	0.01	-	-	-	0.01
	(0.27)	-	-	-	(0.27)
Reimbursement to companies					
Zurich Kotak General Insurance Company (India) Limited	0.28	-	-	-	0.28
	(-)	(-)	(-)	(-)	(-)
Loan Repaid During the Year					
Phoenix ARC Private Limited	15.00	-	-	-	15.00
	(15.00)	(-)	(-)	(-)	(15.00)
Purchase of Fixed Assets					
Zurich Kotak General Insurance Company (India) Limited	0.25	-	-	-	0.25
	(-)	(-)	(-)	(-)	(-)
Swaps/Forwards/Options Contracts					
Mr. Dhawal Kotak	-	-	-	14.06	14.06
	(-)	(-)	(-)	(13.12)	(13.12)
Ms. Aarti Chandaria	-	-	-	6.25	6.25
	(-)	(-)	(-)	(3.97)	(3.97)
Insurekot Sports Private Limited	-	-	10.64	-	10.64
	(-)	(-)	(-)	(-)	(-)
Niraant Aviation Private Limited	-	-	11.17	-	11.17
	(-)	(-)	(-)	(-)	(-)
Others	0.38	3.50	4.53	3.66	12.07
	(2.84)	(4.50)	(4.32)	(7.52)	(19.18)

* In the above table denotes amounts less than ₹ 50,000

Note: Figures of previous year (FY 2024) are given in bracket.

Maximum balance outstanding

(₹ in crore)

Items / Related Party	Associates/ others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank / relative of such personnel have control / significant influence	Relatives of KMP/Individual having Significant influence over Bank
I. Liabilities				
Deposits [^]	471.12	132.36	435.00	239.28
	(348.49)	(311.72)	(269.00)	(207.31)
Other Liabilities*	3.71	0.15	1.71	0.74
	(3.71)	(1.94)	(1.18)	(0.61)
II. Assets				
Investments-Gross*	425.10	-	#	-
	(127.28)	(-)	(#)	(-)
Advances*	25.31	5.77	1.35	1.37
	(40.31)	(0.01)	(1.31)	(4.45)
Other Assets*	135.72	0.03	10.49	0.03
	(0.39)	(#)	(10.49)	(0.03)
Commission Receivable*	19.68	-	-	-
	(-)	(-)	(-)	(-)
Non Funded Commitments				
Bank Guarantees*	-	-	1.13	-
	(-)	(-)	(1.13)	(-)

[^]Maximum balance is determined based on comparison of total daily outstanding balances at party level during the financial year.

^{*}Based on maximum of opening and closing balances for the year.

[#]In the above table denotes amounts less than ₹ 50,000.

Note: Figures of previous year (FY2024) are given in bracket.

Previous year figures are re-grouped and re-arranged wherever required.

23. ITEMS EXCEEDING 1% OF TOTAL ASSETS/ TOTAL INCOME

- There are no items under Others (including provisions) (Schedule 5 - Other Liabilities and Provisions) exceeding 1% of total assets of the Group.
- There are no items under Others (Schedule 11 - Other Assets) exceeding 1% of the total assets of the Group.
- There are no items under Miscellaneous Income (Schedule 14 - Other Income) exceeding 1% of total income of the Group.
- Details of items under Other expenditure (Schedule 16 - Operating Expenses) exceeding 1% of total income of the Group are given below:

(₹ in crore)

Particulars	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Professional Charges	1,161.99	1,319.17
Brokerage	1,803.96	1,633.91

24. The Group, as part of its normal banking business that is conducted ensuring adherence to all regulatory requirements, grants loans and advances, makes investment, provides guarantees to and accept deposits and borrowings from its customers, other entities and persons. Other than the transactions described above which are carried out in the normal course of business, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or deposits or any other sources or kinds of funds) by the Group to or in any other persons or entities, including foreign entities ("intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Group ("Ultimate Beneficiaries"). The Group has also not received any funds from any parties (Funding Party) with the understanding that the Group shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
25. On 18th June, 2024, the Bank has completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore resulting in net gain from such sale of ₹ 3,803.40 crore (pre-tax) considering the carrying value of investment in consolidated financials. The Bank continues to hold the remaining 30% of the share capital of KGI as at 31st March, 2025. Consequent to this sale, KGI ceases to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024.
26. The Board of Directors of the Bank have a proposed a dividend of ₹ 2.50 per share having a face value ₹ 5 for the year ended 31st March, 2025 (Previous Year ₹ 2.00 per share). The Bank is obliged to pay dividend to those shareholders whose names are appearing in the register of members as on the book closure date. The dividend will be paid after the approval of the shareholders at the Annual General Meeting.
27. The Bank had received an order from the Reserve Bank of India (RBI) dated 24th April, 2024, directing the Bank to cease and desist, with immediate effect from (i) onboarding new customers through the Bank's online and mobile banking channels and (ii) issuing fresh credit cards. The order was based, inter alia, on the deficiencies observed by the RBI in their IT Examination of the Bank.
- The Bank had taken concrete steps to adopt new technologies to strengthen its IT systems. The RBI after having satisfied itself of the remedial measures undertaken by the Bank to address the supervisory concerns, the submission of compliances made to the RBI (including the report of the external Auditor), the RBI has vide its letter dated 12th February, 2025, communicated its decision to the Bank to lift the aforementioned restrictions placed on the Bank.
28. During the quarter ended 30th June, 2024, the Bank implemented the Master Direction - Classification, Valuation and Operation of Investment Portfolio of Commercial Banks (Directions), 2023 dated 12th September, 2023 which is applicable to banks from 1st April, 2024. Consequent to the transitions provisions, the Bank's networth and investments have increased by ₹ 2,905.46 crore (post tax) and ₹ 3,283.11 crore (pre-tax) respectively as on 1st April, 2024 on account of revision in the carrying value to the fair value as on such date.
- Further during the quarter ended 31st March, 2025 for purpose of Consolidation, the Group entities (other than the insurance entities which continue to follow the IRDAI guidelines applicable to them), have aligned with the aforesaid RBI Directions. Consequently the Group's networth and investments have further increased by ₹ 772.09 crore (post tax) and ₹ 928.03 crore (pre-tax) respectively on account of revision in the carrying value to the fair value as on 1st April, 2024 on account of transition provisions.
- Subsequent changes in fair value of performing investments under Available for Sale ("AFS") and Fair Value Through Profit and Loss ("FVTPL") (including Held For Trading ("HFT")) categories have been recognised through AFS reserve and Profit and Loss Account respectively. Accordingly, the amounts for prior periods are not comparable.

29. ADDITIONAL DISCLOSURE

Additional statutory information disclosed in the separate financial statements of the Bank and Subsidiaries having no material bearing on the true and fair view of the consolidated financial statements and the information pertaining to the items which are not material have not been disclosed in the consolidated financial statement.

Figures for the previous year have been regrouped / reclassified wherever necessary to conform to current year's presentation.

As per our report of even date attached.

For KKC & Associates LLP
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No. 117365W

G. K. Subramaniam
Partner
Membership No. 109839
Mumbai
3rd May, 2025

For and on behalf of the Board of Directors

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

FORM AOC - I

Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules 2014

Statement containing salient features of the financial statement of subsidiaries/associate companies

PART "A" : SUBSIDIARIES

Particulars	(₹ in crore)																				
	Kotak Mahindra Prime Limited	Kotak Securities Limited	Kotak Mahindra Capital Company Limited	Kotak Mahindra Insurance Company Limited	Kotak Mahindra Life Insurance Company Limited	Kotak Mahindra Investments Limited	Kotak Mahindra Asset Management Company Limited	Kotak Mahindra Trustee Company Limited	Kotak Mahindra (International) Limited	Kotak Mahindra (UK) Limited	Kotak Mahindra, Inc.	Kotak Alternate Asset Managers Limited (erstwhile known as Kotak Investment Advisors Limited)	Kotak Mahindra Trustee-ship Services Limited	Kotak Infrastructure Debt Fund Limited	Kotak Mahindra Pension Fund Limited	Kotak Mahindra Financial Services Limited	Kotak Mahindra Asset Management (Singapore) Pte. Limited	Kotak IVY Product Inter-mediaries Limited	BSS Micro-finance Limited	Kotak Karma Foundation Limited	Sonata Private Finance Limited
Share Capital ¹	3.50	1.60	3.44	510.29	5.62	29.80	0.05	16.16	7.01	0.14	8.97	0.09	310.00	60.00	8.45	9.40	2.21	26.73	1.00	26.45	
Reserves & Surplus	10,192.03	10,010.44	1,626.76	5,892.78	3,836.03	2,908.91	766.59	1,108.68	563.02	107.30	1,178.47	40.75	262.62	(0.83)	(4.92)	465.58	4.72	909.59	(0.21)	375.62	
Total Assets	44,988.96	27,292.91	1,825.68	95,777.35	12,303.99	3,234.25	790.52	1,137.15	659.52	119.01	2,051.44	45.17	1,650.58	62.60	6.81	512.04	7.07	962.35	0.80	445.90	
Total Liabilities	34,793.43	17,280.87	195.49	89,374.28	8,462.34	295.54	23.88	12.31	89.50	11.57	863.99	4.33	1,077.96	3.43	3.28	37.06	0.13	26.03	0.02	43.83	
Investments (excluding investment in subsidiaries) ²	3,119.94	2,026.81	771.76	91,637.51	1,834.64	3,051.48	773.04	1,085.37	394.81	92.02	1,711.97	17.14	386.95	60.52	-	422.27	-	0.20	-	0.06	
Turnover ³	5,138.67	5,116.37	669.16	25,008.81	1,536.62	1,508.99	239.81	126.39	209.00	44.49	583.95	20.37	142.75	10.25	6.33	153.99	0.48	858.28	-	265.96	
Profit before taxation	1,356.86	2,175.23	460.53	1,174.99	674.51	1,035.12	235.28	96.13	80.58	7.41	179.65	7.80	52.91	1.93	0.40	109.94	0.36	(99.34)	(0.05)	17.27	
Provision for taxation	341.39	534.77	99.89	405.52	173.26	239.41	54.49	2.78	22.74	2.09	40.33	1.96	(0.29)	-	-	11.86	0.11	(25.67)	-	4.61	
Profit after taxation	1,015.47	1,640.46	360.63	769.47	501.25	795.71	180.79	93.34	57.84	5.32	139.31	5.84	53.20	1.93	0.40	98.08	0.25	(73.67)	(0.05)	12.66	
Proposed Dividend (Equity)	31.46	-	-	293.42	5.62	95.36	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
% of Shareholding ⁵	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100

Note:

- Share Capital includes Preference Share Capital.
- Investments include investments and stock-in-trade reported by the above entities and also include investments held to cover policy holders' liabilities and unit linked liabilities.
- Turnover is the total income reported by each of the entities in their financial statements.
- As per Accounting Standard 4 "Contingencies and Events Occurring After the Balance Sheet Date" ("AS 4 (Revised)"), the Company is not required to create provision for dividend declared after the balance sheet date but before financial statements are approved by the shareholders.
- % of Shareholding includes direct and indirect holding through subsidiaries.
- The financial statements of subsidiaries located outside India i.e. Kotak Mahindra, Inc., Kotak Mahindra (UK) Limited, Kotak Mahindra (International) Limited, Kotak Mahindra Financial Services Limited and Kotak Mahindra Asset Management (Singapore) Pte. Limited are prepared in accordance with accounting principles generally accepted in their respective countries. For the purpose of preparation of the consolidated financial results, the results of these subsidiaries are prepared under Generally Accepted Accounting Principles in India ("Indian GAAP"). The reporting currency of these subsidiaries is USD and exchange rate as on the last day of the financial year ending 31st March, 2025 is 1 USD = 85.4750 INR.
- On 29th April, 2025, the Board of Directors of Kotak Mahindra Life Insurance Company Limited have proposed a final dividend of ₹ 5.75 per share amounting to ₹ 293.42 Cr in respect of the year ending 31st March, 2025 subject to the approval of shareholders at the Annual General Meeting.
- On 29th April, 2025, the Board of Directors of Kotak Mahindra Asset Management Company Limited have proposed a final dividend of ₹ 32 per share amounting to ₹ 95.36 Cr in respect of the year ending 31st March, 2025 subject to the approval of shareholders at the Annual General Meeting.
- On 30th April, 2025, the Board of Directors of Kotak Mahindra Investments Limited have proposed a final dividend of ₹ 10 per share amounting to ₹ 56.2 Cr in respect of the year ending 31st March, 2025 subject to the approval of shareholders at the Annual General Meeting.
- On 30th April, 2025, the Board of Directors of Kotak Mahindra Prime Limited have proposed a final dividend of ₹ 90 per share amounting to ₹ 31.46 Cr in respect of the year ending 31st March, 2025 subject to the approval of shareholders at the Annual General Meeting.
- The financial statements of Indian subsidiaries (excluding insurance companies) and associates are prepared as per Indian Accounting Standards in accordance with the Companies (Indian Accounting Standards) Rules, 2015. For the purpose of preparation of the consolidated financial results, the results of subsidiaries and associates are in accordance with Generally Accepted Accounting Principles in India ("Indian GAAP") specified under Section 133 and relevant provision of Companies Act, 2013 and the guidelines issued by the RBI to the extent applicable.
- On 26th June, 2023, the Bank has incorporated "Kotak Karma Foundation" ("the Foundation") under Section 8 of the Companies Act, 2013, as a wholly owned subsidiary for setting up a Centre of Excellence (CoE) of the Bank for furtherance of part of its Corporate Social Responsibility (CSR) initiatives. Being a Section 8 Company and as per terms of articles, the Foundation would operate with restrictions to transfer funds to the parent, hence in accordance with the requirements of Accounting Standard 21 on "Consolidated Financial Statements", the Company shall be excluded from consolidation. The numbers mentioned above for this entity are unaudited.
- On 18th June, 2024, the Bank has completed the divestment of 70% stake in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI and continues to hold the remaining 30% of the share capital of KGI as at 31st March, 2025. Consequently to this sale, KGI ceases to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024.

PART "B" : ASSOCIATES

(₹ in crore)

Particulars	Infina Finance Private Limited	Phoenix ARC Private Limited	Zurich Kotak General Insurance Company (India) Limited ¹³ (Formerly known as Kotak Mahindra General Insurance Company Limited)
Latest Audited Balance Sheet date	31 st March, 2025	31 st March, 2025	31 st March, 2025
Shares of Associate held by the Group on the year end			
No. of Equity Shares	1,100,240	83,832,000	321,818,405
Amount of Investment in Associates	1.10	100.02	321.82
Extent of Holding %	49.99%	49.90%	30.00%
Description of how there is significance influence	Ownership of 20% or more of the voting power	Ownership of 20% or more of the voting power	Ownership of 20% or more of the voting power
Reason why the associate is not consolidated	Ownership of less than 50% of the voting power and no control over the Board	Ownership of less than 50% of the voting power and no control over the Board	Ownership of less than 50% of the voting power and no control over the Board
Networth attributable to Shareholding as per latest audited Balance Sheet	1,361.10	554.42	557.78
Profit for the year	187.65	183.80	(17.57)
i) Considered in the Consolidation	93.81	91.72	(5.27)
ii) Not considered in the Consolidation	93.84	92.08	(12.30)

For and on behalf of the Board of Directors

C S Rajan

Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani

Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Shanti Ekambaram

Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash

Director
DIN: 00494515
Mumbai
3rd May, 2025

Devang Gheewalla

Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Avan Doomasia

Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

Basel III (Pillar 3) Disclosures (Consolidated) as at 31st March, 2025

In accordance with the RBI guidelines, Banks are required to make consolidated Pillar 3 disclosures including leverage ratio, liquidity coverage ratio and Net Stable Funding Ratio (NSFR) under the Basel III Framework. These disclosures are available on the Bank's website at the following link: <https://www.kotak.com/en/investor-relations/financial-results/regulatory-disclosure.html>. These disclosures have not been subjected to audit.

Independent Auditor's Report

To the Members of Kotak Mahindra Bank Limited

REPORT ON THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

OPINION

1. We have audited the accompanying standalone financial statements of **Kotak Mahindra Bank Limited** (the 'Bank'), which comprise the Standalone Balance Sheet as at 31 March 2025, the Standalone Profit and Loss Account, and the Standalone Cash Flow Statement for the year ended 31 March 2025, and notes to the standalone financial statements including a summary of the significant accounting policies and other explanatory information (the 'Standalone Financial Statements').
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Banking Regulation Act, 1949 and Companies Act, 2013 (the 'Act') and the circulars, guidelines and directions issued by the Reserve Bank of India (the 'RBI') from time to time (the 'RBI guidelines'), in the manner so required for banking companies and give a true and fair view, in conformity with the Accounting Standards prescribed under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021 as applicable to banks and other accounting principles generally accepted in India, of the state of affairs of the Bank as at 31 March 2025 and its profit and its cash flows for the year ended 31 March 2025.

BASIS FOR OPINION

3. We conducted our audit in accordance with the Standards on Auditing ('SAs') specified under section 143(10) of the Act. Our responsibilities under those standards are further described in the 'Auditor's Responsibilities for the Audit of the Standalone Financial Statements' section of our report. We are independent of the Bank in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Standalone Financial Statements.

KEY AUDIT MATTERS

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current year. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.
5. We have determined the matters described below to be the key audit matters to be communicated in our report.

Identification of and Provisioning against Non-performing Assets ('NPAs'):

Total Loans and Advances (Net of Provision) as at March 31, 2025: ₹ 426,909.20 Crores

Provision for NPAs as at March 31, 2025: ₹ 4,790.41 Crores

Refer Schedule 9, Schedule 17(C)(2) and Schedule 18(A), note 11 and note 13

Key audit matter	How our audit addressed the key audit matter
The Bank is required to comply with the Master Circular issued by the Reserve Bank of India ('RBI') on 'Prudential Norms for Income Recognition, Asset Classification and Provisioning pertaining to Advances' (the 'IRAC norms') and amendments thereto ("RBI guidelines") which prescribes the norms for identification and classification of Non-performing Assets ('NPAs') and the minimum provision required for such assets. The Bank is also required to apply its judgement to determine the identification and provision required against NPAs considering various quantitative as well as qualitative factors.	Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provisioning pertaining to advances. In particular: • We have evaluated and understood the Bank's internal control system in adhering to the RBI guidelines; • We have analysed and understood key IT systems/ applications used and tested the design and implementation and operational effectiveness of relevant controls in relation to income recognition, asset classification, viz., standard, sub-standard, doubtful and loss with reference to RBI guidelines and provisioning pertaining to advances; and

Key audit matter	How our audit addressed the key audit matter
As the identification of and provisioning against NPAs requires considerable level of management estimation, application of various regulatory requirements and its significance to the overall audit due to stakeholder and regulatory focus, we have identified this as a key audit matter.	We test checked advances to examine the validity and accuracy of the recorded amounts, impairment provision for NPAs, and compliance with IRAC norms of RBI guidelines.

Information Technology ('IT') Systems and Controls impacting Financial Reporting

Key audit matter	How our audit addressed the key audit matter
As the Bank operates on core banking solution across its branches and asset centres, the reliability and security of Information technology ("IT") systems plays a key role in the business operations. Since large volume of transactions are processed daily, the IT controls are required to ensure that applications process data as expected and that changes are made in an appropriate manner. IT infrastructure is critical for smooth functioning and accurate accounting and financial reporting process. Due to the pervasive nature and complexity of the IT environment, we have ascertained key IT systems used in financial reporting process and its related controls as a key audit matter.	In assessing the controls over the IT systems of the Bank, we involved our technology specialists to understand the IT control environment, IT infrastructure and IT systems. We conducted an assessment and identified key IT systems that are critical for accounting and financial reporting process and are relevant for our audit and tested their internal controls. In particular: - We obtained an understanding of the Bank's IT control environment and key changes during the audit period that may be relevant to the audit; - We tested the design, implementation and operating effectiveness of the Bank's General IT controls over the key IT systems that are critical to accounting and financial reporting. This included evaluation of Bank's controls for user access management, program change management, database management, network operations, incident management and other IT operations performed by the Bank during the period of audit; - We tested key automated and manual business cycle controls and logic for system generated reports relevant to the audit; and - We also tested compensating controls and performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the financial statements.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREON

6. The Bank's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the standalone financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the Standalone Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

RESPONSIBILITIES OF MANAGEMENT AND BOARD OF DIRECTORS' FOR THE STANDALONE FINANCIAL STATEMENTS

7. The accompanying Standalone Financial Statements have been approved by the Bank's Board of Directors. The Bank's Board of Directors are responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance and cash flows of the Bank in accordance with the Accounting Standards specified under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021 as applicable to banks, and other accounting principles generally accepted in India, and provisions of Section 29 of the Banking Regulation Act, 1949 and the RBI guidelines. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act, the Banking Regulation Act, 1949 and the RBI guidelines for safeguarding of the assets of the Bank and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; selection of the appropriate accounting software for ensuring compliance with applicable laws and regulations including those related to retention of audit logs; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.
8. In preparing the Standalone Financial Statements, the Board of Directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.
9. The Board of Directors are also responsible for overseeing the Bank's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

10. Our objectives are to obtain reasonable assurance about whether the Standalone Financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.
11. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Bank has adequate internal financial controls with reference to Standalone Financial Statements in place and the operating effectiveness of such controls;
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management;
 - Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
 - Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Financial Statements.

12. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
13. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
14. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTER

The Standalone Financial Statements of the Bank for the year ended 31 March 2024, were jointly audited by M/s Price Waterhouse LLP and KKC & Associates LLP (formerly Khimji Kunverji & Co LLP) vide their report dated 4 May 2024, expressed an unmodified opinion on those Standalone Financial Statements. Accordingly, Deloitte Haskins & Sells does not express any opinion on the Standalone Financial Statements for the year ended 31 March 2024.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

15. In our opinion, the Balance Sheet and the Profit and Loss Account have been drawn up in accordance with the provisions of section 29 of the Banking Regulation Act, 1949 and section 133 of the Act and the relevant rules issued thereunder.
16. As required by sub-section (3) of section 30 of the Banking Regulation Act, 1949, we report that:
 - a) We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit and have found them to be satisfactory;
 - b) The transactions of the Bank, which have come to our notice during the course of our audit, have been within the powers of the Bank;
 - c) Since the key operations of the Bank are automated with the key applications integrated to the core banking system, the audit is carried out centrally as all the necessary records and data required for the purposes of our audit are available therein. We have visited 80 branches to examine the records maintained at the branches for the purpose of our audit.
17. In our opinion and to the best of our information and according to the explanations given to us, the provisions of Section 197 of the Act are not applicable to the Bank by virtue of Section 35B(2A) of the Banking Regulation Act, 1949. Accordingly, the reporting under Section 197(16) of the Act regarding payment/ provision for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act, is not applicable.
18. As required by section 143 (3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b) In our opinion, proper books of account as required by law have been kept by the Bank so far as it appears from our examination of those books;
 - c) The Standalone Balance Sheet, the Standalone Profit and Loss Account and the Standalone Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - d) In our opinion, the aforesaid Standalone Financial Statements comply with the Accounting Standards specified under section 133 of the Act read with relevant Rules issued thereunder, to the extent they are not inconsistent with the accounting policies prescribed by the RBI;
 - e) On the basis of the written representations received from the directors and taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2025 from being appointed as a director in terms of Section 164(2) of the Act;

- f) With respect to the adequacy of the internal financial controls with reference to Standalone Financial Statements of the Bank and the operating effectiveness of such controls, refer to our separate Report in Annexure A, wherein we have expressed an unmodified opinion; and
- g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:
- i. The Bank has disclosed the impact of pending litigations on its financial position as at the year end in its Standalone Financial Statements – Refer Schedule 12 (I), Schedule 17C – Note 13 and Schedule 18B Note 14 to the Standalone Financial Statements;
 - ii. The Bank has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Schedule 12 (II), 12 (Va) and 12 (Vb), Schedule 17C – Note 10, Note 11 and Note 13 and Schedule 18A – Note 9 and Note 10 to the Standalone Financial Statements;
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Bank, during the year ended 31 March 2025;
 - iv.
 - a. The management has represented that, to the best of its knowledge and belief, as disclosed in Schedule 18B – Note 16 to the Standalone Financial Statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Bank to or in any other person(s) or entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Bank ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;
 - b. The management has represented that, to the best of its knowledge and belief, as disclosed in Schedule 18B – Note 16 to the Standalone Financial Statements, no funds have been received by the Bank from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Bank shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
 - c. Based on such audit procedures performed, as considered reasonable and appropriate in the circumstances, nothing has come to our attention that causes us to believe that the management representations under sub-clauses (i) and (ii) of Rule 11(e), as provided under (a) and (b) above contain any material misstatement.
 - v. The dividend declared and paid during the year ended 31 March 2025 by the Bank is in compliance with Section 123 of the Act.
 - vi. Based on our examination, which included test checks, the Bank has used accounting softwares for maintaining its books of account for the financial year ended 31 March 2025 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the softwares. Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved as per as the statutory requirements for record retention, since enabled.

For Deloitte Haskins & Sells
Chartered Accountants
(Firm Registration No.: 117365W)

For KKC & Associates LLP
(formerly Khimji Kunverji & Co LLP)
Chartered Accountants
(Firm Registration No.: 105146W/W100621)

G. K. Subramaniam
Partner
Membership No.: 109839
UDIN: 25109839BMOFVC3420

Gautam Shah
Partner
Membership No.: 117348
UDIN: 25117348BMOBCH2344

Place: Mumbai
Date: 3 May 2025

Place: Mumbai
Date: 3 May 2025

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT ON THE STANDALONE FINANCIAL STATEMENTS OF KOTAK MAHINDRA BANK LIMITED FOR THE YEAR ENDED 31 MARCH 2025

REFERRED TO IN PARAGRAPH 18(f) UNDER 'REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS' SECTION OF OUR REPORT OF EVEN DATE

Independent Auditor's Report on the Internal Financial Controls with reference to the aforesaid Standalone Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the standalone financial statements of Kotak Mahindra Bank Limited ('the Bank') as at and for the year ended 31 March 2025, we have audited the internal financial controls with reference to standalone financial statements of the Bank as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The Bank's Board of Directors is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Bank considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ('the Guidance Note') issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of the Bank's business, including adherence to Bank's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act, the Banking Regulation Act, 1949 and the RBI guidelines.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to the Standalone Financial Statements

3. Our responsibility is to express an opinion on the Bank's internal financial controls with reference to the standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing ('SAs') issued by the ICAI and prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those SAs and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to the Standalone Financial Statements were established and maintained and if such controls operated effectively in all material respects.
4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the Standalone Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to the Standalone Financial Statements includes obtaining an understanding of internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Bank's internal financial controls with reference to the Standalone Financial Statements.

Meaning of Internal Financial Controls with Reference to the Standalone Financial Statements

6. A Bank's internal financial controls with reference to the Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Bank's internal financial controls with reference to the Standalone Financial Statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Bank; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of the standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Bank are being made only in accordance with authorisations of management and directors of the Bank; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Bank's assets that could have a material effect on the standalone financial statements.

Inherent Limitations of Internal Financial Controls with Reference to the Standalone Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to the Standalone Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to the Standalone Financial Statements to future periods are subject to the risk that the internal financial controls with reference to the standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Bank has, in all material respects, adequate internal financial controls with reference to the Standalone Financial Statements and such internal financial controls with reference to the standalone financial statements were operating effectively as at 31 March 2025 based on the internal control over financial reporting criteria established by the Bank considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **Deloitte Haskins & Sells**
Chartered Accountants
(Firm Registration No.: 117365W)

For **KKC & Associates LLP**
(formerly Khimji Kunverji & Co LLP)
Chartered Accountants
(Firm Registration No.:105146W/W100621)

G. K. Subramaniam
Partner
Membership No.: 109839
UDIN: 25109839BMOFVC3420

Gautam Shah
Partner
Membership No.: 117348
UDIN: 25117348BMOBCH2344

Place: Mumbai
Date: 3 May 2025

Place: Mumbai
Date: 3 May 2025

Standalone Balance Sheet

as at 31st March, 2025

(₹ in thousands)

	Schedule	As at 31 st March, 2025	As at 31 st March, 2024
CAPITAL AND LIABILITIES			
Capital	1	9,941,115	9,939,604
Employee's Stock Options (Grants) Outstanding		942,677	792,938
Reserves and Surplus	2	1,161,515,050	956,455,026
Deposits	3	4,990,551,352	4,489,537,451
Borrowings	4	484,427,559	283,680,956
Other Liabilities and Provisions	5	288,864,030	263,164,482
Total		6,936,241,783	6,003,570,457
ASSETS			
Cash and Balances with Reserve Bank of India	6	416,991,962	362,520,376
Balances with Banks and Money at Call and Short Notice	7	240,799,573	165,363,645
Investments	8	1,819,074,474	1,554,037,587
Advances	9	4,269,092,008	3,760,752,659
Fixed Assets	10	23,588,568	21,552,965
Other Assets	11	166,695,198	139,343,225
Total		6,936,241,783	6,003,570,457
Contingent Liabilities	12	11,078,556,722	7,172,811,816
Bills for Collection		526,908,188	474,677,060
Significant accounting policies and notes to accounts forming part of financial statements	17 & 18		

The schedules referred to above form an integral part of this Balance Sheet.

The Balance Sheet has been prepared in conformity with Form 'A' of the Third Schedule to the Banking Regulation Act, 1949.

As per our report of even date attached.

For and on behalf of the Board of Directors

For **KKC & Associates LLP**

Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

C S Rajan

Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani

Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Gautam Shah

Partner
Membership No. 117348
Mumbai
3rd May, 2025

Shanti Ekambaram

Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash

Director
DIN: 00494515
Mumbai
3rd May, 2025

For **Deloitte Haskins & Sells**

Chartered Accountants
Firm Registration No. 117365W

Devang Gheewalla

Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Avan Doomasia

Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

G. K. Subramaniam

Partner
Membership No.109839
Mumbai
3rd May, 2025

Standalone Profit and Loss Account

for the year ended 31st March, 2025

(₹ in thousands)

	Schedule	Year ended 31 st March, 2025	Year ended 31 st March, 2024
I. INCOME			
Interest Earned	13	529,197,287	457,989,110
Other Income	14	149,611,350	102,731,007
Total		678,808,637	560,720,117
II. EXPENDITURE			
Interest Expended	15	245,779,512	198,057,109
Operating Expenses	16	187,764,395	166,788,460
Provisions and Contingencies (Refer Note 10 -Schedule 18 B)		80,763,945	58,058,724
Total		514,307,852	422,904,293
III. PROFIT			
Net Profit for the year (I - II)		164,500,785	137,815,824
Add: Balance in Profit and Loss Account brought forward from previous year		451,030,223	377,600,930
Total		615,531,008	515,416,754
IV. APPROPRIATIONS			
Transfer to Statutory Reserve		41,125,200	34,454,000
Transfer to Capital Reserve		20,652,700	-
Transfer to Special Reserve u/s 36(1)(viii) of Income Tax Act, 1961		1,500,000	1,250,000
Transfer to Investment Reserve Account		-	8,316,321
Transfer to Investment Fluctuation Reserve Account		5,000,000	12,000,000
Transfer to Capital Redemption Reserve		-	5,000,000
Dividend		3,976,240	3,366,210
Balance carried over to Balance Sheet		543,276,868	451,030,223
Total		615,531,008	515,416,754
V. EARNINGS PER SHARE (Face value of ₹ 5/-) (Refer Note 1 - Schedule 18 B)			
Basic		82.74	69.15
Diluted		82.74	69.15
Significant accounting policies and notes to accounts forming part of financial statements	17 & 18		

The schedules referred to above form an integral part of this Profit and Loss Account.

The Profit and Loss Account has been prepared in conformity with Form 'B' of the Third Schedule to the Banking Regulation Act, 1949.

As per our report of even date attached.

For and on behalf of the Board of Directors

For **KKC & Associates LLP**
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
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FCS. No. 3430
Mumbai
3rd May, 2025

G. K. Subramaniam
Partner
Membership No. 109839
Mumbai
3rd May, 2025

Cash Flow Statement

for the year ended 31st March, 2025

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
CASH FLOW FROM OPERATING ACTIVITIES		
Profit after tax	164,500,785	137,815,824
Add: Provision for tax	51,340,332	42,321,343
Net Profit before taxes	215,841,117	180,137,167
Adjustments for :-		
Employee Stock Options Expense	208,821	254,406
Depreciation on Bank's Property	7,286,889	6,147,920
Profit on sale of investment in subsidiary (net)	(35,198,986)	-
Diminution in the value of Investments written off	936,479	792,218
Dividend from Subsidiaries / Joint Ventures	(3,799,953)	(3,089,012)
Amortization of premium/(discount) on investments	2,618,906	3,613,242
(Profit)/Loss on revaluation of Investments (net)	(5,251,975)	(14,817,762)
Provision for Non Performing Assets, Standard Assets and Other Provisions	28,487,134	14,945,163
Profit on sale of Fixed Assets	(419,152)	(30,256)
	210,709,280	187,953,086
Adjustments for :-		
Decrease/(Increase) in Investments (other than Subsidiaries, Joint Ventures, Associates and Other HTM Investments)	13,759,542	(354,952,676)
(Increase) in Advances	(534,102,440)	(577,005,271)
(Increase) / Decrease in Other Assets	(32,616,732)	3,559,820
Increase in Deposits	501,013,901	858,576,925
Increase in Other Liabilities and Provisions	16,115,405	67,027,511
Sub-total	(35,830,324)	(2,793,691)
Direct Taxes Paid	(46,823,561)	(46,151,531)
NET CASH FLOW FROM / (USED IN) OPERATING ACTIVITIES (A)	128,055,395	139,007,864
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Fixed Assets	(9,379,290)	(8,847,258)
Sale of Fixed Assets	575,009	277,290
Proceeds from sale of Investment in Subsidiaries (net)	40,730,802	-
Investments in Subsidiaries / Joint Ventures	-	(7,331,239)
(Increase)/Decrease in Investments in HTM securities	(231,288,536)	33,027,233
Dividend from Subsidiaries / Joint Ventures	3,799,953	3,089,012
NET CASH FLOW (USED IN)/FROM INVESTING ACTIVITIES (B)	(195,562,062)	20,215,038

Cash Flow Statement

for the year ended 31st March, 2025

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
CASH FLOW FROM FINANCING ACTIVITIES		
(Decrease)/Increase in Refinance	(95,083,500)	40,751,200
Increase in Borrowings [other than Refinance]	295,830,103	8,767,072
Money received on exercise of Stock Options	464,007	1,992,348
Redemption of Perpetual Non Cumulative Preference Shares	-	(5,000,000)
Dividend paid	(3,976,240)	(3,366,210)
NET CASH FLOW FROM / (USED IN) FINANCING ACTIVITIES (C)	197,234,370	43,144,410
Increase in Foreign Currency Translation Reserve (D)	179,811	93,631
NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS (A + B + C + D)	129,907,514	202,460,943
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR (Refer Note below)	527,884,021	325,423,078
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR (Refer Note below)	657,791,535	527,884,021
Note:		
Balance with Banks in India in Fixed Deposit (As per Sch 7 I (i) (b))	11,733	11,733
Balance with Banks in India in Current Account (As per Sch 7 I (i) (a))	4,110,791	3,266,665
Money at Call and Short Notice in India (as per Sch 7 I (ii))	59,037,880	114,806,705
Cash in hand (including foreign currency notes) (As per Sch 6 I.)	16,933,258	19,910,301
Balance with RBI in Current Account (As per Sch 6 II (a))	197,788,704	192,100,075
Balance with RBI in other account (As per Sch 6 II (b))	202,270,000	150,510,000
Balance with Banks Outside India:		
(i) In Current Account (As per Sch 7 II (i))	60,980,325	27,895,220
(ii) In other Deposit Accounts (As per Sch 7 II (ii))	116,658,844	19,383,322
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	657,791,535	527,884,021

Refer Note 12 of Schedule 18B for amount of CSR expenses spent during the year in cash

As per our report of even date attached.

For and on behalf of the Board of Directors

For KKC & Associates LLP
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Ashok Vaswani
Managing Director and
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DIN: 10227550
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3rd May, 2025

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

For Deloitte Haskins & Sells
Chartered Accountants
Firm Registration No. 117365W

Devang Gheewalla
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Mumbai
3rd May, 2025

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Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

G. K. Subramaniam
Partner
Membership No. 109839
Mumbai
3rd May, 2025

Schedules

Forming Part of Standalone Balance Sheet as at 31st March, 2025

SCHEDULE 1 - CAPITAL

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
Authorised Capital		
2,800,000,000 Equity Shares of ₹5/- each		
2,800,000,000 (31 st March, 2024: 2,800,000,000 Equity Shares of ₹5/- each)	14,000,000	14,000,000
1,000,000,000 (31 st March, 2024: 1,000,000,000) Perpetual Non Cumulative Preference Shares of ₹5/- each	5,000,000	5,000,000
	19,000,000	19,000,000
Issued, Subscribed and Paid-up Capital		
1,988,222,993 (31 st March, 2024: 1,987,920,898) Equity Shares of ₹5/- each fully paid-up	9,941,115	9,939,604
Total	9,941,115	9,939,604

SCHEDULE 2 - RESERVES AND SURPLUS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Statutory Reserve		
Opening Balance	182,771,983	148,317,983
Add: Transfer from Profit and Loss Account	41,125,200	34,454,000
Total	223,897,183	182,771,983
II. Capital Reserve		
Opening Balance	3,531,886	3,531,886
Add: Transfer from Profit and Loss Account	20,652,700	-
Total	24,184,586	3,531,886
III. General Reserve		
Opening Balance	6,495,020	6,425,304
Add: Increase during the year (Refer Note 8 - Schedule 18 A)	1,004,982	-
Add: Amount transferred on Employee's Stock Options (Grant) Outstanding lapsed	156,983	69,716
Add: Transfer from Investment Reserve Account	8,316,321	-
Total	15,973,306	6,495,020
IV. Investment Reserve Account		
Opening Balance	8,316,321	-
Add: Transfer from Profit and Loss Account	-	8,316,321
Less: Transfer to General Reserve	8,316,321	-
Total	-	8,316,321
V. Special Reserve u/s 36(1)(viii) of Income Tax Act, 1961		
Opening Balance	10,192,000	8,942,000
Add: Transfer from Profit and Loss Account	1,500,000	1,250,000
Total	11,692,000	10,192,000
VI. Securities Premium Account		
Opening Balance	252,014,738	249,839,331
Add: Received during the year	519,367	2,175,407
Total	252,534,105	252,014,738
VII. Capital Redemption Reserve		
Opening Balance	5,000,000	-
Add: Transfer from Profit and Loss Account	-	5,000,000
Total	5,000,000	5,000,000

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
VIII. Amalgamation Reserve		
Opening Balance	1,224,046	1,224,046
Add: Additions	-	-
Total	1,224,046	1,224,046
IX. Investment Allowance (Utilised) Reserve		
Opening Balance	500	500
Add: Transfer from Profit and Loss Account	-	-
Total	500	500
X. Investment Fluctuation Reserve		
Opening Balance	35,000,000	23,000,000
Add: Transfer from Profit and Loss Account	5,000,000	12,000,000
Total	40,000,000	35,000,000
XI. Foreign Currency Translation Reserve		
Opening Balance	878,309	784,678
Add: Increase during the year	179,811	93,631
Total	1,058,120	878,309
XII. Available for Sale Reserve*		
Opening Balance	-	-
Add: Increase during the year (Refer Note 8 - Schedule 18 A)	42,674,336	-
Total	42,674,336	-
* - on revaluation of Available for Sale category of investments.		
XIII. Balance in the Profit and Loss Account		
Balance in the Profit and Loss Account	543,276,868	451,030,223
Total	543,276,868	451,030,223
Total (I to XIII)	1,161,515,050	956,455,026

SCHEDULE 3 - DEPOSITS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A I. Demand Deposits		
i. From Banks	4,098,529	3,068,958
ii. From Others	824,507,709	749,013,968
Total	828,606,238	752,082,926
II. Savings Bank Deposits	1,315,552,776	1,290,951,628
III. Term Deposits		
i. From Banks	66,919,525	96,581,087
ii. From Others	2,779,472,813	2,349,921,810
Total	2,846,392,338	2,446,502,897
Total Deposits** (I to III)	4,990,551,352	4,489,537,451
B. (i) Deposits of branches in India	4,964,576,283	4,461,142,550
(ii) Deposits of branches outside India	25,975,069	28,394,901
Total (i and ii)	4,990,551,352	4,489,537,451

** - Amount of deposits against which lien is marked in Total Deposits is ₹ 29,875.41 crore (previous year ₹ 27,061.11 crore)

SCHEDULE 4 - BORROWINGS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Borrowings in India		
(i) Reserve Bank of India	108,710,000	-
(ii) Other Banks	1,000,000	-
(iii) Other Institutions and Agencies	303,070,312	209,701,800
Total	412,780,312	209,701,800
II. Borrowings outside India		
Banks and Other Institutions	71,647,247	73,979,156
Total	71,647,247	73,979,156
Total Borrowings (I and II)	484,427,559	283,680,956
Secured Borrowings other than CBLO and Repo Borrowings included in I above	-	-
Tier II Bonds included in I (iii) above	-	-
Tier II Bonds included in II above	-	-

SCHEDULE 5 - OTHER LIABILITIES AND PROVISIONS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Bills Payable	36,395,992	36,051,339
II. Interest Accrued	26,192,343	22,336,906
III. Provision for tax (net of advance tax and tax deducted at source)	5,440,624	-
IV. Standard Asset provision	19,547,808	16,256,473
V. Derivative Liabilities	68,756,548	28,766,319
VI. Others (including provisions) (Refer Note 50 - Schedule 18 A and Note 4, Note 11 - Schedule 18 B)	132,530,715	159,753,445
Total	288,864,030	263,164,482

SCHEDULE 6 - CASH AND BALANCES WITH RESERVE BANK OF INDIA

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Cash in hand (including foreign currency notes)	16,933,258	19,910,301
Total	16,933,258	19,910,301
II. Balances with RBI		
(a) In Current Account	197,788,704	192,100,075
(b) In Other Deposit Account	202,270,000	150,510,000
Total	400,058,704	342,610,075
Total (I+II)	416,991,962	362,520,376

SCHEDULE 7 - BALANCES WITH BANKS AND MONEY AT CALL AND SHORT NOTICE

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. In India		
(i) Balances with Banks		
(a) In Current Accounts	4,110,791	3,266,665
(b) In Other Deposit Accounts	11,733	11,733
Total	4,122,524	3,278,398
(ii) Money at Call and Short Notice		
(a) With Banks	-	-
(b) With Other Institutions	59,037,880	114,806,705
Total	59,037,880	114,806,705
Total (i and ii)	63,160,404	118,085,103
II. Outside India		
(i) In Current Accounts	60,980,325	27,895,220
(ii) In other Deposit Accounts	116,658,844	19,383,322
(iii) Money at call and short notice	-	-
Total (i, ii and iii)	177,639,169	47,278,542
Total (I and II)	240,799,573	165,363,645

SCHEDULE 8 - INVESTMENTS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. In India		
(i) Government Securities	1,322,146,783	1,133,950,690
(ii) Other Approved Securities	-	-
(iii) Shares	63,061,980	12,245,800
(iv) Debentures and Bonds	103,220,087	168,493,691
(v) Subsidiaries and Joint Ventures	33,488,317	39,020,133
(vi) Others [Units, Certificate of Deposits (CD), Commercial Paper (CP), Security Receipts, Pass Through Certificates(PTC), Alternate Assets Funds]	289,209,119	183,138,405
Total	1,811,126,286	1,536,848,719
II. Outside India		
(i) Government Securities	2,438,954	2,777,753
(ii) Subsidiaries and Joint Ventures	383,242	383,242
(iii) Other Investments		
(a) Shares	203,826	18,040
(b) Debentures and Bonds	4,922,166	14,009,833
Total	7,948,188	17,188,868
Total Investments (I and II) (Refer Note 8 - Schedule 18 A)	1,819,074,474	1,554,037,587

SCHEDULE 9 - ADVANCES

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A. (i) Bills purchased and discounted [#]	55,296,796	75,847,475
(ii) Cash credits, overdrafts and loans repayable on demand [^]	1,415,569,469	1,204,741,113
(iii) Term loans [@]	2,798,225,743	2,480,164,071
Total	4,269,092,008	3,760,752,659
[#] Bills purchased and discounted is net of Bills Rediscounted ₹ 2,760.15 crore (Previous Year ₹ 2,723.66 crore)		
[^] net of borrowings under Inter Bank Participatory certificates of ₹ Nil crore (Previous Year ₹ 2.54 crore)		
[@] net of borrowings under Inter Bank Participatory certificates of ₹ 14,996.90 crore (Previous Year ₹ 12,927.26 crore)		
B. (i) Secured by tangible assets [*]	3,363,649,519	2,851,501,397
(ii) Covered by Bank / Government guarantees	15,076,508	33,513,741
(iii) Unsecured	890,365,981	875,737,521
Total	4,269,092,008	3,760,752,659
[*] including advances against book debts.		
C.I. Advances in India		
(i) Priority Sector	1,948,052,268	1,677,430,941
(ii) Public Sector	24,545,864	23,509,188
(iii) Banks	8,718	13,650,218
(iv) Others	2,215,260,209	1,985,655,735
Total	4,187,867,059	3,700,246,082
C.II. Advances outside India		
(i) Due from banks	-	-
(ii) Due from others		
a) Bills purchased and discounted	-	-
b) Syndicated and term loans	81,224,949	60,506,577
c) Others	-	-
Total	81,224,949	60,506,577
Grand Total (C.I. and C.II.)	4,269,092,008	3,760,752,659

SCHEDULE 10 - FIXED ASSETS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
A. Premises (Including Land)		
Gross Block		
At cost on 31 st March of the preceding year	10,579,397	10,577,170
Additions	-	2,240
Less: Deductions during the year	130,800	13
Total	10,448,597	10,579,397
Depreciation		
As at 31 st March of the preceding year	2,538,936	2,364,590
Add: Charge	172,808	174,346
Less: Deductions during the year	55,830	-
Depreciation to date	2,655,914	2,538,936
Net Block	7,792,683	8,040,461
B. Other Fixed Assets (including furniture and fixtures)		
Gross Block		
At cost on 31 st March of the preceding year	40,422,957	32,549,618
Additions	9,478,349	8,742,449
Less: Deductions during the year	712,439	869,110
Total	49,188,867	40,422,957

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
Depreciation		
As at 31 st March of the preceding year	26,910,453	21,715,950
Add: Charge	7,114,081	5,973,574
Less: Deductions during the year	631,552	779,071
Depreciation to date	33,392,982	26,910,453
Net Block (Refer Note 6 - Schedule 18 B)	15,795,885	13,512,504
C. Leased Fixed Assets		
Gross Block		
At cost on 31 st March of the preceding year	-	1,540,585
Additions	-	-
Less: Deductions during the year	-	1,540,585
Total	-	-
Depreciation		
As at 31 st March of the preceding year	-	1,383,601
Add: Charge	-	-
Less: Deductions during the year	-	1,383,601
Depreciation to date	-	-
Net Block	-	-
Total (A) +(B)+(C)	23,588,568	21,552,965

SCHEDULE 11 - OTHER ASSETS

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Interest accrued	51,618,145	44,126,279
II. Advance tax (net of provision for tax)	-	1,938,700
III. Stationery and Stamps	54,674	14,768
IV. Derivative Assets	65,670,446	28,603,608
V. Others (Refer Note 50 - Schedule 18 A and Note 4 - Schedule 18 B)***	49,351,933	64,659,870
Total	166,695,198	139,343,225

***Includes deposits placed with NABARD/SIDBI ₹ 2,050.97 crore (Previous year ₹ 3,253.85 crore).

SCHEDULE 12 - CONTINGENT LIABILITIES

(₹ in thousands)

	As at 31 st March, 2025	As at 31 st March, 2024
I. Claims not acknowledged as debts	4,940,177	55,37,058
II. Liability on account of outstanding Forward Exchange Contracts	8,741,277,097	5,019,139,271
III. Guarantees on behalf of Constituents		
i) In India	388,111,013	319,446,355
ii) Outside India	6,864,592	-
IV. Acceptances, Endorsements and other obligations	251,647,280	266,940,082
V. Other Items for which the Bank is contingently liable :		
a. Liability in respect of interest rate and currency swaps and forward rate agreements	1,576,011,249	1,432,586,428
b. Liability in respect of Options Contracts	97,593,396	116,319,586
c. Capital commitments not provided	6,686,779	8,723,033
d. Unclaimed Customer balances transferred to RBI DEAF Scheme	5,425,139	4,120,003
Total	11,078,556,722	7,172,811,816

Schedules

forming part of Standalone Profit and Loss Account for the year ended 31st March, 2025

SCHEDULE 13 - INTEREST EARNED

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
I. Interest / discount on Advances / Bills	407,461,668	356,579,938
II. Income on Investments	108,288,959	88,980,830
III. Interest on balances with RBI and other inter-bank funds	8,945,312	7,793,843
IV. Others	4,501,348	4,634,499
Total	529,197,287	457,989,110

SCHEDULE 14 - OTHER INCOME

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
I. Commission, exchange and brokerage	79,442,638	70,485,388
II. Profit / (Loss) on sale of Investments (net) (Refer Note 17 - Schedule 18 B)	39,793,534	(5,597,936)
III. Profit / (Loss) on revaluation of Investments (net)	5,251,975	14,817,762
IV. Profit / (Loss) on sale of building and other assets (net)	419,152	30,256
V. Profit on exchange transactions (net) (including derivatives)	14,277,936	14,032,659
VI. Income earned by way of dividend, etc. from Subsidiaries / Associates and / or Joint Venture in / outside India	5,243,769	4,560,996
VII. Profit on recoveries of non-performing assets acquired	3,918,918	3,031,033
VIII. Miscellaneous Income (Refer Note 50 - Schedule 18 A)	1,263,428	1,370,849
Total	149,611,350	102,731,007

SCHEDULE 15 - INTEREST EXPENDED

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
I. Interest on Deposits	226,158,140	183,267,206
II. Interest on RBI / Inter-Bank Borrowings	6,762,204	3,666,491
III. Others	12,859,168	11,123,412
Total	245,779,512	198,057,109

SCHEDULE 16 - OPERATING EXPENSES

(₹ in thousands)

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
I. Payments to and provision for employees (Refer Note 9 - Schedule 18 B)	79,183,467	68,926,322
II. Rent, taxes and lighting (Refer Note 3 - Schedule 18 B)	10,354,449	8,336,698
III. Printing and Stationery	1,359,504	1,944,074
IV. Advertisement, Publicity and Promotion	10,090,130	9,709,109
V. Depreciation on Bank's property	7,286,889	6,147,920
VI. Directors' fees, allowances and expenses ^{&}	57,425	57,440
VII. Auditors' fees and expenses (Refer Note 13 - Schedule 18 B)	53,051	41,619
VIII. Law Charges	239,106	317,976
IX. Postage, telephone etc.	4,689,303	4,178,355
X. Repairs and maintenance	13,455,398	11,026,629
XI. Insurance	5,534,484	4,688,982
XII. Other Expenditure (Refer Note 50 - Schedule 18 A and Note 12 - Schedule 18 B)	56,023,014	51,946,459
	188,326,220	167,321,583
Less: Reimbursement of Costs from Group Companies	561,825	533,123
Total	187,764,395	166,788,460

& - Pertains to non-executive directors remuneration.

SCHEDULE 17 – SIGNIFICANT ACCOUNTING POLICIES**A BACKGROUND**

In February 2003, Kotak Mahindra Finance Limited was given a license to carry out banking business by the Reserve Bank of India (“RBI”). It was the first Non Banking Finance Company (NBFC) in India to be converted into a Bank. Kotak Mahindra Bank Limited (“Kotak Mahindra Bank”, “Kotak” or “the Bank”) provides a full suite of banking services to its customers encompassing Consumer Banking, Commercial Banking, Treasury and Corporate Banking in India and also has a representative office in Dubai. The Bank set up and commenced operations in May 2016, at its International Financial Services Center Banking Unit (“IBU”) in Gujarat International Finance Tec (GIFT) City, Gujarat. The Bank has commenced operations in October 2019 at its first overseas branch at the Dubai International Financial Centre (“DIFC”), Dubai, UAE.

B BASIS OF PREPARATION

The financial statements have been prepared in accordance with statutory requirements prescribed under the Banking Regulation Act, 1949. The accounting and reporting policies of Kotak Mahindra Bank used in the preparation of these financial statements is the accrual method of accounting and historical cost convention unless stated otherwise and it conforms with Generally Accepted Accounting Principles in India (“Indian GAAP”), the Accounting Standards specified under section 133 and the relevant provision of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021 in so far as they apply to banks and the guidelines issued by RBI.

Use of estimates

The preparation of financial statements requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) as of the date of the financial statements and the reported income and expenses during the reporting period. The Bank’s Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Actual results could differ from these estimates. Any revision to the accounting estimates is recognised prospectively in the current and future periods.

C SIGNIFICANT ACCOUNTING POLICIES**1 Investments****Policies applicable for the year ended 31st March, 2025:****Classification:**

In accordance with Reserve Bank of India (‘RBI’) Master Direction - Classification, Valuation and Operation of Investment Portfolio of Commercial Banks (Directions), 2023 (‘RBI Directions’) issued on 12 September 2023, the Bank classifies its entire investment portfolio (except investments in their own subsidiaries, joint ventures and associates) under three categories, viz., Held to Maturity (‘HTM’), Available for Sale (‘AFS’) and Fair Value through Profit and Loss (‘FVTPL’). Held for Trading (‘HFT’) is a separate investment sub-category within FVTPL.

Under each of these categories, investments are further classified under six groups – Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investments in Subsidiaries / Joint Ventures, and Other Investments for the purposes of disclosure in the Balance Sheet.

The Bank follows ‘Settlement Date’ accounting for recording purchase and sale transactions in securities, except in the case of equity shares where ‘Trade Date’ accounting is followed.

Basis of classification

The Bank classifies its investments as subsequently measured into the above categories based on the business model for managing the investments and the contractual cash flow characteristics of the investments.

Business model assessment

The Bank makes an assessment of the objective of a business model in which an investment is held such that it best reflects the way the business is managed and is consistent with information provided to management. The information considered includes:

- The objectives for the portfolio, in particular, management’s strategy of focusing on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the investments to the duration of the liabilities that are funding those investments or realising cash flows through the sale of the investments;
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank’s stated objective for managing the investments is achieved and how cash flows are realised; and
- The risks that affect the performance of the business model, the investments held within that business model and how those risks are managed.

Assessment whether contractual cashflows are solely payments of principal and interest

For the purposes of this assessment, ‘principal’ is defined as the fair value of the investment on initial recognition. ‘Interest’ is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- Reset terms;
- Contingent events that would change the amount and timing of cash flows;
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Bank’s claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- Features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

Investments at HTM

An investment is classified at HTM only if both of the following conditions are met:

- It is held with the objective to collect the contractual cash flows; and
- The contractual terms of the investment give rise to cash flows that are Solely Payments of Principal and Interest (‘SPPI’ criterion) on principal outstanding on the specified dates.

Investments at AFS

An investment is classified at AFS only if both of the following conditions are met:

- It is acquired with an objective that is achieved by both collecting contractual cash flows and selling investment; and
- The contractual terms of the investment meet SPPI criteria.

For equity instruments not held with the objective of trading, the Bank has an option on initial recognition to classify such instruments under AFS. The Bank makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

Investments at FVTPL

Any investment, which does not meet the criteria for categorization as at HTM or as AFS, is classified at FVTPL.

Investments at HFT

HFT is a separate investment sub-category within FVTPL consisting of instruments that meet the specifications for HFT instruments or are held with the intention of trading or short-term gains is classified under HFT as set out in the RBI Circular dated 12th September, 2023.

Investments in Subsidiaries, Associates and Joint Ventures

All investments in subsidiaries, associates and joint ventures are held in a distinct category for such investments separate from the other investment categories (viz. HTM, AFS and FVTPL).

Acquisition Cost:

The cost of investments is determined on “first-in, first-out” (‘FIFO’) basis. Broken period interest paid to seller is not capitalized but treated as an item of expenditure under Profit and Loss Account in respect of investment in securities. The transaction costs including brokerage, commission, etc. paid at the time of acquisition of investments is recognised in Profit and Loss Account.

Disposal of investments:

Investments classified as AFS

- **Debt instruments:** Upon sale or maturity, the accumulated gain/ loss in the AFS Reserve is transferred from the AFS Reserve and recognized in the Profit and Loss Account.
- **Equity instruments:** Any gain or loss on sale is transferred from AFS Reserve to the Capital Reserve.

Investments classified as FVTPL/ HFT

Any gain or loss on sale of investments is recognised in the Profit and Loss Account.

Investments in subsidiaries, associates and joint ventures

Profit or loss on sale of investments is recognised in the Profit and Loss Account and profit, if any, is appropriated to the Capital Reserve Account after adjustments for tax and transfer to Statutory Reserve.

Investments classified as HTM

Profit on sale or redemption of investments is recognised in the Profit and Loss Account and profit if any, on sale is appropriated to Capital Reserve after adjustments for tax and transfer to Statutory Reserve. Loss on sale or redemption is recognised in the Profit and Loss Account.

Short Sale:

The Bank undertakes short sale transactions in Central Government dated securities in accordance with RBI guidelines. The short position is categorised under HFT category and netted off from Investments in the Balance Sheet. The short position is marked to market and loss, if any, is charged to the Profit and Loss Account while gain, if any, is ignored. Gain or loss on settlement of the short position is recognised in the Profit and Loss Account.

Valuation:

The valuation of investments is performed in accordance with the RBI guidelines as follows:

- a) **Investments classified as HTM** – These are carried at cost and not Marked-to-Market ('MTM') after initial recognition. Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument using by straight-line method ('SLM'). The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account.
- b) **Investments classified as AFS** – These are fair valued on a quarterly basis. The valuation gains and losses are aggregated, and the net appreciation or depreciation directly gets credited or debited to AFS reserve (net of effect of applicable taxes). Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument by using straight-line method ('SLM'). The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account.
- c) **Investments classified as FVTPL/HFT** - These are fair valued and the net gain or loss arising on such valuation is directly credited/debited to the Profit and Loss Account. Securities that are classified under the HFT sub-category within FVTPL are fair valued on daily basis, whereas other securities in FVTPL are fair valued on a quarterly basis. Any discount or premium on acquisition of debt instruments is amortized over the remaining life of the instrument using straight-line method ('SLM'). The discount or premium amortized is reflected as a part of interest earned in the Profit and loss Account.
- d) **Investments in subsidiaries, associates and joint ventures** - All investments in subsidiaries, associates and joint ventures are held at acquisition cost. Any discount or premium on the acquisition of debt instruments of subsidiaries and associates are amortised over the remaining life of the instrument using straight-line method ('SLM'). The discount or premium amortized is reflected as a part of interest earned in the Profit and Loss Account. The Bank assesses these investments for impairment and provides for the same, in accordance with RBI Directions.
- e) The fair value of the quoted securities are the prices declared by the Financial Benchmarks India Private Limited ('FBIL'). For securities whose prices are not published by FBIL, the fair value of the quoted securities is based upon quoted price as available from the trades/ quotes on recognised stock exchanges, reporting platforms or trading platforms authorised by RBI or Securities and Exchange Board of India ('SEBI') or prices declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA').
- f) Non INR India linked bonds and debentures are valued at prices published by counterparty quotes.
- g) Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost.
- h) Market value of units of mutual funds is based on the latest net asset value declared by the mutual fund.
- i) Market value of investments where current quotations are not available are determined as per the norms prescribed by the RBI as under:
 - In case of unquoted bonds, debentures, Pass Through Certificates (PTCs) and preference shares where interest / dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to Maturity for Government

Securities as published by FIMMDA / FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit rating along with residual maturity issued by FIMMDA / FBIL is adopted for this purpose;

- Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the Company's latest balance sheet which shall not precede the date of valuation by more than 18 months. In case the latest Balance Sheet is not available, the shares are valued at ₹ 1 per investee company;
 - Security receipts are valued as per the Net Asset Value (NAV) obtained from the issuing Asset Reconstruction Company or Securitisation Company or estimated recovery whichever is lower.
 - Units of Alternate Investment Funds (AIF) are valued at the NAV published by the AIFs. If AIF fails to carry out and disclose valuation of its investments by an independent valuer as per the frequency mandated by the SEBI regulations, the value of units shall be treated as ₹ 1. If the AIF is not registered under the applicable SEBI regulations and the latest disclosed valuation of its investments by an independent valuer is not available for a period beyond 18 months, the investment shall be valued at ₹ 1 per unit. Further, the Bank provides for investments in Alternate Investments Funds (AIFs) in line with RBI circular dated 19th December, 2023 and 27th March, 2024.
- j) Non-performing investments (NPIs) are identified and depreciation / provision are made thereon based on RBI guidelines. Subsequent, MTM gains on NPIs are ignored. NPIs are segregated from rest of the portfolio and are not considered for netting valuation gains and losses. Interest on non-performing investments is not recognized in the Profit & Loss Account until received. The Bank classifies Security Receipts whose tenure has exceeded 8 years, as NPI.
- k) **Repurchase and reverse repurchase transactions** - Securities sold under agreements to repurchase (Repos) and securities purchased under agreements to resell (Reverse Repos) are accounted as collateralised borrowing and lending transactions respectively. The difference between the consideration amount of the first leg and the second leg of the repo is recognised as interest income or interest expense over the period of the transaction.

Day 1 gain/ loss on initial recognition

All investments are measured at fair value on initial recognition.

Unless facts and circumstances suggest that the fair value is materially different from the acquisition cost, it is presumed that the acquisition cost is the fair value. Situations where the presumption is tested include:

- The transaction is between related parties.
- The transaction is done outside the principal market for that class of securities.
- The transaction is taking place under duress where one party is forced to accept the price in the transaction.

The Bank does not expect day 1 gain/ loss in case of investments which are executed through trading platforms like Recognized Stock Exchange or through online investment platforms whereby the prices are determined in an orderly transaction between market participants on the measurement date. Day 1 gain/ loss is tested when transactions are conducted outside the principal market or transactions are done with related parties.

Where the securities are quoted or the fair value can be determined based on market observable inputs (such as yield curve, spread, etc.) any day 1 gain/ loss is recognised in the Profit and Loss Account.

Any day 1 loss arising from Level 3 investments is recognised immediately in the Profit and Loss Account.

Any day 1 gains arising from Level 3 investments is deferred. In the case of debt instruments, the day 1 gain is amortized on a straight-line basis up to the maturity date, while for unquoted equity instruments, the gain is set aside as a liability until the security is listed or derecognised.

Fair Value Hierarchy:

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date.

The management uses its judgment in selecting an appropriate valuation technique for financial instruments not quoted in an active market. Valuation techniques commonly used by market participants are applied.

When measuring the fair value of an asset or a liability, the Bank uses observable market data as far as possible.

Fair values are categorized into different levels (Level 1, Level 2, or Level 3) in a fair value hierarchy based on the inputs used in the valuation techniques. The levels are described as follows:

Level 1: The inputs used for valuation of financial instruments are quoted prices (unadjusted) in active markets for identical instruments that the Bank can access at the measurement date.

Level 2: The valuation of financial instruments is based on inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly.

Level 3: The valuation of financial instruments is based on unobservable inputs i.e. not based on observable market data.

Transition date accounting as on 1st April, 2024

In line with the RBI Circular dated 12th September, 2023, the fair value as on 31st March, 2024 is the revised carrying value of investments. Further, the difference between the fair value as on 31st March, 2024 and previous carrying value has been adjusted in the Revenue/ General Reserve except that in case of Equity shares in AFS book, the same is adjusted to the AFS Reserve (Refer Note 8 – Schedule 18 A).

Policies applicable for the year ended 31st March, 2024:

Classification:

In accordance with the RBI guidelines on investment classification and valuation, investments are classified on the date of purchase into “Held for Trading” (‘HFT’), “Available for Sale” (‘AFS’) and “Held to Maturity” (‘HTM’) categories (hereinafter called “categories”). Subsequent shifting amongst the categories is done in accordance with the RBI guidelines at the lower of the acquisition cost or carrying value and market value on the date of the transfer, and depreciation, if any, on such transfer is fully provided.

Under each of these categories, investments are further classified under six groups (hereinafter called “group/groups”) - Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investments in Subsidiaries / Joint Ventures and Other Investments for the purposes of disclosure in the Balance Sheet.

The Bank follows ‘Settlement Date’ accounting for recording purchase and sale transactions in securities, except in the case of equity shares where ‘Trade Date’ accounting is followed.

Basis of classification:

Investments that are held principally for resale within 90 days from the date of purchase are classified under HFT category. As per the RBI guidelines, HFT securities, which remain unsold for a period of 90 days are reclassified as AFS securities as on that date. Investments which the Bank intends to hold till maturity are classified as HTM securities. The Bank has classified investments in subsidiaries, joint ventures and associates under HTM category. Investments which are not classified in either of the above two categories are classified under AFS category.

Acquisition Cost:

The cost of investments is determined on weighted average basis. Broken period interest on debt instruments and government securities are considered as a revenue item. The transaction costs including brokerage, commission, etc. paid at the time of acquisition of investments is recognised in Profit and Loss Account.

Disposal of investments:

- **Investments classified as HFT or AFS** - Profit or loss on sale or redemption is recognised in the Profit and Loss Account.
- **Investments classified as HTM** - Profit on sale or redemption of investments is recognised in the Profit and Loss Account and is appropriated to Capital Reserve after adjustments for tax and transfer to Statutory Reserve. Loss on sale or redemption is recognised in the Profit and Loss Account.

Short Sale:

The Bank undertakes short sale transactions in Central Government dated securities in accordance with RBI guidelines. The short position is categorised under HFT category and netted off from Investments in the Balance Sheet. The short position is marked to market and loss, if any, is charged to the Profit and Loss Account while gain, if any, is ignored. Gain or loss on settlement of the short position is recognised in the Profit and Loss Account.

Valuation:

The valuation of investments is performed in accordance with the RBI guidelines as follows:

- a) **Investments classified as HTM** – These are carried at their acquisition cost. Any premium on acquisition of debt instruments / government securities is amortised over the balance maturity of the security on a straight line basis. Any diminution, other than temporary, in the value of such securities is provided.
- b) **Investments classified as HFT or AFS** – Investments in these categories are marked to market and the net depreciation, if any, within each group is recognised in the Profit and Loss Account. Net appreciation, if any, is ignored. Further, provision other than temporary diminution is made at individual security level. Except in cases where provision other than temporary diminution is made, the book value of the individual securities is not changed as a result of periodic valuations.
- c) The market or fair value of quoted investments included in the 'AFS' and 'HFT' categories is measured with respect to the market price of the scrip as available from the trades or quotes on the stock exchanges, SGL account transactions, price list of RBI or prices declared on Fixed Income Money Market and Derivatives Association of India ('FIMMDA') website by Financial Benchmark India Private Limited (FBIL) as at the year end.
- d) Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost.
- e) Market value of units of mutual funds is based on the latest net asset value declared by the mutual fund.
- f) Investments in subsidiaries / joint ventures (as defined by RBI) are categorised as HTM and assessed for impairment to determine other than temporary diminution, if any, in accordance with RBI guidelines.
- g) Market value of investments where current quotations are not available are determined as per the norms prescribed by the RBI as under:
 - In case of unquoted bonds, debentures and preference shares where interest / dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to Maturity for Government Securities as published by FIMMDA / FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit rating along with residual maturity issued by FIMMDA / FBIL is adopted for this purpose;
 - In case of bonds and debentures (including Pass Through Certificates) where interest is not received regularly (i.e. overdue beyond 90 days), the valuation is in accordance with prudential norms for provisioning as prescribed by the RBI. Interest on such securities is not recognised in the Profit and Loss Account until received;
 - Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the Company's latest Balance Sheet. In case the latest Balance Sheet is not available, the shares are valued at ₹ 1 per investee company;
 - Units of Venture Capital Funds (VCF) held under AFS category where current valuations are not available are marked to market based on the Net Asset Value (NAV) shown by VCF as per the latest audited financials of the fund. In case the audited financials are not available for a period beyond 18 months, the investments are valued at ₹ 1 per VCF. Investment in unquoted VCF after 23rd August, 2006 are categorised under HTM category for the initial period of three years and valued at cost as per RBI guidelines. Such investments are required to be transferred to AFS thereafter;
 - Security receipts are valued as per the Net Asset Value (NAV) obtained from the issuing Asset Reconstruction Company or Securitisation Company or estimated recovery whichever is lower. The Bank has classified Security Receipts whose tenure has exceeded 8 years, as "Non Performing investments".
 - The Bank provides for investments in Alternate Investments Funds (AIF) in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.
- h) Non-performing investments are identified and depreciation / provision are made thereon based on RBI guidelines. The depreciation / provision on such non-performing investments are not set off against the appreciation in respect of other performing securities. Interest on non-performing investments is not recognized in the Profit & Loss Account until received.
- i) **Repurchase and reverse repurchase transactions** - Securities sold under agreements to repurchase (Repos) and securities purchased under agreements to resell (Reverse Repos) are accounted as collateralised borrowing and lending transactions respectively. The difference between the consideration amount of the first leg and the second leg of the repo is recognised as interest income or interest expense over the period of the transaction.

2 Advances

Classification:

Advances are classified as performing and non-performing advances ('NPAs') based on RBI guidelines and are stated net of bills rediscounted, inter-bank participation with risk, specific provisions, interest in suspense, claims received from Export Credit Guarantee Corporation and Emergency Credit Line Guarantee Scheme (ECLGS) with respect to non-performing advances, provisions for funded interest term loan and provisions in lieu of diminution in the fair value of restructured assets. Also, NPAs are classified into sub-standard, doubtful and loss assets as required by RBI guidelines. Interest on NPAs remaining uncollected is transferred to an interest suspense account and not recognised in the Profit and Loss Account until received.

Amounts paid for acquiring non-performing asset(s) from other banks and NBFCs are considered as advances. Actual collections received on such non-performing asset(s) are compared with the cash flow(s) estimated while purchasing the asset to ascertain overdue(s). If such overdue(s) is/are in excess of 90 days, then this/these asset(s) are classified into sub-standard, doubtful or loss as required by the RBI guidelines on purchase of non-performing asset(s).

The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown under advances.

Provisioning:

The Bank classifies its advances, investments and overdues from crystallised derivatives including those at overseas branches into performing and non performing in accordance with guidelines issued by the RBI. Provision for NPAs comprising sub-standard, doubtful and loss assets is made in accordance with RBI guidelines. In addition, the Bank considers accelerated specific provisioning that is based on past experience, evaluation of security and other related factors. Specific loan loss provision in respect of non-performing advances are charged to the Profit and Loss Account. Any recoveries made by the Bank in case of NPAs written off are recognised in the Profit and Loss Account.

The Bank considers a restructured account as one where the Bank, for economic or legal reasons relating to the borrower's financial difficulty, grants to the borrower concessions that the Bank would not otherwise consider. Restructuring would normally involve modification of terms of the advance / securities, which would generally include, among others, alteration of repayment period / repayable amount / the amount of installments / rate of interest (due to reasons other than competitive reasons).

Restructured accounts are classified as such by the Bank only upon approval and implementation of the restructuring package. Necessary provision for diminution in the fair value of a restructured account is made.

In respect of borrowers restructured under the Resolution Framework – 1.0 and Resolution Framework 2.0 for COVID-19 related stress the Bank holds provisions higher than the provisions as required by the RBI guidelines based on the estimates made by the Bank.

In accordance with RBI guidelines the Bank has provided general provision on standard assets including credit exposures computed as per the current marked to market values of interest rate and foreign exchange derivative contracts, and gold at levels stipulated by RBI from time to time. Additional standard asset provision is done for overseas stepdown subsidiaries of Indian corporates. Standard provision is also made at higher than the prescribed rates in respect of advances to stressed sectors as per the framework approved by the Board of Directors. In case of Frauds, the Bank makes provision for amounts it is liable for in accordance with the guidelines issued by RBI. A general provision on the entire amount outstanding from borrowers who had an overdue on 29th February, 2020 and to whom moratorium was given is also made.

Further to provisions required as per the asset classification status, provisions are held for individual country exposure (except for home country) as per the RBI guidelines. Exposure is classified in the seven risk categories as mentioned in the Export Credit Guarantee Corporation of India Limited ('ECGC') guidelines and provisioning is done for that country if the net funded exposure is one percent or more of the Bank's total assets based on the rates laid down by the RBI.

Provision for Unhedged Foreign Currency Exposure of borrowers is made as per the RBI guidelines.

3 Loss on Sale of Advances to Asset Reconstruction Company

Loss on sale of Advances sold to Asset Reconstruction Company are recognised immediately in the Profit and Loss Account.

4 Securitisation

The Bank enters into purchase/sale of corporate and retail loans through direct assignment/Special Purpose Vehicle ('SPV'). In most cases, post securitisation, the Bank continues to service the loans transferred to the assignee/ SPV. The Bank also provides credit enhancement in the form of cash collaterals and/or by subordination of cash flows to Senior Pass-Through Certificate holders. In respect of credit enhancements provided or recourse obligations (projected delinquencies, future servicing etc.) accepted by the Bank, appropriate provision/disclosure is made at the time of sale in accordance with AS-29, Provisions, Contingent Liabilities and Contingent Assets as specified under section 133 and the relevant provision of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021.

In accordance with the RBI guidelines on Securitisation of Standard Assets dated 24 September 2021, the profit, loss or premium on account of securitisation of assets at the time of sale is computed as the difference between the sale consideration and the book value of the securitised asset. Any resultant profit, loss or premium realised on account of securitisation is recognised to the Profit and Loss Account in the period in which the sale is completed.

The Bank invests in instruments of other SPVs which are accounted for at the deal value and are classified under Investments.

5 Fixed assets (Property, Plant & Equipment and Intangible) and depreciation / amortisation

Property, Plant & Equipment and Intangible Assets have been stated at cost less accumulated depreciation and amortisation and adjusted for impairment, if any. Cost includes cost of purchase inclusive of freight, duties, incidental expenses and all expenditure like site preparation, installation costs and professional fees incurred on the asset before it is ready to put to use. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future benefit / functioning capability from / of such assets. Gain or loss arising from the retirement or disposal of a Property Plant and Equipment / Intangible asset are determined as the difference between the net disposal proceeds and the carrying amount of assets and recognised as income or expense in the Profit and Loss Account. Profit on sale of premises of the Bank, net of taxes and transfer to statutory reserve is appropriated to Capital Reserve as per RBI guidelines.

Depreciation / Amortisation - Depreciation is provided on a pro-rata basis on a Straight Line Method over the estimated useful life of the assets at rates which are equal to or higher than the rates prescribed under Schedule II of the Companies Act, 2013 in order to reflect the actual usage of the assets. The estimated useful lives of assets based on technical evaluation by management are as follows:

Asset Type	Estimated Useful life in years
Premises	58
Leasehold Land	Over the lease period
Improvement to leasehold premises	Over the period of lease subject to a maximum of 6 years.
Office equipments (High capacity chillers, Transformers, UPS, DG set, Fire Suppression, HVAC, PAC & Elevators)	10
Office equipments (other than above)	5
Computers	3
Furniture and Fixtures	6
Motor Vehicles	4
ATMs	5
Software (including development) expenditure	3

Used assets purchased are depreciated over the residual useful life from the date of original purchase.

Items costing less than ₹ 5,000 are fully depreciated in the year of purchase.

6 Cash and cash equivalents

Cash and cash equivalents include cash in hand, balances with Reserve Bank of India and Balances with Other Banks / institutions and money at Call and Short Notice (including the effect of changes in exchange rates on cash and cash equivalents in foreign currency).

7 Bullion

The Bank imports bullion including precious metal bars on a consignment basis for selling to its wholesale customers. The difference between the sale price to customers and actual price quoted by supplier is reflected under other income.

The Bank also borrows and lends gold, which is treated as borrowings or lending as the case may be in accordance with the RBI guidelines and the interest paid or received is classified as interest expense or income and is accounted on an accrual basis.

8 Revenue recognition

Interest income is recognised on accrual basis.

Interest income in respect of retail advances is accounted for by using the internal rate of return method to provide a constant periodic rate of return.

Interest income on investments in PTCs and loans bought out through the direct assignment route is recognised at their effective interest rate.

Interest income on Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits is recognised over tenure of the instrument on a straight line basis. Interest income on other discounted instruments is recognised over the tenure of the instruments so as to provide a constant periodic rate of return.

Service charges, fees and commission income are recognised when due, where the Bank is reasonably certain of ultimate collection.

Commission on Guarantees and letter of credit are recognised over the period of the guarantee / letter of credit. Syndication / arranger fee is recognised as income as per the terms of engagement.

Upon an asset becoming NPA the income accrued gets reversed, and is recognised only on realisation, as per RBI guidelines.

Penal interest/charges on products where applicable is recognised as income on realisation other than on running accounts where it is recognised to the extent of limits available in the account.

Dividend income is accounted on an accrual basis when the Bank's right to receive the dividend is established.

Gain on account of securitisation of assets is amortised over the life of the securities issued in accordance with the guidelines issued by the RBI. Loss on account of securitisation of assets is recognised immediately in Profit and Loss account.

In respect of non-performing assets acquired from other Banks / FIs and NBFCs, collections in excess of the consideration paid at each asset level or portfolio level is treated as income in accordance with RBI guidelines and clarifications.

Fees received on sale of Priority Sector Lending Certificates is considered as Miscellaneous Income, while fees paid for purchase is recognised as expense under other expenses in accordance with the guidelines issued by the RBI.

9 Employee benefits

Defined Contribution Plan

Provident Fund

Contribution as required by the statute made to the government provident fund or to a fund set up by the Bank and administered by a board of trustees is debited to the Profit and Loss Account when an employee renders the related service. The Bank has no further obligations.

Superannuation Fund

The Bank makes contributions in respect of eligible employees, subject to a maximum of ₹0.01 crore per employee per annum to a Fund administered by trustees and managed by Life Insurance Companies. The Bank recognises such contributions as an expense in the year when an employee renders the related service. The Bank has no further obligations.

New Pension Scheme

The Bank contributes up to 10% of eligible employees' salary per annum, to the New Pension Fund administered by a Pension Fund Regulatory and Development Authority (PFRDA) appointed pension fund manager. The Bank recognises such contributions as an expense in the year when an employee renders the related service.

DIFC Employee Workplace Savings Scheme (DEWS)

The Bank's branch in Dubai International Financial Centre (DIFC) contributes up to 8.33% of eligible branch employees' salary per annum to the DIFC Employee Workplace Savings Scheme (DEWS). The Bank recognises such contributions as an expense in the year when an employee renders the related service. The Bank has no further obligation.

Defined Benefit Plan

Gratuity

The Bank provides for Gratuity, covering employees in accordance with the Payment of Gratuity Act, 1972, service regulations and service awards as the case may be. The Bank's liability is actuarially determined (using Projected Unit Credit Method) at the Balance Sheet date. The Bank makes contribution to Gratuity Funds administered by trustees and managed by Life Insurance Companies.

Pension Scheme

In respect of pension payable to certain erstwhile ING Vysya Bank Limited ("eIVBL") employees under Indian Banks' Association ("IBA") structure, the Bank contributes 10% of basic salary to a pension fund and the difference between the contribution and the amount actuarially determined by an independent actuary is trued up based on actuarial valuation conducted as at the Balance Sheet date. The Pension Fund is administered by the Board of Trustees and managed by Life Insurance Company. The present value of the Bank's defined pension obligation is determined using the Projected Unit Credit Method as at the Balance Sheet date.

Employees covered by the pension plan are not eligible for employer's contribution under the provident fund plan

The contribution made to the Pension fund is recognised as planned assets. The defined benefit obligation recognised in the Balance Sheet represents the present value of the defined benefit obligation as reduced by the fair value of the plan assets.

Actuarial gains or losses in respect of all defined benefit plans are recognised immediately in the Profit and Loss Account in the year in which they are incurred.

Compensated Absences – Other Long-Term Employee Benefits

The Bank accrues the liability for compensated absences based on the actuarial valuation as at the Balance Sheet date conducted by an independent actuary which includes assumptions about demographics, early retirement, salary increases, interest rates and leave utilisation. The net present value of the Banks' obligation is determined using the Projected Unit Credit Method as at the Balance Sheet date. Actuarial gains / losses are recognised in the Profit and Loss Account in the year in which they arise.

Other Employee Benefits

As per the Bank's policy, employees are eligible for an award after completion of a specified number of years of service with the Bank. The obligation is measured at the Balance Sheet date on the basis of an actuarial valuation using the Projected Unit Credit Method.

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees is recognised during the period when the employee renders the service. These benefits include performance incentives.

Employee share based payments

Equity-settled scheme:

The Equity Stock Option Schemes (ESOSs) and the Performance Linked restricted Stock Unit Scheme (PRSU) of the Bank are in accordance with SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021. The schemes provide for grant of options and restricted stock units to employees of the Group to acquire the equity shares of the Bank that vest as per the vesting schedule and that are to be exercised within a specified period.

RBI, vide its clarification dated 30th August, 2021 on Guidelines on Compensation of Whole Time Directors / Chief Executive Officers / Material Risk Takers and Control Function Staff, advised Banks that the fair value of share-linked instruments on the date of grant should be recognised as an expense for all instruments granted after the accounting period ending 31st March, 2021.

In accordance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 and the Guidance Note on "Accounting for Employee Share-based payments" issued by The Institute of Chartered Accountants of India, the cost of equity-settled transactions is measured using the intrinsic value method for all options granted on or before 31st March, 2021. The intrinsic value being the excess, if any, of the fair market price of the share under ESOSs over the exercise price of the option is recognised as deferred employee compensation with a credit to Employee's Stock Option (Grant) Outstanding account.

The Bank has changed its accounting policy from intrinsic value method to fair value method for all share-linked instruments granted after 31st March, 2021 in accordance with the RBI guidance. The fair value of the option is estimated on the date of grant using Black-Scholes model and is recognised as deferred employee compensation with a credit to Employee's Stock Option (Grant) Outstanding account.

The deferred employee compensation cost is amortised on a straight-line basis over the vesting period of the option. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the number of equity instruments that are outstanding.

The options that do not vest because of failure to satisfy vesting condition are reversed by a credit to employee compensation expense in "Payment to and provision for employee", equal to the amortised portion of the cost of lapsed option and credit to deferred employee compensation equal to the unamortised portion. In respect of the options which expire unexercised the balance standing to the credit of Employee's Stock Option (Grant) Outstanding account is transferred to General Reserve. The fair market price is the latest available closing price, preceding the date of grant of the option, on the stock exchange on which the shares of the Bank are listed.

Where the terms of an equity-settled award are modified, the minimum expense recognised in 'Payments to and provision for employees' is the expense as if the terms had not been modified. An additional expense is recognised for any modification which increases the total intrinsic/ fair value of the share-based payment arrangement, or is otherwise beneficial to the employee as measured at the date of modification.

In respect of options granted to employees of subsidiaries, the Bank recovers the related compensation cost from the respective subsidiaries.

Cash-settled scheme:

The cost of cash-settled transactions, stock appreciation rights (SARs) having grant date on or before 31st March, 2021 is measured initially using intrinsic value method at the grant date taking into account the terms and conditions upon which the instruments were granted. Similar to Equity settled options, SARs granted after 31st March, 2021 are measured on fair value basis.

The intrinsic / fair value is amortised on a straight-line basis over the vesting period with a recognition of corresponding liability. This liability is remeasured at each balance sheet date up to and including the vesting date with changes in intrinsic / fair value recognised in the profit and loss account in 'Payments to and provision for employees'. The SARs that do not vest because of failure to satisfy vesting conditions are reversed by a credit to employee compensation expense, equal to the amortised cost in respect of the lapsed portion.

10 Foreign currency transactions

Foreign currency monetary assets and monetary liabilities are translated as at the Balance Sheet date at rates notified by the Foreign Exchange Dealers' Association of India (FEDAI) and the resultant gain or loss is accounted in the Profit and Loss Account.

Income and Expenditure items are translated at the rates of exchange prevailing on the date of the transactions except in respect of representative office (which are integral in nature) expenses, which are translated at monthly average exchange rates.

Outstanding forward (other than deposit and placement swaps) and spot foreign exchange contracts outstanding at the Balance Sheet date are revalued at rates notified by FEDAI for specified maturities and at the interpolated rates of interim maturities. In case of forward contracts of greater maturities where exchange rates are not notified by FEDAI, are revalued at the forward exchange rates implied by the swap curves in respective currencies. The forward profit or loss on the forward contracts are discounted using discount rate and the resulting profits or losses are recognised in the Profit and Loss Account as per the regulations stipulated by the RBI.

Foreign exchange swaps "linked" to foreign currency deposits and placements are translated at the prevailing spot rate at the time of swap. The premium or discount on the swap arising out of the difference in the exchange rate of the swap date and the maturity date of the underlying forward contract is amortised over the period of the swap and the same is recognised in the Profit and Loss Account.

Contingent liabilities on account of letters of credit, bank guarantees and acceptances and endorsements outstanding as at the Balance Sheet date denominated in foreign currencies and other foreign exchange contracts are translated at year-end rates notified by FEDAI.

The financial statements of IBU and DIFC which are in the nature of non-integral overseas operations are translated on the following basis: (a) Income and expenses are converted at the average rate of exchange during the period and (b) All assets and liabilities are translated at closing rate as on Balance Sheet date. The exchange difference arising out of year end translation is debited or credited as "Foreign Currency Translation Reserve" forming part of "Reserves and Surplus".

11 Derivative transactions

Notional amounts of derivative transactions comprising of swaps, futures and options are disclosed as off Balance Sheet exposures. The Bank recognises all derivative contracts (other than those designated as hedges) at fair value, on the date on which the derivative contracts are entered into and are re-measured at fair value as at the Balance Sheet or reporting date. Derivatives are classified as assets when the fair value is positive (positive marked to market) or as liabilities when the fair value is negative (negative marked to market). Changes in the fair value of derivatives other than those designated as hedges are recognised in the Profit and Loss Account.

Outstanding derivative transactions designated as "Hedges" are accounted in accordance with hedging instrument on an accrual basis over the life of the underlying instrument. Option premium paid or received is recognised in the Profit and Loss Account on expiry of the option. Option contracts are marked to market on every reporting date.

12 Lease accounting

Leases where all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Operating lease payments are recognised as an expense in the Profit and Loss Account on a straight-line basis over the lease term. Initial direct costs in respect of operating leases such as legal costs, brokerage costs, etc. are recognised as expense immediately in the Profit and Loss Account.

13 Accounting for provisions, contingent liabilities and contingent assets

The Bank has assessed its obligations arising in the normal course of business, including pending litigations, proceedings pending with tax authorities and other contracts including derivative and long term contracts. In accordance with Accounting Standard - 29 on 'Provisions, Contingent Liabilities and Contingent Assets', the Bank recognises a provision for material foreseeable losses when it has a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are measured based on best estimate of the expenditure required to settle the obligation at the Balance Sheet date. These are reviewed at each Balance Sheet date and adjusted to reflect the current best estimates.

In cases where the available information indicates that the loss on the contingency is reasonably possible but the amount of loss cannot be reasonably estimated, a disclosure to this effect is made as contingent liabilities in the financial statements. The Bank does not expect the outcome of these contingencies to have a materially adverse effect on its financial results. Contingent assets are neither recognised nor disclosed in the financial statements.

14 Impairment

The carrying amounts of assets are reviewed at each Balance Sheet date if there is any indication of impairment based on internal / external factors. Impairment loss, if any, is provided in the Profit and Loss Account to the extent carrying amount of assets exceeds their estimated recoverable amount.

15 Taxes on income

The Income Tax expense comprises current tax and deferred tax. Current tax is measured at the amount expected to be paid in respect of taxable income for the year in accordance with the Income Tax Act, 1961. Deferred tax assets and liabilities are recognised for the future tax consequences of timing differences being the difference between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent period.

Deferred tax assets on account of timing differences are recognised only to the extent there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. In case of carry forward losses and unabsorbed depreciation, under tax laws, all the deferred tax assets are recognised only to the extent there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Deferred tax assets are reassessed at each reporting date, based upon the Management's judgement as to whether realisation is considered as reasonably certain.

Deferred tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted at the Balance Sheet date. Changes in deferred tax assets / liabilities on account of changes in enacted tax rates are given effect to in the Profit and Loss Account in the period of the change.

Current tax assets and liabilities and deferred tax assets and liabilities are off-set when they relate to income taxes levied by the same taxation authority, when the Bank has a legal right to off-set and when the Bank intends to settle on a net basis.

16 Accounting for Dividend

As per AS 4 (Revised), with effect from April 2016, the Bank is not required to provide for dividend proposed / declared after the Balance Sheet date. The same shall be appropriated from next year amount available for appropriation.

17 Earnings per share

Basic earnings per share are calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events of bonus issue, bonus element in a rights issue to existing shareholders, and share split.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares. Diluted earnings per share reflect the potential dilution that could occur if securities or other contracts to issue equity shares were exercised or converted during the year.

18 Share issue expenses

Share issue expenses are adjusted from Securities Premium Account as permitted by Section 52 of the Companies Act, 2013.

19 Credit cards reward points

The Bank estimates the liability for credit card reward points and cost per point using actuarial valuation conducted by an independent actuary, which includes assumptions such as mortality, redemption and spends.

20 Segment reporting

In accordance with guidelines issued by RBI and Accounting Standard 17 (AS-17) on "Segment Reporting", the Banks' business has been segregated into the following segments whose principal activities were as under:

Segment	Principal activity
Treasury, BMU and Corporate Centre	Money market, forex market, derivatives, investments and primary dealership of government securities and Balance Sheet Management Unit (BMU) responsible for Asset Liability Management and Corporate Centre which primarily comprises of support functions.
Corporate / Wholesale Banking	Wholesale borrowings and lendings and other related services to the corporate sector which are not included under retail banking.
Retail Banking	Comprises of:
Digital Banking	Business involving digital banking products acquired by Digital Banking Unit including existing digital banking products as identified by the Management in accordance with the instructions of the RBI vide its circular dated 7 th April, 2022.
Other Retail Banking	Includes (other than covered under Digital Banking above):
	I Lending
	Commercial vehicle finance, personal loans, home loans, agriculture finance, other loans / services and exposures which fulfill the four criteria for retail exposures laid down in Basel Committee on Banking Supervision document "International Convergence of Capital Measurement and Capital Standards: A Revised Framework".
	II Branch Banking
	Retail borrowings covering savings, current, term deposit accounts and Branch Banking network / services including distribution of financial products.
	III Credit Cards
	Receivables / loans relating to credit card business.
Other Banking business	Any other business not classified above.

A transfer pricing mechanism has been established by Asset Liability Committee (ALCO) for allocation of interest cost to the above segments based on borrowing costs, maturity profile of assets / liabilities etc. and which is disclosed as part of segment revenue.

Segment revenues consist of earnings from external customers and inter-segment revenues based on a transfer pricing mechanism. Segment expenses consist of interest expenses including allocated operating expenses and provisions.

Segment results are net of segment revenues and segment expenses including interdivisional items.

Segment assets include assets related to segments and exclude tax related assets. Segment liabilities include liabilities related to the segment excluding net worth and employees' stock option (grants outstanding).

Since the business operations of the Bank are primarily concentrated in India, the Bank is considered to operate only in the domestic segment.

SCHEDULE 18 – NOTES TO ACCOUNTS
A. DISCLOSURES AS LAID DOWN BY RBI CIRCULARS:
1. CAPITAL ADEQUACY RATIO:

The Bank's Capital Adequacy Ratios as per Basel III guidelines are as follows:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Capital Ratios:		
(i) Common Equity Tier I Capital (CET 1)	109,642.71	87,991.19
(ii) Additional Tier I Capital [§]	-	-
(iii) Tier I Capital (i + ii)	109,642.71	87,991.19
(iv) Tier II Capital	5,954.78	5,957.28
(v) Total Capital (Tier I+Tier II)	115,597.49	93,948.47
(vi) Total Risk Weighted Assets (RWAs)	519,614.54	457,206.27
(vii) CET 1 Ratio (CET 1 as a percentage of RWAs)	21.10%	19.25%
(viii) Tier I Ratio (Tier I capital as a percentage of RWAs)	21.10%	19.25%
(ix) Tier II Ratio (Tier II capital as a percentage of RWAs)	1.15%	1.30%
(x) Capital to Risk Weighted Assets Ratio (CRAR) (Total Capital as a percentage of RWAs)	22.25%	20.55%
(xi) Leverage Ratio	14.15%	13.12%
(xii) Percentage of the shareholding of the Government of India	Nil	Nil
(xiii) Amount of paid-up equity capital raised during the year [#]	52.09	218.22
(xiv) Amount of non-equity Tier I capital raised during the year of which:		
PNCPS	Nil	Nil
PDI	Nil	Nil
(xv) Amount of Tier II Capital raised during the year of which:		
PNCPS	Nil	Nil
PDI	Nil	Nil

[#]The Bank has allotted during the year 302,095 (previous year 1,364,316) equity shares consequent to exercise of ESOPs vested. Accordingly, the share capital further increased by ₹ 0.15 crore (previous year ₹ 0.68 crore) and share premium increased by ₹ 51.94 crore (previous year ₹ 217.54 crore).

[§]The Bank has redeemed perpetual non-cumulative preference share capital ("PNCPS") during the previous year.

(₹ in crore)

As at 31 st March, 2025	Investments in India						Investments outside India				Total Investments	
	Government Securities*	Other Approved Securities	Shares	Debentures and Bonds	Subsidiaries and/or joint ventures	Others	Total investments in India	Government securities (including local authorities)	Subsidiaries and/or joint ventures	Others**		Total Investments outside India
Held to Maturity (Including Distinct Category) Gross Add/(Less) : Unrealised gain/ (loss) and Provisions for Non performing Investments Net Available for Sale Gross Add/(/Less) : Provisions for Non performing Investments Net Fair Value Through Profit & Loss Non HFT Gross Add/(/Less) : Unrealised gain/ (loss) and Provisions for Non performing Investments Net Held for Trading Gross Add/(/Less) : Unrealised gain/ (loss) and Provisions for (Non performing Investments) Net Total Investments Add/(/Less) : Unrealised gain/ (loss) and Provisions for (Non performing Investments) Net												
	51,478.84	-	-	-	3,348.83	-	54,827.67	-	38.32	-	38.32	54,865.99
	-	-	-	-	-	-	-	-	-	-	-	-
	51,478.84	-	-	-	3,348.83	-	54,827.67	-	38.32	-	38.32	54,865.99
	40,234.54	-	4,320.43	8,366.87	-	5,277.54	58,199.38	243.90	-	495.64	739.54	58,938.92
	33.73	-	1,760.43	(11.73)	-	9.78	1,792.21	-	-	(3.42)	(3.42)	1,788.79
	40,268.27	-	6,080.86	8,355.14	-	5,287.32	59,991.59	243.90	-	492.22	736.12	60,727.71
	-	-	237.79	150.09	-	1,639.42	2,027.30	-	-	2.59	2.59	2,029.89
	-	-	(15.14)	(3.86)	-	3.22	(15.78)	-	-	0.34	0.34	(15.44)
Net	-	222.65	146.23	-	-	1,642.64	2,011.52	-	-	2.93	2.93	2,014.45
	40,017.48	-	55.76	1,809.30	-	21,990.95	63,873.49	-	-	13.56	13.56	63,887.05
	450.09		(53.07)	11.34	-	-	408.36	-	-	3.89	3.89	412.25
Net	40,467.57	-	2.69	1,820.64	-	21,990.95	64,281.85	-	-	17.45	17.45	64,299.30
	131,730.86	-	4,613.98	10,326.26	3,348.83	28,907.91	178,927.84	243.90	38.32	511.79	794.01	179,721.85
	483.82	-	1,692.22	(4.25)	-	13.00	2,184.79	-	-	0.81	0.81	2,185.60
Net	132,214.68	-	6,306.20	10,322.01	3,348.83	28,920.91	181,112.63	243.90	38.32	512.60	794.82	181,907.45

* Includes securities with face Value of ₹ 36,381.85 crore pledged and encumbered for availment of fund transfer facility, clearing facility, margin requirements and with RBI for LAF.

(₹ in crore)

As at 31 st March, 2024	Investments in India						Investments outside India				Total Investments	
	Government Securities*	Other Approved Securities	Shares	Debentures and Bonds	Subsidiaries and/or joint ventures	Others	Total investments in India	Government securities (including local authorities)	Subsidiaries and/or joint ventures	Others*		Total Investments outside India
Held to Maturity												
Gross	28,517.74	-	-	-	3,902.02	-	32,419.76	-	38.32	-	38.32	32,458.08
Less: Provision for nonperforming investments (NPI)	-	-	-	-	-	-	-	-	-	-	-	-
Net	28,517.74	-	-	-	3,902.02	-	32,419.76	-	38.32	-	38.32	32,458.08
Available for Sale												
Gross	77,485.52	-	1,267.83	14,524.76	-	5,869.50	99,147.61	277.78	-	1,421.63	1,699.41	100,847.02
Less: Provision for depreciation and NPI	(294.24)	-	(43.25)	(33.34)	-	(177.63)	(548.46)	-	-	(18.84)	(18.84)	567.30
Net	77,191.28	-	1,224.58	14,491.42	-	5,691.87	98,599.15	277.78	-	1,402.79	1,680.57	100,279.72
Held for Trading												
Gross	7,686.05	-	-	2,357.94	-	12,621.97	22,665.96	-	-	-	-	22,665.96
Less: Provision for depreciation and NPI	-	-	-	-	-	-	-	-	-	-	-	-
Net	7,686.05	-	-	2,357.94	-	12,621.97	22,665.96	-	-	-	-	22,665.96
Total Investments	113,689.31	-	1,267.83	16,882.70	3,902.02	18,491.47	154,233.33	277.78	38.32	1,421.63	1,737.73	155,971.06
Less: Provision for depreciation and NPI	(294.24)	-	(43.25)	(33.34)	-	(177.63)	(548.46)	-	-	(18.84)	(18.84)	(567.30)
Net	113,395.07	-	1,224.58	16,849.36	3,902.02	18,313.84	153,684.87	277.78	38.32	1,402.79	1,718.89	155,403.76

* Includes securities with face Value of ₹ 4,327.45 crore pledged and encumbered for avilment of fund transfer facility, clearing facility, margin requirements and with RBI for LAF

3. MOVEMENT OF PROVISIONS FOR DEPRECIATION AND INVESTMENT FLUCTUATION RESERVE:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
i) Movement of provisions held towards depreciation on investments		
a) Opening balance	567.30	2,002.65
b) Add: Provisions made during the year	47.11	0.64
c) Less: Write-back/Transfers of provisions during the year	470.51	1,435.99
d) Closing balance*	143.90	567.30
*Closing balance as of 31 st March, 2025 represents provision for NPI		
ii) Movement of Investment Fluctuation Reserve		
a) Opening balance	3,500.00	2,300.00
b) Add: Amount transferred during the year	500.00	1,200.00
c) Less: Drawdown	-	-
d) Closing balance	4,000.00	3,500.00
iii) Closing balance in IFR as percentage of closing balance of investments in AFS and HFT/Current Category	3.15%	2.85%

4. DETAILS OF REPO / REVERSE REPO (EXCLUDING LAF AND MSF TRANSACTIONS FOR THE YEAR) DEALS:Year ended 31st March, 2025:

(₹ in crore)

Particulars	Minimum outstanding during the year		Maximum outstanding during the year		Daily Average outstanding during the year		Outstanding as on 31 st March, 2025	
	FV ¹	MV ²	FV ¹	MV ²	FV ¹	MV ²	FV ¹	MV ²
Securities sold under repos								
i. Government securities	-	-	27,627.25	27,629.46	4,063.45	4,067.42	18,861.25	18,861.25
ii. Corporate debt securities	-	-	185.71	171.73	9.20	8.61	-	-
iii. Any other securities	-	-	-	-	-	-	-	-
Securities purchased under reverse repos								
i. Government securities	-	-	24,931.45	24,931.45	2,906.34	2,923.75	5,725.28	5,903.79
ii. Corporate debt securities	-	-	500.00	461.78	10.21	9.53	-	-
iii. Any other securities	-	-	-	-	-	-	-	-

¹FV : Face Value²MV : Market ValueYear ended 31st March, 2024:

(₹ in crore)

Particulars	Minimum outstanding during the year		Maximum outstanding during the year		Daily Average outstanding during the year		Outstanding as on 31 st March, 2024	
	FV ¹	MV ²	FV ¹	MV ²	FV ¹	MV ²	FV ¹	MV ²
Securities sold under repos								
i. Government securities	-	-	8,962.75	8,985.06	913.34	921.19	-	-
ii. Corporate debt securities	-	-	185.71	169.20	11.05	11.02	-	-
iii. Any other securities	-	-	-	-	-	-	-	-
Securities purchased under reverse repos								
i. Government securities	-	-	29,237.80	29,296.08	6,000.56	6,050.63	11,450.29	11,485.11
ii. Corporate debt securities	-	-	525.00	454.94	14.97	13.57	-	-
iii. Any other securities	-	-	-	-	-	-	-	-

¹FV : Face Value²MV : Market Value

5. GOVERNMENT SECURITY LENDING (GSL) TRANSACTIONS (IN MARKET VALUE TERMS)

The Bank has not undertaken any government securities lending transactions during the year ended 31st March, 2025 (PY: Nil).

6. DISCLOSURE IN RESPECT OF NON-SLR INVESTMENTS:

(i) Non-performing Non-SLR investments:

(₹ in crore)

Particulars	Year ended	
	31 st March, 2025	31 st March, 2024
Opening balance	124.00	78.67
Additions during the year	47.11	64.91
Reductions during the year	(27.21)	(19.58)
Closing balance	143.90	124.00
Total provisions held	143.90	124.00

(ii) Issuer composition of Non-SLR investments as at 31st March, 2025:

(₹ in crore)

No.	Issuer	Amount	Extent of Private Placement	Extent of 'Below Investment Grade' Securities	Extent of 'Unrated' Securities	Extent of 'Unlisted' Securities
(1)	(2)	(3)	(4)	(5)	(6)	(7)
1	PSUs	611.17	350.00	-	-	-
2	FIs	7,169.52	4,116.21	-	-	-
3	Banks	6,721.81	5,769.74	-	881.60	5,787.70
4	Private Corporates	26,305.95	22,642.18	413.89	3,601.96	2,444.90
5	Subsidiaries, Associates and Joint Ventures	3,387.16	1,473.85	-	3,387.16	3,387.16
6	Others	3,795.38	3,431.39	174.02	981.08	3,551.49
7	MTM gain / (loss)	1,845.68				
8	Provisions for NPI	(143.90)				
Total		49,692.77	37,783.37	587.91	8,851.80	15,171.25

Issuer also include investments held outside India.

Amounts reported under column (4), (5), (6) and (7) above are not mutually exclusive.

Issuer composition of Non-SLR investments as at 31st March, 2024:

(₹ in crore)

No.	Issuer	Amount	Extent of Private Placement	Extent of 'Below Investment Grade' Securities	Extent of 'Unrated' Securities	Extent of 'Unlisted' Securities
(1)	(2)	(3)	(4)	(5)	(6)	(7)
1	PSUs	608.27	475.00	-	-	-
2	FIs	9,441.36	8,065.55	-	-	7,537.45
3	Banks	5,125.22	2,390.08	-	414.64	4,531.24
4	Private Corporates	19,988.18	16,064.18	244.58	866.78	6,762.68
5	Subsidiaries, Associates and Joint Ventures	3,940.34	2,036.58	-	3,940.34	3,940.34
6	Others	3,178.38	2,668.54	389.28	363.57	2,900.60
7	Provision held towards depreciation	(273.06)	-	-	-	-
Total		42,008.69	31,699.93	633.86	5,585.33	25,672.31

Issuer also include investments held outside India.

Amounts reported under column (4), (5), (6) and (7) above are not mutually exclusive.

7. DETAILS OF SALES MADE OUT OF HTM

During the year ended 31st March, 2025, the value of sale / transfer of securities to / from HTM category (excluding one-time transfer of securities, permitted sales by RBI consequent to a downward revision in SLR requirements and sales to RBI under Open Market Operation auctions/Switch/GSAP) was within 5% of the book value of instruments in HTM category at the beginning of the year.

8. CHANGE IN ACCOUNTING POLICY

The Bank implemented the Master Direction - Classification, Valuation and Operation of Investment Portfolio of Commercial Banks (Directions), 2023 dated 12th September, 2023 which is applicable to banks from 1st April, 2024. Consequent to the transition provisions, the Bank's networth and investments have increased by ₹ 2,905.46 crore (post-tax) and ₹ 3,283.11 crore (pre-tax) respectively as on 1st April, 2024 on account of revision in the carrying value to the fair value as on such date. Subsequent changes in fair value of performing investments under Available for Sale ("AFS") and Fair Value Through Profit and Loss ("FVTPL") (including Held For Trading ("HFT")) categories have been recognised through AFS reserve and Profit and Loss Account respectively. Accordingly, the amounts for periods prior to 1st April, 2024 are not comparable.

9. DERIVATIVES:**A. Forward Rate Agreements/ Interest Rate Swaps:**

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
The notional principal of swap agreements	141,828.23	134,487.28
Losses which would be incurred if counterparties failed to fulfill their obligations under the agreements	727.76	933.94
Collateral required by the Bank upon entering into swaps	NA	NA
Concentration of credit risk arising from the swaps	41.86% (Banks)	32.19%(Banks)
The fair value of the swap book	(337.48)	186.02

B. Exchange Traded Interest Rate Derivatives:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Notional principal amount of exchange traded interest rate derivatives undertaken during the year	-	-
Notional principal amount of exchange traded interest rate derivatives outstanding	-	-
Notional principal amount of exchange traded interest rate derivatives outstanding and not "highly effective" *	NA	NA
Mark to market value of exchange traded interest rate derivatives outstanding and not "highly effective" *	NA	NA

* Being trading positions

C. Disclosures on risk exposures in derivatives:**Qualitative disclosures:****a) Structure and organization for management of risk in derivatives trading:**

The Board of Directors, the Risk Management Committee (RMC), Board Committee for Derivatives products, the Asset Liability Management Committee (ALCO), the Senior Management Committee for Derivatives (SMC) and the Risk Management Department are entrusted with the management of risks in derivatives.

The philosophy and framework for the derivative business is laid out in the Board approved Investment and Derivative policies. The ALCO of the Bank is empowered to set the limit-framework for derivatives. It also reviews the market risk exposures of derivatives against the limits. The Risk Management Committee reviews all risks on a consolidated basis and also defines the risk appetite.

The Board Committee for Derivatives products and the Senior Management Committee for Derivatives (SMC) oversee the client derivatives business. These committees are responsible for reviewing and approving the derivative products that can be offered to clients (within the regulatory framework provided by the RBI). The Board approved 'Customer Suitability and Appropriateness Policy for Derivatives' lays down the risk management & governance framework for offering derivatives.

The Bank has Operations and Risk Management functions - independent of the dealing function. The Market Risk Management & Counterparty Risk Management Departments are responsible for assessment, monitoring, measurement & reporting of market & counterparty risks in derivatives.

b) Scope and nature of risk measurement, risk reporting and risk monitoring systems:

All significant risks of the derivative portfolio are monitored, measured & reported to the senior management. The Treasury Middle Office, on a daily basis, measures & reports risk-metrics like Value-at-Risk (VaR), PV01, Option Greeks like Delta, Gamma, Vega, Theta, Rho etc. Counterparty Risk exposure of the derivatives portfolio is also monitored & reported daily. The Treasury Middle Office independently reports profitability on a daily basis. Rate reasonability tests are performed on the Derivative portfolio to ensure that all trades are entered into at market rates. Stress testing is performed to measure the impact of extreme market shifts on the Bank's portfolio (including derivatives). Suitability and Appropriateness assessment is performed before offering derivatives to clients. The Bank continuously invests in technology to enhance the Risk Management architecture.

c) Policies for hedging and / or mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges / mitigants:

The Board Approved 'Hedging Policy' details the hedging strategies, hedging processes, accounting treatment, documentation requirements and effectiveness testing for hedges.

Hedges are monitored for effectiveness periodically, in accordance with the Board Approved Policy.

d) Accounting policy for recording hedge and non-hedge transactions; recognition of income, premiums and discounts; valuation of outstanding contracts; provisioning, collateral and credit risk mitigation:

Derivative transactions are segregated into trading or hedge transactions. Trading transactions outstanding as at the Balance Sheet dates are marked to market and the resulting profits or losses, are recorded in the Profit and Loss Account.

Derivative transactions designated as "Hedges" are accounted in accordance with hedging instruments on an accrual basis over the life of the underlying instrument.

Option premium paid / received is accounted for in the Profit and Loss Account on expiry of the option.

Pursuant to the RBI guidelines, any receivables as well positive Mark to Market (MTM) in respect of future receivable under derivative contracts comprising of crystallised receivables which remain overdue for more than 90 days are reversed through the Profit and Loss Account. Full provision is made for the entire amount of overdue and future receivables relating to positive marked to market value of non-performing derivative contracts. Limits for counterparty exposure (arising from derivative trades) to Corporates are approved by the Credit Committee and for Banks by the ALCO. These limits are renewable annually and are duly supported by ISDA agreements. MTM breaches are monitored daily and are cash collateralised wherever necessary. Further, to mitigate the current exposure in noncentrally cleared forex and derivative transactions, Bank has entered into Credit Support Annex ('CSA') agreements with some of the major international counterparty banks and few Indian financial institutions.

Quantitative Disclosures:

31st March, 2025:

(₹ in crore)

Sr. No.	Particulars	Currency Derivatives*	Interest rate Derivatives
1	Derivatives (Notional Principal Amount)		
	a) For hedging	-	-
	b) For trading	899,659.94	141,828.23
2	Marked to Market Positions **		
	a) Asset (+)	104.78	-
	b) Liability (-)	-	337.48

(₹ in crore)

Sr. No.	Particulars	Currency Derivatives*	Interest rate Derivatives
3	Credit Exposure	21,390.96	1,656.31
4	Likely impact of one percentage change in interest rate (100*PV01) #		
	a) On hedging derivatives	-	-
	b) On trading derivatives	77.93	1,478.81
5	Maximum of 100*PV01 observed during the year #		
	a) On hedging derivatives	-	-
	b) On trading derivatives	109.55	1,622.28
6	Minimum of 100*PV01 observed during the year #		
	a) On hedging derivatives	-	-
	b) On trading derivatives	32.36	1,357.22

Currency interest rate swaps have been included under currency derivatives.

Excludes PV01 on options.

*Forwards in currency derivatives includes TOM, Spot deal.

** The net position has been shown either under asset or liability, as the case may be, for each type of derivatives. The MTM does not include MTM on Export Bills – Discounted, BULRET deals and Internal deals between KMBL and GIFT, where counterparty is Kotak Bank.

The nature and terms of the Interest Rate Swaps (IRS) as on 31st March, 2025 are set out below:

(₹ in crore)

Nature	No.*	Notional Principal	Benchmark	Terms
Trading	4	992.58	EURIBOR	Receive Fixed Vs. Pay Floating
Trading	3	986.09	EURIBOR	Receive Floating Vs. Pay Fixed
Trading	164	14,165.06	SOFR	Receive Floating Vs. Pay Fixed
Trading	84	8,457.24	SOFR	Receive Fixed Vs. Pay Floating
Trading	1	454.62	SONIA	Receive Floating Vs. Pay Fixed
Trading	1	454.62	SONIA	Receive Fixed Vs. Pay Floating
Trading	1	76.93	SOFR Vs. SOFR	Receive Floating Vs. Pay Floating
Trading	340	16,877.24	Mod MIFOR	Receive Fixed Vs. Pay Floating
Trading	171	11,435.00	Mod MIFOR	Receive Floating Vs. Pay Fixed
Trading	765	24,623.02	MIBOR	Receive Fixed Vs. Pay Floating
Trading	1,742	54,091.52	MIBOR	Receive Floating Vs. Pay Fixed
Trading	493	9,214.32	FBIL	Receive Fixed Vs. Pay Floating
Total	3,769	141,828.24		

*Benchmark FBIL pertains to trades done in Rates FRA product.

The nature and terms of the Cross Currency Swaps (CCS) as on 31st March, 2025 are set out below:

(₹ in crore)

Nature	No.*	Notional Principal	Benchmark	Terms
Trading	8	733.30	EURIBOR	Receive Fixed Vs. Pay Floating
Trading	5	538.89	EURIBOR	Receive Floating Vs. Pay Fixed
Trading	2	738.31	FIXED	Pay Fixed
Trading	3	345.91	FIXED	Receive Fixed
Trading	84	3,951.91	FIXED	Receive Fixed Vs. Pay Fixed
Trading	0	-	SOFR	Receive Fixed Vs. Pay Fixed
Trading	60	4,295.46	SOFR	Receive Fixed Vs. Pay Floating
Trading	7	1,445.79	SOFR	Receive Floating Vs. Pay Fixed
Trading	46	1,492.03	SOFR Vs. EURIBOR	Receive Floating Vs. Pay Floating
Trading	3	350.84	SOFR Vs. MIOIS	Receive Floating Vs. Pay Floating
Trading	3	854.75	SOFR Vs. TONAR	Receive Floating Vs. Pay Floating
Trading	2	1,025.70	SOFR Vs. TORF	Receive Floating Vs. Pay Floating
Total	223	15,772.89		

*Above notional principal does not include trades done with GIFT-City branch since it gets zeroed at bank level however, only count of trades done is specified.

The overnight Net open position as at 31st March, 2025 is ₹ 216.86 crore (previous year ₹ 142.78 crore).

31st March, 2024:

(₹ in crore)

Sr. No.	Particulars	Currency Derivatives*	Interest rate Derivatives
1	Derivatives (Notional Principal Amount)		
a)	For hedging	-	-
b)	For trading	522,317.25	134,487.28
2	Marked to Market Positions **		
a)	Asset (+)	-	186.02
b)	Liability (-)	115.21	-
3	Credit Exposure	12,655.54	1,852.34
4	Likely impact of one percentage change in interest rate (100*PV01) #		
a)	On hedging derivatives	-	-
b)	On trading derivatives	55.95	1,418.33
5	Maximum of 100*PV01 observed during the year #		
a)	On hedging derivatives	-	-
b)	On trading derivatives	63.82	1,549.01
6	Minimum of 100*PV01 observed during the year #		
a)	On hedging derivatives	-	-
b)	On trading derivatives	32.71	1,293.01

Currency interest rate swaps have been included under currency derivatives.

* Excludes PV01 on options.

** Forwards in currency derivatives includes TOM, Spot deal.

** The net position has been shown either under asset or liability, as the case may be, for each type of derivatives. The MTM does not include MTM on Export Bills – Discounted, BULRET deals and Internal deals between KMBL and GIFT, where counterparty is Kotak Bank.

The nature and terms of the Interest Rate Swaps (IRS) as on 31st March, 2024 are set out below:

(₹ in crore)

Nature	No.*	Notional Principal	Benchmark	Terms
Trading	2	874.96	EURIBOR	Receive Fixed Vs. Pay Floating
Trading	2	874.96	EURIBOR	Receive Floating Vs. Pay Fixed
Trading	158	11,259.48	SOFR	Receive Floating Vs. Pay Fixed
Trading	48	2,746.86	SOFR	Receive Fixed Vs. Pay Floating
Trading	1	431.34	SONIA	Receive Floating Vs. Pay Fixed
Trading	1	431.34	SONIA	Receive Fixed Vs. Pay Floating
Trading	6	356.50	SOFR Vs. SOFR	Receive Floating Vs. Pay Floating
Trading	311	13,781.10	Mod MIFOR	Receive Fixed Vs. Pay Floating
Trading	91	5,740.00	Mod MIFOR	Receive Floating Vs. Pay Fixed
Trading	919	30,612.29	MIBOR	Receive Fixed Vs. Pay Floating
Trading	1,889	58,990.94	MIBOR	Receive Floating Vs. Pay Fixed
Trading	452	8,387.51	FBIL*	Receive Fixed Vs. Pay Floating
Total	3,880	134,487.28		

*Benchmark FBIL pertains to trades done in Rates FRA product.

The nature and terms of the Cross Currency Swaps (CCS) as on 31st March, 2024 are set out below:

(₹ in crore)

Nature	No.*	Notional Principal	Benchmark	Terms
Trading	4	365.73	EURIBOR	Receive Fixed Vs. Pay Floating
Trading	4	364.91	EURIBOR	Receive Floating Vs. Pay Fixed
Trading	3	270.82	FIXED	Pay Fixed
Trading	3	241.17	FIXED	Receive Fixed
Trading	52	2,004.94	FIXED	Receive Fixed Vs. Pay Fixed
Trading	1	32.81	SOFR	Receive Fixed Vs. Pay Fixed

(₹ in crore)

Nature	No.*	Notional Principal	Benchmark	Terms
Trading	37	2,931.41	SOFR	Receive Fixed Vs. Pay Floating
Trading	4	1,117.69	SOFR	Receive Floating Vs. Pay Fixed
Trading	17	441.00	SOFR Vs. EURIBOR	Receive Floating Vs. Pay Floating
Trading	2	1,000.86	SOFR Vs. TORF	Receive Floating Vs. Pay Floating
Total	127	8,771.34		

*Above notional principal does not include trades done with GIFT-City branch since it gets zeroed at bank level however, only count of trades done is specified.

10. CREDIT DEFAULT SWAPS:

The Bank has not entered into any Credit Default Swap transactions (previous year Nil).

11. CLASSIFICATION OF ADVANCES AND PROVISIONS HELD:

As at 31st March, 2025

(₹ in crore)

Particulars	Standard	Non-Performing				Total
	Total Standard Advances	Sub-Standard	Doubtful	Loss	Total Non-Performing Advances	
Gross Standard Advances and NPAs						
Opening Balance	374,815.45	2,092.78	2,979.65	202.35	5,274.78	380,090.23
Add: Additions during the year					6,378.62	
Less: Reductions during the year (*)					(5,519.55)	
Closing Balance	425,571.27	3,105.34	2,832.18	196.33	6,133.85	431,705.12
(*) Reductions in Gross NPAs due to:						
i) Upgradation					(1,210.40)	(1,210.40)
ii) Recoveries (excluding recoveries from upgraded accounts)					(1,566.02)	(1,566.02)
iii) Technical/Prudential Write-offs					-	-
iv) Write-offs other than those covered under (iii) above					(2,743.13)	(2,743.13)
Provisions (excluding Floating Provisions)						
Opening balance of provisions held	10.75	1,069.71	2,732.15	202.35	4,004.21	4,014.96
Add: Fresh provisions made during the year					4,814.66	
Less: Excess provision reversed/Write-off loans					(4,028.46)	
Closing balance of provisions held	5.50	2,006.12	2,587.96	196.33	4,790.41	4,795.91
Net NPAs						
Opening Balance		1,023.07	247.50	-	1,270.57	
Add: Fresh additions during the year					1,563.96	
Less: Reductions during the year					(1,491.09)	
Closing Balance		1,099.22	244.22	-	1,343.44	
Ratios						
Gross NPA to Gross Advances (%)						1.42%
Net NPA to Net Advances (%)						0.31%

Above numbers do not include standard asset provision on Advances (other than provision for country risk and unhedged foreign currency exposures) amounting to ₹ 1,851.93 crore as at 31st March, 2025.

As at 31st March, 2024

(₹ in crore)

Particulars	Standard	Non-Performing			Total Non-Performing Advances	Total
	Total Standard Advances	Sub-Standard	Doubtful	Loss		
Gross Standard Advances and NPAs						
Opening Balance	318,695.94	1,528.74	3,970.41	269.17	5,768.32	324,464.26
Add: Additions during the year					5,001.11	
Less: Reductions during the year (*)					(5,494.65)	
Closing Balance	374,815.45	2,092.78	2,979.65	202.35	5,274.78	380,090.23
(*) Reductions in Gross NPAs due to:						
v) Upgradation					(1,737.08)	(1,737.08)
vi) Recoveries (excluding recoveries from upgraded accounts)					(1,499.65)	(1,499.65)
vii) Technical/Prudential Write-offs					-	-
viii) Write-offs other than those covered under (iii) above					(2,257.92)	(2,257.92)
Provisions (excluding Floating Provisions)						
Opening balance of provisions held	28.03	837.21	3,468.64	269.17	4,575.02	4,603.05
Add: Fresh provisions made during the year					3,055.16	
Less: Excess provision reversed/Write-off loans					(3,625.97)	
Closing balance of provisions held	10.75	1,069.71	2,732.15	202.35	4,004.21	4,014.96
Net NPAs						
Opening Balance		691.53	501.77	-	1,193.30	
Add: Fresh additions during the year					1,945.95	
Less: Reductions during the year					(1,868.68)	
Closing Balance		1,023.07	247.50	-	1,270.57	
Ratios						
Gross NPA to Gross Advances (%)						1.39%
Net NPA to Net Advances (%)						0.34%

Above numbers do not include standard asset provision on Advances (other than provision for country risk and unhedged foreign currency exposures) amounting to ₹ 1,547.53 crore as at 31st March, 2024.

12. MOVEMENT OF TECHNICAL WRITE-OFFS AND RECOVERIES:

(₹ in crore)

Particulars	Year ended	
	31 st March, 2025	31 st March, 2024
Opening balance of Technical / Prudential written-off accounts as at 1 st April	1,100.84	1,581.89
Add: Technical / Prudential write-offs during the year	-	-
Less: Recoveries / Reductions made from previously Technical / Prudential written-off accounts during the year	(387.25)	(481.05)
Closing Balance as at 31st March	713.59	1,100.84

13. The Provision Coverage Ratio (PCR) of the Bank after considering technical write-off is 80.38% as at 31st March, 2025 (previous year 80.07%).

14. CONCENTRATION OF NPAs:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total Exposure to top twenty NPA accounts*	451.22	610.61
Percentage of exposures to the twenty largest NPA exposure to total Gross NPAs	7.36%	11.58%

(*) Above represents Gross NPA

15. RBI vide its circular dated 1st April, 2019, has directed banks shall make suitable disclosures, wherever either (a) the additional provisioning requirements assessed by RBI exceed 5 percent (previous year exceed 5 percent) of the published net profits before provision and contingency for the reference period or (b) the additional Gross NPAs identified by RBI exceed 5 percent (previous year exceed 5 percent) of the published incremental Gross NPAs for the reference period, or both. There has been no divergence observed by RBI for the financial year 2023-24 (previous year Nil) in respect of the Bank's asset classification and provisioning under the extant prudential norms on income recognition asset classification and provisioning (IRACP) which require such disclosures.

16. SECTOR-WISE ADVANCES AND GROSS NPAS

(₹ in crore)

Sl. No	Sector	As at 31 st March, 2025		
		Outstanding Total Advances*	Gross NPAs	Percentage of Gross NPAs to Total Advances in that Sector
A	Priority Sector			
1	Agricultural and Allied Activities	44,667.60	1,895.33	4.24%
2	Advances to Industries Sector eligible as Priority sector lending, Of which exceeding 10%:	59,273.15	292.37	0.49%
	- Textiles	10,202.78	29.38	
	- All Engineering	6,433.09	12.99	
3	Services, Of which exceeding 10%:	90,563.70	1,096.07	1.21%
	- Wholesale Trade	25,064.45	626.93	
	- Logistics and Auxiliary transport activities	26,356.63	153.18	
4	Personal Loans and others, Of which exceeding 10%:	2,915.96	42.90	1.47%
	- Home Loans	1,762.16	8.96	
	- Micro Loans	943.74	31.67	
	Sub-Total (A)	197,420.41	3,326.67	1.69%
B	Non Priority Sector			
1	Agricultural and Allied Activities	1,572.16	61.27	3.90%
2	Industry, Of which exceeding 10%:	59,312.62	343.35	0.58%
	- Infrastructure	15,584.50	121.08	
	- Basic Metal and Metal Products	7,011.19	47.94	
3	Services, Of which exceeding 10%:	58,561.04	354.16	0.60%
	- NBFC	9,636.06	-	
	- Real Estate	8,131.27	0.10	
	- Wholesale Trade	10,409.05	145.89	
4	Personal loans and others, Of which exceeding 10%:	114,838.89	2,048.40	1.78%
	- Home Loans	50,041.48	92.43	
	- Loan Against Property	13,121.75	43.33	
	- Credit Cards	14,055.74	927.25	
	- Personal Loans	16,844.71	410.90	
	Sub-Total (B)	234,284.71	2,807.18	1.20%
	Total (A+B)	431,705.12	6,133.85	1.42%

* Represents Gross Advances

(₹ in crore)

Sl. No	Sector	As at 31 st March, 2024		
		Outstanding Total Advances*	Gross NPAs	Percentage of Gross NPAs to Total Advances in that Sector
A	Priority Sector			
1	Agricultural and Allied Activities	42,885.36	1,646.23	3.84%
2	Advances to Industries Sector eligible as Priority sector lending, Of which exceeding 10%:	50,274.69	243.61	0.48%
	- Textiles	7,856.83	14.15	

(₹ in crore)

Sl. No	Sector	As at 31 st March, 2024		
		Outstanding Total Advances*	Gross NPAs	Percentage of Gross NPAs to Total Advances in that Sector
3	- Rubber, Plastic and their Products	5,213.98	5.57	
	Services, Of which exceeding 10%:	74,059.32	795.13	1.07%
	- Wholesale Trade	23,346.39	137.88	
4	- Logistics and Auxiliary transport activities	20,025.35	342.23	
	Personal Loans and others, Of which exceeding 10%:	2,490.25	12.79	0.51%
	- Home Loans	1,631.08	4.06	
	- Micro Loans	539.63	7.48	
	Sub-Total (A)	169,709.62	2,697.76	1.59%
B	Non Priority Sector			
1	Agricultural and Allied Activities	1,283.10	72.37	5.64%
2	Industry, Of which exceeding 10%:	53,835.25	547.77	1.02%
	- Infrastructure	16,367.97	153.52	
3	Services, Of which exceeding 10%:	49,540.84	576.36	1.16%
	- NBFC	7,219.02	-	
	- Real Estate	5,963.79	0.00 [§]	
	- Wholesale Trade	9,369.31	201.36	
	- Financial Intermediation excluding broking services	6,668.08	-	
4	Personal loans and others, Of which exceeding 10%:	105,721.40	1,380.52	1.31%
	- Home Loans [#]	58,969.90	147.81	
	- Credit Cards	14,837.53	528.15	
	- Personal Loans	12,754.13	321.15	
	Sub-Total (B)	210,380.61	2,577.02	1.22%
	Total (A+B)	380,090.23	5,274.78	1.39%

* Represents Gross Advances

[§]Amount is less than 50,000/-.[#]Includes balance of Loan Against Property

The Bank has compiled the data for the purpose of this disclosure from its internal MIS system.

17. PRIORITY SECTOR LENDING CERTIFICATES

The amount of PSLCs (category wise) Purchased and Sold during the year:

As at 31st March, 2025:

(₹ in crore)

S. No	Type of PSLCs	Purchased	Sold
1	PSLC – Agriculture	-	4,092.00
2	PSLC - SF / MF	18,682.50	-
3	PSLC - Micro Enterprises	4,149.00	21,000.00
4	PSLC – General	-	86,000.00
	TOTAL	22,831.50	1,11,092.00

As at 31st March, 2024:

(₹ in crore)

S. No	Type of PSLCs	Purchased	Sold
1	PSLC – Agriculture	2,800.00	4,712.00
2	PSLC - SF / MF	11,290.00	-
3	PSLC - Micro Enterprises	-	27,342.00
4	PSLC – General	-	35,500.00
	TOTAL	14,090.00	67,554.00

18. DETAILS OF ACCOUNTS SUBJECTED TO RESTRUCTURING*

(₹ in crore)

Particulars	Agriculture and allied activities		Corporates (excluding MSME)		Micro, Small and Medium Enterprises (MSME)		Retail (excluding agriculture and MSME)		Total	
	As on 31 st March, 2025	As on 31 st March, 2024	As on 31 st March, 2025	As on 31 st March, 2024	As on 31 st March, 2025	As on 31 st March, 2024	As on 31 st March, 2025	As on 31 st March, 2024	As on 31 st March, 2025	As on 31 st March, 2024
Standard	5	19	2	1	202	391	516	1,027	725	1,438
Gross Amount (₹ crore)	6.30	12.45	33.92	19.71	170.73	312.59	91.71	149.24	302.66	493.99
Provision held [#] (₹ crore)	1.09	1.31	2.06	-	21.63	38.94	16.61	28.51	41.39	68.76
Substandard	122	203	-	-	125	95	15,493	10,841	15,740	11,139
Gross Amount (₹ crore)	2.68	5.71	-	-	29.32	53.52	191.18	105.69	223.18	164.92
Provision held (₹ crore)	0.79	1.44	-	-	17.23	17.49	92.61	47.78	110.63	66.71
Doubtful	345	259	10	11	674	663	2,802	3,510	3,831	4,443
Gross Amount (₹ crore)	15.99	41.92	84.23	211.00	166.18	167.17	119.30	154.57	385.70	574.66
Provision held (₹ crore)	11.18	37.82	84.23	211.00	145.97	147.66	108.49	134.98	349.87	531.46
Total	472	481	12	12	1,001	1,149	18,811	15,378	20,296	17,020
Gross Amount (₹ crore)	24.97	60.08	118.15	230.71	366.23	533.28	402.19	409.50	911.54	1,233.57
Provision held (₹ crore)	13.06	40.57	86.29	211.00	184.83	204.09	217.71	211.27	501.89	666.93

*Restructuring as defined as per applicable regulations.

#- does not include provisions made over regulatory requirement as on 31st March, 2025 amounting to ₹ 22.50 crore (previous year ₹ 43.08 crore).

Disclosure on the scheme for MSME sector – restructuring of advances
As at 31st March, 2025:

(₹ in crore)

No. of accounts restructured	Amount
411*	238.42

** Disclosure given is at borrower level*
As at 31st March, 2024:

(₹ in crore)

No. of accounts restructured	Amount
650*	396.44

** Disclosure given is at borrower level*
Disclosure on Resolution of stressed assets:

In terms of the RBI circular dated 7th June, 2019 on Prudential Framework for Resolution of Stressed Assets, during the financial year ended 31st March, 2025, the Bank has implemented Resolution plan (RP) for Nil borrowers (previous year Nil borrowers), for which Inter Creditor Agreement (ICA) was executed under consortium arrangement / multiple banking arrangement. Borrowers for whom resolution plan is implemented under sole banking arrangement are not included here as no ICA is required.

In respect of certain borrowers with banking system exposure of ₹1,500 crore or more, where RP formulation / implementation was pending, the required additional provision has been made as required by RBI stipulations.

19. OVERSEAS ASSETS, NPAS AND REVENUE:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total Assets	9,879.58	8,962.40
Total NPAs	Nil	Nil
Total Revenue	610.30	506.05

20. DISCLOSURE OF TRANSFER OF LOAN EXPOSURES

Details of loans transferred/acquired for the year ended 31st March, 2025 and 31st March, 2024 under the RBI Master Direction on Transfer of Loan Exposures dated 24th September, 2021 are given below:

A. Details of Loans not in default :
a. Transferred to eligible lenders :

(₹ crore except tenor)

Sr. No	Particulars Loans transferred through assignment/ novation/ loan participation	31 st March, 2025		
		Assignment		Novation
		Fund	Non-Fund	
1.	Aggregate amount of loans transferred	215.25	247.54	1,204.52
2.	Aggregate consideration received	215.25	N.A. *	N.A.
3.	Weighted average residual maturity (In years)		15.54	18.71
4.	Weighted average holding period of originator (In years)		0.32	0.10
5.	Retention of beneficial economic interest		49%	48%
6.	Coverage of tangible security coverage		100%	100%
7.	Rating-wise distribution of rated loans			
	A		10%	N.A.
	A- / IND A-		59%	70%
	AA- / IND AA-		31%	30%

** Part consideration received as Counter Guarantee of ₹145 crores.*

The Bank has not transferred any Loans not in default in the previous year.

b. Acquired from eligible lenders :

(₹ crore except tenor)

Sr. No	Particulars	31 st March, 2025	
		Assignment	Novation
1.	Aggregate amount of loans acquired	4,044.05	153.00
2.	Aggregate consideration paid	3954.74	-
3.	Weighted average residual maturity (In years)	3.42	11.50
4.	Weighted average holding period of originator (In years)	1.73	N.A.
5.	Retention of beneficial economic interest	92%	33%
6.	Coverage of tangible security coverage	0.50%	0%
7.	Rating-wise distribution of rated loans		
	A+	4%	100%
	BBB+	6%	N.A.
	Unrated	90%	N.A.

(₹ crore except tenor)

Sr. No	Particulars	31 st March, 2024
1.	Aggregate amount of loans acquired through assignment	1,784.43
2.	Aggregate consideration paid	1,843.61
3.	Weighted average residual maturity (In years)	1.41
4.	Weighted average holding period of originator (In years)	0.53
5.	Retention of beneficial economic interest	100%
6.	Coverage of tangible security coverage (%)	Nil
7.	Rating-wise distribution of rated loans	Retail loans – NA

B. Details of Special Mention Accounts (SMAs):

a. The Bank has not transferred any Special Mention Account (SMA) (Previous year – Nil)

b. Details of Special Mention Accounts (SMAs) acquired from eligible lenders through Assignment:

(₹ crore except tenor)

Portfolio acquired during the year ended	From lenders listed in Clause 3 of the circular dated 24 th September, 2021		
	Aggregate Principal outstanding of loans acquired	Aggregate consideration paid	Weighted average residual tenor of loans acquired (in Years)
31 st March, 2025	30.33	17.39	0.87
31 st March, 2024	87.99	50.68	1.06

C. Details of Non-performing Assets (NPAs):

a. Details of of Non-performing Assets (NPAs) transferred to Eligible Lenders through Assignment:

(₹ crore except tenor)

S. No	Particulars	To ARCs	To permitted transferees
1.	No of accounts	2	1
2.	Aggregate principal outstanding of loans transferred	38.12	19.26
3.	Weighted average residual tenor of the loans transferred (years)	N.A.	16.51
4.	Net book value of loans transferred (at the time of transfer)	Nil	16.37
5.	Aggregate consideration	9	20.51
6.	Additional consideration realized in respect of accounts transferred in earlier years	Nil	Nil

The Bank has not transferred any Non- Performing Accounts (NPAs) in previous year.

b. Details of Non-performing Assets (NPAs) acquired from eligible lenders through Assignment:

(₹ crore except tenor)

Portfolio acquired during the year ended	From lenders listed in Clause 3 of the circular dated 24 th September, 2021		
	Aggregate Principal outstanding of loans acquired	Aggregate consideration paid	Weighted average residual tenor of loans acquired (in Years)
31 st March, 2025	8,896.99	426.69	5.06
31 st March, 2024	1,979.11	76.00	1.53

[§] - Weighted Average residual tenor of loans is excluding limit based facilities

c. Details of recovery ratings assigned for Security Receipts as :

Recovery Rating [^]	Anticipated Recovery as per Recovery Rating	Carrying Value* as at 31 st March, 2025 (₹ crore)	Carrying Value* as at 31 st March, 2024 (₹ crore)
NR1/R1+/RR1+	>150%	482.38	176.51
NR2/R1/RR1	100% - 150%	84.65	208.79
NR3/R2/RR2	75% - 100%	26.15	35.53
NR4/R3/RR3	50% - 75%	100.58	114.87
NR5/R4/RR4	25% - 50%	-	0.01
NR6/R5/RR5	0% - 25%	-	-
Yet to be rated**	-	540.01	134.60
Unrated	-	0.22	0.27
Total		1,233.99	670.58

[^] - Recovery Rating is as assigned by various external rating agencies.

* - Net of Provisions.

** - Recent purchases whose statutory period has not elapsed.

21. DISCLOSURES RELATING TO SECURITIZATION

The Bank has not under taken any securitization transaction during the year ended 31st March, 2025 (previous year Nil)

22. UNSECURED ADVANCES

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Total unsecured advances of the bank	89,036.60	87,573.75
Out of the above, amount of advances for which intangible securities such as charge over the rights, licenses, authority, etc. have been taken	-	-
Estimated value of such intangible securities	-	-

23. BUSINESS RATIOS / INFORMATION:

(₹ in crore)

Particulars	Year ended	
	31 st March, 2025	31 st March, 2024
Interest income as a percentage of working funds (A)	8.52%	8.66%
Non-Interest income as a percentage of working funds	2.41%	1.94%
Cost of deposits	5.10%	4.77%
Net Interest Margin (E)	4.96%	5.32%
Operating profit as a percentage of working funds (B) & (F)	3.95%	3.71%
Return on assets (average) (F)	2.65%	2.61%
Business (deposit plus advance) per employee (₹ in crore) (C)	10.89	9.63
Profit per employee (₹ in crore)	0.21	0.18

Definitions:

- (A) Working funds to be reckoned as average of total assets (excluding accumulated losses, if any) as reported to Reserve Bank of India in Form X, during the 12 months of the financial year.
- (B) Operating profit = (Interest Income + Other Income – Interest expenses – Operating expenses).
- (C) For the purpose of computation of business per employee (deposits plus advances), inter-bank deposits shall be excluded.
- (D) Productivity ratios are based on average number of employees.
- (E) Net Interest Income/ Average Earning Assets. Net Interest Income= Interest Income – Interest Expense
- (F) Return on Assets would be with reference to average working funds (i.e., total of assets excluding accumulated losses, if any).

24. MATURITY PATTERN OF CERTAIN ITEMS OF ASSETS AND LIABILITIES:**31st March, 2025:**

(₹ in crore)

Particulars	Day 1	2 to 7 days	8 to 14 days	15 to 30 days	31 days to 2 months	Over 2 months & to 3 months	Over 3 months & upto 6 months	Over 6 months & upto 1 year	Over 1 year & upto 3 years	Over 3 years & upto 5 years	Over 5 years	Total
Advances [^]	633.23	6,053.34	4,690.02	9,391.86	11,587.16	15,716.94	16,828.62	58,148.36	181,613.23	44,977.17	77,269.27	426,909.20
Investments [*]	63,896.25	6,059.32	2,183.84	20,129.13	5,402.65	7,057.06	8,927.13	15,955.97	41,878.11	2,026.52	6,255.78	179,771.76
Deposits	16,036.81	22,001.25	8,802.33	18,538.56	19,505.10	20,251.24	47,987.23	87,839.76	255,362.20	2,334.23	396.43	499,055.14
Borrowings	71.84	29,724.60	95.51	783.79	1,718.92	1,995.38	2,384.68	832.88	4,729.82	3,210.34	2,895.00	48,442.76
Foreign Currency Assets	6,361.16	10,103.40	430.51	1,572.65	4,693.39	2,644.10	2,083.82	1,657.07	3,314.44	4,086.99	312.97	37,260.50
Foreign Currency Liabilities	1,300.73	756.72	386.26	1,563.12	1,281.23	2,022.72	1,600.52	4,303.05	9,244.39	1,412.79	1,091.08	24,962.61

^{*} Listed equity investments in AFS have been considered at 50% (₹ 2,135.69 crore) haircut as per RBI directions.

[^] Funds raised through bills rediscounted and Inter Bank Participatory Certificate amounting ₹ 17,757.05 crore are netted off against advances.

31st March, 2024:

(₹ in crore)

Particulars	Day 1	2 to 7 days	8 to 14 days	15 to 30 days	31 days to 2 months	Over 2 months & to 3 months	Over 3 months & upto 6 months	Over 6 months & upto 1 year	Over 1 year & upto 3 years	Over 3 years & upto 5 years	Over 5 years	Total
Advances [^]	559.22	3,812.33	4,630.36	6,668.53	13,260.60	9,760.99	16,456.09	54,301.68	160,349.60	38,999.66	67,276.21	376,075.27
Investments [*]	74,361.32	3,524.62	2,306.69	3,904.20	4,578.21	7,470.72	13,624.12	13,732.35	37,545.12	2,758.74	6,052.44	169,858.53
Deposits	11,356.30	19,025.36	11,245.44	13,740.69	22,070.82	20,158.35	73,866.27	71,021.81	204,968.15	1,133.61	366.95	448,953.75
Borrowings	449.12	31.21	353.95	578.85	789.30	2,012.33	4,022.36	9,485.09	5,533.86	417.03	4,695.00	28,368.10
Foreign Currency Assets	1,154.64	450.80	160.07	741.83	939.90	1,914.31	845.62	6,584.61	6,320.32	470.99	578.22	20,161.31
Foreign Currency Liabilities	3,090.17	1,544.80	720.03	1,634.90	1,754.59	1,627.41	2,329.41	3,852.66	2,118.91	1,629.11	259.72	20,561.71

^{*} Listed equity investments in AFS have been considered at 50% (₹ 596.23 crore) haircut as per RBI directions.

^{*} ₹15,051 crore of Standing Deposit Facility with RBI is considered.

[^] Funds raised through bills rediscounted and Inter Bank Participatory Certificate amounting ₹ 15,653.46 crore are netted off against advances.

In computing the above information, certain estimates and assumptions have been made by the Bank's Management.

25. EXPOSURES:
(a) Exposure to Real Estate Sector*:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
a) Direct exposure	74,269.93	72,926.43
i. Residential Mortgages –	45,544.66	45,407.61
Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented; (Includes Individual housing loans eligible for inclusion in priority sector advances as at 31 st March, 2025 ₹ 1,935.74 crore and as at 31 st March, 2024 ₹ 1,836.47 crore). Exposure also includes non-fund based (NFB) limits		
ii. Commercial Real Estate –	28,725.27	27,518.82
Lending secured by mortgages on commercial real estates (office buildings, retail space, multi-purpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.). Exposure also includes non-fund based (NFB) limits		
iii Investments in Mortgage Backed Securities (MBS) and other securitised exposures-	-	-
- Residential,	-	-
- Commercial Real Estate	-	-
b) Indirect Exposure	4,324.51	3,313.34
Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs).	4,324.51	3,313.34
Total Exposure to Real Estate Sector (a+b)	78,594.44	76,239.77

* Calculated basis the Master Circular on Exposure Norms on limit or outstanding basis whichever is higher

(b) Exposure to Capital Market*:

(₹ in crore)

	As at	
	31 st March, 2025	31 st March, 2024
i. Direct investment in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt;#	1,187.82	1,967.29
ii. Advances against shares / bonds / debentures or other securities or on clean basis to individuals for investment in shares (including IPOs / ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds;	971.16	979.74
iii. Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity oriented mutual funds are taken as primary security;	-	-
iv. Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds i.e. where the primary security other than shares / convertible bonds / convertible debentures / units of equity oriented mutual funds does not fully cover the advances;	2,627.06	4,363.65
v. Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers;	6,924.79	2,604.48
vi. Loans sanctioned to corporates against the security of shares / bonds / debentures or other securities or on clean basis for meeting promoter's contribution to the equity of new companies in anticipation of raising resources;	-	-

(₹ in crore)

	As at	
	31 st March, 2025	31 st March, 2024
vii. Bridge loans to companies against expected equity flows / issues;	-	-
viii. Underwriting commitments taken up by the banks in respect of primary issue of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds;	357.45	581.62
ix. Financing to stockbrokers for margin trading;	-	1,900.40
x. All exposures to Venture Capital Funds (both registered and unregistered) will be deemed to be on par with equity and hence will be reckoned for compliance with the capital market exposure ceilings (both direct and indirect)	374.23	1,735.62
xi. Others (Financial Guarantees)	137.64	293.09
Total Exposure to Capital Market*	12,580.15	14,425.89

* The above amount excludes shares/convertible bonds aggregating to ₹ 57.59 crore (previous year ₹ 10.52 crore) acquired due to conversion of debt to equity under restructuring process. As per para 20 of DBR.No.BP.BC.101/21.04.048/2017-18 dated 12th February, 2018, the above amount is exempt from regulatory ceilings/restriction on capital market exposure.

* Calculated basis the Master Circular on Exposure Norms on limit or outstanding basis whichever is higher

(c) Risk category wise country exposure:

As per extant RBI guidelines, the country exposure of the Bank is categorized into various risk categories listed in following table.

(₹ in crore)

Risk Category	Exposure (net) as at 31 st March, 2025	Provision held as at 31 st March, 2025	Exposure (net) as at 31 st March, 2024	Provision held as at 31 st March, 2024
Insignificant	15,506.52	-	9,976.35	-
Low	5,005.64	-	452.75	-
Moderately Low	282.75	-	64.09	-
Moderate	286.34	-	-	-
Moderately High	854.75	-	-	-
High	30.95	-	38.83	-
Very High	-	-	-	-
Total	21,966.95	-	10,532.02	-

Exposure is given as net exposure basis the definition given in circular dated 19th February, 2003

26. CONCENTRATION OF DEPOSITS:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total deposits of twenty largest depositors	43,148.15	41,269.42
Percentage of deposits of twenty largest depositors to total deposits of the Bank	8.65 %	9.19%

27. CONCENTRATION OF ADVANCES*:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total advances to twenty largest borrowers	60,617.84	47,885.53
Percentage of advances to twenty largest borrowers to total advances of the bank	7.75%	7.10%

* Advances have been computed based on credit exposure i.e. funded and non-funded limits including derivative exposures where applicable. The sanctioned limits or outstanding, whichever are higher, have been reckoned. However, in the case of fully drawn term loans, where there is no scope for re-drawal of any portion of the sanctioned limit, Bank has reckoned the outstanding as the credit exposure.

The Bank has compiled the data for the purpose of this disclosure from its internal MIS system.

28. CONCENTRATION OF EXPOSURES:**

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total exposure to twenty largest borrowers/customers	73,290.71	55,876.33
Percentage of exposures to twenty largest borrowers/customers to total exposure of the bank on borrowers/customers	8.90%	7.78%

** Exposures represents credit, derivatives and investment exposure as prescribed in Master Circular on Exposure Norms DBR.No.Dir.BC. 12/13.03.00/2015-16 dated 1st July, 2015.

The Bank has compiled the data for the purpose of this disclosure from its internal MIS system.

29. DISCLOSURE ON RESOLUTION FRAMEWORK FOR COVID-19 RELATED STRESS:

In accordance with Resolution Framework for COVID-19 announced by RBI on 6th August, 2020 and 5th May, 2021, the Bank has implemented one-time restructuring for certain eligible borrowers and such borrowers are classified as Standard in accordance with the above framework.

The disclosure requirements as required by RBI circular dated 6th August, 2020 (Resolution Framework 1.0) and 5th May, 2021 (Resolution Framework 2.0) as at 31st March, 2025 is given below:

Type of borrower	Exposure to accounts classified as Standard consequent to implementation of resolution plan- Position as at the end of the previous half - year (A)**	Of (A), aggregate debt that slipped into NPA during the half-year	Of (A) amount written off during the half - year [#]	Of (A) amount paid by the borrowers during the half-year [^]	Exposure to accounts classified as Standard consequent to implementation of resolution plan- Position as at the end of this half - year
Personal Loans	35.06	0.70	0.21	5.67	28.69
Corporate persons*	25.59	-	-	12.54	13.05
Of which, MSMEs	25.21	-	-	12.23	12.98
Others	48.85	-	-	3.39	45.46
Total	109.50	0.70	0.21	21.60	87.20

* As defined in section 3(7) of the Insolvency and Bankruptcy Code, 2016

** Includes cases where requests received till 30th September, 2021 and implemented subsequently

[#] represents debt that slipped into NPA and was subsequently written off during the half-year

[^] includes change in balances on account of interest and net of increase in exposure during the period

30. The factoring exposure of the Bank as at 31st March, 2025 is ₹ 2,604.16 crore (previous year ₹ 4,710.44 crore).

31. During the year, the Reserve Bank of India has levied penalty of ₹ 0.01 crore (previous year ₹ 3.96 crore) on the Bank for the following:

Year ended 31st March, 2025:

- ₹ 0.01 crores for 8 instances in relation to exchange of soiled notes / adjudicate mutilated notes as detected during incognito visits undertaken by RBI.

Note: On 17th April, 2025, RBI had levied penalty of ₹ 0.61 crores towards non-compliance with certain directions issued by RBI on Guidelines on Loan System for Delivery of Bank Credit[†] and Loans and Advances – Statutory and Other Restrictions.

Year ended 31st March, 2024:

- ₹ 1 crore on account of failure to carryout annual review / due diligence of service provider.
- ₹ 1 crore on account of failure to ensure that customers are not contacted after 7 pm and before 7 am.
- ₹ 1 crore on account of levying interest from disbursement due date / loan agreement and not from the date of first disbursement of the loan contrary to the terms & conditions of sanction.
- ₹ 0.95 crore on account of charging foreclosures charges for the loans recalled by the Bank.
- ₹ 0.005 crore for 3 instances in relation to exchange of soiled notes / adjudicate mutilated notes as detected during incognito visits undertaken by RBI.

32. There are no Off-Balance Sheet SPVs sponsored (which are required to be consolidated as per accounting norms) (previous year Nil).

33. BANCASSURANCE BUSINESS:

(₹ in crore)

Sr. No.	Nature of Income	Year ended	
		31 st March, 2025	31 st March, 2024
1.	For selling life insurance policies	854.27	691.84
2.	For selling non life insurance policies	110.36	77.99
3.	For selling mutual fund products	355.66	278.01
4.	Others	-	-

This Income has been reflected under Commission, exchange and brokerage under Other Income.

34. FLOATING PROVISIONS:

(₹ in crore)

Particulars	Year ended	
	31 st March, 2025	31 st March, 2024
(a) Opening balance in the floating provisions account	Nil	Nil
(b) The quantum of floating provisions made in the accounting year	Nil	Nil
(c) Amount of draw down made during the accounting year	Nil	Nil
(d) Closing Balance in floating provisions account	Nil	Nil

35. DRAW DOWN FROM RESERVES:

In accordance with the RBI requirement there are no draw downs from reserves during the year (previous year Nil).

36. SUMMARY INFORMATION ON COMPLAINTS RECEIVED BY THE BANK FROM CUSTOMERS AND FROM THE OFFICES OF THE BANKING OMBUDSMAN (OBOS):

Sr. No	Particulars	31 st March, 2025	31 st March, 2024
Complaints received by the bank from its customers(*)			
1.	Number of complaints pending at beginning of the year	16,418	11,218
2.	Number of complaints received during the year	209,161	292,085
3.	Number of complaints disposed during the year	220,254	286,885
3.1	Of which, number of complaints rejected by the bank	96,577	125,105
4.	Number of complaints pending at the end of the year	5,325	16,418
Maintainable complaints received by the bank from OBOS			
5.	Number of maintainable complaints received by the bank from OBOS	5,173*	5,693*
5.1	Of 5, number of complaints resolved in favour of the bank by BOs	2,447	2,529
5.2	Of 5, number of complaints resolved through conciliation/mediation/advisories issued by BOs	2,726	3,164
5.3	Of 5, number of complaints resolved after passing of Awards by BOs against the bank	Nil	Nil
6.	Number of Awards unimplemented within the stipulated time (other than those appealed)	Nil	Nil

Note: Maintainable complaints refer to complaints on the grounds specifically mentioned in BO Scheme 2021 (Previously BO Scheme 2006) and covered within the ambit of the Scheme.

**Data is as received from CEPD, RBI*

**No of complaints reported are total complaints excluding complaints which are resolved within 0 & 1 working days. Net complaints previously excluded complaints received from the OBOS and which are resolved within 0 & 1 working days for the previous financial year and up to December 2024; from January 2025 to March, 2025, these (30 complaints) are now included.*

Top five grounds of complaints received by the bank from customers

Grounds of complaints, (i.e. complaints relating to)	Number of complaints pending at the beginning of the year	Number of complaints received during the year	% increase/ decrease in the number of complaints received over the previous year	Number of complaints pending at the end of the year	Of 5, number of complaints pending beyond 30 days
1	2	3	4	5	6
31st March, 2025					
ATM/Debit Cards	5,312	45,406	(43.4)%	980	174
Internet Banking /Mobile Banking/E-Banking	1,693	31,145	(51)%	325	6
Credit Cards	6,051	17,190	(45)%	580	149
Account opening/difficulty in operation of accounts	320	9,336	(40)%	199	12
Levy of charges without prior notice/excessive charges/ foreclosure charges	350	9,254	(26)%	406	1
Others	2,692	96,830	9%	2,835	92
Total	16,418	209,161	(28)%	5,325	434
31st March, 2024					
ATM/Debit Cards	1,126	80,267	0.3%	5,312	3,687
Internet Banking /Mobile Banking/E-Banking	5,686	63,287	(6)%	1,693	978
Credit Cards	924	31,345	77%	6,051	4,575
Account opening/difficulty in operation of accounts	660	15,641	(1)%	320	117
Levy of charges without prior notice/excessive charges/ foreclosure charges	365	12,561	69%	350	140
Others	2,457	88,984	88%	2,692	1,044
Total	11,218	292,085	24%	16,418	10,541

Note: The master list for identifying the grounds of complaints is provided in Appendix 1 as prescribed in Master Circular on Strengthening of Grievance Redress Mechanism in Bank (CEPD.CO.PR.D.Cir.No.01/13.01.013/2020-21; dtd 27th January 2021.)

The Bank has compiled the data for the purpose of this disclosure from its internal MIS system.

37. MARKETING AND DISTRIBUTION (EXCLUDING BANCASSURANCE BUSINESS)

(₹ in crore)

Sr. No.	Nature of Income	Year ended	
		31 st March, 2025	31 st March, 2024
1	Referral Fees	461.09	389.12
2	Arrangers Fees	275.15	185.60
4	Income on distribution of Sovereign Gold Bond	-	3.67
5	Other Income	10.70	7.15

Above has been reflected under Commission, exchange and brokerage under Other Income.

38. DISCLOSURES ON REMUNERATION**A. Qualitative Disclosures:****a) Information relating to the composition and mandate of the Remuneration Committee:**

The Nomination and Remuneration Committee of the Board of Directors assists the Board in laying down criteria and developing procedures and practices, in compliance with the provisions of applicable laws, for setting policies inter alia for the appointment of Directors and senior management personnel, determining their remuneration and evaluating performance and discharging Board's other responsibilities and functions concerning human resource.

The Nomination & Remuneration committee comprises of independent directors of the Bank. Key mandate of the Nomination & Remuneration committee is to oversee the overall design and operation of the compensation policy of the Bank and work in coordination with the Risk Management Committee to achieve alignment between risks and remuneration.

The Nomination and Remuneration Committee (NRC) will be, inter alia, reviewing and tracking the implementation of the Compensation Policy of the Bank. The NRC will comprise of at least 3 Non-executive Directors, out of which at least two third of the members should be independent directors and should include at least one member from the Bank's Risk Management Committee of the Board. (RMC).

b) Information relating to the design and structure of remuneration processes and the key features and objectives of remuneration policy¹:

Objective of Banks' Compensation Policy is:

- To maintain fair, consistent and equitable compensation practices in alignment with Bank's core values and strategic business goals;
- To ensure effective governance of compensation and alignment of compensation practices with prudent risk taking;
- To have mechanisms in place for effective supervisory oversight and Board engagement in compensation;
- To ensure that the Compensation practices are within the regulatory framework stipulated from time to time by RBI.

The remuneration process is aligned to the Bank's Compensation Policy objectives.

c) Description of the ways in which current and future risks are taken into account in the remuneration processes. It should include the nature and type of the key measures used to take account of these risks:

In order to manage current and future risk and allow a fair amount of time to measure and review both quality and quantity of the delivered outcomes, a significant portion of senior and middle management compensation is variable. Further reasonable portion variable compensation is non- cash and deferred, over a period of 3 years or longer.

In case the employee is retiring within next 2 years, cash to non-cash ratio may change in favor of more cash (including deferred cash) and the vesting schedule may be shorter.

In addition, remuneration process provides for 'malus' and 'clawback' option to take care of any disciplinary issue or future drop in performance of individual/ business/ company.

The nature and type of these measures have not changed over the past year and hence, there is no impact on remuneration.

d) Description of the ways in which the bank seeks to link performance during a performance measurement period with levels of remuneration²:

Individual performances are assessed in line with business/ individual delivery of the Key Result Areas (KRAs), top priorities of business, budgets etc. KRAs of Line roles are linked to financials, people, service and process (Quality) and compliance parameters and KRAs of non-Line Roles have linkage to functional deliveries needed to achieve the top business priorities.

Further remuneration process is also linked to market salaries/ job levels, business budgets and achievement of individual KRAs.

In cases where the performance metrics are weak with respect to bank performance, business performance and individual performance parameters, the Bank moderates the remuneration taking into account the weak performance.

¹ GRI 2-19 | ² GRI 2-20

e) A discussion of the banks' policy on deferral and vesting of variable remuneration and a discussion of the bank's policy and criteria for adjusting deferred remuneration before vesting and after vesting:

A discussion on Policy on Deferral of Remuneration basis last amendment effective 1st April, 2024

The Compensation Policy is applicable for all employees of the Bank.

Employees have been broadly classified into following categories:

- Category I – Comprising MD & CEO and Whole Time Directors (WTDs).
- Category II – Material Risk Takers (MRTs). These include employees whose actions may have material impact on the risk exposures of the bank and who satisfy both – qualitative and quantitative criteria, as given below:
 - Qualitative Criteria:
 - i. Employees in the grade M10 and above
 - ii. Organization Structure: Business & Function Heads in reporting hierarchy up to 2 level below MD&CEO
 - Quantitative Criteria: Fixed Cost to Company (FCTC) is above ₹ 1.5 Crore p.a.

This excludes employees under Category III.

Note: The definition applicable for FY2024 is as mentioned below

Category II – Material Risk Takers (MRTs). These include employees whose actions may have material impact on the risk exposures of the bank and who satisfy both - qualitative and quantitative criteria, as given below:

- Qualitative Criteria: Employees in the grade M10 and above
- Quantitative Criteria: FCTC is above ₹ 1.25 Crore p.a.

This excludes employees under Category III.

- Category III – Risk control and compliance employees – comprising staff in grade M9 and above in the following Control functions;
 - Risk & Policy function
 - Financial Control including group consolidation;
 - Compliance;
 - Internal Audit;
 - Back-office Operations
 - Vigilance
 - Legal
 - Secretarial
 - HR
 - Investor Relations
 - CSR
- Category IV: Other employees - This includes all employees, not explicitly covered in the first three categories.

Following principles are applied for deferral / vesting of variable remuneration in accordance with RBI guidelines and Bank's compensation policy:

Category I & II

- At least 50% of Total Pay, should be variable for arriving at the total compensation for the year
- The Cash component of the Variable Pay will not exceed 50% of the Fixed Pay
- The total variable payout shall be limited to a maximum of 300% of the fixed pay.
- In case variable pay is up to 200% of the fixed pay, a minimum of 50% of the variable pay; and in case variable pay is above 200%, a minimum of 67% of the variable pay should be via non-cash instruments.

- Regardless of the quantum of pay, a minimum of 60% of the total variable pay must invariably be under deferral arrangements. Further, if cash component is part of variable pay, at least 50% of the cash bonus should also be deferred.
- However, in cases where the cash component of variable pay is under ₹ 25 lakh for a year, deferral requirements would not be necessary.
- The deferral period should be a minimum of three years. This would be applicable to both, the cash and non-cash components of the variable pay.

The compensation will be approved by the Nomination and Remuneration committee. Additionally, for Category I, the same will be further approved by RBI.

Category III

- The total variable payout shall be limited to a maximum of 300% of the fixed pay.
- However, in cases where the cash component of variable pay is under ₹ 25 lakh for a year, deferral requirements would not be necessary.
- The deferral period should be a minimum of three years. This would be applicable to both, the cash and non-cash components of the variable pay.

Approval authority: MD & CEO or as delegated by MD & CEO, will approve the variable pay.

For adjusting deferred remuneration before & after vesting:

Malus: Payment of all or part of amount of deferred variable pay can be prevented.

Clawback: Previously paid or already vested deferred variable pay can also be recovered under this clause.

Malus and clawback may be applied for following circumstances:

- Fraud, misfeasance, breach of trust, dishonesty, or wrongful disclosure by the employee of any confidential information pertaining to the bank or any of its affiliates;
- Willful misinterpretation / misreporting of financial performance of the bank;
- Material failure in risk management controls or material losses due to negligent risk-taking which are attributable to the employee, whether directly or indirectly;
- Any misconduct pertaining to moral turpitude, theft, misappropriation, corruption, forgery, embezzlement or an act of a felonious or criminal nature;
- Non-disclosure of material conflict of interest by the employee or any misuse of official powers;
- An act of willful, reckless or grossly negligent conduct which is detrimental to the interest or reputation of the bank or any of its affiliates, monetarily or otherwise;
- Material breach of Code of Conduct, any Non-Disclosure Agreement, regulatory procedures, internal rules and regulations or any other such instance for which the NRC, in its discretion, deems it necessary to apply malus or / and clawback provisions;

Besides the above there can be other circumstances when malus may be applied. In deciding the application of malus / clawback to any part or all of variable pay or incentives (whether paid, vested or unvested), the NRC will follow due process and adhere to the principles of natural justice and proportionality.

f) Description of the different forms of variable remuneration (i.e. cash, shares, ESOPs and other forms) that the bank utilizes and the rationale for using these different forms:

Depending on the nature of the business/function/ role, the risk involved, the time horizon for review, various forms of Variable Pay may be applicable.

The components of such variable pay will include:

- Cash – this may be paid at intervals ranging from Monthly, Quarterly, half-yearly and annual. The Monthly/ Quarterly / Half Yearly Variable Pay will be under the role and preapproved business specific incentive schemes. This may be payable within one year of grant.

- Long Term Incentive Pay (LTIP): This shall be granted to employees, in the form of Employee Stock Options (ESOPs) and / or Stock Appreciation Rights (SARs) and / or Deferred Cash. This shall be granted on a discretionary and reasonable basis, to motivate employees, create shareholder value by aligning interest of employees with the long-term interests of the Bank. LTIP may also be granted from time to time with the objective of retaining employees.
 - ESOPs/ SARs will be linked to Kotak Mahindra Bank Stock price and will vest over a period of time.
 - Black Scholes Model will generally be applied for arriving at the value of the units to be granted. However, Bank may choose any other model with the approval of NRC within the regulatory framework.
 - ESOPs / SARs will be approved by the NRC. The quantum of ESOPs / SARs will be reasonable and the formulation of the ESOP series, the coverage, the vesting period and their pricing schedule, etc. will also be decided by the NRC as per SEBI guidelines.
 - Deferred Cash may be paid over a period of 3 to 5 years.

g) External consultants whose advice has been sought, the body by which they were commissioned, and in what areas of the remuneration process:

During the year ended 31st March, 2025, the Bank employed the services of a consulting firm for market benchmarking in the area of compensation and benefits, including executive compensation.

B. QUANTITATIVE DISCLOSURES:

a) Number of meetings of the Nomination and Remuneration Committee held during the financial year and remuneration (sitting fees) paid to its members during the financial year.

During the financial year ended 31st March, 2025, 8 meetings (previous year 14 meetings) of the Nomination and Remuneration Committee were held. Members of the Nomination and Remuneration Committee were paid, for attending the meetings held during the financial year, a sitting fee of ₹ 75,000 per meeting [previous year ₹ 75,000 per meeting].

b) Number of employees having received a variable remuneration award during the financial year.

As per FY25 policy for the year ended 31st March, 2025 ("FY2025 policy"):

Quantitative disclosure restricted to one CEO & two* Whole Time Directors (Executive Directors) as Category I employees and Thirty Category II employees as Material Risk Takers. For employees who have moved to a group company or retired or separated as well as new joiner awards up to the date in the Bank are included.

*Plus 1 Whole Time Director (Executive Director) during the year

As per FY24 policy for the year ended 31st March, 2024 ("FY2024 policy"):

Quantitative disclosure restricted to one CEO* & two Whole Time Directors as Category I employees and Seventy Seven Category II employees as Material Risk Takers. For employees who have moved to a group company or retired or separated as well as new joiner awards up to the date in the Bank are included.

*Plus 2 CEOs during the year

c) Number of employees and total amount of sign-on/joining bonus made during the financial year.

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
No of employees	1	7
Cash (Cr)	Nil	Nil
ESOPs (equity shares)	Nil	217,400
SARs (rights)	47,000	51,813

d) Details of severance pay, in addition to accrued benefits, if any.

Year ended 31 st March, 2025	Year ended 31 st March, 2024
Nil	Nil

e) Total amount of outstanding deferred remuneration, split into cash, types of share-linked instruments and other forms.

	As at 31 st March, 2025	As at 31 st March, 2024
Cash (Deferred)	₹ 26.54 crore	₹ 35.24 crore
Outstanding SARs	502,875 rights	829,064 rights
Outstanding ESOPs	724,399 equity shares	859,823 equity shares

f) Total amount of deferred remuneration paid out in the financial year.

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Cash (Deferred)	₹ 10.39 crore	₹ 12.20 crore
Payment towards SARs	₹33.73 crore	₹42.25 crore

g) Breakdown of amount of remuneration awards for the financial year to show fixed and variable, deferred and non-deferred.**Fixed Pay**

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Total fixed salary	₹ 97.08 crore	₹ 155.13 crore

Variable Pay

	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Deferred Variable Pay[§]		
Cash (Deferred)	₹ 18.40 crore	₹ 20.73 crore
SARs	244,110 rights	415,361 rights
ESOPs	427,370 equity shares	434,647 equity shares
Non Deferred variable pay[§]	₹ 19.58 crore	₹ 26.25 crore

[§] Details relating to variable pay pertains to remuneration awards for the financial year 2023-24 awarded in FY2025. Remuneration award for the year ended 31st March, 2025 are yet to be reviewed and approved by the Nomination and Remuneration Committee.

h) Total amount of outstanding deferred remuneration and retained remuneration exposed to ex post explicit and / or implicit adjustments.

Nil (previous year Nil)

i) Total amount of reductions during the financial year due to ex- post explicit adjustments.

Nil (previous year Nil)

j) Total amount of reductions during the financial year due to ex- post implicit adjustments.

Nil (previous year Nil)

k) Number of MRT identified

34 (previous year 82)

l) Number of cases where malus has been exercised.

Nil (previous year Nil)

m) Number of cases where clawback has been exercised.

Nil (previous year Nil)

n) Number of cases where both malus and clawback have been exercised

Nil (previous year Nil)

o) The mean pay for the bank as a whole (excluding sub-staff) and the deviation of the pay of each of its WTDs from the mean pay.

Mean pay for the Bank as a whole for all employees who were in employment for the whole of FY2024-25 and FY2023-24 was ₹ 0.13 crore (previous year ₹ 0.12 crore).

Ratio of pay of each WTD to the mean pay for the Bank as a whole³

Director	Ratio	
	Year ended 31 st March, 2025	Year ended 31 st March, 2024
Mr. Ashok Vaswani	98.76X	13.40X
Mr. K.V.S. Manian	5.46X	50.18X
Ms. Shanti Ekambaram	50.64X	54.63X
Mr. Dipak Gupta	-	67.40X
Mr. Jaydeep Hansraj	3.63X	-

Notes:

1. Pay includes Fixed pay + variable pay paid during the year + perquisite value as calculated under the Income Tax Act, 1961(excluding perquisite value of Stock Options).
2. Stock Appreciation Rights are awarded as variable pay. These are settled in cash and are linked to the average market price/closing market price of the Bank's stock on specified dates. Cash paid out during the year is included for the purposes of remuneration.
3. Mr. Dipak Gupta superannuated on 31st Dec 2023 hence there are no comparative details for FY 2024-25
4. Mr. KVS Manian's remuneration for FY 2024-25 is for 1 month (Resigned as JMD effective Apr' 24)
5. Mr. Ashok Vaswani's remuneration for FY 2023-24 is for 3 months (Appointed as MD & CEO effective Jan'24)
6. Mr. Jaideep Hansraj's remuneration is from 11th Feb 2025 to 31st Mar 2025 (Appointed as WTD effective 11th Feb'25)

39. INTRA – GROUP EXPOSURES

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
(a) Total amount of intra-group exposures	9,250.42	6,624.16
(b) Total amount of top-20 intra-group exposures	9,241.02	6,620.09
(c) Percentage of intra-group exposures to total exposure of the bank on borrowers / customers	1.12%	0.92%
(d) Details of breach of limits on intra-group exposures and regulatory action thereon, if any.	NA	NA

The Bank has compiled the data for the purpose of this disclosure from its internal MIS system.

40. TRANSFERS TO DEPOSITOR EDUCATION AND AWARENESS FUND (DEA FUND)

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Opening balance of amounts transferred to DEA Fund	412.00	356.42
Add: Amounts transferred to DEA Fund during the year	141.91	67.51
Less: Amounts reimbursed by DEA Fund towards claim	11.40	11.93
Closing balance of amounts transferred to DEA Fund	542.51	412.00

³GRI 2-21

41. UNHEDGED FOREIGN CURRENCY EXPOSURE OF BORROWERS:

The Bank recognises the importance of the risk of adverse fluctuation of foreign exchange rates on the profitability and financial position of borrowers who are exposed to currency risk. Currency induced credit risk refers to the risk of inability of borrowers to service their debt obligations due to adverse movement in the exchange rates and corresponding increase / decrease in their book values of trade payables, loan payables, trade receivables, etc. thereby exposing the Bank to risk of default by the borrower. In this regard, the Bank had put in place requisite policies & processes for monitoring and mitigation of currency induced credit risk of borrowers, as required by RBI circular dated 11th October, 2022. These include the following:

- a) Currency risk of borrowers on account of un-hedged foreign currency exposures ("UFCE") is duly considered and analysed in credit appraisal notes.
- b) Quarterly monitoring of un-hedged foreign currency exposures of borrowers.
- c) Risk classification of borrowers having un-hedged foreign currency exposures, into Low / Medium / High, as per internal norms, based on potential loss / EBID ratio. Potential loss means the loss which may arise over a one year horizon by adverse movement of exchange rates; this is computed as UFCE amount multiplied by the annual volatility factor.
- d) Incremental provisioning (over and above provision applicable for standard assets) is made in Bank's Profit and Loss Account, on borrower counterparties having UFCE, depending on the potential loss / EBID ratio, in line with stipulations by RBI. Incremental capital is maintained in respect of borrower counterparties in the highest risk category, in line with stipulations by RBI. These requirements are given below:

Potential Loss / EBID ratio	Incremental Provisioning Requirement (computed on the total credit exposures reckoned for standard asset provisioning)	Incremental Capital Requirement
Up to 15%	Nil	Nil
More than 15% to 30%	20 bps	Nil
More than 30% to 50%	40 bps	Nil
More than 50% to 75%	60 bps	Nil
More than 75% (Most risky)	80 bps	25 per cent increase in the risk weight

- e) In case of borrowers exposed to currency risk where declarations for foreign currency payables / receivables (UFCE declarations) are not submitted, provision for currency induced credit risk is made as per RBI stipulated rates mentioned below:
 - 10 bps in cases where limits with banking system are ₹ 50 crore or less;
 - 80 bps in cases where limits with banking system are more than ₹ 50 crore.
- f) Further, where annual certification from statutory auditors of UFCE data is not submitted, such borrowers are treated as UFCE declaration not submitted cases and provision is computed as per point (e) above.
- g) Exemption allowed by RBI are excluded from UFCE provision computation, including specified all India financial institutions, multilateral agencies, domestic & foreign sovereigns, and other exemptions. Further, 100% FD backed exposure is not reckoned as exposure as per RBI definition and thus not reckoned by the Bank for UFCE provision computation. Similarly, LCBD and BG/LC backed exposures are considered as exposure to LC/ SBLC issuing banks and not to borrower entity.
- h) Management of foreign exchange risk is considered as a parameter for internal risk rating of borrowers.

Provision held for currency induced credit risk as at 31st March, 2025 is ₹ 96.98 crores. (previous year ₹ 73.55 crores). Incremental Risk weighted Assets value considered for the purpose of CRAR calculation in respect of currency induced credit risk as at 31st March, 2025 is ₹ 3,585.81 crores (previous year ₹ 3,154.68 crores).

42. a) Liquidity Coverage Ratio

		Average Q4 2024-2025				Average Q3 2024-2025				Average Q2 2024-2025				Average Q1 2024-2025			
Number of working days in the quarter		68		69		70		67		67		67		67		67	
Particulars		Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)
High Quality Liquid Assets																	
1 Total High Quality Liquid Assets (HQLA)			131,341		141,440		135,585		133,562								
Cash Outflows																	
2 Retail deposits and deposits from small business customers, of which:																	
(i) Stable deposits		46,685	2,334	41,820	2,091	41,210	2,060	41,231	2,062								
(ii) Less stable deposits		225,807	22,581	225,797	22,580	216,505	21,651	208,618	20,862								
3 Unsecured wholesale funding, of which																	
(i) Operational deposits (all counterparties)		-	-	-	-	-	-	-	-								
(ii) Non-operational deposits (all counterparties)		142,165	86,758	138,545	86,682	132,816	85,571	130,502	81,636								
(iii) Unsecured debt		7,253	7,254	7,909	7,909	5,416	5,416	5,252	5,252								
4 Secured wholesale funding		8,386	1	4,628	1	4,590	1	703	1								
5 Additional requirements, of which																	
(i) Outflows related to derivative exposures and other collateral requirements		26,442	26,442	37,007	37,007	34,255	34,255	33,477	33,477								
(ii) Outflows related to loss of funding on debt products																	
(iii) Credit and liquidity facilities		3,813	399	4,080	433	3,467	356	3,180	324								
6 Other contractual funding obligations		8,854	8,854	8,417	8,417	8,236	8,236	7,807	7,807								
7 Other contingent funding obligations		231,046	10,399	222,048	9,993	221,139	9,964	216,023	9,710								
8 Total Cash Outflows			165,022		175,113		167,510		161,131								
Cash Inflows																	
9 Secured lending (e.g. reverse repos)		955	5	3,630	1	5,292	10	7,456	3								
10 Inflows from fully performing exposures		74,723	61,813	72,634	61,742	71,472	61,238	68,796	58,919								
11 Other cash inflows		1,269	635	1,392	696	1,195	598	1,302	651								
12 Total Cash Inflows			62,453		62,439		61,846		59,573								
			Total Adjusted Value		Total Adjusted Value		Total Adjusted Value		Total Adjusted Value								
13 TOTAL HQLA			131,341		141,440		135,585		133,562								
14 Total Net Cash Outflows			102,569		112,674		105,664		101,558								
15 Liquidity Coverage Ratio (%)			128.05%		125.53%		128.32%		131.51%								

(₹ in crore)

(₹ in crore)

Number of working days in the quarter		Average Q4 2023-2024		Average Q3 2023-2024		Average Q2 2023-2024		Average Q1 2023-2024					
		67	Total Unweighted Value (average)	Total Weighted Value (average)	68	Total Unweighted Value (average)	Total Weighted Value (average)	69	Total Unweighted Value (average)	Total Weighted Value (average)	66	Total Unweighted Value (average)	Total Weighted Value (average)
Particulars													
High Quality Liquid Assets													
1	Total High Quality Liquid Assets (HQLA)												
Cash Outflows													
2	Retail deposits and deposits from small business customers, of which:												
	(i)	Stable deposits	40,923	2,046	40,053	2,003	38,014	1,901	36,398	1,820			
	(ii)	Less stable deposits	201,581	20,158	195,223	19,522	187,351	18,735	178,229	17,823			
3	Unsecured wholesale funding, of which												
	(i)	Operational deposits (all counterparties)	-	-	-	-	-	-	-	-			
	(ii)	Non-operational deposits (all counterparties)	120,099	74,115	120,801	74,669	117,751	72,107	106,623	64,521			
	(iii)	Unsecured debt	4,016	4,016	3,933	3,933	4,420	4,420	3,194	3,194			
4	Secured wholesale funding												
			968	2	180	2	422	2	2,485	2			
5	Additional requirements, of which												
	(i)	Outflows related to derivative exposures and other collateral requirements	28,659	28,659	28,883	28,883	24,699	24,699	22,563	22,563			
	(ii)	Outflows related to loss of funding on debt products											
	(iii)	Credit and liquidity facilities	3,102	336	2,773	289	3,627	446	3,078	280			
6	Other contractual funding obligations												
			9,024	9,024	8,590	8,590	6,782	6,782	5,574	5,574			
7	Other contingent funding obligations												
			208,184	9,330	203,218	9,055	195,440	8,702	188,564	8,432			
8	Total Cash Outflows												
				147,686		146,946		137,794		124,209			
Cash Inflows													
9	Secured lending (e.g. reverse repos)												
			5,566	10	10,405	5	8,307	10	1,914	7			
10	Inflows from fully performing exposures												
			61,638	51,305	55,600	46,809	47,064	39,625	41,700	34,880			
11	Other cash inflows												
			1,081	541	1,388	694	1,024	512	1,316	658			
12	Total Cash Inflows												
				51,856		47,508		40,147		35,545			
				Total Adjusted Value		Total Adjusted Value		Total Adjusted Value		Total Adjusted Value			
13	TOTAL HQLA												
				119,711		118,818		117,322		102,187			
14	Total Net Cash Outflows												
				95,830		99,438		97,647		88,664			
15	Liquidity Coverage Ratio (%)												
				124.92%		119.49%		120.15%		115.25%			

b) Qualitative disclosure around LCR

The Reserve Bank of India has prescribed monitoring of sufficiency of Bank's liquid assets using Basel III – Liquidity Coverage Ratio (LCR). The LCR is aimed at measuring and promoting short-term resilience of Banks to potential liquidity disruptions by ensuring maintenance of sufficient high quality liquid assets (HQLAs) to survive an acute stress scenario lasting for 30 days.

The ratio comprises of high quality liquid assets (HQLAs) as numerator and net cash outflows in 30 days as denominator. HQLA has been divided into two parts i.e. Level 1 HQLA which comprises of primarily cash, excess CRR, SLR securities in excess of minimum SLR requirement and a portion of mandatory SLR as permitted by RBI (under MSF and FALLCR) and Level 2 HQLA which comprises of investments in highly rated non-financial corporate bonds and listed equity investments considered at prescribed haircuts. Cash outflows are calculated by multiplying the outstanding balances of various categories or types of liabilities by the outflow run-off rates and cash inflows are calculated by multiplying the outstanding balances of various categories of contractual receivables by the rates at which they are expected to flow in.

The Bank has implemented the LCR framework and has consistently maintained LCR well above the regulatory threshold. The average LCR for the quarter ended 31st March, 2025 was 128.05% which is above the regulatory requirement of 100%. For the quarter ended 31st March, 2025 average Level 1 HQLA stood at 93.06% (122,222 crore.) of the total HQLA.

Apart from LCR, Bank uses various stock liquidity indicators to measure and monitor the liquidity risk in terms of funding stability, concentration risk, dependence on market borrowings, liquidity transformation, etc. The Bank maintains a diversified source of funding in terms of depositors, lenders and various funding instruments. This is evident through low depositor and lender concentration with top 20 depositors contributing 8.65% of Bank's total deposits and top 10 lenders contributing 1.67% of Bank's total liabilities.

Asset Liability Committee (ALCO) of the Bank is the primary governing body for Liquidity Risk Management supported by Balance Sheet Management Unit (BMU), Risk Management Department (RMD), Finance and ALCO Support Group. BMU is the central repository of funds within the Bank and is vested with the responsibility of managing liquidity risk within the risk appetite of the Bank. Bank has incorporated Basel III Liquidity Standards - LCR and NSFR as part of its risk appetite statement for liquidity risk.

43. FRAUDS

The Bank has reported 306 (previous year 896 cases) fraud cases involving fraud amount of ₹ one lakh and above during the financial year ended 31st March, 2025 amounting to ₹ 69.96 crore (previous year ₹ 97.91 crore). The Bank has recovered / expensed off / provided the entire amount where necessary.

Details of fraud provisioning made in more than one financial year:

(₹ in crore)

Number of fraud reported	Amount involve in Fraud	Provision made during the year	Quantum of unamortised provision debited from 'other reserve'
Nil	Nil	Nil	Nil

44. DIVIDEND

The Board of Directors of the Bank have a proposed a dividend of ₹ 2.50 per share having a face value ₹ 5 for the year ended 31st March, 2025 (previous Year ₹ 2.00 per share). Dividend will be paid after the approval of the shareholders at the Annual General Meeting.

45. PAYMENT OF DICGC INSURANCE PREMIUM

(₹ in crore)

Sr. No.	Particulars	31 st March, 2025	31 st March, 2024
i)	Payment of DICGC Insurance Premium	539.16	454.48
ii)	Arrears in payment of DICGC Premium	-	-

46. IMPLEMENTATION OF IFRS CONVERGED INDIAN ACCOUNTING STANDARDS (IND AS)

The Ministry of Finance, Government of India, had vide its press release dated 18th January, 2016 outlined the roadmap for implementation of International Financial Reporting Standards (“IFRS”) converged Indian Accounting Standards (“Ind AS”) for Scheduled Commercial Bank (excluding RRBs), Non-Banking Financial Companies and Insurance companies. The Reserve Bank of India (“RBI”) vide its circular dated 22nd March, 2019, deferred the implementation of Ind AS for Scheduled Commercial Banks (“SCB”) till further notice pending the consideration of some recommended legislative amendments by the Government of India. The RBI has not issued any further notification on implementation of Ind AS for SCBs.

The Bank has formed Steering Committee for Ind AS implementation. The Steering Committee headed by the Deputy Managing Director (‘DMD’) comprises representatives from Finance, Risk, Information Technology, and Treasury. The Committee closely reviews progress of Ind AS implementation in the Bank and provides guidance on critical aspects of the implementation. Further, there may be new regulatory guidelines and clarifications for Ind AS application, which the Bank will need to suitably incorporate in its implementation. The Bank prepares Proforma Ind AS Financial statements on a half yearly basis and submits to RBI.

47. DISCLOSURE ON AMORTISATION OF EXPENDITURE ON ACCOUNT OF ENHANCEMENT IN FAMILY PENSION OF EMPLOYEES OF BANKS

Pursuant to the revision in family pension payable to employees of the Bank covered under 11th Bi-Partite settlement and Joint Note dated 11th November, 2020, the Bank has recognised the entire additional liability of ₹ Nil in the Profit and Loss Account during the year ended 31st March, 2025 (previous year Nil). There is no unamortised expenditure in the Balance Sheet on account of Family Pension.

48. DISCLOSURE OF LETTERS OF COMFORT (LOCs) ISSUED BY BANKS

The Bank has not issued any letters of comfort for its subsidiaries and associates (previous year Nil).

49. PORTFOLIO-LEVEL INFORMATION ON THE USE OF FUNDS RAISED FROM GREEN DEPOSITS

The Bank has not yet offered green deposits to its customers.

50. ITEMS EXCEEDING 1% OF TOTAL ASSETS/TOTAL INCOME

- a) Details of items under Others (including provisions) (Schedule 5 – Other Liabilities and Provisions) exceeding 1% of total assets of the Bank is Nil. (previous year Nil).
- b) Details of items under Others (Schedule 11 – Other Assets) exceeding 1% of total assets of the Bank is Nil (previous year Nil)
- c) Details of items under Miscellaneous Income (Schedule 14 – Other Income) exceeding 1% of total income of the Bank is Nil. (previous year Nil)
- d) Details of items under Other expenditure (Schedule 16 – Operating Expenses) exceeding 1% of total income of the Bank are given below:

(₹ in crore)

Sr. No.	Nature of expense	Year ended 31 st March, 2025	Year ended 31 st March, 2024
1	Professional Fees	1,857.07	1,955.94
2	Brokerage Fees	802.06	770.58

B. OTHER DISCLOSURES :

1. EARNINGS PER EQUITY SHARE:

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Reconciliation between weighted shares used in the computation of basic and diluted earnings per share		
Weighted average number of equity shares used in computation of basic earnings per share	1,988,096,870	1,987,326,015
Effect of potential equity shares for stock options outstanding	41,645	150,565
Weighted average number of equity shares used in computation of diluted earnings per share	1,988,138,515	1,987,476,580
Following is the reconciliation between basic and diluted earnings per share		
Nominal value per share	5.00	5.00
Basic earnings per share	82.74	69.15
Effect of potential equity shares for stock options	0.00	0.00
Diluted earnings per share	82.74	69.15
Profit for the year after tax (₹ in crore)	16,450.08	13,781.58
Less : Preference dividend including tax (₹ in crore)	-	38.51
Earnings used in the computation of basic and diluted earnings per share (₹ in crore)	16,450.08	13,743.07

2. SEGMENT REPORTING:

The Summary of the operating segments of the Bank are as given below:

(₹ in crore)

Sr. No.	Particulars	31 st March, 2025	31 st March, 2024
1.	Segment Revenue		
a.	Treasury, BMU and Corporate Centre [#]	15,246.03	10,122.25
b.	Corporate / Wholesale Banking	24,786.28	22,788.95
c.	Retail Banking*	33,829.72	27,831.08
(i)	Digital Banking	2,171.33	1,536.19
(ii)	Other Retail Banking	31,658.39	26,294.89
d.	Other Banking business	-	-
	Sub-total	73,862.03	60,742.28
	Less : Inter-segmental revenue	5,981.17	4,670.27
	Total	67,880.86	56,072.01
2.	Segment Results		
a.	Treasury, BMU and Corporate Centre [#]	7,835.77	4,807.18
b.	Corporate / Wholesale Banking	7,890.16	7,473.79
c.	Retail Banking*	5,858.18	5,732.75
(i)	Digital Banking	284.45	118.36
(ii)	Other Retail Banking	5,573.73	5,614.39
d.	Other Banking business	-	-
	Sub-total	21,584.11	18,013.72
	Total Profit Before Tax	21,584.11	18,013.72
	Provision for Tax	5,134.03	4,232.14
	Total Profit After Tax	16,450.08	13,781.58

(₹ in crore)

Sr. No.	Particulars	31 st March, 2025	31 st March, 2024
3.	Segment Assets		
a.	Treasury, BMU and Corporate Centre	217,430.77	179,075.58
b.	Corporate / Wholesale Banking	274,494.22	239,539.02
c.	Retail Banking*	443,829.55	384,257.91
(i)	Digital Banking	52.99	60.60
(ii)	Other Retail Banking	443,776.56	384,197.31
d.	Other Banking business	-	-
	Sub-total	935,754.54	802,872.51
	Less : Inter-segmental Assets	242,130.36	203,032.03
	Total	693,624.18	599,840.48
	Add : Unallocated Assets	-	516.57
	Total Assets as per Balance Sheet	693,624.18	600,357.05
4.	Segment Liabilities		
a.	Treasury, BMU and Corporate Centre	177,867.83	134,765.70
b.	Corporate / Wholesale Banking	244,021.51	218,547.17
c.	Retail Banking*	395,970.73	353,357.46
(i)	Digital Banking	19,063.17	15,585.65
(ii)	Other Retail Banking	376,907.56	337,771.81
d.	Other Banking business	-	-
	Sub-total	817,860.07	706,670.33
	Less : Inter-segmental Liabilities	242,130.36	203,032.03
	Total	575,729.71	503,638.30
	Add : Unallocated liabilities	748.85	79.29
	Add : Share Capital & Reserves & surplus	117,145.62	96,639.46
	Total Capital & Liabilities as per Balance Sheet	693,624.18	600,357.05
5.	Capital Expenditure		
a.	Treasury, BMU and Corporate Centre	228.27	186.35
b.	Corporate / Wholesale Banking	78.06	57.75
c.	Retail Banking	641.50	630.10
d.	Other Banking business	-	-
	Total	947.83	874.20
6.	Depreciation / Amortisation		
a.	Treasury, BMU and Corporate Centre	151.11	118.25
b.	Corporate / Wholesale Banking	59.19	47.55
c.	Retail Banking	518.39	448.99
d.	Other Banking business	-	-
	Total	728.69	614.79

Segmental Information is provided as per the MIS available for internal reporting purposes, which includes certain estimates and assumptions.

Segment results are net of segment revenue and segment expenses including interdivisional items.

*RBI's Master Direction on Financial Statements - Presentation and Disclosures, requires to divide the 'Retail banking' into (a) Digital Banking (as defined in RBI circular on Establishment of Digital Banking Units dated 7th April, 2022) and (b) Other Retail Banking segment.

[#]Including exceptional item [Refer note 17 – Schedule 18(B)]

3. LEASE DISCLOSURES:

- a. The Bank has taken various premises and equipment under operating lease. The lease payments recognised in the Profit and Loss Account are ₹ 836.81 crore (previous year ₹ 661.70 crore). The sub-lease income recognised in the Profit and Loss Account is ₹ 14.17 crore (previous year ₹ 12.90 crore).
- b. The future minimum lease payments under non-cancellable operating lease – not later than one year is ₹ 732.88 crore (previous year ₹ 680.40 crore), later than one year but not later than five years is ₹ 2,194.07 crore (previous year ₹ 2,009.28 crore) and later than five years ₹ 928.92 crore (previous year ₹ 911.40 crore).

The lease terms include renewal option after expiry of primary lease period. There are no restrictions imposed by lease arrangements. There are escalation clauses in the lease agreements.

4. DEFERRED TAXES:

“Others” in Other Liabilities (Schedule 5 (VI)) includes deferred tax liability (net) of ₹ 110.52 crore (previous year DTA ₹ 322.70 crore).

The components of the same are as follows:

(₹ in crore)

Particulars of Asset/ (Liability)	Year Ended	
	31 st March, 2025	31 st March, 2024
Provision for NPA and General provisions	652.95	434.71
Expenditure allowed on payment basis	157.66	99.37
Depreciation	41.74	32.64
Deduction u/s. 36(1)(viii) of the Income Tax Act, 1961	(281.77)	(244.02)
Investments	(681.10)	-
Net Deferred Tax (Liability) / Asset	(110.52)	322.70

5. PROVISIONS:

Given below is the movement in provisions recognised by the Bank:

a) Credit card & debit card reward points:

The following table sets forth, for the periods indicated, movement in actuarially determined provision for credit card and debit card account reward points:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Opening provision for reward points	124.12	68.26
Add :Provision for reward points made during the year	267.42	267.06
Less :Utilisation/write-back of provision for reward points	(255.55)	(211.20)
Closing provision for reward points*	135.99	124.12

* This amount will be utilised towards redemption of the credit card & debit card accounts reward points.

b) Legal:

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Opening Provision	35.08	41.44
Add: Addition during the year	0.61	0.51
Less: Reduction during the year	(1.32)	(6.87)
Closing Provision	34.37	35.08

c) Fraud and Other Provisions:

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Opening Provision	45.99	39.02
Add: Addition during the year	16.26	26.80
Less: Reduction during the year	(27.05)	(19.83)
Closing Provision	35.20	45.99

6. FIXED ASSETS AS PER SCHEDULE 10 B INCLUDE INTANGIBLE ASSETS RELATING TO PURCHASED SOFTWARE AND SYSTEM DEVELOPMENT EXPENDITURE WHICH ARE AS FOLLOWS:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Gross Block		
At cost on 31 st March of the preceding year	1,020.73	887.69
Add: Additions during the year	144.50	141.46
Less: Deductions during the year	-	(8.42)
Total	1,165.23	1,020.73
Depreciation / Amortization		
As at 31 st March of the preceding year	780.06	625.90
Add: Charge for the year	162.51	159.06
Less: Deductions during the year	-	(4.90)
Depreciation to date	942.57	780.06
Net Block	222.66	240.67

Capital commitments for purchase of software and system development expenditure are ₹166.51 crore (previous year ₹ 80.13 crore).

7. RELATED PARTY DISCLOSURES:

As per Accounting Standard -18, Related Party Disclosure, the Bank's related parties are disclosed below:

A. Parties where control exists:

Nature of relationship	Related Party
Subsidiary Companies	Kotak Mahindra Prime Limited Kotak Securities Limited Kotak Mahindra Capital Company Limited Kotak Mahindra Life Insurance Company Limited Kotak Mahindra Investments Limited Kotak Mahindra Asset Management Company Limited Kotak Mahindra Trustee Company Limited Kotak Mahindra (International) Limited Kotak Mahindra (UK) Limited Kotak Mahindra Inc. Kotak Alternate Assets Managers Limited Kotak Mahindra Trusteeship Services Limited Kotak Infrastructure Debt Fund Limited Kotak Mahindra Pension Fund Limited Kotak Mahindra Financial Services Limited Kotak Mahindra Asset Management (Singapore) Pte. Limited IVY Product Intermediaries Limited BSS Microfinance Limited Kotak Karma Foundation (wef 26 th Jun 2023) Sonata Finance Private Limited (wef 28 th Mar 2024)

Nature of relationship	Related Party
Associates / Others	Infina Finance Private Limited Phoenix ARC Private Limited Zurich Kotak General Insurance Company (India) Limited (formerly Kotak Mahindra General Insurance Company Limited) - (Subsidiary upto 17 th Jun 2024, Associate wef 18 th Jun 2024) ING Vysya Foundation
Individual having significant influence over the enterprise	Mr. Uday S. Kotak, Promoter along with the persons / entities forming part of the Promoter Group, holds 25.88% of the paid-up share capital of Kotak Mahindra Bank Limited as on 31 st March, 2025 Mr. Uday S. Kotak, was appointed as a Non Executive Director w.e.f. 2 nd Sep 2023
Key Management Personnel (KMP)	Mr. Uday S. Kotak - Managing Director & CEO (upto 1 st Sep 2023) Mr. Dipak Gupta - Joint Managing Director (upto 31 st Dec 2023) Mr. Ashok Vaswani - Managing Director & CEO (wef 1 st Jan 2024) Mr. KVS Manian - Joint Managing Director (upto 30 th Apr 2024) Ms. Shanti Ekambaram - Deputy Managing Director Mr. Jaideep Hansraj - Whole-Time Director (wef 11 th Feb 2025)
Enterprises over which KMP/ Individual having Significant influence over Bank relatives of such personnel; have control / significant influence	Aero Agencies Private Limited Kotak and Company Private Limited Komaf Financial Services Private Limited Asian Machinery & Equipment Private Limited Insurekot Sports Private Limited Kotak Trustee Company Private Limited Cumulus Trading Company Private Limited Palko Properties Private Limited Kotak Chemicals Limited Kotak Ginning & Pressing Industries Private Limited Kotak Commodity Services Private Limited Harisiddha Trading and Finance Private Limited Puma Properties Private Limited Business Standard Private Limited Business Standard Online Private Limited Allied Auto Accessories Private Limited Uday S Kotak HUF Suresh A Kotak HUF KF Trust Kotak Family Foundation Helena Realty Private Limited Doreen Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Renato Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Pine Tree Estates Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Meluha Developers Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Quantyco Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Xanadu Properties Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd Aug 2024) Laburnum Adarsh Trust Manian Family Trust (upto 30 th Apr 2024) Brij Disa Arnav Trust (upto 31 st Dec 2023) Brij Disa Parthav Trust (upto 31 st Dec 2023) Kotak Mahindra Group Employee Welfare Trust TML Benefit Trust Brij Disa Foundation (upto 31 st Dec 2023)

Nature of relationship	Related Party
	Amrit Lila Enterprises Private Limited Manians Family Trust II (upto 30 th Apr 2024) USK Benefit Trust III Kudin Trusteeship Services Private Limited Shanti Family Trust Shivkaran Trust Niraant Aviation Private Limited (wef 29 th Jun 2024) Anukriya Foundation (wef 11 th Feb 2025) USK Capital Partners (wef 1 st Jan 2024)
Relatives of KMP/Individual having Significant influence over the Bank	Ms. Pallavi Kotak Mr. Suresh Kotak Ms. Indira Kotak Mr. Jay Kotak Mr. Dhawal Kotak Ms. Aarti Chandaria Ms. Aditi Arya (wef 7 th Nov 2023) Ms. Anita Gupta (upto 31 st Dec 2023) Ms. Urmila Gupta (upto 31 st Dec 2023) Mr. Arnav Gupta (upto 31 st Dec 2023) Mr. Parthav Gupta (upto 31 st Dec 2023) Mr. Prabhat Gupta (upto 31 st Dec 2023) Ms. Jyoti Banga (upto 31 st Dec 2023) Ms. Seetha Krishnan (upto 30 th Apr 2024) Ms. Lalitha Mohan (upto 30 th Apr 2024) Ms. Shruti Manian (upto 30 th Apr 2024) Mr. Shashank Manian (upto 30 th Apr 2024) Mr. Ramesh Krishnan (upto 30 th Apr 2024) Ms. Vanathi Gopalakrishnan (upto 30 th Apr 2024) Ms. G. Saraswathi Ms. Shobha Srivastava Ms. Archana Jaideep Hansraj (wef 11 th Feb 2025) Mr. Rahul Jaideep Hansraj (wef 11 th Feb 2025) Ms. Sanjana Hansraj (wef 11 th Feb 2025) Mr. Sanjeev Hansraj (wef 11 th Feb 2025) Mr. Varun Dinkar Gogri (wef 11 th Feb 2025) Ms. Veena Vaswani (wef 1 st Jan 2024)

Details of related party transactions as at / for the year ended 31st March, 2025:

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Liabilities						
Deposits	4,348.42 (3,666.56)	176.58 (68.01)	7.68 (61.02)	221.58 (107.84)	161.07 (174.02)	4,915.33 (4,077.45)
Borrowings	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
Interest Payable	21.47 (15.00)	0.04 (0.23)	# (-)	1.68 (1.13)	0.74 (0.61)	23.93 (16.97)
Other Payables	226.86 (85.89)	1.64 (1.42)	- (-)	# (0.01)	- (-)	228.50 (87.32)
Assets						
Advances	716.21 (400.00)	10.31 (25.31)	5.77 (0.01)	1.35 (1.31)	1.37 (0.04)	735.01 (426.67)
Investments-Gross	3,065.34 (3,359.92)	321.82 (875.00)	- (-)	# (#)	- (-)	3,387.16 (4,234.92)
Diminution on Investments	- (-)	- (-)	- (-)	- (#)	- (-)	- (#)
Commission Receivable	200.01 (176.85)	16.71 (13.04)	- (-)	- (-)	- (-)	216.72 (189.89)
Others Receivables	169.41 (123.14)	97.70 (9.74)	0.03 (-)	0.01 (0.02)	0.01 (-)	267.16 (132.90)
Non Funded Commitments						
Bank Guarantees	10.72 (1.07)	- (-)	- (-)	1.13 (1.13)	- (-)	11.85 (2.20)
Swaps/Forward contracts	100.00 (200.00)	- (-)	- (-)	- (-)	- (-)	100.00 (200.00)
Expenses						
Salaries/fees (Include ESOP/SARs)	- (-)	- (-)	22.07 (24.05)	- (-)	0.61 (0.57)	22.68 (24.62)
Interest Expense	181.69 (98.22)	1.14 (7.32)	3.73 (14.50)	6.01 (4.78)	12.28 (12.71)	204.85 (137.53)
Expenses for services received	995.73 (916.55)	7.68 (3.18)	- (-)	2.38 (2.69)	- (-)	1,005.79 (922.42)
Income						
Dividend	380.00 (308.90)	- (-)	- (-)	- (-)	- (-)	380.00 (308.90)
Interest Income	65.03 (66.52)	1.89 (3.23)	0.08 (-)	0.06 (0.06)	0.03 (0.30)	67.09 (70.11)
Income from services rendered	2,016.85 (1,125.90)	112.19 (82.19)	0.01 (#)	0.14 (0.04)	0.02 (#)	2,129.21 (1,208.13)
Other Transactions						
Sale of Investments	995.00 (1,260.31)	- (-)	- (-)	- (-)	- (-)	995.00 (1,260.31)
Purchase of Investments	705.30 (1,536.57)	- (195.00)	- (-)	- (-)	- (-)	705.30 (1,731.57)
Loan Disbursed During the Year	7,261.42 (1,556.58)	- (-)	- (-)	- (-)	- (-)	7,261.42 (1,556.58)
Loan Repaid During the Year	6,946.42 (1,926.58)	15.00 (15.00)	- (-)	- (-)	- (-)	6,961.42 (1,941.58)
Assignment Portfolio Buyout During the year	348.88 (1,736.16)	- (-)	- (-)	- (-)	- (-)	348.88 (1,736.16)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Dividend paid	-	-	102.47	0.10	0.67	103.24
	(-)	(-)	(76.95)	(0.23)	(0.53)	(77.71)
Reimbursement to companies	42.91	0.28	-	-	-	43.19
	(28.00)	(0.07)	(-)	(-)	(-)	(28.07)
Reimbursement from companies	150.02	1.74	-	-	-	151.76
	(136.31)	(5.31)	(-)	(-)	(-)	(141.62)
Purchase of Fixed assets	0.61	-	-	-	-	0.61
	(0.55)	(-)	(-)	(-)	(-)	(0.55)
Sale of Fixed assets	1.19	-	-	-	-	1.19
	(0.17)	(#)	(-)	(-)	(-)	(0.17)
Swaps/Forward contracts	339.24	0.76	3.50	26.34	23.97	393.81
	(724.60)	(3.04)	(4.50)	(4.32)	(24.61)	(761.07)
Guarantees/Lines of credit	10.22	-	-	-	-	10.22
	(10.55)	(-)	(-)	(-)	(-)	(10.55)
I. Liabilities:						
Other liabilities						
Other Payable						
Kotak Mahindra Prime Limited	0.66	-	-	-	-	0.66
	(0.16)	(-)	(-)	(-)	(-)	(0.16)
BSS Microfinance Limited	93.23	-	-	-	-	93.23
	(77.86)	(-)	(-)	(-)	(-)	(77.86)
Kotak Securities Limited	26.66	-	-	-	-	26.66
	(1.95)	(-)	(-)	(-)	(-)	(1.95)
Kotak Alternate Asset Managers Limited	3.35	-	-	-	-	3.35
	(0.40)	(-)	(-)	(-)	(-)	(0.40)
Kotak Mahindra (UK) Limited	3.86	-	-	-	-	3.86
	(0.89)	(-)	(-)	(-)	(-)	(0.89)
Sonata Finance Private Limited	98.35	-	-	-	-	98.35
	(3.55)	(-)	(-)	(-)	(-)	(3.55)
Zurich Kotak General Insurance Company (India) Limited	-	1.64	-	-	-	1.64
	(-)	(1.42)	(-)	(-)	(-)	(1.42)
Others	0.75	-	-	#	-	0.75
	(1.08)	(-)	(-)	(0.01)	(-)	(1.09)
II. Assets:						
Investments						
Kotak Mahindra Life Insurance Company Limited	1,557.20	-	-	-	-	1,557.20
	(1,557.20)	(-)	(-)	(-)	(-)	(1,557.20)
Kotak Mahindra Prime Limited	1.78	-	-	-	-	1.78
	(146.37)	(-)	(-)	(-)	(-)	(146.37)
BSS Microfinance Limited	138.56	-	-	-	-	138.56
	(138.56)	(-)	(-)	(-)	(-)	(138.56)
Kotak Mahindra Investments Limited	338.03	-	-	-	-	338.03
	(488.03)	(-)	(-)	(-)	(-)	(488.03)
Zurich Kotak General Insurance Company (India) Limited	-	321.82	-	-	-	321.82
	(-)	(875.00)	(-)	(-)	(-)	(875.00)
Kotak Infrastructure Debt Fund Limited	91.49	-	-	-	-	91.49
	(91.49)	(-)	(-)	(-)	(-)	(91.49)
Sonata Finance Private Limited	537.12	-	-	-	-	537.12

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
	(537.12)	(-)	(-)	(-)	(-)	(537.12)
Kotak Alternate Asset Managers Limited	228.24	-	-	-	-	228.24
	(228.24)	(-)	(-)	(-)	(-)	(228.24)
Others	172.92	-	-	#	-	172.92
	(172.90)	(-)	(-)	(#)	(-)	(172.90)
Diminution on investments						
Business Standard Private Limited	-	-	-	-	-	-
	(-)	(-)	(-)	(#)	(-)	(#)
Commission Receivable						
Kotak Mahindra Life Insurance Company Limited	200.01	-	-	-	-	200.01
	(176.85)	(-)	(-)	(-)	(-)	(176.85)
Zurich Kotak General Insurance Company (India) Limited	-	16.71	-	-	-	16.71
	(-)	(13.04)	(-)	(-)	(-)	(13.04)
Others Receivable						
Kotak Mahindra Prime Limited	15.86	-	-	-	-	15.86
	(16.32)	(-)	(-)	(-)	(-)	(16.32)
Kotak Securities Limited	20.78	-	-	-	-	20.78
	(13.74)	(-)	(-)	(-)	(-)	(13.74)
Kotak Investment Advisors Limited	66.63	-	-	-	-	66.63
	(34.86)	(-)	(-)	(-)	(-)	(34.86)
Kotak Mahindra Investments Limited	0.92	-	-	-	-	0.92
	(6.71)	(-)	(-)	(-)	(-)	(6.71)
Kotak Mahindra Life Insurance Company Limited	28.74	-	-	-	-	28.74
	(23.87)	(-)	(-)	(-)	(-)	(23.87)
Kotak Infrastructure Debt Fund Limited	0.26	-	-	-	-	0.26
	(0.41)	(-)	(-)	(-)	(-)	(0.41)
BSS Microfinance Limited	8.03	-	-	-	-	8.03
	(9.63)	(-)	(-)	(-)	(-)	(9.63)
Sonata Finance Private Limited	13.64	-	-	-	-	13.64
	(2.62)	(-)	(-)	(-)	(-)	(2.62)
Kotak Mahindra Asset Management Company Limited	8.35	-	-	-	-	8.35
	(5.83)	(-)	(-)	(-)	(-)	(5.83)
Zurich Kotak General Insurance Company (India) Limited	-	97.57	-	-	-	97.57
	(-)	(9.50)	(-)	(-)	(-)	(9.50)
Phoenix ARC Private Limited	-	0.12	-	-	-	0.12
	(-)	(0.23)	(-)	(-)	(-)	(0.23)
Kotak Mahindra (International) Limited	4.19	-	-	-	-	4.19
	(1.46)	(-)	(-)	(-)	(-)	(1.46)
Kotak Mahindra Capital Company Limited	1.31	-	-	-	-	1.31
	(6.59)	(-)	(-)	(-)	(-)	(6.59)
Others	0.70	0.01	0.03	0.01	0.01	0.76
	(1.12)	(#)	(-)	(0.02)	-	(1.14)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Non Funded Commitments						
Bank Guarantees						
Kotak Mahindra Life Insurance Company Limited	0.27	-	-	-	-	0.27
	(0.30)	(-)	(-)	(-)	(-)	(0.30)
Kotak Securities Limited	0.10	-	-	-	-	0.10
	(0.02)	(-)	(-)	(-)	(-)	(0.02)
Aero Agencies Private Limited	-	-	-	1.00	-	1.00
	(-)	(-)	(-)	(1.00)	(-)	(1.00)
Kotak Mahindra Prime Limited	0.35	-	-	-	-	0.35
	(0.25)	(-)	(-)	(-)	(-)	(0.25)
Kotak Alternate Asset Managers Limited	10.00	-	-	-	-	10.00
	(0.50)	(-)	(-)	(-)	(-)	(0.50)
Others	-	-	-	0.13	-	0.13
	(-)	(-)	(-)	(0.13)	(-)	(0.13)
Swaps/Forward contracts						
Kotak Mahindra Prime Limited	100.00	-	-	-	-	100.00
	(100.00)	(-)	(-)	(-)	(-)	(100.00)
Kotak Mahindra Investments Limited	-	-	-	-	-	-
	(100.00)	(-)	(-)	(-)	(-)	(100.00)
III. Expenses:						
Salaries/fees (Include ESOP)						
Mr.Uday Kotak	-	-	0.69	-	-	0.69
	(-)	(-)	(0.40)	(-)	(-)	(0.40)
Mr. Jaideep Hansraj	-	-	0.76	-	-	0.76
	(-)	(-)	(-)	(-)	(-)	-
Mr. KVS Manian	-	-	(0.53)	-	-	(0.53)
	(-)	(-)	(6.72)	(-)	(-)	(6.72)
Mr.Dipak Gupta	-	-	-	-	-	-
	(-)	(-)	(8.37)	(-)	(-)	(8.37)
Ms. Shanti Ekambaram	-	-	7.01	-	-	7.01
	(-)	(-)	(6.73)	(-)	(-)	(6.73)
Mr.Ashok Vaswani	-	-	14.14	-	-	14.14
	(-)	(-)	(1.83)	(-)	(-)	(1.83)
Mr.Jay Kotak	-	-	-	-	0.61	0.61
	(-)	(-)	(-)	(-)	(0.57)	(0.57)
Expenses for services received						
Kotak Securities Limited	1.08	-	-	-	-	1.08
	(0.82)	(-)	(-)	(-)	(-)	(0.82)
Kotak Mahindra Life Insurance Company Limited	16.31	-	-	-	-	16.31
	(15.72)	(-)	(-)	(-)	(-)	(15.72)
Zurich Kotak General Insurance Company (India) Limited	-	7.68	-	-	-	7.68
	(-)	(3.18)	(-)	(-)	(-)	(3.18)
Kotak Mahindra Prime Limited	0.16	-	-	-	-	0.16
	(1.35)	(-)	(-)	(-)	(-)	(1.35)
Aero Agencies Private Limited	-	-	-	2.38	-	2.38
	(-)	(-)	(-)	(2.64)	(-)	(2.64)
Business Standard Private Limited	-	-	-	#	-	#
	(-)	(-)	(-)	(0.05)	(-)	(0.05)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
BSS Microfinance Limited	746.10	-	-	-	-	746.10
	(895.03)	(-)	(-)	(-)	(-)	(895.03)
Sonata Finance Private Limited	228.16	-	-	-	-	228.16
	(2.42)	(-)	(-)	(-)	(-)	(2.42)
Kotak Alternate Asset Managers Limited	3.82	-	-	-	-	3.82
	(0.37)	(-)	(-)	(-)	(-)	(0.37)
Kotak Mahindra (UK) Limited	0.10	-	-	-	-	0.10
	(0.09)	(-)	(-)	(-)	(-)	(0.09)
Others	-	-	-	-	-	-
	(0.74)	(-)	(-)	(-)	(-)	(0.74)
IV. Income:						
Dividend						
Kotak Mahindra Capital Company Limited	42.95	-	-	-	-	42.95
	(34.36)	(-)	(-)	(-)	(-)	(34.36)
Kotak Mahindra Life Insurance Company Limited	176.82	-	-	-	-	176.82
	(117.88)	(-)	(-)	(-)	(-)	(117.88)
Kotak Mahindra Asset Management Company Limited	111.75	-	-	-	-	111.75
	(111.75)	(-)	(-)	(-)	(-)	(111.75)
Kotak Mahindra Prime Limited	12.48	-	-	-	-	12.48
	(8.91)	(-)	(-)	(-)	(-)	(8.91)
Kotak Securities Limited	36.00	-	-	-	-	36.00
	(36.00)	(-)	(-)	(-)	(-)	(36.00)
Income from services rendered						
Kotak Mahindra Life Insurance Company Limited	910.85	-	-	-	-	910.85
	(728.63)	(-)	(-)	(-)	(-)	(728.63)
Zurich Kotak General Insurance Company (India) Limited	-	112.12	-	-	-	112.12
	(-)	(82.13)	(-)	(-)	(-)	(82.13)
Kotak Securities Limited	258.64	-	-	-	-	258.64
	(217.85)	(-)	(-)	(-)	(-)	(217.85)
Kotak Mahindra Capital Company Limited	15.21	-	-	-	-	15.21
	(15.05)	(-)	(-)	(-)	(-)	(15.05)
Kotak Mahindra Asset Management Company Limited	27.16	-	-	-	-	27.16
	(19.68)	(-)	(-)	(-)	(-)	(19.68)
Kotak Mahindra Prime Limited	41.45	-	-	-	-	41.45
	(37.46)	(-)	(-)	(-)	(-)	(37.46)
Kotak Alternate Asset Managers Limited	103.64	-	-	-	-	103.64
	(65.28)	(-)	(-)	(-)	(-)	(65.28)
Sonata Finance Private Limited	14.01	-	-	-	-	14.01
	(-)	(-)	(-)	(-)	(-)	(-)
BSS Microfinance Limited	628.67	-	-	-	-	628.67
	(26.73)	(-)	(-)	(-)	(-)	(26.73)
Others	17.22	0.07	0.01	0.14	0.02	17.46
	(15.22)	(0.06)	(#)	(0.04)	(#)	(15.32)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
V. Other Transactions:						
Sale of Investment						
Kotak Infrastructure Debt Fund Limited	-	-	-	-	(-)	-
	(150.00)	(-)	(-)	(-)	-	(150.00)
Kotak Mahindra Prime Limited	150.00	-	-	-	(-)	150.00
	(205.00)	(-)	(-)	(-)	-	(205.00)
Kotak Mahindra Investments Limited	150.00	-	-	-	(-)	150.00
	(100.00)	(-)	(-)	(-)	-	(100.00)
Kotak Mahindra (UK) Limited	695.00	-	-	-	-	695.00
	(675.44)	(-)	(-)	(-)	(-)	(675.44)
Kotak Securities Limited	-	-	-	-	-	-
	(54.31)	(-)	(-)	(-)	(-)	(54.31)
Kotak Mahindra Life Insurance Company Limited	-	-	-	-	-	-
	(75.56)	(-)	(-)	(-)	(-)	(75.56)
Purchase of Investments						
Kotak Mahindra (UK) Limited	705.30	-	-	-	(-)	705.30
	(895.25)	(-)	(-)	(-)	-	(895.25)
Kotak Infrastructure Debt Fund Limited	-	-	-	-	(-)	-
	(60.00)	(-)	(-)	(-)	-	(60.00)
Kotak Mahindra Prime Limited	-	-	-	-	-	-
	(555.32)	(-)	(-)	(-)	(-)	(555.32)
Kotak Mahindra Investments Limited	-	-	-	-	-	-
	(25.00)	(-)	(-)	(-)	(-)	(25.00)
Zurich Kotak General Insurance Company (India) Limited	-	-	-	-	-	-
	(-)	(195.00)	(-)	(-)	(-)	(195.00)
Kotak Karma Foundation	-	-	-	-	-	-
	(1.00)	(-)	(-)	(-)	(-)	(1.00)
Loan Disbursed During the Year						
Kotak Mahindra Prime Limited	261.42	-	-	-	-	261.42
	(450.02)	(-)	(-)	(-)	(-)	(450.02)
Kotak Securities Limited	7,000.00	-	-	-	-	7,000.00
	(956.56)	(-)	(-)	(-)	(-)	(956.56)
Kotak Mahindra Investments Limited	-	-	-	-	-	-
	(150.00)	(-)	(-)	(-)	(-)	(150.00)
Loan Repaid During the Year						
Kotak Mahindra Investments Limited	60.00	-	-	-	-	60.00
	(245.00)	(-)	(-)	(-)	(-)	(245.00)
Kotak Securities Limited	6,875.00	-	-	-	-	6,875.00
	(956.56)	(-)	(-)	(-)	(-)	(956.56)
Phoenix ARC Private Limited	-	15.00	-	-	-	15.00
	(-)	(15.00)	(-)	(-)	(-)	(15.00)
Kotak Mahindra Prime Limited	11.42	-	-	-	-	11.42
	(725.02)	(-)	(-)	(-)	(-)	(725.02)
Assignment Portfolio Buyout During the year						
Sonata Finance Private Limited	348.88	-	-	-	-	348.88
	(1,736.16)	(-)	(-)	(-)	(-)	(1,736.16)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Dividend Paid						
Mr. Uday Kotak	-	-	102.20	-	-	102.20
	(-)	(-)	(76.65)	(-)	(-)	(76.65)
Mr. Dipak Gupta	-	-	-	-	-	-
	(-)	(-)	(0.07)	(-)	(-)	(0.07)
Shanti Ekambaram	-	-	0.27	-	-	0.27
	(-)	(-)	(0.20)	(-)	(-)	(0.20)
KVS Manian	-	-	-	-	-	-
	(-)	(-)	(0.02)	(-)	(-)	(0.02)
Ms. Pallavi Kotak	-	-	-	-	0.22	0.22
	(-)	(-)	(-)	(-)	(0.17)	(0.17)
Ms. Indira Kotak	-	-	-	-	0.40	0.40
	(-)	(-)	(-)	(-)	(0.30)	(0.30)
Others	-	-	-	0.10	0.05	0.15
	(-)	(-)	(-)	(0.23)	(0.06)	(0.29)
Reimbursements to companies						
Kotak Mahindra Capital Company Limited	7.58	-	-	-	-	7.58
	(0.96)	(-)	(-)	(-)	(-)	(0.96)
Kotak Mahindra Prime Limited	6.58	-	-	-	-	6.58
	(6.84)	(-)	(-)	(-)	(-)	(6.84)
Kotak Securities Limited	14.95	-	-	-	-	14.95
	(12.30)	(-)	(-)	(-)	(-)	(12.30)
Kotak Mahindra Life Insurance Company Limited	0.22	-	-	-	-	0.22
	(0.23)	(-)	(-)	(-)	(-)	(0.23)
Kotak Alternate Asset Managers Limited	1.70	-	-	-	-	1.70
	(1.36)	(-)	(-)	(-)	(-)	(1.36)
Kotak Mahindra Investments Limited	2.93	-	-	-	-	2.93
	(1.88)	(-)	(-)	(-)	(-)	(1.88)
Kotak Mahindra (UK) Limited	8.69	-	-	-	-	8.69
	(4.40)	(-)	(-)	(-)	(-)	(4.40)
Others	0.26	0.28	-	-	-	0.54
	(0.03)	(0.07)	(-)	(-)	(-)	(0.10)
Reimbursements from companies						
Kotak Mahindra Capital Company Limited	11.89	-	-	-	-	11.89
	(10.53)	(-)	(-)	(-)	(-)	(10.53)
Kotak Mahindra Prime Limited	38.12	-	-	-	-	38.12
	(39.32)	(-)	(-)	(-)	(-)	(39.32)
Kotak Mahindra Life Insurance Company Limited	11.72	-	-	-	-	11.72
	(15.57)	(-)	(-)	(-)	(-)	(15.57)
Kotak Securities Limited	40.32	-	-	-	-	40.32
	(31.76)	(-)	(-)	(-)	(-)	(31.76)
Kotak Mahindra Investments Limited	8.26	-	-	-	-	8.26
	(7.76)	(-)	(-)	(-)	(-)	(7.76)
Kotak Mahindra Asset Management Company Limited	13.41	-	-	-	-	13.41
	(9.90)	(-)	(-)	(-)	(-)	(9.90)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Kotak Alternate Asset Managers Limited	10.33	-	-	-	-	10.33
	(10.27)	(-)	(-)	(-)	(-)	(10.27)
Kotak Mahindra Asset Management (Singapore) Pte Limited	5.24	-	-	-	-	5.24
	(4.06)	(-)	(-)	(-)	(-)	(4.06)
Zurich Kotak General Insurance Company (India) Limited	-	1.73	-	-	-	1.73
	(-)	(5.04)	(-)	(-)	(-)	(5.04)
Others	10.73	0.01	-	-	-	10.74
	(7.12)	(0.27)	(-)	(-)	(-)	(7.39)
Purchase of Fixed Assets						
Kotak Mahindra Prime Limited	#	-	-	-	-	#
	(0.07)	(-)	(-)	(-)	(-)	(0.07)
Kotak Mahindra Investments Limited	0.41	-	-	-	-	0.41
	(-)	(-)	(-)	(-)	(-)	(-)
Kotak Mahindra Life Insurance Company Limited	-	-	-	-	-	-
	(0.17)	(-)	(-)	(-)	(-)	(0.17)
Kotak Alternate Asset Managers Limited	0.18	-	-	-	-	0.18
	(0.30)	(-)	(-)	(-)	(-)	(0.30)
Kotak Mahindra Trusteeship Services Limited	-	-	-	-	-	-
	(0.01)	(-)	(-)	(-)	(-)	(0.01)
Kotak Mahindra Asset Management Company Limited	0.02	-	-	-	-	0.02
	(0.01)	(-)	(-)	(-)	(-)	(0.01)
Sale of Fixed Assets						
Zurich Kotak General Insurance Company (India) Limited	-	-	-	-	-	-
	(-)	(#)	(-)	(-)	(-)	(#)
Kotak Investment Advisors Limited	0.34	-	-	-	-	0.34
	(0.01)	(-)	(-)	(-)	(-)	(0.01)
Kotak Mahindra Asset Management Company Limited	#	-	-	-	-	#
	(-)	(-)	(-)	(-)	(-)	(-)
Kotak Mahindra Trusteeship Services Limited	-	-	-	-	-	-
	(0.01)	(-)	(-)	(-)	(-)	(0.01)
Kotak Mahindra Investments Limited	0.48	-	-	-	-	0.48
	(0.15)	(-)	(-)	(-)	(-)	(0.15)
Kotak Mahindra Prime Limited	0.37	-	-	-	-	0.37
	(0.01)	(-)	(-)	(-)	(-)	(0.01)
Kotak Securities Limited	-	-	-	-	-	-
	(#)	(-)	(-)	(-)	(-)	(#)
Swaps/Forwards/Options Contracts						
Kotak Mahindra International Limited	-	-	-	-	-	-
	(#)	(-)	(-)	(-)	(-)	(#)
Kotak Mahindra Prime Limited	0.75	-	-	-	-	0.75
	(136.21)	(-)	(-)	(-)	(-)	(136.21)

(₹ in crore)

Items/Related Party	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank /Relative of KMP have control / significant influence	Relatives of KMP// Individual having Significant influence over Bank	Total
Kotak Mahindra Investments Limited	100.02	-	-	-	-	100.02
	(0.03)	(-)	(-)	(-)	(-)	(0.03)
Kotak Mahindra Life Insurance Company Limited	52.70	-	-	-	-	52.70
	(117.45)	(-)	(-)	(-)	(-)	(117.45)
Kotak Alternate Asset Managers Limited	27.54	-	-	-	-	27.54
	(18.43)	(-)	(-)	(-)	(-)	(18.43)
Kotak Mahindra Asset Management Company Limited	7.99	-	-	-	-	7.99
	(8.54)	(-)	(-)	(-)	(-)	(8.54)
Kotak Mahindra Capital Company Limited	35.33	-	-	-	-	35.33
	(76.61)	(-)	(-)	(-)	(-)	(76.61)
Kotak Securities Limited	114.90	-	-	-	-	114.90
	(367.13)	(-)	(-)	(-)	(-)	(367.13)
BSS Microfinance Limited	-	-	-	-	-	-
	(0.14)	(-)	(-)	(-)	(-)	(0.14)
Others	0.01	0.76	3.50	26.34	23.97	54.58
	(0.05)	(3.04)	(4.50)	(4.32)	(24.61)	(36.52)
Guarantees/Lines of Credits						
Kotak Alternate Asset Managers Limited	10.10	-	-	-	-	10.10
	(10.50)	(-)	(-)	(-)	(-)	(10.50)
Kotak Mahindra Life Insurance Company Limited	0.02	-	-	-	-	0.02
	(0.05)	(-)	(-)	(-)	(-)	(0.05)
Kotak Mahindra Prime Limited	0.10	-	-	-	-	0.10
	(-)	(-)	(-)	(-)	(-)	(-)

Note:

- Figures in brackets represent previous year's figures.
- The above does not include any transactions in relation to listed securities done on recognised stock exchange during the year. However above includes transactions done on NDS with known related parties.
- #In the above table denotes amounts less than ₹50,000
- Remuneration paid to KMPs is pursuant to approval from RBI (excluding value of employee stock options exercised during the year).
- Previous year figures are re-grouped, re-arranged wherever required.

Maximum Balance outstanding during the year

(₹ in crore)

Particulars	Subsidiary Companies	Associates/ Others	KMP / Individual having Significant influence over Bank	Enterprise over which KMP/ Individual having Significant influence over the Bank / Relative of KMP have control / significant influence	Relatives of KMP/ Individual having Significant influence over Bank
Liabilities					
Deposits ¹	14,998.96 (8,425.27)	470.27 (436.89)	132.36 (311.72)	435.00 (269.00)	239.28 (207.33)
Borrowings ¹	- (-)	- (-)	- (-)	- (-)	- (-)
Other Liabilities ²	260.73 (115.77)	5.89 (3.35)	# (2.28)	1.72 (1.32)	1.50 (1.25)
Assets					
Advances ¹	2,087.95 (1,351.92)	25.31 (42.82)	5.83 (0.04)	1.41 (1.44)	1.68 (5.58)
Investments-Gross ¹	3,359.92 (4,526.88)	875.00 (875.00)	- (-)	# (#)	- (-)
Commission Receivable ²	200.01 (176.85)	16.71 (13.04)	- (-)	- (-)	- (-)
Others Assets ²	321.57 (209.76)	101.95 (10.36)	0.03 (-)	2.28 (0.01)	0.01 (-)
Non Funded Commitments					
Bank Guarantees ¹	10.75 (11.07)	- (-)	- (-)	1.13 (1.13)	- (-)
Swaps/Forward contracts ¹	238.75 (696.89)	0.37 (2.74)	3.47 (3.64)	15.45 (1.06)	15.63 (18.21)

Notes

1. Maximum balance is determined based on comparison of total daily outstanding balances at party level during the financial year.
2. Maximum balance is determined based on comparison of the total outstanding balances at each quarter end during the financial year
3. Figures in brackets represent figures for corresponding period in previous year.
4. # In the above table denotes amounts less than ₹50,000.
5. Previous year figures are re-grouped, re-arranged wherever required.

8. EMPLOYEE SHARE BASED PAYMENTS:

The shareholders of the Bank had passed Special Resolutions on 29th June, 2015 and 22nd December, 2023, respectively, to grant options to the eligible employees of the Bank and its subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Equity Option Scheme 2015 and Kotak Mahindra Equity Option Scheme 2023 have been formulated and adopted, respectively. The Kotak Mahindra Equity Option Scheme 2015 is operational only to the extent of treatment of options granted till 22nd December, 2023 and Kotak Mahindra Equity Option Scheme 2023 is currently in force.

Performance Linked Restricted Stock Units

The shareholders of the Bank have passed Special Resolutions on 20th February, 2025, to grant performance linked restricted stock units to the eligible employees of the Bank and its concerned subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 has been formulated and adopted. No options have been granted under this scheme during the year ended 31st March, 2025.

Equity-settled options

The Bank has granted options to employees of the Group vide various employee stock option schemes. During the year ended 31st March, 2025, the following schemes were in operation:

	Plan 2015	Plan 2023
Date of grant	Various Dates	Various Dates
Date of Board Approval	Various Dates	Various Dates
Date of Shareholder's approval	29 th June, 2015	22 nd December, 2023
Number of options granted (since inception)	21,080,963	1,977,977*
Method of Settlement (Cash / Equity)	Equity	Equity
Vesting Period	0.01 – 4.16 years	1.01-4.05 years
Exercise Period	0.03 – 1.00 year	0.50-1.00 year
Vesting Conditions	Graded / Cliff vesting	Graded / Cliff vesting

* Net-off 33,990 options which were unallocated and stood cancelled ab initio.

The details of activity under Plan 2015 have been summarised below:

	Year ended 31 st March, 2025		Year ended 31 st March, 2024	
	Number of Shares	Weighted Average Exercise Price(₹)	Number of Shares	Weighted Average Exercise Price(₹)
Outstanding at the beginning of the year	2,699,729	1,825.57	3,573,225	1,642.98
Granted during the year	-	-	1,112,490	1,939.00
Forfeited during the year	116,681	1,871.63	206,273	1,804.14
Exercised during the year	286,551	1,520.39	1,364,316	1,460.33
Expired during the year	774,834	1,852.04	415,397	1,768.94
Outstanding at the end of the year	1,521,663	1,866.90	2,699,729	1,825.57
Out of the above exercisable at the end of the year	88,207	1,883.86	334,878	1,579.64
Weighted average remaining contractual life (in years)		1.33		1.65
Weighted average fair value of options granted		-		509.70

The details of activity under Plan 2023 have been summarised below:

	Year ended 31 st March, 2025		Year ended 31 st March, 2024	
	Number of Shares	Weighted Average Exercise Price(₹)	Number of Shares	Weighted Average Exercise Price(₹)
Outstanding at the beginning of the year	108,417	1,823.00	-	-
Granted during the year	1,869,560*	1,714.17	108,417	1,823.00
Forfeited during the year	104,687	1,734.63	-	-
Exercised during the year	15,544	1,823.00	-	-
Expired during the year	-	-	-	-
Outstanding at the end of the year	1,857,746	1,718.46	108,417	1,823.00
Out of the above exercisable at the end of the year	6,334	1,823.00	-	-
Weighted average remaining contractual life (in years)		2.31		2.44
Weighted average fair value of options granted		425.92		377.70

* Net-off 33,990 options which were unallocated and stood cancelled ab initio.

The weighted average share price at the date of exercise for stock options exercised during the year was ₹ 1,821.57 (Previous year ₹ 1,842.83).

The details of exercise price for stock options outstanding at the end of the year are:

31st March, 2025

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
1,601-1,700	1,529,810	2.17	1,697.00
1,701-1,800	703,760	1.86	1,780.49
1,801-1,900	374,200	1.00	1,813.96
1,901-2,000	725,299	1.66	1,938.43
2,101-2,200	46,340	2.38	2,144.90

31st March, 2024

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
1,201-1,300	10,020	0.28	1,240.89
1,301-1,400	174,514	0.25	1,341.00
1,701-1,800	786,518	1.65	1,798.00
1,801-1,900	774,484	1.48	1,814.32
1,901-2,000	1,062,610	2.08	1,939.00

Stock appreciation rights

On 29th June, 2015, the shareholders of the Bank had passed Special Resolutions to grant SARs to the eligible employees of the Bank and its subsidiaries. Pursuant to these resolutions, Kotak Mahindra Stock Appreciation Rights Scheme 2015 had been formulated and adopted. The Board of Directors of the Bank have formulated and adopted the Kotak Mahindra Stock Appreciation Rights Scheme 2023 effective from 1st December, 2023 in place of Kotak Mahindra Stock Appreciation Rights Scheme 2015. Kotak Mahindra Stock Appreciation Rights Scheme 2015 is operational only to the extent of treatment of SARs granted till 30th November, 2023.

The SARs granted under the Kotak Mahindra Stock Appreciation Rights Scheme 2015 and Kotak Mahindra Stock Appreciation Rights Scheme 2023 are settled in cash and vest on the respective due dates in a graded manner as per the terms and conditions of grant. The contractual life of the SARs outstanding range from 1.01 to 4.24 years.

Detail of activity under SARs is summarised below:

	Year Ended 31 st March, 2025	Year Ended 31 st March, 2024
Outstanding at the beginning of the year	2,020,371	1,252,174
Granted during the year	1,538,970*	1,351,301
Additions/(Reduction) due to transfer of employees	7,696	9,571
Settled during the year	632,166	431,501
Forfeited during the year	269,453	161,174
Outstanding at the end of the year	2,665,418	2,020,371

* Net-off 13,390 SARs which were unallocated and stood cancelled ab initio.

Fair value of Employee stock options

The fair value of the equity-settled options is estimated on the date of grant using Black-Scholes options pricing model taking into account the terms and conditions upon which the options were granted. The fair value of the cash-settled options is remeasured at each Balance Sheet date. The following table lists the inputs to the model used for equity-settled and cash-settled options:

Year ended 31 st March,	2025		2024	
	Equity-settled	Cash-settled	Equity-settled	Cash-settled
Exercise Price ₹	1,696.55-2,144.90	0-1,801	1,823-1,939	0-1,801
Weighted Average Share Price ₹	1,713.78	1,799.06	1,927.50	1,825.07
Expected Volatility	20.62%-30.50%	21.01%-34.86%	16.79%-32.42%	11.25%-25.27%
Historical Volatility	20.62%-30.50%	21.01%-34.86%	16.79%-32.42%	11.25%-25.27%
Life of the options granted (Vesting and exercise period)				
- At the grant date	1.26-4.55		1.25-4.42	
- As at 31 st March		0.02-4.17		0.02-3.84
Risk-free interest rate	6.54%-7.22%	6.28%-6.62%	7.01%-7.26%	6.89%-7.19%
Expected dividend rate	0.09%-0.12%	0.09%-0.1%	0.08%-0.08%	0.08%-0.09%

The expected volatility was determined based on historical volatility data and the Bank expects the volatility of its share price may not differ from historical volatility. The measure of volatility used in the Black-Scholes options pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. For calculating volatility, the daily volatility of the stock prices on the National Stock Exchange, over a period prior to the date of grant for equity settled options and remeasurement date for the cash settled options, corresponding with the expected / residual life of the share-linked instruments has been considered.

Effect of the employee share-based payment plans on the Profit and Loss Account and on the financial position:

(₹ in crore)

Year ended 31 st March,	2025	2024
Total Employee compensation cost pertaining to share-based payment plans	242.02	168.02
Compensation cost pertaining to equity-settled employee share-based payment plan included above	20.88	25.44
Liability for employee stock options outstanding as at year end	170.56	140.44
Deferred Compensation Cost	76.29	61.15
Closing balance of liability for cash-settled options	272.79	163.11

9. EMPLOYEE BENEFITS

- i. The Bank has recognized the following amounts in the Profit and Loss Account towards contributions to Provident Fund and Other Funds:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Provident Fund	323.63	282.02
Superannuation Fund	1.33	1.20
New Pension Fund	15.97	12.84
DIFC Employee Workplace Savings Scheme (DEWS)	0.79	0.70

ii. Gratuity

The gratuity plan provides a lumpsum payment to vested domestic employees at retirement or on termination of employment based on respective employee's salary and years of employment with the Bank subject to a maximum of ₹ 0.20 crore. There is no ceiling on gratuity payable to directors and certain categories of employees subject to service regulations and service awards.

Reconciliation of opening and closing balance of present value of defined benefit obligation for gratuity benefits is given below.
(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Change in benefit obligations		
Liability at the beginning of the year	580.43	522.55
Current Service cost	106.15	90.54
Interest cost	44.25	40.35
Actuarial Losses / (Gain)	32.67	17.39
Past Service Cost	-	4.32
Liability assumed on acquisition / (Settled on divestiture)	(0.59)	0.31
Benefits paid	(93.92)	(95.03)
Liability at the end of the year	668.99	580.43
Change in plan assets		
Fair value of plan assets at the beginning of the year	632.92	502.57
Expected return on plan assets	44.79	32.83
Actuarial Gain / (Losses)	16.59	64.85
Benefits paid	(93.92)	(95.03)
Employer contributions	55.43	127.70
Fair value of plan assets at the end of the year	655.81	632.92

(₹ in crore)

Reconciliation of present value of the obligation and the fair value of the plan assets	As at	
	31 st March, 2025	31 st March, 2024
Fair value of plan assets at the end of the year	655.81	632.92
Liability at the end of the year	668.99	580.43
(Net Liabilities)/Net Asset included in "Others" under "Other Liabilities / Other Asset"	(13.18)	52.49
Expense recognised for the year		
Current Service cost	106.15	90.54
Interest cost	44.25	40.35
Expected return on plan assets	(44.79)	(32.83)
Actuarial (Gain) / Loss	16.08	(47.46)
Past Service Cost	-	4.32
Net gratuity expense recognised in Schedule 16.I	121.69	54.92
Actual return on plan assets	61.37	97.69

(₹ in crore)

Reconciliation of the Liability recognised in the Balance Sheet	As at	
	31 st March, 2025	31 st March, 2024
Net (Asset) / Liability at the beginning of the year	(52.49)	19.98
Expense recognized	121.69	54.92
Liability assumed on acquisition / (Settled on divestiture)	(0.59)	0.31
Employer contributions	(55.43)	(127.70)
Net (Asset) / Liability	13.18	(52.49)

Investment details of plan assets

The plan assets are invested in insurer managed funds. Major categories of plan assets as a percentage of fair value of total plan assets are as follows:

	31 st March, 2025 %	31 st March, 2024 %
LIC managed funds #	0.35%	0.34%
Government securities	21.74%	24.88%
Bonds, debentures and other fixed income instruments	16.89%	14.70%
Money market instruments	4.56%	4.62%
Equity shares	56.46%	55.46%
Total	100.00%	100.00%

**In the absence of detailed information regarding plan assets which is funded with Life Insurance Corporation of India, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.*

Actuarial assumptions used

Discount rate	6.55% - 6.62% p.a. (Previous Year 7.15% - 7.18% p.a.)
Salary escalation rate	5.50% - IBA, 7% - others p.a. (Previous Year 5.50% - IBA, 7% - others p.a.)
Expected return on plan assets	7.50% p.a. (Previous Year 7.50% p.a.)

The estimates of future salary increases, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.

Experience adjustments

Amounts for the current and previous four years are as follows:

(₹ in crore)

Gratuity	Year ended 31 st March				
	2025	2024	2023	2022	2021
Defined benefit obligation	668.99	580.43	522.55	515.20	497.48
Plan assets	655.81	632.92	502.57	572.43	546.65
Surplus / (Deficit)	(13.18)	52.49	(19.98)	57.23	49.17
Experience adjustments on plan liabilities	14.60	12.97	7.66	22.61	12.62
Experience adjustments on plan assets	16.59	64.85	(40.51)	34.10	60.28

The Bank expects to contribute ₹ 52.82 crore to gratuity fund in financial year 2025-2026.

The above information is as certified by the actuary and relied upon by the auditors

iii. Pension

Pension liability relates to employees of EIVBL

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for pension benefits is given below.

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
	Funded	Funded
Change in benefit obligations		
Liability at the beginning of the year	2,111.67	1,912.65
Transfer of liabilities funded during the year	-	-
Current Service cost	63.81	74.28
Interest cost	148.83	135.35
Actuarial (gain) / loss on obligations	137.74	171.29
Past Service cost	-	-
Benefits paid	(195.58)	(181.90)
Liability at the end of the year	2,266.47	2,111.67
Change in plan assets		
Fair value of plan assets at the beginning of the year	1,879.31	1,873.26
Expected return on plan assets	136.87	126.45
Actuarial Gain / (loss)	16.36	13.37
Benefits paid	(195.58)	(181.90)
Employer contributions	347.49	48.13
Fair value of plan assets as at the end of the year	2,184.45	1,879.31

(₹ in crore)

Reconciliation of present value of the obligation and the fair value of the plan Assets	As at	
	31 st March, 2025	31 st March, 2024
	Funded	Funded
Fair value of plan assets as at the end of the year	2,184.45	1,879.31
Liability at the end of the year	2,266.47	2,111.67
Net Asset / (Liability) included in "Others" under "Other Assets" / "Other Liabilities"	(82.02)	(232.36)
Expenses recognised for the year		
Current service cost	63.81	74.28
Interest cost	148.83	135.35
Expected return on plan assets	(136.87)	(126.45)
Actuarial (gain) / loss	121.38	157.92
Effect of the limit in Para 59(b)	-	-
Net pension expense recognized in Schedule 16.I	197.15	241.10
Actual return on plan assets	153.23	139.81

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
	Funded	Funded
Reconciliation of the Liability recognized in the Balance Sheet		
Net (Asset) / Liability at the beginning of the year	232.36	39.39
Expense recognized	197.15	241.10
Employer contributions	(347.49)	(48.13)
Effect of the limit in Para 59(b)	-	-
Net (Asset) / Liability is included in "Others" under "Other Assets" / "Other Liabilities"	82.02	232.36

Investment details of plan assets

The plan assets are invested in a fund managed by Life Insurance Corporation of India. In the absence of detailed information regarding plan assets of the fund, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

Actuarial assumptions used

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Discount rate	6.65% p.a.	7.19% p.a.
Salary escalation rate	5.50% p.a.	5.50% p.a.
Expected rate of return on plan assets	7.50% p.a.	7.50% p.a.
Inflation	10.00% p.a.	10.00% p.a.

The estimates of future salary increases, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors like settlement with employee unions.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.

Experience adjustments

Amounts for the current year are as follows:

(₹ in crore)

Pension	Year ended 31 st March				
	2025	2024	2023	2022	2021
Defined benefit obligation	2,266.47	2,111.67	1,912.65	1,909.31	1,891.94
Plan assets	2,184.45	1,879.31	1,873.26	1,953.43	1,872.49
Surplus / (deficit)	(82.02)	(232.36)	(39.39)	44.12	(19.45)
Experience adjustments on plan liabilities	28.75	133.49	140.78	248.33	199.72
Experience adjustments on plan assets	16.36	13.37	11.27	34.13	(1.52)

The Bank expects to contribute ₹ 210.28 crore to pension fund in financial year 2025-2026.

iv. Compensated absences

The actuarially determined liability for compensated absences of accumulated leaves of the employees of the Bank is given below:
(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total actuarial liability	164.70	153.11
Assumptions:		
Discount rate	6.55% - 6.62% - 4.18% (DIFC) p.a.	7.15% - 7.18% - 4.27% (DIFC) p.a.
Salary escalation rate	5.50% (IBA), 7.00% (Others) and 3% (DIFC) p.a.	5.50% (IBA), 7.00% (Others) and 3% (DIFC) p.a.

v. Long Service Award

The actuarially determined liability in respect of Long Service Award of the employees of the Bank is given below:

(₹ in crore)

Particulars	As at	
	31 st March, 2025	31 st March, 2024
Total actuarial liability	12.28	10.41
Assumptions:		
Discount rate	6.55%-6.63% p.a.	7.15%-7.19% p.a.

10. PROVISIONS AND CONTINGENCIES

Breakup of “Provisions and Contingencies” (including write-offs; net of write-backs) shown under the head Expenditure in Profit and Loss Account:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Provisions for Investments (including NPI)*	93.65	79.22
Provision towards NPA	2,576.31	1,486.46
Provision towards Unhedged Foreign Currency Exposure	23.43	10.71
Provision towards Standard Assets	305.71	97.65
General Provision – Covid-19 Deferment Cases	(52.35)	(124.90)
Provision for country risk exposure	-	-
Provision for Current Tax	5,381.91	4,183.40
Provision for Deferred Tax	(247.88)	48.73
Other Provision and Contingencies	(4.39)	24.60
Total Provisions and Contingencies	8,076.39	5,805.87

*Includes provision of ₹ 46.90 crore (Previous year: ₹ 33.13 crore on applicable Alternate Investments Funds (AIF) Investments in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.

11. The Bank held an aggregate COVID-19 related provision of ₹ 262.55 crore as of 31st March, 2024. Based on the improved outlook and on actual collections, the Bank has reversed provisions amounting to ₹ 52.35 crore during the year ended 31st March, 2025 and continues to hold provision of ₹ 210.20 crore as at 31st March, 2025.

12. CORPORATE SOCIAL RESPONSIBILITY (CSR)

Kotak Mahindra Bank Limited (“Bank”) recognises its responsibility to bring about a positive change in the lives of the communities through its business operations and Corporate Social Responsibility (“CSR”) initiatives.

Disclosures in relation to corporate social responsibility expenditure:

(₹ in crore)

Details of CSR Expenditure	31 st March, 2025	31 st March, 2024
Amount of expenditure incurred*		
Contribution to Kotak Education Foundation	63.74	32.12
Contribution to Other Initiatives*	177.46	87.61
Accrual towards unspent obligations (Shortfall) in relation to:		
Ongoing project	44.54	111.08**
Other than ongoing project	Nil	Nil
Total	285.74	230.81
Amount required to be spent as per Section 135 of the Act	285.53	230.24
Amount of cumulative unspent at the end of the year	122.48	184.55
Amount spent during the year on		
(i) Construction / acquisition of any asset [§]	69.63	28.31
(ii) On purposes other than (i) above	171.56	91.42

*Includes administrative overheads and impact assessment cost

**Includes ₹ 6.27 crore (unutilized funds) which was refunded by implementing agencies in April 2024.

§ For funding capital assets which are held in the books of the implementing partner organizations / beneficiaries / public authorities. Includes advances paid against construction / acquisition of Capital assets and doesn't include amount spent on creation/acquisition of Capital assets out of Unspent CSR accounts of previous financial years.

Details of ongoing CSR projects under Section 135(6) of the Act:

(₹ in crore)

Financial Year	Balance as at 1 st April		Amount required to be spent during the year	Amount spent during the year		Balance as at 31 st March	
	With the Company	In Separate CSR Unspent account		From the Company's Bank account	From Separate CSR Unspent account	With Company	In Separate CSR Unspent account
FY 24-25	-	-	276.12	231.58	-	44.54 [#]	-
FY 23-24	111.08 [*]	-	-	-	47.95	-	63.13
FY 22-23	-	36.96 ^{**}	-	-	22.15	-	14.82
FY 21-22	-	36.50	-	-	36.50	-	Nil

[#] The amount was transferred to Kotak Mahindra Bank Limited Unspent CSR Account FY 2024-25 on 28th April, 2025

^{*} The amount was transferred to Kotak Mahindra Bank Limited Unspent Account FY 2023-24 on 29th April, 2024. Also includes refund of ₹.6.27 crore refunded by implementing organizations in April 2024

^{**} Includes refund of ₹ 0.007 crore received in April 2024.

Details of CSR expenditure under Section 135(5) of the Act in respect of other than ongoing projects:

(₹ in crore)

Balance unspent as at 1 st April, 2024	Amount deposited in Specified Fund of Schedule VII of the Act within 6 months	Amount required to be spent during the year [*]	Amount spent during the year	Balance unspent as at 31 st March, 2025
Nil	-	4.86	4.86	Nil

Notes

^{*} The amount required to be spent is Board approved CSR Project budget for Other than Ongoing (Annual) CSR Projects undertaken and completed in FY 2024-25

Details of excess CSR expenditure under Section 135(5) of the Act:

(₹ in crore)

Balance excess spent as at 1 st April, 2024	Amount required to be spent during the year	Amount spent during the year	Unspent/ unutilised CSR amount transferred to Unspent CSR Account FY 2024-25	Total	Balance excess spent as at 31 st March, 2025
1.99	285.53	241.20 [*]	44.54	285.74	2.20

^{*} Include CSR Administrative Overheads Expenditure of ₹ 3.55 crore and impact assessment cost of ₹ 1.21 crore.

Amount spent in FY2024-25 towards CSR is ₹241.2 crore (PY: ₹119.73 crore).

This includes spends on the CSR project of ₹236.44 crore (PY: ₹116.18 crore).

Administrative overheads of ₹3.55 crore (PY: ₹2.99 crore) and Impact assessment cost of ₹1.21 crore (PY: ₹0.56 crore).

13. DETAILS OF PAYMENTS OF AUDIT FEES

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2025	31 st March, 2024
Statutory Audit fees	4.34	3.69
Other Matters	0.96	0.47
Total	5.30	4.16

14. DESCRIPTION OF CONTINGENT LIABILITIES:

Sr.	Contingent Liability*	Brief Description
1.	Claims not acknowledged as debts	This includes liability on account of Direct and Indirect tax demands and legal cases filed against the Bank. The Bank is a party to various legal proceedings in the normal course of business. The Bank does not expect the outcome of these proceedings to have a material adverse effect on the Bank's financial conditions, result of operations or cash flows. In respect of appeals filed by the Income Tax department with higher authorities, where the matter was settled in favour of the Bank at the first appellate stage, and where in view of the Management, it gives rise to an item of timing difference, no contingent liability is envisaged by the Bank.
2.	Liability on account of outstanding forward exchange contracts	The Bank enters into foreign exchange contracts with inter Bank participants and with its customers. Forward exchange contracts are commitments to buy or sell foreign currency at a future date at the contracted rate.
3.	Guarantees on behalf of constituents	As a part of its Banking activities, the Bank issues guarantees on behalf of its customers. Guarantees generally represent irrevocable assurances that the Bank will make payments in the event of customer failing to fulfill its financial or performance obligations.
4.	Acceptances, endorsements and other obligations	These includes: • Documentary credit such as letters of obligations, enhance the credit standing of the customers of the Bank. • Bills re-discounted by the Bank and cash collateral provided by the Bank on assets which have been securitised. • Underwriting commitments in respect of Debt Syndication.
5.	Other items for which the Bank is contingently liable	These include: • Liabilities in respect of interest rate swaps, currency swaps, forward rate agreements, futures and options contracts. The Bank enters into these transactions with inter Bank participants and its customers. Currency Swaps are commitments to exchange cash flows by way of interest/principal in one currency against another, based on predetermined rates. Interest rate swaps are commitments to exchange fixed and floating interest rate cash flows. The notional amounts that are recorded as contingent liabilities are amounts used as a benchmark for the calculation of interest component of the contracts. • Liability in respect of Capital commitments relating to fixed assets and undrawn commitments in respect of investments. • Amount Transferred to RBI under the Depositor Education and Awareness Fund ('DEA Fund').

* Also refer Schedule 12 – Contingent Liability

15. SMALL AND MEDIUM ENTERPRISES:

Under the Micro, Small and Medium Enterprises Development Act, 2006 certain disclosures are required to be made relating to Micro, Small and Medium enterprises. Following is the disclosure as applicable:

(₹ in crore)

Sr. No	Particulars	As at	
		31 st March, 2025	31 st March, 2024
1	Principal amount due to suppliers registered under the MSMED Act and remaining unpaid as at year end	2.76	1.81
2	Interest due to suppliers registered under the MSMED Act and remaining unpaid on principal amount due to suppliers as at year end	0.04	0.03
3	Principal amounts paid to suppliers registered under the MSMED Act, where delay is beyond the appointed day during the year	43.51	28.58
4	Interest paid, other than under Section 16 of MSMED Act, to suppliers registered under the MSMED Act, where delay is beyond the appointed day during the year	Nil	Nil
5	Interest paid, under Section 16 of MSMED Act, to suppliers registered under the MSMED Act, where delay is beyond the appointed day during the year	Nil	Nil
6	Interest due and payable towards suppliers registered under MSMED Act, for principal payments already made	0.52	0.31
7	Further interest remaining due and payable for earlier years	0.37	0.05
8	Total amount of interest remaining due and unpaid at the end of the current financial year (sum of items in Sr. no. 2, 6 & 7)	0.93	0.39

16. The Bank, as part of its normal banking business that is conducted ensuring adherence to all regulatory requirements, grants loans and advances, makes investment, provides guarantees to and accept deposits and borrowings from its customers, other entities and persons.

Other than the transactions described above which are carried out in the normal course of business, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or deposits or any other sources or kinds of funds) by the Bank to or in any other persons or entities, including foreign entities ("intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Bank ("Ultimate Beneficiaries"). The Bank has also not received any funds from any parties (Funding Party) with the understanding that the Bank shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

17. On 18th June, 2024, the Bank has completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Zurich Kotak General Insurance (India) Company Limited (formerly Kotak Mahindra General Insurance Company Limited) ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore, resulting in net gain from such sale of ₹ 3,519.90 crore (pretax). Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of KGI as at 31st March, 2025.
18. As per the requirements of rule 3(1) of the Companies (Accounts) Rules 2014 the Company has used accounting software for maintaining its books of account that have a feature of recording audit trail (edit log) facility and the audit trail feature has operated throughout the year for all relevant transactions recorded in the software. Further, the audit trail has been preserved by the Company for all the accounting softwares used for maintaining its books of accounts as per the statutory requirements for record retention.

19. The Bank had received an order from the Reserve Bank of India dated 24th April, 2024, directing the Bank to cease and desist, with immediate effect from (i) onboarding new customers through the Bank's online and mobile banking channels and (ii) issuing fresh credit cards. The order was based, inter alia, on the deficiencies observed by the RBI in their IT Examination of the Bank.

The Bank had taken concrete steps to adopt new technologies to strengthen its IT systems. The RBI after having satisfied itself of the remedial measures undertaken by the Bank to address the supervisory concerns, the submission of compliances made to the RBI (including the report of the external Auditor), the RBI has vide its letter dated 12th February, 2025, communicated its decision to the Bank to lift the aforementioned restrictions placed on the Bank.

20. Figures for the previous year have been regrouped / reclassified wherever necessary to conform to current years' presentation.

As per our report of even date attached.

For **KKC & Associates LLP**
Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Firm Registration No. 105146W/W100621

Gautam Shah
Partner
Membership No. 117348
Mumbai
3rd May, 2025

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

G. K. Subramaniam
Partner
Membership No. 109839
Mumbai
3rd May, 2025

For and on behalf of the Board of Directors

C S Rajan
Chairman
DIN: 00126063
Jaipur
3rd May, 2025

Shanti Ekambaram
Deputy Managing Director
DIN: 00004889
Mumbai
3rd May, 2025

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993
Mumbai
3rd May, 2025

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550
Mumbai
3rd May, 2025

Ashu Suyash
Director
DIN: 00494515
Mumbai
3rd May, 2025

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430
Mumbai
3rd May, 2025

Directors' Report

To the Members,

KOTAK MAHINDRA BANK LIMITED

Your Directors have pleasure in presenting the Fortieth Annual Report of Kotak Mahindra Bank Limited ("Bank") together with the audited Financial Statements for the financial year ("FY") ended 31st March, 2025.

FINANCIAL HIGHLIGHTS

(A) CONSOLIDATED*

(₹ in crore)

	FY 2024-25	FY 2023-24 [^]
Total Income	106,902.24	94,273.91
Total expenditure, excluding provisions and contingencies	74,053.97	68,438.06
Operating Profit	32,848.27	25,835.85
Provisions and contingencies, excluding provision for tax	3,859.24	1,972.47
Profit Before Tax [§]	28,989.03	23,863.38
Provision for Taxes	7,043.29	5,886.55
Profit After Tax	21,945.74	17,976.83
Add: Share in Profit of Associates	180.25	236.38
Consolidated Profit for the Group	22,125.99	18,213.21
Earnings per share:		
Basic (₹)	111.29	91.45
Diluted (₹)	111.29	91.45

Notes:

* The Financial Statements of the Indian subsidiaries (excluding insurance companies) and associates are prepared as per the Indian Accounting Standards in accordance with the Companies (Indian Accounting Standards) Rules, 2015. The Financial Statements of the subsidiaries and associates used for preparation of the consolidated financial statement are in accordance with the Generally Accepted Accounting Principles in India ("GAAP") specified under Section 133 and relevant provisions of the Companies Act, 2013 ("Act").

[^] Previous year amounts have been re-classified for consistency with the current year presentation, wherever necessary.

[§] On 18th June, 2024, the Bank has completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in Kotak Mahindra General Insurance Company Limited ("KGI"), its subsidiary, to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore resulting in net gain from such sale of ₹ 3,803.40 crore (pre-tax), considering the carrying value of investment in consolidated financials. Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an associate, with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of Zurich Kotak General Insurance Company (India) Limited (Formerly known as Kotak Mahindra General Insurance Company Limited), as at 31st March, 2025.

(B) STANDALONE

(₹ in crore)

	FY 2024-25	FY 2023-24 [^]
Total Income	67,880.86	56,072.01
Total expenditure, excluding provisions and contingencies	43,354.39	36,484.56
Operating Profit	24,526.47	19,587.45
Provisions and contingencies, excluding provision for tax	2,942.36	1,573.73
Profit Before Tax [*]	21,584.11	18,013.72
Provision for Taxes	5,134.03	4,232.14
Profit After Tax	16,450.08	13,781.58
Add: Surplus brought forward from the previous year	45,103.02	37,760.09
Amount available for appropriation	61,553.10	51,541.67
Less: Appropriations		
Statutory Reserve under Section 17 of the Banking Regulation Act, 1949	4,112.52	3,445.40
Transfer to Capital Reserve	2,065.27	-
Transfer to Special Reserve	150.00	125.00

(₹ in crore)

	FY 2024-25	FY 2023-24 [^]
Transfer to Investment Reserve Account	-	831.63
Transfer to Investment Fluctuation Reserve Account	500.00	1,200.00
Transfer to Capital Redemption Reserve	-	500.00
Dividend paid **	397.62	336.62
Surplus carried to Balance Sheet	54,327.69	45,103.02

Notes:

* On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in Kotak Mahindra General Insurance Company Limited ("KGI"), its subsidiary, to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore, resulting in net gain from such sale of ₹ 3,519.90 crore (pre-tax), for the year ended 31st March, 2025. Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an associate, with effect from 18th June, 2024.

[^] Previous year amounts have been re-classified for consistency with the current year presentation, wherever necessary.

**The Bank has complied with all criteria specified in the Reserve Bank of India circular dated 4th May, 2005 on payment of dividend on equity shares and the Board of Directors of the Bank has recommended a dividend of ₹ 2.50 per equity share (Face Value of ₹ 5/-) for FY 2024-25 (previous year: ₹ 2.00 per equity share), from the profits for FY 2024-25. As per the requirements of revised AS 4 - 'Contingencies and Events Occurring after the Balance Sheet Date', the dividend pay-out is appropriated from the amount available for appropriation in the year of pay-out.

FINANCIAL PERFORMANCE

On a standalone basis, Profit After Tax ("PAT") of the Bank was ₹ 16,450.08 crore in FY 2024-25 compared to ₹ 13,781.58 crore in FY 2023-24. Net Interest Income ("NII") of the Bank for FY 2024-25 was ₹ 28,341.78 crore as against ₹ 25,993.20 crore in FY 2023-24.

The consolidated PAT was ₹ 22,125.99 crore in FY 2024-25 compared to ₹ 18,213.21 crore in FY 2023-24. Further, the Group had a Net Worth of ₹ 157,395.08 crore as on 31st March, 2025 (₹ 129,892.40 crore as on 31st March, 2024). The book value per equity share was ₹ 791.64 as on 31st March, 2025 (₹ 653.41 as on 31st March, 2024).

Further details about the financial performance of your Bank are available in the Management's Discussion and Analysis Report, annexed to this Report.

CAPITAL

During the year, your Bank allotted 302,095 equity shares arising out of the exercise of Employees Stock Options granted to the Eligible Employees of your Bank and its subsidiaries.

After the allotment of the aforesaid equity shares, the total issued, subscribed and paid-up share capital of your Bank as at 31st March, 2025 stood at ₹ 9,941,114,965/- comprising 1,988,222,993 equity shares of ₹ 5/- each.

DIVIDEND

The Board of Directors of your Bank have, at their meeting held on 3rd May, 2025, recommended a dividend of ₹ 2.50 per equity share for FY 2024-25. The dividend, if approved by the members, would entail a pay out of approximately ₹ 497.07 crore (Previous Year: ₹ 397.59 crore), based on the capital as on 28th June, 2025. The dividend would be paid to all the eligible equity shareholders, whose names would appear in the Register of Members / List of Beneficial Owners on the Record Date fixed for this purpose i.e. 18th July, 2025.

The Dividend Distribution Policy, in terms of Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") and as reviewed and adopted by the Board of Directors of your Bank, is available on the Bank's website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/policies.html>

DEBENTURES AND BONDS

Your Bank has not issued any capital under Tier II / Infrastructure Bond Issuance during FY 2024-25.

As at 31st March, 2025, outstanding Infrastructure Bonds aggregated ₹ 4,845 crore. All the Bonds have been issued on a private placement basis and are listed on BSE Limited ("BSE") / National Stock Exchange of India Limited ("NSE"), as the case may be.

CAPITAL ADEQUACY RATIO

Your Bank has a Capital Adequacy Ratio of 22.25% as of 31st March, 2025 under Basel III, with Tier I Capital being 21.10% (of which, Common Equity Tier 1 Capital is 21.10%).

CREDIT RATINGS

The details of all credit ratings obtained by your Bank for various instruments, including debt instruments outstanding as on 31st March, 2025, are disclosed in the Report on Corporate Governance, annexed to this Report.

DEPOSITS

Being a banking company, the disclosures required under Rule 8(5)(v) and (vi) of the Companies (Accounts) Rules, 2014 read with Sections 73 and 74 of the Act are not applicable to your Bank.

REMOVAL OF SUPERVISORY RESTRICTIONS - LETTER OF RESERVE BANK OF INDIA DATED 12TH FEBRUARY, 2025

Your Bank had received an order dated 24th April, 2024 ("Order") from RBI, directing the Bank to cease and desist, with effect from 24th April, 2024 from on-boarding new customers through the Bank's online and mobile banking channels and issuing fresh credit cards. The Order was based, *inter alia*, on the deficiencies observed by RBI in the Information Technology (IT) Examinations of the Bank, for the years 2022 and 2023.

RBI had, vide its letter dated 12th February, 2025, communicated its decision to the Bank to lift the aforementioned restrictions placed on the Bank, having satisfied itself of the remedial measures undertaken by the Bank to address the supervisory concerns and the submission of compliances made to it (including the report of the external Auditor).

OPERATIONS

CONSUMER BANKING

The Consumer Banking business serves a wide spectrum of customers across domestic individuals and households, non-residents, small and medium sized business segments for a range of products from Savings and Current Accounts to Term Deposits, Credit Cards, Unsecured and Secured Loans, Working Capital, Digital Payments, Insurance Protection and Investments.

Your Bank continues to focus on customer centricity and has built propositions around this principle by leveraging digital capabilities. During FY 2024-25, your Bank strategically organised the Consumer Bank into three core segments viz., Product, Distribution and Proposition. The Distribution segment engages customers through three distinct channels viz., the branch network, digital and voice.

Aligning Distribution Architecture with customer personas

Your Bank's physical branches are now designed with targeted customer personas in mind. For instance, a branch located in a residential area addresses different customer needs compared to one in a commercial hub. This persona-driven approach is shaping all aspects of your Bank's branch strategy, including branch staff skill set requirements and capacity planning.

In FY 2024-25, your Bank not only enhanced its existing applications but also launched the new Kotak Mobile Banking App to further elevate customer experience. Each of your Bank's digital apps is designed to deliver an intuitive UI/UX, relevant functionalities and targeted propositions tailored to the needs of diverse customer segments.

Your Bank's Voice platform serves as a bridge between digital and physical channels, supporting both customers and frontline teams. It offers a dedicated hotline for customer assistance, while also enabling branch colleagues to access information on products, processes and systems. This integrated support ensures seamless resolution of inquiries, ultimately enhancing the overall customer experience.

Curated propositions through customer lens

Your Bank's product strategy has evolved from a 'one-size-fits-all' approach to one that is differentiated and segment-relevant. This approach balances cost efficiency with customer value creation. A manifestation of this approach is evident in the recent launch of Kotak Solitaire, your Bank's new proposition for the affluent customer segment. It harnesses the entire product suite to deliver suitable financial solutions, exclusive credit lines and elite lifestyle privileges.

Further, all the three channels work on deepening customer engagement guided by defined personas right from the onboarding stage through co-origination of products and continuing across the customer lifecycle, with personalised nudges and targeted offers. By driving customer engagement using a customer 360 approach and by integrating data analytics and leveraging data across operations, your Bank has strengthened its risk underwriting and customer profiling.

To elevate customer service at your Bank's branches, the focus has been on two key areas viz., branch decongestion and optimising the time spent by your Bank's colleagues on operational tasks. Decongestion is achieved by redirecting customer interactions to digital and voice channels, ensuring faster and more convenient service. For customers who continue to visit branches, your Bank enhanced operational efficiency through its Frontline Digitisation Initiatives. The key initiatives include optimisation of transaction (NEFT, IMPS and IFT) processing times through Transaction Authorisation System (TAS), reduction of batch processing time for daily branch reports and introduction of an AI-powered bot.

Impact of the above strategies

Strengthening the liabilities franchise

Your Bank's deposits grew by 11% in FY 2024-25, driven by a strong 18% YoY growth in ActivMoney. The persona-based approach adopted by your Bank, has played an enabling role in optimising the deposit mix, as reflected in the efficient Current Account (CA) to Savings Account (SA) ratio and cost of funds.

Building momentum on assets while managing risk

Alongside strengthening liabilities, your Bank has maintained a strategic focus in growing the Consumer Assets segment, which has enhanced portfolio granularity and improved the overall yield. The Consumer Assets book grew 17% YoY despite the RBI restriction on issuance of credit cards. Your Bank acquired a ₹ 3,330 crore portfolio of personal loans from Standard Chartered Bank, India during the year.

Your Bank's secured business, consisting of Home Loans and Loan Against Property ("LAP") and Working Capital, registered growth of 19% each in FY 2024-25 and the unsecured loans business, excluding credit cards, grew 24%, primarily supported by the ₹ 3,330 crore personal loan acquisition (from Standard Chartered Bank, India) during the year. Mortgages remain a key focus for deepening affluent customer relationships and increasing wallet share. Your Bank has been a strong player in the LAP market and continues to focus on this product by leveraging its strength in the self-employed segment.

Your Bank has strengthened the Business Banking segment, reaffirming its strong commitment to this segment. This secured business portfolio, primarily comprising Small and Medium Enterprises ("SMEs"), continues to perform well across industry segments and geographies. In this business, your Bank is able to serve the customer for all their financial and non-financial needs.

Kotak811 - where Banking meets Technology

In FY 2024-25, Kotak811 integrated advanced technologies and data analytics to enhance customer experiences and accelerate growth. The key highlights are below:

- Restarted Acquisition: Revamped its technology stack and strengthened the guardrails by leveraging Artificial Intelligence ("AI")/ Machine Learning ("ML") to deliver secure, frictionless and scalable customer onboarding.
- Enhanced the Kotak811 App: With minimalistic and unbiased design that offers more than 100 features, Kotak811 App continues to be a top-ranking app on both App store and Play store. It provides seamless digital journeys for sachet-sized cards, loans, investment and protection plans, all accessible in 2-3 clicks. Notably, Kotak811 is among the few banking apps that facilitates and rewards digital payments.
- Optimising Physical Interaction: Supported by the hybrid platforms, sales officers can now offer multiple services in the same interaction such as enrolling for multiple financial products.

Strengthening Customer Service

Your Bank has strengthened its customer service and grievance redressal systems through the deployment of Salesforce system, enabling service request automation and transitioning from manual processes to API-driven executions. Supported by a dedicated team (following the Kaizen principles), these enhancements led to a 28% YoY reduction in net customer complaints.

COMMERCIAL BANKING

Your Bank's Commercial Banking business focuses on meeting the banking and financial needs of various segments, with specialised units offering financial solutions in the areas of Commercial Vehicles ("CV"), Construction Equipment ("CE"), Tractor and Farm Equipment ("TFE"), SMEs operating in the Agriculture Value Chain and Microcredit. The majority of customers to whom this business caters, are from the semi-urban and rural area segment, forming a part of the priority sector. This business plays a significant role in meeting the financial inclusion goals by financing deep into 'Bharat'.

During the year, the CV industry has de-grown by approximately 1%. Your Bank has grown 2% in unit terms during the same period. The CE industry grew at a modest rate of 2% during the year. Disbursements for your Bank grew around 6% YoY basis, thus helping in gaining market share.

The slow market growth in CV and CE segments was primarily on account of the implementation of election model code of conduct, heat wave and overall lower than expected government spending. On the collection side, your Bank saw some deterioration due to aforementioned factors. However, with risk analytics and credit policy interventions, improvement was visible in Q4 FY 2024-25.

The Tractor industry grew by approximately 7% during the year, backed by near normal monsoon, government support and rising adoption of mechanisation. Your Bank's disbursement growth in the Tractor business was in line with the industry growth, maintaining its leadership position. Priority Sector Lending ("PSL") book constitutes more than 90% of these loans, demonstrating your Bank's continued commitment towards making difference in the lives and livelihood of farmers. This was aided by focus on new products / customer segments, deeper geographies and productivity per employee through digital adoption for onboarding and collections.

FY 2024-25 commenced on a stable footing with respect to Kharif and Rabi crop output. Steady agriculture commodity prices for a reasonable time horizon, a near normal monsoon and continued government policy thrust for value chain integration across key sectors provided a steady backdrop for Agriculture credit flow and value-added supply chain building. Agri Business Group (ABG), with a stable portfolio quality continued to adopt a risk-calibrated focused New To Bank ("NTB") growth strategy, with sharper customer segmentation, strategic distribution and differentiated underwriting approaches to strengthen portfolio resilience.

FY 2024-25 was one of the most challenging years for the Microcredit business. There was an increase in delinquency levels across the industry, mainly due to over-leveraging by borrowers. The weak and erratic monsoons in FY 2023-24, heatwave in Q1 FY 2024-25, followed by floods in certain States, impacted rural household incomes, leading to issues in repayment capacity of the borrowers. Your Bank had taken a cautious stance with respect to disbursements and took several measures to improve collections and on-board better quality customers. The credit costs have been higher for the Microcredit business during the year. There has been some improvement in collection efficiency witnessed during Q4 FY 2024-25, post the implementation of guardrails announced by Self-Regulatory Organization (SRO).

The gold loan industry in India experienced a healthy growth of over 56%, driven by factors such as increased gold prices and the need for quick, collateral-based financing solution. Your Bank is now offering gold loans from over 480 branches i.e., from approximately 25% of its total branch network.

RBI guidelines on PSL require banks to lend 40% of their Adjusted Net Bank Credit ("ANBC") to fund certain types of activities carried out by specified borrowers. The shortfall in the amount required to be lent to the priority sectors and weaker sections may be required to be deposited in funds with government sponsored Indian development banks, such as the National Bank for Agriculture and Rural Development, the Small Industries Development Bank of India, the National Housing Bank, MUDRA Limited and other financial institutions, as decided by the RBI, from time to time.

As prescribed in the RBI guidelines, your Bank's PSL achievement is computed on a quarterly average basis. Total average PSL for FY 2024-25 was ₹ 139,713.24 crore (FY 2023-24: ₹ 121,619.65 crore), constituting 45.09% (FY 2023-24: 44.06%) of ANBC, against the requirement of 40% of ANBC.

WHOLESALE BANKING

Your Bank's Wholesale Banking business caters to a wide range of corporate customer segments, including major Indian corporates, conglomerates, financial institutions, public sector undertakings, multinational companies, financial sponsors (including private equity funds and foreign portfolio investors), new-age companies, SME and realty businesses. It offers a comprehensive portfolio of products and services to these customers, including working capital finance, medium-term finance, project finance, trade and supply chain finance, foreign exchange services, other transaction banking services, custody services, debt capital markets and treasury services.

Your Bank focused on growing its granular customer base in the SME and Mid-Market segments where growth opportunities are still attractive and both these segments have grown faster than the rest of the segments this year. The growth in these segments were higher than market growth, signifying that your Bank has gained market share. Given the long term trajectory of India's economic growth, these segments are a platform for Wholesale Bank growth. Your Bank has restructured its processes and digital offerings with a view to make banking more attractive and easier for these emerging corporates. With enhanced professionalisation and formalisation of SMEs, many of today's SMEs will emerge as Large Corporates of the Viksit Bharat in a decade or so and your Bank is excited about the opportunities that lie ahead. Your Bank strives to be the 'House Bank' to these SMEs and offer, along with the rest of the Kotak Group, the entire bouquet of banking services, beyond lending, including corporate salary, insurance, cross border funding, wealth management, financial advisory and even potentially Initial Public Offerings ("IPOs").

In the larger corporate space, your Bank has increased its share in short term and working capital loans. The focus was on participating in customers trade financing and other transaction banking services, which helped garner a greater share of customer flows. Through a sustained focus on technology-led transaction banking growth, customer experience enhancement and a front line focused on structuring solutions, your Bank made progress in deepening client relationships, improving operational efficiency and expanding wallet share across client segments. These, along with the focus on higher product penetration and fee incomes, ensured that your Bank was able to deliver healthy growth in profitability and maintained an attractive return on equity.

These initiatives have strengthened your Bank at a time when the market has thrown up a number of challenges. Credit demand continued to remain muted throughout the year. Liquidity in the system was tight for most part of the year and this pushed up the cost of funds for banks. However, irrational pricing from banks and buoyant capital markets kept customer yields under check, thus exerting pressure on the spreads for wholesale banks. The expectations of a fall in benchmark interest rates would have put further pressure on yields and spreads. The strategic initiatives undertaken by your Bank to drive granular growth and enhance profitability, have significantly strengthened its position to effectively navigate these and other emerging challenges.

Your Bank has, over the years, invested in developing expertise and forming Centre-of-Excellence in areas, such as, Structured Lending, Infrastructure Financing, Real Estate Financing, Banking for Financial Sponsors and Custodial Services, among others. Your Bank's expertise

in these areas is disproportionately higher than its asset share. Your Bank seeks to leverage on this expertise to deepen existing relationships, acquire new quality customers on a consistent basis and secure value addition through deeper penetration of varied products and services.

Capital markets were buoyant during the year and a strong capital market proposition helped your Bank strengthen its position in the capital market space. Your Bank was selected as the Banker to an Issue and sponsor bank for the country's top IPOs during the year. Your Bank handled 19 mainboard IPOs during the year, with a cumulative issue size of over ₹ 84,000 crore. Custody flows were also strong for most of the year. Your Bank successfully on-boarded new clients across both, domestic and offshore custody businesses, positioning itself well for future growth.

During the year, your Bank has continued to invest in strengthening its digital capabilities driving innovations and efficiency while focusing on customer-centricity. A cornerstone of this digital journey is Kotak fyn, a comprehensive platform designed to streamline corporate banking across trade, payments, collections, account services and loans. During the year, your Bank continued to enhance features and offerings in Kotak fyn, while also focusing on increasing digital penetration across its wholesale banking and retail corporates.

Key milestones achieved on the web Kotak fyn platform, during the year included:

- 1.7 times increase in the on-boarded base
- 1.6 times growth in active users on the platform
- 2.9 times growth in daily user logins
- 1.2 times growth in transactions processed

Your Bank has further strengthened its omni-channel proposition by extending trade approvals through the Kotak fyn app. This has delivered notable impact across its customers, leading to 1.5 times growth in registered users and 1.2 times growth in transactions approved through the Kotak fyn app. Looking ahead, Kotak fyn will continue to evolve by seamlessly integrating technology with a deep understanding of enterprise needs, ensuring that your Bank and its clients stay ahead in an increasingly digital world.

Your Bank took a strategic step by establishing a dedicated project team to specially focus on simplifying and advancing customer and employee journeys, focusing on technological advancements, simplifying processes and reducing Turn Around Time ("TAT"). Significant strides were made in simplification and automation of various banking processes, leading to numerous qualitative benefits. This has not only minimised errors and operational risks but also helped your Bank to enhance overall efficiency and provide better service delivery. There was a reduction in TAT for ad-hoc and renewal requests, which significantly boosted client satisfaction and productivity. The introduction of dedicated helpdesks for Kotak fyn, automated processes and streamlined operations reduced the workload on the front and mid-office staff and enhanced client servicing. Simplified processes for account opening and servicing also played a crucial role in improving customer experience and reducing operational complexities.

Do It Yourself ("DIY") and automation efforts also played a crucial role in FY 2024-25. The implementation of online facilities and the introduction of DIY journeys for the creation of term deposits on Kotak fyn facilitated product penetration, while making linkage from Kotak fyn to your Bank, more user-friendly and efficient. These initiatives not only reduced the effort required from front-office staff but also improved the speed and convenience of customer interactions.

For the merchant ecosystem, your Bank has developed the 'Sampark Setu' platform, a bank-level unified platform, designed in-house to include all digital payment modes. It acts as a central hub for the merchants, enabling seamless on-boarding, settlement, reconciliation, risk and compliance. Hosted on the Kotak cloud, it is designed to build high availability, scalability, security, operational efficiency and audit control.

Overall, the initiatives undertaken in FY 2024-25 have laid a strong foundation for continued improvements in operational efficiency, customer service and productivity in FY 2025-26.

Your Bank remains committed to building a high-quality differentiated corporate franchise and continues to focus on maintaining the health and profitability of the business.

PRIVATE BANKING

Your Bank's Private Banking division caters to a number of distinguished Indian families and is one of the oldest and the most respected Indian private banking institution. It manages wealth for 60% of India's top 100 families (Source: Forbes India Rich List 2024), with clients ranging from entrepreneurs to business families and professionals.

Your Bank provides an open architecture proposition to its customers, offering a plethora of private banking products. This business has a strong distribution capability for private clients through distribution / referral model across equities, fixed income and alternates, catering to

Ultra High Net worth Individual (“UHNI”) and High Net worth Individual (“HNI”) investors. In addition to comprehensive financial solutions that go beyond investments, your Bank provides banking and credit, consolidated reporting, family office services, offshore investments and other various products and services to its clients. Referral for estate planning services are also provided to the clients. With an in-depth understanding of client requirements and expertise across various asset classes, your Bank offers the widest range of financial solutions. Your Bank has added approximately 2,692 new families in FY 2024-25, to its client base.

The Private Banking division of your Bank celebrated a significant milestone of completing 20 years. The crucial pillars were driving brand salience, digital and technology, customer experience and expanding your Bank’s footprints offshore. Your Bank strived to enhance its offerings through continuous innovation in platform, proposition and cutting-edge technologies. This, in turn, helped to enrich client experience across all touchpoints.

INTERNATIONAL BANKING UNITS

Your Bank has two International Banking Units (“IBUs”) based at Gujarat International Finance Tec-City (“GIFT City”), Gandhinagar, Gujarat and DIFC, Dubai, United Arab Emirates.

The GIFT City Branch is regulated by the International Financial Services Centre Authority (IFSCA), which facilitates your Bank’s participation in syndication of overseas loans, lending to clients in international markets and providing External Commercial Borrowing to eligible Indian corporates. Your Bank also undertakes offshore client’s forex and derivative transactions to help them with the management of interest rate and currency risks, in addition to investments in offshore bonds.

The DIFC Branch is your Bank’s first overseas branch at Dubai, regulated by the Dubai Financial Services Authority (“DFSA”). This Branch complements your Bank’s ability to advise and arrange global investment products, provide loans and accept deposits from its overseas private banking customers that qualify under the Professional client criteria of the DFSA. Your Bank has developed capabilities to advise and arrange global investments through this Branch. Your Bank also has tie-ups with some leading names in the international investments space and arranges access to their services to eligible customers of the Branch. The IBUs have their respective treasuries, which not only manage regulatory and liquidity requirements but also offer banking services through products like term credit facilities for various purposes, trade finance, foreign exchange solutions, etc.

ASSET RECONSTRUCTION

Your Bank’s Asset Reconstruction Division looks at opportunities and takes exposure in distressed / Non-Performing Assets (“NPA”) accounts through Security Receipts (SR) investments, Stressed / NPA portfolio buyout from other banks, priority funding and working capital assistance, with an aim to resolve and turn them around. Your Bank has been active in the distressed asset buyouts and investments space, for almost two decades.

The resolution process has gained momentum with the support of various judicial forums like Debt Recovery Tribunals (DRTs), Debt Recovery Appellate Tribunals (DRATs), Magistrate Courts, High Courts, Supreme Court and National Company Law Tribunal (NCLT) proceedings under the Insolvency and Bankruptcy Code, 2016. Your Bank adopts various measures thoughtfully, diligently and with compassion to resolve the stressed and bad accounts.

Your Bank did sizable investments, both in corporate and retail stressed assets space in FY 2024-25 and expects a lot of opportunities on the acquisition side, especially in retail stressed loans segment as well as corporate loans of large exposures in the coming years. If the prices offered are reasonable and attractive, your Bank shall be open to acquire several of them, post critical analysis and evaluation.

TREASURY

Your Bank’s Treasury actively contributes by way of:

- (i) **Balance Sheet Management:** The Balance Sheet Management Unit (“BMU”) is primarily responsible for managing the liquidity and interest rate risks within the Bank’s overall risk appetite and framework. The BMU actively plans and manages the Bank’s liquidity requirements in the given market context. Additionally, the BMU ensures the maintenance of regulatory reserves and other stipulated ratios for prudent management of liquidity and interest rate risk, while also maintaining adequate liquidity buffers and efficiently managing the reserves portfolio.
- (ii) **Proprietary Trading:** The Proprietary Trading Desk actively trades in Fixed Income products (viz. Bonds, Debentures, Money Markets Instruments and INR Derivatives), Foreign Exchange and Equity. Within the Proprietary Trading Desk, the Primary Dealer Desk participates in primary auctions of Government securities, makes market in these securities and engages in their retailing. The Proprietary desks also provide market access to sales teams to facilitate customer transactions and requirements.
- (iii) **Customer Transactions:** The customer facing desks at Treasury assist and manage customer transactions across Foreign Exchange, Derivatives and Bullion products. The Forex and Derivatives Desk facilitates customer access to foreign currency markets through cash and derivatives products for remittances, trade transactions and for managing Foreign Exchange and Interest Rate risks.

- (iv) **Bullion:** The Bullion desk provides efficient working capital solutions to domestic jewellery manufacturers, as per the prescribed rules of the RBI. Your Bank also imports gold and silver to meet the needs of customers, under a license from the RBI.

For more details on Operations of your Bank, please refer to the Management's Discussion and Analysis Report, annexed to this Report.

TECHNOLOGY AND DIGITISATION

FY 2024-25 marked an important year in your Bank's technology and digital transformation journey. Your Bank's technology teams worked relentlessly to rebuild and modernise the technology infrastructure, with a strong focus on resiliency, efficiency, speed, scale, data and security. These efforts also resulted in resolving the regulatory restrictions, highlighted in the RBI Order dated 24th April, 2024, which were subsequently removed by its letter dated 12th February, 2025.

Your Bank has built an in-house team of high-quality engineers, reducing reliance on external vendors. This strategic shift has enhanced the Bank's technical capabilities and enabled the development of unified platforms that accelerate digital transformation across products, services and channels.

These foundational principles have driven several transformational initiatives, anchored around three key themes:

- (i) **Upgradation of the Core Banking Solution ("CBS"):** Your Bank has made significant progress in upgrading its CBS by building horizontal and vertical layers around it. This has reduced system load, improved monitoring and ensured the availability of critical services under stress. IT governance and risk management practices have also been strengthened, with a focus on cybersecurity, data encryption and enhanced user access controls.
- (ii) **Creation of unified and interoperable platforms:** These platforms are designed to modernise the core infrastructure and serve as a robust foundation for powering front-end applications. They enable seamless integration, faster development cycles and consistent performance across channels.
- (iii) **Leveraging data and analytics:** Your Bank has advanced its capabilities in predictive analytics, customer behaviour modelling and operational efficiency. AI and ML are embedded across various layers, from intelligent automation in backend processes to personalised experiences in customer-facing applications. The development of advanced data analytics frameworks has empowered the Bank to derive actionable insights, supporting business decisions and scalable growth.

Additionally, your Bank is building Kotak AI, a proprietary Generative AI platform that will serve as the cognitive core of its ecosystem. Unlike traditional bolt-on solutions, Kotak AI is being deeply integrated into the Bank's technology fabric, enabling predictive insights, contextual intelligence and seamless automation across interactions.

This transformation in the underlying infrastructure has empowered the front-end digital applications ("apps") and platforms to be fast, intuitive and secure.

Your Bank developed a suite of digital apps / platforms, designed specifically to meet the unique needs of diverse customer segments. Recently launched apps include:

- For affluent, non-residents and self-employed customers, the new Kotak Bank App emphasises speed, simplicity and security as its core tenets.
- For a billion Indians (core India), Kotak811 offers full-stack digital banking with sachet-sized products and features of rewards and cashback on transactions.
- For Merchants, 'Sampark Setu' platform, a Bank-level unified platform, designed in-house to include all digital payment modes, acts as a central hub for the merchant ecosystem, enabling seamless onboarding, settlement, reconciliation, risk and compliance.

FY 2024-25 marked a pivotal year in your Bank's digital transformation journey. Anchored in a robust technology foundation and a customer-first mindset, your Bank has modernised its infrastructure, strengthened cybersecurity and built intuitive digital experiences, laying the groundwork to deliver best-in-class customer service through fast, secure and scalable in-house systems.

HUMAN RESOURCES

FY 2024-25 was a year of transformation for your Bank and its Human Resource ("HR") function, a year defined by conscious intent, collective commitment and measurable change. With customer centricity at the core, your Bank has sharpened its focus on building a workplace where every Kotakite can thrive, not just through policies and programmes, but also by creating an environment where purpose, growth and belonging are woven into the everyday experience.

The HR function anchored its initiatives around two key priorities: first, to ensure the Bank creates an employee experience that enhances overall engagement and continues to be recognised as a Great Place to Work and second, to focus on retaining key talent.

Key HR initiatives taken by your Bank, were categorised under the Five Pillars of Talent Engagement, as follows:

1. Best of Kotak for Kotakites: Kotak Staff Home Loan Policy
2. Colleague Development
 - a. Kotak Young Leaders Council
 - b. Strategic Leadership and Executive Education Programmes
 - c. Managerial Effectiveness Programmes
 - d. Talent Marketplace platform
3. Building a Culture of Appreciation through a comprehensive multi-format recognition framework
4. Transparent Communication
 - a. Amber, our AI powered real-time feedback platform
 - b. My Kotak My Say
 - c. Townhall and Leadership Connects
 - d. KotakWorld, our Intranet platform
5. Enhanced Colleague Value Proposition
 - a. Diversity, Equity, Inclusion and Belonging Initiatives
 - b. Health and Wellbeing
 - c. Caring Kotakite
 - d. Careers and Rewards

For more details on the Key HR initiatives, please refer to the Management's Discussion and Analysis Report, annexed to this Report.

EMPLOYEES

As of 31st March, 2025, the full-time employee strength of the Kotak Group was over 114,000 and the Bank, at the standalone level, had over 75,000 employees.

The information required pursuant to Section 197(12) of the Act read with Rules 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, as amended from time-to-time, is given as an Annexure to this Report. In terms of Section 136(1) of the Act, the Annual Report and financial statements are being sent to the members, excluding the statement containing particulars of employees. The Annexure is available for inspection and any member interested in obtaining a copy of the Annexure, may send an email to the Company Secretary at KotakBank.Secretarial@kotak.com

INFORMATION UNDER THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

Your Bank continues with the belief of zero tolerance towards sexual harassment at workplace and continues to uphold and maintain itself as a safe and non-discriminatory organisation. To achieve the same, your Bank reinforces the understanding and awareness of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("POSH"). Your Bank has formulated a central Steering Board Committee, besides having an Internal Committee in three regions for reporting any untoward instance of sexual harassment. Any complaint pertaining to sexual harassment is diligently reviewed and investigated and treated with great sensitivity. The Internal Committee members have been trained in handling and resolving complaints. Your Bank also has an online e-learning POSH Awareness module, which covers the larger employee base.

As of 1st April, 2024, 17 complaints were pending for disposal. All these complaints were disposed off during FY 2024-25.

The Bank received a total of 43 complaints during FY 2024-25, of which, 29 were disposed off as of 31st March, 2025. 13 complaints out of 14 complaints, which were pending as on 31st March, 2025, have been disposed off, as on the date of this Report.

PROHIBITION OF INSIDER TRADING

Your Bank has adopted the Kotak Mahindra Bank Limited - Insider Trading Code of Conduct (Code) for prohibition of insider trading in the securities of the Bank as well as other listed and proposed to be listed companies and a Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information (Fair Disclosure Code).

Your Bank has also formulated and adopted the Policy for Determination of Materiality of Events or Information of the Bank, in terms of Regulation 30 of the SEBI Listing Regulations. The Policy for Determination of Materiality of Events or Information and the Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information of the Bank, are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

WHISTLE BLOWER POLICY/ VIGIL MECHANISM

Your Bank is committed to its 'Vision Statement' of upholding its Global Indian Financial Services Brand, creating an ethos of trust across all constituents, developing a culture of empowerment and a spirit of enterprise, thereby becoming the most preferred employer in the financial services sector.

Consistent with the Vision Statement, your Bank is committed to maintain and provide to all its employees and directors, the highest standards of transparency, probity and accountability. The Kotak Group endeavours to develop a culture, where it is safe and acceptable for all employees and directors to raise / voice genuine concerns in good faith and in a responsible as well as effective manner.

A vigil mechanism has been implemented through the adoption of a Whistle Blower Policy with an objective to enable employees / directors / suppliers / vendors / service providers / all other applicable stakeholders, raise genuine concern or report evidence of activity by the Bank or its employee or director or vendor that may constitute instances of corporate fraud, unethical business conduct, a violation of Central or State laws, rules, regulations and / or any other regulatory or judicial directives, any unlawful act, whether criminal or civil, irregularities like alteration, forgery or fabrication of documents, impropriety, abuse or wrong doing, misuse of office / position, theft / embezzlement, misappropriation of asset, bribery / corruption, collusion with vendor / customers, deliberate breaches and non-compliance with the Bank's policies, processes, data leakage, questionable accounting / audit matters / financial malpractice, ethics violation, conflict of interest, dual employment and unauthorised disclosure of confidential information about the Bank or any of its customers. The concerns can be reported online on the following website viz., URL: <https://www.speakup.co.in/> which is managed by an independent third party. Safeguards to avoid discrimination, retaliation or harassment and confidentiality have been incorporated in the said Whistle Blower Policy.

All employees and Directors have access to the Chairperson of the Audit Committee in appropriate and exceptional circumstances. Further, the Chairperson of the Audit Committee has access rights to the whistle blower portal. The Audit Committee reviews a synopsis of the complaints received and the resolution thereof, every quarter under the said Whistle Blower Policy.

Your Bank is taking several initiatives to encourage employees to blow the whistle and report incidences of any fraud or unusual events. During the year under review, your Bank has initiated periodic email, SMS and poster campaigns for educating employees on the process of whistle blowing, creating awareness and encouraging employees to blow the whistle and report incidences of any concerns. In addition, the same has been reiterated and made an integral part of your Bank's Code of Conduct and training.

The Whistle Blower Policy is available on the Bank's intranet as well as website viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

SHARE-BASED EMPLOYEE BENEFITS

The Bank has implemented the Kotak Mahindra Equity Option Scheme 2023 ("ESOP Scheme 2023") and the Kotak Mahindra Stock Appreciation Rights Scheme 2023 ("SARs Scheme 2023") in place of the Kotak Mahindra Equity Option Scheme 2015 ("ESOP Scheme 2015") and the Kotak Mahindra Stock Appreciation Rights Scheme 2015 ("SARs Scheme 2015"), respectively.

The Employee Stock Options ("ESOPs") and Stock Appreciation Rights ("SARs") granted to the employees of the Bank and its subsidiaries, currently operate under the following schemes:

- (i) ESOP Scheme 2023
- (ii) ESOP Scheme 2015
- (iii) SARs Scheme 2023; and
- (iv) SARs Scheme 2015.

During FY 2024-25, after receiving the requisite approvals, the Board implemented the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 ("PRSU Scheme") to create, grant, issue, offer and allot 9,000,000 (Ninety Lakh) Performance Linked Restricted Stock Units ("PRSUs"). In order to create the pool for PRSUs, the ESOP pool available under ESOP Scheme 2023 was reduced from 20,000,000 (Two Crore)

equity shares (equivalent to 1.01% of the issued equity shares of the Bank, as at 31st December, 2024), to 11,000,000 (One Crore Ten Lakh) equity shares. No PRSUs have been granted till the date of this Report.

The objective of aforesaid schemes is to enable the Bank and its subsidiaries to attract and retain appropriate human talent and encourage value creation and value sharing with the employees, by aligning the interest of the employees with the long-term interest of the Bank and its subsidiaries. The appreciation of rights under SARs Scheme 2023 are settled in cash. The aforesaid schemes are available on the website of the Bank at <https://www.kotak.com/en/investor-relations/governance/policies.html> and are in compliance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 ("SEBI (SBEB & SE) Regulations, 2021"), as applicable.

The relevant details of the aforesaid schemes, as required under the SEBI (SBEB & SE) Regulations, 2021, are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html> These details, along with the certificate(s) from the Secretarial Auditor, as required under the SEBI (SBEB & SE) Regulations, 2021, stating that the schemes have been implemented in accordance with the SEBI (SBEB & SE) Regulations, 2021, as applicable and also in accordance with the relevant resolution(s) passed by the members, would be available for inspection by the members during the Annual General Meeting ("AGM").

ENVIRONMENT, SOCIAL AND GOVERNANCE PRACTICES

Your Bank is committed to consistently work towards enhancing its Environment, Social and Governance ("ESG") performance. Your Bank has a comprehensive ESG policy framework that outlines key focus areas and offers guidance on practices related to corporate governance, environmental initiatives, employee engagement, policy updates and other ESG initiatives. Your Bank's performance on ESG parameter is reported to the Corporate Social Responsibility and Environmental, Social and Governance Committee ("CSR & ESG Committee") and the Board, periodically.

The ESG sections of the Integrated Annual Report encompass details on employee diversity, well-being and development, environmental management, financial inclusion and community focused interventions, customer experience, data privacy and cybersecurity.

For more details on ESG, please refer to the ESG disclosures, forming part of the Integrated Annual Report of the Bank.

BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT

Your Bank has been publishing the Business Responsibility and Sustainability Reporting ("BRSR") since FY 2021-22. Your Bank undertook limited assurance in FY 2022-23 for BRSR parameters on a voluntary basis, striving to lead sustainability disclosure by being an early adopter. Your Bank has also undertaken reasonable assurance for BRSR core parameters for FY 2023-24 and FY 2024-25.

The environmental performance of your Bank, encompasses resource consumption (energy and water), Greenhouse Gas (GHG) emissions (Scope 1, 2 and 3), waste management and initiatives undertaken to minimise the impact. The disclosure on social performance encompasses workforce diversity (gender and employees with disabilities), employee turnover rates, median salaries, occupational health and safety standards, training, inclusive development through procurement from Micro, Small and Medium Enterprises (MSMEs) and job creation in smaller towns, community development efforts and a customer-centric approach. Governance-related performance covers ethics, transparency and accountability, while also valuing the interests of all stakeholders and being responsive to them. It involves upholding and promoting human rights, responsibly influencing public and regulatory policies in a transparent way and engaging with consumers to provide value in a responsible manner. For more details on the governance aspect, please refer to the Report on Corporate Governance, annexed to this Report.

BRSR, including the BRSR Core parameters for FY 2024-25, is part of the Integrated Annual Report of the Bank and is also available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html>

CORPORATE SOCIAL RESPONSIBILITY

Your Bank has successfully expanded its social footprint, positively impacting a large section of the population by fostering sustainable and inclusive growth through its Corporate Social Responsibility ("CSR") programmes. The Bank's CSR projects align with the guidelines and robust framework outlined in Kotak Mahindra Bank Limited's Corporate Social Responsibility Policy ("CSR Policy"). Your Bank collaborated with multiple organisations to implement CSR Projects in specific areas ("focus areas") defined under its CSR Policy namely Education, Livelihood, Entrepreneurship & Innovation, Healthcare, Environment & Sustainable Development, Sports and Relief & Rehabilitation.

Your Bank's CSR Policy outlines its vision, mission, governance and focus areas to fulfil its inclusive agenda. The CSR Policy also highlights your Bank's intent to create lasting value for communities in need, by addressing pressing development challenges and reflects your Bank's commitment to contribute towards United Nations' Sustainable Development Goals (SDGs).

The CSR Policy is available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/sustainability.html>

Your Bank's CSR Projects are compliant with the CSR mandate as specified under Section 135 read with Schedule VII of the Companies Act, 2013, along with the Companies (Corporate Social Responsibility Policy) Rules, 2014 ("CSR Rules"), as amended from time to time and in line with notifications issued by the Ministry of Corporate Affairs ("MCA"), from time to time.

The CSR expenditure requirement of your Bank for FY 2024-25, as per Section 135 of the Act was ₹ 285.53 crore. After setting off ₹ 1.99 crore from the excess CSR expenditure incurred in FY 2023-24, your Bank's total CSR obligation for FY 2024-25 stood at ₹ 283.54 crore.

For FY 2024-25, your Bank spent ₹ 236.44 crore on CSR Projects, ₹ 3.55 crore on Administrative Overheads and ₹ 1.21 crore on Impact Assessment for eligible projects. In addition, an amount of ₹ 44.54 crore, which was the unutilised expenditure for ongoing CSR Projects during FY 2024-25, was transferred to the 'Kotak Mahindra Bank Limited Unspent CSR Account FY 2024-25' on 28th April, 2025. Your Bank is committed to utilise this amount within the stipulated period, as specified under the CSR Rules.

Together with the spend on CSR Projects, Impact Assessment, CSR Administrative and the amount transferred to the Unspent CSR account, the total CSR expenditure for FY 2024-25 was ₹ 285.74 crore.

The excess CSR expenditure spend of ₹ 2.20 crore for FY 2024-25 would be carried forward to be set-off in subsequent financial years. Additional details are described in the Annual Report on CSR activities for FY 2024-25, annexed to this Report.

Your Bank also maintains the Unspent CSR accounts pertaining to funds earmarked for its Ongoing CSR Projects for previous financial years. Your Bank is committed to utilising the amount available in the Unspent CSR accounts towards completing the Board-approved Ongoing CSR Projects within the stipulated time limit specified under the Act. The details of the same are more particularly described in the 'Annual Report on Corporate Social Responsibility activities of the Bank for FY 2024-25', annexed to this Report.

A detailed outline of your Bank's CSR Policy, the composition and functioning of the CSR & ESG Committee and the CSR Project spends during FY 2024-25 are provided in the Annual Report on CSR activities annexed to this Report, as well as in the BRSR section of the Integrated Annual Report for FY 2024-25.

SUBSIDIARIES AND ASSOCIATES

As of 31st March, 2025, your Bank had 20 subsidiaries in various businesses, as listed below:

Sr. No.	Name of the subsidiary	Business activity
1.	Kotak Mahindra Prime Limited	Car Finance and other Lending
2.	Kotak Mahindra Investments Limited	Lending and Investments
3.	Kotak Infrastructure Debt Fund Limited	Infrastructure Financing
4.	Kotak Securities Limited	Stock Broking, Distribution
5.	Kotak Mahindra Capital Company Limited	Investment Banking
6.	Kotak Mahindra Life Insurance Company Limited	Life Insurance
7.	Kotak Mahindra Asset Management Company Limited	Mutual Fund Asset Management, Portfolio Management
8.	Kotak Mahindra Trustee Company Limited	Trustee Company for Mutual Fund
9.	Kotak Mahindra Pension Fund Limited	Pension Fund Management
10.	Kotak Alternate Asset Managers Limited (Formerly known as Kotak Investment Advisors Limited)	Alternate Asset Management, Investment Advisory
11.	Kotak Mahindra Trusteeship Services Limited	Trusteeship Services
12.	Kotak Mahindra (UK) Limited	Distribution of financial products and dealing in securities
13.	Kotak Mahindra (International) Limited	Advisory Services, Investments
14.	Kotak Mahindra Inc.	Broker / Dealer
15.	Kotak Mahindra Asset Management (Singapore) Pte. Limited	Asset Management
16.	Kotak Mahindra Financial Services Limited	Advisory Services for Middle East
17.	IVY Product Intermediaries Limited	Marketing and distribution of various financial products / services
18.	BSS Microfinance Limited	Business Correspondent
19.	Sonata Finance Private Limited	Business Correspondent
20.	Kotak Karma Foundation	Centre of Excellence for part of Bank's CSR activities

The various activities of the subsidiaries, their performance and financial position are outlined in detail in the Management's Discussion and Analysis section annexed to this Report.

Highlights of a few subsidiaries are given below:

Kotak Mahindra Prime Limited and Kotak Mahindra Investments Limited

The passenger car market in India saw a growth of 1.87% in FY 2024-25. Total Unit Sales of Cars and MUVs was 42.86 lakh in FY 2024-25 compared to 42.07 lakh in FY 2023-24. The Two-wheeler market in India saw a growth of 9.11% in FY 2024-25. Total Unit Sales of Two Wheelers crossed 196.11 lakh in FY 2024-25. Profit of Kotak Mahindra Prime Limited in FY 2024-25 was higher than FY 2023-24, due to growth in Asset Under Management ("AUM"), resulting in higher Net Interest Income (NII) and other income.

Profit Before Tax of Kotak Mahindra Investments Limited for FY 2024-25 at ₹ 674.51 crore was lower than ₹ 690.51 crore for FY 2023-24, primarily due to NPA provisions, decrease in processing fees, increase in operating cost offset by increase in IPO income and reversal of standard asset provision. Net Interest Margin for FY 2024-25 was 4.82%.

Kotak Securities Limited and Kotak Mahindra Capital Company Limited

Kotak Mahindra Capital Company Limited (Kotak Investment Bank) was ranked No. 1 in the Equity Capital Markets for third year in a row and continued to be the Left Lead Banker of Choice. FY 2024-25 was a stellar year for Indian Equity Capital Markets, with the highest-ever activity across all the product categories, viz., Initial Public Offering (IPOs), follow-on primary raises via Qualified Institutional Placements (QIPs) and sell-downs. Indian Equity Capital Markets hit all-time high in FY 2024-25, led by strong FII and DII inflows in H1FY25. While FIIs turned net sellers (USD 15.6 billion) by the end of FY 2024-25, record DII inflows of USD 71.6 billion sustained market momentum. This reflects growing market resilience and strong domestic fundamentals. A total of ₹ 386,469 crore (versus ₹ 209,746 crore in FY 2023-24, up 184% YoY) was raised in FY 2024-25 across primary market deals, i.e., IPOs, QIPs, Further Public Offering (FPO) and Rights Issues. All sectors saw capital market deals being executed on the back of strong investor response.

The Institutional Equities division of Kotak Securities Limited ("KSL") in FY 2024-25, registered the highest-ever growth in revenues and maintained its leadership position in both, the cash equities and derivatives segments. In FY 2024-25, overall market volumes in the institutional segment increased by 46% YoY for the cash segment and by 24% YoY for the derivatives segment. Kotak Institutional Equities saw significant growth in revenues YoY and was able to maintain its yields across client segments. It continued to add new clients to its franchise and was able to maintain its leadership position in the distribution of IPOs, QIPs, open offers and the execution of block trades.

FY 2024-25 witnessed market volume growth in equity cash segment, with average daily volumes (excluding proprietary segment) increasing to ₹ 78,015 crore in FY 2024-25 from ₹ 56,866 crore in the previous financial year and equity derivative segment increasing to ₹ 140,724 crore in FY 2024-25 from ₹ 105,035 crore in previous financial year. Consequently, KSL's volumes also increased for equity cash and derivative segments.

Kotak Mahindra Life Insurance Company Limited

Kotak Mahindra Life Insurance Company Limited ("KLI") has solvency ratio of 2.45 against a regulatory requirement of 1.50. The Net worth of KLI increased by 9.21% to ₹ 6,403.07 crore as on 31st March, 2025 from ₹ 5,863.23 crore as on 31st March, 2024. The Indian Embedded Value (IEV) was ₹ 17,612 crore (31st March, 2024: ₹ 15,242 crore) as on 31st March, 2025, up 15.6% YoY. The Value of New Business ("VNB") for FY 2024-25 stood at ₹ 959 crore (FY 2023-24: ₹ 1,053 crore) and the VNB margin was 25%. On an individual, Annual Premium Equivalent ("APE") Basis (Single 1/10), KLI has registered 5.73% growth against private insurance industry growth of 15.09% and overall industry growth of 10.46%. KLI's market share for Individual New Business premium (APE terms) was 3.51% for FY 2024-25 among private insurers. This was due to higher proportion of traditional policies compared to industry. On a group APE Basis (Single 1/10), KLI's market share for Group New Business premium (APE terms) was 10.67% for FY 2024-25 among private insurers. KLI saw an increase in its AUM (including shareholders) by 14.55% YoY to ₹ 91,806.85 crore in FY 2024-25.

Kotak Mahindra Asset Management Company Limited

The Mutual Fund industry registered 34.88% YoY growth in FY 2024-25 over FY 2023-24 with the Annual Average Assets under Management ("AAUM") for FY 2024-25 standing at ₹ 66.18 lakh crore. The AAUM of Kotak Mahindra Mutual Fund stood at ₹ 468,820 crore for FY 2024-25, up 35.27% from ₹ 346,589 crore in FY 2023-24. AAUM Market Share was 7.09% in FY 2024-25 (7.07% FY 2023-24). Kotak Mahindra Asset Management Company Limited is ranked No. 5 in the industry on the basis of AAUM.

BSS Microfinance Limited and Sonata Finance Private Limited

The Board of Directors of Sonata Finance Private Limited ("Sonata") and BSS Microfinance Limited ("BSS") at their respective meetings held on 12th August, 2024, have approved a Scheme of Amalgamation of Sonata with BSS, on a going concern basis, under the provisions of Sections 230 and 232 of the Act and the rules made thereunder. The Scheme would, however, be subject to the approval of the respective shareholders and creditors of Sonata and BSS and the approval of the concerned National Company Law Tribunal (NCLT) and other regulatory authorities, if required.

MATERIAL SUBSIDIARY

Kotak Mahindra Life Insurance Company Limited is a material subsidiary of the Bank. The Bank's Policy for determining material subsidiaries, in line with the SEBI Listing Regulations, is available on the Bank's website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/policies.html>

ASSOCIATES

As at 31st March, 2025, your Bank had the following associates:

- (i) Infina Finance Private Limited
- (ii) Phoenix ARC Private Limited
- (iii) Zurich Kotak General Insurance Company (India) Limited (Formerly known as Kotak Mahindra General Insurance Company Limited)

Further, pursuant to the provisions of Section 136(1) of the Act, the Annual Report of the Bank, containing the standalone and consolidated financial statements and all other relevant documents required to be annexed thereto and the separate audited financial statements in respect of each of the subsidiaries, are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html>
Pursuant to the provisions of Section 129(3) of the Act, the Statement containing the salient features of the Financial Statements of the said subsidiaries and associates of the Bank, in Form AOC-1, forms part of the Integrated Annual Report.

The financial statements of the subsidiaries (other than Kotak Karma Foundation, a Section 8 company, whose accounts are excluded from consolidation in accordance with the requirements of Accounting Standard 21 on "Consolidated Financial Statements") used for consolidation of the Bank's consolidated financial statements are special purpose financial statements prepared in accordance with GAAP specified under Section 133 of the Act read with relevant notifications.

BOARD OF DIRECTORS

BOARD COMPOSITION

The composition of the Board of Directors of the Bank is governed by the Act, the Banking Regulation Act, 1949 ("BR Act") and Regulation 17 of the SEBI Listing Regulations and is in conformity with the same. As on 31st March, 2025, the Board of Directors comprised eleven (11) Directors, including six Independent Directors viz., Mr. C S Rajan, Non-Executive Independent Part-time Chairman, Mr. Uday Shankar, Dr. Ashok Gulati, Ms. Ashu Suyash, Mr. Cornelis Petrus Adrianus Joseph ("Eli") Leenaars and Ms. Ketaki Bhagwati, Independent Directors, two Non-Executive Non-Independent Directors viz., Mr. Amit Desai and Mr. Uday Kotak and three Executive Directors viz., Mr. Ashok Vaswani, Managing Director & CEO, Ms. Shanti Ekambaram, Whole-time Director designated as Deputy Managing Director and Mr. Jaideep Hansraj, Whole-time Director (Executive Director).

The size of the Board is commensurate with the size and business of the Bank. The Board meets the criteria prescribed under Section 10(A)(2) of the BR Act and the circulars issued by the RBI, from time to time. The Board mix provides a combination of professionalism, knowledge, experience and skills required in the banking industry and also meets the criteria prescribed under the Policy on Board Diversity adopted by the Board.

CHANGES IN COMPOSITION OF THE BOARD

Ms. Ketaki Bhagwati (DIN: 07367868) was appointed as an Independent Director of your Bank for an initial term of four years, with effect from 18th May, 2024 to 17th May, 2028 (both days inclusive). The said appointment was approved by the members of the Bank at its AGM held on 3rd August, 2024.

The Board of Directors of the Bank, at their meeting held on 12th September, 2024, approved the appointment of Mr. Jaideep Hansraj (DIN: 02234625) as an Additional Director and a Whole-time Director, for a period of three years, with effect from the date of receipt of the approval of the RBI and the members of the Bank. The Board, subsequently, approved the designation of Mr. Hansraj as Whole-time Director (Executive Director). The RBI granted its approval on 11th February, 2025, following which, Mr. Hansraj became the Whole-time Director (Executive Director) of the Bank, effective from the same date. On 20th February, 2025, the members of the Bank, accorded their approval to Mr. Hansraj's appointment, through a postal ballot.

Further, the Board of Directors of the Bank had, at their meeting held on 31st May, 2025, subject to the approval of RBI and the members, approved the appointment of Mr. Paritosh Kashyap (DIN: 07656300) as an Additional Director and a Whole-time Director, designated as Whole-time Director (Executive Director), for a period of three years, with effect from the date of receipt of all the regulatory and statutory approvals, as may be necessary from the RBI or any other regulatory / statutory authority. As on the date of the Report, the appointment is yet to take effect.

Mr. C. Jayaram, Non-Executive Non-Independent Director and Mr. Uday Khanna, Independent Director, retired from the Board of the Bank, upon completion of their respective term of eight years, pursuant to the provisions of Section 10A(2A)(i) of the Banking Regulations Act, 1949, on 30th April, 2024 and 15th September, 2024, respectively. The Board places on record its appreciation for the contributions made by Mr. Jayaram and Mr. Khanna, during their respective tenures with the Bank. Further, Mr. KVS Manian resigned as the Joint Managing Director, with effect from 30th April, 2024.

The Board of Directors of the Bank, at their meeting held on 31st May, 2025, accepted the request of Ms. Shanti Ekambaram to retire as a Director and the Deputy Managing Director of the Bank, from the services of the Bank, on completion of her current term as the Deputy Managing Director, on 31st October, 2025. The Board places on record its appreciation for the contribution made by Ms. Ekambaram, during her tenure with the Bank.

As on the date of this Report, the Board of your Bank has eleven Directors, including three Women Directors. The Board currently comprises of six Independent Directors, two Non-Executive Non-Independent Directors and three Executive Directors.

All the Directors of the Bank have confirmed that they satisfy the fit and proper criteria as prescribed under the applicable regulations and that they are not disqualified from being appointed as Directors in terms of Section 164(2) of the Act.

DIRECTORS RETIRING BY ROTATION

At the meeting of the Board of Directors of the Bank held on 28th June, 2025, the Board approved the proposal for re-appointment of Ms. Shanti Ekambaram (upto the end of her current term as a Director and the Deputy Managing Director of the Bank i.e. 31st October, 2025) and Mr. Ashok Vaswani, as Directors of the Bank, liable to retire by rotation at the ensuing AGM, in terms of Section 152 of the Act and recommended the same to the members for their approval.

The details of the Directors along with the rationale for their proposed appointment / re-appointment, as mentioned above, are included in the Notice convening the Fortieth AGM of the Bank.

DECLARATION FROM INDEPENDENT DIRECTORS

All the Independent Directors of the Bank have submitted the requisite declarations stating that they meet the criteria of independence as prescribed under Section 149(6) of the Act and Regulation 16(1)(b) of the SEBI Listing Regulations. The Board reviewed and assessed the veracity of the aforesaid declarations, as required under Regulation 25(9) of the SEBI Listing Regulations. In the opinion of the Board, all the Independent Directors fulfill the said conditions as mentioned in the Act, alongwith the rules framed thereunder and the SEBI Listing Regulations and are independent of the management. All the Independent Directors of the Bank have complied with the provisions of sub rule (1) and (2) of Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014 with respect to registration with the Indian Institute of Corporate Affairs for the Independent Directors' Database. There has been no change in the circumstances affecting their status as Independent Directors of the Bank. In the opinion of the Board, the Independent Directors possess the requisite integrity, experience, expertise and proficiency required under all applicable laws and the policies of the Bank.

DIRECTOR E-KYC

Pursuant to the requirement prescribed under the Companies (Appointment and Qualification of Directors) Rules, 2014, all the Directors of the Bank have complied with the KYC registration for FY 2024-25.

DIRECTORS AND OFFICERS LIABILITY INSURANCE POLICY

The Bank has a Directors and Officers Liability Insurance Policy which protects Directors and Officers of the Bank for any claims for any breach of fiduciary duty.

BOARD EVALUATION¹

The Board conducted the performance evaluation of individual Directors, Chairperson, Board Committees and the Board as a whole for FY 2024-25, in accordance with the provisions of the Act and the SEBI Listing Regulations, including the Guidance Note on Board Evaluation issued by the Securities and Exchange Board of India on 5th January, 2017.

The Nomination and Remuneration Committee ("NRC") of the Board approves the criteria and the mechanism for carrying out the said performance evaluation process. Accordingly, the NRC approved the assessment questionnaire designed for the annual performance evaluation, which broadly covered the following criteria:

- (i) Board - Competencies, composition and structure, board dynamics, board functioning, process and procedures, oversight of committee composition and functioning, ethics and compliance.

¹GRI 2-18

- (ii) Committees - Composition and quality, process and procedure, terms of reference and certain committee specific questions.
- (iii) Chairperson - Key focus areas covering understanding of the role, team work attributes, utilisation of domain expertise, effective communication, etc. and other parameters.
- (iv) Individual Directors - Function and duties, professional and ethical conduct, management relations, understanding of role, commitment, effective contribution, independent view to decision making, utilisation of domain expertise, etc.

The aforesaid questionnaire was circulated to all the Directors of the Bank for the annual performance evaluation. The Board evaluated the effectiveness of its functioning and that of the Committees and of Chairperson and individual Directors through the annual Board Evaluation Process.

The Bank had engaged an independent professional services firm for issuing a report on the performance evaluation ("Board Evaluation Report"), based on the responses received from the Directors. The Board Evaluation Report was placed before the Independent Directors and the Board at their respective meetings held on 28th June, 2025 and performance evaluation, for FY 2024-25, was carried out by them.

The Directors noted that the results of the performance evaluation indicated a high degree of satisfaction among the Directors. The Board deliberated on the Board Evaluation Report and basis suggestions, agreed to continue focus on training, education and enhancing skill sets of Board members essential for the Bank, in the future. These would be monitored and reported to the Board periodically.

Further, the Bank has taken necessary steps to comply with the suggestions which had arisen from the Board performance evaluation for FY 2023-24.

KEY MANAGERIAL PERSONNEL

Pursuant to the provisions of Section 203 of the Act and Rule 8 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, following officials of the Bank are the Key Managerial Personnel ("KMP"), as on the date of this Report:

- (i) Mr. Ashok Vaswani, Managing Director & CEO
- (ii) Ms. Shanti Ekambaram, Deputy Managing Director
- (iii) Mr. Jaideep Hansraj, Whole-time Director (Executive Director)
- (iv) Mr. Devang Gheewalla, Group Chief Financial Officer
- (v) Ms. Avan Doomasia, Company Secretary

Mr. Jaideep Hansraj was appointed as a Whole-time Director (Executive Director) and KMP of the Bank, for a period of three years, with effect from 11th February, 2025, upon receipt of all the regulatory and statutory approvals.

Mr. KVS Manian ceased to be the Joint Managing Director and KMP of the Bank, on 30th April, 2024.

Mr. Devang Gheewalla was appointed as the Group Chief Financial Officer and KMP of the Bank, with effect from 1st April, 2024, consequent upon the superannuation of Mr. Jaimin Bhatt on 31st March, 2024.

POLICY ON APPOINTMENT AND REMUNERATION OF DIRECTORS, KEY MANAGERIAL PERSONNEL AND SENIOR MANAGEMENT PERSONNEL

The appointment and remuneration of Directors of the Bank is governed by the provisions of Section 35B of the Banking Regulation Act, Act and SEBI Listing Regulations. The NRC has formulated the criteria for appointment of Directors and Senior Management Personnel, including KMPs. Based on the criteria set, the NRC recommends to the Board, the appointment of Directors and Senior Management Personnel, including KMPs.

The Bank adheres to the process and methodology prescribed by the RBI in respect of the 'Fit & Proper' criteria as applicable to Private Sector Banks, signing of Deeds of Covenants which binds the Directors to discharge their responsibilities to the best of their abilities, individually and collectively in order to be eligible for being appointed / re-appointed as a Director of the Bank. The prescribed declarations / undertakings given by the Directors, other than that of the members of the NRC, are placed before the NRC and the declarations / undertakings given by the members of the NRC are placed before the Board, for its review and noting.

The said declarations / undertakings are obtained from all the Directors on an annual basis and also at the time of their appointment / re-appointment, in compliance with the said laws. An assessment on whether the Directors fulfil the prescribed criteria is carried out by the NRC and the Board, on an annual basis and also at the time of their appointment / re-appointment.

The details of the remuneration paid to the Non-Executive Independent Part-time Chairman, Executive and Non-Executive Non-Independent Directors of the Bank, for the year ended 31st March, 2025 are provided in the Report on Corporate Governance, annexed to this Report.

The Non-Executive Independent Part-time Chairman of the Bank, receives a fixed remuneration as recommended by the Board and approved by RBI and the members of the Bank, from time to time. This is in addition to payment of sitting fees, car with driver, as per applicable policy and reimbursement of expenses for official purposes / attending duties as a Chairman.

Compensation Policy for Non-Executive Directors

The Board of Directors of the Bank has formulated and adopted a comprehensive Compensation Policy for Non-Executive Directors (“NEDs”).

The remuneration payable to the NEDs, other than Part-time Non-Executive Chairman, is in accordance with the provisions of the Circular dated 26th April, 2021 and the Circular on Review of Fixed Remuneration granted to Non-Executive Directors dated 9th February, 2024, issued by RBI which, *inter alia*, provides for payment of compensation to NEDs, other than the Chair of the Board, in the form of a fixed remuneration commensurate with an individual director’s responsibilities and demands on time and which is considered sufficient to attract qualified competent individuals, for an amount not exceeding ₹ 30 lakh per annum, including any statutory modification or amendment or re-enactment thereof for the time being in force and the provisions of the Act.

The above mentioned policy is available on the Bank’s website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/policies.html>

The salient features of the Compensation Policy for NEDs are, *inter alia*, as follows:

- (i) Compensation structure is divided into:
 - Sitting fees
 - Reimbursement of expenses
 - Compensation in the form of Fixed Remuneration
- (ii) Amount of sitting fees and remuneration to be decided by the Board, from time to time, subject to the regulatory limits.
- (iii) Overall cap on compensation in the form of fixed remuneration for each NED (excluding the Part-time Non-Executive Chairman) of ₹ 30 lakh per annum or such other amount as may be prescribed by the RBI, from time to time.
- (iv) NEDs are not eligible for any stock options of the Bank.
- (v) The Part-time Non-Executive Chairman is entitled to a fixed remuneration, as may be approved by the Board, RBI and the members, from time to time. This is in addition to the sitting fees for attending the meetings of the Board / Committees. The Bank may provide car with a driver for the use of the Part-time Non-Executive Chairman of the Bank and all expenses incurred on such car will be on actuals and borne by the Bank.

The fixed remuneration payable to the NEDs, other than Part-time Non-Executive Chairman, was revised from ₹ 20 lakh to ₹ 30 lakh per annum, from FY 2024-25. The Board also approved the criteria for granting such remuneration.

Compensation Policy (for employees, including Executive Directors and KMPs)

The remuneration paid to the employees is in line with the Compensation Policy of the Bank, which is, *inter alia*, based on the RBI Guidelines. The said policy is available on the Bank’s website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/policies.html>

The salient features of the Compensation Policy of the Bank are, as follows:

Objective:

- To maintain fair, consistent and equitable compensation practices in alignment with Kotak’s core values and strategic business goals
- To ensure effective governance of compensation and alignment of compensation practices with prudent risk taking
- To have mechanisms in place for effective supervisory oversight and Board engagement in compensation
- To ensure that the compensation practices are within the regulatory framework stipulated, from time to time, by the RBI.

Compensation structure comprises total remuneration consisting of:

- Fixed Pay, which includes perquisite pay / benefits
- Variable Pay, which includes Performance Bonus / Incentive, Long Term Incentive Pay in the form of cash bonuses, all share-linked instruments (e.g. ESOPs, SARs, PRSUs, etc.)
- Other payments, which includes Joining / Sign on Bonus, Severance package, Deferred Incentive Plans, etc.

Further, the employees have been broadly classified into following categories:

- (i) Category I – Comprising Managing Director & CEO and Whole-time Directors (WTDs)
- (ii) Category II – Material Risk Takers (MRTs):

These include employees (excluding employees under Category III) whose actions may have material impact on the risk exposures of the Bank and who satisfy both qualitative and quantitative criteria, as given below:

- a) Qualitative Criteria: Employees in Grade M10 and above; Business and Function Heads in reporting hierarchy up to two levels below Managing Director & CEO.
- b) Quantitative Criteria: Fixed Cost To Company (FCTC) is ₹ 1.5 crore p.a. and above.

This excludes employees under Category III.

- (iii) Category III – Risk control and compliance employees, comprising staff in Grade M10 and above in the following Control functions:

- Risk & Policy function
- Financial Control including group consolidation
- Compliance
- Internal Audit
- Back-office Operations
- Vigilance
- Legal
- Secretarial
- Human Resources
- Corporate Social Responsibility

- (iv) Category IV: Other employees - This includes all employees, not explicitly covered in the first three categories.

The limits on the ratio of total Variable Pay (including Cash or Non Cash Pay) to Fixed Pay and the limits on the ratio of Cash v/s Non Cash within Variable Pay, are outlined for each category of employee classification. Further, Malus and Clawback clauses are applicable as per the Compensation Policy.

The NRC and the Board of the Bank have reviewed and approved all the amendments to the said Compensation Policy.

DISCLOSURES PURSUANT TO RULE 5 OF COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014

The disclosures pursuant to Rule 5 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, are annexed to this Report.

MEETINGS OF THE BOARD / COMMITTEES

During FY 2024-25, fourteen meetings of the Board of Directors were held. The details of Board and Committee meetings held during the year, attendance of Directors at the Board and Committee meetings and constitution of various Committees of the Board are provided separately in the Report on Corporate Governance, annexed to this Report.

DIRECTORS' RESPONSIBILITY STATEMENT

Your Directors, based on the representations received from the operating management, confirm in pursuance of Sections 134(3) and 134(5) of the Act, that:

- (i) your Bank has, in the preparation of the annual accounts for the financial year ended 31st March, 2025, followed the applicable accounting standards and guidance provided by the Institute of Chartered Accountants of India along with proper explanations relating to material departures, if any;
- (ii) they have selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of your Bank as at 31st March, 2025 and of the profit of your Bank for the financial year ended 31st March, 2025;
- (iii) they have taken proper and sufficient care to the best of their knowledge and ability, for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of your Bank and for preventing and detecting fraud and other irregularities;
- (iv) the annual accounts have been prepared on a going concern basis;
- (v) they have laid down internal financial controls to be followed by the Bank and that such internal financial controls are adequate and are operating effectively; and
- (vi) they have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

REPORT ON CORPORATE GOVERNANCE

The Bank is committed to achieving and adhering to the highest standards of Corporate Governance and constantly benchmarks itself with best practices, in this regard.

Pursuant to Regulation 34 of the SEBI Listing Regulations, a separate section titled 'Report on Corporate Governance' has been annexed to this Report along with the certificate issued by the Secretarial Auditor of the Bank confirming compliance with the mandatory requirements relating to Corporate Governance under the SEBI Listing Regulations. The Report on Corporate Governance also contains certain disclosures required under the Act, including the details of the Board meetings held during the financial year ended 31st March, 2025.

The Bank also files with the Stock Exchanges, the Report on Corporate Governance in terms of Regulation 27(2) of the SEBI Listing Regulations on a quarterly, half yearly and annual basis. The said Reports are available on the Bank's website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/sebi-listing-disclosures.html>

ANNUAL RETURN

Pursuant to the provisions of Section 134(3)(a) and Section 92(3) of the Act read with Rule 12(1) of the Companies (Management and Administration) Rules, 2014, the Annual Return of the Bank is available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html>

SECRETARIAL STANDARDS

Your Bank is in compliance with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India and approved by the Central Government under Section 118(10) of the Act for FY 2024-25.

SECRETARIAL AUDITOR

Pursuant to the provisions of Section 204 of the Act and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the Board of Directors of your Bank, had appointed Rupal D. Jhaveri, Practising Company Secretary, a peer reviewed proprietorship firm, to act as the Secretarial Auditor of the Bank for FY 2024-25. The Secretarial Audit Report for the financial year ended 31st March, 2025, as required under Section 204 of the Act and Regulation 24A of the SEBI Listing Regulations, is annexed to this Report. The Secretarial Auditor's Report does not contain any qualifications, reservations, adverse remarks or disclaimers.

Kotak Mahindra Life Insurance Company Limited ("KLI"), your Bank's material unlisted subsidiary, has completed its secretarial audit and there are no qualifications, reservations, adverse remarks or disclaimers made in the Secretarial Audit Report of KLI for the financial year ended 31st March, 2025. The said Secretarial Audit Report of KLI is also annexed to this Report.

In terms of the provisions of the SEBI Listing Regulations, your Bank has submitted the Annual Secretarial Compliance Report for FY 2024-25 to the Stock Exchanges within the prescribed time and the same is available on websites of BSE (www.bseindia.com), NSE (www.nseindia.com) and on the Bank's website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/sebi-listing-disclosures.html>

In compliance with Regulation 24A of the SEBI Listing Regulations and Section 204 of the Act, the Board has, at its meeting held on 31st May, 2025 approved the appointment of Parikh & Associates, Practising Company Secretaries, a peer reviewed firm (Firm Registration No. P1988MH009800) as Secretarial Auditors of the Bank for a term of five consecutive years commencing from FY 2025-26 upto FY 2029-30, subject to the approval of the members at the ensuing AGM. Accordingly, the approval of members of the Bank is being sought for the said appointment, at the ensuing Fortieth AGM.

STATUTORY AUDITORS

Pursuant to the Bank's Policy on appointment of Statutory Auditors ("Statutory Auditors Policy") and the Circular No. DoS.CO.ARG/SEC.01/08.91.001/2021-22 dated 27th April, 2021 issued by RBI ("RBI Circular" / "Guidelines"), prescribing the guidelines for Appointment of Statutory Auditors (SAs) and in accordance with the requirements of Section 139 of the Act, read with Companies (Audit and Auditors) Rules, 2014, KKC & Associates LLP, Chartered Accountants (Firm Registration No: 105146W/W100621) ("KKC") and M/s. Deloitte Haskins & Sells, Chartered Accountants (Firm Registration No: 117365W) ("Deloitte"), are the Joint Statutory Auditors of the Bank.

The term of KKC, as one of the Joint Statutory Auditors of the Bank, expires at the conclusion of the ensuing Fortieth AGM of the Bank and the Bank is required to appoint a second Joint Statutory Auditor in place of KKC, pursuant to the above mentioned RBI Circular and Statutory Auditors Policy.

In this regard, based on a review of the profile, including the size, experience and area of specialisation and recommendation of the Audit Committee and the approval of RBI, the Board has, on 28th June, 2025, *inter alia*, approved and recommended for the approval of the members, the appointment of M M Nissim & Co LLP, Chartered Accountants (Firm Registration No: 107122W/W100672) ("Nissim"), as the second Joint Statutory Auditor of the Bank, to hold office from the conclusion of the Fortieth AGM until the conclusion of the Forty-third AGM of the Bank, for the purpose of the audit of the Bank's standalone and consolidated financial statements from FY 2025-26 to FY 2027-28.

Nissim has consented to act as one of the Joint Statutory Auditors of the Bank and have intimated that such appointment would be in accordance with the conditions prescribed in Section 139 of the Act and have also confirmed their eligibility to be appointed as Statutory Auditors, in terms of Section 141 of the Act, applicable rules thereunder and RBI Guidelines. The approval of members of the Bank is, accordingly, being sought for the appointment of Nissim as one of the Joint Statutory Auditors, at the ensuing Fortieth AGM.

As per the applicable provisions of law, including RBI Circular / Guidelines and the BR Act, the appointment of Joint Statutory Auditors would be subject to the approval of the RBI, every year.

At the Thirty-Ninth AGM of the Bank, the members had approved an overall audit remuneration / fee not exceeding ₹ 41,000,000/- (Rupees Four Crore Ten Lakh only), to the Joint Statutory Auditors of the Bank for the time being in office for the audit / review of financials, as the case may be, in respect of FY 2024-25, in addition to any out of pocket expenses, outlays and taxes, as applicable.

Further, based on the recommendation of the Audit Committee, the Board approved an overall annual remuneration / fee of an amount not exceeding ₹ 50,000,000 (Rupees Five Crore only), in addition to any out of pocket expenses, outlays and taxes, as applicable, to the Joint Statutory Auditors for the time being in office, for the audit / review of financials, as the case may be, in respect of FY 2025-26, to be mutually agreed between the Bank and both the Joint Statutory Auditors, depending on the scope of work undertaken by each of them, subject to the approval of the members of the Bank.

The approval of members of the Bank is, accordingly, being sought pursuant to the provisions of Section 142 and other applicable provisions, if any, of the Act and the relevant rules thereunder and pursuant to Section 30 of the BR Act and RBI Circular for fixing the remuneration of the Joint Statutory Auditors for FY 2025-26, at the ensuing Fortieth AGM.

As required under Regulation 33(1)(d) of the SEBI Listing Regulations, the Joint Statutory Auditors have confirmed that they have subjected themselves to the peer review process of the Institute of Chartered Accountants of India ("ICAI") and that they hold a valid certificate issued by the Peer Review Board of ICAI.

There are no qualifications, reservations or adverse remarks or disclaimers on the Financial Statements and Internal Control over Financial Reporting made by Deloitte and KKC in the Statutory Auditors' Report for FY 2024-25.

INTERNAL FINANCIAL CONTROL

The Board of Directors confirm that your Bank has laid down set of standards, processes and structure which enables it to implement internal financial controls across the organisation with reference to financial statements and that such controls are adequate and are operating effectively. Controls are reviewed / revisited / updated / deleted each year for change in processes / organisational changes / product changes, etc. Testing is done for all the controls with the help of an independent firm of Chartered Accountants, on behalf of Management, who confirm to the Audit Committee of the Bank, the existence and operating effectiveness of controls over financial reporting. During the year under review, no material or serious observations were observed for inefficiency or inadequacy of such controls.

IMPLEMENTATION OF IND AS

The Ministry of Finance, Government of India, had vide its press release dated 18th January, 2016, outlined the roadmap for implementation of International Financial Reporting Standards (“IFRS”) converged Indian Accounting Standards (“Ind AS”) for Scheduled Commercial Bank (excluding RRBs), Non-Banking Financial Companies and Insurance companies. RBI, vide its circular dated 22nd March, 2019, deferred the implementation of Ind AS for Scheduled Commercial Banks (“SCB”) till further notice, pending the consideration of some recommended legislative amendments by the Government of India. The RBI has not issued any further notification on implementation of Ind AS for SCBs.

The Bank has formed Steering Committee for Ind AS implementation. The Steering Committee headed by the Deputy Managing Director comprises representatives from Finance, Risk, Information Technology and Treasury. The Committee closely reviews progress of Ind AS implementation in the Bank and provides guidance on critical aspects of the implementation. Further, there may be new regulatory guidelines and clarifications for Ind AS application, which the Bank will need to suitably incorporate in its implementation. The Bank prepares Proforma Ind AS Financial statements on a half yearly basis and submits to RBI.

RELATED PARTY TRANSACTIONS

During the year, your Bank has not entered into any materially significant transaction with its related parties, which could lead to a potential conflict of interest between the Bank and these parties. All the related party transactions that were entered into during the year were on an arm’s length basis and in the ordinary course of business. Hence, pursuant to Section 134(3)(h) of the Act read with Rule 8(2) of the Companies (Accounts) Rules, 2014, there are no related party transactions to be reported under Section 188(1) of the Act and disclosure in Form AOC-2 is not applicable to the Bank.

The Bank has a Board approved ‘Policy on dealing with Related Party Transactions’. The same is available on the Bank’s website viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

All related party transactions are placed before the Audit Committee for its review and approval on a quarterly basis. Omnibus approval of the Audit Committee is obtained for the related party transactions, which are repetitive in nature. Further, during the financial year, the Bank had engaged the services of an external professional firm for verification of the related party transactions, their disclosures and for validation of the process followed by the Bank.

Members may refer to Note 7 of Schedule 18B – Notes to Accounts of the Standalone Financial Statement (Other Disclosures) and Note 22 of Schedule 17 - Notes to Accounts of the Consolidated Financial Statement of your Bank, which sets out related party disclosures pursuant to Accounting Standards AS-18.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS

The provisions of Section 186 of the Act except sub-section (1), do not apply to loans made, guarantees given and securities provided by a banking company in the ordinary course of its business and are exempted from the disclosure requirement under Section 134 (3)(g) of the Act.

The particulars of investments made by the Bank are disclosed in Schedule 8 of the Financial Statements.

RISK MANAGEMENT POLICY

Pursuant to Regulation 21 of the SEBI Listing Regulations, your Bank has a Risk Management Committee, details of which can be referred to in the Report on Corporate Governance, annexed to this Report. While Risk Management is the responsibility of the Board of Directors, it has delegated its powers relating to monitoring and reviewing risks associated with the Bank to the Risk Management Committee. Your Bank has a robust Risk Management Framework and has also adopted a Group Enterprise-wide Risk Management framework supported by appropriate policies and processes for management of Credit Risk, Market Risk, Liquidity Risk, Operational Risk and various other risks. Details of identification, assessment, mitigations, monitoring and the management of these risks are mentioned in the Management’s Discussion and Analysis Report, annexed to this Report.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Your Bank has undertaken various initiatives for the conservation of energy. Details of the same are available in the BRSR section of the Integrated Annual Report for FY 2024-25 and is also available on the Bank’s website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html>

The Bank has used information technology extensively in its operations as detailed in the para on ‘Technology and Digitisation’.

Foreign Exchange earnings and outgo are part of the normal banking business of your Bank.

REPORTING OF FRAUDS BY AUDITORS

During FY 2024-25, no instances of fraud committed in the Bank, by its officers or employees were reported by the Joint Statutory Auditors and Secretarial Auditor under Section 143(12) of the Act, to the Audit Committee or the Board of Directors of the Bank.

MAINTENANCE OF COST RECORDS

Being a banking company, your Bank is not required to maintain cost records as specified by the Central Government under Section 148(1) of the Act.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNALS IMPACTING THE GOING CONCERN STATUS AND OPERATIONS IN FUTURE

During the year under review, no significant and / or material order was passed by any regulatory authority or Court or Tribunal against the Bank, which could impact the going concern status or its future operations.

MATERIAL CHANGES AND COMMITMENT AFFECTING THE FINANCIAL POSITION OF THE BANK

There have been no material changes and commitments which affected the financial position of your Bank, between the end of the financial year to which the financial statements relate and upto the date of this Report.

DESPATCH OF ANNUAL REPORT

Pursuant to the General Circular No. 9 / 2024 dated 19th September, 2024 read together with General Circular No. 14 / 2020 dated 8th April, 2020, General Circular No. 17 / 2020 dated 13th April, 2020 and General Circular No. 20 / 2020 dated 5th May, 2020 ("MCA Circulars"), the Integrated Annual Report for FY 2024-25 will be sent by e-mail to those members who have registered their e-mail address with the Bank / its Registrar and Share Transfer Agent / respective Depository Participants, as the case may be. A letter providing the QR Code and the web-link, giving the exact path, where complete details of the Integrated Annual Report 2024-25 is available, will be sent to those members, who have not registered their e-mail address. Members who wish to have a physical copy, may write to the Company Secretary of the Bank at KotakBank.Secretarial@kotak.com or submit a written request to the Registered Office of the Bank. The Integrated Annual Report of your Bank and the Annual Reports of your Bank's subsidiaries, are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html>

ANNEXURES

The following statements / reports / certificates are annexed to the Directors' Report:

- (i) Annual Report on Corporate Social Responsibility Activities of the Bank for the financial year ended 31st March, 2025.
- (ii) Disclosures pursuant to Rule 5 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.
- (iii) Secretarial Audit Report of the Bank, pursuant to Section 204 of the Act and Regulation 24A of the SEBI Listing Regulations.
- (iv) Secretarial Audit Report of Kotak Mahindra Life Insurance Company Limited, a material subsidiary of the Bank, pursuant to Regulation 24A of the SEBI Listing Regulations.
- (v) Report on Corporate Governance pursuant to Schedule V Part C of the SEBI Listing Regulations along with Certificate from the Secretarial Auditor regarding compliance of conditions of Corporate Governance as stipulated in Schedule V Part E of the SEBI Listing Regulations.
- (vi) Management's Discussion and Analysis Report pursuant to Schedule V Part B of the SEBI Listing Regulations.

ACKNOWLEDGEMENT

Your Directors would like to place on record their gratitude for the valuable guidance and support received from the RBI, MCA, SEBI, Stock Exchanges, Insurance Regulatory and Development Authority of India and other Government and Regulatory agencies. Your Directors acknowledge the continued support of the members and also wish to place on record their appreciation for employees for their commendable efforts, commitment, teamwork and professionalism.

For and on behalf of the Board of Directors

C S Rajan
Chairman

Date: 28th June, 2025
Place: Mumbai

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY ACTIVITIES OF KOTAK MAHINDRA BANK LIMITED FOR THE FINANCIAL YEAR 2024-25

1. BRIEF OUTLINE ON CORPORATE SOCIAL RESPONSIBILITY POLICY OF KOTAK MAHINDRA BANK LIMITED

Kotak Mahindra Bank Limited ("Bank") recognises its responsibility to create a lasting value for communities in need by addressing pressing development challenges in the country through various interventions.

Your Bank aspires to be a trusted partner and contribute significantly towards the economic, environmental and social growth of the nation. It is also committed to contribute towards United Nation's ("UN") Sustainable Development Goals ("SDGs"). The Bank's Corporate Social Responsibility ("CSR") policy sets out its vision, mission, governance and CSR focus areas to fulfill its inclusive growth agenda in India.

While ensuring that its CSR Policy, projects, programmes and interventions are compliant with the CSR mandate as specified under Sections 134 and 135 read with Schedule VII of the Companies Act, 2013 ("Act") along with the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended from time-to-time and in line with the Government of India's notifications issued from time-to-time, your Bank also endeavours to align its CSR projects, programmes and interventions with government initiated social development projects, programmes and interventions and last but not the least, UN's SDGs.

The CSR policy of the Bank is available on its website viz., URL: <https://www.kotak.com/en/investor-relations/sustainability/csr.html>

2. COMPOSITION OF CORPORATE SOCIAL RESPONSIBILITY AND ENVIRONMENTAL, SOCIAL AND GOVERNANCE ("CSR & ESG") COMMITTEE:

Sr. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR & ESG Committee held during the year / tenure	Number of meetings of CSR & ESG Committee attended during the year
1.	Mr. C.S Rajan	Chairman / Independent Director	5	5
2.	Dr. Ashok Gulati	Member / Independent Director	5	5
3.	Mr. Ashok Vaswani	Member / Managing Director & CEO	5	5
4.	Mr. C Jayaram (till 30 th April, 2024)	Member/ Non- Executive Director	Nil	Nil
5.	Ms. Shanti Ekambaram	Member/ Deputy Managing Director	5	4

Note: Mr. Amit Desai (Non-Executive Director) became a member of the Committee on 1st April, 2025

3. WEB-LINK WHERE COMPOSITION OF CSR & ESG COMMITTEE, CSR POLICY AND CSR PROJECTS APPROVED BY THE BOARD ARE DISCLOSED ON THE WEBSITE OF THE BANK: <https://www.kotak.com/en/investor-relations/sustainability/csr.html>

4. PROVIDE THE EXECUTIVE SUMMARY ALONG WITH WEB-LINK(S) OF IMPACT ASSESSMENT OF CSR PROJECTS CARRIED OUT IN PURSUANCE OF RULE 8(3) OF THE COMPANIES (CORPORATE SOCIAL RESPONSIBILITY POLICY) RULES, 2014:

The following CSR Projects undertaken by the Bank in FY 2020-21, FY 2021-22 and FY 2022-23, were eligible for impact assessment which was conducted in FY 2024-25. The executive summary of the impact assessment reports pertaining to the CSR Projects for which Impact assessment was conducted and completed is given below in the table. The entire set of Impact assessment reports are uploaded on your Bank's website at the following link: <https://www.kotak.com/en/investor-relations/sustainability/csr.html>

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
Education & Livelihood (Kotak Education Foundation) ("KEF")			
1.	KMBL202223002	KEF- Umang	The project 'Umang' implemented by Kotak Education Foundation from FY 2022-23 to FY 2023-24, was designed to enhance English communication skills for students from vernacular medium. The impact assessment study conducted by Aspire Impact Mission Initiatives Pvt Ltd indicated that: - Post-intervention, English speaking confidence rose from 16% to 89%, with 87% of students reporting increased English usage. 93% of participants confirmed exposure to English speaking 77% reported improved grammar, pronunciation and vocabulary

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
2.	KMBL202223003	KEF - Unnati	The project 'Unnati' implemented by Kotak Education Foundation from FY 2022-23 to FY 2023-24, was designed to provide skill training to youth to enable to pursue livelihood opportunities The impact assessment study conducted by Aspire Impact Mission Initiatives Pvt Ltd indicated that: 2,918 candidates were trained under programme with tailored technical and soft skill development sessions in BFSI, CRS, HSPT, GDA and Beauty 82% of placed aspirants sustained employment for more than 6 months.
3.	KMBL202223005	KEF - Health	The project 'Health' implemented by Kotak Education Foundation in FY 2022-23 aimed at improving overall well-being through awareness sessions and access to healthcare via Kishori Friendly Clinics. The impact assessment study conducted by Aspire Impact Mission Initiatives Pvt Ltd, indicated that: - Project implemented across 61 Mumbai schools - targeted 7,857 adolescent girls, effectively addressed anaemia. 83% of girls reported increased awareness of healthy practices, leading to improved energy (77%) and concentration (75%). - Confidence in making informed health decisions rose from 32% to 85% and the project positively influenced family health choices by bridging the knowledge
4.	KMBL202223007	KEF - DLS	The project 'DLS' implemented by Kotak Education Foundation from FY 2022-23 to FY 2023-24, primarily focused on upskilling students and teachers by fostering technology integration in learning and pedagogy skills, respectively. The impact assessment study conducted by Aspire Impact Mission Initiatives Pvt Ltd, indicated that: - With 97% teachers attending the digital learning solutions and training workshops, with a 96% tablet distribution among teachers, the program significantly modernised teaching practices. 98% of teachers found the training effective and 97% utilised student assessment data for progress tracking. - Project positively impacted educators with 84% observing increased student engagement
5.	KMBL202223027	KEF Model School	The project 'Model School', by Kotak Education Foundation from FY 2022-23 to FY 2023-24, aimed at transforming 21 government schools in Maharashtra into centres of excellence, in its foundational year. The impact assessment study conducted by Aspire Impact Mission Initiatives Pvt Ltd, indicated that: - Digital resources (tablets, smart boards) and classroom essentials like desks, along with Communicative English and Foundational Math lessons, significantly benefitted 6,013 students. 100% of schools received essential training and SMC (School Management Committee) orientation, with 82% reporting improvements in learning outcomes, digital infrastructure and student attendance. 82% of schools rated themselves highly on model school status post-intervention, reflecting improved school transformation.

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
Healthcare			
6.	67	CanSupport	The project implemented by CanSupport from FY 2020-21 to FY 2022-23, supported free home-based palliative care for cancer patients in New Delhi. The impact assessment study conducted by CRISIL Limited, indicated that 98 % of respondents felt CanSupport helped manage physical symptoms effectively. 100% respondent felt the palliative care services were accessible in turnaround time of 72 hours 98% respondent stated that emotional and psychological needs were met.
7.	62	Cankids... KidsCan	The project implemented by CanKids...KidsCan from FY 2020-21 to FY 2022-23, supported temporary accomodation for families of children undergoing cancer treatment. The impact assessment study conducted by CRISIL Limited, indicated that: 99% respondents found Home Away from Home (HAH) as an affordable and child-friendly space safe for children battling cancer. 100% respondents experienced a reduced financial burden with 25% saving more than ₹ 1 lakh, through the accommodation support and other services 95% of the families expressed deep satisfaction with the intervention, praising its care and impact
8.	KMBL202223011	Wockhardt	The project implemented by Wockhardt Foundation from FY 2022-23 to FY 2023-24, supported Mobile Medical Units (MMUs) in Hyderabad: The impact assessment study conducted by CRISIL Limited, indicated that: 86% of respondents had reported easier access to medical services due to MMU and 93% preferred MMU as their first point of care during its operational years. 87% of respondents experienced reduced household healthcare expenses, with many saving between ₹500-₹2,000 due to free consultation, medicines and reduced travel costs.
9.	KMBL202223059	The Eastern India Heart Care Research Foundation (TEIHCRF)	The project implemented from FY 2022-23 to FY 2023-24, supported The Eastern India Heart Care and Research Foundation by providing various medical equipment to address the pressing challenges of lack of diagnostic and healthcare in Kolkata, West Bengal: The impact assessment study conducted by CRISIL Limited, indicated that: 96% of the patients highlighted reduction in waiting time under 1 hour for treatment and diagnostic services. - Weekly about 15-20 dialysis sessions were conducted and the Cath lab managed about 60-70 cases. 100% of the patients were satisfied with the diagnostic facilities available. - Majority of patients found services affordable.
10.	KMBL202223061	Ramakrishna Mission	The project implemented from FY 2022-23 to FY 2023-24, supported Ramakrishna Mission by providing PET-CT Scan machine to enhance cancer care services in Vrindavan, Uttar Pradesh. The impact assessment study conducted by CRISIL Limited, indicated that: 100% of patients were satisfied with diagnostic services as well as with chronic care needs. 63% of respondents highlighted that the availability of PET-CT services locally had eliminated the need for travel to distant cities, reducing financial and treatment burdens.

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
Education & Livelihood (non-KEF)			
11.	KMBL202122043	Parivaar Education Society	The project implemented by Parivaar from FY 2021-22 to FY 2022-23 focused on the overall development of children in the tribal areas of Madhya Pradesh. The impact assessment study conducted by EveryULB Technologies Private Limited indicated that: • More than 90% students from primary and upper primary showcased numerical proficiency • More than 90% of students from pre-primary and primary grade showcased improvement in grammar and language • More than 90% students showed improvement in health parameters.
12.	KMBL202223010	IT For Change	The project implemented by IT for Change from FY 2022-23 to FY 2023-24, focused on developing a model for quality education through Information and Communication Technology (ICT) integration. The impact assessment study conducted by EveryULB Technologies Private Limited, indicated that: • 94% of pre-service teachers reported increased confidence, while 89% of in-service teachers improved ICT integration skills. • 85% successfully integrated ICT tools like Geogebra, Audacity and Google Classroom, improving teaching practices and student engagement. • 100% of participants expressed confidence in continuing ICT integration, ensuring a long-term impact on teaching practices.
13.	KMBL202223013	Khan Academy	The project implemented by Khan Academy from FY 2022-23 to FY 2023-24, focused on enhancing content & accessibility to quality education: Science Content Acceleration The impact assessment study conducted by EveryULB Technologies Private Limited, indicated that: • 500 videos and 5,600 practice questions aligned with NCERT objectives, were created with partner states. • Monthly Very Active Learners (MVALs) data showed consistent student engagement with interactive content.
Environment & Sustainable Development			
14.	KMBL202122044	IIT Madras	The project implemented by IIT Madras (KISEM) from FY 2021-22 to FY 2022-23, supported energy audit assessment of SMEs and also provided them with the Energy conservation measures. The impact assessment study conducted by KPMG Assurance & Consulting Services LLP, indicated that: • Majority of the SMEs found the energy audit exercise to be very informative and useful and helped them promote energy efficient practices.
15.	5A	Hiralal Parekh Parivar Charity Trust	The project implemented by Hiralal Parekh Parivar Charity Trust from FY 2021-22 to FY 2023-24 was focused to provide Environment friendly cremation methods through installation of Gas furnace, Pollution control system and Effluent treatment plant and landscape design. The impact assessment study conducted by KPMG Assurance & Consulting Services LLP, indicated that: • 93% of respondents felt that the amenities and facilities at the crematorium provide a sense of respect a dignified experience for their loved ones. • 92% of bereaved families felt that the facility is environmentally friendly and promote sustainability.

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
16.	KMBL202223081	Sahakara Mitra Samstha (CCD)	The project implemented by Sahakara Mitra Samstha - CCD from FY 2022-23 to FY 2023-24, was focused to enhancing soil fertility, reduced usage chemical fertiliser and enhanced agricultural productivity and farmer's income. The impact assessment study conducted by KPMG Assurance & Consulting Services LLP, indicated that: 90% of farmers reported improved soil fertility and structure after applying silt. 89% of farmers reported an increase in income, attributed to higher yields and reduced input costs. 2.01 billion litres of surface water capacity created throughout the project.
Sports			
17.	61	Pullela Gopichand Badminton Foundation	The project implemented by Kotak Pullela Gopichand Badminton Academy from FY 2020-21 to FY 2023-24, supported the training and development of talented badminton players by providing infrastructure and resources which included six air-conditioned badminton courts, a jogging track, swimming pool, advanced gym, cafeteria, sports science center and residential rooms. The impact assessment study conducted by KPMG Assurance & Consulting Services LLP, indicated that: 94% of athletes mentioned that the new facilities simulated the environment that of international events which helped them perform better at such events.
18.	KMBL202223062	Inspire Institute of Sport (IIS)	The project implemented by Inspire Institute of Sport in FY 2022-23, was focused to promote Wrestling and Boxing. The impact assessment study conducted by KPMG Assurance and Consulting Services LLP, indicated: 96% of athlete sported a noticeable improvement in their athletic performance as a direct result of their participation in the program. 97% of athletes reported getting benefited from enhanced opportunities for competition and exposure to national and international levels of competition.
Livelihood and Diversity & Inclusion			
19.	10	Society of Parents of Children with Autistic Disorders (SOPAN)	The project implemented by SOPAN from FY 2020-21 to FY 2023-24 focused on establishing Shanay Autism Resource Centre to provide structured education, therapy and vocational training for children with autism. The impact assessment study conducted by NuSocia indicated: - Dedicated infrastructure including sensory rooms and therapy spaces enabled effective service delivery 89 children with autism received therapy and support services.
20.	KMBL202223014	Sarthak Educational Trust	The project implemented by Sarthak Educational Trust in FY 2022-23 focused on skill building and workforce integration of persons with disabilities (PwDs) across four centers in India. The impact assessment study conducted by NuSocia indicated: 966 PwDs trained, with disability levels ranging from 40% to 100% and 58% of participants placed in jobs while 14% pursued self-employment - Post-placement retention rate stood at 62% after three months and earning levels improved.

Sr. No.	CSR Project Unique ID	Implementing Organisation	Executive Summary of the Impact Assessment reports
21.	KMBL202223016	Pratham Education Foundation	The project implemented by Pratham Education Foundation in FY 2022-23 focused on vocational training and livelihood enhancement for marginalised youth across rural and semi-urban areas. The impact assessment study conducted by NuSocia indicated: 87% youth completed the training, of which around 92% youths secured jobs; around 64% of participants were women - Average salary range post-training: ₹8,000-₹22,000.
22.	KMBL202223028	Head Held High Foundation	The project implemented by Head Held High Foundation from FY 2022-23 to FY 2023-24 focused on capacity-building training for rural youth to address unemployment and promote sustainable livelihoods. The impact assessment study conducted by NuSocia indicated: 70% of participants secured job placements, majority youth placed in retail and BPO sectors 46% earned above ₹10,000/month.
23.	KMBL202122004	Youth4Jobs Foundation	The project implemented by Youth4Jobs from FY 2021-22 to FY 2023-24 focused on enhancing employment access for persons with disabilities (PwDs) through the development of AI-enabled SwarajAbility platform. The impact assessment study conducted by NuSocia indicated: 1,65,377 PwDs enrolled, covering approximately 21 disability types, Platform available in 12 Indian languages, improving accessibility 83% of placed candidates reported improved financial independence.
24.	KMBL202223030	Deeds Public Charitable Trust	The project implemented by DEEDS from FY 2022-23 to FY 2023-24 focused on commerce education and employability training for students with hearing impairment through the College Preparatory Program in Mumbai. The impact assessment study conducted by NuSocia indicated: 235 students enrolled; 219 continued with the program; 93% of the first batch secured jobs in banking and allied industries. Despite academic challenges, HSC and TYBCom pass rates were 97.67% and 100%, respectively. Inclusive infrastructure included smart boards, ISL-based teaching.

5. (a) Average net profit of the Company as per Section 135(5) of the Act : ₹ **14,276.35 crore**
- (b) Two percent of average net profit of the Company as per Section 135(5) of the Act : ₹ **285.53 crore**
- (c) Surplus arising out of the CSR projects, programmes or activities of the previous financial years : **Not Applicable**
- (d) Amount required to be set off for the financial year, if any : ₹ **1.99 crore**
- (e) Total CSR obligation for the financial year [(b) + (c) - (d)] : ₹ **283.54 crore**
6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project) : ₹ **236.44 crore**
- (b) Amount spent in Administrative Overheads : ₹ **3.55 crore**
- (c) Amount spent on Impact Assessment, if applicable : ₹ **1.21 crore**
- (d) Total amount spent for the Financial Year [(a)+(b)+(c)] : ₹ **241.20 crore**

(e) CSR amount spent or unspent for the financial year:

Total Amount spent for the Financial Year (₹ in crore)	Amount Unspent (₹ in crore)				
	Total Amount transferred to Unspent CSR Account as per Section 135(6) of the Act		Amount transferred to any fund specified under Schedule VII as per second proviso to Section 135(5) of the Act		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
241.20*	44.54	28 th April, 2025	N.A	N.A	N.A

* includes administrative overhead cost of ₹ 3.55 crore and impact assessment expenditure of ₹ 1.21 crore

(f) Excess amount for set-off, if any:

Sr. No.	Particular	Amount (₹ in crore)
(i)	Two percent of average net profit of the Company as per Section 135(5) of the Act	285.53
(ii)	Total amount spent for the Financial Year*	285.74
(iii)	Excess amount spent for the financial year [(ii)-(i)]	0.21
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]**	2.20

*Includes unspent amount transferred to unspent CSR account, administrative overheads and impact assessment expenses

** including excess spend of ₹ 1.99 crore available from previous years

7) Details of Unspent CSR amount for the preceding three financial years:

Sr. No.	Preceding Financial Year	Amount transferred to Unspent CSR Account under Section 135(6) of the Act (₹ in crore)	Balance amount in Unspent CSR Account under Section 135(6) of the Act (₹ in crore)	Amount spent in the reporting Financial Year (₹ in crore)	Amount transferred to any fund specified under Schedule VII as per Section 135(6) of the Act, if any			Amount remaining to be spent in succeeding financial years (₹ in crore)
					Name of the Fund	Amount (in ₹)	Date of transfer	
1	2021-22	96.06	36.50	36.50	Nil	Nil	Nil	Nil
2	2022-23	93.11	36.96	22.15	Nil	Nil	Nil	14.82
3	2023-24	111.08	111.08*	47.95	Nil	Nil	Nil	63.13

*amount transferred to KMBL Unspent CSR account FY 2023-24 on 29th April, 2024

8. Whether any capital assets have been created or acquired through CSR amount spent in the Financial Year:

Yes ☒ No ☐

If Yes, enter the number of capital assets created / acquired

37 (entity wise disclosure)

Furnish the details relating to such asset(s) so created or acquired through CSR amount spent in the Financial Year:

(i) **Capital assets created or acquired through through CSR projects in FY 2024-25 :**

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
1	PET CT Machine With Turnkey (Location same as mentioned in last column)	400012	19 th March, 2025	11.00	CSR00001287	Tata Memorial Hospital	Tata Memorial Hospital, Dr Ernest Borges Marg, Parel, Mumbai - 400012
2	CT Simulator Machine (Location same as mentioned in last column)	641018	28 th February, 2025	7.38	CSR00007900	The Kuppuswamy Naidu Charity Trust for Education and Medical Relief	No. 1088 & 1089, 5 th Floor, GKNMH IOP Centre, Avinashi Road, Coimbatore - 641 037
3	MRI machine (Location same as mentioned in last column)	431001	13 th March, 2025	7.24	CSR00000181	Dr. Babasaheb Ambedkar Vaidyakiya Pratishthan	Dr. Hedgewar Hospital Garkheda Parisar Aurangabad 431001
4	Medical Equipment for Molecular Lab (Location same as mentioned in last column)	440010	31 st March, 2025 (Multiple dates last date of procurement of asset is being considered)	7.00	CSR00012471	Dr. Abaji Thatte Seva Aur Anusandhan Sanstha	Dr Abaji Thatte Seva Aur Anusandhan Sanstha, 293 Sita Ram Smurti, WHC road, Dharampeth, Nagpur, MH21. 440010
5	CT Scan machine along with accessories (Location same as mentioned in last column)	221005	20 th March, 2025 (Multiple dates- last date of procurement of asset is being considered)	5.25	Not Applicable	Mahamana Pandit Madan Mohan Malviya Cancer Hospital	Sundar Bagiya, BHU Campus, Sundarpur Nariya Road, Varanasi, Uttar Pradesh 221005
6	Ambulances and fabrication & art work for various hospitals (Location same as mentioned in last column)	151203	5 th July, 2024	0.27	Not Applicable	Baba Farid University Of Health Sciences	Sadiq Road, Faridkot, Punjab 151203
		587102	5 th November, 2024	0.41	Not Applicable	S N Medical College	Navanagar Bagalkot, Karnataka - 587102
		563101	21 st October, 2024	0.27	Not Applicable	Sri Devaraj URS Educational Trust	Tamaka, Kolar, Karnataka 563101
		603319	3 rd December, 2024	0.27	Not Applicable	Adhiparasakthi Charitable Medical	9, Melmaruvathur, Chengalpet District, TamilNadu-603319

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
					6		
1	2	3	4	5	CSR Registration Number, if applicable	Name	Registered address
		382016	3 rd December, 2024	0.55	Not Applicable	Gandhinagar Municipal Corporation	Pandit Dindayal Upadhyay Bhavav, Behind Fire Station, Sector- 17, Gandhinagar - 382016
		501141	3 rd December, 2024	0.55	Not Applicable	M/S District Hospital Tandur	Tandur, Vikarabad, Telangana - 501141
		573201	20 th February, 2025	0.41	Not Applicable	HASSAN Institute of Medical Science	Ground Floor, HIMS, Race Course Road, Near Govt Hospital, HASSAN, Karnataka - 573201
		600033	17 th February, 2025	0.27	Not Applicable	SRM Institute of Science & Technology	Veerasamy Street West Mambalam, Chennai, Tamil Nadu - 600033
		673009	17 th February, 2025	0.27	Not Applicable	IQRAA International Hospital And Research	Flat No- 34/777B Nedungottur Wayanad Roa 212 Malaparamba Kozhikode, Kerala, 673009
		733121	17 th February, 2025	0.27	Not Applicable	Daughters Of The Cross Charitable Trust	Ward no. 4, Banshihari, Kaliyaganj Road, Buniadpur, Dakshin Dinajpur, West Bengal - 733121
		411001	20 th February, 2025	0.27	Not Applicable	Grant Medical Foundation	40, Sasoon Rd, Sangamvadi, Pune, Maharashtra 411001
		587201	20 th February, 2025	0.27	Not Applicable	Taluka Health Office Badami	Taluka Health Office Badami Bagalkot Karnataka - 587201

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
		506169	10 th March, 2025	0.27	Not Applicable	Government General Hospital	Jayashankar Bhupalpally Govt Building Area Hospital Bhupalpally Mail Road Bhupalpally, Telangana - 506169
				0.53 (common spend allocated across all ambulances for registration insurance etc.)			
	Total ambulances procured through Impact Guru Foundation			4.91 (rounded off amount)			
7	CT scanner K J Somaiya Hospital and Research centre Ayurvihar Eastern express highway, Chunabhatti Sion IN-400022	400022	19 th March, 2025	4.90	CSR00004527	K J Somaiya Medical Trust	4 th Flr, Fazalbhoy Building, 45-47 Mahatma Gandhi Road, Fort, Mumbai, 400001 Maharashtra

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
8	Multiple Medical Equipment, (including Chemo dialysis machine) Furniture & Fixtures/ civil work for hospital wards, Laptops & Monitors Swami Vivekanada Road, Vrindavan, Mathura - 281121	281121	11 th February, 2025	4.28	CSR00006101	Ramakrishna Mission	Ramakrishna Mission, Belur Math, PO Howrah - 711202
9	Equipment for screening & treatment of eye cancer and ambulance (Location same as mentioned in last column)	632004	31 st March, 2025 (Multiple dates-last date of procurement of asset is being considered)	3.59	CSR00001924	The Christian Medical College Vellore Association	Ida Scudder Road, Vellore - 632004, Tamilnadu
10	Digital mammograph, X-ray, ambulance (Location same as mentioned in last column)	302017	26 th March, 2025 (Multiple dates-last date of procurement of asset is being considered)	3.50	CSR00005954	Bhagwan Mahaveer Cancer Hospital & Research Centre	Bhagwan Mahaveer Cancer Hospital & Research Centre, JLN Marg, Jaipur-302017

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
11	Dialysis machines (including RO and piping) Blood bank equipment, OT light high frequency C arm, laproscopic, etc. Multiple locations as mentioned in last column	PIN codes are same as mentioned in last column	7 th March, 2025 (Multiple dates-last date of procurement of asset is being considered)	1.94	Not Applicable	(i) Rotary Club of Kudal (Suyash hospital)	Opp Kudal bus stand, Kudal , Dist Sindhudurg - 416520
					Not Applicable	(ii) Shri Kumareshwar Hospital & Research Centre	District Bagalkot, Karnataka, 587102
					Not Applicable	(iii) Govt Civil Hospital, Gadawara	Gadawara , Madhya Pradesh- 487551
					Not Applicable	(iv) Rajasthan Medical Relief Super Specialty hospital	Kota , Rajasthan -324005
					Not Applicable	(v) Robert Nursing Home	Indore, Madhya Pradesh -452001
					Not Applicable	(vi) Shri Sankara Kripa Educational and Medical Trust	Enathur Road, Konerikuppam, Kanchipuram- 631561
					Not Applicable	(vii) Govt Hospital, Champawat	Tanakpur Road, District Champawat, Uttarakhand - 262523
					Not Applicable	(viii) Bai Jerbai Wadia Hospital for children	Parel, Mumbai 400 012
12	Office equipment and laptops / peripherals and Civil work (Of ₹1.87 crore , ₹54.99 lakh is spent on upgradation of various municipal schools)	401303, 600612, 42352, 400043, 400059	12 th March, 2025 (Multiple dates-last date of procurement of asset is being considered)	1.87	CSR00001785	Kotak Education Foundation	1 st Floor, North Side, Ujagar Compound, Sunder Baug, Opp. Deonar Bus Depot, Off Sion-Trombay Road, Deonar, Mumbai - 400088

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
13	Ambulances, Solar Power Systems & Roti Maker Machine (Location same as mentioned in last column)	321001	13 th March, 2025 Multiple dates-last date of procurement of asset is being considered)	1.00	CSR00003469	Maa Madhuri Brij Varis Sewa Sadan Apna Ghar Sanstha	Maa Madhuri Brij Varis Sewa Sadan Apnaghar Sanstha Achhnera Road Bajhera, Bharatpur, Rajasthan- 321001
14	Various Instruments for energy efficiency audit KISEM Office, Fluid Mechanics Department, Indian Institute of Technology, Madras Chennai - 600036	600036	28 th March, 2025 (Multiple dates-last date of procurement of asset is being considered)	0.95	CSR00004320	Indian Institute of Technology, Madras	Sardar Patel Road, Adyar, Chennai – 600036
15	Turnkey cost for CT/ MRI housing (Location same as mentioned in last column)	395010	27 th November, 2024	0.90	Not Applicable	Surat Municipal Institute of Medical Education and Research	Umarwada, Opp Bombay Market Sahard Darwaja Surat Gujarat - 395010

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
16	Ambulance along with peripherals (MMV project) at three locations C/o Jitendra Pardeshi Flat no 7, Abhay Park, 2nd Floor, Shivaji Nagar Sinnar District Nashik 422103 C/o Smt. Seema Sudhakar Gunjal H.No. 3110 First Floor Room No.01 behind Vegetable Market, Ghoti Taluka Igatpuri District Nashik 422403 C/o, Row house no. 01, Ashabhakti Row House, Balram Nagar, Dhattrak Phata, Mumbai Agra Road, Nashik, 422003	422003, 422103, 422403	31 st March, 2025	0.68	CSR00000991	Impact Guru Foundation	Building No. 1, First Floor, Malhan One, Sunlight Colony - 2, Ashram, New Delhi-110014

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
17	1. Digital classrooms across 35 schools in District Deoria , Uttar Pradesh	274105, 274205, 274502, 274506, 274509, 274601, 274603, 274703, 274182, 274001, 274701, 274702, 275705,	28 th October, 2024	0.65	CSR00003465	Children's LoveCastles Trust	Jakkur Village Post , Bangalore -560064
18	Digital classrooms 29 schools in multiple districts in the state of Maharashtra, Bihar, Tamilnadu, Karnataka, Gujarat	413002, 416408, 431523, 431701, 625106, 606604, 572101, 573125, 577214	26 th March, 2025	0.49	CSR00004675	Shri Mahakal Education and Charitable Trust	C/o Kanakbhai B Vyas office No1. aahiya Comm centre, gondal Road, Rajkot, Gujarat- 360002
19	Laptops for students (Location same as mentioned in last column)	411045	6 th January, 2025	0.11	CSR00000090	Lila Poonawalla Foundation	Flat no 101/102,, Survey No 23, Baner, Balewadi, Pune 411045
20	2D Echo Machine (Location same as mentioned in last column)	533296	19 th March, 2025	0.25	Not Applicable	GSL Medical College & General Hospital	D.No. 6-265, N.H.-16, Lakshnipuram Rajamahendravaram - 533296. Andhra Pradesh
21	Diagnostic Ultrasound Machine (Location same as mentioned in last column)	171001	27 th February, 2025	0.11	Not Applicable	Indira Gandhi Medical College & Hospital	Sanjauli Rd, Lakkar Bazar, Shimla, Himachal Pradesh- 171001

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
22	Dental and Surgical Equipment (laparoscopic) (Location same as mentioned in last column)	643217	23 rd February, 2025 (Multiple dates-last date of procurement of asset is being considered)	0.05	CSR00007696	Kotagiri Medical Fellowship Hospital	No 1 KMF Hospital, Kotagiri, Nilgiri, TamilNadu 643217
23	Fogging machine (Location same as mentioned in last column)	638001	19 th November, 2024	0.05	Not Applicable	Erode City Municipal Corporation	352, Municipal Building, Brouch Rd, Erode - 638001
24	Dental Chairs along with accessories (Location same as mentioned in last column)	172107	30 th September, 2024	0.04	Not Applicable	Civil Hospital , Kinnaur	Chango. Kinnaur dist Himachal Pradesh- 172107
25	Tricycles for disabled (Location same as mentioned in last column)	151001	30 th September, 2024	0.01	Not Applicable	Improvement Trust	Bathinda, Tinkoni GT Road, Bathinda- 151001, Punjab
26	Garbage Collection Tipper/Vehicle (Location same as mentioned in last column)	421302	30 th June, 2024	0.18	Not Applicable	Bhiwandi Nizampura City Municipal Corporation	Old ST stand, Kap Ali, Bhiwandi, District Thane, Maharashtra 421302
27	Garbage Collection Tipper/Vehicle (Location same as mentioned in last column)	737101	7 th October, 2024	0.25	Not Applicable	Urban Development Department, Gangtok, Sikkim	Gangtok, East Sikkim - 737101
28	Job portal development for PwDs (Location same as mentioned in last column)	500034	19 th March, 2025 (Multiple dates-last date of procurement is considered)	0.31	CSR00002046	Youth 4 Jobs Foundation	Y4J, Plot No.4, 8-2-686/D/1/G/4, Kanchi Thatti Khana Road no.12, Banjara Hills, Hyderabad – 500034
29	Gym Equipment (Location same as mentioned in last column)	500032	27 th February, 2025	0.24	CSR00001555	Pullela Gopichand Badminton Foundation	Plot no. 15, Bharani Enclave, Road no. 78, Jubilee Hills, Hyderabad 500033

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
					6		
1	2	3	4	5	CSR Registration Number, if applicable	Name	Registered address
30	Smart classroom in 12 schools Bhingar, Shirur and Saswad Districts Pune, Maharashtra	414002, 412210, 412301, 201310	17 th March, 2025 (Multiple dates- last date of procurement is considered)	0.19	CSR00004675	Shri Mahakal Education and Charitable Trust	C/O Kanakbhai B Vyas office No1. aahiya Comm centre, gondal Road, Rajkot, Gujarat- 360002
31	Sports equipment Vidyanagar, Bellary district, Karnataka	583275	19 th March, 2025	0.18	CSR00000123	Inspire Institute of Sport	JSW Centre, Bandra Kurla Complex, Bandra (East), Mumbai – 400051 Maharashtra, India
32	Furniture Home Away from Home centres located at: (i) B-200, Police Colony, Anisabad, Patna (ii) G No. 13, Plot No. 09, Zakir Husain Housing Society, Padegaon, Aurangabad (iii) GA-805, K/8, Ghatika, Kalinga Nagar, Bhubaneshwar	800002, 431001, 751003	31 st March, 2025 (Multiple dates-last date of procurement of asset is being considered)	0.05	CSR00000341	Cankids Kidscan	D7/7, D Block, Vasant Vihar, New Delhi - 110057
33	Laptop, Tablet and Printer Udhyam Learning Foundation C/o Zeta Innovation labs G1, Ashish regency, 151A Mahalakshmi Nagar, Indore	452010	15 th January, 2025	0.02	CSR00004751	Udhyam Learning Foundation	House no2B, Apartment Garden Homes, Aga Abbas Ali Road, Halasuru, Hanumanthappa Layout, Sivanchetti Garden Post, Bengaluru - 560042

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
34	Laptops, Tablets and microphone (Location same as mentioned in last column)	110001	23 rd December, 2024	0.02	CSR0001762	Khan Academy India	L-29, first floor, Outer circle, Connaught Place, New Delhi – 110001
35	Office running and field running instruments and objects Gogunda, Udaipur, Rajasthan, 313705 New Ambica Colony, Tartoil Road, Abu Road, District, Sirohi Rajasthan	313705, 307026	27 th February, 2025 (Multiple dates-last date of procurement of asset is being considered)	0.02	CSR00000973	Professional Assistance for Development Action (PRADAN)	3, Community Shopping Centre, Niti Bagh, New Delhi – 110049
36	Furniture (chairs & table for centre) Village Badla, Tehsil Kherwada, Udaipur district	313803	20 th March, 2025	0.01	CSR00003290	Centre for Microfinance	N-102 South , Adinath Nagar, Jaipur -302018
37	Camera (Training material) Bhumi World Industrial park Mumbai Nashik Highway, Bhiwandi, Thane Dist	421302	11 th March, 2025	0.01	CSR00000258	Pratham education Foundation	4 th floor, Y.B Chavan centre, Nariman Point, Gen J Bhosale Marg, Mumai -400021, Maharashtra
GRAND TOTAL				69.63			

(ii) Capital assets created/ acquired from Unspent CSR spent of FY 2023-24:

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
1	CT Scan and MRI machine* (Refer Note 1) (Same as mentioned in last column)	395010	16 th September, 2024	9.65	Not applicable	Surat Municipal Institute of Medical Education & Research	Near Sahara Darwaja, Opposite to Bombay Market, Umarwada, Surat- 395010
2	Construction of classrooms and toilet blocks for schools (Refer Note 2) VBS Schools, (Same as mentioned in last column)	313004	31 st March, 2025	2.00	CSR00003180	Vidya Bhawan Society	Dr. Mohan Sinha Mehta Marg, Fatehpura, Udaipur (Raj.)- 313004
3	CT Simulator machine (Refer Note 3) (Same as mentioned in last column)	221005	25 th October, 2024	1.60	Not Applicable	Mahamana Pandit Madan Mohan Malviya Cancer Centre	Banaras Hindu University, Campus, Sundar Bagiya Colony, Sundarpur, Varanasi- 221005
4	Digital Equipment (Smart LED TV with Learning Content) Multiple schools across Indore, Thirupur, Coimbatore and Wayanad Districts	452003, 673593 (multiple pin codes under same district)	29 th November, 2024	0.36	CSR00000572	United Way Chennai	S-15 Economist house , 2 nd floor, 1 st cross St Thiru Vika Industrial Estate, Guindy, Chennai, TamilNadu -600032
5	Mobile toilets (Ti Bus) Gorakhpur, Uttar Pradesh	273001	31 st March, 2025	0.30	CSR00016474	Nagar Nigam Gorakhpur	Town Hall, Gorakhpur, 273001

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
6	Laptops and peripherals Furniture & fixtures Ranchi 231/B, Ashok Nagar, Road No 2, Ranchi, Jharkhand Manokamna Complex, Behind Central Bank of India, PO+PS- Charhi, Charhi Chowk, Distrcit Hazaribagh	825336 834002, 383270	2 nd January, 2025 (Multiple dates-last date of creation considered)	0.03	CSR00000508	Collectives for integrated livelihood initiatives	3, Community Shopping Centre, Niti Bagh, New Delhi-110049

Notes:

- 1) The Bank supported cost of medical equipment to Surat Municipal Institute of Medical Education & Research (through implementing organisation) amounting to ₹ 10.62 crore, of which, ₹ 0.97 crore was paid in FY 2023-24 and balance of ₹ 9.65 crore in FY 2024-25. The project was completed in FY 2024-25.
- 2) The Bank supported cost of refurbishment / infrastructure development of Vidya Bhawan schools, through CSR Project with budget amounting to ₹ 3.26 crore, of which, ₹ 1.00 crore was paid in FY 2023-24. During the FY 2024-25, the Bank disbursed ₹ 2.00 crore towards the activities of the CSR Project and infrastructure development work is under progress as on 31st March, 2025.
- 3) The Bank supported cost of medical equipment to Mahamana Pandit Madan Mohan Malaviya Cancer Centre, Varanasi (unit of Tata Memorial Centre) amounting to ₹ 6.40 crore, of which, ₹ 4.80 crore was paid in FY 2023-24 and balance ₹ 1.60 crore in FY 2024-25. The project was completed in FY 2024-25.

(iii) Capital assets created/ acquired from Unspent CSR spent of FY 2022-23:

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
1	Construction of hostel facility* Anav, Sindhudurg	416812	Advances - Construction ongoing	1.00	CSR000002161	Manav Sadhan Vikas Sanstha	Plot No. 27, Sector No. 4, Near Varad Vinayak Mandir, Koparkhairne, Navi Mumbai - 400 709.
2	Refurbishment of multi purpose hall Village Khubavali, PO Paud, Taluka Mulshi, Pune	412108	Advances - Construction ongoing	0.63	CSR00019118	The Mahindra United World College of India	Village Khubavali, PO Paud, Taluka Mulshi, Pune 412108
3	Construction of hostel for girl students (Refer Note 1) Village Akalpur, Marh Block Jammu District	180002	31 st March, 2025	0.33	CSR00002223	Borderless World Foundation	C1/1, S No 14/15 Yashwantrao Chavan Nagar Dhankwadi, Pune 411043
4	Laptops A-14/15, 3 rd Floor, Sector-34, Noida, Uttar Pradesh	201307	6 th February, 2025	0.08	CSR00000121	Buddy4study India Foundation	Team Cowork, 55, 2 nd Floor, Lane-2, Westend Marg, Saidullajab, Near Saket Metro Station, New Delhi, Delhi-110030
5	Auto Level -Survey Instruments No.219, Veeranjaneya Nagar, Gokul College Road, Kolar (Taluk and District), Karnataka	563101	31 st March, 2025	0.001	CSR00000273	DHAN (Development of Humane Action Foundation)	1A, Vaidyanathapuram East, Kennet Cross Road, Madurai 625016

* Advances paid against construction capital asset, however the same has not been constructed during the year and construction is under progress

Note:

- 1) In FY 2022-23, Bank had undertaken CSR Project with implementing organisation Borderless World Foundation for construction of hostel facility, with CSR Project budget of ₹ 2.80 crore, of which, ₹ 2.47 crore was paid upto FY 2024-25. During FY 2024-25, the balance payment of ₹ 0.33 crore was disbursed and construction of hostel facility was completed.

(iv) Capital assets created/ acquired from Unspent CSR spent of FY 2021-22 :

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent (₹ crore)	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
1	Construction of Kotak-IISc AI-ML Centre (Refer Note 1) C V Raman Road, Bangalore- 560 012	560012	31 st March, 2025	35.35	CSR00007370	Indian Institute of Science, Bangalore*	IISc, C V Raman Road, Bangalore- 560012
2	Bio Gas plants Malavli Taluk, Mandya District , Karnataka	571430, 571475, 571424	30 th December, 2024	0.14	CSR00000259	BAIF Institute for Sustainable Livelihoods and Development	Dr Manibhai Desai Nagar, NH-4 , Bypass , Warje , Pune -411058

Note:

- 1) In FY 2021-22, the Bank has undertaken CSR Project with implementing organisation Indian Institute of Science for construction of Kotak-IISc AI-ML centre, cost of CSR Project being ₹ 73.00 crore, of which, ₹ 37.65 crore was paid upto FY 2023-24. During FY 2024-25, the balance payment of ₹ 35.35 crore was disbursed and entire ₹73.00 crore for CSR project was fully utilised.

9. Specify the reason(s), if the Bank has failed to spend two per cent of the average net profit as per Section 135(5) of the Act – Not Applicable

Ashok Vaswani
Managing Director & CEO

Date : 28th June, 2025
Place : Mumbai

C.S. Rajan
Chairman – Corporate Social Responsibility and Environmental, Social and Governance Committee

Date : 28th June, 2025
Place : Mumbai

DISCLOSURE PURSUANT TO SECTION 197(12) OF THE COMPANIES ACT, 2013 READ WITH RULE 5 OF THE COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014

1. RATIO OF THE REMUNERATION OF EACH DIRECTOR TO THE MEDIAN REMUNERATION OF THE EMPLOYEES FOR THE FINANCIAL YEAR:

Directors	Title	Ratio (Incl SAR Excl ESOP)
Mr. C S Rajan	Non-Executive Independent Part-time Chairman	13.26x
Mr. Uday Shankar	Independent Director	6.47x
Dr. Ashok Gulati	Independent Director	7.71x
Ms. Ashu Suyash	Independent Director	8.23x
Mr. Cornelis Petrus Adrianus Joseph ("Eli") Leenaars	Independent Director	4.89x
Ms. Ketaki Bhagwati (w.e.f. 18 th May, 2024)	Independent Director	5.68x
Mr. Amit Desai	Non-Executive Non-Independent Director	4.75x
Mr. Uday Kotak	Non-Executive Non-Independent Director	9.40x
Mr. Ashok Vaswani	Managing Director & CEO	176.89x
Ms. Shanti Ekambaram	Deputy Managing Director	90.70x
Mr. Jaideep Hansraj (w.e.f. 11 th February, 2025)	Whole-time Director (Executive Director)	6.5x
Mr. Uday Khanna (till 15 th September, 2024)	Independent Director	5.44x
Mr. C Jayaram (till 30 th April, 2024)	Non-Executive Non-Independent Director	3.27x
Mr. KVS Manian (till 30 th April, 2024)	Joint Managing Director	9.78x

2. PERCENTAGE INCREASE IN REMUNERATION OF EACH DIRECTOR, CHIEF FINANCIAL OFFICER, CHIEF EXECUTIVE OFFICER, COMPANY SECRETARY OR MANAGER, IF ANY, IN THE FINANCIAL YEAR:

Directors/Key Managerial Personnel	Title	% increase in remuneration (Incl SAR Excl ESOP)
Mr. C S Rajan	Non-Executive Independent Part-time Chairman	56.89%
Mr. Uday Shankar	Independent Director	-14.55%
Dr. Ashok Gulati	Independent Director	-9.68%
Ms. Ashu Suyash	Independent Director	-27.88%
Mr. Eli Leenaars (w.e.f. 1 st January, 2024)	Independent Director	-
Ms. Ketaki Bhagwati (w.e.f. 18 th May, 2024)	Independent Director	-
Mr. Amit Desai	Non-Executive Non-Independent Director	-15.85%
Mr. Uday Kotak	Non-Executive Non-Independent Director	-
Mr. Ashok Vaswani (w.e.f. 1 st January, 2024)	Managing Director & CEO	-
Ms. Shanti Ekambaram	Deputy Managing Director	4.65%
Mr. Jaideep Hansraj (w.e.f. 11 th February, 2025)	Whole-time Director (Executive Director)	-
Mr. Uday Khanna (till 15 th September, 2024)	Independent Director	-
Mr. C Jayaram (till 30 th April, 2024)	Non-Executive Non-Independent Director	-
Mr. KVS Manian (till 30 th April, 2024)	Joint Managing Director	-
Mr. Devang Gheewalla (w.e.f. 1 st April, 2024)	Group Chief Financial Officer	-
Ms. Avan Doomasia	Company Secretary	12.80%

3. PERCENTAGE INCREASE IN THE MEDIAN REMUNERATION OF EMPLOYEES IN THE FINANCIAL YEAR²:

For employees other than KMP, who were in employment for the whole of FY 2023-24 and FY 2024-25, decrease in the median remuneration is 0.95%

4. NUMBER OF PERMANENT EMPLOYEES ON THE ROLLS OF THE BANK AT THE END OF THE YEAR: 61,170

²GRI 2-21

5. AVERAGE PERCENTILE INCREASE ALREADY MADE IN THE SALARIES OF EMPLOYEES OTHER THAN THE MANAGERIAL PERSONNEL IN THE LAST FINANCIAL YEAR AND ITS COMPARISON WITH THE PERCENTILE INCREASE IN THE MANAGERIAL REMUNERATION AND JUSTIFICATION THEREOF AND POINT OUT IF THERE ARE ANY EXCEPTIONAL CIRCUMSTANCES FOR INCREASE IN THE MANAGERIAL REMUNERATION:

For employees, other than Key Managerial Personnel, who were in employment for the whole of FY 2023-24 and FY 2024-25, the average increase was 16.64% (Incl SAR Excl ESOP).

Average increase for Key Managerial Personnel is 16.22% (Incl SAR Excl ESOP)

6. AFFIRMATION THAT THE REMUNERATION IS AS PER THE REMUNERATION POLICY OF THE BANK:

The Bank is in compliance with its Compensation Policy.

Notes:

1. Median remuneration has been calculated for permanent employees who were in employment for the whole of FY 2023-24 and FY 2024-25.
2. Ratio of the remuneration of each Director to the median remuneration is calculated based on the remuneration entitled for the period of office held by them as a Director during FY 2024-25.
3. Remuneration includes Fixed Pay + Variable Pay paid during the year + perquisite value (excluding Stock Options) as calculated under the Income Tax Act, 1961.
4. SARs are awarded as Variable Pay. These are settled in cash and are linked to the average market price/closing market price of the Bank's stock on specified value dates. Cash paid out during the year is included for the purposes of remuneration.
5. Mr. Uday Kotak holding the position of Non- Executive Director has received sitting fees, with effect from 2nd September, 2023. During FY 2024-25, Mr. Kotak has received sitting fees and fixed remuneration, as applicable.
6. The remuneration of the Non-Executive Directors (other than the Non-Executive Independent Part-time Chairman) of the Bank, for FY 2023-24 and FY 2024-25, comprises (i) compensation in the form of fixed remuneration as per limits prescribed by Reserve Bank of India ("RBI") and the relevant resolution passed by the members at the Thirty-Sixth Annual General Meeting and (ii) sitting fees for attending the Board / Committee meetings. The Non-Executive Independent Part-time Chairman received sitting fees for attending meetings of the Board / Committees and a fixed remuneration, as approved by the Board and the RBI, within the limit approved by the members of the Bank. He is also eligible for a car with driver as per the Bank's policies.
7. Percentage increase / decrease in remuneration has been given for Directors and KMPs who were on the Board of the Bank for the entire FY 2023-24 and FY 2024-25, in the same capacity.
8. Mr. C S Rajan, Non-Executive Part-time Chairman (Independent Director) of the Bank was entitled to a fixed remuneration of ₹ 33 lakh per annum, till 30th June, 2024 and thereafter, from 1st July, 2024, Mr. Rajan is entitled to a fixed remuneration of ₹ 42 lakh per annum, as approved by the Board, RBI and the members. He is also eligible for a car with driver, as per the Bank's policies.

FORM NO. MR-3
SECRETARIAL AUDIT REPORT
For the Financial Year Ended 31st March 2025

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Kotak Mahindra Bank Limited

I have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Kotak Mahindra Bank Limited** (hereinafter called the “**Bank**”).

Secretarial Audit was conducted in a manner that provided a reasonable basis for evaluating the corporate conducts / statutory compliances and expressing my opinion thereon.

Based on my verification of the **Bank**’s books, papers, minute books, forms and returns filed and other records maintained by the Bank and also the information provided by the Bank, its officers, agents and authorised representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Bank has, during the audit period covering the Financial Year ended 31st March, 2025 (“**Audit period**”) complied with the statutory provisions listed hereunder and also that the Bank has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Bank for the Financial Year ended 31st March, 2025 according to the provisions of:

- (i) The Companies Act, 2013 (the “**Act**”) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 (“**SCRA**”) and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the regulations and Bye-laws framed thereunder;
- (iv) The Foreign Exchange Management Act, 1999 (“**FEMA**”) and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings, as applicable;
- (v) The regulations and guidelines prescribed under the Securities and Exchange Board of India Act, 1992 (“**SEBI Act**”) to the extent applicable and as amended from time to time, namely:
 - (a) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
 - (b) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018; (**Not applicable during the period under review**)
 - (d) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
 - (e) The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021;
 - (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Act and dealing with client; **to the extent applicable to the Bank**
 - (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; (**Not applicable during the period under review**)
 - (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; (**Not applicable during the period under review**)
 - (i) The Securities and Exchange Board of India (Bankers to an Issue) Regulations, 1994;

- (j) The Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018;
 - (k) The Securities and Exchange Board of India (Custodian) Regulations, 1996;
 - (l) The Securities and Exchange Board of India (Certification of Associated Persons in the Securities Market) Regulations, 2007;
 - (m) The Securities and Exchange Board of India {KYC (Know Your Client) Registration Agency} Regulations, 2011;
 - (n) The Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019;
 - (o) The Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003; and
 - (p) The Securities and Exchange Board of India (Intermediaries) Regulations, 2008;
 - (q) The Securities and Exchange Board of India - Guidelines on Anti-Money Laundering Standards; and
 - (r) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (vi) Other laws applicable specifically to the Bank namely;
- a) The Banking Regulation Act, 1949 and rules, notifications, master circulars, guidelines and other directions pertaining to commercial banking issued by Reserve Bank of India to RBI and as amended from time to time;
 - b) Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002; and
 - c) The Prevention of Money Laundering Act, 2002 and the Prevention of Money Laundering (Maintenance of Records) Rules, 2005.
- (vii) Other laws to the extent applicable to the Bank as per the representations made by the Bank;

I have also examined compliances with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India as notified from time to time;
- (ii) The Listing Agreement entered into by the Bank with BSE Limited and National Stock Exchange of India Limited.

During the period under review, the Bank has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

During the Audit period under review, a few orders/show-cause notices, as applicable, were issued against the Bank in the ordinary course of business. The Bank has paid the requisite penalty, wherever applicable and made the relevant public disclosures in this regard.

I further report that

The Board of Directors of the Bank is duly constituted with proper balance of Non-Executive Directors and Executive Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate Notice is given to all directors to schedule the Board and Committee Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, except where meetings were held at shorter notice to transact urgent business and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Majority decision is carried through while the dissenting members' views, if any, are captured and recorded as part of the minutes.

I further report that there are adequate systems and processes in the Bank commensurate with the size and operations of the Bank to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the Audit period, the following events occurred which have a major bearing on the Bank's affairs in pursuance of the laws, rules, regulations, guidelines, standards, etc. referred to above:

1. Resignation of Mr. KVS Manian as the Joint Managing Director and a Key Managerial Personnel of the Bank, w.e.f. 30th April, 2024.

2. Cessation of Mr. Chengalath Jayaram as a Non-Executive Non-Independent Director of the Bank on 30th April, 2024, on completion of 8 (eight) continuous years, in line with the provisions of the Banking Regulation Act, 1949.
3. Appointment of Ms. Ketaki Bhagwati as an Independent Director of the Bank, for the first term of 4 (four) years, w.e.f. 18th May, 2024. A Special Resolution approving her appointment was passed at the Annual General Meeting held on 3rd August, 2024.
4. Appointment of M/s. Deloitte Haskins & Sells, Chartered Accountants (Firm Registration Number: 117365W) as one of the Joint Statutory Auditors of the Bank at the Annual General Meeting held on 3rd August, 2024, to hold such office for a period of 3 (three) years, for the purpose of the audit of financial statements of the Bank from financial year 2024-25 to financial year 2026-27, subject to the approval of the RBI, every year.
5. Alteration of Articles of Association of the Bank vide Special Resolution passed at the Annual General Meeting held on 3rd August, 2024, for insertion of new Article 69A.
6. Cessation of Mr. Uday Khanna as an Independent Director of the Bank on 15th September, 2024, on expiry of his second consecutive term as an Independent Director and completion of 8 (eight) continuous years, in line with the provisions of the Banking Regulation Act, 1949.
7. Appointment of Mr. Jaideep Hansraj as a Whole-time Director (designated as Whole-time Director (Executive Director)) of the Bank, for a period of 3 (three) years, w.e.f. 11th February, 2025, upon receipt of the approval of the RBI. The said appointment was approved by passing an Ordinary Resolution, by way of Postal Ballot on 20th February, 2025.
8. Approval for issuance of Unsecured, Redeemable, Non-Convertible Debentures / Bonds / other Debt Securities, on a private placement basis, during financial year 2025-26, for an amount not exceeding ₹ 10,000 crores, by passing a Special Resolution by way of Postal Ballot on 20th February, 2025.
9. Approval of “Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025” for eligible employees of the Bank obtained, by passing a Special Resolution by way of Postal Ballot on 20th February, 2025.
10. Approval of “Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025” for eligible employees of wholly-owned subsidiaries of the Bank obtained, by passing a Special Resolution by way of Postal Ballot on 20th February, 2025.
11. Approval for revision in the approved ESOP pool under the Kotak Mahindra Equity Option Scheme 2023 for implementation of the “Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025” obtained by passing a Special Resolution by way of Postal Ballot on 20th February, 2025.
12. Issued and allotted 3,02,095 Equity Shares of the face value of ₹ 5/- under various Employee Stock Option Schemes of the Bank.

Rupal Dhiren Jhaveri

FCS: 5441

Certificate of Practice No.: 4224

UDIN: F005441G000673724

Peer Review Number: 1139/2021

Place: Mumbai

Date: 27th June, 2025

*This report is to be read with our letter of even date which is annexed as **Annexure-A** and forms an integral part of this report*

To,
The Members,
KOTAK MAHINDRA BANK LIMITED

My report of even date is to be read along with this letter.

'Annexure A'

1. Maintenance of secretarial record is the responsibility of the management of the Bank. My responsibility is to express an opinion on these secretarial records based on my audit.
2. The audit practices and processes as followed by us were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, followed by me provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Bank.
4. Wherever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events, etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Bank nor of the efficacy or effectiveness with which the management has conducted the affairs of the Bank.

Rupal Dhiren Jhaveri

FCS: 5441

Certificate of Practice No.: 4224

UDIN: F005441G000673724

Peer Review Number: 1139/2021

Place: Mumbai

Date: 27th June, 2025

FORM NO. MR-3
SECRETARIAL AUDIT REPORT
For the Financial Year Ended 31st March 2025

*[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies
(Appointment and Remuneration of Managerial Personnel) Rules, 2014]*

To,
The Members,
KOTAK MAHINDRA LIFE INSURANCE COMPANY LIMITED

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Kotak Mahindra Life Insurance Company Limited** (“**the Company**”). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing our opinion thereon.

Based on my verification of the Company’s books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorised representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31st March, 2025 complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended 31st March, 2025 according to the provisions of:

1. The Companies Act, 2013 (the Act) and the rules made thereunder;
 2. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under;
 3. The Depositories Act, 1996 and the Regulations and Bye- Laws framed there under;
 4. Foreign Exchange Management Act, 1999 ('FEMA') and the Rules and Regulations made thereunder to the extent of Foreign Direct Investment, overseas Direct Investment and External Commercial Borrowings. **(Not applicable to the Company during the audit period);**
 5. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):
- (a) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015; to the extent applicable to the Company;
 - (b) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011; **(Not applicable to the Company during the audit period);**
 - (c) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015; to the extent applicable to the Company;
 - (d) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018; **(Not applicable to the Company during the audit period);**
 - (e) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021; **(Not applicable to the Company during the audit period);**
 - (f) The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021; **(Not applicable to the Company during the audit period);**
 - (g) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; to the extent applicable to the Company;
 - (h) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; **(Not applicable to the Company during the audit period);**
 - (i) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; **(Not applicable to the Company during the audit period);**

6. Other laws to the extent applicable to the Company as per the representations made by the Company namely,
 - (a) The Insurance Act, 1938; and amendments thereto;
 - (b) Insurance Regulatory And Development Authority Act, 1999; and amendments thereto;
 - (c) Insurance Rules, 1939; as amended from time to time;
 - (d) Guidelines, Regulations, Notification and Circulars issued by the Insurance Regulatory & Development Authority of India (IRDAI) from time to time.

I have also examined compliance with the applicable clauses of the following:

- (1) Secretarial Standards issued pursuant to section 118(10) of the Act, by The Institute of Company Secretaries of India

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines etc. mentioned above.

I further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. Changes in the composition of the Board of Directors took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate Notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Majority decision is carried through while the dissenting members' views, if any, are captured and recorded as part of the minutes.

I further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period:

1. Mr. Shivaji Dam ceased to be a Non-Executive Director of the Company w.e.f. 26th April, 2024.
2. Mr. Prakash Apte ceased to be an Independent Director of the Company w.e.f. 17th May, 2024, consequent to completion of his term.
3. Mr. Jaideep Hansraj (DIN: 02234625), was appointed as an Additional Director (Non- Executive Director) of the Company at Board Meeting held on 26th April, 2024 to hold office till the conclusion of the 24th Annual General Meeting and he was appointed as Non- Executive Director at 24th Annual General Meeting held on 17th May, 2024.
4. Ms. Sharda Agarwal (DIN: 00022814), was appointed as an Additional Director (Independent Woman Director) of the Company at Board Meeting held on 17th July, 2024, to hold office for a term of 3 consecutive years from 17th July, 2024 to 16th July, 2027 .
5. Ms. Farida Khambata ceased to be an Independent Director of the Company w.e.f. 11th December, 2024, consequent to completion of her term.
6. Declaration of final dividend of ₹ 4.50/- per Equity share to the Shareholders of the Company as approved by the shareholders at the Annual General Meeting held on 17th May, 2024.

Place: Mumbai

Date: 28th April, 2025

Rupal D. Jhaveri

Company Secretary in Practice

Membership No.: F5441

Certificate of Practice No.: 4225

UDIN: F005441G000213583

Peer Review Certificate No.: 1139/2021

*This report is to be read with our letter of even date which is annexed as **Annexure A** and forms an integral part of this report.*

‘ANNEXURE A’

To,
The Members,
KOTAK MAHINDRA LIFE INSURANCE COMPANY LIMITED

My report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on my audit.
2. The audit practices and processes followed are appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Mumbai
Date: 28th April, 2025

Rupal D. Jhaveri
Company Secretary in Practice
Membership No.: F5441
Certificate of Practice No.: 4225
UDIN: F005441G000213583
Peer Review Certificate No.: 1139/2021

Report on Corporate Governance¹

PHILOSOPHY OF CORPORATE GOVERNANCE

Kotak Mahindra Bank Limited ("Bank") believes that Corporate Governance is a reflection of its value system, encompassing its culture, policies and relationship with the stakeholders such as shareholders, regulators, employees, customers, vendors, government and the community at large. Corporate Governance for the Bank is a system of well established practices, processes and rules, which directs its affairs in an efficient manner and helps to maximise value for its stakeholders. Corporate Governance is more than just adherence to the regulatory and statutory requirements, it is equally about focusing on the voluntary practices that underlie the highest levels of transparency.

Corporate Governance provides a framework for attaining the objectives of the Bank and encompasses every sphere of management from action plans and internal controls to performance measurement, ethics and corporate disclosures. Good Corporate Governance helps to build trust with the investors and the community and in creating, enhancing and safeguarding long-term interest and sustainable value for all its stakeholders.

The Bank is committed to meeting the aspirations of all its stakeholders and creating a valuable relationship and trust with its stakeholders. Strong Corporate Governance practices form the foundation of the Bank's consistent performance and have helped in gaining the respect and long-term association with its stakeholders. In this regard, the Bank is committed to achieving and adhering to the highest standards of Corporate Governance and ethical practices and constantly benchmarks itself with best practices. The Bank's philosophy on Corporate Governance is based on the core principles of Accountability and Responsibility, Integrity, Independence, Leadership, Excellence, Fair, Transparent and timely dealings and disclosures, Equality, Sustainability and Social Responsibility.

The Board of Directors ("Board") of the Bank ensures the basis of an effective Corporate Governance framework by safeguarding and enhancing the shareholders' capital, ensuring independence of the Board and effectiveness of the management, legal compliance and responsible leadership.

The Bank has adopted the Codes of Conduct for Directors and employees, which lay down the values and standard of conduct that is expected from them, while performing their roles and responsibilities across various functions. The Bank has also adopted the Policy on Board Diversity, Vigilance Policy, Whistle Blower Policy, Policy against Sexual Harassment in the Workplace, Policy for determination of materiality of events or information and the Insider Trading Code of Conduct, among others.

BOARD OF DIRECTORS

The Board provides guidance to the management and directs, oversees and supervises the activities of the Bank. The responsibilities of the Board, *inter alia*, include the formulation of overall strategy for the Bank and its subsidiaries ("Kotak Mahindra Group"), taking new initiatives, reviewing financial and operating performance, overseeing major capital expenditure, acquisitions, monitoring of plans, ensuring and monitoring due compliance with applicable laws, pursuing policies and procedures, reviewing risk factors, adhering and enhancing Corporate Governance practices and ensuring the best interest of the shareholders, the community, environment and its various stakeholders. The Board is responsible for providing strategic guidance for the business and overall affairs of the Bank, ensuring effective monitoring of management while avoiding potential conflicts of interest. The Managing Director & CEO reports to the Board and is responsible for the overall business performance along with the Whole-time Directors. The Board has constituted various Board and non-Board Committees to deal with matters, as may be prescribed under applicable laws or directed by the Board, from time to time. The Board has received declarations from the Independent Directors and, after undertaking due assessment of the veracity of the same, is of the opinion that the Independent Directors fulfil the conditions as specified in the Companies Act, 2013 ("Act") read with rules thereunder and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") and are independent of the management.

SIZE AND COMPOSITION OF THE BOARD

The size and the composition of the Board is commensurate with the size and business of the Bank. The selection and appointment of Directors of the Bank and its composition is governed by the relevant provisions of the Act and the rules thereunder, the Banking Regulation Act, 1949 ("BR Act"), the SEBI Listing Regulations and the guidelines / regulations / circulars issued by the Reserve Bank of India ("RBI"), from time to time, and is in conformity with the same.

The Board has a mix of Independent, Non-Executive Non-Independent and Executive Directors, with more than one-half of the Board comprising Independent Directors. The Board, currently, comprises three Women Directors, with two of them being independent. The Bank's Board consists of eminent individuals, having competence, expertise, experience and skills in various fields, who understand and respect their fiduciary roles and responsibilities towards its stakeholders, including the duties prescribed under the provisions of the Act and any other applicable laws and strive hard to meet their expectations at all times. The Board is well-diverse and meets the criteria prescribed under Section

¹GRI 2-9

10(A)(2) of the BR Act, relevant circulars issued by the RBI and Policy on Board Diversity adopted by the Board. The Board mix provides a combination of professionalism, knowledge, experience and skills required in the banking industry and for oversight, governance and strategic needs of the Bank.

As on date of this Report, the Board of Directors comprises eleven Directors, as mentioned below:

Sr. No.	Category of Directorship	Directors
1.	Independent Directors	Mr. C S Rajan (Part-time Chairman)
2.		Mr. Uday Shankar
3.		Dr. Ashok Gulati
4.		Ms. Ashu Suyash
5.		Mr. Cornelis Petrus Adrianus Joseph ("Eli") Leenaars
6.		Ms. Ketaki Bhagwati
7.	Non-Executive Non-Independent Directors	Mr. Amit Desai
8.		Mr. Uday Kotak
9.	Executive Directors	Mr. Ashok Vaswani, Managing Director & CEO
10.		Ms. Shanti Ekambaram, Deputy Managing Director
11.		Mr. Jaideep Hansraj, Whole-time Director (Executive Director)

Notes:

- Mr. Uday Kotak is the Promoter of the Bank.
- The term of Mr. C. Jayaram as a Non-Executive Non-Independent Director ended on 30th April, 2024, on completion of eight continuous years, in line with the provisions of the BR Act.
- Mr. KVS Manian resigned as the Joint Managing Director on 30th April, 2024.
- The term of Mr. Uday Khanna as an Independent Director ended on 15th September, 2024, on completion of eight continuous years in line with the provisions of the BR Act and the expiry of his second consecutive term as an Independent Director.
- Ms. Shanti Ekambaram has conveyed her decision to retire as a Director and the Deputy Managing Director of the Bank from the services of the Bank on completion of her current term as the Deputy Managing Director, which ends on 31st October, 2025. The Board, at its meeting held on 31st May, 2025, accepted the request of Ms. Ekambaram and, accordingly, she would cease to be a Director and the Deputy Managing Director of the Bank, with effect from end of the day on 31st October, 2025.

PROFILE OF DIRECTORS

Brief profiles of all the Directors, their shareholding in the Bank and directorship in other companies (including in equity listed[#] / debt listed[^] entities / entities which have listed units of mutual fund schemes managed by them⁵) are given below:

MR. C S RAJAN, NON-EXECUTIVE INDEPENDENT PART-TIME CHAIRMAN²

Mr. C S Rajan, a Post Graduate in History, is an accomplished leader with 46 years of experience in public life. He was appointed as an Independent Director on the Board of the Bank, with effect from 22nd October, 2022 and as Chairman, with effect from 1st January, 2024.

An IAS officer of the 1978 batch, Mr. Rajan retired as the Chief Secretary of the Government of Rajasthan in 2016. He served in leadership roles for 12 years in key Infrastructure sectors, such as, Energy, Highways, Water Resources and Industry, including SSI / MSME and enjoyed a long stint of 14 years in Agriculture and Rural Development. During his years as an IAS officer, he has also been exposed to the fields of Human Resources, Finance and General Administration. He has served on inter-disciplinary teams for review of World Bank Agriculture projects in other states and as a Consultant to the World Bank in a study on 'Farmer Participation in Agricultural Research and Extension System' which was later on published as a book co-authored by him.

After his retirement from active service in July 2016, Mr. Rajan served as Deputy Chairman in the Chief Minister of Rajasthan's Advisory Council for a period of two and half years. In October 2018, Mr. Rajan was appointed by the Government of India on the Board of Infrastructure Leasing and Financial Services Limited ("IL&FS"), initially as Director from October 2018 to April 2019, thereafter as Managing Director from April 2019 to April 2022, then as Chairman & Managing Director from April 2022 to October 2022 and finally, as the Non-Executive Chairman of IL&FS from October 2022 until his resignation in September 2024.

²GRI 2-11

DIN	00126063		
Age (years)	69		
Date of appointment	22 nd October, 2022		
Shareholding in the Bank	Nil		
Board Membership in other listed entities	-		
Board Membership in unlisted entities	(i) Kotak Mahindra Life Insurance Company Limited (Independent Director)		
Committee Positions in other entities	(i) Kotak Mahindra Life Insurance Company Limited	Nomination & Remuneration Committee Risk Management Committee Audit Committee	Chairman Chairman Member

MR. UDAY SHANKAR, INDEPENDENT DIRECTOR

Mr. Uday Shankar is the former Executive Chairman of Star India and President of Disney, Asia-Pacific ("APAC") region, where he excelled at creating not just the biggest media enterprise in the region but was also a pioneer of the digital media revolution across the region. He is the visionary creator of some of the world's most successful digital services such as Hotstar and JioCinema that have become the mobile models for the entire world. He is also the Vice Chairperson on the Board of the merged entity, JioStar.

The tech stacks created under his leadership still remain the go-to model for mobile heavy, large scale markets, which are now being adopted by media companies around the world. He is known to have created talent nurseries at a time when the industry was still in its nascent stage in India and the developing world.

Mr. Shankar is an acclaimed entrepreneur, executive, technologist experienced in building scalable web applications, leveraging a wide range of technologies. In the world of consumer digital products and initiatives, over the last three decades, he has been instrumental in introduction of technologies, integrating cloud infrastructure and content delivery networks to ensure high availability and low latency of millions of users globally and has helped deliver high-quality world class products.

Mr. Shankar's adept working in agile environments and leading teams to solve complex problems through innovative technology solutions, brings a unique blend of strategic vision, operational expertise and digital innovation to the forefront. Besides building businesses, he has also trained professionals who are currently running some of the largest technology companies.

Mr. Shankar integrated Hotstar into the Star, and was deeply involved in all aspects of technology i.e. design, speed, capacity, hardware, software, cyber-security, fall back mechanism, Nil or minimum disruption, protection of customer information & content, commercial aspects of charging, etc., besides serving as a mentor and providing guidance and feedback on product development, design, tech and innovation roadmap and recruiting the entire leadership, attracting and building talent from the globally-known tech companies. Under his leadership, Star transformed into the region's leading company and led multiple large scale digital initiatives, data driven content strategies and technology integrations which helped scale businesses.

He is credited with pioneering the streaming revolution in India and the APAC region which was possible only using latest technology where diverse content was made available to more than 500 million users. Beyond his corporate roles, Mr. Shankar is also the first media executive to be the President of the Federation of Indian Chambers of Commerce and Industry (FICCI). He is associated with the US-India Strategic Partnership Forum (USISPF) and his social initiatives include, Malaria No More (MNM).

After a distinguished corporate journey, Mr. Shankar turned entrepreneur in 2021. He launched Bodhi Tree Systems, as a founder director, to use technology to redefine consumer sectors that represent significant opportunities, but suffer from a lack of capital and innovation—media, education and healthcare.

Mr. Shankar's exceptional accomplishments have earned him numerous honours. Recognized by Forbes India as the "Best CEO (MNC)" for 2015 and named "Entrepreneur of the Year (Entrepreneurial CEO)" by EY for 2016, his achievements resonate widely. His inclusion in distinguished listings like the Indian Express' "100 Most Powerful Indians" and India Today's "50 Most Powerful People in India" reinforces his impact. Moreover, he was named the "Impact Person of the Decade – Media" (2004-2014) by Impact Magazine.

Mr. Shankar holds a Masters in Philosophy (M. Phil.) and Master of Arts (M. A.) Honors from Jawaharlal Nehru University.

DIN	01755963
Age (years)	63
Date of appointment	16 th March, 2019
Shareholding in the Bank	491 equity shares
Board Membership in other listed entities	The Great Eastern Shipping Company Limited [#] (Independent Director)
Board Membership in unlisted entities	(i) Studio 18 Media Private Limited (Formerly known as Viacom 18 Media Private Limited) (Non-Executive Director)
	(ii) Marigold Park Capital Advisers Private Limited (Non-Executive Director)
	(iii) Apollo Health and Lifestyle Limited (Independent Director)
	(iv) Business Standard Private Limited (Non-Executive Director)
	(v) Allen Career Institute Private Limited (Nominee Director)
	(vi) Asia Initiative PTE Limited (Non-Executive Director)
	(vii) Bodhi Tree Systems VCC (Non-Executive Director)
	(viii) Asia Initiative 2 PTE Limited (Non-Executive Director)
	(ix) Vidhi Centre for Legal Policy (Section 8 Company) (Non-Executive Director)
Number of Committee Positions in other entities	
	(i) The Great Eastern Shipping Company Limited Risk Management Committee Member
	(ii) Allen Career Institute Private Limited Strategic Committee Member

DR. ASHOK GULATI, INDEPENDENT DIRECTOR

Dr. Ashok Gulati, M.A. and Ph.D. from the Delhi School of Economics, is a Distinguished Professor at the Indian Council for Research on International Economic Relations (ICRIER). Prior to this, he was the Chairman of the Commission for Agricultural Costs and Prices (CACP) from 2011 to 2014 and was Director at the International Food Policy Research Institute (IFPRI) for over a decade (2001–11). He has also been an Independent Director on the boards of the Reserve Bank of India (RBI), NABARD, and NCDEX. Currently, he serves on the Eleventh Audit Advisory Board of the Comptroller and Auditor General of India. Dr. Gulati was the youngest member of the Economic Advisory Council to Prime Minister Atal Bihari Vajpayee (late) and has advised the governments of Andhra Pradesh and Karnataka. For his contributions in agricultural economics and policy, the President of India honoured him with the 'Padma Shri' award in 2015. He has authored 20 books and written extensively in national newspapers.

DIN	07062601
Age (years)	71
Date of appointment	6 th March, 2021
Shareholding in the Bank	Nil
Board Membership in other listed entities	Godrej Agrovet Limited [#] (Independent Director)
Board Membership in unlisted entities	-
Number of Committee Positions in other entities	
	(i) Godrej Agrovet Limited Corporate Social Responsibility Committee Chairman

MS. ASHU SUYASH, INDEPENDENT DIRECTOR

Ms. Ashu Suyash is a successful leader, with over three decades of experience across banking, investment management and the global information services sectors. As the Founder & CEO of Colossa Ventures LLP ("Colossa Ventures"), she leverages her extensive expertise to foster innovative startups, drive growth, and sponsor diversity within the venture capital ecosystem. Her strategic vision and business acumen have been honed through a distinguished career of leading Indian and multinational enterprises, setting up and scaling new businesses and driving transformation and change.

Prior to founding Colossa Ventures, Ms. Suyash was the Managing Director & CEO of CRISIL Limited ("CRISIL") and a member of the Global Operating Committee of S&P Global Inc. She played a pivotal role in enabling CRISIL consolidate its ratings leadership position in India, grow globally and transform to become a leading Global analytics company.

Ms. Suyash's previous roles were as CEO of L&T Investment Management Limited and as the Country Head and Managing Director of Fidelity's Indian Mutual Fund Business, a business she helped set up and grow. She started her career with Citibank India, where she held several key positions across their corporate and investment banking group.

Beyond her executive roles, Ms. Suyash's influence extends to corporate governance, education and societal progress. She is an Independent Director on the Boards of Hindustan Unilever Limited and Tata Elxsi. She is also on the Advisory Board of Aseema Charitable Trust, the Executive Committee of IVCA, and CII's Corporate Governance Council.

She is a Chartered Accountant from the Institute of Chartered Accountants of India and holds a Bachelor's Degree in Commerce from the University of Mumbai.

Ms. Suyash, over the years, has been recognised as one of the top 50 women in business in India and Asia, and has received awards for her contributions to the Financial Services Industry.

DIN	00494515		
Age (years)	58		
Date of appointment	24 th January, 2022		
Shareholding in the Bank	Nil		
Board Membership in other listed entities	(i) Hindustan Unilever Limited [#] (Independent Director) (ii) Tata Elxsi Limited [#] (Independent Director)		
Board Membership in unlisted entities	-		
Number of Committee Positions in other entities	(i) Hindustan Unilever Limited	Audit Committee	Chairperson
		Nomination & Remuneration Committee	Member
		Risk Management Committee	Member
		Independent Committee	Member
	(ii) Tata Elxsi Limited	Nomination & Remuneration Committee	Chairperson
		Audit Committee	Member
		Risk Management Committee	Member

MR. ELI LEENAARS, INDEPENDENT DIRECTOR

Mr. Eli Leenaars has over 35 years of experience in the financial services sector, covering institutional & investment banking, asset management, corporate & retail banking and life & general insurance. With a track-record in digital banking, Mr. Leenaars has experience in managing businesses through a wide range of matters including mergers & acquisitions, complex corporate restructurings, strategic initiatives and challenging financial environments.

Mr. Leenaars enjoyed a 24-year career (since 1991) at ING Group N.V., a Dutch multinational banking and financial services company and its various subsidiaries. He held numerous key management positions in Central & Eastern Europe, The United States of America, Latin America and Asia. Between 2004 and 2015, Mr. Leenaars was a member of ING's Executive Board with responsibility for ING's Global Retail & Private Banking operations and Group Technology and Operations. This also included him serving from 2010 until 2015 as CEO of ING Direct N.V., at the time the world's largest digital bank.

From April 2015 to May 2021, Mr. Leenaars served as Group Managing Director at UBS Group AG, a Swiss multinational investment bank and financial services company and as Vice-Chairman of the Global Wealth Management Division, based in Zurich.

Mr. Leenaars has served as a Partner & Group Chief Operating Officer of Quintet Private Bank, a medium-sized Luxembourg-headquartered bank and wealth manager with operations in six European countries, from June 2021 to April 2024, based in Luxembourg.

Since 2009, Mr. Leenaars is a member of the European and the Global Executive Committee of the Trilateral Commission (Paris, Tokyo and Washington, DC) and was its Treasurer, between 2009 to 2022. Since 2009, he has held a number of supervisory roles for the Royal Concertgebouw in Amsterdam. Between 2013 and 2015, he was Member of the Board and Treasurer of the Carnegie Foundation in The Hague by Royal Decree.

Mr. Leenaars has completed LL.M. from the Catholic University Nijmegen, Netherlands and the European University Institute, Florence, Italy and attended the Program for Management Development (PMD) at Harvard Business School, Boston, USA.

DIN	10438792		
Age (years)	64		
Date of appointment	1 st January, 2024		
Shareholding in the Bank	Nil		
Board Membership in other listed entities	Capital One Financial Corporation (McLean (VA), USA)* (Non-Executive Director)		
Board Membership in unlisted entities	Trilateral Commission (Member of European and the Global Executive Committee)		
Number of Committee Positions in other entities	(i)	Capital One Financial Corporation	Chairman
		Risk Committee	Member
		Audit Committee	Member
		Compensation Committee	Member

*Listed on NASDAQ

MS. KETAKI BHAGWATI, INDEPENDENT DIRECTOR

Ms. Ketaki Bhagwati serves various entities as an Independent Director and Senior Advisor, providing leadership in strategy, business development, operations, governance and financial, credit and risk management. Besides being an Independent Director of the Bank, Ms. Bhagwati currently holds the position of an Independent Director on the Board of TU CIBIL Limited where she chairs the Risk Management Committee and contributes to the Audit, Customer Service and Nomination and Remuneration Committees. Additionally, she acts as a Senior Advisor to the Board of KPMG India Pvt. Limited. She is also a member of the Investment Committee at Encourage Capital, a US-based impact fund focused on investments in India. She actively supports women leaders in business as a member of the Wellesley College Business Leadership Council.

Previously, Ms. Bhagwati served as an Independent Director on the Boards of Axis Bank Limited, Bayer Cropscience (India) Limited and Omniaactive Technologies Private Limited. She was also a Nominee Director on the Board of Tikona Infinet Private Limited.

Prior to her board roles, Ms. Bhagwati held the position of Chief Investment Officer in the Financial Institutions Group at the International Finance Corporation (“IFC”) where she worked for nearly twenty-five years, specializing in private equity, mergers & acquisitions, debt & structured finance and distressed asset workouts across various sectors in Asia, the Middle East and Africa. Before joining IFC, she worked at CRISIL Limited in Mumbai.

Ms. Bhagwati is Master of Public Administration in Economic Development and Finance (from Harvard University’s John F. Kennedy School of Government) and Bachelor of Arts in Political Science (from Wellesley College).

DIN	07367868
Age (years)	61
Date of appointment	18 th May, 2024
Shareholding in the Bank	Nil
Board Membership in other listed entities	-
Board Membership in unlisted entities	TransUnion CIBIL Limited (Independent Director)
Number of Committee Positions in other entities	-

MR. AMIT DESAI, NON-EXECUTIVE NON-INDEPENDENT DIRECTOR

Mr. Amit Desai, B. Com., LL.B., is a lawyer, with several decades of experience.

DIN	00310510
Age (years)	66
Date of appointment	18 th March, 2022
Shareholding in the Bank	1,375,397 equity shares
Board Membership in other listed entities	-
Board Membership in unlisted entities	Kotak Mahindra Trustee Company Limited (Non-Executive Director)
Number of Committee Positions in other entities	-

MR. UDAY KOTAK, NON-EXECUTIVE NON-INDEPENDENT DIRECTOR

Mr. Uday Kotak is the Founder and Director of the Bank. He has played an important role in the growth of the Kotak Mahindra group over the past 38 years. He was the Managing Director & CEO of the Bank till 1st September, 2023, prior to becoming a Non-Executive Non-Independent Director, with effect from 2nd September, 2023. Under his leadership, the Kotak Mahindra group has emerged as one of India's leading diversified and integrated financial services conglomerates, providing a range of financial solutions covering banking, asset management, alternate asset management, life and general insurance stock broking, investment banking, private banking, microfinance and asset reconstruction.

He has played an important role in defining and developing India's banking and financial sector over three decades. Mr. Kotak leads several key bodies and is currently Co-Chairman of the Indo-UK Financial Partnership (IUKFP). He was on the International Advisory Panel of Monetary Authority of Singapore until December 2023 and was President of the Confederation of Indian Industry (CII) from June 2020 until May 2021. Mr. Kotak was on the International Advisory Board of the Government of Singapore Investment Corporation. From October 2018 to April 2022, he served as the Non-Executive Chairman of a specially constituted board of Infrastructure Leasing and Financial Services Limited ("IL&FS") (a state-funded non-banking financial company) by the Government of India to steer IL&FS out of a deep crisis, which he served as his national duty. In 2017, a Committee on Corporate Governance constituted by SEBI under the leadership of Mr. Kotak recommended sweeping changes towards more robust and transparent corporate governance.

Mr. Kotak was recently honoured with the 'Lifetime Achievement Award' at the Mint India Investment Summit 2025 and the 'Lifetime Achievement Award' by CNBC-TV18 at the India Business Leader Awards 2023. In the past, he has been a recipient of the 'Ernst & Young World Entrepreneur of the Year Award' in 2014, 'Economic Times Business Leader of the Year Award' in 2015, 'Businessman of the Year 2016' by Business India, 'Lifetime Achievement Award' at Financial Express' Best Banks' Awards 2016, 'USIBC Global Leadership Award' at the 2018 India Ideas Summit organised by the U.S.-India Business Council, 'Life Time Achievement Award' at Magna Awards 2019 by Businessworld, 'Best CEO in Banking Sector' by the Business Today Best CEO Awards 2019 and 'India Business Leader of the Year' by CNBC-TV18 at the India Business Leader Awards 2021.

Mr. Kotak holds a Bachelor's degree in Commerce from Mumbai University and a Master's degree in Management Studies from Jamnalal Bajaj Institute of Management Studies, Mumbai.

DIN	00007467
Age (years)	66
Date of appointment	21 st November, 1985
Shareholding in the Bank	511,261,456 equity shares (Includes 234,356 equity shares held in the name of Kotak Trustee Company Private Limited as trustee for USK Benefit Trust – III, of which, Mr. Uday Kotak is the sole beneficiary)
Board Membership in other listed entities	(i) Kotak Mahindra Prime Limited ^A (Non-Executive Director & Chairman) (ii) Kotak Mahindra Investments Limited ^A (Non-Executive Director & Chairman) (iii) Kotak Mahindra Asset Management Company Limited ^S (Non-Executive Director & Chairman)
Board Membership in unlisted entities	(i) Kotak Mahindra Life Insurance Company Limited (Non-Executive Director & Chairman) (ii) Kotak Mahindra Capital Company Limited (Non-Executive Director & Chairman) (iii) The Mahindra United World College of India (Governing Member) (Section 8 Company) (iv) The Anglo Scottish Education Society (Member - Board of Governors) (Section 8 Company)

Number of Committee Positions in other entities	(i) Kotak Mahindra Prime Limited	Nomination & Remuneration Committee	Member
	(ii) Kotak Mahindra Capital Company Limited	Human Resource & People Development Committee	Chairman
	(iii) Kotak Mahindra Life Insurance Company Limited	Nomination & Remuneration Committee	Member
	(iv) Kotak Mahindra Asset Management Company Limited	Nomination & Remuneration Committee	Member

MR. ASHOK VASWANI, MANAGING DIRECTOR & CEO

Mr. Ashok Vaswani has a proven track record spanning three and half decades, initially at Citigroup and, thereafter, at Barclays, of building and growing global businesses at scale, nurturing winning teams, establishing transformational partnerships, leveraging forward leaning technology, with a compelling business vision to deliver strong bottom-line growth. Mr. Vaswani is widely known as the person who led the transformation of Barclays from the analog age to the digital age. This involved a complete technology architecture redesign, hollowing out of the proprietary core banking platform to deliver a high level of resilience, redesign, digitalisation of customer journeys and data lead operations.

He brings with him significant executional experience with high degree of compliance and industrial strength across financial services.

Mr. Vaswani was Chief Executive Officer of Barclays Bank, UK and subsequently CEO of their Global Consumer, Private, Corporate and Payments businesses and Member of the Group Executive Committee. Earlier, he was CEO of Citigroup Asia Pacific and Member of the Citigroup Global Operating & Management Committees. Mr. Vaswani also built and ran various country and regional businesses across geographies. He also held the position as President of Pagaya Technologies Limited, a US-Israeli AI Fintech based out of New York. In his last role as President of Pagaya, Mr. Vaswani led the efforts to scale up the company through institutional selling and technology connectivity with very low latency and high degree of resilience.

Mr. Vaswani supports various philanthropic organisations, including Pratham and Lend-A-Hand.

He was on the board of several prestigious institutions such as, London Stock Exchange Group, The Forward Institute (UK), Telenor, SP Jain Institute of Global Management (UK), VISA Asia Pacific and VISA (UK), Entercard (Chairman), UK Finance Limited and Barclays Africa Group Limited (including as a member of its Audit and Technology Committee). He was also the Chairman of Retail Committee of British Bankers Association and a Trustee of Citizens Advice Bureau.

Mr. Vaswani is a Bachelor of Commerce (Economics and Accountancy) from the Sydenham College of Commerce and Economics, Mumbai, Chartered Accountant from the Institute of Chartered Accountants of India, Company Secretary from the Institute of Company Secretaries of India and has also received Executive Education from the Stanford University Graduate School of Business.

DIN	10227550
Age (years)	64
Date of appointment	1 st January, 2024
Shareholding in the Bank	15,544 equity shares
Board Membership in other listed entities	-
Board Membership in unlisted entities	Kotak Mahindra (UK) Limited (Non-Executive Director)
Number of Committee Positions in other entities	-

MS. SHANTI EKAMBARAM, DEPUTY MANAGING DIRECTOR

Ms. Shanti Ekambaram is a Commerce Graduate, a Chartered Accountant and a Cost and Works Accountant. She is responsible for the growth of Kotak811, Treasury and Global Markets businesses, in addition to overseeing the functions of Group Marketing & Corporate Communications, Internal Vigilance, Internal Audit (administrative matters), Public Affairs, Corporate Social Responsibility and Environmental, Social and Governance. She is also responsible for the Group's institutional customers, leveraging her extensive experience and strategic insights to drive the growth of this segment including oversight of the Investment Bank and Institutional Equities business. Prior to her current role, she led the Consumer Banking business at the Bank from April 2014 to May 2022.

Ms. Ekambaram has been associated with Kotak Mahindra Group for over 30 years and has rich and varied experience across retail and wholesale banking. She has been responsible for successfully setting up and scaling several business units including the Consumer Bank, Corporate and Investment Banking. She is also part of the Group Management Council that drives Kotak Mahindra Group's growth charter.

Before joining the Kotak Mahindra Group, Ms. Ekambaram had a short stint with Bank of Nova Scotia - the Canadian International Bank, with their Corporate Banking and Treasury division.

Ms. Ekambaram is on the board of Indian Institute of Management, Bangalore (IIM-B). She was a member of the FICCI National Committee on Banking for financial year 2021-22.

Business Today, one of India's leading business magazines, recognised Ms. Ekambaram as one of the 'Most Powerful Women in Indian Business' from 2013-2017, 2019 and 2020. Fortune India had featured Ms. Ekambaram as one of the '50 Most Powerful Women in Business in India' from 2016-2020. Ms. Ekambaram received the 'CA Business Leader award' from the Institute of Chartered Accountants of India in the Large Corporate - BFSI category in 2020 and was also named CA Woman Business Leader in 2013. Further, the Ladies' Wing of the IMC Chamber of Commerce and Industry recognised Ms. Ekambaram as 'Woman of the Year 2013-14 in Banking and Financial Services'. She was listed by ET x Femina among the 'Promising Women Leaders of India 2022'.

Ms. Ekambaram is a dedicated philanthropist who actively supports multiple NGOs.

DIN	00004889		
Age (years)	62		
Date of appointment	1 st November, 2022		
Shareholding in the Bank	1,303,858 equity shares		
Board Membership in other listed entities	-		
Board Membership in unlisted entities	(i) Kotak Mahindra Capital Company Limited (Non-Executive Director)		
	(ii) Kotak Securities Limited (Non-Executive Director)		
	(iii) Kotak Karma Foundation (Non-Executive Director) (Section 8 Company)		
Number of Committee Positions in other entities	(i) Kotak Mahindra Capital Company Limited	Audit Committee	Chairperson
		Human Resource & People Development Committee	Member
		Expenditure Approval Committee	Member
		Investment Committee	Member
	(ii) Kotak Securities Limited	Audit Committee	Member
		Nomination & Remuneration Committee	Member
		Expense Approval Committee	Member
		Routine and Administrative Functions Committee	Member

MR. JAIDEEP HANSRAJ, WHOLE-TIME DIRECTOR (EXECUTIVE DIRECTOR)

Mr. Jaideep Hansraj, a Commerce graduate, is associated with the Kotak Mahindra Group since 1993 and quickly rose through the ranks. He oversees the Affluent customer segment and the Human Resource function, aiming to enhance service offerings and drive the People agenda. Additionally, as the head of 'One Kotak', he promotes collaboration across the Bank and its subsidiaries.

Prior to joining the Bank, Mr. Hansraj was the Managing Director and CEO of Kotak Securities Limited (a Wholly-Owned Subsidiary of the Bank), focusing on digitization and innovation, which led to significant business improvements. Before that, he was the Chief Executive Officer of Kotak Mahindra International Limited (a Wholly-Owned Subsidiary of the Bank) and later led Kotak Securities' private client function. In 2004, he moved to build the Wealth Management portfolio at the Bank, earning numerous accolades, including being ranked No. 1 in the Asian Private Banker's India 2017 AUM League Table.

DIN	02234625																																
Age (years)	59																																
Date of appointment	11 th February, 2025																																
Shareholding in the Bank	263,467 equity shares																																
Board Membership in other listed entities	-																																
Board Membership in unlisted entities	(i) Kotak Securities Limited (Chairman) (ii) Kotak Mahindra Life Insurance Company Limited (Non-Executive Director) (iii) Kotak Alternate Asset Managers Limited (Non-Executive Director) (iv) Kotak Mahindra Asset Management Company Limited (Non-Executive Director) (v) Zurich Kotak General Insurance Company (India) Limited (Nominee Director) (vi) Anukriya Foundation (Section 8 Company)(Non-Executive Director)																																
Number of Committee Positions in other entities	<table><tr><td rowspan="3">(i) Kotak Mahindra Life Insurance Company Limited</td><td>Risk Management Committee</td><td>Member</td></tr><tr><td>Investment Committee</td><td>Member</td></tr><tr><td>Policyholder Protection, Grievance Redressal and Claims Monitoring Committee</td><td>Member</td></tr><tr><td>(ii) Kotak Mahindra Asset Management Company Limited</td><td>Audit Committee</td><td>Member</td></tr><tr><td rowspan="7">(iii) Kotak Securities Limited</td><td>Risk Management Committee</td><td>Chairman</td></tr><tr><td>Corporate Social Responsibility</td><td>Chairman</td></tr><tr><td>Routine and Administrative Functions Committee</td><td>Chairman</td></tr><tr><td>Investment Committee</td><td>Chairman</td></tr><tr><td>Expense Approval Committee</td><td>Chairman</td></tr><tr><td>Audit Committee</td><td>Member</td></tr><tr><td>Nomination and Remuneration Committee</td><td>Member</td></tr><tr><td rowspan="2">(iv) Zurich Kotak General Insurance Company (India) Limited</td><td>Risk Management Committee</td><td>Member</td></tr><tr><td>Expenditure Approval & Banking Committee</td><td>Member</td></tr></table>			(i) Kotak Mahindra Life Insurance Company Limited	Risk Management Committee	Member	Investment Committee	Member	Policyholder Protection, Grievance Redressal and Claims Monitoring Committee	Member	(ii) Kotak Mahindra Asset Management Company Limited	Audit Committee	Member	(iii) Kotak Securities Limited	Risk Management Committee	Chairman	Corporate Social Responsibility	Chairman	Routine and Administrative Functions Committee	Chairman	Investment Committee	Chairman	Expense Approval Committee	Chairman	Audit Committee	Member	Nomination and Remuneration Committee	Member	(iv) Zurich Kotak General Insurance Company (India) Limited	Risk Management Committee	Member	Expenditure Approval & Banking Committee	Member
(i) Kotak Mahindra Life Insurance Company Limited	Risk Management Committee	Member																															
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	Policyholder Protection, Grievance Redressal and Claims Monitoring Committee	Member																															
(ii) Kotak Mahindra Asset Management Company Limited	Audit Committee	Member																															
(iii) Kotak Securities Limited	Risk Management Committee	Chairman																															
	Corporate Social Responsibility	Chairman																															
	Routine and Administrative Functions Committee	Chairman																															
	Investment Committee	Chairman																															
	Expense Approval Committee	Chairman																															
	Audit Committee	Member																															
	Nomination and Remuneration Committee	Member																															
(iv) Zurich Kotak General Insurance Company (India) Limited	Risk Management Committee	Member																															
	Expenditure Approval & Banking Committee	Member																															

STATEMENT ON DIRECTORSHIPS AND COMMITTEE POSITIONS OF DIRECTORS

None of the Directors on the Board of the Bank:

- (i) hold directorship in more than ten public companies and serve as Directors or as Independent Directors in more than seven listed entities or as a Whole-time Director in any other listed company. Further, the Executive Directors of the Bank do not serve as Independent Directors in any company.
- (ii) are members of more than ten committees and Chairpersons of more than five committees across all public companies in which they are Directors. For the purpose of determining the limit, membership and chairpersonship of Audit Committee and Stakeholders' Relationship Committee only have been taken into consideration.

All the Directors have made disclosures regarding their membership on various committees in other companies.

BOARD DIVERSITY

Keeping in view the significance of having a diverse Board and to harness the unique and individual skills and experiences of its members in such a way that it collectively benefits the Bank in achieving its mission and objectives, the Board of the Bank has adopted a Policy on Board Diversity. Emphasis is given to maintain diversity of thoughts, experience, knowledge, education, skills, perspective, culture, age and gender, while scrutinizing a candidature for appointment as a Director on the Bank's Board.

Board Diversity, *inter alia*, helps in ensuring (i) a balanced Board, with a wide range of attributes of its members; (ii) appropriate blend of functional and domain expertise on the Board; (iii) adequate representation of women on the Board; (iv) appropriate qualifications, expertise, experience and skills-mix on the Board and (v) adherence to the legal requirements, including the "Fit and Proper" criteria of the RBI, while appointing Directors on the Board. The Policy on Board Diversity is available on the website of the Bank viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

The Board has identified the following core skills / expertise / competencies / special knowledge or practical experience, as required in the context of the Bank's business for it to function effectively. The same are in line with the relevant provisions of the BR Act and relevant circulars issued by the RBI:

- | | |
|-----------------------------------|---------------------------------|
| i. Accountancy | viii. Small-Scale Industry |
| ii. Agriculture and Rural Economy | ix. Information Technology |
| iii. Banking | x. Payment & Settlement Systems |
| iv. Co-operation | xi. Human Resources |
| v. Economics | xii. Risk Management |
| vi. Finance | xiii. Business Management |
| vii. Law | |

The details of Director-wise skills / expertise / competencies are, as follows:

Sr. No.	Directors	Skills / expertise / competencies
1.	Mr. C S Rajan	Agriculture and Rural Economy, Business Management, Finance, Risk Management, Small Scale Industry and Human Resources
2.	Mr. Uday Shankar	Business Management, Human Resources, Economics, Digital / Media and Information Technology
3.	Dr. Ashok Gulati	Agriculture and Rural Economy, Economics, Co-operation, Banking, Small Scale Industry and Insurance
4.	Ms. Ashu Suyash	Business Management, Finance, Accountancy, Banking and Risk Management
5.	Mr. Eli Leenaars	Business Management, Human Resources, Finance, Banking, Information Technology, Law, Risk Management and Insurance
6.	Ms. Ketaki Bhagwati	Banking, Risk Management, Finance, Economics and Business Management
7.	Mr. Amit Desai	Law
8.	Mr. Uday Kotak	Business Management, Economics, Finance, Banking, Insurance and Risk Management
9.	Mr. Ashok Vaswani	Business Management, Finance, Accountancy, Information Technology, Banking, Economics and Payment and Settlement Systems
10.	Ms. Shanti Ekambaram	Business Management, Finance, Accountancy, Digital / Media, Banking and Payment and Settlement Systems
11.	Mr. Jaideep Hansraj	Banking, Economics, Finance, Human Resources and Business Management

SUCCESSION PLANNING

With a view to ensuring a continuous pipeline of internal and external talent for the Board (Executive Directors, i.e., Managing Director & CEO and the Whole-time Directors), the Key Managerial Personnel and Senior Leadership positions, the Board of the Bank has put in place a 'Succession Plan Policy for Board and Senior Leadership Roles'. The succession process at the Bank includes periodical screening and evaluation of suitable candidates on parameters such as knowledge, experience, expertise, skill sets, conduct, age, qualification under the relevant laws, adherence to 'fit & proper' criteria and overall readiness to take up the role. If necessary, services of external consultants / experts are also availed for scouting talent, internally and / or externally.

CERTIFICATE ON NON-DEBARMENT OR NON-DISQUALIFICATION OF DIRECTORS

In terms of Regulation 34(3) read with Schedule V of the SEBI Listing Regulations, the Bank has obtained a certificate from Ms. Rupal D. Jhaveri, Practising Company Secretary, dated 21st June, 2025, confirming that none of the Directors on the Board of the Bank have been debarred or disqualified from being appointed or continuing as Directors of the companies either by the Securities and Exchange Board of India ("SEBI") or the Ministry of Corporate Affairs ("MCA") or any other statutory / regulatory authority. The said certificate is annexed to this report, as **Annexure I**.

COMPLIANCE CERTIFICATE ON CORPORATE GOVERNANCE

The Bank has obtained certificate affirming the compliance of conditions of Corporate Governance from Ms. Rupal D. Jhaveri, Practising Company Secretary, dated 21st June, 2025, which forms part and is annexed to this report, as **Annexure II**. Ms. Rupal D. Jhaveri has confirmed that the Bank has complied with the conditions of Corporate Governance as prescribed under SEBI Listing Regulations.

BOARD MEETINGS

SCHEDULING AND SELECTION OF AGENDA ITEMS FOR BOARD MEETINGS

The Board meeting dates are generally decided in advance and the meetings are convened by giving appropriate notice after obtaining the approval of the Chairperson and the Managing Director & CEO. The Board meets once a quarter to review the financial results and meets once a year for approval of annual budgets, strategy and when necessary, for such other matters as required under the applicable laws and for business exigencies. The Board also reviews business strategy, financial reports and their integrity, risk, compliance, customer protection, financial inclusion and human resources i.e. the 'Seven Critical Themes' as prescribed by the RBI vide its Circular No. DBR No.BC.93/29.67.001/2014-15 dated 14th May, 2015. In addition to the above, the Board also reviews the performance of the various functions/divisions of the Bank and the working of the Board level committees.

The Company Secretary prepares the Agenda for the Board meetings. The Agenda notes are prepared in consultation with the concerned officials of the respective divisions / departments and are approved by the Managing Director & CEO / Whole-time Director(s). The Agenda and Agenda notes are circulated to the Board by the Company Secretary, in advance.

Every Director is free to suggest matters for including in the meetings of the Board. All divisions / departments in the Bank are encouraged to plan projects / activities of their functions well in advance, particularly with regard to matters requiring discussion / approval / decision at the Board meetings. All such matters are communicated to the Company Secretary in advance such that the same could be included in the Agenda for the Board meetings. Additional items on the agenda are considered with the permission of the Chairperson and with the consent of all the Directors present at the meeting.

The Board is presented with important information on the operations of the Bank as well as matters which require deliberation at the highest level. Such information includes minimum information required to be placed before the Board as per applicable law and on various other critical items, such as, guiding Corporate Strategy, major plans of action, Risk policy, annual budgets and business plans, setting performance objectives, monitoring implementation and corporate performance and overseeing major capital expenditures, acquisitions and divestments quarterly results, minutes of meetings of the Committees, changes in the economy and regulatory policies, etc.

There were no pecuniary relationships or transactions of the Non-Executive Directors vis-à-vis the Bank or its subsidiaries (except transactions in the ordinary course of business and on arm's length basis) during the financial year 2024-25.

To address specific urgent needs, meetings are also convened at a shorter notice. In case of business exigencies or urgency of matters, resolutions are also passed by the Board through circulation. Audio / video conference calls are arranged to enable the Directors to discuss, in detail, the items to be approved by circulation and seek clarification as may be required and / or discussed with individual directors, when requested. The agenda papers for meetings of the Board are uploaded on a secured web-based portal and can be easily accessed on a tablet device or laptop or computer or mobile.

The Bank also provides an option to its Directors to attend the meetings electronically through video conferencing in accordance with the provisions of applicable laws.

MEETINGS AND ATTENDANCE

During FY 2024-25, fourteen (14) meetings of the Board of Directors were held, i.e., on 24th April, 2024, 30th April, 2024, 4th May, 2024, 18th May, 2024, 15th June, 2024, 26th June, 2024, 29th June, 2024, 20th July, 2024, 3rd August, 2024, 11th/12th/13th September, 2024, 19th October, 2024, 7th December, 2024, 18th January, 2025 and 21st / 22nd March, 2025. The details of attendance of the Directors at these meetings and at the last Annual General Meeting ("AGM") held on 3rd August, 2024 are, as under:

Sr. No.	Directors	No. of meetings entitled to attend during FY 2024-25	No. of meetings attended during FY 2024-25	Attendance of Director (%)	Attendance at the last AGM (Yes / No / NA)
1	Mr. C S Rajan	14	13	92.86	Yes
2	Mr. Uday Khanna (till 15 th September, 2024)	10	10	100.00	Yes
3	Mr. Uday Shankar	14	12	85.71	No
4	Dr. Ashok Gulati	14	14	100.00	Yes
5	Ms. Ashu Suyash	14	12	85.71	Yes
6	Mr. Eli Leenaars	14	13	92.86	Yes
7	Mr. C. Jayaram (till 30 th April, 2024)	2	2	100.00	NA
8	Mr. Amit Desai	14	13	92.86	Yes
9	Ms. Ketaki Bhagwati (w.e.f. 18 th May, 2024)	10	10	100.00	Yes
10	Mr. Uday Kotak	14	14	100.00	Yes
11	Mr. Ashok Vaswani	14	14	100.00	Yes
12	Mr. KVS Manian (till 30 th April, 2024)	2	1	50.00	NA
13	Ms. Shanti Ekambaram	14	14	100.00	Yes
14	Mr. Jaideep Hansraj (w.e.f. 11 th February, 2025)	1	1	100.00	NA

SEPARATE MEETINGS OF THE INDEPENDENT DIRECTORS

During the year under review, three meetings of the Independent Directors of the Bank were held, i.e., on 29th June, 2024, 7th December, 2024 and 21st March, 2025. The said meetings were held without the presence of Non-Independent Directors and members of management. All the Independent Directors of the Bank attended these meetings.

At the meeting of the Independent Directors held on 28th June, 2025, the Independent Directors evaluated the performance, of the Non-Independent Directors, the Board as a whole and the Chairperson of the Board, after taking into account the views of the Executive Directors and Non-Executive Directors, for Financial Year 2024-25. The Independent Directors also reviewed the outcome of the Board Evaluation Process.

DIRECTORS' REMUNERATION^{3,4}

The Directors' Remuneration is determined in accordance with the provisions of the BR Act, the Act, the SEBI Listing Regulations, various guidelines and circulars issued by the RBI, from time to time, and the respective compensation policies for the Employees (including Executive Directors) and Non-Executive Directors of the Bank. The Compensation Policy for Non-Executive Directors is available on the Bank's website, viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

The remuneration paid to the Executive Directors is approved by the Board, basis the recommendation of the Nomination and Remuneration Committee ("NRC"), based on the evaluation of individual director's performance and the Bank's overall performance. The Board, based on the recommendation of the NRC, considers and decides the annual remuneration of Executive Directors, within the overall limit approved by the members of the Bank. The payment of remuneration to Executive Directors is also subject to the approval of the RBI, annually.

A) The details of remuneration paid to the Executive Directors of the Bank during Financial Year 2024-25 are, as under:

(₹ in lakh)

Particulars	Mr. Ashok Vaswani	Ms. Shanti Ekambaram	Mr. Jaideep Hansraj	Mr. KVS Manian
Basic	493.20	284.10	34.20	22.14
Allowances	81.69	40.00	10.91	3.33
Provident Fund	67.31	34.09	4.10	2.66
SARs Pay-out	573.96	98.69	-	-
Annual Incentive	78.13	116.75	-	-

(₹ in lakh)

Particulars	Mr. Ashok Vaswani	Ms. Shanti Ekambaram	Mr. Jaideep Hansraj	Mr. KVS Manian
Long Term Deferred Cash	-	87.50	-	-
Others	1.00	1.00	0.14	45.43
Total	1,295.29	662.13	49.35	73.56
Number of Stock options granted during the year	18,580	27,760	-	-

Notes:

- The amount shown above excludes Gratuity, value of car perquisites under the Income Tax Act, 1961 and perquisites value on Employee Stock Options ("ESOPs").
- Mr. KVS Manian resigned as the Joint Managing Director of the Bank on 30th April, 2024. His remuneration also includes emoluments paid to him as part of his full & final settlement.
- Mr. Jaideep Hansraj was appointed as the Whole-time Director (Executive Director) of the Bank, with effect from 11th February, 2025.
- The Annual Incentives represent an amount of Cash Bonus for the previous financial year(s), paid during FY 2024-25, as per the approval of the RBI.
- Long Term Deferred Cash represents Long Term Deferred Cash for the previous financial year(s), paid during FY 2024-25, as per the approval of the RBI.
- Variable Pay: As per the prevailing RBI Guidelines on Compensation for Whole Time Directors / Chief Executive Officers / Risk Takers and Control Function Staff, etc. issued by the RBI on 4th November, 2019 (RBI Guidelines on Compensation), the total variable pay of an Executive Director needs to be capped within the overall limit of 300% of the fixed pay. Such variable pay is inclusive of Cash as well as Non-Cash components. The amount of SARs payout, cash bonus, Long Term Deferred Cash and the Employee Stock Options in the above table are part of the variable pay and are linked to the performance of the respective Directors, the performance of the Bank as a whole and such other performance based criteria as may be determined by the NRC, from time to time.
- Malus and Clawback provisions apply to the variable pay of Executive Directors, as given in the Compensation Policy of the Bank.
- The terms of employment of Executive Directors provide for termination by mutual consent or by giving three months' notice in writing. In the event of termination of employment, the liability of the Bank shall be limited to providing only the salary, retiral benefits and perquisites as prescribed by the terms of employment for a period of three months from the date of notice.

B) During the year under review, the Executive Directors were granted ESOPs under the Kotak Mahindra Equity Option Scheme 2023, as under:

Directors	Date of Grant	No. of Options granted	Exercise Price per share (in ₹)	Vesting %	Vesting Date	Exercise Period
Series 6/2023 of Kotak Mahindra Equity Option Scheme 2023						
Mr. Ashok Vaswani	27 th March, 2025	18,580	2,144.90	25	31 st March, 2026	31 st March, 2026 to 30 th September, 2026
			2,144.90	25	31 st May, 2026	31 st May, 2026 to 30 th November, 2026
			2,144.90	25	31 st May, 2027	31 st May, 2027 to 30 th November, 2027
			2,144.90	25	31 st May, 2028	31 st May, 2028 to 30 th November, 2028
Ms. Shanti Ekambaram	27 th March, 2025	27,760	2,144.90	25	31 st March, 2026	31 st March, 2026 to 30 th September, 2026
			2,144.90	25	31 st May, 2026	31 st May, 2026 to 30 th November, 2026
			2,144.90	25	31 st May, 2027	31 st May, 2027 to 30 th November, 2027
			2,144.90	25	31 st May, 2028	31 st May, 2028 to 30 th November, 2028

Notes:

- Each option would entitle the grantee to one equity share of Face Value of ₹ 5/- each, subject to the provisions of the Kotak Mahindra Equity Option Scheme 2023.

(ii) All the options granted to Mr. KVS Manian, which remained unvested on the date of his resignation, i.e., 30th April, 2024, were forfeited as per the provisions of the Kotak Mahindra Equity Option Scheme 2015 and Kotak Mahindra Equity Option Scheme 2023.

- C) Pursuant to the relevant RBI circulars in connection with payment of compensation by way of fixed remuneration to the Non-Executive Directors and in line with the relevant resolution passed by the members at the Thirty-Sixth Annual General Meeting, the Non-Executive Directors, including Independent Directors (other than the Part-time Chairperson), are entitled to receive compensation by way of fixed remuneration of up to ₹ 30 lakh per annum or such sum as may be prescribed by RBI, from time to time.

The fixed remuneration payable to Mr. C S Rajan, the current Non-Executive Independent Part-time Chairman was revised, from ₹ 33 lakh per annum (till 30th June, 2024) to ₹ 42 lakh per annum (from 1st July, 2024), in accordance with the approvals from the Board of Directors, the members and the RBI. Mr. Rajan is also entitled to payment of sitting fees, car with driver (as per applicable policy) and reimbursement of expenses for official purposes / attending duties as the Chairman, as per the approvals from the Board of Directors, the members and the RBI, as the case may be.

D) The details of Sitting Fees / Fixed Remuneration of Non-Executive Directors for financial year 2024-25 are, as under:

(₹ in lakh)

Sr. No.	Directors	Sitting Fees	Fixed Remuneration
1	Mr. C S Rajan	41.50	39.75*
2	Mr. Uday Khanna (till 15 th September, 2024)	19.50	15.00
3	Mr. Uday Shankar	27.00	30.00
4	Dr. Ashok Gulati	36.00	30.00
5	Ms. Ashu Suyash	39.75	30.00
6	Mr. Eli Leenaars	30.50	30.00
7	Mr. C. Jayaram (till 30 th April, 2024)	3.75	7.50
8	Mr. Amit Desai	14.50	30.00
9	Mr. Uday Kotak	58.25	30.00
10	Ms. Ketaki Bhagwati (w.e.f. 18 th May, 2024)	41.25	30.00
Total		312.00	272.25

* Fixed Remuneration as Non-Executive Independent Part-time Chairman

Notes:

- (i) As per the Compensation Policy, fixed remuneration is computed on a pro-rata basis if a Non-Executive Director holds directorship for a part of the financial year, based on the number of quarters for which such Director was on the Board (with a part of quarter considered as a full quarter) and also considers attendance of Directors at Board meetings.
- (ii) The relevant criteria for making payment to Non-Executive Directors forms part of the Compensation Policy for Non-Executive Directors, which is available on the Bank's website, viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

COMMITTEES OF THE BOARD OF DIRECTORS

COMPOSITION, ROLE AND MEETING DETAILS OF BOARD COMMITTEES

The Board has constituted several Board and Non-Board Committees to deal with specific matters and has delegated powers for different functional areas, as required under the Act, the BR Act, the SEBI Listing Regulations and the various applicable regulations, guidelines, notifications, directions, circulars, etc. issued, from time to time, by the RBI. These Committees monitor the activities falling within their specific terms of reference and support the Board in discharging its functions.

The details of Board Committees are, as under:

I. Audit Committee

Current Composition:

1. Ms. Ashu Suyash (Chairperson)
2. Dr. Ashok Gulati
3. Mr. Eli Leenaars
4. Ms. Ketaki Bhagwati

Meetings and Attendance:

During the financial year, ten (10) meetings of the Audit Committee were held, i.e., on 19th April, 2024, 3rd May, 2024, 29th June, 2024, 19th July, 2024, 20th August, 2024, 18th October, 2024, 21st November, 2024, 17th January, 2025, 21st February, 2025 and 26th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Ms. Ashu Suyash (Chairperson w.e.f. 16 th September, 2024)	9/10	90
Dr. Ashok Gulati	10/10	100
Mr. Eli Leenaars (appointed w.e.f. 19 th October, 2024)	4/4	100
Ms. Ketaki Bhagwati (appointed w.e.f. 18 th May, 2024)	8/8	100
Mr. Uday Khanna (Chairman and member till 15 th September, 2024)	5/5	100
Mr. C. Jayaram (till 30 th April, 2024)	1/1	100

Notes:

- (i) All the members of the Audit Committee are Independent Directors.
- (ii) All the members of the Audit Committee are financially literate and have the ability to read and understand financial statements. Ms. Ashu Suyash also possesses accounting and financial management expertise.
- (iii) The composition of the Audit Committee is in accordance with the provisions of Section 177 of the Act read with relevant rules made thereunder, Regulation 18 of the SEBI Listing Regulations and the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.
- (iv) The quorum for the meetings of the Audit Committee is three members, with at least two-third of the members attending the meeting, being Independent Directors.
- (v) The Company Secretary acts as the Secretary to the Audit Committee.
- (vi) Mr. Uday Khanna, the then Chairman of the Audit Committee, was present at the last AGM to answer the queries of the members.
- (vii) The Internal Audit team meets the Audit Committee on a one to one basis without the presence of management.
- (viii) The Head - Internal Audit, reports to the Audit Committee and attends the meetings of the Audit Committee.
- (ix) Besides the members of the Audit Committee, meetings of the Audit Committee are generally attended by invitees who are representatives of the management. The Audit Committee meets the Chief Compliance Officer on a one to one basis, without the presence of management, on a quarterly basis.
- (x) The Joint Statutory Auditors are invited to attend the meetings of the Audit Committee. The members of the Audit Committee meet the Statutory Auditors independently at least once a year.

The Bank has adopted a Charter of the Audit Committee of the Board of Directors which includes the purpose, composition, roles, responsibilities, duties and powers of the Audit Committee.

Roles, Responsibilities and Functions:

The terms of reference of the Audit Committee, as amended and forming part of its comprehensive Charter document are, as follows:

- To provide directions and oversee the operation of the audit function in the Bank and issue, whenever necessary, suitable directions and timely completion of audit.
- Oversight of the Bank's financial reporting process and the disclosure of its financial information to ensure the fair presentation of financial statements in accordance with accounting principles generally accepted in India, applicable regulatory requirements and provisions of the Companies Act, 2013 and to ensure that the financial statements are true, fair, sufficient and credible.
- Reviewing with the management, the annual financial statements and auditor's report thereon before submission to the Board for approval, with particular reference to:
 - Matters required to be included in the Director's Responsibility Statement to be included in the Board's Report in terms of clause (c) of sub-section 3 of Section 134 of the Companies Act, 2013.
 - Changes, if any, in accounting policies and practices and reasons for the same.
 - Compliance with accounting standards, selection of accounting policies, significant judgements, estimates and assumptions that affect reported amounts in financial statements.
 - Significant adjustments made in the financial statements arising out of audit findings.
 - Compliance with regulatory guidelines, the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) and other legal requirements relating to financial statements.
 - Disclosure of any related party transactions.
 - Modified opinion(s) in the draft audit report.
 - Going Concern assumption.
 - Management Discussion and Analysis of financial condition and results of operations.
 - Bank's earnings, press releases, as well as financial information and earnings guidance, if any, provided to analysts and rating agencies.
- Reviewing with the management, the quarterly financial statements / results before submission to the Board for approval.
- Reviewing with management, the statement of uses / application of funds, wherever necessary, raised through an issue (public issue, right issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or preferential issue or qualified institutions placement, or right issue, and making appropriate recommendations to the Board to take up steps in this matter wherever necessary.
- Approve or ratify, as may be permitted by law, transactions of the Bank with related parties (as defined under the applicable laws), and review significant transactions and matters related thereto. Grant of omnibus approval for related party transactions proposed to be entered into by the Bank or its subsidiary companies subject to such conditions as prescribed and as amended from time to time. Members of the Audit Committee who are Independent Directors shall approve the related party transactions. Related Parties to have the same meaning as provided in the Companies Act, 2013 and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time).
- Recommending the policy on "materiality of related party transactions and on dealing with related party transactions" including clear threshold limits, in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time).

- To set forth the Policies relating to and overseeing the implementation of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 (“Regulations”), as amended from time to time and the Trading Code of Conduct for Prevention of Insider Trading (“Code”) and to take on record such reports as may be required from the Compliance Officer under the Code and to decide penal and disciplinary action in respect of violation of the Regulations / Code and to review compliance with the provisions of the SEBI (Prohibition of Insider Trading) Regulations, 2015 (as amended from time to time) at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.
- Valuation of undertakings or assets of the Bank, wherever it is necessary.
- To evaluate the adequacy and operational effectiveness of internal financial control of the Bank and also to evaluate risk management systems of the Bank.
- Look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of dividend declared) and creditors.
- Approval of appointment of Chief Financial Officer, after assessing the qualifications, experience and background, etc. of the candidate.
- Review reasons for revenue leakage and approve corrective action plan and monitor them at regular interval. Monitor areas of repeat occurrences, if any, and ensure immediate actions are taken to prevent such repeat occurrences of revenue leakage.
- Review the financial statements of unlisted subsidiary company / (ies) and more particularly the investments made by them.
- Review the key audit observations pertaining to the subsidiaries selected from the ones presented to the respective Audit Committee / Board, as the case may be.
- Reviewing the utilization of loans and / or advances from / investment by the Bank in the subsidiary exceeding ₹ 100 crore or 10% of the asset size of the subsidiary, whichever is lower, including existing loans / advances / investments.
- Consider and comment on rationale, cost-benefits and impact of schemes involving Merger, Demerger, Amalgamation, etc., on the Bank and its shareholders.
- Review details presented to the Audit Committee, at prescribed frequency, vide RBI circular dated 10th November, 2010 and as updated from time to time.
- Discuss significant issues raised in the Long Form Audit Report and follow up there on with statutory auditors.
- Scrutiny of inter-corporate loans and investments to the extent applicable.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- To perform any other function, duty as stipulated by the Board of Directors and as mentioned under the Companies Act, 2013, the Reserve Bank of India, the Securities & Exchange Board of India, the Stock Exchanges and any other regulatory or statutory authority or under any applicable law, as prescribed from time to time and also to review the findings by regulatory agencies.

Independent Statutory Auditors

- Recommend to the Board of Directors the appointment, re-appointment, replacement and removal of the statutory auditors for both domestic and overseas operations, considering independence and effectiveness, terms of appointment, the fees and other compensation to be paid to the independent statutory auditors.
- Approve all payments for services rendered by the statutory auditors other than as statutory auditors.
- Review and monitor auditors’ independence performance and effectiveness of audit process, both for domestic and overseas operations.
- Periodically consult with the statutory auditors in the absence of management about internal controls and fair presentation of financial statements in accordance with accounting principles generally accepted in India, applicable regulatory requirements and provisions of Companies Act, 2013.

- Discuss with statutory auditors the nature and scope of the audit.
- Discuss and ascertain from the statutory auditors post the completion of the audit, areas of concern, if any.
- Review management letters / letters of internal control weaknesses issued by the statutory auditors.
- Provide a right to be heard to the independent statutory auditors and the key management personnel at the meetings of the Audit Committee when it considers the auditor's report but not the right to vote.

Internal Audit Department

- Approve appointment, re-appointment, replacement and removal of the concurrent auditors and outsourced internal auditors and the fees and other compensation to be paid to them.
- Review with management for performance of internal audit department.
- Review the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and qualification of personnel in the department including the seniority of the official heading the department, reporting structure, coverage and frequency of internal audit including information systems audit.
- Discuss with internal auditors any significant findings and follow up there on.
- Review the internal audit reports relating to internal control weaknesses.
- Review the findings of any internal investigations and report the matter to the Board of Directors.
- Approve, review and monitor the risk based internal audit plan.
- Review appointment, removal and performance of Head – Internal Audit.
- Annually, review and recommend changes (if any) to the internal audit charter.
- Review the key observations emanating from internal audit reports or summaries thereof including action plans agreed by management and their status.

Whistleblowing / Vigil Mechanism

- The Committee shall review the Bank's mechanism for its Directors and Employees to raise genuine concerns; whether it provides adequate safeguards against victimization of persons who use such mechanism and provides for direct access to the chairman of the Audit Committee in appropriate or exceptional cases.
- Ensure the integrity and effectiveness of the Bank's Whistleblower mechanism, whereby all complaints regarding potential fraud or suspicious activities are appropriately investigated and resolved.
- Initiate and oversee the examination of accountability in fraud cases, if any, involving very senior executives like MD & CEO, Executive Director and other Executives of equivalent rank.
- Review Statement of Deviations, if any:
 - Quarterly statement of deviation(s) including report of monitoring agency, if applicable, submitted to Stock Exchange(s) in terms of Regulation 32 (1) of SEBI Listing Regulations.
 - Annual Statement of funds utilized for purposes other than those stated in the offer document/prospectus/notice in terms of Regulation 32(7) of SEBI Listing Regulations.

Inspections Conducted by Regulators

- Review the audit inspection reports of the inspection team of Reserve Bank of India or any other regulator, approve action plans for corrective actions to be taken and monitor compliance thereof.
- Review the implementation and effectiveness of the financial policies and process and highlight any gaps observed to the Board of Directors.

Process Improvement

- Establish a process of reporting by the management or independent statutory auditor or internal auditors, as the case may be, to the Audit Committee with regard to any significant judgment made in preparation of the financial statements along with their views on appropriateness of such Judgments.
- Following completion of the annual audit and internal audit plan, review separately with each of management, the statutory auditors and the internal auditing department any significant difficulties encountered during the course of the audit, including any restrictions on the scope of work or access to required information.
- Review any significant disagreement among management and the independent statutory auditors including auditors in connection with the preparation of the financial statements.
- Review any significant disagreement among management and the internal audit department in connection with the observations made in the internal audit report.
- Review with management the extent to which changes or improvements in financial or accounting practices, as approved by the Audit Committee, have been implemented.
- Perform any other activities consistent with this Charter and governing law, as the Audit Committee or the Board deems necessary or appropriate.

The Charter of the Audit Committee also includes the purpose and composition of First Tier Audit Committee ("FTAC").

The Bank has constituted the FTAC as per the guidelines issued by the RBI. The FTAC presently comprises four members viz., Ms. Shanti Ekambaram, Deputy Managing Director (Chairperson), Mr. Devang Gheewalla, Group Chief Financial Officer, Mr. Himanshu Vasa, President and Chief Compliance Officer and Mr. Somanahalli Honnesh, Group General Counsel. Where the internal audit report pertaining to specific businesses, the specific business head also attends the meeting. The FTAC screens the matters entrusted to the Audit Committee and also the routine matters such as overseeing the program of inspections and compliance of inspection reports so as not to burden the Audit Committee with matters of detail. During the financial year 2024-25, eighteen (18) meetings of the FTAC were held.

II. Nomination and Remuneration Committee⁵

Current Composition:

- Mr. Uday Shankar (Chairman)
- Mr. C S Rajan
- Mr. Uday Kotak

Meetings and Attendance:

During the financial year, eight (8) meetings of the Nomination and Remuneration Committee were held, i.e., on 18th May, 2024, 29th June, 2024, 31st July, 2024, 6th September, 2024, 15th October, 2024, 10th January, 2025, 5th March, 2025 and 21st March, 2025. The composition of the Committee and the details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Uday Shankar	8/8	100
Mr. C S Rajan	8/8	100
Mr. Uday Kotak (appointed w.e.f. 1 st May, 2024)	8/8	100
Mr. C. Jayaram (till 30 th April, 2024)	0/0	-

Notes:

- The composition of the NRC is in accordance with the provisions of Section 178 of the Act read with relevant rules made thereunder, Regulation 19 of the SEBI Listing Regulations and the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.

⁵GRI 2-10

- (ii) The quorum for the meetings of the NRC of the Bank is three members, with half of the members attending the meeting being Independent Directors and one member of Risk Management Committee.
- (iii) The Company Secretary acts as the Secretary to the NRC.
- (iv) Mr. C S Rajan was present at the last AGM as an authorised representative of Mr. Uday Shankar, Chairman of the NRC, to answer the queries of the members.

Roles, Responsibilities and Functions:

The terms of reference of the NRC, as amended and forming part of its comprehensive Charter document are, as follows:

- To identify Persons who are qualified to become Directors and who may be appointed in senior management in accordance with the criteria laid down, recommend to the Board their appointment and removal and specify the manner for effective Evaluation of Performance of Board, its Committees and Individual Directors to be carried out either by the Board, by the Nomination and Remuneration Committee and review its implementation and compliance.
- To formulate the criteria for determining qualifications, positive attributes and independence of a Director and recommend to the Board a policy relating to the remuneration for the Directors, Key Managerial Personnel and other Employees.
- For every appointment of an Independent Director, the Committee shall evaluate the balance of skills, knowledge and experience on the Board and on the basis of such evaluation, prepare a description of the role and capabilities required of an Independent Director. The person recommended to the Board for appointment as an Independent Director shall have the capabilities identified in such description. For the purpose of identifying suitable candidates, the Committee may:
 - use the services of external agencies, if required;
 - consider candidates from a wide range of backgrounds, having due regard to diversity; and
 - consider the time commitments of the candidates.
- To formulate the criteria for Evaluation of Performance of Independent Directors and the Board of Directors.
- To determine whether to extend or continue the term of appointment of the Independent Director, on the basis of the report of Performance Evaluation of Independent Directors.
- While formulating the Policy ensure that:
 - the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate Directors of the quality required to run the Bank successfully;
 - relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
 - remuneration to Directors, Key Managerial Personnel and Material Risk Takers involves a balance between Fixed and Incentive Pay reflecting short and long-term performance objectives appropriate to the working of the Bank and its Goals.
- To recommend to the Board, Remuneration (in whatever form payable) to senior management.
- To review the current board composition and determine future requirements and making recommendations to the Board for approval.
- To devise a Policy on Board Diversity.
- To satisfy itself that plans are in place for orderly succession for appointment to the Board of Directors and senior management.
- To recommend to the Board, the appointment and changes in the following positions:
 - Chief Financial Officer;
 - Company Secretary;
 - Compliance Officer;
 - Chief Risk Officer; and

- Such other official, whose appointment shall have to be recommended by the Nomination and Remuneration Committee under applicable laws
- To review adequacy and appropriateness of Human Resource Strategy of the Bank.
- To review:
 - the composition of the existing committees of the Board and to examine annually whether there is any need to have a special committee of Directors to meet the business requirements of the Bank and accordingly recommend to the Board for formation of a special committee.
 - the Terms of Reference of the Board Level Committees and recommend the changes therein, if any, to the Board.
- To Validate 'Fit and Proper' status of all Directors on the Board of the Bank in terms of the guidelines issued by the Reserve Bank of India ("RBI") or other regulatory authorities.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

The details of the performance evaluation criteria for Independent Directors, Non-Executive Non-Independent Directors and Executive Directors of the Bank have been mentioned in the Directors' Report. Further, the Bank has Board approved Compensation Policies in place, one for Employees including Executive Directors and KMPs and one for the Non-Executive Directors, the details of which have been mentioned in the Directors' Report.

III. Stakeholders' Relationship Committee

Current Composition:

1. Mr. C S Rajan (Chairman)
2. Ms. Ashu Suyash
3. Mr. Amit Desai (appointed w.e.f. 1st April, 2025)
4. Mr. Ashok Vaswani
5. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, two (2) meetings of the Stakeholders' Relationship Committee ("SRC") were held, i.e., on 27th November, 2024 and 27th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. C S Rajan (appointed as member and Chairman w.e.f. 16 th September, 2024)	2/2	100
Ms. Ashu Suyash (Chairperson till 15 th September, 2024)	1/2	50
Mr. Ashok Vaswani	2/2	100
Ms. Shanti Ekambaram (appointed w.e.f. 1 st May, 2024)	2/2	100
Mr. C. Jayaram (till 30 th April, 2024)	0/0	-

Notes:

- The composition of SRC is in accordance with the provisions of Section 178 of the Act read with relevant rules made thereunder and Regulation 20 of the SEBI Listing Regulations.
- The quorum for the meetings of the SRC is three members, including at least one Independent Director.
- The Company Secretary functions as the Compliance Officer under the SEBI Listing Regulations and acts as the Secretary to the SRC.
- Ms. Ashu Suyash, the then Chairperson of the SRC was present at the last AGM to answer the queries of the members.

Roles, Responsibilities and Functions:

The terms of reference of SRC, as amended and forming part of its comprehensive Charter document are, as follows:

- To resolve the grievances of the security holders of the Bank including complaints related to transfer / transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new / duplicate certificates, general meetings, etc.
- To oversee and review the performance of Registrar and Share Transfer Agents and recommend measures for improvements in the quality of investors services.
- To review measures for effective exercise of voting rights by shareholders.
- To review adherence to the service standards adopted by the Bank in respect of various services being rendered by the Registrar & Transfer Agent.
- To review measures and initiatives taken for reducing quantum of unclaimed dividend and ensuring timely receipt of dividend / annual report / statutory notices by the shareholders of the Bank.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- Carry out such other functions as may be delegated by the Board, from time to time.

During the year under review, 34 investor complaints were received and no complaint was pending to be resolved as on 31st March, 2025.

IV. Risk Management Committee**Current Composition:**

1. Dr. Ashok Gulati (Chairman)
2. Mr. C S Rajan
3. Ms. Ashu Suyash
4. Mr. Eli Leenaars
5. Mr. Uday Kotak

Meetings and Attendance:

During the financial year, six (6) meetings of the Risk Management Committee ("RMC") were held, i.e., on 24th May, 2024, 26th June, 2024, 20th August, 2024, 21st November, 2024, 21st February, 2025 and 26th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Dr. Ashok Gulati	6/6	100
Ms. Ashu Suyash	5/6	83.33
Mr. C S Rajan	5/6	83.33
Mr. Eli Leenaars	6/6	100
Mr. Uday Kotak	6/6	100

Notes:

- The composition of the RMC is in accordance with the provisions of Regulation 21 of the SEBI Listing Regulations and the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.
- The quorum for the meetings of the RMC is three members, including at least half of the members attending the meeting being Independent Directors, of which, one member having professional expertise / qualification in risk management.
- The Company Secretary acts as the Secretary to the RMC.
- The RMC meets the Chief Risk Officer on a one-to-one basis, without the presence of the Managing Director & CEO, on a quarterly basis.

Roles, Responsibilities and Functions:

The terms of reference of RMC, as amended and forming part of its comprehensive Charter document are, as follows:

- To identify, monitor and measure the risk profile of the Bank.
- To develop policies and procedures pertaining to credit, market, liquidity, operational and reputation risks.
- To monitor and review the Risk Management Plan.
- To seek, if required, information from any employee, obtain outside legal or other professional advice and secure attendance of outsiders with relevant expertise, if it considers necessary.
- To review the cybersecurity framework of the Bank.
- To oversee formulation of a detailed Risk Management Policy which shall include:
 - A framework for identification of internal and external risks specifically faced by the Bank, in particular including financial, operational, sectoral, sustainability (particularly ESG related risks), information, cybersecurity risks or any other risk as may be determined by the Committee.
 - Measures for risk mitigation including systems and processes for internal control of identified risks.
 - Business Continuity Plan.
 - Overseeing the methodology, processes and systems that are in place to monitor and evaluate risks associated with the business of the Bank.
- To monitor and oversee implementation of the risk management policy, including evaluating the adequacy of risk management systems.
- To periodically review the Risk Management Policy, at least once in two years, including by considering the changing industry dynamics and evolving complexity.
- To keep the Board of Directors informed about the nature and content of its discussions, recommendations and actions to be taken.
- The appointment, removal and terms of remuneration of the Chief Risk Officer (if any) shall be subject to review by the Risk Management Committee.
- To review and approve risk appetite statements for the Bank.
- To review performance against approved risk appetite.
- To oversee establishment of the overall risk management framework for credit, market, liquidity, operational and information risks (including technology and cyber risks).
- To review assessment of various risks on a periodic basis and overall Bank risk profile; identify emerging risks and ensure that exposures are in line with the risk appetites and approved limits.
- To review the Bank's credit concentration.
- To review exposure to industries and outlook.
- To review and comment on stress testing scenarios, methodologies and results if any, placed before the committee.
- To monitor compliance of various risk parameters by operating departments.
- To review the adequacy of capital, under the Internal Capital Adequacy Assessment Process ("ICAAP") and approve the outcomes for placing to the Board.

- To have oversight over the Asset Liability Committee (ALCO), Credit Risk Management Committee (CRMC) and Operational Risk Executive Committee (OREC).
- To oversee the effectiveness of the Bank's framework for Early Warning Signal (EWS) and Red Flagged Accounts (RFA).
- To approve the EWS indicators used for monitoring credit facilities/loan accounts and other banking transactions.
- To review the status of red flagged accounts, including the EWS Alerts/Triggers and remedial actions
- To co-ordinate its activities with other Committees, in instances where there is any overlap with activities of such Committees, as per the framework laid down by the Board of Directors.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

V. Group Risk Management Committee

Current Composition:

1. Mr. Eli Leenaars (Chairman)
2. Dr. Ashok Gulati
3. Ms. Ashu Suyash
4. Mr. Jaideep Hansraj (appointed w.e.f. 1st April, 2025)

Meetings and Attendance:

During the financial year, two (2) meetings of the Group Risk Management Committee ("GRMC") were held on 27th September, 2024 and 26th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Eli Leenaars (Chairman w.e.f. 16 th September, 2024)	2/2	100
Dr. Ashok Gulati (appointed w.e.f. 16 th September, 2024)	2/2	100
Ms. Ashu Suyash (Chairperson till 15 th September, 2024)	2/2	100
Mr. Uday Khanna (till 15 th September, 2024)	0/0	-
Mr. Uday Kotak (till 31 st March, 2025)	2/2	100
Mr. Ashok Vaswani (till 31 st March, 2025)	2/2	100

Notes:

- (i) The quorum requirement for the meetings of the GRMC is three members, including two Independent Directors.
- (ii) The Company Secretary acts as the Secretary to the GRMC.

Roles, Responsibilities and Functions:

The terms of reference of the GRMC, as amended and forming part of its comprehensive Charter document are, as follows:

- Issues relating to the group from risk perspective.
- To oversee / monitor Group Risk Appetite.
- To analyse the material risks to which the group, its businesses and subsidiaries would be exposed. It would discuss all risk strategies, both at an aggregated level and by type of risk and make recommendations to the Board in accordance with the Group's overall risk appetite.
- To review failures in internal controls.
- To articulate the leverage of the group and monitor the same.

- To approve the constitution / re-constitution of various non-Board committees of the Bank, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies of the Bank, as may be deemed appropriate and applicable.

VI. Corporate Social Responsibility and Environmental, Social and Governance Committee

Current Composition:

1. Mr. C S Rajan (Chairman)
2. Dr. Ashok Gulati
3. Mr. Amit Desai (appointed w.e.f. 1st April, 2025)
4. Mr. Ashok Vaswani
5. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, five (5) meetings of the Corporate Social Responsibility and Environmental, Social and Governance Committee ("CSR & ESG Committee") were held, i.e., on 25th June, 2024, 16th August, 2024, 15th October, 2024, 30th December, 2024 and 18th March, 2025. The composition of the CSR & ESG Committee and the details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. C S Rajan	5/5	100
Dr. Ashok Gulati	5/5	100
Mr. Ashok Vaswani	5/5	100
Ms. Shanti Ekambaram (appointed w.e.f. 1 st May, 2024)	4/5	80
Mr. C. Jayaram (till 30 th April, 2024)	0/0	-

Notes:

- (i) The composition of the CSR & ESG Committee is in accordance with the provisions of Section 135 of the Act read with relevant rules made thereunder.
- (ii) The quorum for the meetings of CSR & ESG Committee is three members, including one Independent Director.
- (iii) The Company Secretary acts as the Secretary of the CSR & ESG Committee.

Roles, Responsibilities, Functions and Powers for CSR:

The terms of reference of the CSR & ESG Committee, as regards CSR activities, as amended and forming part of its comprehensive Charter document are, as follows:

- To review and recommend the following to the Board, for its approval:
 - Bank's CSR Policy defines the activities to be undertaken by the Bank and that the policy conforms to the CSR mandate as specified under Sections 134 and 135 of the Act read with Schedule VII to the Act and the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended from time to time and in line with the Government of India's notifications issued from time to time ("applicable CSR laws and rules");
 - Bank's prescribed CSR expenditure requirement for the FY is as per applicable CSR laws and rules;
 - Bank's CSR Projects, CSR Programme Budget and CSR Project Expenditure for the financial year are as per applicable CSR laws and rules;
 - Bank's CSR annual action plan for implementing the Board approved CSR Projects, CSR Programme Budget, CSR Project Expenditure and payments are as per applicable CSR laws and rules;

- Review of Impact assessment of the Bank's CSR projects, if and where required, as per applicable under CSR laws and rules; and
- Amendment of the Bank's CSR annual action plan, programme budget, design and scope of CSR Projects, including the budget and expenditure.
- To review, note and update on the following to the Board, for its noting:
 - Periodical review / progress of CSR projects including ensuring adherence to the CSR Projects (both – the ones implemented directly by the Bank or implemented through eligible organisations), as per the design and scope approved by the Board;
 - Certification by the Chief Financial Officer (CFO) or the person responsible for financial management regarding the utilisation of the CSR Expenditure / payments; and
 - Periodical update on the CSR payment, fund utilisation and progress of Bank's CSR Projects.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- To carry out such other functions as may be prescribed under applicable CSR laws and rules amended from time to time including the functions delegated by the Board, from time to time.

Roles, Responsibilities, Functions and Powers for ESG:

The terms of reference of the CSR & ESG Committee, as regards ESG activities, as amended and forming part of its comprehensive Charter document are, as follows:

- To assist the Board in development of the Group's ESG goals and objectives.
- To oversee the development and implementation of a framework for achievement of the Group's ESG goals and objectives.
- To oversee compliance with ESG regulations applicable to the Bank.
- To monitor progress on the Group's ESG framework implementation from time to time.
- To oversee reporting and disclosure of the Group's ESG performance in accordance with appropriate regulations and standards.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

VII. Special Committee of the Board for Monitoring and Follow-up of Frauds

Current Composition:

1. Mr. C S Rajan (Chairman)
2. Ms. Ketaki Bhagwati
3. Mr. Ashok Vaswani
4. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, four (4) meetings of the Special Committee of the Board for Monitoring and Follow-up of Frauds ("Special Committee on Frauds Monitoring") were held, i.e., on 10th May, 2024, 26th September, 2024, 31st December, 2024 and 24th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. C S Rajan (appointed as member w.e.f. 1 st May, 2024 and as Chairman w.e.f. 20 th July, 2024)	4/4	100
Ms. Ketaki Bhagwati (appointed w.e.f. 20 th July, 2024)	3/3	100

Directors	Attendance Status	Attendance of Director (%)
Mr. Ashok Vaswani (Chairman till 19 th July, 2024)	4/4	100
Ms. Shanti Ekambaram (appointed w.e.f. 1 st May, 2024)	1/4	25
Mr. Uday Khanna (till 20 th July, 2024)	1/1	100
Ms. Ashu Suyash (till 20 th July, 2024)	1/1	100
Mr. C. Jayaram (till 30 th April, 2024)	0/0	-
Mr. KVS Manian (till 30 th April, 2024)	0/0	-

Notes:

- The composition of the Special Committee on Frauds Monitoring is in accordance with the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.
- The quorum for the meetings of the Special Committee on Frauds Monitoring is three members, including one Independent Director.
- The Company Secretary acts as the Secretary to the Special Committee on Frauds Monitoring.

Roles, Responsibilities and Functions:

The terms of reference of the Special Committee on Frauds Monitoring, as amended and forming part of its comprehensive Charter document are, as follows:

- To monitor and review all fraud cases as per the limits mentioned in the Fraud Risk Management Policy of the Bank.
- To oversee the effectiveness of the Bank's fraud risk management and the functioning / constitution of the Fraud Risk Management Committee.
- To review and monitor trends in fraud cases, including a root cause analysis for the same wherever necessary, delays in fraud reporting and pendency in staff accountability in fraud cases.
- To review the mitigating measures taken by Bank to strengthen internal controls and fraud risk management framework to minimize the fraud risk.
- To review quarterly report on fraud risks and significant incidents.
- To monitor and review the cases remaining in Red Flag Account status beyond 180 days.
- To review electronic banking frauds and monitor the progress of mitigating steps taken by the Bank in case of electronic frauds and the efficacy of the same in containing fraud numbers and values.
- To review large value past frauds.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

VIII. Customer Service Committee

Current Composition:

- Mr. Uday Shankar (Chairman)
- Mr. Amit Desai
- Mr. Ashok Vaswani

Meetings and Attendance:

During the financial year, four (4) meetings of the Customer Service Committee ("CSC") were held, i.e., on 27th June, 2024, 28th August, 2024, 7th December, 2024 and 31st March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Uday Shankar	4/4	100
Mr. Amit Desai (appointed w.e.f. 16 th September, 2024)	2/2	100
Mr. Uday Kotak (till 31 st March, 2025)	4/4	100
Mr. Ashok Vaswani	3/4	75
Mr. Uday Khanna (till 15 th September, 2024)	2/2	100
Mr. KVS Manian (till 30 th April, 2024)	0/0	-

Notes:

- The composition of the CSC is in accordance with the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.
- The quorum for the meetings of the CSC is three members, including one Independent Director.
- The Company Secretary acts as the Secretary to the CSC.

Roles, Responsibilities and Functions:

The terms of reference of the CSC, as amended and forming part of its comprehensive Charter document are, as follows:

- To bring about ongoing improvements in the quality of customer services provided by the Bank.
- To oversee the functioning of the customer service standing committee, compliance with the recommendations of the committee on procedures and performance audit and public services and also mount innovative measures for enhancing the quality of customer service and improving the level of customer satisfaction for all categories of cliental, at all times.
- To review matters pertaining to customer service, grievance redressal mechanism, fair practices, recovery mechanism, outsourcing and other customer service related matters.
- To review customer service / customer care aspects in the Bank and submit a detailed memorandum in this regard to the Board of Directors, once every six months.
- To initiate prompt corrective action wherever service quality / skill gaps have been noticed.
- To review and monitor Comprehensive Deposit Policy, setting out the rights of the depositors in general and small depositors in particular and other aspects as laid down in the guidelines of Reserve Bank of India ("RBI").
- To review the status of settlement of claims in regard to deceased depositors.
- To review and monitor the product approval processes with a view to include suitability and appropriateness.
- To review and monitor Banking Ombudsman Awards passed by Banking Ombudsman relating to the Bank.
- To review and monitor the steps and remedial actions taken by the Bank to reduce the customer complaints.
- To review and monitor the service delivery channels.
- To review and monitor the customer rights policy as mandated by RBI.
- To formulate, review and monitor comprehensive policies for customer satisfaction and conduct annual survey of customer satisfaction.
- To review the feedback obtained from the triennial audit of customer services.
- To review of branding, marketing, digital and customer engagement activities of the Bank.

- To control measure for ATMs and reconciliation of transactions at ATMs failure – time limit.
- To understand the broad trends and concentration in the growth of customer grievances and their resolution including mis-selling, particularly third-party products and appropriateness of products to different customer segments.
- To examine any other issues having a bearing on the quality of customer services rendered.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

IX. Review Committee for Classification and Declaration of Borrowers as Willful Defaulters

Current Composition:

1. Mr. Ashok Vaswani (Chairman w.e.f. 16th September, 2024)
2. Mr. C S Rajan (Chairman till 15th September, 2024)
3. Ms. Ketaki Bhagwati (appointed w.e.f. 16th September, 2024)

Meetings:

During the financial year, no meeting of the Review Committee for Classification and Declaration of Borrowers as Willful Defaulters (“Review Committee”) was required to be held.

Notes:

- i. The composition of the Review Committee is in accordance with the criteria specified by the RBI vide its various applicable regulations, guidelines, notifications, directions, circulars, etc.
- ii. Mr. Uday Khanna ceased to be a member of the Review Committee, with effect from 15th September, 2024.
- iii. The quorum for the meetings of the Review Committee is three members, including one Independent Director and Managing Director & CEO.
- iv. The Managing Director & CEO is the Chairman of the Review Committee.
- v. The Company Secretary acts as a Secretary to the Review Committee.

Roles, Responsibilities and Functions:

The terms of reference of the Review Committee of the Board, as amended and forming part of its comprehensive Charter document are, as follows:

- To consider the Recommendation order passed by the Identification Committee and provide an opportunity for a personal hearing also to the Borrower / guarantor / promoter / director / persons who are in charge and responsible for the management of the affairs of the entity. However, if the opportunity is not availed or if the personal hearing is not attended by the borrower / guarantor / promoter/ director / persons who are in charge and responsible for the management of the affairs of the entity, the Review Committee shall, after assessing the facts or material on record, including written representation, if any, consider the proposal of the Identification Committee and take a decision and pass an order, in accordance with law.
- To put in place a system for proper and timely classification of borrowers as willful defaulters or / as non-cooperative borrowers and review the efficacy of the said system at least on an annual basis.
- To review the status of non-cooperative borrowers at least on a half yearly or at such other intervals, as may be required by Reserve Bank of India (“RBI”).
- To decide on removal of the names from the list of non-cooperative borrowers as reported to Central Repository of Information of Large Credits (“CRILC”).
- To review, note and decide on any matter pertaining to willful defaulters or non-cooperative borrowers.
- To review order passed by the Committee which decides classification of the borrower as non- cooperative borrower.

- To review the information relating to the non-cooperative borrowers to be submitted to CRILC.
- To hear the grievance of the borrowers who represent that they have been wrongly classified as willful defaulters.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- To carry out such other functions as may be delegated by the Board, from time to time.

X. Large Expenditure and Share Transfer and Other Matters Committee

Current Composition:

1. Mr. C S Rajan (Chairman)
2. Mr. Uday Kotak
3. Mr. Ashok Vaswani
4. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, eight (8) meetings of the Large Expenditure and Share Transfer and Other Matters (“LESTOM”) Committee were held, i.e., on 5th April, 2024, 24th May, 2024, 19th June, 2024, 31st July, 2024, 28th October, 2024, 30th December, 2024, 29th January, 2025 and 13th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. C S Rajan	8/8	100
Mr. Uday Kotak	8/8	100
Mr. Ashok Vaswani	8/8	100
Ms. Shanti Ekambaram	7/8	87.5
Mr. KVS Manian (till 30 th April, 2024)	1/1	100

Notes:

- i. The quorum for the meetings of the LESTOM Committee is any three members.
- ii. The Company Secretary acts as the Secretary to the LESTOM Committee.

Roles, Responsibilities and Functions:

The terms of reference of the LESTOM Committee, as amended and forming part of its comprehensive Charter document are, as follows:

- To approve transfer, transmission, transposition, name deletion, dematerialization, rematerialization, consolidation and splitting / sub-division of share, debenture or any other securities certificates of the Bank to the extent permitted in line with the provisions of applicable laws.
- To issue new / duplicate share / debenture certificates.
- To apply for registration of the Bank with various authorities of any state or centre including GST tax authorities, income tax authorities, shops & establishment authorities and to do or perform all matters relating to such matters.
- To apply, in the name of and for the Bank for telephone, telex, fax and other telecommunication and electrical / electronic connections and to do all matters relating to such applications.
- To open, operate and close bank accounts of the Bank and change the operating instructions of existing bank accounts of the Bank.
- To authorise persons to sign on behalf of the Bank, share certificates, share allotment letters and fixed deposit receipts.

- To authorise persons to represent the Bank at General Meetings of any company or cooperative society of which the Bank is a shareholder / member.
- To fix the dates for closure of the Bank's register of members and debenture holders and transfer books of shares or debentures and / or fixing record dates, in consultation with the stock exchanges.
- To authorise the opening of securities general ledger account or any other account with any scheduled banks or with any department of the Reserve Bank of India.
- To authorise persons to execute loan agreements, demand promissory notes and any other documents as may be necessary for lending out of any line of credit sanctioned to the Bank.
- To authorise officials of the Bank to sign documents for registration of motor vehicles and to do all acts and things for the transfer of any such motor vehicles.
- To authorise employee(s) or others to execute, for and on behalf of the Bank, agreements, applications, deeds, documents and any other writings in connection with the business of the Bank and, if required, to issue power of attorney in favour of such persons for the purpose.
- To authorise employee(s) or others to represent the Bank before any court, tribunal, consumer redressal forum or any statutory or other authority on any matter relating to the operations of the Bank or with which the Bank is in any way connected or to represent the Bank generally or for any specific purpose or purposes and, if required, issue power of attorney in favour of such persons for the purpose.
- To appoint or change nominees to hold shares for and on behalf of the Bank in any subsidiary / associate companies.
- To grant permission and authorise incorporation of companies, with a prefix "Kotak Mahindra" before the name.
- To authorise the use of the common seal of the Bank and to appoint persons to sign / countersign documents, etc. on which the common seal is to be affixed.
- To approve appointment of any employee / Director of the Bank or any other person as a nominee on the Board of other companies under certain circumstances to protect the interest of the Bank's exposures / investments in such companies.
- To approve appointment of any employee of the Bank as a part-time employee of any other company under certain circumstances to protect the interest of the Bank's exposures / investments in such companies.
- To approve appointment of any employee / Director of the Bank or any other person as an appointee on the Board of other companies (including Section 8 companies) LLPs, firms, if so invited.
- To carry out the following activities in respect of equity shares of erstwhile ING Vysya Bank Limited being rights shares held in abeyance for various reasons:
 - to allot shares in respect of rights shares held in abeyance and bonus entitlement thereon, after the resolution of the court case, transmission, dispute etc. as the case may be and upon receipt of application money and other necessary documents;
 - to authorise officials of the Bank to take necessary action for credit of shares to the demat account of the concerned shareholder(s) or issue of physical share certificates as the case may be; and
 - to authorise officials of the Bank to make the necessary applications to the Stock Exchanges for listing and trading of the shares so allotted, file the various regulatory returns and refund the excess share application money received, if any.
- To authorise employee(s) to delegate authority to any other employee(s) or others in respect of any of the matters stated herein subject to it being permissible under applicable law.
- To authorise employee(s) to execute, for and on behalf of the Bank, agreements, applications, or documents in connection with the minority investments made by the Bank, which have been approved in accordance with the Bank's policies or by the Board and its various Committees, from time to time.

- To authorise employee(s) to execute, for and on behalf of the Bank, non-binding term sheets, expression of interest, and any other writings in connection with evaluation of inorganic growth opportunities (such as acquisitions, mergers, joint ventures, asset purchases etc.) or minority financial investments.
- To evaluate tie ups with multiple insurers after assessing the overall impact of the open architecture regime in insurance distribution and studying the market conduct under the applicable regulations, and recommend to the Board for further tie up with other insurance companies as permitted by regulations.
- To, *inter alia*, finalise the structure and terms and conditions of the Non-Convertible Debentures, within the approval granted by the Board, from time to time (Arising out of authority given by the Board at its earlier meetings for issuance of NCDs).
- To approve expenses as mentioned in the Expense Approval Authorities, as approved by the Board, from time to time.
- To allot shares in accordance with the terms and conditions of the various share-linked incentive scheme(s) of the Bank.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

XI. Management Committee

Current Composition:

1. Mr. Ashok Vaswani (Chairman)
2. Ms. Shanti Ekambaram
3. Mr. Jaideep Hansraj (w.e.f. 1st April, 2025)

Meetings and Attendance:

During the financial year, one (1) meeting of the Management Committee was held, i.e., on 27th March, 2025. The details of attendance of the Directors at the said meeting were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Ashok Vaswani	1/1	100
Ms. Shanti Ekambaram	1/1	100
Mr. KVS Manian (till 30 th April, 2024)	0/0	-

Notes:

- i. The quorum for the meetings of the Management Committee is any two members.
- ii. The Company Secretary acts as the Secretary to the Management Committee.

Roles, Responsibilities and Functions:

The terms of reference of the Management Committee, as amended and forming part of its comprehensive Charter document are, as follows:

- To consider credit proposals in relation to individuals / entities connected with the Directors of other banks.
- To discharge other responsibilities prescribed in different directives of Reserve Bank of India, from time to time.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- To carry out such other functions as may be delegated by the Board, from time to time.

XII. Committee on Derivative Products

Current Composition:

1. Mr. Ashok Vaswani (Chairman)
2. Mr. Eli Leenaars
3. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, two (2) meetings of the Committee on Derivative Products were held, i.e., on 19th June, 2024 and 13th February, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Ashok Vaswani	2/2	100
Mr. Eli Leenaars (appointed w.e.f. 1 st May, 2024)	2/2	100
Ms. Shanti Ekambaram	2/2	100
Mr. KVS Manian (till 30 th April, 2024)	0/0	-

Notes:

- i. The quorum for the meetings of the Committee on Derivative Products is three members.
- ii. The Company Secretary acts as the Secretary to the Committee on Derivative Products.

Roles, Responsibilities and Functions:

The terms of reference of the Committee on Derivative Products, as amended and forming part of its comprehensive Charter document are, as follows:

- To examine and accord approval, after approval from the Senior Management Committee of the Bank, for the new products after their comprehensive evaluation (including of various parameters), before being offered to the customers of the Bank.
- To decide on the implementation of adequate and effective measures toward ensuring compliance with regulatory guidelines and framework regarding foreign exchange and rupee derivative products including Suitability and Appropriateness (S&A) framework for derivative products.
- To review and ensure adequate and effective risk management and internal control policies and procedures, commensurate with the complexity of the products.
- To ensure there is an appropriate organization structure (with clear lines of responsibility and accountability), staff and other resources for prudent conduct of the derivative business, risk management function, internal control function and internal audit.
- To ensure effective measures to address observations from internal and external audits.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.
- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.

XIII. ESOP Allotment Committee (dissolved w.e.f. 1st April, 2025):

Composition:

1. Mr. Ashok Vaswani (Chairman)
2. Mr. C S Rajan
3. Ms. Shanti Ekambaram

Meetings and Attendance:

During the financial year, four (4) meetings of the ESOP Allotment Committee were held on 29th April, 2024, 31st May, 2024, 16th July, 2024 and 1st October, 2024. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Ashok Vaswani (Chairman w.e.f. 1 st May, 2024)	4/4	100
Mr. C S Rajan (appointed w.e.f. 1 st May, 2024)	3/3	100
Ms. Shanti Ekambaram	4/4	100
Mr. C. Jayaram (Chairman and member till 30 th April, 2024)	1/1	100
Mr. KVS Manian (till 30 th April, 2024)	1/1	100

Notes:

- The Board, at its Meeting held on 21st / 22nd March, 2025, dissolved the ESOP Allotment Committee, with effect from 1st April, 2025 and the roles, responsibilities and functions of the ESOP Allotment Committee have been included with that of LESTOM Committee.
- The quorum for the meetings of the ESOP Allotment Committee was three members.
- The Company Secretary acts as the Secretary to the ESOP Allotment Committee.

Roles, Responsibilities and Functions:

The terms of reference of the ESOP Allotment Committee, as amended and forming part of its comprehensive Charter document were, as follows:

- To allot shares arising out of the options exercised in accordance with the terms and conditions of the various ESOP Schemes of the Bank.
- To carry out such other functions as may be delegated by the Board, from time to time.

XIV. Credit and Investment Committee**Current Composition:**

- Ms. Ketaki Bhagwati (Chairperson)
- Mr. Uday Kotak
- Mr. Ashok Vaswani

Meetings and Attendance:

During the financial year, twenty six (26) meetings of the Credit and Investment Committee ("CIC") were held, i.e., on 8th April, 2024, 1st May, 2024, 7th May, 2024, 16th May, 2024, 30th May, 2024, 11th June, 2024, 25th June, 2024, 4th July, 2024, 16th July, 2024, 3rd August, 2024, 7th August, 2024, 21st August, 2024, 7th September, 2024, 26th September, 2024, 15th October, 2024, 21st October, 2024, 11th November, 2024, 27th November, 2024, 4th December, 2024, 23rd December, 2024, 15th January, 2025, 29th January, 2025, 14th February, 2025, 27th February, 2025, 11th March, 2025 and 26th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Ms. Ketaki Bhagwati (appointed w.e.f. 18 th May, 2024 and as Chairperson w.e.f. 16 th August, 2024)	22/22	100
Mr. Uday Kotak	26/26	100
Mr. Ashok Vaswani	26/26	100
Ms. Ashu Suyash (Chairperson and member till 15 th August, 2024)	9/11	81.82

Notes:

- The quorum for the meetings of the CIC is two members, of which, one shall be the Managing Director & CEO.
- The Company Secretary acts as the Secretary to the CIC.

Roles, Responsibilities and Functions:

The brief terms of reference of CIC, as amended and forming part of its comprehensive Charter document are, as follows:

- To approve and / or recommend to the Board credit exposures (Single and / or and Group exposures) as per the thresholds determined by the Board of Directors, from time to time.
- To approve and / or recommend to the Board, investments in Initial Public Offerings as per the thresholds determined by the Board of Directors, from time to time.

XV. Subsidiary Oversight and Governance Committee
Current Composition:

1. Ms. Ketaki Bhagwati (Chairperson)
2. Ms. Ashu Suyash
3. Mr. Uday Kotak
4. Mr. Ashok Vaswani
5. Mr. Jaideep Hansraj (appointed w.e.f. 1st April, 2025)

Meetings and Attendance:

During the financial year, five (5) meetings of the Subsidiary Oversight and Governance Committee ("SOGC") were held, i.e., on 13th June, 2024, 29th August, 2024, 16th October, 2024, 19th November, 2024 and 12th March, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Ms. Ketaki Bhagwati (appointed as member and Chairperson w.e.f. 16 th September, 2024)	3/3	100
Ms. Ashu Suyash (Chairperson till 15 th September, 2024)	5/5	100
Mr. Uday Kotak	5/5	100
Mr. Ashok Vaswani	5/5	100
Mr. Uday Khanna (till 15 th September, 2024)	2/2	100

Notes:

- i. The quorum for the meetings of the SOGC is higher of one-third of total strength or two members.
- ii. The Company Secretary acts as the Secretary to the SOGC.

Roles, Responsibilities and Functions:

The SOGC has been constituted to review such matters as may be delegated to it or as it may deem fit for oversight and governance function.

XVI. IT Strategy & Digital Payments Promotion Committee
Current Composition:

1. Mr. Uday Shankar (Chairman)
2. Mr. Eli Leenaars
3. Mr. Ashok Vaswani

Meetings and Attendance:

During the financial year, five (5) meetings of the IT Strategy & Digital Payments Promotion Committee ("ITSC") were held, i.e., on 26th June, 2024, 29th August, 2024, 30th September, 2024, 28th November, 2024 and 18th February, 2025. The details of attendance of the Directors at these meetings were, as under:

Directors	Attendance Status	Attendance of Director (%)
Mr. Uday Shankar	5/5	100
Mr. Eli Leenaars	5/5	100
Mr. Ashok Vaswani	5/5	100

Notes:

- The quorum for the meetings of the ITSC is two members, including at least one Independent Director.
- The Chief Technology Officer ("CTO") and Chief Information Security Officer ("CISO") are permanent invitees to the ITSC Meetings.
- The CISO acts as the Secretary to the ITSC.

Roles, Responsibilities and Functions:

The terms of reference of the ITSC, as amended and forming part of its comprehensive Charter document are, as follows:

- Decide the composition and perform oversight functions over the IT Steering Committee (at a senior management level) and Information Security Committee.
- Work in partnership with other Board committees and Senior Management to provide inputs on relevant matters.
- Drive, monitor and promote / facilitate Digital Payments.
- Guide in preparation of IT Strategy and ensure that the IT Strategy aligns with the overall strategy of the Bank towards accomplishment of its business objectives.
- Ensure that the Bank has put an effective IT strategic planning process in place.
- Satisfy itself that the IT Governance and Information Security Governance structure fosters accountability, is effective and efficient, has adequate skilled resources, well defined objectives and unambiguous responsibilities for each level in the Bank.
- Ensure that the Bank has put in place processes for assessing and managing IT and cybersecurity risks.
- Review the cybersecurity risks / arrangements / preparedness of the Bank on a quarterly basis. CISO to make a presentation to the Committee and to the Board / Risk Management Committee, if requested.
- Assist the Risk Management Committee of Board in periodic review of IT related risks and Cybersecurity related risks at least on a yearly basis.
- Ensure that the budgetary allocations for the IT function (including for IT security), cybersecurity are commensurate with the Bank's IT maturity, digital depth, threat environment and industry standards and are utilised in a manner intended for meeting the stated objectives.
- Review, at least on annual basis, the adequacy and effectiveness of the Business Continuity Planning and Disaster Recovery Management of the Bank.
- Assess the IT capacity requirements of the Bank and measures taken to address the issues.
- Approve documented standards and procedures and keep them up to date for administering need-based access to an information system.
- Approve Recovery Time Objective (RTO) and Recovery Point Objective (RPO), wherever necessary, for all critical information systems.
- The Committee may investigate activities within its scope, seek information from any employee, obtain outside legal or professional advice and secure attendance of outsiders with relevant expertise, if it considers necessary, in order to carry out the responsibilities assigned to it.
- To approve the constitution / re-constitution of various non-Board committees, as may be deemed appropriate and applicable.

- To approve the formulation / implementation / recommendation to the Board for its approval, various policies or amendments to various policies, as may be deemed appropriate and applicable.
- Such other matters as may be delegated, from time to time, by the Board of Directors or any Committee thereof or as prescribed under any applicable law.

CODE OF CONDUCT

The Bank has adopted the Codes of Conduct, applicable to the Board of Directors and Employees (including Senior Management Personnel) respectively.

Both the Codes of Conduct have been posted on the website of the Bank viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

All the Directors and Senior Management Personnel of the Bank have affirmed compliance with the respective Codes. A declaration signed by the Managing Director & CEO to this effect is given at the end of this Report, as **Annexure III**.

FAMILIARISATION PROGRAMME FOR NON-EXECUTIVE DIRECTORS

The Bank believes in familiarizing the Independent Directors and Non-Executive Non-Independent Directors with the nature of the industry in which the Bank operates, business model and other important matters relating to the Bank's business through induction programmes at the time of their appointment.

Presentations on critical parameters, such as, business strategy, financial outlook, financial reports and their integrity, risk, compliance, CSR and ESG, financial inclusion, human resources, consumer banking business, commercial banking business, wholesale banking, technology, customer centricity and cybersecurity awareness, etc., were made to the Directors periodically.

In addition to the above, the Directors were also updated on topics such as, Global Markets & Investment Trends and Insurance Trends.

The complete details of the familiarisation programs conducted for the Directors are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/governance/familiarisation-programme.html>

INDUCTION PROGRAM FOR NEW DIRECTORS

A three-day program was conducted covering presentations on Kotak Mahindra Group structure, Financials, the Act and SEBI Listing Regulations (important provisions), Commercial Bank, Human Resources, Consumer Bank, Kotak Securities, Investment Banking, Wealth Management, Wholesale Bank, Asset Reconstruction, Treasury, Risk Management, Internal Audit, Asset Management, Information Technology, Digital, Customer Service and CSR and ESG, etc.

FEES PAID TO THE STATUTORY AUDITORS

The Profit and Loss Account of the Bank and its subsidiaries for the year ended 31st March, 2025, include the following fees paid / payable to their respective Statutory Auditors:

(₹ in crore)

Entity	Auditor	Statutory / Audit Fees	Other Matters	Total
Kotak Mahindra Bank Limited*	Price Waterhouse LLP [#]	0.27	0.21	0.48
	KKC & Associates LLP	2.04	0.56	2.60
	Deloitte Haskins & Sells	1.77	0.15	1.92
Kotak Mahindra Bank Limited (<i>Overseas Branch and Representative Office</i>)	KPI Ahli	0.26	0.04	0.30
Kotak Mahindra Prime Limited	Singhi & Co.	0.72	0.05	0.77
	Borkar & Muzumdar	0.72	0.05	0.77
Kotak Securities Limited	Deloitte Haskins & Sells LLP	1.40	0.17	1.57
Kotak Mahindra Capital Company Limited	Deloitte Haskins & Sells LLP	0.21	0.01	0.22
Kotak Mahindra Life Insurance Company Limited	Price Waterhouse LLP	0.48	0.06	0.54
	M M Nissim & Co LLP	0.47	0.03	0.50
Kotak Mahindra Investments Limited	Kalyaniwalla & Mistry LLP [#]	0.04	0.02	0.06
	Varma & Varma	0.28	0.03	0.31
Kotak Mahindra Asset Management Company Limited	Price Waterhouse Chartered Accountants LLP	0.45	0.04	0.49

(₹ in crore)

Entity	Auditor	Statutory / Audit Fees	Other Matters	Total
Kotak Mahindra Trustee Company Limited	V.C. Shah & Co.	0.03	0.01	0.04
Kotak Mahindra (International) Limited	Ernst & Young Mauritius	0.52	0.00	0.52
Kotak Mahindra (UK) Limited	Ernst & Young LLP	1.77	0.01	1.78
Kotak Mahindra, Inc.	KNAV CPA LLP	0.20	-	0.20
Kotak Alternate Asset Managers Limited (earlier known as Kotak Investment Advisors Limited)	Deloitte Haskins & Sells LLP	0.42	0.01	0.43
Kotak Mahindra Trusteeship Services Limited	Deloitte Haskins & Sells LLP	0.07	0.00	0.07
Kotak Infrastructure Debt Fund Limited	Gokhale & Sathe [#]	0.01	0.01	0.02
	KDS & Co	0.07	0.01	0.08
Kotak Mahindra Pension Fund Limited	Manohar Chowdhry & Associates	0.02	-	0.02
Kotak Mahindra Financial Services Limited	Ernst & Young Middle East	0.15	0.07	0.22
Kotak Mahindra Asset Management (Singapore) Pte. Limited	Ernst & Young LLP	0.54	0.01	0.55
IVY Product Intermediaries Limited	V. C. Shah & Co.	0.01	0.00	0.01
BSS Microfinance Limited	Deloitte Haskins & Sells LLP	0.20	0.02	0.22
Sonata Finance Private Limited	B R Maheswari & Co LLP	0.19	0.07	0.26
Total		13.31	1.64	14.95

* Excludes fees paid for audit of Overseas Branch which is done by a non-network firm.

[#] Fees paid to auditor for the period till 30th June, 2024.

Notes:

- (i) On 26th June, 2023, the Bank has incorporated "Kotak Karma Foundation" ("Foundation") under Section 8 of the Companies Act, 2013, as a Wholly-Owned Subsidiary for setting up a Centre of Excellence (CoE) of the Bank for furtherance of part of its Corporate Social Responsibility (CSR) Initiatives. Being a Section 8 company and as per terms of articles, the Foundation operates with restrictions to transfer funds to the parent, and hence, in accordance with the requirements of Accounting Standard 21 on "Consolidated Financial Statements", the Foundation has been excluded from consolidation. Fees for Statutory Audit of the Foundation, by V. C. Shah & Co. (a non-network firm of the Bank's Statutory Auditors), is ₹ 0.01 crore.
- (ii) On 18th June, 2024, the Bank has completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in Kotak Mahindra General Insurance Company Limited ("KGI"), its subsidiary, to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore resulting in net gain from such sale of ₹ 3,803.40 crore (pre-tax), considering the carrying value of investment in consolidated financials. Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an associate company, with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of Zurich Kotak General Insurance Company (India) Limited ("ZKGI") (Formerly known as Kotak Mahindra General Insurance Company Limited), as at 31st March, 2025. Fees for Statutory Audit of ZKGI, by V. C. Shah & Co. and MSKA & Associates, both non-network firms of the Bank's Statutory Auditors, is ₹ 0.09 crore and for other matters, ₹ 0.22 crore.

The Consolidated Statement of Profit and Loss Account for the year ended 31st March, 2025, includes fees to Statutory Auditors of the Bank and their network firms, paid / payable by the Bank and its subsidiaries, for their services post their appointment, as under:

(₹ in crore)

Entity	Name of the Firm	Total Fees
Kotak Mahindra Bank Limited	Price Waterhouse LLP [#]	0.48
	KKC & Associates	2.60
	Deloitte Haskins & Sells	1.92
Kotak Mahindra Capital Company Limited	Deloitte Haskins & Sells LLP	0.22
Kotak Securities Limited	Deloitte Haskins & Sells LLP	1.57
Kotak Mahindra Life Insurance Company Limited	Price Waterhouse LLP [#]	0.12
	KKC & Associates LLP	0.01
Kotak Mahindra Asset Management Company Limited	Price Waterhouse Chartered Accountants LLP [#]	0.04

(₹ in crore)

Entity	Name of the Firm	Total Fees
Kotak Alternate Asset Managers Limited	Deloitte Haskins & Sells LLP	0.43
	Price Waterhouse LLP [#]	0.02
Kotak Mahindra Trusteeship Services Limited	Deloitte Haskins & Sells LLP	0.07
BSS Microfinance Limited	Deloitte Haskins & Sells LLP	0.22
Total		7.70

[#] Fees paid to auditor for the period till 30th June, 2024.

SENIOR MANAGEMENT

Particulars of Senior Management Personnel (“SMP”) and changes since the close of the previous financial year:

Sr. No.	Name	Designation	Particulars of change in SMP
1.	Mr. Devang Gheewalla	Group Chief Financial Officer	Appointed w.e.f. 1 st April, 2024
2.	Ms. Oisharya Das	Group President - Kotak Private Banking	-
3.	Mr. Paul Parambi	Group Chief Risk Officer	Group Chief Risk Officer till 11 th June, 2025 and has been re-designated as Group President – Risk w.e.f. 12 th June, 2025 up to his superannuation on 30 th June, 2025
4.	Ms. Srishti Sethi	Group Chief Risk Officer	Appointed w.e.f. 12 th June, 2025
5.	Mr. Paritosh Kashyap	Group President and Head – Wholesale Banking Group	Appointed w.e.f. 12 th September, 2024
6.	Mr. Manish Kothari	Group President and Head – Commercial Bank	Appointed w.e.f. 12 th September, 2024
7.	Mr. Vyomesh Kapasi	Group President and Head - Consumer Bank - Product	Appointed w.e.f. 22 nd March, 2025
8.	Mr. Bhavnish Lathia	President and Chief Technology Officer	Appointed w.e.f. 22 nd March, 2025
9.	Mr. Pranav Mishra	President and Head - Consumer Bank – Distribution	Appointed w.e.f. 22 nd March, 2025
10.	Mr. Phani Shankar	President and Chief Credit Officer	Appointed w.e.f. 22 nd March, 2025
11.	Mr. Somanahalli Honnesh	President and Group General Counsel	Appointed w.e.f. 22 nd March, 2025
12.	Mr. Anupam Kaura	President and Chief Human Resources Officer	Appointed w.e.f. 22 nd March, 2025
13.	Mr. Rohit Bhasin	President and Chief Marketing Officer	Appointed w.e.f. 22 nd March, 2025
14.	Mr. Rajiv Mohan	President and Head - Treasury and Global Markets	Appointed w.e.f. 22 nd March, 2025
15.	Mr. Himanshu Vasa	Chief Compliance Officer	-
16.	Mr. Anantha Raman R.	Head - Internal Audit	-
17.	Ms. Avan Doomasia	Company Secretary	-

Notes:

- Mr. Jaideep Hansraj was appointed as Group President – One Kotak, with effect from 1st April, 2024 and subsequently elevated as Whole-time Director (Executive Director), with effect from 11th February, 2025, on receipt of approval from the Reserve Bank of India. On becoming Whole-time Director (Executive Director) of the Bank, Mr. Hansraj ceased to be a SMP and was appointed as a KMP of the Bank.
- Mr. Virat Diwanji retired and ceased to be Group President – Consumer Bank and a SMP on 31st July, 2024.
- Mr. Milind Nagnur was appointed as Chief Operating Officer and Chief Technology Officer and a SMP, with effect from 1st April, 2024 and subsequently ceased to be Chief Operating Officer and Chief Technology Officer and a SMP on 15th February, 2025.
- Mr. Himanshu Vasa will cease to be the Chief Compliance Officer (“CCO”) and a SMP, with effect from end of the day on 10th July, 2025, in view of his upcoming retirement.
- Mr. Anantha Raman R will cease to be the Head of Internal Audit (“HIA”), with effect from end of the day on 10th July, 2025 and will become the new CCO, with effect from 11th July, 2025. He will continue to be a SMP.
- Mr. Ashish Athalye will become the new HIA and a SMP, with effect from 11th July, 2025.

SHAREHOLDER RELATED INFORMATION

GENERAL MEETINGS

The details of General meetings of the members of the Bank held during the last three years are given, as below:

General Meetings	Day, Date, Time and Location	Special Resolutions
Thirty-Ninth AGM	Saturday, 3 rd August, 2024, 11:30 a.m. IST through Video Conferencing, deemed to have been held at the Registered Office of the Bank.	i. Appointment of Ms. Ketaki Bhagwati as a Director and an Independent Director of the Bank ii. Alteration of the Articles of Association of the Bank iii. Increase in remuneration of Mr. C S Rajan, Non-Executive Independent Part-time Chairman
Thirty-Eighth AGM	Saturday, 19 th August, 2023, 10:00 a.m. IST through Video Conferencing, deemed to have been held at the Registered Office of the Bank.	No Special Resolution was passed.
Thirty-Seventh AGM	Saturday, 27 th August, 2022, 10:00 a.m. IST through Video Conferencing, deemed to have been held at the Registered Office of the Bank.	No Special Resolution was passed.

Pursuant to the provisions of Section 108 of the Act read with Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended from time to time and the provisions of Regulation 44 of the SEBI Listing Regulations, the Bank has been providing remote e-voting facility to its members to enable them to cast their votes by electronic means on all resolutions.

POSTAL BALLOT

In accordance with the General Circular No. 14/2020 dated 8th April, 2020 and General Circular No. 17/2020 dated 13th April, 2020 read with other relevant circulars, including General Circular No. 09/2024 dated 19th September, 2024, issued by the Ministry of Corporate Affairs, Government of India ("MCA circulars"), the approval of the members of the Bank for the below mentioned resolutions was sought through a postal ballot event, during the FY 2024-25.

In compliance with Regulation 44 of the SEBI Listing Regulations and pursuant to the provisions of Sections 108 and 110 of the Act read with the Rules and the MCA circulars, in respect of the postal ballot event, the Bank had extended only the remote e-voting facility for its members, to enable them to cast their votes electronically instead of submitting the postal ballot forms.

Mr. P. N. Parikh, Practising Company Secretary and Partner in Parikh & Associates, Company Secretaries (FCS: 327 and COP: 1228) acted as the Scrutiniser in this postal ballot event and conducted the same in a fair and transparent manner.

The Bank had engaged the services of National Securities Depository Limited ("NSDL") for providing remote e-voting facility to the members, enabling them to cast their vote in a secure manner.

POSTAL BALLOT CONDUCTED DURING JANUARY-FEBRUARY 2025:

The Notice of Postal Ballot dated 21st January, 2025 along with Explanatory Statement and remote e-voting instructions were sent to all the members in electronic form only, on the same day, for recording their assent or dissent through electronic means. The remote e-voting commenced on 22nd January, 2025 (9:00 a.m. IST) and ended on 20th February, 2025 (5:00 p.m. IST). Voting rights of Members were reckoned in proportion to their share in the paid-up equity share capital of the Bank as on 17th January, 2025.

The Scrutiniser had submitted his report dated 20th February, 2025 on postal ballot (through remote e-voting process). The resolutions were deemed to have been duly passed on the last date specified for remote e-voting i.e. 20th February, 2025. The details of the voting pattern are, given below:

Sr. No.	Particulars of Resolution	Types of Resolution	% of Votes in favour on votes polled	% of Votes against on votes polled
1	Appointment of Mr. Jaideep Hansraj as a Director and Whole-time Director, to be designated as 'Whole-time Director (Executive Director)' of the Bank and payment of remuneration to him	Ordinary	99.50	0.50
2	Revision in remuneration of Ms. Shanti Ekambaram, Whole-time Director designated as 'Deputy Managing Director' of the Bank	Ordinary	99.28	0.72
3	Issuance of Unsecured, Redeemable, Non-Convertible Debentures / Bonds / other Debt Securities on a private placement basis during FY 2025-26	Special	99.23	0.77
4	Approval of the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 for grant of performance linked restricted stock units to eligible employees of the Bank	Special	99.10	0.90
5	Approval of the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 for grant of performance linked restricted stock units to the eligible employees of wholly-owned subsidiaries of the Bank	Special	99.05	0.95
6	Revision in the approved ESOP pool under the Kotak Mahindra Equity Option Scheme 2023 for the implementation of the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025	Special	99.27	0.73

Note:

i. All the above resolutions were passed with requisite majority.

PROPOSED RESOLUTION THROUGH POSTAL BALLOT

Currently, no special resolution is proposed to be passed through postal ballot.

FINANCIAL COMPLIANCE CALENDAR

For each calendar quarter, the quarterly and annual standalone and consolidated financial results of the Bank are reviewed and taken on record / approved by the Board, within the statutory prescribed time period and then disclosed to the Stock Exchanges as required under relevant provisions of the SEBI Listing Regulations. The said financial results along with the earnings update / investor presentation (as the case may be), are posted on the website of the Bank and are available for the current as well as at least previous five financial years. Every quarter, the Managing Director & CEO and the Whole-time Director(s) along with the senior officials participate on a call with the analysts / investors, the transcripts of which are posted on the website of the Bank. The Bank also has dedicated personnel to respond to queries from investors.

Board Meeting Calendar for FY 2025-26

Standalone and Consolidated Financial Results for:	Tentative Date
First Quarter (unaudited)	
Second Quarter and half-year (unaudited)	End of the subsequent month from the end of the quarter.
Third Quarter and nine month (unaudited)	
Fourth Quarter/ Financial Year (audited)	Within six (6) weeks from the end of the quarter / Financial Year.

The AGM to consider the financial statements is held in the second quarter of the Financial Year.

Equity Shares

The Equity Shares of the Bank have face value of ₹ 5/- each and are listed on BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE"). The International Security Identification Number ("ISIN") in respect of the Equity Shares and the Market Scrip Code / Symbol are, as under:

Name & Address of Stock Exchange(s)	Market Scrip Code / Symbol	ISIN
BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai 400 001	500247	INE237A01028
National Stock Exchange of India Limited Exchange Plaza, 5 th Floor, Bandra-Kurla Complex, Bandra, Mumbai 400 051	KOTAKBANK	

The annual listing fee for FY 2025-26 has been paid to BSE and NSE on time. Annual Custody / Issuer fee for FY 2025-26 has also been paid to the Depositories, based on invoices received.

TRADING OF SHARES TO BE IN COMPULSORILY DEMATERIALIZED FORM

The equity shares of the Bank are traded only in dematerialised form. Transfer of shares held in physical form cannot be processed.

Pursuant to the SEBI Listing Regulations, the Bank shall (i) effect issuance of certificates in dematerialised form only, for any requests received for sub-division, split, consolidation, renewal, exchanges, endorsements or issuance of duplicate certificates; and (ii) execute requests for transmission and transposition of securities, held in physical or dematerialised form, in dematerialised form only. Investors holding shares in physical form are advised to dematerialize their existing holdings.

SIMPLIFIED NORMS FOR PROCESSING INVESTOR'S SERVICE REQUEST BY RTAs AND NORMS FOR FURNISHING PAN, KYC DETAILS AND NOMINATION

SEBI has mandated:

- (i) furnishing of PAN, postal address with PIN, e-mail address, mobile number, bank account details and latest specimen signature, etc.; and
- (ii) compulsorily linking PAN with Aadhaar number, unless specifically exempt by the competent authority.

In terms of the said SEBI circular, folios, wherein any of the above mentioned document / details (except for nomination) are not available, such members will not be eligible to lodge any grievance or avail service request from the Registrars and Share Transfer Agent or receive any dividend from the Bank in physical mode.

The Bank has written individually to the concerned members to take appropriate action in this regard. Members holding Equity Shares of the Bank in physical mode are advised to contact the Registrar and Share Transfer Agent of the Bank, viz., KFin Technologies Limited, for further details or for updating their PAN, KYC and Nomination details.

BREAK-UP OF THE SHARES HELD IN PHYSICAL AND ELECTRONIC MODE AS ON 31ST MARCH, 2025

Equity Shares

Physical Mode		Electronic Mode		
No. of Shares	% of Equity		No. of Shares	% of Equity
2,643,226	0.13	NSDL	1,944,738,803	97.81
		CDSL	40,840,964	2.06
		Total Shares	1,985,579,767	99.87

Debentures and Bonds

The Bank has issued Non-Convertible Debentures ("NCDs") / Bonds on private placement basis and the same are listed on the Stock Exchanges viz., BSE / NSE. Details of the outstanding NCDs / Bonds as on 31st March, 2025 are, as follows:

ISIN	Description	Coupon Rate (p.a.)	Redemption Date	Quantity	Face Value (₹ in lakh)	Amount (₹ in lakh)	BSE Scrip Code	NSE Symbol
INE237A08940	Senior,	8.25%	28 th April, 2026	1,500	10	15,000	958687	KMB26
INE237A08957	Unsecured,	7.63%	1 st December, 2029	15,000	10	150,000	974396	KMB29
INE237A08965	Rated, Listed	7.85%	20 th March, 2030	30,000	1	30,000	974682	KMB30
INE237A08973	Redeemable,	7.55%	24 th June, 2030	189,500	1	189,500	974924	KMB30
INE237A08981	Long Term Bonds in the Nature of Debentures	7.60%	14 th February, 2031	100,000	1	100,000	975387	N.A.

Transfer of unclaimed dividend and shares to the Investor Education and Protection Fund

Pursuant to Sections 124 and 125 of the Act and the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 ("Rules"), any dividend which remains unpaid or unclaimed for a period of seven years from the date of its transfer to the unpaid account, shall be transferred to the Investor Education and Protection Fund ("IEPF") established by the Central Government. Further, all shares in respect of which the dividend has not been paid or claimed for seven consecutive years or more shall also be transferred to the IEPF Authority.

During the financial year 2024-25, the Bank has transferred unclaimed / unpaid dividend aggregating ₹ 33.87 lakh pertaining to FY 2016-17 to IEPF.

The table given below gives the dates of dividend declaration and the corresponding dates when unclaimed dividends are due to be transferred to the Fund:

Financial Year	Dividend Type	Date of Declaration	Due Date of Transfer
2017-18	Final	19 th July, 2018	18 th August, 2025
2018-19	Final	22 nd July, 2019	21 st August, 2026
2019-20	As per the notification of RBI dated 17 th April, 2020, banks were advised not to declare dividend on equity shares for FY 2019-20.		
2020-21	Final	25 th August, 2021	24 th September, 2028
2021-22	Final	27 th August, 2022	26 th September, 2029
2022-23	Final	19 th August, 2023	18 th September, 2030
2023-24	Final	3 rd August, 2024	2 nd September, 2031

No interest on NCDs has remained unclaimed / unpaid for any financial year.

Pursuant to the requirements of the Rules and the subsequent various circulars / notifications issued by MCA in this regard, the Bank has transferred a total of 244,626 equity shares to IEPF Authority during FY 2024-25 (cumulative till date: 4,476,363 equity shares). The voting rights in the equity shares transferred to the IEPF Authority shall remain frozen till the rightful owner claims the shares. The details of such equity shares transferred to IEPF Authority are available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/investor-information/investor-info.html> Till date, 945,559 equity shares (including 186,834 equity shares during FY 2024-25) have been released by the IEPF Authority to the rightful claimants.

The Bank has initiated necessary steps for the transfer of relevant unclaimed / unpaid amounts and Equity Shares to IEPF Authority during financial year 2025-26. The Bank has also uploaded on its website, the details of unpaid and unclaimed amounts lying with the Bank as on 31st March, 2025 and the same can be accessed at <https://www.kotak.com/en/investor-relations/investor-information/investor-info.html>

The details of Equity Shares liable to be transferred during the financial year 2025-26 as also, those already transferred to the IEPF Authority are available on the website of the Bank viz., URL: <https://www.kotak.com/en/investor-relations/investor-information/investor-info.html>

The procedure to claim unpaid / uncashed amounts / unclaimed shares transferred to IEPF Authority is available on the Bank's website viz., <https://www.kotak.com/en/investor-relations/investor-information/iepf.html>

Shareholding-Equity Shares

Category	As on 31 st March, 2025		As on 31 st March, 2024	
	No of Equity Shares held	% of Equity Shares	No of Equity Shares held	% of Equity Shares
A Promoter & Promoter Group Holding				
Promoters & Promoter Group	514,640,397	25.88	514,880,396	25.90
Sub-Total	514,640,397	25.88	514,880,396	25.90
B Non-Promoters' Holding				
Institutional Investors				
a. Mutual Funds	344,742,941	17.34	254,784,254	12.82
b. Banks / Financial Institutions, Qualified Institutional Buyer, Insurance Companies (State/ Central Government Institutions)	202,203,261	10.17	177,522,711	8.93
c. National Pension System Trust	26,738,764	1.34	29,507,381	1.48
d. Foreign Institutional	616,271,361	31.00	714,507,075	35.94
Sub-Total	1,189,956,327	59.85	1,176,321,421	59.17
C Others				
a. Private Corporate Bodies	37,956,642	1.91	37,199,568	1.87
b. Indian Public including Directors and Relatives	172,688,784	8.69	182,707,647	9.19
c. NRI / OCBs / Foreign Bodies DR	10,519,450	0.53	10,350,960	0.52
d. Foreign Bank	32,813,072	1.65	32,813,072	1.65
e. Foreign Bodies	20,245,699	1.02	25,966,992	1.31
f. Foreign Nationals	-	-	-	-
g. NBFCs	29,354	0.00	652,407	0.03
h. Alternate Investment Fund	5,651,147	0.28	3,379,637	0.17
i. Clearing Members	165,929	0.01	150,398	0.01
j. IEPF	3,556,192	0.18	3,498,400	0.18
Sub-Total	283,626,269	14.27	296,719,081	14.93
Grand Total	1,988,222,993	100.00	1,987,920,898	100.00

Note:

- i. The increase in capital during the FY 2024-25 was pursuant to the allotment of 302,095 equity shares of ₹ 5/- each under the Employee Stock Option Scheme 2015 / 2023 of the Bank.

TOP 10 EQUITY SHAREHOLDERS OF THE BANK AS ON 31ST MARCH, 2025

Sr. No.	Name of the Investor	Total Shares held	% of total equity shares
1	Mr. Uday Kotak	511,261,456	25.71
2	Life Insurance Corporation of India	146,280,035	7.36
3	SBI Mutual Fund	111,121,477	5.59
4	HDFC Mutual Fund	51,631,499	2.60
5	Sumitomo Mitsui Banking Corporation	32,800,000	1.65
6	UTI Mutual Fund	32,453,617	1.63
7	Invesco Developing Markets Fund	30,297,352	1.52
8	National Pension System Trust	26,738,764	1.34
9	Government Pension Fund Global	24,528,551	1.23
10	Europacific Growth Fund	21,477,691	1.08

Note:

- i. Mr. Uday Kotak's shareholding includes 234,356 equity shares held in the name of Kotak Trustee Company Private Limited as trustee for USK Benefit Trust – III, of which, he is the sole beneficiary.

SHAREHOLDING OF KEY MANAGERIAL PERSONNEL (OTHER THAN DIRECTORS) AS ON 31ST MARCH, 2025

Sr. No.	Name of the Key Managerial Personnel	No of Shares	% of total Equity Shares
1	Mr. Devang Gheewalla, Group Chief Financial Officer	132,959	0.01%
2	Ms. Avan Doomasia, Company Secretary	Nil	NA

DISTRIBUTION SCHEDULE AS ON 31ST MARCH, 2025

Sr. No.	Category (Shares)	Equity			
		No. of Holders*	% To Equity Share Holders	No. of Shares	% To Equity Shares
1	1 - 100	629,999	86.23	12,087,653	0.61
2	101 - 200	39,865	5.46	5,959,320	0.30
3	201 - 300	15,835	2.17	4,029,485	0.20
4	301 - 400	8,193	1.12	2,962,274	0.15
5	401 - 500	5,970	0.82	2,786,683	0.14
6	501 - 1000	11,688	1.60	8,650,327	0.44
7	1001 - 2000	7,463	1.02	11,251,670	0.57
8	2001 - 3000	2,840	0.39	7,157,524	0.36
9	3001 - 4000	2,357	0.32	8,730,973	0.44
10	4001 - 5000	1,103	0.15	5,147,028	0.26
11	5001 - 10000	2,094	0.29	14,936,458	0.75
12	10001 and above	3,160	0.43	1,904,523,598	95.79
Total		730,567	100.00	1,988,222,993	100.00

*Before PAN Consolidation

CREDIT RATINGS

Details of Credit ratings obtained by the Bank for securities outstanding as on 31st March, 2025 are, as under:

DOMESTIC RATING

Type of Instrument	Amount (₹ in crore)	Credit Rating/ Outlook
Infrastructure Bonds	10,650	CRISIL AAA / Stable
Fixed Deposits	-	CRISIL AAA / Stable
Certificate of Deposit	30,000*	CRISIL A1+

*The rating with regard to Certificate of Deposit aggregating ₹ 5,000 crore has been newly assigned during the year.

Additionally, below rating agencies have also rated the Bank's debt instruments:

Rating Agency	Type of Instrument	Amount (₹ in crore)	Credit Rating/ Outlook
ICRA	Infrastructure Bonds	11,038	ICRA AAA / Stable
India Ratings	Infrastructure Bonds	7,150	IND AAA / Stable

Note:

i. The Senior long-term debt rating of ₹ 3,000 crore by India Ratings was withdrawn during the year since the same was unutilised.

INTERNATIONAL RATING

S&P Rating	Rating	Outlook
Short Term	A-3	Positive
Long Term	BBB-	Positive

There has been no change in the Credit Ratings during the year.

MATERIAL SUBSIDIARY

Kotak Mahindra Life Insurance Company Limited (“KLI”), incorporated on 31st August, 2000 in Mumbai, is the material subsidiary of the Bank. In compliance with the SEBI Listing Regulations, Mr. C S Rajan, Independent Director, holds directorship, as an Independent Director, in KLI.

M M Nissim and Co LLP, Chartered Accountants and Price Waterhouse LLP, Chartered Accountants, have been appointed as the Statutory Auditors of KLI, for a term of five years and to hold office from the conclusion of the Annual General Meeting of KLI held on 12th May, 2022 till the conclusion of the AGM of KLI to be held in the year 2027. Details of the fees paid to them (audit fees and fees paid for other matters) is available in the section ‘Fees paid to the Statutory Auditors’, of this Report.

DISCLOSURES

- During FY 2024-25, the Bank has not entered into any materially significant transactions with its related parties which could lead to a potential conflict of interest between the Bank and these parties. The members of the Bank have, vide Postal Ballot notice dated 10th February, 2024, approved related party transactions by the Bank/its subsidiaries, as potential “material related party transactions” under the provisions of Regulation 23 of the SEBI Listing Regulations, with Infina Finance Private Limited and with Mr. Uday Kotak, Non-Executive Non-Independent Director of the Bank, for FY 2024-25, with respect to Deposits and other transactions / arrangements / service, etc., at an arm’s length basis and in the ordinary course of business. The Bank has not entered into any material financial or commercial transactions with its subsidiaries and other related parties as per AS-18 and the SEBI Listing Regulations that may have potential conflict with the interest of the Bank at large. Further, there were no related party transactions, which were not in the ordinary course of business or not at an arm’s length basis.

The Audit Committee reviews the Related Party Transactions of the Bank on a quarterly basis. The Bank’s Policies on dealing with Related Party Transactions, determining ‘material’ subsidiaries and determination of materiality of events or information are available on the Bank’s website viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>

- There were no instances of non-acceptance of any recommendations of the Board level Committees by the Board.
- During the last three years, there was no non-compliance by the Bank and no penalties or strictures were imposed on the Bank by the Stock Exchange(s) and / or SEBI and / or any other statutory authorities on any matter relating to capital market except as have been disclosed to the Stock Exchanges.
- None of the Directors are related to any other Director.
- The Bank has adopted a Whistle Blower Policy. It covers not just employees and directors, but also suppliers, vendors, service providers and other concerned stakeholders of the Bank to enable them to raise their concerns relating to the fraud, malpractice or any other untoward activity or event which is against the interest of the Bank or society as a whole. The Bank has a digital platform through which concerns may be raised and the same is managed and hosted by an independent third party service provider who has proven expertise in this area, thereby ensuring absolute confidentiality. The Bank hereby affirms that no personnel has been denied access to the Audit Committee. Further, the Chairperson of the Audit Committee has access rights to the whistle blower portal. The Audit Committee reviews a synopsis of the complaints received and the resolution thereof, every quarter under the said Policy.
- The Bank has complied with the mandatory requirements regarding Corporate Governance under the SEBI Listing Regulations, including those covered under Regulations 17 to 27, Clauses (b) to (i) of sub-regulation (2) of Regulation 46 and those covered under paras (2) to (10) of Clause C of Schedule V thereto.
- All the amounts raised by the Bank through private placement of Non-Convertible Debentures have been fully utilised towards the purposes for which these amounts were raised and there has been ‘no deviation’ in utilisation of the proceeds so raised. During the FY 2024-25, the Bank has not raised funds through Preferential Allotment or Qualified Institutions Placements.
- The relevant disclosures in relation to the number of complaints under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 have been mentioned in the Directors’ Report of the Bank.

- The Bank's Policy for determining material subsidiaries, is in line with the SEBI Listing Regulations and is available on the Bank's website viz., URL: <https://www.kotak.com/content/kotakcl/en/investor-relations/governance/policies.html>
- In terms of the SEBI Listing Regulations, the Bank's Policy on dealing with Related Party Transactions is available on the Bank's website viz., URL: <https://www.kotak.com/en/investor-relations/governance/policies.html>
- The Managing Director & CEO and the Chief Financial Officer of the Bank have duly provided the compliance certificate to the Board of Directors, for financial year 2024-25, as specified in Part B of Schedule II of the SEBI Listing Regulations.
- Disclosure with respect to demat suspense account / unclaimed suspense account:

Particulars	Records/ No. of shareholders	Equity Shares
Opening Balance as on 1 st April, 2024	1	1,000
Add: Shares Transferred to the Account	0	0
Less: Claims received and shares transferred to the Shareholder	0	0
Closing balance as on 31 st March, 2025	1	1,000

PLANT LOCATIONS

Being in the banking business, the Bank does not have plants. However, the Bank has 2,148 branches (excluding branches at DIFC, Dubai and GIFT city, Gujarat) and 3,295 ATMs as on 31st March, 2025. The locations of the branches / ATMs are displayed on the Bank's website viz., URL: <https://www.kotak.com/en/reach-us.html>

DISCLOSURE REGARDING COMMODITY PRICE RISKS OR FOREIGN EXCHANGE RISKS AND HEDGING ACTIVITIES

Being in the business of banking, as per the extant regulations, the Bank does not take any commodity price risk. However, the Bank engages in certain bullion related activities under the ambit of the Bullion Policy of the Bank. The Bank engages in the consignment sale of bullion. The Bank offers gold forwards and hedges the risk by covering the position on back-to-back basis in the interbank market. In addition to that, the Bank provides gold metal loans and manages the corresponding risk by hedging the exposures on a back-to-back basis with gold suppliers and in the interbank market. During the financial year 2024-25, the Bank had no exposure / positions of its own account in commodities. The Bank takes foreign exchange (FX) risk and hedges it as per the structure prescribed under the Investment Policy of the Bank.

COMPLIANCE WITH MANDATORY REQUIREMENTS

The Bank has complied with all the mandatory requirements of Corporate Governance stipulated under the SEBI Listing Regulations.

COMPLIANCE WITH NON-MANDATORY REQUIREMENTS

The Bank has complied with the non-mandatory requirements of Corporate Governance stipulated under the SEBI Listing Regulations, as under:

1. THE BOARD:

The office of Non-Executive Chairman of the Bank is maintained by the Bank at its expense and all the expenses incurred in performance of his duties are reimbursed by the Bank.

2. SHAREHOLDER RIGHTS:

The quarterly results and important announcements made under Regulation 30 of the SEBI Listing Regulations are sent by email to those members whose email Ids are registered with the Bank / Depository Participant(s) for communication purposes.

3. AUDIT QUALIFICATIONS:

During the period under review, there were no audit qualifications in respect of the Bank's standalone and consolidated financial statements. The Bank continues to adopt best accounting practices and has complied with the Accounting Standards and there is no difference in the treatment.

4. SEPARATE POSTS OF CHAIRMAN AND MANAGING DIRECTOR & CEO:

Mr. C S Rajan, a Non-Executive Independent Director, is the Part-time Chairman and Mr. Ashok Vaswani is the Managing Director & CEO of the Bank.

5. REPORTING OF INTERNAL AUDITOR:

The Head - Internal Audit reports to the Audit Committee of the Board.

OTHER DISCLOSURES

A. THE MANAGEMENT'S DISCUSSION & ANALYSIS REPORT

The Management's Discussion & Analysis Report, giving an overview of the banking and financial services industry, the Bank's business and its financials, is provided separately as a part of this Integrated Annual Report.

B. MEANS OF COMMUNICATION

The financial results, along with earnings update / investors presentation approved by the Board of Directors, are uploaded on the website of BSE (<https://www.bseindia.com/>) and NSE (<https://www.nseindia.com/>) and the Bank's website (<https://www.kotak.com/en/investor-relations/financial-results.html?source=website>) within regulatory prescribed timelines. The Quick Response (QR) Code/ web-link to access these results is / are also published in one English and one Marathi Regional Language newspaper, within 48 hours of the conclusion of the relevant Board Meeting. Along with the quarterly results, detailed earnings update / investor presentations are also given on the website of the Bank. Further, a quarterly investors' / analysts' conference call is made to discuss the financial results and performance of the Bank and the Group, the transcripts and links to the audio / video recordings of which are posted on the website of the Bank. The Investor Relations section of the website also displays the earnings updates and presentations made to investors and analysts since 2011. The Bank's website also displays all official press / media releases issued by the Bank, from time to time. The Investor Relations section also has several other details such as Basel III and Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) disclosures, Governance related disclosures, composition of the Board of Directors and Committees thereof, Subsidiaries, Key Company Policies, SEBI Listing disclosures, Investor Information, Shareholding Pattern, Contact and Registration Details, details of Registrar & Share Transfer Agent, Dividend Payment History, etc. The Annual Reports of the Bank, along with its subsidiaries Annual Reports, since 2011, are also made available on the website (<https://www.kotak.com/en/investor-relations/financial-results/annual-reports.html?source=website>).

The financial results and updates on other important events are sent by e-mail to those members whose e-mail ids are registered with the Bank or the Depository Participants. The Bank also publishes its Balance Sheet and Profit and Loss Account together with the Auditors' Report in a newspaper as required in terms of Section 31 of the Banking Regulation Act, 1949 and Rule 15 of the Banking Regulation Companies Rules, 1949. The financial results are also sent by e-mail to equity research analysts working with various brokerage houses. The financial results and other information filed with the stock exchanges by the Bank, from time to time, are available on the website of the Bank as also the stock exchanges. The management of the Bank also meets various investors, including its Institutional members.

Pursuant to the provisions of the Companies (Accounts) Rules, 2014 and keeping in view the relaxations granted by the MCA circulars and circulars of SEBI, the Bank proposes to despatch the audited financial statements for the year ended 31st March, 2025 and all other documents required to be attached thereto, only by electronic mode, to the members whose email address is registered with the Bank / Depository Participant(s). Those members, whose e-mail address is not registered with the Bank or with their respective Depository Participant(s), and who wish to receive the said financial statements for the year ended 31st March, 2025, can get their e-mail address registered by following the steps as detailed in the Notice convening the Fortieth AGM.

INVESTOR HELPDESK

Investors are requested to write to the Bank, at its Registered Office address or to KFin Technologies Limited ("KFin"), its Registrars & Share Transfer Agents for addressing their correspondence or complaints or may address their correspondence or complaints to designated email address viz., investor.grievances@kotak.com or einward.ris@kfin.tech, in terms of Regulation 34(3) read with Schedule V of the SEBI Listing Regulations.

For queries, etc. related to dividend payments, IEPF claims and all other investor related activities as also for lodgement of any documents or for any grievances / complaints, investors may contact or write to the Bank or KFin. The Company Secretarial Department regularly monitors and reviews the status of the investor correspondence and complaints received at the Registered Office and also by KFin, to ensure timely redressal of complaints.

As advised by the SEBI, the Bank has a designated email id of its Compliance Officer i.e. investor.grievances@kotak.com for the purpose of registering complaints by the investors. The same has also been displayed on the website of the Bank.

INVESTOR INFORMATION

Date of Incorporation	21 st November, 1985
Registration No.	11-38137 TA
Corporate Identification No.	L65110MH1985PLC038137
Registered Office	Kotak Mahindra Bank Limited 27BKC, C 27, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai- 400 051 Tel. No. +91-22-61661615 Website: www.kotak.com E-mail : investor.grievances@kotak.com
Contact (Nodal officer – IEPF)	Ms. Avan Doomasia, Company Secretary Tel. No. +91-22-61661615 E-mail : KotakBank.Secretarial@kotak.com
Registrar & Transfer Agent (For Equity)	KFin Technologies Limited Selenium Tower B, Plot 31-32, Gachibowli, Financial District, Nanakramguda, Hyderabad- 500 032, Telangana Toll free number: 1- 800-309-4001 Website: https://ris.kfintech.com E-mail: einward.ris@kfintech.com
Registrar & Share Transfer Agent (For Debt Securities)	MUFG Intime India Private Limited (Formerly known as Link Intime India Private Limited) C-101, 247 Park, L.B.S. Marg, Vikhroli (West), Mumbai –400083 Tel No.: +91-22-49186000 Website: https://in.mpms.mufg.com E-mail: mumbai@linkintime.co.in
Debenture Trustees (For Kotak Mahindra 8.25% 2026)	i. IDBI Trusteeship Services Limited Asian Building, Ground Floor, 17, R Kamani Marg, Ballard Estate, Mumbai – 400 001 Tel No.: +91-22-40807001 Website: https://idbitrustee.com/ E-mail: itsl@idbitrustee.com
(For Kotak Mahindra 7.63% 2029, Kotak Mahindra 7.85% 2030, Kotak Mahindra 7.55% 2030 and Kotak Mahindra 7.60% 2031)	ii. Catalyst Trusteeship Limited GDA House, Plot No. 85, Bhusari Colony (Right), Kothrud, Pune 411038 Tel.: +91-20-66807200 Website: www.catalysttrustee.com Email: dt@ctltrustee.com
Fortieth AGM, Date and Time	Saturday, 2 nd August, 2025 at 10:00 a.m. (Indian Standard Time)
Venue	The AGM will be held through Video Conferencing. The deemed venue of the meeting shall be the Registered Office of the Bank.
Financial Year	1 st April, 2024 to 31 st March, 2025
Dividend Payment Date	Between Monday, 4 th August, 2025 and Friday, 8 th August, 2025 (subject to declaration at the AGM)

For Kotak Mahindra Bank Limited

C S Rajan

Chairman

Place: Mumbai

Date: 28th June, 2025

Ashok Vaswani

Managing Director & CEO

Place: Mumbai

Date: 28th June, 2025

Annexure I

To,

The Members

Kotak Mahindra Bank Limited

27BKC, C 27, G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

I have examined the relevant registers, records, forms, returns and disclosures received from the Directors of Kotak Mahindra Bank Limited (hereinafter referred to as 'the Bank'), having CIN L65110MH1985PLC038137 and having registered office at 27BKC, C 27, G Block, Bandra Kurla Complex, Bandra (E), Mumbai – 400051, produced before me by the Bank & Officers for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my information and according to the verifications (including Directors Identification Number (DIN) status at the portal of the Ministry of Corporate Affairs, Government of India, i.e., www.mca.gov.in) as considered necessary and explanations furnished to me by the Bank & its Officers, I hereby certify that none of the Directors on the Board of the Bank as stated below, for the Financial Year ended 31st March, 2025, have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, the Reserve Bank of India or any such other Statutory Authority.

Sr. No.	Name of the Director	DIN	Date of appointment on the Board of the Company
1.	Mr. C S Rajan	00126063	22 nd October, 2022
2.	Mr. Uday Shankar	01755963	16 th March, 2019
3.	Dr. Ashok Gulati	07062601	6 th March, 2021
4.	Ms. Ashu Suyash	00494515	24 th January, 2022
5.	Mr. Cornelis Petrus Adrianus Joseph Leenaars	10438792	1 st January, 2024
6.	Ms. Ketaki Bhagwati [®]	07367868	18 th May, 2024
7.	Mr. Amit Desai	00310510	18 th March, 2022
8.	Mr. Uday Kotak	00007467	21 st November, 1985
9.	Mr. Ashok Vaswani	10227550	1 st January, 2024
10.	Ms. Shanti Ekambaram	00004889	1 st November, 2022
11.	Mr. Jaideep Hansraj [^]	02234625	11 th February, 2025
12.	Mr. KVS Manian [#]	00031794	1 st November, 2019
13.	Mr. C Jayaram [`]	00012214	1 st October, 1999
14.	Mr. Uday Khanna [§]	00079129	16 th September, 2016

[®]Ms. Ketaki Bhagwati was appointed as an Independent Director of the Bank, from 18th May, 2024 to 17th May, 2028 (first term).

[^]Mr. Jaideep Hansraj was appointed as a Whole-time Director of the Bank, w.e.f. 11th February, 2025, on receipt of the approval of the Reserve Bank of India.

[#]Mr. KVS Manian ceased to be the Whole-time Director of the Bank, w.e.f. 30th April, 2024 on account of his resignation.

[`]Mr. C Jayaram completed his term as a Non-Executive Director of the Bank, on 30th April, 2024 on completion of eight continuous years in line with provisions of the Banking Regulation Act, 1949 and ceased to be a Director, as aforesaid.

[§]Mr. Uday Khanna retired as an Independent Director of the Bank, w.e.f. the end of the day on 15th September, 2024 on completion of eight continuous years in line with the provisions of the Banking Regulation Act, 1949 and expiry of his second consecutive term as an Independent Director.

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Bank. My responsibility is to express an opinion on these based on my verification. This certificate is neither an assurance as to the future viability of the Bank nor of the efficiency or effectiveness with which the management has conducted the affairs of the Bank.

Rupal Dhiren Jhaveri

FCS No: 5441

Certificate of Practice No.: 4225

ICSI UDIN: F005441G000643815

Peer Review Certificate No.:1139/2021

Place: Mumbai

Date: 21st June, 2025

Annexure II

To
The Members,
KOTAK MAHINDRA BANK LIMITED
27BKC, C 27, G Block, Bandra Kurla Complex,
Bandra-East, Mumbai-400051

I have examined the compliance of the conditions of Corporate Governance by Kotak Mahindra Bank Limited ("**the Bank**") for the year ended on 31st March, 2025, as stipulated under Regulations 17 to 27, clauses (b) to (i) and (t) of sub-regulation (2) of Regulation 46, clauses (a) to (i) of sub-regulation (1A) of Regulation 62 and Para C, D and E of Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("**SEBI Listing Regulations**").

The compliance of the conditions of Corporate Governance is the responsibility of the management. My examination was limited to the review of procedures and implementation thereof, as adopted by the Bank for ensuring compliance with conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Bank.

In my opinion and to the best of my information and according to the explanations given to me and the representations made by the Directors and the management, I certify that the Bank has complied with the relevant conditions of Corporate Governance as stipulated in the SEBI Listing Regulations for the year ended on 31st March, 2025.

I further state that this certificate is neither an assurance as to the future viability of the Bank nor of the efficiency or effectiveness with which the management has conducted the affairs of the Bank.

Rupal Dhiren Jhaveri

FCS No: 5441

Certificate of Practice No.: 4225

ICSI UDIN: F005441G000643804

Peer Review Certificate No.:1139/2021

Place: Mumbai

Date: 21st June, 2025

Annexure III

DECLARATION

In accordance with Schedule V (D) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, I hereby confirm that all the Directors and the Senior Management Personnel of the Bank have affirmed compliance to the Code of Conduct for the financial year ended 31st March, 2025.

For Kotak Mahindra Bank Limited

Ashok Vaswani

Managing Director & CEO

Place: Mumbai

Date: 28th June, 2025

Management's Discussion and Analysis

MACROECONOMIC ENVIRONMENT

FY 2024-25 started on a positive note as growth prospects remained robust despite the ongoing geopolitical upheavals. Inflation, which had remained stubbornly high in Calendar Year ("CY") 2023, was showing signs of easing in CY 2024. Consequently, major central banks began their easing cycle after holding interest rates at decadal-high levels. The US election outcome in November 2024 and subsequent assuming office of the President in January 2025 have, however, led to high uncertainty, putting breaks on the pace of global growth momentum. The US administration's trade and tariff policies have given rise to fears of higher inflation, slower global growth and a repricing in the pace of monetary easing. A trade war between the US and China would likely hurt growth prospects as the world enters a new phase of trade negotiations, investment reconsiderations and rerouting of trade and supply chains. According to the International Monetary Fund (IMF), global real GDP growth in CY 2025 is estimated at 2.8% compared to its January 2025 projection of 3.3% and CY 2024 growth at 3.3%.

Domestically, growth concerns have remained on the forefront in FY 2024-25, beginning with weak government spending in Q1FY25 due to the general elections. Q1FY25 real GDP growth was at 6.5% (decelerating from 8.4% in Q4FY24). Private consumption growth of 8.3% continued to outpace investments (which improved to 6.7% from 6.0% in Q4FY24) after an otherwise lacklustre performance in FY 2023-24. Real Gross Value Added (GVA) growth fell to 6.5% (from 7.3% in Q4FY24), largely supported by industry sector growth at 8.5%. In Q2FY25, real GDP growth slowed to 5.6%, led by weak government consumption growth, along with lacklustre growth in private consumption and investments. Real GVA growth moderated to 5.8% due to poor corporate earnings. In Q3FY25, real GDP growth picked up to 6.4%, as growth in government spending normalised to 9.3% after two quarters of slowdown. GVA growth was led by services growth at 7.4%. In Q4FY25, real GDP surprised on the upside at 7.4%, driven by investment growth of 9.4%. Real GVA growth also quickened to 6.8%, driven by the construction sector. Notably, the wide divergence between real GDP-GVA growth rates witnessed in FY 2023-24 due to high growth in net indirect taxes (indirect taxes-subsidies) disappeared in FY 2024-25.

The National Statistics Office (NSO) estimates real GDP growth in FY 2024-25 at 6.5% (in line with the NSO's second advance estimate), sharply down from 9.2% in FY 2023-24. On a value-added basis, real GVA growth is estimated at 6.4% in FY 2024-25 (lower than the 8.6% in FY 2023-24), led by services growth at 7.2% (mainly public admin, defence and others).

The FY 2026 Union Budget continued its focus on fiscal consolidation. Both capital and revenue expenditure growth rates were muted, with an 11% growth budgeted for revenue receipts on the back of a 10.1% growth in nominal GDP. The government announced changes in personal income tax slabs/rates to provide a boost to private consumption, translating to ₹ 1 trillion of tax revenue foregone. Growth in capital expenditure was muted overall, driven by defence and housing. Growth in revenue expenditure has also remained under control. The government continues to prioritise fiscal consolidation and rationalised expenditure to improve the quality of the fiscal. It has targeted central GFD/GDP at 4.4% in FY2026BE (compared to 4.8% in FY2025RE). The strong focus on consolidation was further visible in (1) no growth in subsidies, (2) a modest 8% YoY increase in the rural social sector schemes and (3) no increase in capex in railways and roads. The central government has targeted an 11% growth in tax revenues and total expenditure growth of 7%. The divestment target has been pegged at ₹ 470 billion.

DOMESTIC PRICE DYNAMICS

FY 2024-25 saw a decent progress in headline CPI disinflation. Average headline CPI inflation in FY 2024-25 fell to 4.6% from 5.4% in FY 2023-24, with a March 2025 inflation print of 3.3%, the lowest since August 2019. Even as inflation has decelerated, the drivers shifted through

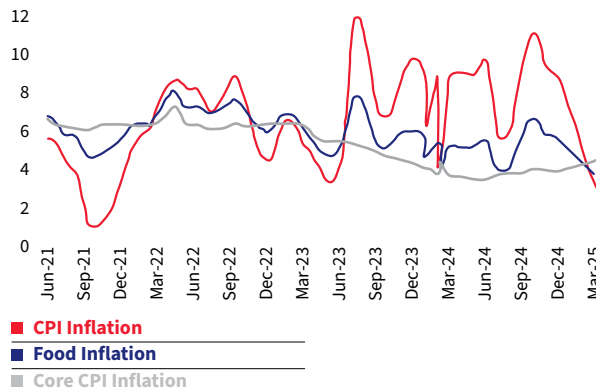
FY 2024-25 REAL GVA GROWTH AT 6.4%

Real GVA growth in FY2025 (NSO estimates, %)



Source: CEIC, Kotak Economics Research

CPI Inflation Averaged 4.63% in FY 2024-25 against 5.36% in FY 2023-24



Source: CEIC, Kotak Economic Research

the year, with food inflation trending lower (with the exception of Q3FY25) and core inflation (CPI excluding food, beverages and fuel) inching up. Food inflation decelerated due to a normal monsoon season and food prices fell across the board. Core inflation was led by a rise in gold prices, with MCX gold prices surging 30% in FY 2025. The average headline inflation trended lower in H1FY25 at 4.6% YoY compared to 5.7% in H2FY24. Q3FY25 saw the re-emergence of food price inflation, led largely by vegetables and oils and fats. This trend reversed again, with food inflation normalising to 4.1% average in Q4FY25, bringing overall inflation down to 3.7% for the period. Core inflation averaged 3.5% in FY 2024-25, while food inflation was at 7.3%. In addition, crude oil prices were lower by 14.6% in FY 2024-25 from the previous year.

MONETARY POLICY AND INTEREST RATES

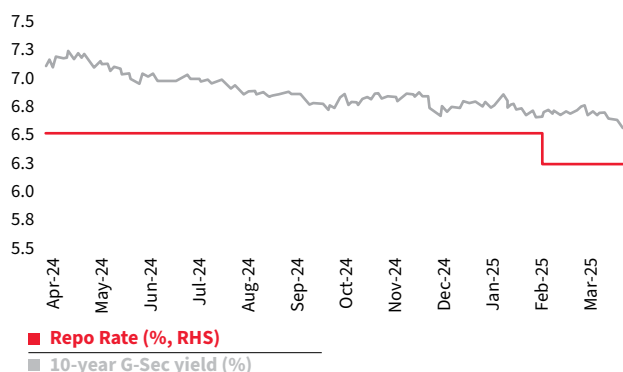
On the monetary policy front, after remaining on a prolonged pause of two years, the RBI initiated its repo rate cutting cycle in the last Monetary Policy Committee meeting of FY 2024-25, with a 25-bps cut, bringing the repo rate to 6.25%. With inflation below the RBI's 4% target, no immediate concerns around inflation and growth slowdown concerns coming to the forefront, the MPC unanimously voted for the rate cut. The policy stance of "withdrawal of accommodation" was unchanged through FY 2024-25.

Banking system liquidity, after starting in a brief positive zone, slipped into the deficit zone before again turning to the surplus zone from July 2024. While system liquidity continued to remain in surplus until mid-December 2024, the conditions were tightening amid advance tax and GST collections and expected FX intervention to manage the losses in INR. In December 2024, the RBI reduced the CRR by 50 bps to 4.00%. The RBI also undertook more durable and frictional liquidity measures, including conducting OMO purchases, FX buy/sell swaps and Daily VRRs, to ensure adequate and smooth monetary transmission.

Consequently, the overnight money market rates stayed around the upper end of the LAF corridor in Q1FY25 during the period of system liquidity deficit. Subsequently, the average overnight rates for the following two quarters were closer to the repo rate before tight liquidity conditions again pushed the rates higher. The RBI's proactive liquidity easing measures since January 2025 have brought the overnight rates lower than the repo rate.

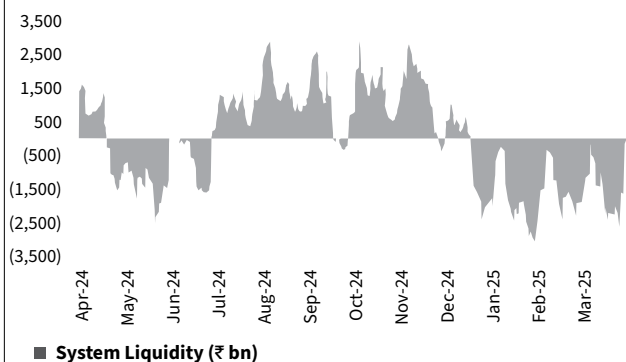
The Indian bond market continued to track cues, mainly from US treasury yields, crude oil prices and the domestic inflation trajectory. With inflation trending downwards, markets were awaiting the beginning of the rate-cut cycle by major central banks. Consequently, after remaining more or less stable through Q1FY25, US Treasury yields softened in Q2FY25 in anticipation of the first interest rate cut by the Fed, supported by easing inflation in the US. The Indian 10-year benchmark yield fell through the period, touching lows of 6.94% in June 2024. In Q2FY25, the 10-year benchmark yield eased further to touch lows of 6.75% in September, aided by a sharp drop in oil prices, closing below USD 70/bbl for the first time in FY 2024-25. Adverse domestic inflation prints in Q3FY25 and strong labour data in the US kept domestic yields comparatively elevated, with the 10-year benchmark yield touching a high of 6.89% in November. Following this, however, proactive liquidity easing measures announced by the RBI, domestic yields continued to soften, reaching lows of 6.65% in December. The Trump administration's announcements and related uncertainty, as well as a prolonged pause by the Fed due to strong economic activity data, hit investor sentiment, leading to massive sell-off in treasuries around the beginning of CY 2025. The UST 10-year yield rose to 4.8% in January from local minimum of 4.5%. As a result, the Indian 10-year benchmark rose to 6.88% in January 2025 from 6.65%. Since then, bond markets have remained supported by favourable inflation prints below the RBI's 4% target, creating room for policy rate cuts, aggressive liquidity easing measures, as well as softening crude oil prices due to the weakening global growth outlook. Further aiding bond market sentiments was the significantly lower-than-expected gross borrowing number of ₹ 14.8 trillion (as well as a lower-than-expected GFD/GDP ratio at 4.4%) in the FY 2025-26 Union Budget. Consequently, the 10-year benchmark yield ended FY 2024-25 at 6.58% (48 bps lower than the previous year's closing).

The Spread Between Repo Rate and 10-year Benchmark G-Sec Yield Narrows



Source: Bloomberg, Kotak Economic Research

System Liquidity Mostly in Deficit Zone in H2 FY 2024-25



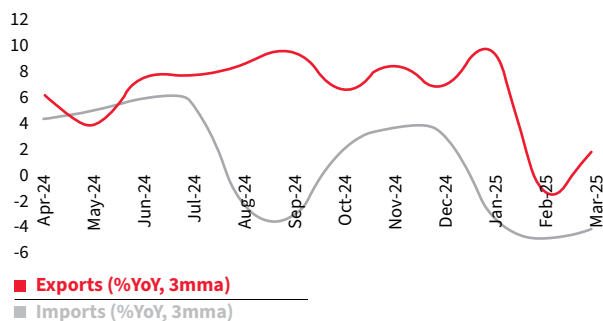
Source: RBI, Kotak Economic Research

EXTERNAL SECTOR DYNAMICS AND THE USD/INR

The external sector in FY 2024-25 came under pressure initially from a widening of the goods trade deficit (mainly due to a sequential contraction in exports). Current account deficit in Q1FY25 amounted to 0.9% of GDP as the goods trade deficit expanded and services trade surplus declined as compared to Q4FY24. While FPI flows were near neutral, strong FDI inflows supported the capital account surplus. The outlook improved in Q2FY25, as the widening in trade deficit was more than compensated by FPI inflows, both in equity and debt and higher inflows under banking capital. While the current account deficit widened to USD 17 billion in Q2FY25, capital account surplus rose to USD 36 billion, bringing the overall balance of payment surplus to USD 19 billion. However, the external sector performance in Q3FY25 deteriorated significantly, as a risk-off sentiment globally led to heavy FPI outflows to the tune of USD 11 billion, further worsened by net FDI outflows of USD 3 billion. The current account deficit improved on the contrary, as services trade surplus expanded and the goods trade deficit lowered as compared to the previous quarter. Falling crude oil prices also provided tailwinds to the external sector position. In Q4FY25, current account balance improved to a surplus of USD 13 billion led by narrowing of goods trade deficit and robust invisibles surplus. Overall, in FY 2024-25, the BOP registered a deficit of USD 5.0 billion, with current account deficit at 0.6% of GDP (from 0.7% deficit in FY 2023-24) and capital account surplus of USD 17 billion (from USD 89 billion in FY 2022-23). Notably, the rise in services surplus has helped narrow the current account deficit despite the widening of the goods trade deficit.

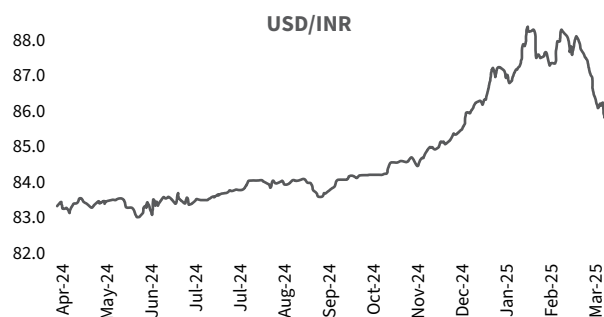
On the FX front, the INR has broadly retained its depreciation bias (2.5% fall in FY 2024-25 from the previous year) with most of the depreciation occurring in H2FY25. USD-INR moved mostly sideways in H1FY25 as the RBI's regular FX intervention kept the currency pair range-bound. In Q2FY25, healthy FPI inflows, along with a weakening DXY index, provided strength to the rupee. The rupee came under pressure in Q3FY25, as FPI outflows accelerated and the dollar started gaining strength on the back of a pickup of the US exceptionalism and delayed rate cuts theme after US President Trump's election in Q3FY25. During this period, USD-INR traded in a range of 83.8 to 85.2. The DXY index extended the gains on continued hopes of US outperformance, with the index surging to a tad above 110 levels in January 2025. However, following the peak, the Trump administration's trade and tariff policies, along with EUR strength due to the German fiscal expansion plans, led to continued weakness in the DXY index, which closed the year ~103 (compared to 104.5 levels by March 2024 end). Simultaneously, USD-INR reached a high of 87.95 in February amid heightened uncertainty and minimal RBI FX intervention. Overall, the INR traded in a range of ₹ 82.95-87.95 in FY 2024-25, with the RBI managing the volatility by intervening on both sides opportunistically. The FX reserves in FY 2024-25 increased by USD 79.4 billion.

Import Growth Outpaced Export Growth in FY 2024-25



Source: CEIC, Kotak Economic Research

After Stable 1H FY25, INR witnessed Sharp Volatility in Q4 FY25



Source: Bloomberg, Kotak Economics Research

CONSOLIDATED FINANCIAL PERFORMANCE

The Bank, along with its subsidiaries (the Group), offers a comprehensive range of financial products and services to its customers. The key businesses are Commercial Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory Services, Asset Management and Life Insurance.

The financial results of the subsidiaries and associates used for the preparation of the consolidated financial results are in accordance with Generally Accepted Accounting Principles in India ("GAAP") specified under Section 133 and relevant provisions of the Companies Act, 2013.

During the year, domestic rating of fixed deposits and long-term instruments issued by the Bank and the major entities in the Group continued to be rated "AAA".

ENTITY-WISE CAPITAL AND RESERVES OF THE GROUP

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Kotak Mahindra Bank Limited	117,145.62	96,639.46
Kotak Mahindra Prime Limited	10,195.53	9,176.48
Kotak Mahindra Investments Limited	3,841.65	3,329.02
Kotak Infrastructure Debt Fund Limited	572.62	519.61
BSS Microfinance Limited	936.32	1,009.85
Sonata Finance Private Limited	402.07	389.41
Kotak Securities Limited	10,012.04	8,286.15
Kotak Mahindra Capital Company Limited	1,630.20	1,181.03
Kotak Mahindra Life Insurance Limited	6,403.07	5,863.23
Zurich Kotak General Insurance Company (India) Limited	-	447.12
Kotak Mahindra Asset Management Company Limited and Kotak Mahindra Trustee Company Limited	3,705.35	2,520.94
Kotak Alternate Assets Managers Limited [#]	1,187.44	864.58
International Subsidiaries	2,280.82	1,962.36
Other Entities	106.94	94.09
Total	158,419.67	132,283.33
Add: Share in Associates	1,767.59	1,587.34
Less: Consolidated Adjustments	(2,792.18)	(3,978.27)
Consolidated Capital and Reserves	157,395.08	129,892.40

[#]Formerly known as Kotak Investment Advisors Limited

On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited) as at 31st March, 2025.

CONSOLIDATED PERFORMANCE

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Total Income	106,902.24	94,273.91
Consolidated Profit After Tax	22,125.99	18,213.21
Consolidated Capital and Reserves	157,395.08	129,892.40
Key Ratios		
Return on Average Assets (RoAA) %	2.73%	2.66%
Return on Average Equity %	15.19%	15.08%
Earnings per equity share (diluted) (₹)	111.29	91.45
Book-value per equity share (₹)	791.64	653.41
Net Interest Margin (NIM) %	4.97%	5.31%
Gross NPA %	1.45%	1.38%
Net NPA %	0.36%	0.36%
Consolidated Capital Adequacy Ratio (CAR) %*	23.31%	21.82%
CET I*	22.34%	20.72%

*As per Basel III norms issued by the RBI

The financial results of subsidiaries are explained later in this discussion. A snapshot of the entity-wise Profit before Tax (PBT) and Profit after Tax (PAT) is as follows:

CONSOLIDATED FINANCIAL RESULTS

(₹ in crore)

Particulars	FY 2024-25		FY 2023-24	
	PBT	PAT	PBT	PAT
Kotak Mahindra Bank Limited	21,584.11	16,450.08*	18,013.72	13,781.58
Kotak Mahindra Prime Limited	1,356.86	1,015.47	1,188.36	888.06
Kotak Mahindra Investments Limited	674.51	501.25	690.51	514.21
Kotak Infrastructure Debt Fund Limited	52.91	53.20	43.40	43.40
BSS Microfinance Limited	(99.34)	(73.67)	509.04	383.22
Sonata Finance Private Limited®	17.27	12.66	(16.64)	(13.71)
Kotak Securities Limited	2,175.23	1,640.46	1,635.18	1,226.17
Kotak Mahindra Capital Company Limited	460.53	360.63	276.69	215.01
Kotak Mahindra Life Insurance Limited	1,174.99	769.47	1,041.24	688.62
Zurich Kotak General Insurance Company (India) Limited [^]	(20.56)	(20.56)	(88.95)	(88.95)
Kotak Mahindra Asset Management Company Limited and Kotak Mahindra Trustee Company Limited	1,270.40	976.50	705.84	525.18
Kotak Alternate Assets Managers Limited [#]	179.65	139.31	76.87	58.84
International Subsidiaries	294.46	254.98	219.74	188.72
Others	10.09	8.02	7.91	5.99
Total	29,131.11	22,087.80	24,302.91	18,416.34
Add: Share from Associates		180.25		236.38
Less: Inter-company and Other Adjustments		(142.06)		(439.51)
Consolidated PAT		22,125.99*		18,213.21

[^]On 18th June, 2024, the Bank completed the divestment of stake in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024.

*Includes gain on divestment of KGI amounting to ₹ 2,729.95 crore on a standalone basis and ₹ 3,013.46 crore on a consolidated basis

®Acquired on 28th March, 2024

[#]Formerly known as Kotak Investment Advisors Limited

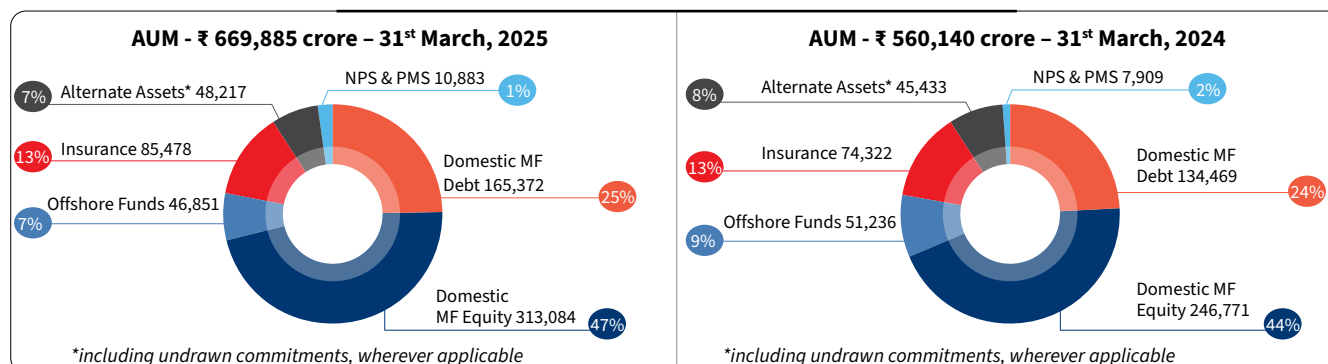
CONTRIBUTION OF THE ASSOCIATES TO THE GROUP FOR FY 2024-25

(₹ in crore)

Name of the Company	Investment by Kotak Group	% Shareholding of the Group	Contribution to Profit	Contribution to Capital and Reserves
Infina Finance Private Limited	1.10	49.99%	93.80	1,318.64
Phoenix ARC Private Limited	100.02	49.90%	91.72	454.23
Zurich Kotak General Insurance Company (India) Limited	321.82	30.00%	(5.27)	(5.27)

ASSETS UNDER MANAGEMENT (AUM) ACROSS THE GROUP

Assets under Management (AUM), including undrawn commitments, as on 31st March, 2025 were ₹ 669,885 crore (₹ 560,140 crore as on 31st March, 2024), comprising assets managed and advised by the Group.



The Group has a wide distribution network of branches and franchisees across India, an International Business Unit at Gujarat International Finance Tec-City (GIFT), overseas branch at the Dubai International Financial Centre (DIFC) and international offices in London, New York, Dubai, Abu Dhabi, Mauritius and Singapore.

BANK AND ITS SUBSIDIARIES: FINANCIAL AND OPERATING PERFORMANCE

BANK HIGHLIGHTS

Kotak Mahindra Bank Limited ("Bank") is the flagship company of the Kotak Group. The principal business activities of the Bank are organised into Consumer Banking, Commercial Banking, Wholesale Banking, Treasury, Private Banking and resolution of acquired stressed assets. The Consumer, Commercial and Wholesale Banking businesses correspond to the key customer segments of the Bank. The Treasury offers specialised products and services to these customer segments and undertakes asset liability management as well as proprietary trading for the Bank.

Profit Before Tax (PBT) of the Bank for FY 2024-25 was ₹ 21,584.11 crore as against ₹ 18,013.72 crore for FY 2023-24. Profit After Tax (PAT) of the Bank was ₹ 16,450.08 crore (excluding gain on KGI divestment: ₹ 13,720.13 crore) in FY 2024-25 compared with ₹ 13,781.58 crore in FY 2023-24. RoAA for FY 2024-25 was 2.65% compared to 2.61% for FY 2023-24.

FINANCIAL PERFORMANCE

Synopsis of the Profit and Loss Account

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Net Interest Income	28,341.78	25,993.20
Other Income	14,961.13	10,273.10
Net Total Income	43,302.91	36,266.30
Employee Cost	7,880.63	6,856.37
Other Operating Expenses	10,895.81	9,822.48
Operating Expenditure	18,776.44	16,678.85
Operating Profit	24,526.47	19,587.45
Provision and Contingencies (Net)	2,942.36	1,573.73
- Provision on Advances (Net)	2,905.44	1,594.82
- General Provision Covid-19 related	(52.35)	(124.91)
- Provision on Other Receivables	(4.38)	24.60
- Provision on Investments	93.65	79.22
PBT	21,584.11	18,013.72
Provision for Tax	5,134.03	4,232.14
PAT	16,450.08	13,781.58

Net Interest Income

Net Interest Income ("NII") of the Bank for FY 2024-25 was ₹ 28,341.78 crore compared to ₹ 25,993.20 crore for FY 2023-24. The Bank reported a Net Interest Margin ("NIM") of 4.96% for FY 2024-25 compared to 5.32% for FY 2023-24. During the year:

- The yield on interest earning assets decreased from 9.42% for FY 2023-24 to 9.31% for FY 2024-25 mainly due to fall in the yields of advances and change in asset mix. 62% of the loan book as on 31st March, 2025 is linked to the Repo rate up from 58% as on 31st March 2024. Repo rates have been reduced in FY 2024-25 to 6.25% at year end, which was 6.50% in FY 2023-24 for the entire year.
- Cost of funds increased from 4.81% in FY 2023-24 to 5.10% in FY 2024-25 primarily due to lower CASA and an increase in the interest rates of term deposits, certificate of deposits and borrowings.
- Average interest earning assets increased by 16.93% from ₹ 482,303.85 crore for FY 2023-24 to ₹ 563,937.17 crore for FY 2024-25.

Non-Interest Income

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Commission, Exchange and Brokerage	7,944.26	7,048.54
Profit on Sale / Revaluation of Investments*	4,504.55	921.98
Profit on Exchange Transactions (Net) (Including Derivatives)	1,427.79	1,403.27
Profit on Recoveries of Non-Performing Assets Acquired / Stress assets acquired	391.89	303.10
Income From Subsidiaries/Associates Towards Shared Services	144.38	147.20
Dividend From Subsidiaries	380.00	308.90
Others	168.26	140.11
Total Other Income	14,961.13	10,273.10

*On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹ 4,095.82 crore, resulting gain from such sale of ₹ 3,542.64 crore which has been included in Profit on Sale/ Revaluation of Investments.

Non-interest income (excluding gain on KGI divestment) increased from ₹ 10,273.10 crore in FY 2023-24 to ₹ 11,418.50 crore in FY 2024-25 due to:

- Increase in commission, exchange and brokerage income mainly due to an increase in services charges on loans, direct banking fees and charges, third party distribution income and referral fees.
- Higher profit on sale of Exchange Transactions (Net) (Including Derivatives).

Employee Cost

Employee cost of the Bank increased from ₹ 6,856.37 crore for FY 2023-24 to ₹ 7,880.63 crore for FY 2024-25. The employee base reduced from over 77,900 as on 31st March, 2024 to over 75,300 as on 31st March, 2025.

Other Operating Expenses

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Rent, Taxes and Lighting	1,035.44	833.67
Printing and Stationery	135.95	194.41
Advertisement, Publicity and Promotion	1,009.01	970.91
Depreciation on Bank's Property	728.69	614.79
Directors' Fees, Allowances and Expenses	5.74	5.74
Auditors' Fees and Expenses	5.31	4.16
Law Charges	23.91	31.80
Postage, Telephone etc.	468.93	417.84
Repairs and Maintenance	1,345.54	1,102.66
Insurance	553.45	468.90
Professional Charges	1,857.07	1,955.94
Brokerage	802.06	770.58
Goods and Service Tax (GST) Expenses	564.56	518.99
Other Expenditure	2,378.61	1,949.14
Reimbursement From Group Companies	(18.47)	(17.05)
Total	10,895.81	9,822.48

Other operating expenses were ₹ 10,895.81 crore for FY 2024-25 compared to ₹ 9,822.48 crore for FY 2023-24, with the increase primarily in:

- Premises- Rent, repair and maintenance costs
- Technology spends
- PSLC costs
- Payment network costs
- Recovery expenses and legal charges
- Expenditure on Corporate Social Responsibility (CSR) activities.

The total expenses include ₹ 22.74 crore incurred on account of divestment of stake in KGI to Zurich. The Bank's Cost-to-Income ratio was 47.17% for FY 2024-25 (43.36% including gain on KGI divestment) compared with 45.99% for FY 2023-24.

Provisions and Contingencies (excluding tax)

Provisions and contingencies (excluding tax) were ₹ 2,942.36 crore for FY 2024-25 compared to ₹ 1,573.73 crore for FY 2023-24 primarily due to higher specific provision on loans by ₹ 1,089.84 crore mainly on account of retail unsecured and microcredit loans, higher provision on Standard Assets by ₹ 280.61 crore.

The Bank held an aggregate Covid-19-related provision of ₹ 262.54 crore as of 1st April, 2024. During the year, the Bank has reversed provisions aggregating to ₹ 52.35 crore based on actual collections/reduction in underlying outstanding and continues to hold provision of ₹ 210.20 crore as at 31st March, 2025.

Credit cost on Advances (on specific provisions) was 60 bps for FY 2024-25 compared to 40 bps for FY 2023-24.

BALANCE SHEET

The assets and liabilities composition of the Bank, is as follows:

(₹ in crore)

Liabilities	31 st March, 2025	31 st March, 2024
Capital and Reserves	117,145.62	96,639.46
Deposits	499,055.13	448,953.75
- Current Account Deposits (CA)	82,860.62	75,208.29
- Fixed Rate Savings Account Deposits (SA)	111,949.60	109,078.50
- Floating Rate Savings Account Deposits (SA)	19,605.67	20,016.66
- Term Deposits (TD) Sweep	55,626.52	47,051.95
- Other TDs	229,012.72	197,598.35
Borrowings	48,442.76	28,368.10
Other Liabilities and Provisions*	28,980.67	26,395.74
Total	693,624.18	600,357.05

(₹ in crore)

Assets	31 st March, 2025	31 st March, 2024
Cash and Bank Balances	65,779.15	52,788.40
Investments	181,907.45	155,403.76
- Government Securities	132,458.57	113,672.84
- Credit Substitutes	33,538.79	31,595.28
- Other Securities	15,910.08	10,135.64
Advances	426,909.20	376,075.27
Fixed Assets and Other Assets	19,028.38	16,089.62
Total	693,624.18	600,357.05

*Includes Employees' Stock Options (Grants) Outstanding of ₹ 94.27 crore as on 31st March, 2025 (₹ 79.29 crore as on 31st March, 2024).

The Bank's capital adequacy continues to be healthy, with overall CRAR at 22.25% (CET1 ratio 21.10%) as compared to 20.55% (CET1 ratio 19.25%) as on 31st March, 2024.

Deposits

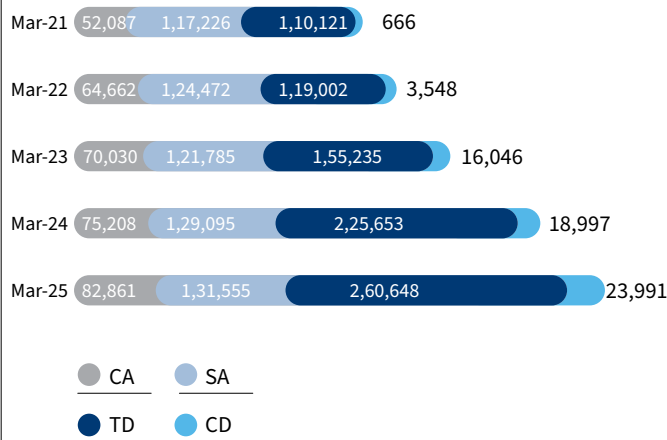
The Bank's strategy is based on its fundamental philosophy to build a low-cost and stable liability franchise. The Bank's deposits grew to ₹ 499,055.13 crore as on 31st March, 2025 compared to ₹ 448,953.75 crore as on 31st March, 2024. CASA deposits increased to ₹ 214,415.89 crore as on 31st March, 2025 compared to ₹ 204,303.45 crore as on 31st March, 2024. CASA ratio stood at 42.96% as on 31st March, 2025 compared to 45.51% as on 31st March, 2024.

Fixed Rate Savings Account (SA) deposits stood at ₹ 111,949.60 crore and Current Account (CA) deposits stood at ₹ 82,860.62 crore. Growth in low-cost deposits was impacted by higher interest rate environment and resultant alternate opportunities available with depositors to deploy funds at higher return. Total Term Deposits (TD), including certificate of deposits, grew by 16.35% to ₹ 284,639.24 crore.

CASA plus term deposits below ₹ 5 crore account for 78% of the total deposits.

Deposits

(₹ in crore)



Advances

The classification of advances of the Bank is as follows:

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Home Loans (HL) and Loan Against Property (LAP)	127,024.95	106,725.96
Consumer Bank Working Capital (Secured)	42,796.90	35,997.34
Personal Loans, Business Loans and Consumer Durables	24,817.79	20,048.48
Credit Cards (CC)	13,420.01	14,504.66
Consumer Banking Advances	208,059.65	177,276.45
CV/CE	43,007.67	36,832.99
Agriculture Division	28,059.10	27,850.12
Tractor Finance	17,815.13	15,801.78
Retail Micro Finance	6,696.92	9,983.00
Commercial Banking Advances	95,578.82	90,467.89
Corporate Banking Advances	92,778.66	87,310.46
SME	35,753.88	27,247.22
Others	12,145.24	9,426.71
Advances (A)	444,316.25	391,728.73
Credit Substitutes	33,538.79	31,595.28
Customer Assets (A+B)	477,855.04	423,324.01
IBPC and BRDS (C)	17,407.05	15,653.46
Net Advances (A-C)	426,909.20	376,075.27

Advances grew at 13.52% to ₹ 426,909.20 crore as on 31st March, 2025 compared to ₹ 376,075.27 crore as on 31st March, 2024. Customer Assets grew at 12.88% to ₹ 477,855.04 crore as on 31st March, 2025 compared to ₹ 423,324.01 crore as on 31st March, 2024. Growth in Advances was seen mainly in the SME business Consumer banking segment through Mortgage & working capital (Secured).

The Bank's credit deposit ratio stood at 85.54% as of 31st March, 2025 over 83.77% as of 31st March, 2024.

Asset Quality

The position of Gross and Net NPA is, as under:

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Gross NPA	6,133.85	5,274.78
Gross NPA %	1.42%	1.39%
Net NPA	1,343.44	1,270.57
Net NPA %	0.31%	0.34%

Slippages for FY 2024-25 were ₹ 6,378.62 crore (FY 2023-24: ₹ 5,001.11 crore) whereas recoveries and upgrades were ₹ 2,776.42 crore (FY 2023-24: ₹ 3,236.73 crore). The provision coverage ratio, gross of technical write-off, was 80.38% as of 31st March, 2025 as compared to 80.07% as of 31st March, 2024. Total provisioning towards advances (including specific, standard, Covid-related, etc.) held as on 31st March, 2025 was ₹ 6,960.90 crore.

Restructuring

Standard Restructured Fund Based outstanding under the Covid resolution frameworks was ₹ 91.16 crore as at 31st March, 2025 (0.02% of Advances) and under MSME resolution frameworks was ₹ 109.33 crore as at 31st March, 2025 (0.03% of Advances). The Bank has maintained restructuring provision of ₹ 58.88 crore as on 31st March, 2025.

Directed Lending

Priority Sector Lending and Investments

The RBI guidelines on priority sector lending require banks to lend 40.0% of their adjusted net bank credit (ANBC), to fund certain types of activities carried out by specified borrowers. Out of the overall target of 40.0%, banks are required to lend a minimum of 18.0% of their ANBC to the agriculture sector. Sub-targets of 10.0% for lending to small and marginal farmers (out of agriculture) and 7.5% lending target to micro-enterprises were introduced from Fiscal 2016. Average lending to non-corporate farmers is notified by the RBI on basis of the banking system's average level at the beginning of each year. The RBI notified a target level of 13.78% of ANBC for this purpose for fiscal 2025 (FY 2023-24: 13.78%). The banks are also required to lend 12.0% of their ANBC to certain borrowers under the 'weaker section' category. Priority sector lending achievement is evaluated on a quarterly average basis.

The shortfall in the amount required to be lent to the priority sectors and weaker sections may be required to be deposited in funds with government sponsored Indian development banks, such as the National Bank for Agriculture and Rural Development, the Small Industries Development Bank of India, the National Housing Bank, MUDRA Limited and other financial institutions as decided by the RBI from time to time. These deposits have a maturity of up to seven years and carry interest rates lower than market rates. As on 31st March, 2025, the Bank's total investment in such bonds was ₹ 2,050.97 crore (31st March, 2024: ₹ 3,253.85 crore), which was fully eligible for consideration in overall priority sector lending achievement.

In FY 2015-16, the RBI introduced Priority Sector Lending Certificates (PSLCs) scheme to enable banks to achieve the priority sector lending target and sub-targets by purchase of PSLC instruments in the event of shortfall and at the same time incentivise the surplus banks, thereby enhancing lending to the categories under the priority sector. In FY 2024-25, the Bank has sold Priority Sector Lending Certificates (PSLCs) amounting to ₹ 111,092.00 crore (FY 2023-24: ₹ 67,554 crore) and purchased PSLCs amounting to ₹ 22,831.50 crore (FY 2023-24: ₹ 14,090 crore).

As prescribed in the RBI guideline, the Bank's priority sector lending achievement is computed on a quarterly average basis. Total average priority sector lending for FY 2024-25 was ₹ 139,695.48 crore (FY 2023-24: ₹ 121,619.65 crore), constituting 45.09% (FY 2023-24: 44.06%) of ANBC, against the requirement of 40.0% of ANBC.

REMOVAL OF SUPERVISORY RESTRICTIONS – RBI LETTER DATED 12TH FEBRUARY, 2025

The Bank had received an order dated 24th April, 2024 ('Order') from the RBI, directing the Bank to cease and desist, with effect from 24th April, 2024 from on-boarding new customers through the Bank's online and mobile banking channels; and issuing fresh credit cards. The Order was based, inter alia, on the deficiencies observed by the RBI in the Information Technology (IT) Examinations of the Bank, for the years 2022 and 2023.

The RBI, vide its letter dated 12th February, 2025, communicated its decision to the Bank to lift the aforementioned restrictions placed on the Bank, having satisfied itself of the remedial measures undertaken by the Bank to address the supervisory concerns and the submission of compliances made to it (including the report of the external Auditor).

A BRIEF ANALYSIS OF THE PERFORMANCE OF VARIOUS DIVISIONS OF THE BANK IS, AS FOLLOWS:

CONSUMER BANKING

The Consumer Banking business serves a wide spectrum of customers across domestic individuals and households, non-residents, small- and medium business segments, for a range of products from Savings and Current Accounts to Term Deposits, Credit Cards, Unsecured and Secured Loans, Working Capital, Digital Payments, Insurance Protection and Investments.

Customer Centricity at the Core

This year, the focus continues to be on customer centricity and the Bank has built propositions around this principle by leveraging digital capabilities. In FY 2024-25, the Bank has undertaken changes across its Distribution, Product and Proposition frameworks—designed to deliver unique, meaningful and relevant propositions.

Strategically organised the distribution architecture to align with customer personas

The Bank has realigned the distribution architecture across physical, digital and voice channels, crafting product-based propositions to effectively serve defined customer personas within the target segments.

The Bank's physical branches are now designed with targeted customer personas in mind. For instance, a branch located in a residential area addresses different customer needs compared to one in a commercial hub. This persona-driven approach is shaping all aspects of the branch strategy, including branch staff's skill set requirements and capacity planning.

Each of the digital apps is designed to deliver an intuitive UI/UX, relevant functionalities and targeted propositions tailored to the needs of diverse customer segments. In FY 2024-25, the Bank not only enhanced the existing apps but also launched the new Kotak Mobile Banking App to further elevate the customer experience.

The Bank's Voice platform serves as a bridge between digital and physical channels, supporting both customers and frontline teams. It offers a dedicated hotline for customer assistance, while also enabling branch colleagues to access information on products, processes and systems. This integrated support ensures seamless resolution of inquiries, ultimately enhancing the overall customer experience.

Curated propositions through the customer lens

The Bank's product strategy has evolved from a one-size-fits-all approach to one that is differentiated and segment-relevant. This approach balances cost efficiency with customer value creation. The Bank has curated bespoke propositions tailored for its chosen customer segments, drawing from its extensive product suite across key financial use cases, such as saving, investing, borrowing and protection, leveraging offerings from across the group companies.

Furthermore, all of three channels work on deepening customer engagement guided by defined personas right from the onboarding stage through co-origination of products and continuing across the customer lifecycle with personalised nudges and targeted offers. By driving customer engagement using a customer 360 approach and by integrating data analytics and leveraging data across operations, the Bank has strengthened its risk underwriting and customer profiling.

Kotak Solitaire

A manifestation of this approach is evident in the recent launch of Kotak Solitaire, an invite only banking proposition tailored for affluent customers. This harnesses the entire product suite of the Kotak Group and reflects the vision of delivering seamless and personalised financial services, exclusive credit lines and elite lifestyle privileges.

The core features of the Solitaire proposition include a dedicated relationship manager, wealth management services and a 3-in-1 offering that combines the benefits of banking, trading and demat account facilities. This proposition provides pricing benefits on trading, a dedicated dealer desk and access to research recommendations through referrals to Kotak Securities. It also includes pre-approved home loans and luxury vehicle loans via Kotak Mahindra Prime, enabling seamless funding for major financial decisions. In addition, it offers preferential pricing across a range of banking products such as forex transactions, locker facilities and more.

The standout feature is an exclusive credit card, designed with bespoke privileges including premium travel benefits such as zero forex mark-up, no cap on reward point earnings, unlimited airport lounge access and access to exclusive events, among others.

For entrepreneurs, it offers strategic cash flow management, customised lending solutions, pre-approved forex limits, payment automation and a complimentary business credit card to power every business move.

Kotak Solitaire is designed to deepen engagement, increase wallet share and build long-term loyalty among the most valued customers. As the Bank continues to drive the 'One Kotak' agenda, Solitaire will serve as a cornerstone of its strategy, enhancing customer value through differentiated and holistic offerings.

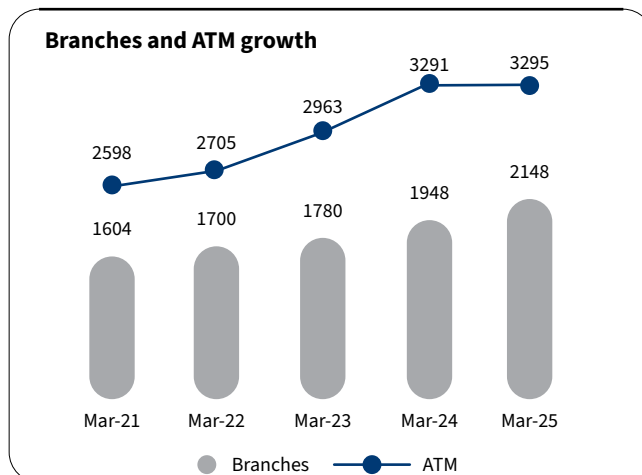
Driving service excellence through frontline empowerment

To elevate customer service at the Bank's branches, focus was on two key areas: branch decongestion and optimising the time spent by the branch teams on operational tasks. Decongestion is achieved by redirecting customer interactions to digital and voice channels, ensuring faster and more convenient service. For customers who continue to visit branches, the Bank enhanced operational efficiency through its Frontline Digitisation Initiatives. The key initiatives include optimisation of transaction (NEFT, IMPS and IFT) processing times through Transaction Authorisation System (TAS), reduction of batch processing time for daily branch reports and introduction of an AI-powered bot.

Strengthening the liabilities franchise

The Bank's deposits grew by 11% in FY 2024–25, driven by a strong 18% year-on-year growth in ActivMoney. The persona-based approach, has played an enabling role in optimising the deposit mix as reflected in the efficient CA to SA ratio and cost of funds

As on 31st March, 2025, the Bank had 2,148 branches, 3,295 Automated Teller Machines ("ATMs") and Recyclers. The Bank also has a branch at Dubai International Financial Centre ("DIFC") and Gujarat International Finance Tec-City ("GIFT City").



Building Momentum on Assets while managing risk

Alongside strengthening liabilities, the Bank has maintained a strategic focus in growing the consumer assets segment, which has enhanced portfolio granularity and improved the overall yield.

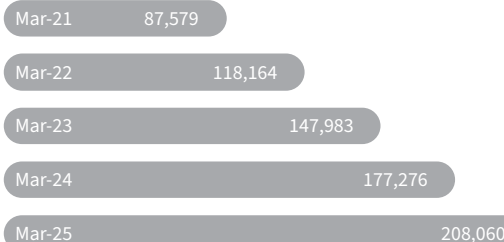
The consumer assets book grew 17% year-on-year growth despite the RBI restriction on issuance of credit cards. The Bank acquired a ₹ 3,330 Crore portfolio of personal loans (from Standard Chartered Bank, India) during the year.

The secured business, consisting of Home Loans and Loan Against Property (LAP) and Working Capital, registered growth of 19% each in FY 2024-25.

The unsecured loans, excluding credit cards, grew 24%, primarily supported by the ₹ 3,330 crore personal loan acquisition (from Standard Chartered Bank, India) during the year.

Consumer Banking Advances

(₹ in crore)



The mortgage business helps build a long-term relationship with the customer and helps increase the wallet share of the customer, particularly in the affluent segment. This segment will continue to remain a key focus area for the Bank. The LAP market continues to be steady. The Bank has always been a strong player in this segment and will continue to focus on this going forward, given the Bank's strengths in the Self-employed segment. The introduction of a new loan origination system has resulted in better transparency and customer experience.

The Bank has strengthened its business banking segment. The secured business banking portfolio, primarily comprising small SMEs, continues to perform well across industry segments and geographies. In this business, the Bank is able to serve the customer across all their financial and non-financial needs, business and individual.

The Bank introduced several key offerings to deepen customer engagement such as

- Biz-Buddy, an AI-powered recommendation engine, to offer personalised current account and business solutions, improving onboarding efficiency and client engagement.
- Integrated Solutions, a payment collection service such as POS and QR bundled with current account, to provide a seamless one-stop solution for business clients.
- The Bank has rolled out digital support tools to deepen merchant engagement, including WhatsApp Banking and an AI-enabled Chatbot, ensuring faster query resolution and continuous support.

Technology-led engagement

Key initiatives undertaken to further strengthen the Banks consumer assets portfolio include:

- Technology- led journeys: Seamless assisted and DIY experiences powered by advanced digital platforms—for example, the Personal Loans journey which now includes digital onboarding via Business Rule Engines (BRE), personalised nudges, swift disbursement and efficient servicing.
- Integrated data analytics: Leveraging data across operations to strengthen risk underwriting and customer profiling. This has enabled us to deepen engagement through targeted offerings based on personas, transaction behaviour and external activity.
- Refreshed Customer 360 approach: The Bank is driving customer engagement using a Customer 360 approach to achieve better execution across all channels. Through Customer 360 approach, the Bank is working to convert a more generalised engagement model to a sharper customer centric approach. Prioritising long-term relationship products like Home Loans and LAP have further deepened engagement and provided opportunities for holistic relationship.

Kotak811 - where Banking meets Technology

In FY 2024-25, Kotak811 integrated advanced technologies and data analytics to enhance customer experience and accelerate growth. The key highlights are below:

- **Restarted Acquisition:** Kotak811 revamped its tech stack and strengthened the guardrails by leveraging AI/ML to deliver secure, frictionless and scalable customer onboarding.
- **Enhanced the Kotak811 App:** With minimalistic and unbiased design that offers 100+ features, the app continues to be top-ranking app on both App Store and Play store. It provides seamless digital journeys for sachet-sized cards, loans, investment and protection plans, all accessible in 2-3 clicks. Notably, it is among the few banking apps that facilitates and rewards digital payments.
- **Optimising Physical Interaction:** Supported by the hybrid platforms (built for both field and voice), sales officers can now offer multiple services in the same interaction (rather than only undertaking a physical KYC), such as assist in the addition of funds via QR and enroll for multiple financial products, including debit cards, credit cards, insurance and investments on the basis of the customer's financial needs.

Strategic Focus in FY 2024-25

- Focused on the acquisition of better-quality customers with higher savings potential.
- 811Super was designed for customers with higher credit activity per month. The proposition includes a 5% cashback (up to ₹ 6,000 annually) on debit card spends, improving customer engagement.
- Early engagement (while onboarding through Kotak811App) has driven product penetration and increased wallet share.

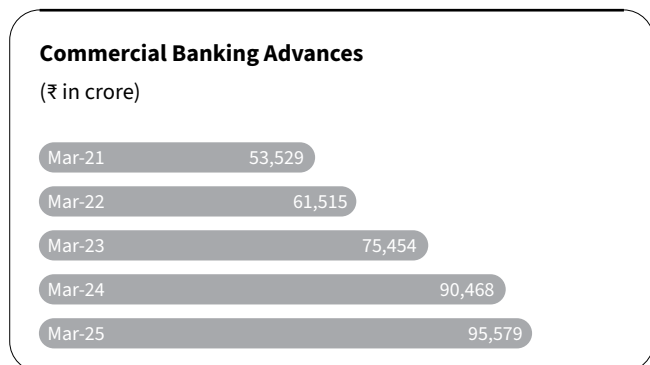
Strengthening Customer Service

The Bank has strengthened the customer service and grievance redressal systems through the deployment of Salesforce system, enabling service request automation and transitioning from manual processes to API-driven executions. Supported by a dedicated team (following the Kaizen principles), these enhancements led to a 28% year-on-year reduction in net complaints.

COMMERCIAL BANKING

The Bank's Commercial Banking business focuses on meeting the banking and financial needs of various segments, with specialised units offering financial solutions in the areas of Commercial Vehicles ("CV"), Construction Equipment ("CE"), Tractor and Farm Equipment ("Tractor"), SMEs operating in the Agriculture Value Chain and Microcredit. The majority of the customers to whom this business caters are from the semi-urban and rural area segment, forming a part of the priority sector. This business plays a significant role in meeting the financial inclusion goals by financing deep into 'Bharat'.

Trend of commercial advances over the last five years is as below:



Commercial Vehicle

In FY 2024-25, the Commercial Vehicle industry declined 1% YoY in unit terms. The Bank has grown 2% in unit terms in the same period. The dip in industry volumes is primarily on account of lower government spending, implementation of model code of conduct in the wake of state and central elections, heat wave and lower freight demand. In the goods segment, the industry has declined 3%, whereas in the passenger segment, the industry has grown at 16% in unit terms. The Bank has grown 1% in the goods segment and 11% in the passenger segment in unit terms.

Lower load availability and excess vehicle supply, especially in the retail segment, made collection environment challenging in the past few quarters. Proactive risk interventions and focus on improving and building a quality portfolio will show improving trend going forward.

Construction Equipment

For FY 2024-25, the Construction Equipment industry grew at a modest rate of 2% YoY in unit terms. Disbursements for the Bank grew 6% YoY, which helped in gaining the market share. The modest industry growth was primarily on account of multiple state and central elections, lower retail buying, heat wave, liquidity tightness and overall low government spending. In addition, the allocation of new projects from Centre and State Governments was muted in FY 2024-25.

On the collection front, the Bank saw some deterioration due to the above factors. However, with risk analytics and credit policy interventions, improvement was visible in Q4FY25.

Tractor and Farm Equipment

For FY 2024-25, the tractor industry grew 7%, backed by near-normal monsoons, government support and rising adoption of mechanisation. The Bank's disbursement growth in the tractor business was in line with the industry growth, maintaining its leadership position. Around 90% of these loans are eligible for PSL, demonstrating the Bank's continued commitment towards making difference in farmer's lives and livelihood. This was aided by focus on new products/customer segments, deeper geographies, productivity per employee through digital adoption for onboarding and collections.

Agri Business

FY 2024-25 commenced on a stable footing with respect to Kharif and Rabi output. Steady agriculture commodity prices for a reasonable time horizon, a near-normal monsoon and continued government policy thrust for value-chain integration across key sectors provided a steady backdrop for Agri credit flow and value-added supply chain building. Agri Business Group, with a stable portfolio quality continued to adopt a risk-calibrated focused NTB growth strategy, with sharper customer segmentation, strategic distribution and differentiated underwriting approaches to strengthen portfolio resilience.

Microcredit

FY 2024-25 was one of the most challenging years for the Microcredit Business. There was an increase in delinquency levels across the industry, mainly due to over-leveraging by borrowers. The weak and erratic monsoons in FY 2023-24, heatwave in Q1FY25, followed by floods in certain states, impacted rural household incomes, leading to issues in the repayment capacity of borrowers. The Bank had taken a cautious stance with respect to disbursements and had taken several measures to improve collections and on-board better quality of customers. Credit costs have been higher for the microcredit business in FY 2024-25. Some improvement in collection efficiency was witnessed in Q4FY25 after the implementation of guardrails announced by Self-Regulatory Organisations.

Gold Loan

The Gold Loan industry in India experienced a healthy growth of over 56%, driven by factors such as increased gold prices and the need for quick, collateral-based financing solution. The Bank is now offering gold loans from more than 480 branches, i.e., approximately 25% of its total branch network.

WHOLESALE BANKING

The Bank's Wholesale Business has a number of units catering to various customer and industry segments, including major Indian corporates, conglomerates, financial institutions, public sector undertakings, multinational companies, financial sponsors, including private equity funds, portfolio investors, new age companies, small and medium enterprises and realty businesses, offering a wide range of banking services covering their working capital, medium-term finance, project finance, trade and supply-chain finance, foreign exchange services, other transaction banking requirements, custody services, debt capital markets, structured financing solutions and treasury services. The focus has been on customised solutions delivered through efficient technology platforms backed by high-quality service. The Bank's core focus has been to acquire quality customers on a consistent basis and ensure value add through cross-selling of varied products and services.

Industry

Credit demand growth during the year FY 2024-25 was a mixed bag. Of the customer segments, credit demand from the SME segment grew at a much faster pace than from the larger corporates. Certain service segments, such as Wholesale Trade and Commercial Real Estate, also grew faster. However, on the whole, green shoots seen in private capex in the previous year did not take off as expected and private capex and overall credit demand continued to remain muted. Urban consumption witnessed a slowdown while rural consumption growth tapered. Government capex too was muted and this affected infrastructure spend that had driven credit demand in the previous years.

On the other hand, tight liquidity conditions kept banks' cost of funds at elevated levels. Capital markets were buoyant for a large part of the year and this further affected the competitiveness of the banks in lending to larger corporates. There was also a general consensus in the market on potential drop in the benchmark interest rates and which played out towards the end of the year. These factors constrained banks' ability to pass on increased cost of funds in their lending and this affected lending spreads in the corporate banking space. It became imperative to supplement asset incomes with liability incomes and fee income streams to maintain profitability and healthy ATROE.

Reinventing of the Business Model

Against the backdrop of the above challenges, the Wholesale Bank accelerated its journey towards excellence, which it had embarked upon a few years back and which primarily focused on moving away from dependence on only asset incomes and instead move towards garnering greater flows of customers and supplementing asset incomes through cross-selling of other transaction banking products and non-risk income streams. During the year, the Bank increased the proportion of short-term and working capital loans in its lending book. While making this a stronger risk proposition, this also helped shield the Bank against drastic spread drops in the event of a reduction in benchmark interest rates. The Bank strengthened its Trade and Supply Chain proposition, including through digital offerings and this helped the Bank gain a greater share of customer flows, which, in turn, helped liability and fee incomes. The Wholesale Bank also implemented a number of initiatives, including through digital projects, focused on improving customer experience while increasing productivity and efficiency. These initiatives have ensured that the Wholesale Bank has been able to deliver strong growth across parameters, including Assets, Liability and Fee incomes, resulting in a healthy growth in Profitability and attractive ATROE.

The Bank has been awarded as the 'Best Bank for Large Corporates in India' by Euromoney in its Awards for Excellence, 2025. The Bank is winning this award for the second consecutive year and this is a testimony to the Wholesale Bank's capabilities and business model.

Granular Growth

The Bank has always preferred granular growth instead of taking concentration risks. In line with this philosophy, the Bank grew its SME and Mid-Market segments at much higher rates than the rest of the Wholesale Bank. During the year, the Bank has increased its market share in these segments. The acquisition engine has been firing well and New to Bank customer additions were especially strong. This was made possible through implementation of a comprehensive customer acquisition and retention strategy, including expansion to new locations in the country, retraining of the salesforce, better engagement with acquisition channels, more customer outreach programs, process improvements with a view to reduce Turn-Around-Times and focus on improving customer experience and engagement.

The Bank continued to strengthen its Data Analytics and Business intelligence for scoping the market for opportunities. Digital Banking Solution platform such as fyn were enriched and strengthened for embedding customers' day to day banking. While scale, along with efficiency initiatives, brought better productivity, the Bank also focused on returns on a customer through better cross-selling of services, including of the broader Kotak Group, such as corporate salary, insurance, wealth management and others.

In line with the strong book growth, the Bank also improved its guardrails with better credit monitoring. The asset quality has remained healthy, with minimal slippages during the year. These segments remain key focus areas and the Bank will continue to focus on its growth trajectory here going forward.

Centre of Excellences

Among the larger corporates, the Bank has invested in developing expertise in specific areas and developed them into Centre of Excellences including in Structured Lending, Infrastructure Financing, Real Estate Financing, Banking for Financial Sponsors, amongst others. The Bank's expertise here is disproportionately higher than the Bank's Asset share and this has helped maintain profitability in this competitive environment.

Infrastructure Lending

The Bank is committed to India's infrastructure development through its products and services catering to the entire value chain in the development cycle of an infrastructure asset. The Bank's strategy is to adopt a calibrated approach by focusing on high-rated groups and borrowers while diversifying exposure across sectors and ownership structures, with a special focus on private equity and pension fund backed platforms and InvITs. The Bank offers tailored solutions in this space based on the project stage (under construction/operational), product fitment (loans, non-fund, forex, etc.) and situation-specific (bridge, acquisition finance). The Bank also help its infrastructure clients tap into the debt capital markets through structuring, syndication as well as underwriting mandates. During the year, the Bank concluded a number of deals in the roads and renewables segment, aided by significant deal flow and in the digital infrastructure space, viz., telecom, telecom towers and data-centres, which saw significant inbound investments by offshore investors. The Bank continues to pursue the entire gamut of opportunities in the infrastructure sector with the right-sizing of risk and returns.

Real Estate Lending

Growth in the real estate book continued to be muted most of the year due to large repayments, driven by robust sales by developers across residential projects, though disbursements picked up in the later part of the year. During the year, the Bank focused on improving its profitability in this segment by rebalancing its portfolio away from low-yielding deals and towards higher spreads and fee incomes. The Bank remains optimistic on this sector, with a strong disbursal pipeline and a prudent, risk-calibrated lending approach.

Financial Sponsors

The Bank has a dedicated financial sponsor coverage team to focus on funds and investee companies and provide a comprehensive coverage across the full spectrum of banking solutions. The aim is to cover the large bulge bracket funds, which function and invest akin to large conglomerates in the country operating across sectors and aiding in improving the corporate governance of their investee entities. The Bank has a significant market share in routing of flows through its counters as well as providing structured and debt capital solutions to these marquee players. This segment has demonstrated robust performance, achieving a strong growth in income and book size in the past few years. The Bank expects that this segment will be a significant lever in the growth of wholesale Bank going forward.

Multinational Companies

Multinationals continue to see India as an attractive destination to serve as a global manufacturing hub. Strong domestic demand continues to be another magnet pulling in global investment.

The Bank offers a full suite of banking and digital services to companies entering India and partners in their growth. Dedicated marketing efforts were launched aimed towards collaboration with the ecosystem in order to operationalise the Bank's philosophy of 'Catch them young'. The Bank has a co-operation agreement with ING Bank globally covering a number of countries, which also helps the Bank in targeting a greater number of multinational corporates in India. In line with the FDI flows into the country, the Bank has a dedicated corridor coverage strategy supported by country-specific desks. Significant success has been seen from the Korea Desk while the Japan Desk holds immense promise for the coming year.

Capital markets have been a cornerstone of growth this year, with Kotak being the banking partner for the largest IPO of FY 2024-25: Hyundai Motor India Ltd.

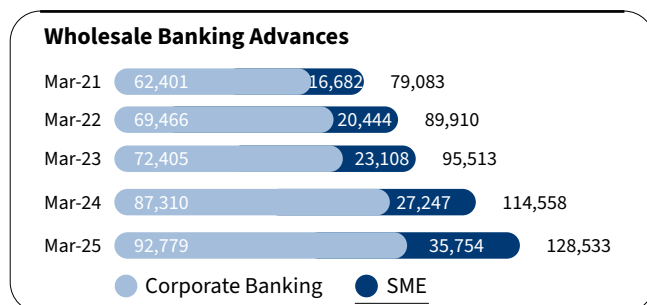
Financial Institutions

This sector remains of prime focus to the Bank. The asset quality of the book in this segment remains steady and the Bank is growing the book selectively with a thrust on on-lending for priority sector to NBFCs and opportunities, which are ROE accretive. The Bank continues to be calibrated in lending to NBFCs in the unsecured space.

Overseas Book

The Bank has strengthened its proposition to corporates for their overseas subsidiaries and external trade through its GIFT City branch. During the year, the Bank enhanced its core technology systems in its GIFT branch, which has equipped the branch to offer a wider bouquet of Trade and Loan products. As a result, the year saw strong growth in both the Trade and non-Trade loan book of the GIFT branch. Most of these transactions are backed by strong relationships, with and support from the Indian parent of the borrower and as such the GIFT branch has helped the Bank expand its customer wallet while limiting its risk.

Trend of wholesale banking advances in the last five years is as below:



Syndication and Debt Capital Markets

In addition to direct lending to its clients, the Bank arranged debt financing for its clients from the capital market and loan markets. This year, the Bank clocked its highest ever DCM fees, supported by record volumes and the closure of a number of large marquee deals across diverse products and sectors, including High-Grade and High-Yield Bonds, Real Estate, including one of the largest credit bond issuances, infrastructure

transactions across Under-Construction and Operational portfolios in roads, renewables, data centres and InvITs and deals in the Pharma, Retail, Financial Services and Auto Components sectors, among others.

The Bank also assisted a number of its large corporate customers to access the bond market to raise funds at a competitive pricing and enjoys a leading place in the industry.

Focus on Transaction Banking and Non-Asset Income Streams

The Bank continues to focus on income from non-credit streams, including Forex, Cash Management and other Transaction Banking products. Over the years, the proportion of non-risk income stream has steadily increased resulting in higher Returns on Equity.

Trade

The Bank is especially focused on increasing penetration in Trade financing. The Bank has invested in bolstering its Trade product and sales expertise, introducing newer products, providing structured solutions to customers' trade requirements and in digitizing the Trade journey. During the year, a number of new products were launched. The Bank can today offer Paperless Imports, which is a key requirement of larger corporates. In a significant step towards enhancing its international banking footprint, the Bank successfully launched trade product capabilities at the GIFT City branch. This strategic move aligns with the Bank's vision to offer end-to-end cross-border trade solutions through India's emerging financial hub.

The Bank also expanded fyn's capabilities by introducing Bank Guarantees, further strengthening its digital trade proposition. The Bank has also set up a dedicated help desk for fyn. This team has hand-held clients through every step of their transaction journey, having trained over 1,500 clients in FY 2024-25. By actively studying rejection trends and customer feedback across trade products, the Bank has implemented focused changes that has improved operational efficiency and significantly reduced turnaround time. fyn continues to evolve as a robust, end-to-end platform, delivering agility, transparency and convenience to trade clients.

Supply Chain Finance (SCF) is another prime area of focus for the Wholesale Bank and the Bank continued its three-pronged approach of enhancing granular business, building structured trade deals and creating strong foundations for enabling seamless digital SCF transactions. The Bank has built unique journeys for its customers on the fyn platform while also collaborating with other Fintech platforms to offer a stronger digital proposition.

During the year, both the Trade and the Supply Chain books have witnessed strong growth and this has helped in getting a larger share of customer flows and consequently higher liability and fee incomes.

Transaction Banking and Cash Management Services

During the year, the Bank continued its digital-first, solution-oriented approach in its Cash Management Services (CMS) for clients across industries, driving innovation, scale and customer-centricity in a dynamically evolving ecosystem.

The Bank's CMS Vision for the year was rooted in delivering value to clients through customised, digitally-enabled solutions. The team focused on driving Current Account growth by enhancing wallet share and cross-selling new-age offerings. Emphasis was placed on making the front line more solution-driven, backed by an increased focus on digital onboarding, mobile interfaces and fyn integrations. With a focus on deepening wallet share, the Bank's transaction value grew by 36% YoY.

The year was also marked by several Product-Led Innovations and enhancements. Enterprise Payments saw investments to improve resiliency and uptime, the Bank's new high-volume API-based stack entered phased development for faster straight-through processing. The Bank made significant investments in Risk Management in response to growing frauds in the retail space in the industry. The Bank has also enhanced its CMS product technology stack, which is helping it penetrate segments such as Mutual funds and Payment Aggregators, while also helping it build strategic solutions for key players in the BFSI and Capital Markets space. The Bank has also launched an enhanced e-collections stack, which offers capabilities such as near-real-time data posting and several specialised use cases catering to capital markets, mutual funds and B2B collections. It was another good year for tax payments, with almost 2x growth in value processed and addition of key partners.

The Bank also strengthened its position in the capital market space with the Bank being selected as the banker to the issue and sponsor bank for country's top IPOs this year. The Bank handled 19 mainboard IPOs this year, with a cumulative issue size of over ₹ 84,000 crore.

Customer experience continued to be a focus area. CMS onboarding TAT was reduced by 80% to under 2 days for more than two third of the setups - enabled by a streamlined CMS Mid Office and digital signing processes. DIY journeys, streamlining of multiple application journeys and revamp of the onboarding policy led to a sharp rise in setups, especially across the SME and Mid-market segments.

During the year, the Bank received multiple accolades and recognition across various domestic and global platforms.

The increase in the cost of funds has got the focus back on liabilities and liquidity management. The focus on increasing the liability side of the bank's business, mainly core current account, term deposits and other non-risk income streams continued in line with the overall intention to improve the quality of income from the clients.

Custodial Services

Offshore Custody flows remained strong for larger part of the year on the back of strong capital markets. Market volatility has impacted the flows towards the end of the year. While foreign institutional investors were cautious, domestic institutions saw increased activity. During the year, the Bank continued to deepen its market penetration and successfully on-boarded new clients across both domestic and offshore custody businesses, positioning itself well for future growth. Average custody balances grew strongly during the year.

In FY 2024-25, we secured a license in GIFT City to provide Global Custody Services, expanding our capability to provide custodial services for assets held internationally. This initiative enables us to support both our domestic and offshore clients as they invest in a broader range of foreign asset classes, reinforcing our commitment to offering comprehensive, cross-border solutions.

Risk Management

Over the years, the Bank has ensured that growth has been achieved in a profitable manner without compromising the health of the book. Its portfolio is well-diversified and industry, group and company-specific exposure limits are reviewed periodically. The entire portfolio is rated by internal credit rating tools, which facilitates appropriate credit selection and monitoring. Exposure, over the years, has been confined to segments with credit comfort in terms of better rated exposure, industries with a positive outlook and where pricing has been adequate for the risk being underwritten. These practices helped ensure that the overall portfolio continued to show robust characteristics throughout the year and the Wholesale Bank, this year again witnessed low credit cost, delivering continued improvement in the risk-reward ratio. Pricing models such as Risk Adjusted Return on Capital (RaRoC) measurements are now embedded in the system. Due to these initiatives, the focus is high on ensuring the right risk-return balance and on maximising non-credit income streams. The Bank's focus on Risk management has helped the business to optimise its Risk Weighted assets as a percentage of assets in the past few years despite growing its SME and Mid-Market book at a faster rate.

In summary, a good growth in Assets, especially in the SME and Mid-Market segments, focus on fee incomes, focus on improving risk-return metrics, strong liability incomes and controlled credit costs have helped the Wholesale Bank preserve its profitability and maintain a healthy After-Tax Return on Equity (ATROE) and positioned it strongly to navigate any emerging challenges in the market.

TREASURY

Global markets started FY 2025 with the hopes of a break in the long US Fed pause in favour of a reduction in policy rates. While waiting, markets remained range-bound with intermittent volatility. Market built expectations, driving US10YT from about 4.2% to 3.6% in September 2024—the session where the US Fed signalled a lowering of the rate by 50 bps. The first double cut was followed by another two cuts of 25 bps each. However, the latter cuts got mislaid in the US inflation and data noise. Between September, 2024 and January, 2025, while the US Fed cut policy rates by 100 bps, the US10YT rose by 120bps. Start of the new US presidential term in January 2025 with sweeping changes in governmental delivery structure and inward-biased trade policies led to further volatility.

While the US markets decided on directions, the Indian bond market was a story of downward yield bias. India's inclusion in Global bond indices, tamed inflation expectations (and hence expectations of policy rate reductions) and continued fiscal prudence were key drivers for IN10YT yields. The RBI embarked on reducing policy rates in February 2025, as well as an injection of systemic liquidity.

In the foreign exchange markets, the INR has broadly retained its depreciation bias (2.5% fall in FY 2024-25 from the previous year), with most of the depreciation occurring in H2FY25. With robust inflows and a weakening USD index in H1FY25, the INR was stable—largely on account of the RBI containing its volatility within a tight range. Mounting pressure and strength of the green back saw the INR coming under pressure in H2FY25. Unrelenting outflows from the equity markets did not help. After February, as the USD started weakening in response to US economic policies, the INR also showed a strengthening bias, closing the year at ₹ 85.79 from a high of ₹ 87.96.

Market Levels in FY 2024-25

	Open	High	Low	Close	Net change
10y India GILT yield	7.1	7.25	6.58	6.58	-7.30%
10y US GILT yield	4.19	4.8	3.6	4.21	0.50%
USD/INR	83.37	87.95	82.96	85.79	2.90%
US Dollar Index	104.5	110.2	100.2	104.2	-0.3%
EUR/USD	1.079	1.1214	1.0141	1.0816	0.20%
Nifty	22,455	26,277	21,281	23,519	12.80%
Gold (USD per Troy ounce)	2,250	3,124	2,250	3,124	13.30%

Source: Bloomberg

With bond yields falling in the backdrop of the RBI rate cuts and liquidity measures, the Fixed Income desks positioned itself appropriately to capture the opportunities while continuing to manage the associated risks. With global FX and interest rates markets being volatile, the FX and Derivatives risk focussed on low-risk short term churn and spread strategies. The Equities desk continued to focus on well calibrated investment strategies as equity markets saw volatility.

The Treasury Primary Dealer (PD) desk was able to achieve its regulatory targets of retail distribution, trading volumes and auction bidding for Government securities and T-Bills successfully.

The Treasury client coverage teams continue to focus on servicing its FX customers for conversion as well as for hedging their exposures. Foreign exchange flows from customers grew as compared to the previous year on increased trade as well as capital flows. With forward premiums increasing from the very low levels of the previous year, there was a pick-up in client hedging activity. The Bank has continued its focus on a strengthening its digital client FX offering and also providing the Bank the ability to scale up its business manifold in a robust fashion.

The Bullion desk continued building the annuity book of Gold Loans, providing stability and sustained profitability.

System liquidity was in surplus until December, 2024, post which it turned into deficit. The Balance Sheet Management Unit (BMU) managed the liquidity requirements of the Bank optimally and efficiently, ensuring adequate liquidity and ALM to support the needs for credit and investment. Liquidity ratios remained above prudential internal thresholds. BMU also monitored and managed tightly the liquidity and interest rate risks in the balance sheet. Regulatory investments of the Bank were managed in an optimal fashion while balancing risks versus returns.

The Bank's Asset Liability Committee (ALCO), which also functions as the Investment Committee, maintained a cautious and vigilant approach with a conservative risk appetite in its oversight of Market Risk, Interest Rate and Liquidity Gaps, counterparty and country exposures.

PRIVATE BANKING

The Bank's private banking arm, caters to a number of distinguished Indian families and is one of the oldest and the most respected Indian private banking firms, managing wealth for 60% of India's top 100 families (Source: Forbes India Rich List 2024), with clients ranging from entrepreneurs to business families and professionals.

It provides an open architecture proposition to its clients, offering a plethora of private banking products, platforms and solutions. This business, catering to Ultra HNI investors, has a strong distribution capability for private clients through distribution/referral model across equities, fixed income and alternates. In addition to comprehensive financial solutions that go beyond investments, the division provides banking and credit, consolidated reporting, referral for estate planning services, family office services and other various products and services to its Private Banking clients. With an in-depth understanding of client requirements and expertise across various asset classes, this business offers the widest range of financial solutions.

The private banking arm has added approximately 2,692 new families in FY 2024-25.

- Launched a multi-media ATL campaign to increase salience and strengthen differentiation by showcasing its investment prowess, thereby enhancing its aspirational quotient
- Further strengthened its propositions for the Global Indian

- Continued to leverage analytics to not only offer the right product mix for clients, but to also connect with them timely to address their needs
- Focused on technological initiatives both at the client level and at the internal team level, with the aim of enhancing productivity and customer experience, coupled with improving cost efficiencies and reducing TAT
- Continued to build the new brand theme of 'Live Your Purpose' through unique client engagements throughout the year

It has consistently been recognised across multiple global and domestic platforms. Some of the recent accolades include:

- Best Private Bank in India – Highly Commended – The Asset Triple A Private Capital Awards, 2024
- Best Private Bank in India – Highly Commended – PWM & The Banker Global Private Banking Awards, 2024
- Digital Private Bank of the Year, India – The Asset Triple A Digital Awards, 2025

ASSET RECONSTRUCTION

The Bank's Asset Reconstruction Division (ARD) looks at opportunities and takes exposure in distressed/Non-Performing Assets ("NPA") accounts through Security Receipts ("SR") investments, Stressed/NPA portfolio buyout from other banks, priority funding and working capital assistance with an aim to resolve and turn them around. The Bank has been active in the distressed asset buyouts and investments space, for almost two decades.

The Resolution Process has gained momentum with the support of various judicial forums such as Debt Recovery Tribunals (DRTs), Debt Recovery Appellate Tribunals (DRATs), High Courts, Supreme Court and National Company Law Tribunal (NCLT) and National Company Law Appellate Tribunal (NCLAT), etc. The Bank adopts various measures thoughtfully, diligently and with compassion to resolve the stressed and bad accounts.

The Bank did sizable investments, both in corporate and retail stressed assets space in FY 2024-25 and expects a lot of opportunities in the acquisition side, especially in retail stressed loans segment as well as large corporate loans, in the coming years. If the prices offered are reasonable and attractive, the Bank shall be open to acquire several of such assets, after critical analysis and evaluation.

GIFT CITY

The GIFT City branch commenced operations in FY 2016-17. The GIFT Branch caters to various banking needs for overseas, IFSC and domestic customers – including term and trade loans, deposits and managing their currency and interest rate risks. In addition, the branch caters to the requirements of the Exchanges and its members at GIFT IFSC acting as a clearing banker. The branch has also started offering global custody services to its customers.

The branch is regulated by International Financial Services Centres Authority (IFSCA), a unified regulator at GIFT IFSC, which provides regulatory oversight and fosters ease of doing business at IFSC.

The Branch operates with defined governance, administrative and functional framework. The Branch has carefully curated a portfolio spread from short- and long-term trade loans, working capital and long-term client loans, investments in bonds, deposits and borrowings, leading to continued growth in profitability, while maintaining high standards of controls and governance. Additionally, the branch is actively improving upon its technology platforms to enhance client experience including net banking and digital journey. The Branch is also actively working on extending its product bouquet and client reach.

DIFC BRANCH

The Bank's branch at Dubai International Financial Centre ("DIFC"), Dubai, United Arab Emirates, started operations in October 2019. The DIFC Branch is authorised by the Dubai Financial Services Authority (DFSA) as a Category 1 licensed entity, enabling it to accept deposits from eligible clients and provide loans to professional clients (individuals and corporates who qualify as per DFSA rules). The DIFC Branch complements the Bank with its ability to advise and arrange global investment products to its clients through its reach and relationships with various manufacturers of investment and wealth products.

SUBSIDIARIES HIGHLIGHTS

KOTAK MAHINDRA PRIME LIMITED

Kotak Mahindra Prime Limited ("KMPL") offers finance options to retail consumers for passenger cars, multi-utility vehicles and two-wheelers. Provides end-to-end financing solutions through a single window to auto dealers for their working capital and infrastructure creation requirements in the form of inventory funding and term loans. The Company also provides LAP to retail consumers for their business and personal needs.

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Net Interest Income	2,133.42	1,870.39
Other Income	686.35	499.95
Total Income	2,819.77	2,370.34
Operating Expenses	1,123.38	999.75
Provisions (Net)	339.53	182.23
PBT	1,356.86	1,188.36
PAT	1,015.47	888.06

(₹ in crore)

Particulars	31 st March, 2025	31 st March, 2024
Net Customer Assets	40,122.51	34,480.87
- Car, Two-Wheeler and Car Dealers	33,420.62	29,846.56
- LAP	6,531.37	3,822.60
- CRE, Corp and Others	170.52	811.72
RoAA %	2.44%	2.53%
Capital Adequacy Ratio %	23.54%	25.17%
Tier I %	23.07%	24.62%

PBT for FY 2024-25 is ₹ 1,356.86 crore, which is higher than the PBT for FY 2023-24 of ₹ 1,188.36 crore. Higher AUM resulting in higher NII and Other income. Higher operating cost and credit cost have also offset growth in NII for the year. NIM for FY 2024-25 was 5.24% compared to 5.60% for FY 2023-24.

Gross NPA was ₹ 918.82 crore (2.27% of gross advances) while net NPA was ₹ 393.97 crore (0.98% of net advances) as on 31st March, 2025.

Business Highlights

The passenger car market in India saw a growth of 1.87% in FY 2024-25. Total Unit Sales of Cars and MUVs was 42.86 lakh in FY 2024-25 compared to 42.07 lakh in FY 2023-24 (source: SIAM/company estimates). The Two-wheeler market in India saw a growth of 9.11% in FY 2024-25. Total Unit Sales of Two Wheelers crossed 196.11 lakh in FY 2024-25 (source: SIAM/company estimates).

Need for personal mobility, investments in infrastructure by the government and improved supply situation has resulted in higher demand for vehicles in India. To leverage the growing demand for vehicles, KMPL continues to focus on expanding its operations and invest in new technologies, without losing its focus on portfolio quality. Wide branch network and a firm commitment to deliver superior customer service is helping KMPL to maintain its market position. KMPL is focusing on capitalizing its distribution strength with original equipment manufacturers, Dealers, Channel partners and customers.

Leveraging technology to drive customer value and strengthening compliance

KMPL leveraged advanced technologies to enhance operational efficiency, customer experience and compliance. Key initiatives included deploying Aadhaar-based eKYC with facial recognition to reduce impersonation risks, utilizing data analytics for deeper customer insights and implementing a cloud-based compliance platform integrated with audit management tools to streamline risk monitoring. Additionally, KMPL launched a loan origination platform for its Loan Against Property segment, significantly reducing turnaround time for loan processing.

KOTAK MAHINDRA INVESTMENTS LIMITED

Kotak Mahindra Investments Limited ("KMIL") is primarily engaged in real estate developer finance, corporate loans and other activities such as holding long-term strategic investments.

Financial Highlights

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Net Interest Income	606.85	608.36
Other Income	188.00	158.68
Total Income	794.85	767.04
Operating Expenses	94.29	82.06
Provisions (Net)	26.05	(5.53)
PBT	674.51	690.51
PAT	501.25	514.21

(₹ in crore)		
Particulars	31 st March, 2025	31 st March, 2024
Net Customer Assets	10,494.40	12,449.83
RoAA %	3.68%	3.87%
Capital Adequacy Ratio %	36.71%	27.41%
Tier I %	35.98%	26.46%

PBT for FY 2024-25 at ₹ 674.51 crore was lower than ₹ 690.51 crore for FY 2023-24, primarily due to NPA provisions, decrease in processing fees, increase in operating cost offset by increase in IPO income and reversal of standard asset provision.

Net Customer assets decreased to ₹ 10,494.40 crore as on 31st March, 2025 as compared to ₹ 12,449.83 crore as on 31st March, 2024. This was primarily due to the strong performance of the underlying borrowers especially the real estate developers. PAT decreased by 2.52% to ₹ 501.25 crore for FY 2024-25 from ₹ 514.21 crore in FY 2023-24. NIM for FY 2024-25 was 4.82%.

Gross NPA and Net NPA as on 31st March, 2025 was at ₹ 59.61 crore (0.59% of Advances) and ₹ 14.14 crore (0.14% of Advances) respectively.

Business Highlights

Real Estate: KMIL's Real Estate finance team offers real estate finance platforms in the country with expertise across all key asset classes. From structuring complex transactions to broadening the access to capital, its comprehensive financing solutions have made it a leading choice for real estate developers. Given the depth of its coverage, KMIL is able to capture the growth opportunities offered by the all-round growth in the market (especially, residential) across major cities. KMIL has been able to balance growth aspirations without compromising on its credit standards. The asset quality has remained robust through FY 2024-25. KMIL continues to be judicious about the real estate developers that it works with and remains confident of the quality of the lending book.

Corporate Lending: KMIL is focusing on increasing its Corporate Lending book. The landscape of corporate lending is evolving, driven by the diverse needs of mid- and large corporates. KMIL's approach in this segment is largely sector agnostic (our exposure is across industries ranging from consumer goods, confectionary retailing, steel and hotels), with two sub-segments being among specifically looked at, i.e., education and mid-sized NBFC segment. All round improvement seen across industries offers significant opportunities for growing wholesale book as companies look to refinance their debt and expand. KMIL is well-positioned to harness opportunities that are available in the current economic environment. Going forward, a customer-centric approach coupled with agility will be paramount in driving continued success and delivering meaningful solution in the corporate lending space.

KOTAK INFRASTRUCTURE DEBT FUND LIMITED

Kotak Infrastructure Debt Fund Limited ("KIDFL") is an Infrastructure Debt Fund, set up under the NBFC route. It is engaged in providing finance for infrastructure projects, with more than one year of satisfactory operational history.

During the year, KIDFL forged strong relationships with multiple infrastructure clients. It continues to be judicious about credit underwriting and selection of customers.

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Net Interest Income	47.55	38.05
Other Income	16.33	16.34
Total Income	63.88	54.39
Total Expenses including Provisions	10.97	10.99
PBT	52.91	43.40
PAT	53.20	43.40

Customer Assets increased by 20% to ₹ 1,561.76 crore as on 31st March, 2025 compared to ₹ 1,305.78 crore as on 31st March, 2024 mainly due to higher disbursement.

KOTAK SECURITIES LIMITED

Kotak Securities Limited ("KSL") is one of the largest brokerage and distribution houses in India. KSL provides securities broking services in equity cash and derivative segment, commodity, debt and currency derivatives segment, depository and primary market distribution services. KSL is a trading member of BSE Limited, National Stock Exchange of India Limited, National Commodity and Derivatives Exchange Limited, Multi Commodity Exchange Limited and Metropolitan Stock Exchange of India Limited (applied for surrender) and clearing member of clearing corporations NSE Clearing Limited and Indian Clearing Corporation Limited. KSL is also a depository participant with National Securities Depository Limited (NSDL) and Central Depository Services Limited (CDSL) and repository participant with CDSL Commodity Repository Limited and National e-Repository Limited.

KSL is also registered as a portfolio manager and a research analyst with Securities and Exchange Board of India. Further, KSL is registered as Mutual Fund Distributor with Association of Mutual Funds in India. KSL is having a composite license issued by the IRDAI and also acts as Corporate Agent of Kotak Mahindra Life Insurance Company Limited and Zurich Kotak General Insurance Company (India) Limited (Formerly known as Kotak Mahindra General Insurance Company Limited).

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Total Income	5,348.40	3,981.57
Total Expenses	3,173.17	2,346.39
PBT	2,175.23	1,635.18
PAT	1,640.46	1,226.17

PAT for FY 2024-25 at ₹ 1,640.46 crore is higher than ₹ 1,226.17 crore for FY 2023-24, driven by higher brokerage and interest income pursuant to higher market volumes.

Business Highlights

FY 2024-25 witnessed market volume growth in equity cash segment with average daily volumes (excluding proprietary segment) increasing to ₹ 78,015 crore in FY 2024-25 from ₹ 56,866 crore in the previous financial year and equity derivative segment increasing to ₹ 140,724 crore in FY 2024-25 from ₹ 105,035 crore in previous financial year. Consequently, KSL's volumes also increased for equity cash and derivative segments.

As on 31st March, 2025, KSL had a national footprint of 1,143 branches and franchisees across 309 cities in India serving its customers.

Kotak Securities' market share (excluding proprietary segment) for FY 2024-25 was:

- 12.86% compared to 12.63% in FY 2023-24 for the equity derivatives segment*
- 9.38% compared to 10.24% in FY 2023-24 for the equity segment

In November 2024, the company revised pricing for its digital plans (Trade Free Plans) with ₹ 10 per order brokerage on equity intraday and F&O trades, offering one of the most attractive propositions for traders in the industry.

The digital plans collectively accounted for 61% of overall KSL acquisition in FY 2024-25. Due to the continued thrust on digital, the Kotak Neo mobile trading application of KSL registered a massive adoption, resulting in 44% YoY growth in the trading volume* through the Kotak Securities Mobile apps.

**Based on notional turnover for futures of all segments and premium turnover for options of all segments*

Multiple initiatives were adopted to improve KSL value proposition. Key product initiatives are mentioned below:

- Revamped Neo App Homepage to enable personalised views for Stocks, F&O and Mutual Funds to improve discovery.
- Revamped Demat account opening journey, enabling a native experience with seamless flow for the users – helped KSL grow acquisition by 30% YoY.
- Enhanced transparency through a detailed breakdown of used margin across Equity, Derivatives and Margin Trading Facility (MTF).
- Launched Pay Later (MTF) Research Section including featured curated stock recommendations from in-house research team.
- Simplified Pay Later (MTF) investing by instant activation, easy cash withdrawal and MTF to Cash conversion of positions.
- Launched Trade from Charts with seamless in-chart order placement, P&L tracking and order management.
- Launched Strategy Bot to automate trade execution with advanced risk management capabilities.
- Enhanced its derivatives trading experience by revamping the advanced basket order feature, introducing an Options Screener for faster trade discovery and enabling Greeks directly on the Option Chain for deeper trading insights.
- Embedded CSAT surveys and in-app feedback mechanisms to continuously capture user insights and proactively enhance the customer experience.
- Added Corporate Actions Labels on stocks for better decision-making and Good Till Triggered (GTT) orders to ensure no missed opportunities.
- Introduced same-day 100% margin credit for shares sold enabling the customers to reinvest or utilize funds instantly.
- Rolled out a simplified, native IPO application journey for smoother experience.
- Stockcase and SIPIT products launched in FY 2023-24, achieved significant growth with a robust six-times increase in basket investments sold per month for FY 2024-25 compared to March 2024 and three-times YoY increase in SIPs processed per month for FY 2024-25 compared to March 2024. Enabled one-click order form and UPI Autopay for seamless order execution and instant SIP setups.
- Introduced UPI Block Facility (ASBA) for the secondary market, allowing seamless, real-time fund blocking and enhanced payment efficiency for stock purchases.
- Chatbot and IVR Enhancements: Launched NLP, driving a notable increase in self-service adoption — from 18% in April 2024 to 33% by March 2025.
- Launched native Offer for Sale (OFS) and Buyback processes to simplify participation, driving higher engagement and improved user experience.
- Revamped dormant account reactivation with a fully digital process, eliminating the need for self-recorded videos or branch visits to deliver a seamless customer experience.
- Participated in the Series B funding round of deep-tech star-up, Vunet, a business journey observability platform that enables financial services firms to gain real-time visibility into critical processes

Key marketing updates are mentioned below:

- Launched brand campaign "Jo Tez Hain, Woh Aage Hain" featuring a series of TVCs that resonated with young audiences through relatable, fast-paced narratives. The campaign reach was 62.8 million, with a 10% uplift in brand consideration metrics.
- Content Marketing Initiatives: To educate and engage investors, KSL launched a strategic content marketing and social media plan, with 12 new IPs with content-focused on awareness and edutainment. They reached 49.9 million views and 2.1 million engagements. YoY community growth: YouTube subscribers rose 275%.

Awards won in FY 2024-25:

- ASSOCHAM Awards - Best marketing campaign | Mar-24
- Best Use of Data Analytics in Marketing | Nov-24
- 2nd Annual NBFC & Fintech excellence awards - Best Analytics driven project | Aug-24
- Finnoviti Award by Banking Frontiers – Digital Transformation with Kotak NEO | Jun-24
- Best Customer experience transformation - Krypton Innovation Summit | Dec-24
- Most Effective Marketing Campaign - Online Trading Platform | Pitch BFSI Marketing Awards 2023 | Oct-24

The Institutional Equities division of KSL, in FY 2024-25, registered the highest-ever growth in revenues and maintained its leadership position in both the cash equities and derivatives segments. In FY 2024-25, overall market volumes in the institutional segment increased by 46% YoY for the cash segment and by 24% YoY for the derivatives segment. Kotak Institutional Equities saw significant growth in revenues YoY and was able to maintain its yields across client segments. It continued to add new clients to its franchise. It was able to maintain its leadership position in the distribution of IPOs, QIPs, open offers and the execution of block trades.

The division has been investing significantly in upgrading its IT infrastructure to offer a superior trading experience to its clients and improve operational efficiency. The Institutional Equities research team continued to add new sectors and companies. It now covers more than 85% of the market capitalisation of the NSE.

KOTAK MAHINDRA CAPITAL COMPANY LIMITED

Kotak Mahindra Capital Company Limited ("KMCC") is a leading, full-service investment bank in India, offering integrated solutions encompassing high-quality financial advisory services and financing solutions. The services include Equity Capital Market issuances, M&A Advisory and Private Equity Advisory.

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Total Income	669.16	431.68
Total Expenses	208.63	154.99
PBT	460.53	276.69
PAT	360.63	215.01

Business Highlights

Equity Capital Markets

FY 2024-25 was a stellar year for Indian Equity Capital Markets, with the highest-ever activity across all the product categories, viz., IPOs, follow-on primary raises via QIPs and sell-downs. Indian Equity Capital Markets hit all-time highs in FY 2024-25, led by strong FII and DII inflows in H1FY25. While FIIs turned net sellers (USD 15.6 billion) by the end of FY 2024-25, record DII inflows of USD 71.6 billion sustained market momentum. This reflects growing market resilience and strong domestic fundamentals. A total of ₹ 386,469 crore (versus ₹ 209,746 crore in FY 2023-24, up 184% YoY) was raised in FY 2024-25 across primary market deals, i.e., Initial Public Offerings (IPOs), Qualified Institutional Placements (QIPs), Further Public Offering (FPO) and Rights Issues. All sectors saw capital market deals being executed on the back of strong investor response.

KMCC was ranked No. 1 in Equity Capital Markets for third year in a row (Source: Bloomberg) and continued to be the Left Lead Banker of Choice, having led marquee transactions such as Hyundai Motor India, Swiggy, Hexaware, Vishal Megamart, Bajaj Housing Finance, Ola Electric, Brainbees (Firstcry), Sai Life Sciences, Dr. Agarwal's Healthcare, Premier Energies, Emcure Pharmaceuticals and Indegene.

KMCC successfully completed several transactions, including 18 IPOs, 12 QIPs and 1 Rights Issue raising a total of ₹ 143,571 crore in FY 2024-25. Kotak led several marquee transactions such as largest ever IPO in history of Indian Capital Markets of Hyundai Motor India - ₹ 27,859 crore, first IPO to successfully list via confidential filing route of Swiggy - ₹ 11,327 crore, the largest ever IT services IPO in India and the largest IT services IPO globally in the last 10 years of Hexaware Technologies - ₹ 8,750 crore, India's first pureplay Electric Vehicle IPO of Ola Electric Mobility - ₹ 6,146 crore, combined QIP of Equity and CCD through a single document for Samvardhana Motherson International - ₹ 6,438 crore.

Top Equity Deals that were concluded by KMCC during the year include:

IPO: Hyundai Motor India - ₹ 27,859 crore, Swiggy - ₹ 11,327 crore, Hexaware Technologies - ₹ 8,750 crore, Vishal Mega Mart - ₹ 8,000 crore, Bajaj Housing Finance - ₹ 6,560 crore, Ola Electric Mobility - ₹ 6,146 crore, International Gemmological Institute - ₹ 4,225 crore, Brainbees Solutions - ₹ 4,194 crore, Sai Life Sciences - ₹ 3,043 crore, Dr. Agarwal's Health Care - ₹ 3,027 crore, Aadhar Housing Finance - ₹ 3,000 crore, Acme Solar Holdings - ₹ 2,900 crore, Premier Energies - ₹ 2,830 crore, Niva Bupa Health Insurance Co. - ₹ 2,200 crore, Emcure Pharmaceuticals - ₹ 1,952 crore, Indegene - ₹ 1,842 crore, Ventive Hospitality - ₹ 1,600 crore, Western Carriers - ₹ 493 crore

QIP: Varun Beverages Ltd. - ₹ 7,500 crore, Godrej Properties Ltd. - ₹ 6,000 crore, Prestige Estates Projects Ltd. - ₹ 5,000 crore, Samvardhana Motherson International Ltd. - ₹ 6,438 crore, Torrent Power Ltd. - ₹ 3,500 crore, Brookfield India Real Estate Trust - ₹ 3,500 crore, Mankind Pharma Ltd. - ₹ 3,000 crore, Bharat Forge Ltd. - ₹ 1,650 crore, Brigade Enterprises Ltd. - ₹ 1,500 crore, Gravita India Ltd. - ₹ 1,000 crore, Keystone Realtors Ltd. - ₹ 800 crore, Cello World Ltd. - ₹ 737 crore

Rights: Tata Consumer Products - ₹ 2,998 crore

Mergers and Acquisitions and Private Equity Advisory

The total M&A Advisory deal value in India for FY 2024-25 increased to ~USD 109 billion from ~USD 87 billion in FY 2023-24, while deal volumes increased to 3,446 in FY 2024-25 from 2,787 in FY 2023-24. The average deal size for FY 2024-25 decreased marginally to USD 47 million vis-à-vis USD 49 million in FY 2023-24. (Source: Bloomberg, as on 28th April, 2025)

Deal values in FY 2024-25 showed a strong growth of ~26% compared with the previous year. In FY 2024-25, financial sponsors accounted for ~40% of the transactions by value versus ~31% in FY 2023-24 and continued to constitute a significant part of India's M&A activity.

The deal activity during FY 2024-25 was largely contributed by domestic majority, inbound minority investments, outbound acquisitions in the media, technology, healthcare, consumer sectors, financial services and infrastructure. Consolidation by market leaders and sponsor buy-outs, creation of business platforms by consolidating multiple businesses and simplification of corporate structure were major drivers for M&A transactions in FY 2024-25 and the trend is expected to continue in FY 2025-26. Other factors such as building adjacencies by the acquisition of new business, business consolidation and exits by private equity funds are also expected to drive the M&A activity in FY 2025-26.

In FY 2024-25, among the investment banks, KMCC was ranked #1 by value of deals and #2 by volume of deals in the M&A league tables (Source: Bloomberg, as on 28th April, 2025). KMCC advised on a diverse array of 11 M&A transactions across a range of products and sectors, for a total deal value of ~USD 7 billion (not considering deals where values have not been disclosed):

- Across products, ranging from acquisitions, divestments, mergers, restructurings, private equity investments;
- Across sectors, ranging from healthcare, financial services, consumer, digital, infrastructure and auto and industrials

Some of the key advisory deals that were advised by KMCC during the financial year include:

- Sell-side advisor to Kogta Financial (India) Ltd for Series E Fundraise from Ontario Teachers' Pension Plan
- Sell-side advisor to TI Clean Mobility Pvt Ltd for fundraise GEF Capital Partners and M&G Investment Management
- Sell-side advisor to the Fortum Corporation for sale of 185 MW Indian Solar Portfolio to Gentari Renewables Pte.
- Buy-side advisor to Bain Capital for the acquisition of joint control in Manappuram Finance Ltd and manager to the open offer
- Buy-side advisor to Carlyle for acquisition of Roop Automotives Ltd and Highway Industries Ltd for creation of diversified global auto components platform
- Financial advisor and Fairness Opinion provider to Zomato Ltd for acquisition of the movie and events ticketing business of Paytm
- Advisor to Aster DM Healthcare Ltd on merger of Quality Care India Ltd with Aster DM Healthcare Ltd
- Financial advisor to Adi and Nadir Godrej family for family settlement and re-alignment of holdings in Godrej group companies
- Financial advisor and Fairness Opinion provider to Hindustan Unilever Ltd for the demerger of the ice cream business
- Manager to the open offer in HealthCare Global Enterprises Ltd by KKR

KOTAK MAHINDRA LIFE INSURANCE COMPANY LIMITED

Kotak Mahindra Life Insurance Company Limited ("KLI") is in the business of Life Insurance, annuity and providing employee benefit products to its individual and group clientele. KLI has developed a multi-channel distribution network to cater to its customers and markets through agency, bancassurance and other alternate, group and online channels on a pan-India basis.

Network

KLI had 323 life insurance outlets across 153 locations. KLI has 114,436 life advisors, 26 Bancassurance partners and 292 brokers and corporate agency tie-ups.

Financial Highlights

Particulars	(₹ in crore)	
	FY 2024-25	FY 2023-24
Gross Premium Income	18,375.67	17,708.38
First Year Premium (Incl. Group and Single)	8,214.38	8,656.85
Profit Before Tax – Shareholders' Account	1,174.99	1,041.24
Profit after Tax – Shareholders' Account	769.47	688.62
Solvency Ratio (as on 31 st March)	2.45	2.56

The Indian Embedded Value (IEV) was ₹ 17,612 crore (31st March, 2024: ₹ 15,242 crore) as on 31st March, 2025, up 15.6% YoY. This is computed based on the principles prescribed by APS10. The methodology, assumptions and results have been reviewed by Willis Towers Watson Actuarial Advisory LLP.

The Value of New Business (VNB) for FY 2024-25 stood at ₹ 959 crore (FY 2023-24: ₹ 1,053 crore) and the VNB margin was 25.0%.

The Net worth of KLI increased by 9.21% to ₹ 6,403.07 crore as on 31st March, 2025 from ₹ 5,863.23 crore as on 31st March, 2024.

PBT (Shareholders') of KLI for FY 2024-25 stood at ₹ 1,174.99 crore against ₹ 1,041.24 crore in FY 2023-24.

KLI has announced a bonus of ₹ 1,178.09 crore for FY 2024-25, a growth of 16.98% over previous year, pertaining to more than 7 lakh eligible policyholders. This is the 24th consecutive year that Kotak life has declared a bonus on participating products.

An insurance company is considered to be solvent if its assets are adequate and liquid to pay off claims/liabilities as and when they arise. Solvency ratio indicates the Company's claim/liability paying ability. KLI has solvency ratio of 2.45 against a regulatory requirement of 1.50.

KLI saw an increase in its AUM (including shareholders') by 14.55% YoY to ₹ 91,806.85 crore in FY 2024- 25.

KLI has been assigned Crisil Corporate Credit rating of CRISIL AAA/Stable (Pronounced as Crisil triple A rating with Stable outlook)

Business Highlights

Revenue Performance

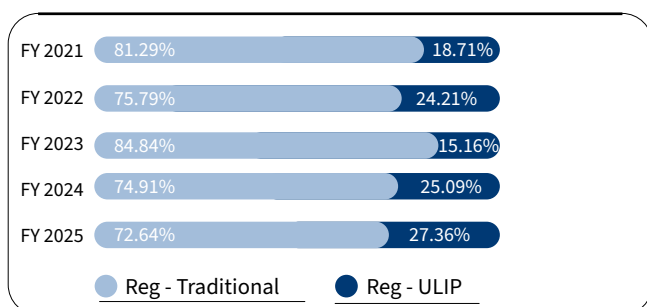
KLI's summary of premiums is as under

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Individual Regular	2,861.30	2,663.06
Individual Single	1,232.13	1,597.10
Group Premium	4,120.95	4,396.69
Total New Business Premium	8,214.38	8,656.85
Renewal	10,161.29	9,051.53
Gross Premium	18,375.67	17,708.38

Distribution Mix (Individual business APE (Single 1/10))

The distribution mix for Individual business APE (Single 1/10), is 48.98% for the Bancassurance channel and 51.02% for Agency & other channels.

Individual New business regular premium Product Mix



This year product mix of KLI in individual regular premium continues to be driven largely by Traditional business being at 72.64% and ULIP at 27.36%.

Protection Share

Protection share, as a percentage of Individual New Business and Total Group Business, stood at 32.83%. Overall protection business for FY 2024-25 stood at ₹ 2,804.93 crore.

The total sum assured as on 31st March, 2025 stood at ₹ 1,556.92 ('000 crore), an increase of 8.02% YoY.

Group Business

The group business comprising of Group term, Group Credit life business and Group Fund business (Including renewals) stood at ₹ 4,449.94 crore in FY 2024-25 (FY 2023-24: ₹ 4,712.70 crore).

Conservation and Persistency

The Conservation ratio stood at 86.26% in FY 2024-25 compared to 88.09% in FY 2023-24. As on 31st March, 2025, the persistency was 85.23% (13th month), 76.76% (25th month), 67.52% (37th month), 61.41% (49th month) and 56.32% (61st month).

Claims Settlement Ratio

The individual claims settlement ratio for FY 2024-25 improved to 98.61% (FY 2023-24: 98.29%) while the group claims settlement ratio for FY 2024-25 improved to 99.63% (FY 2023-24: 99.23%).

Industry Comparison

On an individual APE Basis (Single 1/10), KLI has registered 5.73% growth against private insurance industry growth of 15.09% and overall industry growth of 10.46%. KLI's market share for Individual New Business premium (APE terms) is 3.51% for FY 2024-25 among private insurers. This is due to higher proportion of traditional policies compared to industry.

On a group APE Basis (Single 1/10), KLI's market share for Group New Business premium (APE terms) is 10.67% for FY 2024-25 among private insurers.

In FY 2024-25, the insurance industry as a whole registered 9.39% growth on Total New Business Premium – Adjusted Premium Equivalent (APE) terms (Single 1/10), KLI registered a growth of 4.12% on Total New Business Premium- APE terms. On the same basis, KLI's market share stood at 4.81% of the private industry.

Kotak Life launched innovative products, offering protection and long-term income. Some significant new launches for the year were:

Kotak Gen2Gen Protect (UIN: 107N132V02): A first-of-its-kind two-generation life cover plan, wherein parents receive coverage with full premium return on survival of the term, after which it seamlessly transfers to their child without additional premiums or medical checks.

Kotak Gen2Gen Income (UIN: 107N163V01): An industry-first plan, which provides parents with regular income until a predetermined age. At maturity, premiums paid are received back in a lump sum. This plan then transfers to the child providing him life cover and an income till the attainment of age 85.

Kotak Confident Retirement Builder (UIN: 107L136V02): A unit-linked pension plan that helps individuals save for retirement through a selection of investment funds, complemented by the launch of the new unit-linked pension plan 'Kotak Nifty 500 Multicap Momentum Quality 50 Index Pension Fund'.

Kotak Confident Retirement Savings Plan (UIN: 107N162V01): A participating pension plan that builds a retirement corpus while allowing participation in profit of a participating fund of Kotak Mahindra Life Insurance Company.

Information Technology and Digital Initiatives

The dynamic life insurance landscape of FY 2024-25, characterised by evolving customer needs, supportive regulatory reforms, rapid technological advancements and a fluid global environment, underscored the importance of adaptability. In response to swaying market conditions, KLI has brought in critical technology interventions during the financial year.

By prioritising customer-centricity, scale with embedded value, customer-centricity, digital excellence and innovative products, KLI made strategic investments in digital transformation initiatives that are fuelling future growth, productivity gains, reduced cost to premium ratio, market leadership and stakeholder value creation. The following technology and digital initiatives were focused on:

A. Elevate Customer On-boarding and Servicing

- **Optimus**

This is a next generation omni-channel customer onboarding platform that enables an unparalleled customer experience offering configurable product launches and journeys as per channel/partner needs. It is equipped with a unified customer portal facilitating one stop customer convenience of payment, e-mandate setup, pre-issuance verification call and policy declaration.

- **Digitalised workflow for Group Underwriting (UW)**

Group Insurance UW processes have been streamlined and digitalised using an industry-best platform, thereby enhancing efficiency, strengthening governance and improving case visibility from the requirements raised stage to fulfilment along with underwriting decision being systematically captured and synced back with the core systems.

- **Centralised Communication Management (CCM)**

With an objective to unify all customer communications on a single, cloud-based platform, KLI embarked on a journey to replace legacy and disparate communication tools with a robust centralised platform. CCM will provide superior control over communications and give deeper insights on customer interaction.

- **Policy Loans and ECS-enabled on WhatsApp and Web Channels**

Customers can now avail loan against their policy via WhatsApp and the Customer portal (OPM). Customers can also now raise ECS activation request via WhatsApp and Chatbots without any re-directions or manual interventions

B. Catalyse Distributor and Partner Success

- **Vymo**

As part of the Company's commitment to strengthen distribution capabilities, the Company has partnered with VYMO to launch an activity management module for its agency employees. VYMO provides an industry-leading sales productivity platform that endows distributors with actionable insights, intuitive engagement tools & performance tracking.

- **Boost 360**

A super-app for KLI's advisors, partners and frontline sales. Boost empowers sales users with cutting edge features such as customer servicing suite, KPI dashboards and increased revenue opportunities. Boost witnessed 98,500+ registered users and 46,400+ monthly active users, facilitating over 2.5 million+ service requests annually.

C. Organisation Capability Additions

- **Driving Application Value Excellence**

As part of the KLI's strategic focus on Application Value Management (AVM), vital initiatives centred around observability, elimination and automation were undertaken. BOTs were deployed to automate queue re-push and trim manual processes. Enhanced observability frameworks leveraged to gain real-time insights into application performance, enabling data-driven decision-making. Low-value processing steps were eliminated optimising the overall technology ecosystem.

- **SAP for Investment Management**

Automation of the investment front to back activities using SAP has been a state-of-the-art implementation for KLI. The system offers an intuitive UI with a capability of custom reports. The system has proven to be a single source to manage investments across asset classes and adhere to regulatory and internal compliance with superior data capturing, processing and visualisation.

Social and Rural Obligations

Kotak Life continues to focus on financial inclusion by insuring rural and social lives. During FY 2024-25, Kotak Life has taken necessary measures and insured the relevant lives towards achieving the Rural and Social sector obligations emanating from IRDAI (Rural, Social and Motor Third-Party Obligations) Regulations 2024.

Geographical Coverage and Distribution Strength

KLI expanded its footprint with 33 new branches (18 in Tier 2 and 3 cities) and recruited ~66,000 agents. We also secured 2 New Banca partnerships and 14 new CA tie-ups in the Group business. As the appointed lead insurer for Tamil Nadu and Puducherry, KLI reached 20,000+ individuals through rural awareness campaigns.

KOTAK MAHINDRA ASSET MANAGEMENT COMPANY LIMITED AND KOTAK MAHINDRA TRUSTEE COMPANY LIMITED

Kotak Mahindra Asset Management Company Limited ("KMAMC") is the asset manager of Kotak Mahindra Mutual Fund ("KMMF") and Kotak Mahindra Trustee Company Limited ("KMTCL") acts as the trustee to KMMF. KMAMC also acts as a portfolio manager under the portfolio management regulations and an investment manager to an AIF.

Financial Highlights

(₹ in crore)

Kotak Mahindra Asset Management Company Limited	FY 2024-25	FY 2023-24
Total Income	1,508.99	941.83
Total Expenses	473.87	371.19
PBT	1,035.12	570.64
PAT	795.71	424.41
KMMF - AAUM	468,820	346,589

(₹ in crore)

Kotak Mahindra Trustee Company Limited	FY 2024-25	FY 2023-24
Total Income	239.81	140.53
Total Expenses	4.53	5.33
PBT	235.28	135.20
PAT	180.79	100.77

Revenue from operations increased to ₹ 1,302.64 crore in FY 2024-25 from ₹ 926.37 crore in FY 2023-24, largely on account of an increase in AAUM. The overall costs increased to ₹ 473.88 crore in FY 2024-25 from ₹ 371.19 crore in FY 2023-24. The overall PBT increased to ₹ 1,035.12 crore in FY 2024-25 compared to ₹ 570.64 crore in FY 2023-24 on account of increase in AAUM and in FY 2024-25 had a mark-to-market capital gain of around ₹ 139 crore on account of the impact of the alignment of investment policy based on the RBI regulations.

For KMTCL, the increase in PBT is on account of increase in AAUM in FY 2024-25 and a mark-to-market capital gain of around ₹ 50 crore on account of impact of the alignment of investment policy based RBI regulations.

Business Highlights

The mutual fund industry registered 34.88% YoY growth in FY 2024-25 over FY 2023-24 with the Annual Average Assets under Management (AAUM) for FY 2024-25 standing at ₹ 66.18 lakh crore.

The AAUM of KMMF stood at ₹ 468,820 crore for FY 2024-25, up 35.27% from ₹ 346,589 crore in FY 2023-24. AAUM Market Share was 7.09% in FY 2024-25 (7.07% FY 2023-24). KMAMC is ranked no. 5 in the industry on the basis of AAUM.

KMAMC has 67.05 lakh unique investors (on the basis of RTA data) against the industry's 542.49 lakh, a market share of 12.36% in March 2025, versus 12.16% in March 2024.

KMAMC ended the year with AUM under the portfolio management business of ₹ 4,504 crore as on 31st March, 2025 versus ₹ 3,203 as on 31st March, 2024.

In FY 2024-25, KMAMC launched three open ended funds and seventeen passive strategies.

KMAMC is a signatory to UN-PRI and Climate Action 100+.

As of March 2025, KMAMC had over 1.31 crore folios, with over 21 lakh new folios added in FY 2024-25. KMAMC had a robust distribution network with over 99,341 empanelled distributors and 106 branches spread across 94 cities.

Average AUM

(₹ in crore)

Equity

FY 2021 81,401

FY 2022 130,488

FY 2023 153,486

FY 2024 200,923

FY 2025 299,924

Debt

FY 2021 121,425

FY 2022 142,449

FY 2023 133,572

FY 2024 145,666

FY 2025 168,896

Kotak Mutual Fund Marketing Campaign - Investor Awareness Program:

The campaign “Sapno Ko Skip Nahi, SIP Karo” was focused on raising awareness and educating people about how Systematic Investment Plans (SIPs) can help achieve financial dreams. Through social media, the Company reached beyond 257 million people and the company website saw more than 22 lakh visits, showing strong engagement. This campaign has successfully spread awareness, empowering individuals to take charge of their financial future through SIPs.

Campaign Films:

- https://youtu.be/XiT_T7SICzU
- <https://youtu.be/Ocq9binpcHY>
- <https://youtu.be/fQoQyqpxRm0>

List of awards won in FY 2024-25 for this campaign - “Sapno Ko Skip Nahi, SIP Karo”

- E4M Maddies 2024 - Most Engaging Mobile campaign
- E4M Pitch BFSI Marketing Awards - Most Effective Use of OTT / Digital
- Mobexx - Excellence in data-driven social media marketing
- Mobexx - Excellence in data-driven content marketing
- Finixx Awards - Mobile advertising excellence in launch campaign
- Datamatixx - Most Effective Use of OTT / Digital
- Digies 2025 - Best Programmatic Campaign

KOTAK MAHINDRA PENSION FUND LIMITED

Financial Highlights

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Total Income	10.25	6.38
Total Expenses	8.32	6.59
PBT	1.93	(0.21)
PAT	1.93	(0.21)
AUM	6,378	4,706

Kotak Mahindra Pension Fund Limited (“KMPFL”) manages nine schemes under the National Pension System. It had total assets under management (AUM) of ₹ 6,378 crore as at 31st March, 2025, up 36% from ₹ 4,706 crore as on 31st March 2024.

KMPFL’s equity fund (NPS Tier 1) was among the top two best-performing equity funds in the NPS industry (NPS Tier 1) over one and three year period as on March 31, 2025.

Revenue from operations increased to ₹ 5.07 crore in FY 2024-25 from ₹ 3.25 crore in FY 2023-24, on account of the increase in AAUM. The overall costs had increase to ₹ 8.33 crore in FY 2024-25 from ₹ 6.59 crore in FY 2023-24. The overall PBT increased to ₹ 1.93 crore in FY 2024-25 compared to loss of ₹ 0.21 crore in FY 2023-24, majorly on account of a mark to market capital gain of around ₹ 4.18 crore in FY 2024-25 due to the impact of the alignment of investment policy based on the RBI regulations.

KOTAK ALTERNATE ASSET MANAGERS LIMITED

(Formerly known as Kotak Investment Advisors Limited)

Kotak Alternate Asset Managers Limited (“KAAML”) is one of India's leading alternate asset management firms, offering investment management and advisory services across a diverse range of asset classes. As of 31st March, 2025, KAAML has raised approximately USD 11 billion in capital commitments since inception.

Financial Highlights

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Total Income	583.95	413.12
Total Expenses	404.31	336.25
PBT	179.65	76.87
PAT	139.31	58.84

Business Highlights

KAAML's offerings are segmented into four core strategies:

Real Estate: This includes investment offerings in RE Credit and RE Equity which invest across Commercial Real Estate, Data Centres and Warehousing. The platform leverages macro tailwinds such as the growth of digital infrastructure, e-commerce expansion and regulatory enablers. Investments are structured to integrate global best practices in sustainability, operational efficiency and technology adoption.

Private Credit: KAAML's private credit business offers customised capital solutions in special situations, performing and infrastructure credit. Notable funds include:

- **Kotak Strategic Situations Fund (KSSF):** Focuses on value-accretive opportunities in complex scenarios, such as restructurings, turnarounds and bespoke structured transactions.
- **Kotak Private Credit Fund:** Targets mid-market lending, providing structured credit to fundamentally sound businesses seeking bespoke capital solutions.
- **Kotak Infrastructure Investment Fund:** India's first dedicated infrastructure credit fund, deploying capital into operating assets across traditional and emerging infrastructure sectors.

Private Equity: Kotak Private Equity has been active in India's private equity landscape since 2005, focusing on long-term thematic investing and specializing in healthcare and life sciences. During the year, KAAML launched Kotak Life Science Fund (KLSF-I), achieving a first close of approximately ₹250 crore which intends to invest across early to growth stage ventures aligned with India's expanding healthcare and biotech ecosystem.

Discretionary Solutions: This platform offers bespoke investment solutions which include **Kotak Iconic** (complete Equity Portfolio Solutions) and **Kotak Optimus** (Multi-Asset, Multi-Strategy Portfolio Solution) suited for Ultra High Net Worth Individuals (UHNIs) and Family Offices. The platform marked a significant milestone with the launch of Iconic II in the current FY 2024-25, following the success of its predecessor. The platform crossed a critical AUM milestone of ₹ 6,306 crore, reflecting growing investor confidence and sustained interest in personalised, multi-asset allocation solutions.

In FY 2024-25, KAAML attracted new capital commitments ~ ₹ 12,200 crore across its various funds and strategies, showing a growth rate of 15% w.r.t FY 2023-24.

The key highlights of investments made by KAAML during the FY 2024-25 are as follows:

- ₹ 400 crore in Biorad Medisys Private Limited (Biorad Medisys)
- ₹ 1,445 crore for the acquisition of API business of Viatrix by Matrix Pharma
- ₹ 940 crore in Neuberger Diagnostics Private Limited ("Neuberger") to support Neuberger's inorganic expansion strategy.
- ₹ 1,050 crore in Tirupati Medicare Limited ("Tirupati"). This investment will facilitate a complete exit for the existing investor and support Tirupati's expansion plans.

Kotak Bespoke Investment Advisory Business:

As a SEBI-registered investment advisor, KAAML prides itself on providing advice which is tailored to meet the specific needs and goals of each client and is built on the tenets of asset allocation. The advisory proposition is focused on dedicated advice based on client-specific investment objectives, preferences and tailored solutions based on the risk profile of the client.

During the current year, the investment advisory practice crossed ₹ 120,000 crore of assets under advice, across 460+ families. During the year, KAAML has secured investment advisory mandates from clients based out of a number of tier 3 cities across the length and breadth of India. "Kotak Selekt", KAAML's investment advisory offering, has crossed ₹ 800 crores of assets under advice.

Kotak Cherry Platform

KAAML owns and runs a 100% digital investment ecosystem under the brand name of 'Cherry'. It was an exciting year for Kotak Cherry as the one stop investment platform grew many manifolds during financial year.

Kotak Cherry brought in many new features to drive this growth.

- Cherry now provides an in-depth analysis of customer's portfolio with Portfolio Analyser
- An assisted portal was created to enable front end and call centre teams to assist customers in managing their investments
- Cherry launched Aspire SIP, a unique proposition comprising of combined benefits of SIPs and SWPs
- Cherry became the Technology Centre of Excellence for mutual funds launching mutual fund proposition on Kotak811 app and new Kotak Mobile Banking app
- Cherry brought in in-app selling with native marketing properties to drive business
- Café and Stories, an edutainment feature was revamped to drive trust build up with customers

While the focus has been on growing the Platform, impetus has been put to strengthen technology to support multi-fold growth. This has been done by revamping and rewriting existing code base to internalise entire technology by removing vendor dependency for all key services.

The launch of such variety of features and branding initiatives led to Cherry platform seeing significant growth through the year both with customers and AUM.

KOTAK MAHINDRA TRUSTEESHIP SERVICES LIMITED

Kotak Mahindra Trusteeship Services Limited ("KMTSL"), acts as a trustee to domestic venture capital funds, alternate investment funds. KMTSL also offers Kotak's Estate Planning Services and with a legacy of nearly two decades in this field, KMTSL has been instrumental in setting up private family trusts for many families across India, catering to a diverse mix of industries and sectors. KMTSL also acts as a trustee to estate planning trusts, assisting in the administration and management of the trusts in a seamless manner over a longer period of time.

Kotak's Estate Planning Services plays an important role in providing a comprehensive platform for succession planning for Ultra High Net Worth Individual (UHNI) and High Net Worth Individual (HNI) clients, comprising of entrepreneurs, business families and professionals, who may have connections in multiple jurisdictions as families grow more global over time. The Company helps families plan intergenerational transfer of their family wealth in a streamlined and planned manner. This business aims at assisting families with their succession planning needs to build a long-lasting and meaningful relationship that span more than just one generation.

Financial Highlights

Particulars	(₹ in crore)	
	FY 2024-25	FY 2023-24
Total Income	20.37	19.45
Total Expenses	12.57	11.77
PBT	7.80	7.68
PAT	5.84	5.87

Estate Planning Business

The Estate Planning business of KMTSL is primarily engaged in assisting families setting up private family trusts and rendering trusteeship services to private trusts set up for clients. During FY 2024-25, the Estate Planning business achieved a top-line growth of ~9%. Business growth has been due to increase in client interactions and greater interest of families in succession planning.

This business segment continues to witness new entrants, viz., wealth management outfits, CA firms, private client practice started by many law firms, offshore trustee companies targeting HNI clients in India, leading to pricing pressure and increased competition. As on 31st March, 2025, KMTSL has aggregate assets under trusteeship of approximately ₹ 51,000 crore.

Trusteeship Services for Alternative Investment Funds

KMTSL also acts as a trustee to 14 alternative investment funds and venture capital funds. The investment manager of funds for which the KMTSL acts as Trustee, has adopted comprehensive risk management process and procedures.

INTERNATIONAL SUBSIDIARIES

International subsidiaries consist of following entities:

1. Kotak Mahindra (UK) Limited
2. Kotak Mahindra (International) Limited
3. Kotak Mahindra, Inc.
4. Kotak Mahindra Asset Management (Singapore) Pte. Limited
5. Kotak Mahindra Financial Services Limited

The international subsidiaries have offices in Singapore, the UK, Mauritius, the US and the UAE.

The international subsidiaries are mainly engaged in investment management, advisory services, dealing in securities, broker-dealer activities and investments on own accounts.

The funds managed or advised by the International Subsidiaries are India centric equity and debt funds and target investors from across the globe seeking to invest into India.

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Total Income	540.20	434.73
Total Expenses	245.74	214.99
PBT	294.46	219.74
PAT	254.98	188.72

The total income earned by international subsidiaries increased from ₹ 434.73 crore in FY 2023-24 to ₹ 540.20 crore in FY 2024-25.

The higher income from investment management (largely due to higher AAUM as mentioned above), advisory and other services (₹ 81.11 crore) and income from investments (including mark-to-market gains) (₹ 31.65 crore) were offset by lower income from dealing in securities (₹ 3.50 crore). The overall expenses increased from ₹ 214.99 crore during the previous year to ₹ 245.74 crore during the current year, primarily on account of higher staff costs and other operating expenses. Resultantly, the profit before tax for the year stood at ₹ 294.46 crore versus a profit of ₹ 219.74 crore for the previous year.

Business Highlights

The closing assets managed/advised (AUM) by the International Subsidiaries decreased from USD 6.19 billion (₹ 51,653.61 crore) as on 31st March, 2024 to USD 5.51 billion (₹ 47,112.14 crore) as on 31st March, 2025. This was primarily on account of net outflows from funds, partially offset by positive market movement in capital markets in India. However, the average AUM (AAUM) increased from USD 5.47 billion (₹ 45,317.06 crore) for FY 2023-24 to USD 6.37 billion (₹ 53,903.61 crore) for FY 2024-25.

Income from bond dealing business remained subdued in FY 2024-25 due to lower volumes and spread in the market. KMUK intends to close this business during the upcoming financial year in light of the difficulties it has had in scaling up the same.

BSS MICROFINANCE LIMITED

BSS Microfinance Limited ("BSS") is a wholly owned subsidiary of KMBL and working as Business Correspondent ("BC") of the Bank. BSS facilitates microcredit loans to rural and semi-urban poor women. It has 878 branch offices across 13 states in India. Loans originated by BSS are eligible for priority sector advances of the Bank.

Financial Highlights

(₹ in crore)

Particulars	FY 2024-25	FY 2023-24
Total Income	858.28	996.07
Total Expenses	957.61	487.03
PBT	(99.34)	509.04
PAT	(73.67)	383.22

The microfinance industry is currently experiencing heightened financial stress, largely driven by higher borrower indebtedness. Profitability in the sector is under pressure due to rising credit costs and operational expenses. Growth in assets under management (AUM) is expected to decelerate as a result of operational disruptions and excessive borrower leverage. BSS's disbursements reduced to ₹ 3,959.86 crore in FY 2024-25 from ₹ 8,213.32 crore in FY 2023-24. Further, entity made a loss of ₹ 73.67 crores in FY 2024-25 as against a profit of ₹ 383.22 crores in FY 2023-24.

SONATA FINANCE PRIVATE LIMITED

Sonata Finance Private Limited ("Sonata") was acquired by the Bank on 28th March, 2024 for a total consideration of ₹ 537.12 crore. Sonata Finance Private Limited voluntarily surrendered its the RBI Certificate of Registration (CoR) for Non-Banking Financial Institution (NBFI) business, which was subsequently cancelled by the Reserve Bank of India (RBI), effective 8th October, 2024. Sonata now functions as a Business Correspondent (BC) for the Bank which is primarily focused on extending microcredit loans to low-income households, leading to financial inclusion and economic empowerment of women and underprivileged sections of the society. Sonata Finance has 621 branch offices across 10 states in India.

Financial Highlights

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24*
Total Income	265.96	4.19
Total Expenses	248.69	20.83
PBT	17.27	(16.64)
PAT	12.66	(13.71)

*For the period from 28th March, 2024 to 31st March, 2024

The Board of Directors of Sonata and BSS at their respective meetings held on 12th August, 2024 have approved a Scheme of Amalgamation of Sonata with BSS, on a going concern basis, under the provisions of Sections 230 and 232 of the Companies Act, 2013 and the rules made thereunder. The Scheme would, however, be subject to the approval of the respective shareholders and creditors of Sonata and BSS and the approval of the concerned National Company Law Tribunal (NCLT) and other regulatory authorities, if required.

IVY PRODUCT INTERMEDIARIES LIMITED

At present, IVY Product Intermediaries Limited earns income from investment of its surplus money in fixed deposits.

Financial Highlights

(₹ in crore)		
Particulars	FY 2024-25	FY 2023-24
Total Income	0.48	0.45
Total Expenses	0.12	0.01
PBT	0.36	0.44
PAT	0.25	0.33

KOTAK KARMA FOUNDATION

On 26th June, 2023, the Bank has incorporated Kotak Karma Foundation under Section 8 of the Companies Act, 2013, as a wholly owned subsidiary for setting up a Centre of Excellence (CoE) of the Bank for furtherance of part of its Corporate Social Responsibility (CSR) initiatives.

TECHNOLOGY AND DIGITISATION

FY 2024-25 marked an important year in the Bank's technology and digital transformation journey. This transformation was driven by the strategic belief that building a fast, resilient and scalable core is fundamental to delivering improved customer experiences in an increasingly digital-first world. The Bank undertook a comprehensive upgrade of the technology infrastructure and enhanced the UI/UX and core features of its applications ("apps") and platforms. This process also resulted in resolving the regulatory restrictions highlighted in the RBI Order dated 24th April, 2024, which were subsequently removed by its letter dated 12th February, 2025.

To drive the agenda of transforming for scale, the Bank is continuing to apply a three-pronged approach:

- Developing resilient technical infrastructure, platforms and cybersecurity frameworks
- Building a unified suite of digital tools for frontline colleagues, risk management and efficiency
- Scaling the Digital Powerhouse (apps and platforms) while adhering to the core tenets of simplicity, speed and security

A. Developing resilient technical infrastructure, platforms and cybersecurity frameworks

The true strength of the Bank lies in the back-end infrastructure that handles data processing, business logic, authentication and integration with external services. The synergy between back-end and front-end systems enables the development of scalable, secure and feature-rich applications that meet the demands of today's users.

The Bank has driven this by modernising the core infrastructure and by creating multiple platforms across product lines.

Core Infrastructure Modernisation and Resilience

To ensure that front-end applications perform reliably at scale, the Bank has undertaken a comprehensive uplift of its Core Banking System (CBS). This includes enhancements in scalability, resilience and availability which are critical for handling increasing transaction volumes and ensuring uninterrupted service. The CBS improvements are complemented by high-availability configurations, disaster recovery drills and load reduction strategies, all of which contribute to a more robust and responsive digital backbone. Through architectural optimisation, the Bank has also improved its payment gateway response time by approximately 60% and improved its UPI technical decline rate from 0.89% in March 2023 to 0.02% in March 2025.

Unified Digital Platforms across Product Lines

A key enabler of seamless digital experiences is the creation of unified technology platforms that ensure cohesion between different systems. These platforms ensure that customer journeys are consistent and integrated, whether accessed via branch, mobile or voice channels.

Key Platforms:

- **Digital Banking Platform**

The Bank's Digital banking platform is designed to deliver personalised, resilient and scalable banking experiences. It comprises two foundational layers: the Kotak App Framework, enabling secure, consistent UX across 250+ flows and the Kotak Domain API Platform, powering rapid evolution across mobile, net and branch banking through cloud-native, observable and fault-tolerant APIs.

- **Observability Platform**

The Bank has implemented monitoring for critical applications, databases and network devices, resulting in data collection of ~4 million metrics per minute. These monitoring tools have been integrated with central incident management and alerting systems resulting in pro-active service level monitoring and alerting, incident prevention and significant reduction in time to detect and resolve issues.

- **Unified Digital Onboarding Platform**

Unified onboarding platform provides best-in-class unified branding customer experience across journeys and resiliency (99.5%+ uptime) due to cloud-native re-usable micro-services. From the customer's perspective, the platform allows journey resumption from any point and supports web, mobile and assisted experiences. This platform seamlessly integrates with KYC modules, risk assessment components, customer drop-off management and other common banking services.

- **Kotak AI Platform**

The Bank is building Kotak AI, a proprietary Generative AI platform that will serve as the cognitive core of the Bank's ecosystem. It is being deeply embedded into the Bank's technology fabric enabling predictive insights, contextual intelligence and seamless automation across interactions.

Beyond customer-facing tools, the Bank is also enhancing internal capabilities through AI. 'Koder' equips software engineers with AI-driven development tools, while 'Kompanion' serves as a conversational AI assistant for frontline and sales staff.

Kotak AI will play a pivotal role in the Bank's digital transformation—not merely as a tool, but as a foundational capability that will empower employees and improve customer UX.

- **Data EXchange (DEX) Platform**

A unified data platform for smart banking, the cloud-native DEX platform serves as the intelligence backbone of Kotak's digital transformation. Purpose-built on modern cloud architecture, DEX ingests, processes and analyses vast volumes of data in real time—powering everything from hyper-personalised experiences to intelligent risk decisioning. DEX has broken down legacy data silos by unifying structured and unstructured data across business lines into a single, trusted platform.

It enables a 360-degree view of the customer, allowing for smarter engagement, faster response times and more proactive interventions. By embedding advanced analytics and machine learning models directly into the platform, DEX empowers real-time fraud detection, personalised product recommendations and automated credit risk scoring. The platform's scalability ensures that the Bank stays ahead as data volumes and complexity grow.

Cybersecurity: Fortifying Defences

As cyber threats grow in scale and sophistication, the Bank's cybersecurity strategy has evolved from reactive defence to proactive resilience. The Bank has responded with a robust, multi-layered security framework that protects both the Bank's assets and the trust of its customers.

At the core of the Bank's defence is a 24x7 Security Operations Centre (SOC), which monitors a number of metrics, enabling real-time threat detection, ML-driven response, predictive analytics and coordinated incident management. This ensures rapid containment and resolution of threats before they escalate.

Customers' identity and access are both managed through multi-factor authentication and privileged access controls. Data is protected through end-to-end encryption, tokenisation and data loss prevention systems. Application security is embedded throughout the development lifecycle, supported by continuous testing and automated patching. The Bank goes beyond reactive measures with regular internal and external assessments, configuration audits, penetration testing and third-party security reviews. These proactive steps help the Bank stay ahead of evolving threats.

The Bank's cybersecurity framework is fully aligned with regulatory requirements. The RBI inspection (22nd January - 7th February, 2025) confirmed strong implementation of the cybersecurity framework. The Bank maintains compliance with PCI DSS 4.0, ISO 27001 and the IT Act 2000. Governance is enforced through a three-line defence model: operational teams, independent oversight by the CISO and regular audits.

In line with the Digital Personal Data Protection Act (DPDP) 2023, the Bank has strengthened its privacy infrastructure. A dedicated Data Privacy Office leads initiatives under the Risk Management Unit, ensuring privacy by design, clear policies and zero grievances reported. Finally, the Bank has built a strong security culture. All employees undergo mandatory cybersecurity training, with specialised programs tailored to roles and access levels—because true resilience is as much about people as it is about technology.

B. Building a unified suite of digital tools for frontline colleagues, risk management and efficiency

a. Frontline Digitisation

Frontline Digitisation Initiatives have enabled branch colleagues to prioritise superior customer service by reducing time spent on operational routines. The key initiatives include the optimisation of transaction processing times (NEFT, IMPS and IFT) through the Transaction Authorisation System (TAS), reduction of batch processing time for daily branch reports and the introduction of an AI-powered bot, among others.

b. Risk Management

The Bank analyses risk through machine learning models that continuously analyse transaction patterns, identifying anomalies that human reviewers might miss. This real-time risk assessment happens across millions of transactions daily, maintaining security without introducing friction into customer experiences.

The Bank's monitoring infrastructure processes ~4 million metrics per minute, enabling deep visibility into system behaviour and potential risks. This massive data ingestion enables real-time fraud detection, automated compliance checks, dynamic risk scoring of customers based on behavioural patterns and external data sources and intelligent alert management.

c. Data Analytics

The Bank has made substantial progress in advancing its data analytics capabilities by establishing a world-class team of data scientists and delivering solutions across a broad spectrum of use cases.

Data analytics has been integrated across the Bank's operations to enhance risk underwriting through 360-degree customer profiling, deepen engagement through personalised offerings based on personas, transaction behaviour and external activity and strengthen fraud prevention by detecting and curbing mule activity.

To support these advancements, the data stack has been modernised with a build out of a new data platform and deployment of new machine learning-based decisioning systems for use cases across the business. This has enabled us to launch new models for underwriting, behaviour scores and a new predictive modelling framework to address customer service and complaints.

C. **Scaling the Digital Powerhouse (Apps/platforms) while adhering to the core tenets of simplicity, speed and security**

Kotak has developed a suite of digital apps/platforms designed specifically to meet the diverse needs of its chosen customer segments.

New Kotak Bank App: The Bank has reimagined the new Banking App to be tailored for a diverse set of customers while applying the core tenets of speed, simplicity and security. Kotak's New Bank App aims to serve the unique needs of affluent, non-residents and self-employed customers with minimal cognitive load. The app curates an experience to allow users to seamlessly switch between personal and business profiles. Features such as one-click mutual fund investments and the ability to convert purchases into EMIs in a few clicks are just some of the ways the app simplifies banking.

The new app facilitates the customers to manage their end-to-end financial use cases digitally from saving, investing, paying, spending, borrowing or protection, with minimal need to visit the Bank branches. The simplified and innovative user experience is optimised to offer frequently used actions within 2-3 clicks. The app is packed with features, with over 250 capabilities, including 50+ new additions. It is engineered to deepen customer engagement and drive product holding through pre-approved loans, credit card management, insurance, mutual funds, trading and investments and more, all accessible within a few clicks. Prioritising security, the app also integrates SIM binding and behavioural biometrics to ensure secure transactions.

Kotak Cherry

For investments, Kotak Cherry is the go-to app providing users with in-depth strategies, curated insights and a framework to build a multi-product portfolio. This app allows seamless one-click investments for Kotak Bank customers. It offers a unified experience where users can invest in mutual funds, fixed deposits and more, all in one place.

Kotak Cherry launched 'Portfolio Analyser Reports', a personalised tool offering data-driven insights, detailed micro-to-macro analysis and Kotak's recommendations for smarter mutual fund decisions. It also introduced 'Cafe', an interactive in-app hub that blends financial literacy with engaging content like blogs and videos.

Kotak811

For a billion Indians (core India), Kotak811 offers full-stack digital banking with sachet-sized products and features of rewards and cashbacks on transactions.

Launched in March 2024, the Kotak811 App features a minimalistic and unbiased design that offers 100+ features, earning top ratings on both the App Store and Play store. It provides seamless digital journeys for sachet-sized cards, loans, investment and protection plans, all accessible in 2-3 clicks. Notably, it is among the few banking apps that facilitate and reward digital payments.

Kotak Neo

For customers keen on trading, the Kotak Neo platform enables users to trade and invest in stocks, equity & commodity derivatives, mutual funds, ETFs and IPOs all at one place. It is well integrated with the Kotak Bank platform for instant onboarding and one-click fund transfers, offering a frictionless experience to the Bank's customers.

Users benefit from Kotak's in-house research including stock and sector insights, expert views and timely updates. The platform also empowers its users with features such as margin trading facilities and advanced trading and charting tools.

Kotak fyn

For Corporate and SME customers, Kotak fyn is an enterprise portal providing a unified and integrated view of the account services, collections, payments and trade services. Kotak fyn's latest feature enhancements focus on efficiency, security and customer empowerment, ensuring that customer businesses can operate with greater ease and confidence.

Its enhanced features empower businesses with on-the-go trade approvals, digital Bank Guarantee booking and online Term Deposit management. Integrated FRM security ensures safe transactions, while a library of training videos simplifies feature adoption. These latest advancements focus on efficiency, security and customer empowerment.

Sampark Setu Platform

For Merchants, the Bank has developed the 'Sampark Setu' platform, a bank-level unified platform, designed in-house to include all digital payment modes. It acts as a central hub for the merchant ecosystem, enabling seamless onboarding, settlement, reconciliation, risk and compliance. Hosted on Kotak cloud, it is designed to build high availability, scalability, security, operational efficiency and audit control.

The Bank believes that these apps for its chosen customer segments are fundamental to its digital engagement with customers. Along with back-end tech upgrades, a significant focus has been placed on enhancing the UI/UX and core features of these apps to enhance customers' digital engagement with the Bank and enabling the Bank to deepen the relationship with customers.

Building the Bank of Tomorrow, Today

The Bank is in the process of building an evolving ecosystem engineered for the future. From intuitive customer-facing applications to intelligent platforms and resilient infrastructure, every layer is purposefully designed to deliver speed, intelligence and trust at scale. As technology continues to accelerate, the Bank is positioning itself not merely to keep pace, but to lead with a purpose of laying a responsible foundation for a future to serve its customers, colleagues and communities better.

HUMAN RESOURCES

FY 2024-25 was a year of transformation for the Bank and its Human Resource (HR) function, a year defined by conscious intent, collective commitment and measurable change. At the Group level, the employee strength was around 114,100 as on 31st March, 2025. The Bank standalone had over 75,300 full-time employees as on 31st March, 2025.

With customer centricity at the core, the Bank sharpened its focus on building a workplace where every Kotakite could thrive, supported through policies, programmes and by creating an environment where purpose, growth and belonging are woven into the everyday experience. The function anchored its initiatives around two key priorities: first, to ensure the Bank creates an employee experience that enhances overall engagement and continues to be recognised as a great place to work; and second, to focus on retaining key talent.

With the **Five Pillars of Talent Engagement** as its guiding framework, the Bank made visible and meaningful progress, bringing down attrition to **33.3%** by the end of FY 2024-25 from 39.6% in FY 2023-24 and creating an employee experience where pride, growth and recognition were woven into every touchpoint.

Kotak Bank has been recognised among India's Top 100 Best Companies to Work for two consecutive years (2024 and 2025), as one of the Best Employers among Nation Builders for four consecutive years (2022 to 2025) and among India's Top 50 Best Workplaces in BFSI for two consecutive years (2024 and 2025) by Great Place to Work® (GPTW).

Best of Kotak for Kotakites

The Bank offered value propositions and benefits to its colleagues on preferential terms. In FY 2024-25, it launched Kotak Staff Home Loan Policy with the objective to provide Home Loan benefits to Kotak Bank colleagues at preferential rates.

Colleague Development

The Bank recognises that building a future-ready workforce requires an integrated focus on leadership development, continuous learning and internal career growth.

In FY 2024-25, the Bank advanced its colleague development agenda through targeted initiatives designed to strengthen leadership pipelines, democratise access to learning and accelerate professional mobility across the organisation through flagship programmes such as:

- **Kotak Young Leaders Council (KYLC)**, the Group's flagship initiative, is shaping 84 young leaders to drive innovation, collaboration and strategic thinking, with grooming across special projects, mentorship, role movements and learning over four years under the guidance of the KYLC Leadership Sponsorship Committee.
- **Quantum Leadership**, conducted in collaboration with ISB, trained approximately 50 senior leaders across the group to align leadership capabilities with strategic direction, while **Lead to Transform** engaged leaders to drive cross-collaboration, customer engagement and strategic foresight.
- **Executive Education** programmes with premier IIMs engaged 150 employees across the Bank to strengthen strategic, digital and customer-centric capabilities.
- **Managerial Capability Building** was reinforced through initiatives such as First Time Manager, training managers with foundational leadership skills, Manager of Managers, preparing leaders for higher-level leadership roles and Branch Manager Next, a pipeline programme for future branch management responsibilities.
- The **Strategic Leadership Program** for CXO-minus-one leaders focused on building future-ready competencies to lead in an increasingly dynamic business landscape. It engaged 78 senior leaders from key business units.
- Career growth was accelerated internally: Programmes such as **GATI**, **Race and Unnati** focused on enabling role transitions for Kotakites in junior grades across the Consumer and Commercial bank.
- The launch of **My Kareer**, Kotak's internal talent marketplace, allowed colleagues to discover opportunities, assess their strengths and take charge of their career pathways with transparency and ease.

In parallel, initiatives such as the **Toastmasters programme** strengthened communication and leadership skills across managerial levels, further empowering Kotakites to lead teams with confidence.

Building a Culture of Appreciation

The Bank recognises that creating a culture of appreciation is key to sustaining motivation, building collaboration and driving high performance.

In FY 2024-25, the Bank embedded recognition more deeply into daily work life through structured platforms and multiple initiatives, reinforcing a strong sense of belonging among Kotakites:

- The launch of **K-Applaud**, a peer-driven rewards and recognition platform, brought appreciation closer to day-to-day work, empowering Kotakites to celebrate each other's efforts in real time. Since its introduction in November 2024, over **13,000 recognitions** were shared, each one strengthening bonds of camaraderie and positivity. **Kotak Shining Stars** is the group's most coveted awards, rewarding impactful initiatives and projects for the period April 2024 to March 2025 and Infinity Awards, presented during Kotak's annual anniversary celebration, honours contribution towards sustainability, community and inclusivity.
- The **39th Anniversary Celebrations**—addressed by founding and senior leadership—served not just as a corporate milestone, but as a reaffirmation of the collective spirit that drives Kotak forward.
- Events such as **Kotak Karnival** turned offices into vibrant spaces of family, creativity and joy, offering colleagues and their loved ones opportunities to engage beyond the workplace.

Through these initiatives, the Bank inculcated a deeper culture of belonging, where every Kotakite felt seen, valued and celebrated.

Transparent Communication

The Bank focused on transparent communication to ensure that its strategy is clearly communicated across the organisation. The Bank had multiple townhalls led by the MD & CEO across locations to communicate the key priorities for the Bank. In addition, the Bank focused on two-way communication as a mechanism to ensure that it has structured feedback platforms, simplifying access to information and enhancing leadership connects. These efforts enabled colleagues to navigate transformation with clarity, participate more actively in organisational dialogue and align their contributions more meaningfully to business goals.

Several initiatives were undertaken, such as:

- **Amber**, the AI-powered real-time feedback platform, continued to act as an always-on listening tool, giving colleagues a safe space to share their experiences and helping leadership stay closely connected to ground realities.
- The fifth edition of **My Kotak My Say**, a Bank-wide survey conducted in collaboration with the Great Place to Work® Institute, achieved a robust **73% response rate**, demonstrating the trust Kotakites place in the Bank's intent to listen and act.
- Regular **Leadership Townhalls**, Business Head sessions and quarterly connects kept teams aligned with business priorities, celebrated milestones and opened direct channels for dialogue.
- The launch of **Kotak World**, an intuitive intranet platform, brought news, policies, engagement activities and opportunities to Kotakites' fingertips, strengthening internal connect like never before.
- The Bank also ensured to bring in transparency in its people processes, for example the performance management process was revamped to ensure KRAs are defined and communicated clearly, regular performance check-ins ensures that managers are sharing progress at regular intervals and share conversations ensured that managers are coached to have constructive performance conversations.

These touchpoints did more than disseminate information. They created a workplace where colleagues felt heard, respected and actively involved.

Enhanced Colleague Value Proposition

The Bank is deeply committed to creating a workplace where every Kotakite, regardless of role or background, has the opportunity to contribute, grow and thrive. This commitment is brought to life through a range of structured programmes, leadership initiatives and policy enhancements that place colleagues' aspirations, wellbeing and growth at the centre.

In order to recognise high-performing talent and deepen engagement at leadership level, the Bank extended a special share-linked grant to the top 10% of performers in mid-to-senior-level roles, furthering the Colleague Value Proposition through meaningful rewards and sense of ownership.

Diversity, Equity, Inclusion and Belonging (DEIB) Initiatives

The Bank fosters a culture where every individual feels respected, valued and empowered to contribute.

Cultural Initiatives:

- The **Beyond Bias** blended learning initiative sensitised over **27,000 colleagues** through virtual and classroom sessions, creating greater awareness about visible and invisible biases and their impact on hiring, promotions and team dynamics.
- **Culture Building Through Leadership Accountability: The Am I an Inspiring Leader?** Programme was rolled out to equip managers with empathetic, approachable and fair leadership skills, reinforcing a culture of respect and psychological safety at all levels. This initiative also established clear codes of conduct, ensuring non-acceptable behaviours are addressed decisively.
- **Mentorship and Coaching:** The **DRONA Coaching and Mentoring Program** enabled Branch Managers and other people managers to actively support employee development, helping create leadership pipelines grounded in real-world mentorship and feedback.
- **Culture Drivers:** More than **2,800 managers** were trained as Culture Drivers, championing open discussions on fairness, inclusivity, collaboration and the spirit of Kotak's organisational values.
- **Embedding Customer Centricity:** Recognising that customer experience is everyone's responsibility, the Bank trained approximately **8,500 leaders** through dedicated **Customer-First Thinking workshops**, strengthening a service-oriented mindset across both customer-facing and support functions.
- Under the **Kotak Wonder Women (KWW)** banner, a close-knit community of women colleagues continued to drive gender-centric initiatives, celebrate milestones and create new platforms for feedback, leadership development and career empowerment.
- A structured **Diversity and Inclusion Council**, chaired by senior leadership, continues to drive policy, process and culture changes across the organisation to strengthen inclusivity.
- The Bank has consistently introduced and enhanced policies to enable a supportive work environment for women:
- The **New Mother Benefit Policy** offers flexible work arrangements and monthly financial support of ₹7,500 for 12 months to new mothers.
- Travel policies were enhanced to provide higher entitlements for KWW colleagues and support for caregivers accompanying infants up to one year of age.
- Collaboration with **Uber** provides women colleagues with safe travel options, especially during late working hours, reinforcing a focus on safety and convenience.
- **Kotak Wonder Women Meet ALL** events created valuable networking opportunities by connecting women colleagues directly with senior leaders, enabling mentorship and guidance.
- **SheUnites** sessions brought forward inspirational leadership journeys, fostering motivation and aspiration across the Bank's workforce.
- The **Kotak ReLaunch Program** was launched to offer meaningful second-career opportunities to women professionals returning to the workforce after career breaks, supporting re-entry through structured roles and development pathways.

Emotional Wellbeing and Health:

The Bank recognises that professional growth is intrinsically linked to personal wellbeing.

- The **Employee Assistance Program (EAP)**, offering 24x7 access to confidential professional counselling services, remained a cornerstone of emotional support for all Kotakites.
- Preventive healthcare initiatives under the **Annual Health Check (AHC) Program** enabled employees aged 40+ and those in designated grades to avail health screenings at partnered diagnostic centres. Discounted health screenings were extended to other employees and their families.
- Specialised health camps, such as **breast cancer screenings** and **swine flu vaccination drives**, were conducted to promote proactive health management.
- Through the **Kotak Worklife App**, colleagues were given seamless access to booking health screenings, consulting doctors, availing telemedicine and engaging with nutritionists, making health management an integrated part of work life.
- The **Stepathon Challenge**, launched in December 2024, encouraged daily physical activity among colleagues, with **2,571 Kotakites** participating enthusiastically, promoting both personal fitness and a spirit of collective wellness.

Employee Experience

- To further strengthen the early employee experience, the Bank transitioned to creating a seamless and engaging experience for candidates before they join. The new onboarding experience provides a seamless, integrated experience for new joiners, ensuring faster assimilation, personalised engagement and a strong emotional connection from Day 1.
- Through the **Caring Kotakite Program**, structured volunteering was encouraged across five key themes: Education and Livelihood, Relief and Rehabilitation, Healthcare, Sports and Environment and Sustainable Development. Between August - December 2024, **about 6,600 employees** volunteered across **20 activities** in **multiple cities**, contributing **about 1,000 hours** and **214 volunteering days**, reflecting a strong culture of giving back to society.

FY 2024-25 was a year where intent translated into action and action translated into real change—felt in the experiences, growth stories and pride of Kotakites across the organisation.

COMPLIANCE

The Bank has, since inception, a well-established and comprehensive compliance framework and structure to identify, monitor and manage the Compliance Risk in the Bank. The framework, policy and the structure also adhere to the regulatory prescriptions issued by the RBI and other regulators from time to time. In addition, all key subsidiaries of the Bank have independent Compliance Function. The Group CCO of the Bank and the Compliance Officers of Group interact periodically to ensure that all the supervisory and regulatory instructions are interpreted and implemented in letter and spirit. This also helps exchange of views on the best practices and to understand compliance risks across the Group. Guidance or directions are extended to the subsidiary companies' Compliance Officers, keeping in mind the overall responsibility of the Bank as the Holding Company. The Compliance Function is responsible for all the aspects of regulatory compliance across the Bank. Compliance is given the utmost importance with the tone from the Top and the Senior Management of the Bank and subsidiaries are directly monitoring the same.

The Compliance framework is the set of compliance risk management processes and tools, which shall be used by businesses, Management and Compliance Officers for managing the Banks compliance risks. Apart from the Bank's compliance framework, the Bank and all the subsidiaries have their own compliance policies and operating procedures. The Compliance team supports top management and manages and supervises the compliance framework along with providing compliance assistance to various businesses/support functions. The Bank has a Board-approved New Products Approval Policy, which ensures that all new products or modifications to the existing product complies with applicable regulatory requirements. As prescribed by the RBI, the Bank has a system of conducting compliance review of its new products within six months of its launch to satisfy itself that all the regulatory prescriptions have been adhered to. These Review Reports are issued to the concerned businesses/Product Heads.

Compliance Department's senior executives are members of various committees, which enable them to monitor the compliance risk of the institution effectively. The Compliance Department monitors the changes in existing regulations as well as introduction of new regulations. The Bank has put in place Compliance tracking and Monitoring system to ensure that the regulatory instructions are implemented effectively within the organisation. To gain an understanding of the evolving regulatory landscape, the Bank regularly scans the regulators websites and participates in industry working groups. The in-house Compliance Newsletter keeps the employees abreast of the key regulatory updates affecting the businesses of the Bank and its subsidiaries. The Compliance Department disseminates changes in the regulations by way of compliance alerts to the employees. Training on compliance matters is imparted to employees on an ongoing basis through both online and classroom sessions. The Compliance Department keeps the management/Board informed about important compliance-related matters through periodic reporting and regular meetings and ongoing engagement.

INTERNAL CONTROLS

The Bank has an Internal Audit (IA) department that is responsible for independently evaluating the adequacy and effectiveness of all internal control designs and implementation, risk management, governance systems and processes. IA is manned by appropriately skilled, experienced and qualified personnel. This team of IA includes qualified Information technology, data security and cybersecurity related risks personnel as well.

The Internal Audit department reviews business unit adherence to internal processes and procedures as well as to the regulatory and legal requirements and provide timely feedback to management for corrective action. The audit function also proactively recommends improvements in operational processes and service quality, wherever necessary. The Bank takes corrective actions to minimise the design risk, if any.

The Internal Audit department adopts a risk-based audit approach in congruence to the RBI Guidelines on Risk-Based Internal Audit (RBIA). Audits are conducted across various businesses and functions, i.e., Consumer, Commercial, Wholesale, Treasury (for domestic and overseas businesses). This includes audit of Operations units, Risk and Support functions, Information Security Audits, Information Technology audits, IT Governance and Infrastructure audits, etc. These are conducted to independently evaluate the adequacy and effectiveness of internal controls on an ongoing basis and pro-actively recommending enhancements thereof.

An oversight on the critical areas of operations is also kept through continuous off-site monitoring (COM) using centralised data led analysis and exception monitoring within IA. Further, using a risk-based approach, critical units of the Bank including retail branches are subjected to Independent Concurrent Audit process in line with the RBI guidelines. These concurrent audits are conducted through reputed external CA/ consultancy firms under the supervision of IA team of the Bank. The senior leadership and the Audit Committee of the Board regularly review the IA reports and concurrent audit reports along with COM findings and their remediation.

The Internal Audit department ensures dynamic reviews of risk classifications of auditable entity and IT elements within the Bank in preparing its Risk Based Audit Plan and calendar. These reviews take into consideration the Banks' overall strategic plans, changing IT landscape, risk trends as well as risk classifications evaluated periodically by the Strategy, Risk and Information Risk management functions of the Bank.

Proactive and collaborative work practices among Compliance, Risk, Fraud Control and Internal Audit functions of the Bank are ensured using cross-functional committee representations for these functions.

To ensure Independence, the Internal Audit function has a reporting line to the Audit Committee of the Board, with an administrative reporting to the Whole-Time Director of the Bank. The Audit team undergoes regular training both in-house and external to build the required subject matter expertise across domains of business, risks, technology and regulations. The Audit Committee of the Board reviews the effectiveness of controls, compliance with regulatory guidelines as also the performance of the Audit and provides guidance and direction that may be required.

RISK MANAGEMENT

A. RISK MANAGEMENT

The Group views risk management as a core competency and tries to ensure sound management of risks through timely identification, assessment and management. Risk management is a key internal process and is aimed at ensuring that the results of the activities that imply assuming a risk are consistent with the strategies and risk appetite and that adequate balance exists between the risk and benefit in order to maximise the value for the shareholders while delivering good customer outcomes.

Risk management capabilities are critical in sustaining the current growth and profitability. The Group has continued to develop and fine-tune relevant policies, tools and processes and over the years, enhanced risk management system and processes to be in compliance with the changing regulatory requirements and to effectively manage and mitigate risks to which it is exposed. There is an enhanced range of risk management policies and standards, that gives improved capability and capacity to manage risk in line with current and future Bank size, scale and complexity, as well as improved ownership and accountability for the management of risk.

The Group manages Risk under an Enterprise-wide Risk Management (ERM) framework that aligns risk and capital management to business strategy, protects its financial strength, reputation and ensures support to business activities for adding value to customers while creating sustainable shareholder value. The ERM policy sets the approach for Risk Management and is adopted by legal entities in the group, with suitable modifications, as appropriate for their individual businesses. The policy guides the organisation of the risk management function and the identification, measurement, management and reporting of risks. The ERM policy is complemented by policies and procedures/ guidelines that are aligned to individual risks and guide businesses in risk management, whilst working towards achieving their business objectives. These specific policies set the principles, standards and core requirements for the effective management of those risks. The ERM framework supports the MD & CEO and CRO in embedding strong risk management and risk culture while facilitating effective risk oversight through a sound and well-defined internal governance model, with a clear structure of risk ownership and accountability. The ERM framework lays down the following components for effective Risk Management across the Group

- An Independent Risk organisation and governance structure with a clear common framework of risk ownership and accountability
- Governance standards and controls to identify, measure, monitor and manage risks
- Policies to support and guide risk taking activities across the Group
- Risk Appetite statements
- Standardised risk metrics and risk reports to identify and communicate and risks
- Periodic stress testing to assess the impact of adverse business conditions on earnings, capital and liquidity

The Bank has adopted the three lines of defence model towards risk management. Business units and the independent risk management function, work in collaboration to ensure that business strategies and activities are consistent with the laid down policies and limits. Responsibilities for risk management at each line of defence are defined, thereby providing clarity in the roles and responsibilities towards risk management function.

The model adopted, provides a formalised, transparent governance structure that promotes active involvement from the Board and Senior Management in the risk management process to ensure a uniform view of risk across the Bank.

At the first line of defence are the various business lines that the Bank operates, who assume risk-taking positions on a day-to-day basis and manage it within approved framework and boundaries.

The second line of defence is made up of Risk Management, Finance and Compliance functions. This line provides independent review, challenge and oversight of the activities conducted by the first line and periodic reporting to the Board. The second line is responsible for frameworks, policies, appetite and limits, which the first line must adhere to and comply with in their operations. This line is also responsible for monitoring the risk management and reviewing the risks that the Bank is exposed to and ensures that the management and the Board is sufficiently informed of the risk exposure.

The third line of defence is the audit function that provides an independent assurance at the institutional level on the design and operation of the internal control, risk management and control processes through the first and second lines of defence, independent assessment of the first and second line of defence and reports to the audit committee of the Board.

The risk management framework based on the three lines of defence governance model is further strengthened by a strong risk culture that is present at all levels. All employees are responsible for understanding and managing risks within the context of their individual roles and responsibilities.

The Group Chief Risk Officer (CRO), who is appointed by the Board of Directors and reports directly to the MD & CEO, heads the independent risk function in the Bank and the Group. A disciplined, structured and integrated approach is adopted to managing risks. The Risk function provides an independent and integrated assessment of risks across various business lines. The risk management function has separate units responsible for management of credit risk, market risk, operational risk, liquidity and interest rate risk, group risk and technology risk. Each of these units reports to the CRO.

The Group has a well-established risk management structure, which includes the Board of Directors, supported by an experienced senior management team and various management committees as part of the Risk Governance framework. The risk management process is the responsibility of the Board of Directors, which approves risk policies and the delegation matrix. The Bank and every legal entity in the Group, operates within overall limits set by the Board and Committees to whom powers are delegated by the Board.

Every quarter, the CRO reports to the Risk Management Committee (RMC) and the Board, on the performance against risk appetite and the risk profile. Besides this, formal updates on various portfolios are provided to the RMC, Board periodically. Such regular and transparent risk reporting and discussion at the senior management level, facilitates communication and discussion of risks and mitigating strategies, across the organisation.

Risk Management while embedded in day-to-day activities, is also the focus of the Risk Management committee. The committee discusses and monitors known and emerging risks, reviews and monitor progress to address known issues. The RMC and Board members are appropriately qualified to discharge their responsibilities, have appropriate balance of industry knowledge, skills, experience, professional qualifications and relevant technical, financial expertise in risk disciplines or businesses.

The risk management processes of the Bank's subsidiaries are the responsibility of their respective boards. A Group Risk Management committee (GRMC) ensures that there is a holistic view of risks at overall Group level. The Board has oversight of the management's efforts to balance growth and prudent risk management, while creating value for stakeholders. The Group promotes the development of a risk culture that ensures a consistent application of risk framework in the group and that the risk function is understood and internalised at all levels in the organisation.

As of date, the Bank and major lending entities of the Group continue to be rated "AAA", reflecting the Group's strong financial risk profile, sound asset quality, robust liquidity and strong capital adequacy.

B. CAPITAL ADEQUACY

The Group pursues an active approach to capital management, driven by strategic and organisational requirements while taking into account the regulatory and macro-economic environment. Capital management involves an on-going review of the level of capitalisation against key objectives and to maintain a strong capital base to support long-term stability, planned business growth and risks inherent in various businesses. The strong Tier I capital position of the Group is part of the overall business strategy and a source of competitive advantage. It provides assurance to regulators and credit rating agencies, while protecting the interests of depositors, creditors and shareholders. Strong capitalisation also enables the Group to take advantage of attractive business opportunities. The Group strives to strike a balance between the need for retaining capital for strength and growth, while providing an adequate return to shareholders. The Group sets an internal capital adequacy ratio target that includes a discretionary cushion in excess of the minimum regulatory requirement.

In addition to the regulatory risk-based capital framework, the Group is also subject to minimum Leverage Ratio requirement. The leverage ratio is calculated by dividing Basel III tier 1 capital by the total of on-balance sheet assets and off-balance sheet items at their credit equivalent values. The strong tier 1 position of the group ensures a high leverage ratio for the group.

Capital planning is an important element of overall financial planning and capital requirements of businesses are assessed based on the growth plans. This is achieved through an Internal Capital Adequacy Assessment Process (ICAAP) whereby the Group conducts detailed strategic and capital planning over a five-year time horizon.

The Capital utilisation and requirements are monitored every quarter to ensure sufficient capital buffer above regulatory and internal requirement. Senior management considers the implications on capital, prior to making strategic decisions. During the year, the Bank and each legal entity in the Group placed emphasis on capital and liquidity to ensure that they were capitalised above internal and regulatory minimum requirements at all times, including under stress conditions.

C. RISK APPETITE

The risk appetite is set by the Board and is a top-down process consisting of specific quantitative and qualitative factors and provides an enforceable risk statement on the amount of risk the Group is willing to accept in support of its financial and strategic objectives. The risk appetite statements set the “Tone from the Top” and cover all key risk factors and clearly define the boundaries of risk taking. The Risk Appetite is set in a manner to facilitate sustainable growth and to manage risks in a way that sustains the confidence of all internal and external stakeholders. The risk appetite is cascaded to individual business segments and in addition to the formal risk appetite, early triggers are built into the framework, to alert of potential issues before they reach the formal risk appetite threshold. These triggers are designed for proactive risk management and help initiate early interventions.

The risk appetite is a key building block of the Bank’s risk management culture and risk management framework. Risk Appetite forms a key input to the business and capital planning process by linking risk strategy to the business strategy, through a set of comprehensive indicators. The Risk appetite statements are reviewed by senior management who recommend it to the Board for approval. Annual financial plans are tested against key risk appetite measures and regular monitoring of risk exposures is carried out to ensure that risk taking activity remains within risk appetite. Performance against approved risk appetite is measured every quarter and reviewed by the Senior Management, RMC & Board. Action is taken as needed, to maintain balance of risk and return. The framework is operational at the consolidated level as well as for key legal entities.

D. CREDIT RISK

Of the various types of risks which the Group assumes, credit risk contributes to the largest regulatory capital requirement. Credit risk arises as a result of failure or unwillingness on part of customer or counterparties to fulfil their contractual obligations. These obligations could arise from wholesale, retail advances, off balance sheet items or from investment and trading portfolio by way of issuer risk in debt paper, counterparty risk on derivative transactions and downgrade risk on non SLR investments and OTC contracts. The Group assumes credit risk in areas that are well understood and where there is sufficient expertise, resources and infrastructure to effectively measure and manage the risk and balance risk with reward.

Granting credit facilities to customers is one of the Group’s major sources of income. As this activity is also a key risk, the Group dedicates considerable resources to its management. The Group has a comprehensive top-down credit risk framework defined by Credit policies and Standards that sets out the principles and control requirements under which credit is extended to customers in various business divisions. The policies and standards cover all stages of the credit cycle, including origination; client ratings, risk assessment; credit approval; risk mitigation; documentation, administration, monitoring and recovery. These provide guidance in the formulation of business-specific credit policies and standards. The Group aims to have a consistent approach across legal entities when measuring, monitoring and managing credit risk.

Credit and investment decisions must comply with established policies, guidelines, business rules and risk assessment tools used to help make these decisions. Managing credit risk is the responsibility of several levels of employees - from those who deal directly with clients to authorizing officers. The Group has credit approving authorities and committee structures and a set of formal limits for the extension of credit, linked to the risk levels of the borrower and transaction. Authorities are delegated to positions commensurate with their function and the level of credit knowledge and judgement that employees holding that position are required to possess. The delegation of authority is reviewed at least annually.

The Credit philosophy in the Bank mandates that lending is based on credit analysis, with full understanding of the purpose of the loan and is commensurate to customer financials and ability to repay from business operations without compromising business continuity or finances. Off-balance sheet transactions are subjected to the same rigorous credit analysis as on balance sheet transactions. Appropriate

levels of collateralisation are obtained based upon the nature of the transaction and the credit quality, size and structure of the borrower. In general, guarantees (including personal guarantees) or collateral, do not replace a lack of repayment capacity or an uncertain purpose of the transaction.

The Group evaluates the credit of every loan applicant and guarantor before approving any loan. The evaluation and approval process differs depending on whether the loan is a wholesale loan or a retail loan. The wholesale and retail portfolios are also managed separately owing to difference in the risk profile of the assets.

Wholesale lending is managed on a name-by-name basis for each type of counterparty and borrower Group. Internally developed credit rating models provide a consistent and structured assessment. The credit rating model consider a variety of criteria (quantitative, qualitative, financial and non-financial) to standardise credit decisions and focus on the quality of borrowers. Financial considerations include financial variables and ratios based on customer's financial statements and non-financial considerations include, among other things, the industry to which the borrower's businesses belong, the borrower's competitive position in its industry, its operating and funding capabilities, the quality of its management, technological capabilities and labour relations. Wholesale borrowers are assessed individually and further reviewed and evaluated by experienced credit managers who consider relevant credit factors and supplement it with their expert judgment in the final determination of the borrower's risk. Depending on exposure and credit rating, levels of authority are defined so that credit decisions are always made at a level adequate to the risk involved. Wholesale credit is monitored at an aggregate portfolio, industry, individual client and borrower Group level. Annual credit reviews of borrowers are a key credit control measure. Parameters for new underwritings are clearly specified and internal ratings are assigned when a credit is initially approved. The ratings are reviewed at least once annually, with updated information on financial position, market position, industry economic condition and account conduct. Besides client account reviews, sector outlook and performance of borrowers within sectors are monitored and reported to senior management.

Retail portfolios typically consist of a large number of accounts of relatively small value loans. They consist of mortgage loans, vehicle loans, personal loans, credit cards, small business loans, etc. Some parts of retail lending are mainly schematic lending within pre-approved parameters. The credit assessment in such portfolios is typically done using a combination of client scoring, product policy, external credit reporting information such as credit bureaus where available and is also supplemented by Credit Officer's judgment, where applicable. Internal historical information from previous borrowings also forms an input into credit decisions. There are specific guidelines for each product and the credit decision will take into account the parameters like loan to value, borrower demographics, transaction history with the Bank and other financial institutions, income, loan tenor, availability of guarantors and other relevant credit information.

Retail clients are monitored on pools of homogeneous borrowers and products. Business-specific credit risk policies and procedures including client acceptance criteria, approving authorities, frequency of reviews, as well as portfolio monitoring frameworks and robust collections and recovery processes are in place.

The delinquency status of borrowing accounts, a key indicator of credit quality, are closely monitored. An account is considered delinquent when payment has not been received in full, by the payment due date. Any delinquent account, including a revolving credit facility with limit excesses, is monitored and managed through a disciplined process by officers from business units and the collection function.

The Bank's credit process is divided into three stages - pre-sanction, sanction and post-sanction.

At the pre-sanction stage, the independent credit function conducts credit appraisal and assign a borrower credit rating based on internal rating model. The credit rating takes into consideration the borrowers current and anticipated financial position and other relevant risk factors like Business risk, Industry and Management quality. The Bank has various rating models depending upon the borrower size and segment. Each credit rating assigned maps into a borrower's probability of default. The borrower rating is supplemented by a separate risk rating assigned at the facility level, that takes into consideration additional factors, such as security, seniority of claim, structure and any other form of approved credit risk mitigation. At a minimum, two independent credit officers are involved in the rating decisions and the ratings are finalised by a more senior credit officer. Credit approval procedures follow the check-and-balance principle. There is a multi-level credit approval process requiring loan approval at successively higher levels depending on the size and collateral of the proposal.

In the post-sanction process, the Credit Administration team processes documentation, on the completion of which, credit is disbursed. There is regular reporting on portfolio distribution by risk grades, monitoring of covenants prescribed as part of sanction and pending documentation, if any.

An independent loan review team conducts reviews of credit exposures covering compliance to internal policies, sanction terms, regulatory guidelines, account conduct and suggests remedial measures to address irregularities if any. The Bank has an Enterprise-wide Review Framework that considers various financial and non-financial parameters to monitor quality of assets throughout their life cycle, based on preventive management and to identify signs of credit weakness at an early stage. Depending on the nature of the

signals detected by the early warning system, a borrower may be classified into different internal attention levels. In case of loans where there is significant deterioration, the Bank employs various recovery mechanisms, including transferring the account to an internal unit specialised in managing problem accounts, to maximise collection from these accounts. The approaches may range from auction of borrower securities, court proceedings, sale of assets or corporate restructuring as needed.

E. COLLATERAL AND CREDIT RISK MITIGATION

Credit Risk mitigation, begins with proper customer selection through the assessment of the borrower, along financial and non-financial parameters, to meet commitments. The Group uses a number of methods to mitigate risk in its credit portfolio (on and off-balance sheet), depending on suitability of the mitigant for the credit, legal enforceability, type of customer and internal experience to manage the particular risk mitigation technique. Common credit risk mitigation techniques are facility structuring, obtaining security/collateral, guarantees and lending covenants. While collateral cannot replace a rigorous assessment of a borrower's ability to meet obligations, it is an important complement. Mitigating mechanisms like syndication, loan assignments as well as reduction in the amount of credit granted are also used. While unsecured facilities may be provided, within the Board-approved limits for unsecured lending, collateral is taken wherever needed, depending upon the level of borrower risk and the type of loan granted.

The Bank has an approved Collateral management policy that sets out the acceptable types of collateral, valuation framework and the hair cut applicable. The haircut applied depends on collateral type and reflects the risk due to price volatility, time taken to liquidate the asset and realisation costs. Collateral values are assessed at the time of loan origination by an independent unit and the valuations are monitored and updated to ensure it reflects current realizable value, as per policy, depending on the type of collateral, legal environment and creditworthiness of the borrower. In cases where the value of collateral has materially declined, additional collateral may be sought to maintain the cover as per sanction terms.

The main types of collateral/security taken include cash and cash equivalents, immovable property, movable fixed assets, inventory and receivables. Guarantees from higher rated entities are also obtained in cases where credit worthiness of the standalone borrower is not sufficient to extend credit. Guarantees that are treated as eligible credit risk mitigation are monitored along with other credit exposures to the guarantor.

Legal enforceability of collateral obtained is critical, to improve recoveries in the event of a default. The Bank has specific requirements in its internal policies with regards to security verification and appropriate legal documentation. Periodic inspections of physical collateral are performed where appropriate and where reasonable means of doing so are available. The Credit Administration and Legal function ensure that there is timely registration, adequate legal documentation, in line with internal policies, to establish recourse to any collateral, security or other credit enhancements. The collateral obtained is released on repayment of all dues or on collection of the entire outstanding credit facility, provided no other existing right or lien for any other claim exists against the borrower.

F. CREDIT RISK CONCENTRATION

Credit concentrations are managed at two levels: portfolio level and the individual credit level. To avoid undue concentration in credit exposures and maintain diversification, the Bank operates within Board-approved limits or operational controls in its loan portfolio, that include -

- Single/Group borrower and Substantial exposure limits
- Sector limits
- Exposure limits on below investment grade accounts
- Country/Bank exposure limits
- Unsecured Retail exposures

The Bank has defined internal limits for managing borrower concentrations, which are tighter than regulatory norms. Exposures are monitored against approved limits to guard against unacceptable risk concentrations and appropriate actions are taken in case of any excess. Concentration limits represent the maximum exposure levels the Bank will hold on its books. Besides controlling fresh exposure generation, loan sell-downs are used as a key tool in managing concentrations. Concentration levels in the credit portfolio are reported to

senior management. Based on evaluation of risk and stress in various sectors, the Bank identifies stressed sectors and makes provisions for standard assets at rates higher than the regulatory minimum, in such sectors.

Concentration is also monitored in geographic locations in the retail portfolio, delinquency trends, types of credit facilities and collaterals. The risk appetite of the Bank mandates a diversified portfolio and has suitable metrics for avoiding excessive concentration of credit risk. Through periodic monitoring, analysis and reporting, the Bank ensures that the overall risk in the portfolio is diversified and consistent with the risk appetite mandate while achieving financial objectives.

As part of the Internal Capital Adequacy Assessment Process (ICAAP) under Pillar 2, the Bank assesses additional capital requirement if any, for concentration risks in the credit portfolio. This ensures that the Bank has sufficient capital, also taking into account concentration risks. If the concentration risks are judged to be excessive, the Bank has the opportunity and capacity to apply various risk mitigation measures.

G. MARKET RISK IN TRADING BOOK

Market Risk is the risk of possible economic loss arising from adverse changes in market risk factors such as interest rates, foreign exchange rates, credit spreads, commodity and equity prices and implied volatilities. Market Risk in the Bank is managed through the Board-approved Investment Policy, which sets out the Investment Philosophy of the Bank and its approach to Market Risk Management. The Risk Management Committee of the Bank approves and reviews performance against the Bank's Market Risk Appetite. The Asset Liability Management Committee (ALCO) of the Bank approves the market risk and limit framework, the allocation of limits to business units and desks, the risk monitoring systems and risk control procedures. The Bank's Board Committee for Derivative Products and the Senior Management Committee for Derivatives are responsible for the oversight of the derivatives business.

The Bank has a comprehensive market risk limit-framework including limits on sensitivity measures such as PV01, Duration, Option Greeks (Delta, Gamma, Vega, etc.) and other limits such as Value at Risk (VaR) limits, loss-triggers, value-limits, gap-limits, deal-size limits, tenor restrictions and holding-period limits.

The Market Risk Management unit reports directly to the Group Chief Risk Officer and ensures that all market risks are identified, assessed, monitored and reported for management decision making. The unit is responsible for identifying and escalating any risks, including deviations and limit breaches on a timely basis. Major market risk limits such as PV01, Bond Position Limits, Desk-wise FX Position limits, Greek limits, etc. are monitored on an intraday basis. The market risk control framework is enhanced by systems, policies and procedures.

The Bank uses Value at Risk (VaR) to quantify the potential loss from adverse moves in the financial markets. The VaR model is based on historical simulation and a confidence level of 99% for a one-day holding period. The effectiveness of the VaR model is periodically evaluated through a process of back-testing. The Bank periodically performs Stress testing and Scenario analysis to measure the exposure of the Bank to extreme, but low-probability market movements.

H. COUNTRY AND COUNTERPARTY CREDIT RISK

Country Risk is the risk of loss that the Bank faces, which is specifically attributed to events in a specific country. Country risk may be triggered by deterioration of economic conditions, political and social turmoil, asset nationalisation or expropriation, government's refusal to pay external debt, foreign exchange control or currency depreciation in a country or a region.

The Bank has a Board-approved Country Risk Policy, which takes into account direct and indirect risk (both funded and non-funded exposures) for the purpose of identifying, measuring, monitoring and controlling country risk. As per the Policy, ALCO of the Bank is empowered to approve country limits.

Financial institutions are interrelated because of trading, clearing, counterparty, funding or other relationships. The Bank has exposure to many counterparties in the financial industry, directly and indirectly, including clearing houses, commercial banks, investment banks, mutual funds and other clients with which it regularly executes transactions. The Bank is exposed to counterparty risk arising from the potential inability of counterparties to fulfil their obligations under transactions.

According to the Investment Policy of the Bank, ALCO of the Bank fixes counterparty limits for inter-bank participants based on their capital adequacy, resource raising ability, asset quality, earnings, management and systems evaluation, liquidity and so on. These limits are reviewed from time to time. Pre-settlement credit risk for traded products arising from a counterparty potentially defaulting on its

obligations is generally quantified by evaluation of the market price plus potential future exposure. This is used to calculate the regulatory capital and is included within the overall credit limits to counterparties for internal risk management.

Settlement risk is the potential loss incurred if a counterparty fails to fulfil its obligation after the Bank has performed its obligation under a contract or agreement at the settlement date. This risk is managed by close supervision of settlement transactions or by settling transactions on a delivery versus payment basis, where possible, based on accepted market practices.

With a view to reduce counterparty and systemic risk, there are regulatory initiatives directing OTC trades to be cleared through Central Counterparties (CCPs). Derivative transactions are cleared through Central Counterparties, where possible, to reduce counterparty credit exposure through netting and the margining process. The Bank has a dedicated team that manages the interface with CCPs and understands the implications of the risk transfer from being distributed among individual bilateral counterparties to CCPs. The Bank operates within ALCO approved limits on individual CCP.

The Bank manages country and counterparty credit exposures through careful selection of market counterparts, placing concentration limits on particular counterparty exposures, daily limit monitoring, escalation of excesses, pre-deal excess approvals, regular risk reporting and stress testing.

I. INTEREST RATE RISK IN BANKING BOOK (IRRBB)

IRRBB consists primarily of risk inherent in ALM activities and relates to the potential adverse impact of changes in market interest rates on future net interest income. IRRBB arises from mismatches in re-pricing of interest rate sensitive assets (RSA), rate sensitive liabilities (RSL) and rate sensitive off-balance sheet items in the banking book. The intensity of the impact depends largely on timing mismatches in the maturity and repricing of assets and liabilities and off-balance sheet positions. The aim of managing interest-rate risk is to ensure that exposure to fluctuations in interest rates is kept within acceptable limits. The Group assesses and manages interest rate risk in its banking book as well as including trading book.

ALCO is the guiding body for management of IRRBB in the Bank and sets the overall policy and risk limits. Balance Sheet Management Unit (BMU), which is part of the treasury, is entrusted with the responsibility of managing IRRBB and uses Funds Transfer Pricing (FTP) to transfer risk from business units to centralised treasury. No interest rate risk is retained within any business other than treasury. Interest rate risk is actively managed in order to dampen the impact of interest rate changes on net interest income. Measuring interest rate risk in the banking book, includes conventional parallel yield curve shifts as well as scenarios in which the curvature of the yield curve changes.

As interest rate risk can impact both net interest income (NII) and value of capital, it is assessed and managed from both earning and economic perspective. Bank uses earnings at risk (EaR) as a short-term risk indicator to assess the sensitivity of NII and NIM over a one-year period, to change in interest rates. From an economic perspective, which is a long-term risk indicator, it uses duration approach to determine the sensitivity of economic value of equity (EVE) to changes in interest rates. There are thresholds related to net interest income and the economic value of equity, considering the complexity of the balance sheet.

J. LIQUIDITY RISK

Liquidity risk is the risk that the Group is unable to meet its obligations when they fall due without adversely affecting its financial condition or not being able to finance growth of its assets without incurring a substantial increase in costs. The efficient management of liquidity is essential to the Group in order to retain the confidence of the financial markets and maintain the sustainability of the business. Liquidity is managed through the Group Liquidity policy, which is designed to maintain high quality liquid assets to protect against adverse funding conditions and to support day-to-day operations while maintaining a diversified funding profile. Diversification of funding sources is a key element of the funding strategy and funding sources are well diversified by source, instrument, term and geography. The choice of funding sources and instruments is based on a number of factors, including relative cost and market capacity as well as the objective to achieve an appropriate balance between the cost and the stability of funding. The organisation strives to maintain a long-term funding structure in line with the liquidity of its assets, with maturity profiles that are compatible with the generation of stable and recurrent cash flows, so that the balance sheet can be managed without liquidity strains in the short term. The funding of lending activity is fundamentally carried out using stable customer funds. The ongoing availability of this type of funding is dependent on a variety of factors such as general economic conditions, confidence of depositors in the economy, in the financial services industry and in the Group, availability and extent of deposit guarantees, as well as competition between banks or with other products such as mutual funds, for deposits.

ALCO of the Bank defines its liquidity risk management strategy and risk tolerances. BMU of the Bank is responsible for managing liquidity under the liquidity risk management framework. The framework is designed to maintain liquidity resources that are sufficient in amount, quality and funding tenor profile to support the liquidity risk appetite. Liquidity risk management strategies and practices are reviewed to align with changes to the

external environment, including regulatory changes, business conditions and market developments. Actual and anticipated cash flows generated are monitored to ensure compliance with limits. Liquidity risk tolerance is an integral part of the Board-approved risk appetite statements.

There is an internal funds transfer pricing mechanism under which each business is allocated the full funding cost required to support its assets. The Bank has applied maturity-based internal interest rates, which ensure that the price at contract level takes into account the funding cost and liquidity risk that the agreement has given rise to. Businesses that raise funding are compensated at an appropriate level for the liquidity benefit provided by the funding. Limit setting and transfer pricing are tools designed to control the level of liquidity risk taken and drive the appropriate mix of funds.

Liquidity risk is assessed in the Bank from both structural and dynamic perspective and the Bank uses various approaches such as stock approach, cash-flow approach and stress test approach to assess this risk. The Bank has also set prudential internal limits in addition to regulatory limits on liquidity gaps, call borrowing, inter-bank liabilities, etc. Cash flow management is critical for liquidity risk management and the Bank has developed models for predicting cash flows for products with indeterminate maturity, products with embedded options, contingents, etc. The outcome of the models is periodically back tested to test their effectiveness.

The Bank also manages its intra-day liquidity positions so that payments and settlement obligations are met on a timely basis. The Bank dynamically manages the queue of payments, forecasts the quantum and timing of cash flows, prioritizing critical payment transactions, assessing the drawing power of intraday liquidity facilities, etc.

The Bank follows a scenario-based approach for liquidity stress testing to evaluate the impact of stress on the liquidity position. The Liquidity Coverage Ratio (LCR) aims to promote short-term resilience of a bank's liquidity risk profile and measures the extent to which a Banking Group's High-quality liquid assets (HQLA) are sufficient to cover short-term expected cash outflows in a stressed scenario, over the next 30 calendar days. The expected cash outflows are arrived by applying specific run off rates, prescribed by the regulator, against outstanding liabilities and off-balance sheet commitments. These outflows are partially offset by inflows, which are calculated at regulatory prescribed inflow rates. The HQLA have to meet the defined eligibility criteria laid down by the regulator. The composition of liquid assets is monitored, to ensure diversification by asset class, counterparty and tenor.

The Group is well above the minimum regulatory requirement of 100% for the LCR. The Group considers the impact of its business decisions on the LCR and regularly monitors the LCR as part of the liquidity risk management framework.

Besides LCR, the Basel III liquidity framework also envisage the Net Stable Funding Ratio (NSFR), which measures the ratio between available stable funding (>1 year) and the required stable funding (> 1 year) to support long-term lending and other long-term assets. The Group is well above the regulatory requirement of 100%.

To supplement the monitoring of liquidity risk under normal business conditions, a framework has been designed to prevent and manage liquidity stress events. The Bank has a contingency liquidity plan (CLP) approved by ALCO and the Board, that plays an important role in its liquidity risk management framework. The CLP incorporates early warning indicators (EWIs) to forewarn emerging stress liquidity conditions and to maximise the time available to undertake appropriate mitigating strategies. The plan establishes an appropriate governance structure, lines of responsibility, contact lists to facilitate prompt communication with all key internal and external stakeholders and also defines strategies and possible actions to conserve or raise additional liquidity, under stress events of varying severity, to minimise adverse impact and overcome a potential crisis situation.

K. OPERATIONAL RISK

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, systems and external events. The objective of operational risk management at the Bank is to manage and control operational risk in a cost-effective manner within targeted levels as defined in the risk appetite. The centralised and independent operational risk management function manages this risk as guided by the Board-approved Operational Risk Management Policy.

The Board of Directors, Risk Management Committee and the Operational Risk Executive Committees (ORECs) have overall oversight function for operational risk management. The IT Risk and Information Security Committee provides direction for mitigating the operational risk in IT security. There is a group-wide IT security awareness programme (ARISTI) to disseminate facets of information security.

The Business Units and support functions are accountable for operational risks and controls in their respective areas, which they manage under the policies, standards, processes, procedures. The operational risk management framework laid down by the independent Operational Risk Management (ORM) function. The ORM function defines standardised tools and techniques such as Risk and control self-assessment (RCSA) to identify and assess operational risks and controls. The RCSA programme is executed by Business and support functions in accordance with

the standards established by the ORM function. The ORM team provides independent challenge to the RCSAs and evaluates the residual risks. Key Risk Indicators (KRIs) are defined and tracked to monitor trends of certain key operational risk parameters. Internal audit and Internal Control teams provide oversight and assurance that activities are conducted as per laid down guidelines.

The Bank has an internal framework for reporting and capturing operational risk incidents, including Near-Miss incidents. Significant incidents reported are investigated to assess weaknesses in controls and identify areas for improvement. Disaster recovery and Business Continuity Plans (BCP) have been established for significant businesses to ensure continuity of operations and minimal disruption to customer services. These plans are periodically tested and reviewed to ensure their effectiveness.

The Bank has put in place a Product and Process Approval Committee (PAC) for approving the new products and associated processes. The main objective of the PAC is to ensure adequate control over the products and related processes of the Bank. At the PAC meetings, members deliberate and approve the adequacy of the construct of the product and processes associated with the product in addressing all aspects of Risk, Compliance and Operational Controls.

Risk transfer via insurance is a strategy to mitigate operational risk exposure at the Bank. The Operational Risk team helps to review and provide inputs on key insurance coverage basis trends and triggers emerging from unusual events or changes in risk profile, based on the introduction of new products, applications or developments in the external environment.

The Bank has a Board-approved Outsourcing policy which is aligned with the RBI Guidelines on outsourcing of financial services. While engaging the services of any Service Providers the respective business units ensure compliance with the Banks outsourcing policy. The Outsourcing Framework is in place which covers process to be followed from vendor on-boarding till the end of vendor engagement. The Bank has a system of risk assessment, standardised score cards for service providers to assess the Materiality and Criticality of vendors. The Review of Vendors is conducted on an annual basis. Critical Audit/IT security observations and incidents related to vendors are monitored.

L. FRAUD RISK

Fraud risk is the risk that arises due to illegal act of obtaining money, assets, or other property owned or held by a financial institution or its customers through deceit, deception, or other forms of misrepresentation by an individual or organisation. This may lead to significant financial losses and damage to the institution's reputation. These risks can arise internally, from employees or any other stakeholder and externally, from individuals outside the organisation. It involves the possibility of misrepresenting information, manipulating transactions, or exploiting vulnerabilities to deceive others.

The objective of fraud risk management at the Bank is to manage and control fraud risk in a cost-effective manner within the organisation's risk appetite. The centralised and independent fraud risk management function manages this risk as guided by the Board-approved fraud risk management policy.

The Board of Directors (Board) and Risk Management Committee have an oversight function for fraud risk management. There is also a Special Committee of the Board for Monitoring and Follow-up of Frauds (SCBMF), which reviews all frauds above a threshold amount. Further, an Executive-level Fraud Risk Management Committee has been constituted under the chairmanship of the Group Chief Risk Officer.

The Bank has a robust fraud risk management setup, whereby Risk Containment Units under respective business conducts checks at the time of account opening including document verification, field investigations as well as conducts regular transaction monitoring on accounts of the Bank. The Bank has implemented E-FRM system, which enables timely triggers to identify anomalies, which are duly investigated and post conclusion, suitable action is taken. The Bank has a comprehensive unusual event framework, where each event is triggered and suitable root cause analysis is done to identify any process gaps which may be exploited by fraudsters.

The Bank has also implemented multiple Machine Learning Models for pro-active identification of potential fraud accounts both at the stage of on-boarding as well as in the existing account base of the Bank. The Bank also leverages market intelligence through consumption of external data and information to integrate with internal monitoring and enhance identification of potential frauds. The combined initiatives aid the Bank in preventing fraudsters from perpetrating frauds in the system and use the Bank for the purpose of fraudulent activities and money laundering.

The Credit Monitoring Unit of the Bank is responsible for monitoring frauds on the asset book of the Bank. The Bank has a system to monitor the relevant early warning triggers (EWS) defined to identify potential frauds. Each trigger is investigated and in case of any anomaly, suitable actions are taken as per the regulations. The Bank ensures that principles of natural justice are strictly adhered to before classifying/declaring an account as fraud.

The Bank has a Whistle blower policy and platform, which is open to employees and vendors for raising their concerns, with full confidentiality, on any fraud, malpractice or any other untoward activity or event. Staff accountability examination is conducted in all

fraud cases and appropriate disciplinary action is taken against staff found negligent or complicit in or involved in perpetration of frauds and also in delayed identification/ reporting of frauds. Further, the Bank has a well laid out internal reporting framework which captures the nature, frequency and coverage of reporting to senior management and relevant committees to enable suitable decision-making.

Comprehensive due diligence is conducted before engaging any third-party service provider. Agreements with third-party service providers includes specific clauses to hold them accountable in situations where wilful negligence/malpractice by them is found to be a causative factor for fraud. Regular audits and performance reviews of third-party service providers is also conducted.

M. TECHNOLOGY RISKS

The Bank has committed significant resources to manage technology risk. A layered technology architecture is implemented to manage risks due to system failures, cyber-attacks etc. Disaster recovery and Business Continuity Plans (BCP) have been established and various functional and technology initiatives have been taken to enhance system resiliency.

End-of-Life/Out-of-Support systems pose operational and security risks such as vendor support, patch, bug fixes, etc. The Bank has a process for planned upgrades of Out-of-Support systems.

Effective access control mechanism is a key technology control to prevent unauthorised access. The access to business applications is provisioned by an independent team. The access is provided based on the roles and segregation of duties. Technology and Operational controls are implemented to manage privileged access to systems.

Cyber threats and the associated risks in the external environment have increased and the Bank works continuously to improve processes and controls to mitigate these risks. A Cyber Resilience Framework is established to mitigate the threats such as data breaches, malware, denial-of-service attacks, etc.

New digital product offerings are thoroughly assessed for cyber risks prior to roll-out and on an ongoing basis.

During the year, cyber drills were conducted to assess the effectiveness of the prevention and detection controls. Several initiatives were taken to enhance the security monitoring and incident response capability.

Reviews were conducted for assessing the ransomware mitigation controls and Microsoft 365 controls.

The Bank constantly monitors the technology risk environment, emerging regulatory requirements and mitigation strategies.

Ongoing audits/tests are conducted to assess the robustness of its technology controls. Solutions are implemented for continuously monitoring the external threats/vulnerabilities.

N. REPUTATION RISK

Trust is the foundation for the banking industry and is critical to building a strong customer franchise. Reputation risk is the risk of current or prospective loss arising from stakeholder's adverse experience while dealing with the institution, which results in an adverse perception/loss of Trust in the institution. Reputational risk may arise as a result of an external event or actual or perceived actions and practices, which include operational and regulatory compliance failures. The occurrence of such events may adversely affect perceptions about the Bank held by the public, shareholders, investors, regulators and rating agencies. The impact of a risk event on the Bank's reputation may exceed any direct cost of the risk event itself and may adversely impact the Bank. Reputation Risk most often results from the poor management of other risks and can arise from a variety of sources including direct sources such as poor financial performance, poor governance and indirect sources such as increased operational risk or control failures. Reputation is critical to achieving Group Objectives and targets and damage to it can have negative effects on its business. Managing reputation is a priority area for the Group and there is Zero tolerance for knowingly engaging in any activities that are not consistent with its values, Code of Conduct or policies and have the potential for unacceptable regulatory or reputational risk. The Group ERM policy lays down the framework to ensure reputation is managed effectively and consistently across the Group. This is supplemented by business procedures for identifying and escalating transactions that could pose material reputation risk, to senior management. Each employee has the responsibility to consider the impact on reputation of the Group, when engaging in any activity. The framework seeks to proactively identify and avoid areas that may result in potential damage to reputation and guidelines for managing crisis situations, if a reputation risk incident has occurred. The Group manages and minimises reputation risk through proactive business intelligence and relevant corrective action when needed and by conducting operations based on high ethical standards. The reputation risk management process is integrated with the Internal Capital Adequacy Assessment Process. While reputation risk can be difficult to quantify, the Bank has adopted a scorecard approach, based on expert judgment, to assess various reputation risk drivers and the overall level of reputation risk.

O. CONDUCT RISK

Conduct risk means any action that would cause harm to consumer protection, market integrity or competition. The scope and complexity of banking activities, give rise to a wide variety of regulatory requirements and expectations of the supervisory bodies, that must be met in relation to Conduct Issues. The Bank has identified conduct risk arising out of: Manipulation of financial benchmarks/markets, mis-selling, fair dealing with customers and compliance with laws of the land. Minimising conduct risk is critical to achieving long-term business goals and meeting regulatory standards. The Bank has processes for managing conduct risk and policies that guide staff in dealing with prevention of conflict of interest, employee conduct and dealing with proprietary and confidential information, so that they conduct themselves ethically and in compliance with the law. Conduct risk identification and mitigation are embedded in businesses and functions. Product approval, product review processes, suitability and appropriateness policies, are some of the measures embedded in the Bank's framework to mitigate conduct risk. Conduct Risk is managed by maintaining a positive and dynamic culture that emphasises acting with integrity. Respective policies ensure that business decisions are guided by standards that take into account right conduct apart from commercial considerations. Conduct risk management is incorporated into HR practices, including recruiting, training, performance assessment, promotion and compensation processes. The group places zero tolerance on instances of professional or personal misconduct and abiding by the Code of Conduct is the responsibility of all employees in the Bank. Conduct risk is assessed in the ICAAP through a scorecard that considers the various drivers of conduct risk.

P. RISK CULTURE

Culture and values are a priority area for the Group. Risk culture refers to desired attitudes and behaviours relative to risk-taking. The governance model places emphasis on accountability and ownership in ensuring an appropriate level of independence and segregation of duties between business and control functions. The management of risk takes place at different hierarchical levels and is emphasised through various levels of committees, business lines, control and reporting functions. The Group embeds a strong risk culture, through clear communication and appropriate training for employees. The objective is to develop a disciplined risk culture where managing risk is a responsibility shared by all employees. The Group only assumes those risks that can be managed, with clear understanding of the implications. Senior Management receives regular and periodic information on various matters for the respective business lines and clearly communicate their plans, strategy and expected outcomes to team members. The Bank has a structured induction programme for new employees to help them in understanding various businesses across the Group and how risk management culture and practices support in building and sustaining the organisation. All employees are required to be familiar with risk management policies relevant to their roles and responsibilities and it is their responsibility to escalate potential risk issues to senior management, on a timely basis. The risk culture in the group lays emphasis on responsible business practices, prioritisation of customers' needs and appropriate disclosures. Risk is taken into consideration when preparing business plans and when launching new products. These objectives are backed by suitable policies and processes for implementation.

The Enterprise Risk Management Framework outlines the methodology used to manage the risks inherent in its activities, while ensuring the outcomes of risk-taking are aligned with its overall strategy and mandate. Risk culture is embedded in annual performance reviews. The performance management process measures both individual and collective performance and discourages incentive mechanisms which could lead to undue risk-taking. The framework reinforces a risk culture across the organisation that ensures a high level of risk awareness and makes risk management an integral part of organisational decision-making. The Bank's risk management practices and culture enables it to take the risks necessary to fulfil its mandate while ensuring the organisation is financially sustainable.

Q. INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS ('ICAAP')

Every year, the Group undertakes the Internal Capital Adequacy Assessment Process ('ICAAP'), which provides management with a view of overall risks, assessment and capital allocated to cover the risks. The ICAAP is linked to overall business planning and establishes a strategy for maintaining appropriate capital levels. ICAAP is an assessment of all significant risks (Pillar II), other than Pillar I risks, to which the Group is exposed and covers the consideration of whether additional capital is required, based on internal assessment. Once the risks are identified, the Group determines the method and extent of risk mitigation. Risk mitigation takes place through strengthening policies, procedures, improving risk controls and having suitable contingency plans. Finally, the Group determines the risks that will be covered by capital and the level of capital sufficient to cover those risks. The ICAAP outcomes are reviewed by senior management and formally approved by the Board. The ICAAP is periodically enhanced to include greater detail and more in-depth analysis. The Group was adequately capitalised to cover Pillar I and Pillar II risks.

R. STRESS TESTING

Stress testing is a key element of the ICAAP and an integral tool in the Risk Management framework as it provides management a better understanding of how portfolios perform under adverse economic conditions. Stress testing is integral to strengthening the predictive

approach to risk management and supplements other risk management tools by providing an estimate of tail risks to assess if capital levels are adequate under a forward-looking operating environment and in severe stress scenarios.

The Bank has a Board-approved Stress testing policy which is aligned to regulatory guidelines and covers material risks. Indicative stress scenarios are defined in the policy. Liquidity stress tests are also part of this framework and aim to ascertain whether the Bank has recourse to adequate liquidity to withstand the impact of approved stress scenarios. As actual events can sometimes be more severe than anticipated, management considers additional stresses outside these scenarios, as necessary. Reverse stress testing is used to explore extreme adverse events that would cause capital adequacy to fall below the internal capital threshold. While this identifies likely scenarios with an unacceptably high risk, there will be suitable measures to prevent or mitigate these that the Bank may implement.

The results of stress tests are interpreted in the context of the Bank's internal risk appetite for capital adequacy and reported to management and the Board. The stress testing exercise provides an opportunity to develop suitable mitigating response prior to onset of actual conditions exhibiting the stress scenarios. The stress test outcomes are inputs to determine risk appetite and support business decision-making. The ICAAP integrates stress testing with capital planning and during the year, the Bank was above regulatory and internal target capital ratios under all approved stress scenarios.

S. PANDEMIC, GEO POLITICS AND TARIFFS

In recent years, pandemic-related disruptions of supply chains, manufacturing bottlenecks and general supply and demand conditions, as well as the war in Ukraine, contributed to inflationary dislocations across many countries. Material escalation in geopolitical risks such as the Russia-Ukraine conflict and tensions in the Middle East could aggravate ongoing global economic imbalances while increasing financial market volatilities and capital flight from emerging markets.

Fluctuations in policy interest rates globally to combat inflationary pressures and rising global trade tensions, particularly between the US and its trading partners in light of tariffs imposed under the Trump administration and the subsequent retaliatory trade measures by affected countries, among others, have contributed to the uncertainty of global economic prospects. It is uncertain whether the Trump administration will roll out additional policies, which may result in new universal or country specific trade restrictions, such as tariffs, quotas, or embargoes being imposed.

With a strong balance sheet and adequate liquidity position, the Group is well positioned to navigate the current economic environment and support its customers.

BANK'S BUSINESS STRATEGY

Refer section 'Strategy' on pages 40-47 for Bank's business strategy.

SAFE HARBOUR

This document contains certain forward-looking statements based on current expectations of the Bank's management. Actual results may vary significantly from the forward-looking statements contained in this document due to various risks and uncertainties. These risks and uncertainties include the effect of economic and political conditions in India and outside India, volatility in interest rates and in the securities market, new regulations and government policies that may impact the businesses of Kotak Group as well as its ability to implement the strategy. The Bank's management does not undertake to update these statements.

This document does not constitute an offer or recommendation to buy or sell any securities of the Bank or any of its subsidiaries and associate companies. This document also does not constitute an offer or recommendation to buy or sell any financial product / service offered by Kotak Group, including but not limited to units of its mutual fund, life insurance policies and general insurance policies. The financial products/ services shall be subject to Terms and Conditions as mentioned in their respective documentation and/or websites as the case may be.

All investments in mutual funds and securities are subject to market risks and the NAV of the schemes may go up or down depending upon the factors and forces affecting the securities market. The performance of the sponsor, Kotak Mahindra Bank Limited, has no bearing on the expected performance of Kotak Mahindra Mutual Fund or any schemes there under.

Entry to the Solitaire programme is by invitation and at the sole discretion of the Bank. Meeting the programme eligibility criteria is not an implicit invitation to the programme. The Kotak Solitaire programme offers access to a curated selection of products and services from the Bank and its group companies. These offerings are extended to customers based on referrals and in compliance with applicable regulatory guidelines.

Figures for the previous year have been regrouped wherever necessary to conform to current year's presentation.

Business Responsibility and Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. DETAILS OF THE LISTED ENTITY

1. Corporate Identity Number (CIN) of the company	L65110MH1985PLC038137
2. Name of the Listed Entity	Kotak Mahindra Bank Limited
3. Year of incorporation	21 st November, 1985
4. Registered office address	27BKC, C-27, G-Block, Bandra Kurla Complex, Bandra East, Mumbai 400051
5. Corporate address	27BKC, C-27, G-Block, Bandra Kurla Complex, Bandra East, Mumbai 400051
6. E-mail	esg.connect@kotak.com
7. Telephone	(022)-6204 2100
8. Website	https://www.kotak.com
9. Financial year for which reporting is being done	FY 2024-25
10. Name of the Stock Exchange(s) where shares are listed	BSE Limited (BSE) and National Stock Exchange of India Limited (NSE)
11. Paid-up Capital	₹ 994.11 Crore
12. Name and Contact Details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Himanshu Nivsarkar esg.connect@kotak.com
13. Reporting boundary	The disclosures under this report are made on standalone basis for Kotak Mahindra Bank Limited and includes all offices, branches and ATMs where we have operational control
14. Name of assurance provider	DNV Business Assurance India Pvt. Ltd.
15. Type of assurance obtained	Reasonable Assurance of BRSR Core as per SEBI guidelines Limited assurance on additional select indicators

II. PRODUCTS/ SERVICES -

16. Details of business activities¹: (accounting for 90% of the turnover)

Sr. no.	Description of main activity	Description of business activity	% of turnover of the entity
1	Corporate/ Wholesale Banking	Wholesale borrowings and lending and other related services to the corporate sector which are not included under retail banking.	33.6%
2	Retail Banking	Comprises of: Digital Banking: Business involving digital banking products acquired by Digital Banking Unit including existing digital banking products as identified by the Management in accordance with the instructions of the RBI vide its circular dated April 7, 2022. Other Retail Banking: Includes retail lending, deposit taking and other retail services/ products other than above.	45.8%
3	Treasury, BMU and Corporate Centre	Money market, forex market, derivatives, investments and primary dealership of government securities, Balance Sheet Management Unit (BMU) responsible for Asset Liability Management and Corporate Centre which primarily comprises of support functions.	20.6%

¹ GRI 2-6

17. Products/ Services sold by the entity²: (accounting for 90% of the entity's Turnover)

Sr. no.	Product/Service	NIC Code	% of total turnover contributed
1	Corporate/Wholesale Banking, Retail Banking, Treasury, BMU and Corporate Centre	64191	100%

III. OPERATIONS –**18. Number of locations where plants and/or operations/offices of the entity are situated:**

Location	Number of plants	Number of offices	Total
National	2149 (Branches)	220 (Corporate Offices)	2369
International	2*	-	2

*Located in DIFC, Dubai and GIFT City, Gujarat

19. Markets served by the entity²**a. Number of locations:**

Locations	Number
National (No. of States)	30 (including Union Territories)
International (No. of Countries)	2

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Given the nature of the banking business, this is not applicable.

c. A brief on types of customers

We serve a diverse array of customers through our various business activities including consumer banking, commercial banking, wholesale banking, custodial services, private banking and asset recovery. For more information, please refer to our 'Business Overview' section on pages 12-21.

Our customers encompass individuals, corporations, government entities, trusts and societies, as well as sole proprietorships and partnerships etc.

IV. EMPLOYEES³ –**20. Details as at the end of Financial year:^{#4}****a. Employees and workers (including differently abled):**

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employee						
1	Permanent (D)	61,170	44,462	72.7%	16,708	27.3%
2	Other than Permanent (E)	14,153	11,290	79.8%	2,863	20.2%
3	Total employees (D + E)	75,323	55,752	74.0%	19,571	26.0%
Workers						
4	Permanent (F)	The Bank does not employ any workers, accordingly worker related KPIs are not applicable and the same have not been included in any of the prescribed tables in the BRSR.				
5	Other than Permanent (G)					
6	Total Workers (F + G)					

b. Differently abled Employees and workers[#]:

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Differently Abled Employees						
1	Permanent (D)	27	21	77.8%	6	22.2%
2	Other than Permanent (E)	0	0	-	0	-
3	Total employees (D + E)	27	21	77.8%	6	22.2%
Differently Abled Workers						
4	Permanent (F)					
5	Other than Permanent (G)			Not Applicable		
6	Total Workers (F + G)					

[#]Limited assurance undertaken for this indicator.

21. Participation/Inclusion/Representation of women^{#5} :

Sr. No.	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	11	3	27.3%
Key Management Personnel (KMP)	5	2	40.0%

[#]Limited assurance undertaken for this indicator.

22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)[#]

	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	33.8%	32.1%	33.3%	39.6%	39.7%	39.6%	45.3%	47.8%	45.9%
Permanent Workers	Not Applicable								

[#] Limited assurance undertaken for the indicator.

V. HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES (INCLUDING JOINT VENTURES) -
23. Names of holding / subsidiary / associate companies / joint ventures

Sr. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity*	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Kotak Mahindra Bank Limited	Holding	-	BRSR boundary is limited to the Bank on a standalone basis.
2	Kotak Mahindra Prime Limited	Subsidiary	100.00%	
3	Kotak Mahindra Investments Limited	Subsidiary	100.00%	
4	Kotak Infrastructure Debt Fund Limited	Subsidiary	100.00%	
5	Kotak Securities Limited	Subsidiary	100.00%	While subsidiaries form part of Group's voluntary disclosures on business responsibility, they do not form part of BRSR.
6	Kotak Mahindra Capital Company Limited	Subsidiary	100.00%	
7	Kotak Mahindra Life Insurance Company Limited	Subsidiary	100.00%	
8	Kotak Mahindra Asset Management Company Limited	Subsidiary	100.00%	

⁵GRI 405-1

Sr. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity*	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
9	Kotak Mahindra Trustee Company Limited	Subsidiary	100.00%	No
10	Kotak Mahindra Pension Fund Limited	Subsidiary	100.00%	
11	Kotak Alternate Asset Managers Limited (Formerly known as Kotak Investment Advisors Limited)	Subsidiary	100.00%	
12	Kotak Mahindra Trusteeship Services Limited	Subsidiary	100.00%	
13	Kotak Mahindra (UK) Limited, London	Subsidiary	100.00%	
14	Kotak Mahindra (International) Limited, Mauritius	Subsidiary	100.00%	
15	Kotak Mahindra Inc., U.S.A.	Subsidiary	100.00%	
16	Kotak Mahindra Asset Management (Singapore) PTE Limited	Subsidiary	100.00%	
17	Kotak Mahindra Financial Services Limited	Subsidiary	100.00%	
18	IVY Product Intermediaries Limited	Subsidiary	100.00%	
19	BSS Microfinance Limited	Subsidiary	100.00%	
20	Sonata Finance Private Limited	Subsidiary	100.00%	
21	Kotak Karma Foundation	Subsidiary	100.00%	
22	Infina Finance Private Limited	Associate	49.99%	
23	Phoenix ARC Private Limited	Associate	49.90%	
24	^Zurich Kotak General Insurance Company (India) Limited (Formerly known as Kotak Mahindra General Insurance Company Limited)	Associate	30.00%	

*Percentage of Shareholding includes direct and indirect holdings through subsidiaries

^On 18th June, 2024, the Bank completed the divestment of 70% stake in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). Consequent to this sale, KGI ceased to be a subsidiary of the Bank and became an Associate company with effect from 18th June, 2024. As at 31st March 2025, the Bank continues to hold the remaining 30% of the share capital in said company.

VI. CSR DETAILS

- 24** (i) Whether CSR is applicable as per section 135 of Companies Act, 2013 (Yes/No): **Yes**
- (ii) Turnover (in ₹): **67,880.86 Crore**
- (iii) Net worth (in ₹): **116,897.69 Crore**

VII. TRANSPARENCY AND DISCLOSURES COMPLIANCES –

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct⁶ :

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place ⁷ (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes E-mail at groupecsr@kotak.com https://www.kotak.com/en/about-us/corporate-responsibility.html	0	0	0	0	0	Community grievances are received through our NGO partners, in this reporting period no community grievances were reported to us by the NGO partners.
Investors and Shareholders	Yes	34	0		23	0	
Employee & Workers	Yes https://kotak.servicenow.com/now/sow/home	346	14	Including 43 POSH cases, and 303 other cases	205	19	Including 45 POSH cases, and 160 other cases
Customers	YES https://www.kotak.com/en/customer-service/important-customer-information/banking-policies.html	2,09,161	5,325	The number of complaints reported for FY 2024-25 exclude Complaints which are resolved within 0 & 1 working days.	2,92,085	16,418	The number of complaints reported for FY 2023-24 exclude complaints which are resolved within 0 & 1 working days.
Value Chain Partners		0	0	-	0	-	Vendors route their grievances through the business team that they engage with, there have been no substantial grievances reported in this reporting period
Others							

26. Overview of the entity's material responsible business conduct issues.

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications.

Please refer to the 'Stakeholder engagement and materiality assessment' section on pages 34-39 for details of our material topics. The risks, opportunities and management of the topics have been discussed at length in the respective sections wherein the material topics have been covered.

⁶GRI 2-16 | ⁷GRI 2-26

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

P1	Businesses should conduct and govern themselves with integrity in a manner that is ethical, transparent, and accountable
P2	Businesses should provide goods and services in a manner that is sustainable and safe
P3	Businesses should respect and promote the well-being of all employees, including those in their value chains
P4	Businesses should respect the interests of and be responsive towards all its stakeholders
P5	Businesses should respect and promote human rights
P6	Businesses should respect, protect, and make efforts to restore the environment
P7	Businesses when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent
P8	Businesses should promote inclusive growth and equitable development
P9	Businesses should engage with and provide value to their consumers in a responsible manner

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity’s policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/ No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	https://www.kotak.com/en/investor-relations/governance/policies.html , https://www.kotak.com/en/customer-service/important-customer-information/banking-policies.html								
	List of relevant policies is mentioned on pages 462-463 of the report and the description of relevant policies is mentioned on pages 503-506 of the report.								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/ certifications/labels/ standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trusted) standards (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.			ISO 45001:2018, LEED					ISO 27001	
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Principle 3: We aspire to have women represent at least a third of the Bank's workforce.								
6. Performance of the entity against the specific commitments, goals, and targets along-with reasons in case the same are not met.	Please refer to the workforce breakdown data in ESG Data Tables on page 507.								
Governance, leadership, and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements	Please refer to page 105 from 'Empowering Colleagues' section and page 78 from 'Embracing Sustainability' section.								
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies). ⁸	Corporate Social Responsibility and Environmental, Social and Governance Committee (“CSR and ESG Committee”) of the Board								

⁸GRI 2-13

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes. Board level CSR and ESG Committee. Composition given below is as of March 31st, 2025. Further details can be found in the 'Embracing Sustainability' section of the Integrated Annual Report Mr. C.S. Rajan (Non-Executive Independent Director, Part-time Chairman) Other members*: Dr. Ashok Gulati (Non-Executive Independent Director) Mr. Ashok Vaswani (Managing Director & CEO) Mrs. Shanti Ekambaram (Deputy Managing Director) <i>*Mr. Amit Desai (Non-Executive Director) joined the Committee on 01st April, 2025</i>								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Table of Description of Policies pages 503-506 mentions oversight responsibilities									Annually								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Policies of the Bank are approved/reviewed by the Bank's Board and/or top management									Annually								

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency	P1	P2	P3	P4	P5	P6	P7	P8	P9
	No	No	No	No	No	No	No	No	No

12. If answer to question (1) above is “No” i.e., not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

Principles	List of Policies ⁹
Principle 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable	Code of commitment to Individual Customers by the Banking Codes and Standards Board Of India; Code of Conduct for Directors; Code of conduct for Senior Management; Code of Conduct for Employees; Code Fair Disclosure of Unpublished Price Sensitive Information (UPSI); Compensation Policy; Compensation Policy for Non-Executive Directors; Succession Plan Policy, ESG Policy Framework; Enterprise-wide Risk Management Framework; Fraud Risk Management Policy; KYC and Anti-Money Laundering (AML) Policy, Policy for Determination of Materiality of Events or Information; Policy on Dealing with Related Party Transactions; Stress Testing Policy; Vigilance Policy; Whistle Blower Policy

⁹GRI 2-23

Principles	List of Policies ⁹
Principle 2: Businesses should provide goods and services in a manner that is sustainable and safe	Apex Information Technology Policy; Fraud Risk Management Policy; Information Security and Cybersecurity Policy; Operational Risk Management Policy & Framework; Privacy Policy
Principle 3: Businesses should respect and promote the well-being of all employees, including those in their value chains	Code of Conduct for Senior Management; Day Care Policy; Diversity Inclusion and Equity Statement; Employee Volunteering Policy; New Mother Benefit for Kotak Wonder Women Policy; Training Policy; Whistle Blower Policy, Kotak Staff Home loan policy
Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders	Diversity Inclusion and Equity Statement; Policy on Board Diversity; Whistle Blower Policy
Principle 5: Businesses should respect and promote human rights	Diversity, Inclusion and Equity Statement; Equal Employment Opportunity Policy; Human Rights and Anti-discrimination Policy; Policy on Sexual Harassment of Women
Principle 6: Businesses should respect and make efforts to protect and restore the environment	ESG Management Systems Plan (EMSP); ESG Policy Framework; Environment Policy; Green Finance Framework; Green Finance Policy, Sustainable Finance Framework
Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent	ESG Policy Framework; Compliance Policy
Principle 8: Businesses should promote inclusive growth and equitable development	Corporate Social Responsibility Policy; ESG Policy Framework; Employee Volunteering Policy
Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner	Customer's Compensation Policy; Policy on Collection of Dues and Repossession of Security Policy; Code of Conduct for Collection of Dues - Credit Cards; Fair Practice Code (Bank); Fair Practice Code for Credit Card Operations Policy; Fair Practice Code for Lenders; Fair Practice Code: Microcredit Loans; Information Security and Cybersecurity Policy

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.



PRINCIPLE 1:

BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH INTEGRITY AND IN A MANNER THAT IS ETHICAL, TRANSPARENT AND ACCOUNTABLE.

ESSENTIAL INDICATORS

1. Percentage coverage by training and awareness programs on any of the principles during the financial year[†]:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	Percentage of persons in respective category covered by the awareness programmes ^{**}
Board of Directors ¹⁰	50	Sessions on Anti-Money Laundering, Corporate Social Responsibility, Financial Inclusion, Customer Centricity, Updates in the IT domain, Compliance, Risk Management, Technology, Economic Outlook, Commercial Banking	100%

⁹GRI 2-23 | ¹⁰GRI 2-17

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	Percentage of persons in respective category covered by the awareness programmes**
Key Managerial Personnel	14	Sessions on Anti-money Laundering, Corporate Social Responsibility, Financial Inclusion, Customer Centricity, Updates in the IT domain, Compliance, Risk Management, Technology, Economic Outlook, Commercial Banking	100%
Employees other than BOD and KMPs	4865: Self-Paced online and Instructor-led (classroom) programmes 172,253*: Artefacts	Functional skills and knowledge programmes pertaining to skill upgradation, managerial or leadership capability training, culture building, digital technologies and compliance-related trainings.	95%
Workers		Not Applicable	

* Artefacts are digital learning contents which comprise of blogs, videos, articles etc. published globally which are available as artefacts on KotakmyLearn platform for employees.

**This represents participants who have attended any of the training programmes on any of the NGRBC principles.

Limited assurance undertaken for this indicator.

2. Details of fines/penalties/punishment/award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors/KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year.¹¹

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Joint Commissioner, GST & Central Excise, Mumbai East Commissionerate	₹ 7,16,69,409	The Bank has, on December 13, 2024, received an order dated December 13, 2024 from the Joint Commissioner, GST & Central Excise, Mumbai East Commissionerate, levying an amount of ₹ 7,16,69,409/- towards Goods and Services Tax ("GST") under section 74(9) of the Central Goods and Services Tax Act, 2017 ("CGST Act") read with relevant provisions of the Integrated Goods and Services Tax Act, 2017 ("IGST Act") and the applicable interest under Section 50 of the CGST Act read with corresponding provisions of IGST Act and a consequential non-discretionary penalty amounting to ₹ 7,16,69,409/- under Section 74(1) of the CGST Act read with corresponding provisions of the IGST Act, 2017. The above demand has arisen on account of alleged non-payment of GST on the reimbursements made by the Bank's Head Office to overseas representative office in respect of the operating expenses of the said representative office.	Yes

¹¹GRI 2-27

Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Assistant Commissioner, Central Goods & Service Tax, Noida, Uttar Pradesh	₹ 1,61,494	The Bank has, on August 29, 2024, received an order dated August 29, 2024 from the office of the Assistant Commissioner, Central Goods & Service Tax, Noida, Uttar Pradesh, levying an amount of ₹ 16,14,944/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Act, 2017 ("CGST Act") and a consequential non-discretionary penalty amounting to ₹ 1,61,494/- under Section 122 (2) (a) of the CGST Act / the Uttar Pradesh Goods and Services Tax Act, 2017 ('UPGST Act'). The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') during the financial year 2019-20.	Yes
Penalty / Fine	Principle 1	Deputy Commissioner of State Tax, Ropar, Punjab	₹ 44,986	The Bank has, on August 28, 2024, received an order dated August 28, 2024 from the office of the Deputy Commissioner of State Tax, Ropar, Punjab, levying an amount of ₹ 4,49,864/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Act, 2017 ("CGST Act") and a consequential non-discretionary penalty amounting to ₹ 44,986/- under Section 73 of the CGST Act read with the Punjab Goods and Services Tax Act, 2017 ('PGST Act'). The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') during the financial year 2019-20.	Yes
Penalty / Fine	Principle 1	Assistant Commissioner - Central Tax, Central Excise & Service Tax, Division - Connaught Place, New Delhi	₹ 2,38,767	The Bank has, on August 27, 2024, received an order dated August 27, 2024 from the office of the Assistant Commissioner - Central Tax, Central Excise & Service Tax, Division - Connaught Place, New Delhi, levying an amount of ₹ 23,87,666/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Act, 2017 ("CGST Act") and a consequential non-discretionary penalty amounting to ₹ 2,38,767/- under Section 122 of the CGST Act read with corresponding provisions of the Integrated Goods & Services Tax Act, 2017 ('IGST Act') and the Delhi Goods and Services Tax Act, 2017 ('DGST Act'). The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') during the financial year 2019-20.	Yes

Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Deputy Commissioner of State Tax, Mazgaon, Mumbai	₹ 11,06,465	The Bank has, on August 22, 2024, received an order dated August 22, 2024 from the office of the Deputy Commissioner of State Tax, Mazgaon, Mumbai, Maharashtra, levying an amount of ₹ 1,10,64,646/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Tax Act, 2017 ("CGST Act") and the Maharashtra Goods and Services Tax Act, 2017 ("MGST Act"), respectively, and a consequential non discretionary penalty amounting to ₹ 11,06,465/- under Section 73 read with Section 122 of the CGST Act and the MGST Act, respectively. The above demand has arisen on account of disallowance of input tax credit and alleged non-payment of GST under reverse charge in certain instances during the financial year 2019-20.	Yes
Penalty / Fine	Principle 1	Office of the Principal Commissioner of Central Tax, Hyderabad GST Commissionerate, Hyderabad, Telangana	₹ 68,756	The Bank has, on August 17, 2024, received an order dated August 13, 2024 from the Office of the Principal Commissioner of Central Tax, Hyderabad GST Commissionerate, Hyderabad, Telangana, levying an amount of ₹ 4,89,648/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Tax Act, 2017 ("CGST Act") and the corresponding provisions of the Telangana Goods and Services Tax Act, 2017 ("TGST Act") and Section 20 of the Integrated Goods and Services Tax Act, 2017 ("IGST Act") and a consequential non-discretionary penalty amounting to ₹ 68,756/- under Section 73 read with Section 122 of the CGST Act and corresponding provisions of the TGST Act read with Section 20 of the IGST Act. The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') during the financial year 2019-20.	Yes

Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Office of the Assistant Commissioner, CGST, Division-VII (Satellite), Ahmedabad-South, Gujarat	₹ 2,25,693	The Bank has, on August 16, 2024, received an order dated August 16, 2024 from the office of the Assistant Commissioner, CGST, Division-VII (Satellite), Ahmedabad-South, Gujarat, levying an amount of ₹ 22,56,933/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Central Goods and Services Act, 2017 ("CGST Act") read with the corresponding provisions of the Gujarat Goods and Services Tax Act, 2017 ("GGST Act") and Section 20 of the Integrated Goods & Services Tax Act, 2017 ("IGST Act") and a consequential non-discretionary penalty amounting to ₹ 2,25,693/- under Section 73 of the CGST Act read with corresponding provisions of the GGST Act and Section 20 of the IGST Act. The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') during the financial year 2019-20.	Yes
Penalty / Fine	Principle 1	Superintendent of GST and Central Excise at Chennai, Tamil Nadu	₹ 65,420	The Bank has, on August 14, 2024, received an order dated August 9, 2024 from the office of the Superintendent of GST and Central Excise at Chennai, Tamil Nadu, levying an amount of ₹ 5,18,690/- towards Goods and Services Tax ("GST") and the interest as applicable under Section 50 of the Tamil Nadu Goods and Services Tax Act, 2017 ('TNGST Act') and the Central Goods and Services Act, 2017 ("CGST Act"), respectively, and a consequential non-discretionary penalty amounting to ₹ 65,420/- under Section 73 read with Section 122 of the TNGST Act / the CGST Act. The above demand has arisen mainly on account of disallowance of input tax credit ('ITC') and reconciliation differences in outward supplies during the financial year 2019-20.	Yes
Penalty / Fine	Principle 1	Joint Commissioner of State Tax (GST) at Jaipur, Rajasthan	₹ 40,000	The Bank has, on April 28, 2024, received an order dated April 28, 2024 from the office of the Joint Commissioner of State Tax (GST) at Jaipur, Rajasthan, levying an amount of ₹ 22,050/- towards Goods and Services Tax ("GST") and interest of ₹ 22,160/- and a consequential non-discretionary penalty amounting to ₹ 40,000/- under Section 73 of the Rajasthan Goods and Services Tax Act, 2017 ("RGST Act") / Section 122 of the Central Goods and Services Act, 2017 ("CGST Act"), The above demand has arisen mainly on account of non-reversal of input tax credit ('ITC') against other ineligible ITC during the financial year 2018-19.	Yes

Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Assistant Commissioner, Punjab	₹ 1,04,906	The Bank received an order dated February 05, 2025 from the office of the Assistant Commissioner, Mohali-ward, no.6, Mahali Ropar, Punjab levying an amount of ₹ 10,49,063/- towards Goods and Services Tax ("GST") and the interest of ₹ 8,11,717/- under Section 50 of the Punjab Goods and Services Tax Act, 2017 ('PGST Act') and the Central Goods and Services Act, 2017 ("CGST Act"), respectively, and a consequential non discretionary penalty amounting to ₹ 1,04,906/- under Section 73 of the CGST Act read and corresponding provision of PGST Act, 2017.	Yes
Penalty / Fine	Principle 1	Office of Deputy Commissioner, Uttarakhand	₹ 4,61,536	The Bank has received an order dated January 13, 2025 from the office of the Deputy Commissioner, Uttarakhand, levying an amount of ₹ 46,15,408/- towards Goods and Services Tax ("GST") and the interest of ₹ 36,00,020/- under Section 50 of the Uttarakhand Goods and Services Tax Act, 2017 ('UTGST Act') and the Central Goods and Services Act, 2017 ("CGST Act"), respectively, and a consequential non discretionary penalty amounting to ₹ 4,61,536/- under Section 73 of the CGST Act read with section 122 of the CGST Act, 2017 and corresponding provision of UTGST Act, 2017	Yes
Penalty / Fine	Principle 1	Office of Deputy Commissioner of State Tax, Kalbadevi	₹ 3,36,756	The Bank has received an order dated February 13, 2025 from the office of the Deputy Commissioner of State Tax, Kalbadevi-501, Mazgaon, Maharashtra, levying an amount of ₹ 33,55,153/- towards Goods and Services Tax ("GST") and the interest of ₹ 30,43,688/- under Section 50 of the Maharashtra Goods and Services Tax Act, 2017 ('MGST Act') and the Central Goods and Services Act, 2017 ("CGST Act"), respectively, and a consequential non discretionary penalty amounting to ₹ 3,36,756/- under Section 73 of the CGST Act read with section 122 of the CGST Act, 2017 and corresponding provision of MGST Act, 2017.	Yes
Penalty / Fine	Principle 1	Office of Assistant Commissioner, Rewari division, Haryana	₹ 2,440	The Bank has received an order dated January 24, 2025 from the office of the Assistant Commissioner, Rewari division, Haryana, levying an amount of ₹ 2,440/- towards penalty amounting to ₹ 2,440/- for the period Financial Year 2017- 18 to 2023-24 under Section 74 of the Central Goods and Services Tax Act, 2017 ('CGST Act, 2017) read with section 122 of the CGST Act, 2017 and corresponding provision of Haryana Goods and Services Tax Act, 2017 ('HGST Act, 2017').	Yes

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty / Fine	Principle 1	Office of the Deputy Commissioner of State Tax, Maharashtra	₹ 2,11,617	The Bank received an order dated February 24, 2025 from the office of the Deputy Commissioner of State Tax, Chembur_505, Chembur, Mumbai_North, Mazgaon, Maharashtra, levying an amount of ₹ 21,16,158/- towards Goods and Services Tax ("GST") and the interest of ₹ 35,51,061/- under Section 50 of the Maharashtra Goods and Services Tax Act, 2017 ('MGST Act') and the Central Goods and Services Act, 2017 ("CGST Act"), respectively, and a consequential non discretionary penalty amounting to ₹ 2,11,617/- under Section 73 of the CGST Act read with section 122 of the CGST Act,2017 and corresponding provision of MGST Act,2017.	Yes
Settlement	-	-	-	-	-
Compounding	-	-	-	-	-
Fee					

Non-Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	Principle 1		NA	NA	NA
Punishment	Principle 1		NA	NA	NA

3. Of the instances disclosed in above Question, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
Not applicable	

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, our anti-corruption and anti-bribery guidelines are covered as a part of our Employee Code of Conduct. This Code is applicable to all employees (including overseas bank representative offices and overseas branches), whole-time Directors of Kotak Mahindra Bank Limited and its subsidiaries and affiliate companies, whether permanent, part-time or on fixed term contract. The coverage of these guidelines includes aspects related to cash or gifts to an individual, relatives or associates, non-monetary favours, false political or charitable donations amongst others. Further details at:

https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_conduct_employee-2972021.pdf

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption¹²:

	FY 2024-25	FY 2023-24
Directors	No such cases have been reported in FY 2024-25 and FY 2023-24.	
KMPs		
Employees		
Workers		

6. Details of complaints with regard to conflict of interest¹³:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors		No such cases have been reported in FY 2024-25 and FY 2023-24 against any BODs or KMPs.		
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

No action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest during FY 2024-25, hence, no corrective action undertaken.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format#:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	36.2	35.2

Reasonable assurance undertaken for this indicator.

9. Open-ness of business#:

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases [#]	a. Purchases from trading houses as % of total purchases	There were no purchases from trading house.	
	b. Number of trading houses where purchases are made from		
	c. Purchases from top 10 trading houses as % of total purchases from trading houses		
Concentration of Sales [#]	a. Sales to dealers/ distributors as % of total sales	The Bank does not make any sales to dealers/distributors.	
	b. Number of dealers / distributors to whom sales are made		
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors		

¹²GRI 205-3 | ¹³GRI 2-15

Parameter	Metrics	FY 2024-25	FY 2023-24
Share of RPTs in*	a. Purchases* (Purchases with related parties / Total Purchases)	11.4%	9.4% [§]
	b. Sales** (Sales to related parties / Total Sales)	3.8%	2.8%
	c. Loans & advances *** (Loans & advances given to related parties / Total loans & advances)	0.2%	0.1%
	d. Investments**** (Investments in related parties / Total Investments made)	1.9%	2.7%

[§]99.7% of transactions by value is with subsidiaries only, which is in line with previous year.

Notes-

*95.5% of RPT purchases is with subsidiaries

**95.6% RPT sales is with subsidiaries

***97.4% RPT advances is with subsidiaries

****90.5% of RPT investments is with subsidiaries

Note 1: Refer to the Bank's disclosures on Related Party Transactions (RPT) provided in Schedule 18 forming part of the Audited Standalone Financial Statements of the Bank. RPT relevant to the required disclosures have been considered for reporting in the table above.

Note 2: For the numerator, the following RPT categories have been considered as purchases: 'fixed assets purchased from and expenses for receiving services from related parties'. For the denominator, i.e. total purchases, which includes Operating Expenses (with exclusions) under Schedule 16 and Addition to Fixed Assets under Schedule 10 of the Audited Standalone Financial Statements of the Bank has been considered.

Note 3: For the numerator, the following RPT categories have been considered as sales: 'income from services rendered to' and 'dividend received from related parties'. For the denominator i.e. total sales, Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) under Schedule 14 of the Audited Standalone Financial Statements of the Bank has been considered.

Note 4: Total investments made and total loans and advances have been considered as per Schedules 8 and 9 respectively of the Audited Standalone Financial Statements of the Bank.

Note 5: Sales include Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) earned under Schedule 14 of the Audited Standalone Financial Statements of the Bank.

* Reasonable assurance undertaken for the indicator.

LEADERSHIP INDICATORS

1. Awareness programs conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programs held	Topics / principles covered under the training	Percentage of value chain partners covered (by value of business done with such partners) under the awareness programs
---	--	--

A majority of our outsourced vendors are required to adhere to a code of conduct for service providers, which is incorporated as part of the standard service contract with the objective of creating awareness on ESG and articulating our expectations from our vendors on ESG.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.¹⁴

Yes, we have implemented processes to avoid/manage conflict of interests involving members of the Board.

- Every Director on the Board is required to make disclosure of his / her interest or concern in other entities (under Section 184 of the Companies Act, 2013 as also the parties to which such Director is related to (as under Section 2(76) of the Companies Act, 2013 and other laws applicable to the Bank). Such disclosure is required to be made as and when a Director attends first Board Meeting after his/her appointment on the Board and thereafter at every first Board Meeting held in a financial year as well as within 30 days from any change in the disclosure previously given by such Director.
- Director, if interested or concerned in any transaction(s) or arrangement(s) to be entered into by the Bank, does not participate in the discussion and passing of the resolution thereon.

¹⁴GRI 2-15

- iii. The Bank has also put in place necessary mechanism and has formulated a Policy on Dealing with Related Party Transactions, keeping in view the requirements under Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the provisions of the Companies Act, 2013. This Policy provides a framework to ensure proper identification, approval and reporting of Related Party Transactions. Such transactions would be appropriate only if they are in the best interest of the Bank and its members.
- iv. All transactions with Related Parties of the Bank are previously approved by the Audit Committee of the Bank. The Audit Committee also grants Omnibus Approval for Related Party Transactions of a recurring nature. Related Party Transactions, if not in the ordinary course or not at arm's length, are placed before the Board (based on the Audit Committee's recommendation) for its consideration and approval. If such transactions (which are placed before the Board of Directors) breach the threshold limits prescribed under Section 188 of the Companies Act, 2013 or if any transaction with a Related Party is material in nature as prescribed under Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, such transactions are also put up before the shareholders for their consideration and approval.
- v. At the Audit Committee, only the Independent Directors who are members of the Audit Committee, consider and approve the transactions with related parties. At the Board, only those Directors who are not parties to the transaction(s) or arrangement(s) in subject or those who are not interested or concerned therein, participate to consider them. The interested Directors neither remain present nor do they vote on the resolution of Related Party Transaction. While seeking Shareholders' approval, no Related Party of the Bank, whether party to a particular transaction or not, votes to approve such transaction.
- vi. In terms of Regulation 20 of the Banking Regulation Act, 1949, the Bank does not extend any loans or advances on the security of its own shares, or commit to grant any loan or advance to or on behalf of its Directors, any firm in which a Director is interested as partner, manager, employee or guarantor, or any company or its subsidiary or holding company where Director of the Bank is a Director, Managing agent, manager, employee or guarantor or in which he holds substantial interest (as defined in Section 20 of the Banking Regulation Act, 1949), or any individual in respect of whom a Director of the Bank is a partner or guarantor.



PRINCIPLE 2: BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE.

ESSENTIAL INDICATORS

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

Parameter	FY 2024-25	FY 2023-24	Details of improvements in environmental and social impacts
R&D			
Capex			As we operate in the financial services industry, this is not applicable.

2. a. Does the entity have procedures in place for sustainable sourcing?

Kotak Mahindra Bank's Code of Conduct covers aspects of Human Rights, Health and Safety, Operational Eco-efficiency, etc., and indicates applicability to the Bank's vendors. Besides this, a focused 'Code of Conduct' for service providers' forms part of the service agreements with outsourced vendors.

b. If yes, what percentage of inputs were sourced sustainably?

As a financial services organisation, our direct consumption of consumables and input materials is limited. We strive to improve energy efficiency, use cleaner sources of energy and reduce paper consumption to a minimum. In FY 2024-25, Kotak adopted an initiative to utilise recycled paper; this has been implemented at select corporate offices, resulting in a total savings of 7.6 tonnes of virgin paper during the year. We have implemented usage of Green Seal Housekeeping chemicals, which are eco-friendly and reduce the impact on the environment.

We expect our vendors to comply with our Code of Conduct for service providers which includes aspects on Human Rights, Health and Safety, Operational Eco-efficiency, etc. All service contracts that were proposed to be signed and renewed in FY 2024-25 included the Code of Conduct for service providers as an annexure.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

As a financial services organisation and by the virtue of the services we offer, there may not be direct significant impacts to waste generation. However, we have undertaken measures such as partnering authorised waste management vendors to recycle our e-waste, sanitary waste and bio-medical waste, installing Organic Waste Composters (OWCs) across six of our corporate offices to convert our wet waste generated to manure, and have a buyback policy in place for batteries. We also have STPs which generate either no sludge or minimum quantities of the same. Please find further details of our approach to waste management on pages 93-95 of the 'Embracing Sustainability' section.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

No, as we are a financial services company, the waste generated is incidental to providing the banking service. Therefore, Extended Producer Responsibility (EPR) is not applicable to our activities. As per the E-waste Management Rules, 2022, bulk consumers shall ensure that e-waste generated by them is handed over only to a registered producer, refurbisher, or recycler, and segregated waste is sent to authorized waste processing/disposal facilities/deposition centers, either on its own or through an authorized waste collection agency. Kotak recognises its responsibility as a bulk consumer and disposes its e-waste through CPCB/SPCB-authorized recyclers.

LEADERSHIP INDICATORS

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
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Not Applicable

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of the Product/Service	Description of the risk concern	Action taken
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Not Applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2024-25	FY 2023-24

Not Applicable

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed

	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed

Plastics (including packaging)

E-waste

Hazardous waste

Other waste

Not Applicable

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Not Applicable	


PRINCIPLE 3:
BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS
ESSENTIAL INDICATORS
1. Measures undertaken for Employee Wellbeing –
a. Details of measures for the well-being of employees*:

Category	% Of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	44,462	44,462	100.0%	44,462	100.0%	-	-	44,462	100.0%	-	-
Female	16,708	16,708	100.0%	16,708	100.0%	16,708	100.0%	-	-	16,691	99.9%*
Total	61,170	61,170	100.0%	61,170	100.0%	16,708	27.3%	44,462	72.7%	16,691	27.3%
Other than Permanent employees											
Male	11,290	11,290	100.0%	11,290	100.0%	-	-	11,290	100.0%	-	-
Female	2,863	2,863	100.0%	2,863	100.0%	2,863	100.0%	-	-	2,863	100.0%
Total	14,153	14,153	100.0%	14,153	100.0%	2,863	20.2%	11,290	79.8%	2,863	20.2%

* This benefit is provided for all employees based in India while others are subject to labour laws within their country of operation.

* Limited assurance undertaken for the indicator.

b. Details of measures for the well-being of workers:

Category	% Of Workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Workers											
Male	Not Applicable										
Female											
Total											
Other than Permanent Workers											
Male	Not Applicable										
Female											
Total											

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format*:

	FY 2024-25	FY 2023-24
Cost incurred on well-being measures as a % of total revenue of the company	0.2%	0.2%

* Reasonable assurance undertaken for this indicator.

2. Details of retirement benefits, for FY 2024-25 and FY 2023-24^{#15}:

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF*	99.6%	Not Applicable	Y	99.9%	Not Applicable	Y
Gratuity**	81.2%		Y	77.5%		Y
ESI	NA		NA	0.0%		N
Other	0.3%		Y	NA		NA

* All employees in India receive the benefits. Employees based in Dubai receive benefits as per UAE labour laws and are not eligible for the above benefits.

**Employees under fixed-term contract are excluded from Gratuity, if their employment is for the fixed period below the gratuity eligibility limits. Employees based in Dubai receive benefits as per UAE labour laws.

[#]Limited assurance undertaken for the indicator.

3. Accessibility of workplaces:

Are the premises / offices of the entity accessible to differently abled employees any workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Twenty-two of our corporate offices with capacity to accommodate more than 17,000 employees have been equipped with disability friendly washrooms. More than 650 branches and more than 980 ATMs have differently abled friendly entrances making them accessible to both our employees and customers who are differently abled.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, we have an equal employment opportunity policy, which is in line with the Persons with Disability Act (PwD), 2016. Our commitment to Equal opportunity is also articulated in the Code of Conduct found here-

https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_conduct_employee-2972021.pdf

5. Return to work and Retention rates of permanent employees and workers that took parental leave^{#16}:

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100.0%	69.6%	Not Applicable	
Female	99.7%	63.7%		
Total	99.9%	68.6%		

[#]Limited assurance undertaken for the indicator.

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If yes, then give details of the mechanism in brief)
Permanent workers	Not Applicable
Other than permanent workers	
Permanent Employees	Yes. A internal digital platform, HR helpdesk mail box or through HR Relationship Manager on email. Our non-permanent employees can also reach us through the same modes described above.
Other than Permanent Employees	

7. Membership of employees and worker in association(s) or Unions recognized by the listed entity^{#17}:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	61,170	1,254	2.1%	60,438	1,385	2.3%
- Male	44,462	910	2.0%	44,401	1,012	2.3%
- Female	16,708	344	2.1%	16,037	373	2.3%
Total permanent workers						
- Male						
- Female						

[#]Limited assurance undertaken for the indicator.

8. Details of training given to employees and workers^{#18}:

Category	FY 2024-25*					FY 2023-24*				
	Total(A)	On Health Safety		On Skill Upgradation		Total (D)	On Health Safety		On Skill Upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	55,752	41,984	75.3%	52,632	94.4%	57,531	27,616	48.0%	53,831	93.6%
Female	19,571	15,874	81.1%	18,849	96.3%	20,392	9,828	48.2%	19,191	94.1%
Total	75,323	57,858	76.8%	71,481	94.9%	77,923	37,444	48.1%	73,022	93.7%
Workers										
Male										
Female	Not Applicable									
Total										

[#]In both the financial years, we have only considered training data for employees on roll as on 31st March of the reporting year.

[#]Limited assurance undertaken for the indicator.

9. Details of performance and career development reviews of employees and workers^{*#19}:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	%(D/C)
Employee						
Male	44,462	39,576	89.0%	44,401	37,152	83.7%
Female	16,708	14,625	87.5%	16,037	13,558	84.5%
Total	61,170	54,201	88.6%	60,438	50,710	83.9%
Workers (N/A)						
Male						
Female						
Total						

^{*}All employees who are eligible for performance appraisal underwent career development reviews. Temporary/contractual employees and employees on probation are not eligible for performance review.

^{**}Limited assurance undertaken for the indicator.

10. Health and safety management system^{#20}:

- a. **Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?**

Yes, we have ISO 45001:2018 Occupational Health and Safety Management System (OHSMS) implemented for eight of our key corporate offices.

- b. **What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?**

An OHSMS is in place, and its manual serves as a comprehensive guide that outlines the governance framework and an action plan for conducting audits by the oversight team. The manual also clearly defines the scope and responsibilities of the teams tasked with overseeing the OHSMS. A monitoring plan takes into account factors including parameters measured, locations, scope and the methods used. The senior management is responsible for overseeing the evaluation of OHS performance and determining its effectiveness. Hazard Identification and Risk Assessment (HIRA) exercise as per the requirements of ISO 45001:2018 standard is conducted, where all the work-related hazards are identified and risks on a routine and non-routine basis are assessed, and their mitigation/preventive measures tabulated. The non-routine jobs are maintenance activities and extension of the premises etc. HIRA is reviewed annually or in light of any incident and revised accordingly if required. The updated HIRA is then circulated to all the relevant premises to ensure that the knowledge gathered is circulated and used by all.

At the ISO 45001:2018 certified premises, we adopted a process that includes, but is not limited to, how the work is organised, social factors, leadership and organisational culture, activities and situations, past relevant incidents, potential emergency situations, actual and proposed changes irrespective of the level and nature and changes in knowledge of and information about hazards. The Occupational Health & Safety (OH&S) Management Representative (HMR) ensures that hazard identification is conducted by persons with competence in relevant hazard identification methodologies and techniques and appropriate knowledge of the work activity. All jobs performed at our premises are supervised by the HMR. They ensure proper work permits are requested and granted prior to the job being undertaken, and also note and report work related hazards, if any. 'Toolbox talks' for routine and non-routine jobs are delivered to vendors undertaking work at our premises, as required which cover safety instructions and detailed processes to be followed to protect themselves from injuries or ill health and an OHSMS Hazard Identification Checklist is maintained. The methodology and criteria for the assessment of Occupational Health & Safety (OH&S) risks are defined with respect to their scope, nature and timing to ensure they are proactive rather than reactive and are used in a systematic way. Employees are also encouraged to report any hazardous situations by either calling a designated helpline or writing to a location specific helpdesk to enable timely and appropriate action.

- c. **Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)**

Yes, we have processes in place for our employees to report on work-related hazards and enable them to remove themselves from such risks.

- d. **Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)**

Yes, we provide our employees with access to non-occupational medical and healthcare services. We promote well-being of our employees through facilitating pre-emptive medical check-ups, in-house doctors and on call consultations. We also offer health and wellness initiatives, including yoga, meditation, Zumba and quiz sessions, online and onsite. Our "Health to the Power Infinity" website provides doctor consultations, nutritionist services, an Emotional Assistance Programme and pharmacy discounts with professionals available both on call and in-house.

[#]Limited assurance undertaken for the indicator.

²⁰GRI 403-1, GRI 403-2, GRI 403-3

11. Details of safety related incidents, in the following format^{#21}:

Safety Incident/Number	Category*	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.02	0
	Workers	Not Applicable	Not Applicable
Total recordable work-related injuries	Employees	6	0
	Workers	Not Applicable	Not Applicable
No. of fatalities	Employees	0	0
	Workers	Not Applicable	Not Applicable
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	Not Applicable	Not Applicable

*Including in the contract workforce.

Reasonable assurance undertaken for the indicator.

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Safeguarding the health and well-being of our employees is of utmost importance to us. In FY 2024-25, we partnered with a service provider to offer the Annual Health Check across India. All eligible employees receive fully sponsored annual health check, while all other employees and their families can access these benefits at a discounted rate.

Additionally, we have introduced doctor and nutritionist consultations, emotional assistance programs, and pharmacy discounts at select premises. Employees can access these resources both on-call and through in-house facilities. Our Emotional Assistance Program (EAP) continues to support employees and their families. In FY 2024-25, employees accessed EAP services featuring sessions on depression, anxiety, stress, and conflict resolution. To support holistic well-being, we also offered online yoga, meditation, and Zumba sessions for employees and their families.

Beyond health initiatives, we prioritize employee safety through clear signage, regular training, toolbox talks, and safety features like handrails and anti-slip strips. A dedicated helpdesk addresses safety concerns, while fire drills and trained wardens ensure emergency preparedness. We also offer medical check-ups, in-house doctor consultations, ambulance access, ergonomic seating, and slip-proof flooring.²²

13. Number of Complaints on the following made by employees and workers*:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

Limited assurance undertaken for the indicator.

14. Assessments for the year*:

	% Of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	A third-party assessment (ISO 45001-2018) was conducted at eight of our corporate offices, housing 15,154 employees, which accounts for approximately 20% of the Bank's workforce.
Working Conditions	

Limited assurance undertaken for this indicator.

²¹GRI 403-9, GRI 403-10 | ²²GRI 403-6

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

There is an Occupational Health and Safety system implemented (ISO 45001:2018) that subjects us to continual improvement. In line with the requirement of the ISO 45001 standard, HIRA is catalogued and addressed by the relevant teams, which is updated on an annual basis or with the findings due to incidents, if any. Also, the external assessment reports are considered and observations from them are used to enhance the internal systems and processes.

LEADERSHIP INDICATORS

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N)?

Yes, we provide term life insurance, health insurance and group personal accident insurance to all our employees. Further details can be found on page 474 of BRSR.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

We communicate our expectations to business partners and vendors through service agreements that mandate compliance with all applicable regulations. Compliance is monitored monthly.

3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable Employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	0	0	0	0
Workers	Not Applicable			

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)^{#23}

Yes, we support employees nearing superannuation through transition assistance programs, including future skills training in digital and leadership areas. Additionally, our 'Refueling Hour' sessions help build industry-agnostic skills such as Excel, financial planning, stakeholder management, interpersonal communication, as well as promote personal wellness through themes like yogic living. These initiatives aim to enhance employability and ensure a smooth career transition. Additionally, employees can access the KotakMyLearn platform to upskill at their own pace, with a wide range of trainings spanning functional expertise, managerial capabilities and soft skills.

[#] Limited assurance undertaken for this indicator.

5. Details on assessment of value chain partners:

	% Of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	We expect all our value-chain partners to comply with our Code of Conduct, applicable human rights standards and maintain sound health and safety practices. As per the Bank's EMSP we undertake ESG evaluations of our customers as part of the credit procedures, for eligible transactions.
Working Conditions	

6. Provide details of any corrective actions taken or underway to address significant risks concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Not Applicable


PRINCIPLE 4: BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS
ESSENTIAL INDICATORS
1. Describe the processes for identifying key stakeholder groups of the entity.

Through our stakeholder engagement strategy, we had identified 7 key stakeholders based on their influence on our business strategy, vulnerability to business outcomes, and potential of the stakeholder to collaborate with us. These stakeholder groups that are perceived to be the most important for our business. An engagement strategy is tailored for each stakeholder group in accordance with their needs and expectations.

In FY 2023-24, we have conducted a comprehensive materiality assessment that assessed financial and impact materiality. During FY 2024-25, we reviewed the FY 2023-24 materiality assessment in consultation with key internal stakeholders to ensure alignment with emerging trends and sector dynamics. The review reaffirmed the continued relevance of our identified material topics, with no significant changes.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder	Whether identified as Vulnerable and Marginalized Group (Yes/ No)	Channels of communication (E-mails, SMS, Newspapers, Pamphlets, Advertisement, Community meetings, Notices Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others)- Please specify	Purpose and scope of engagement including key topics and concerns raised during such engagement ²⁴
Investors	NO	- E-mails - Earning calls - Meetings/ conferences - Investor Grievance Cell - Media Website	Annual and quarterly investor meets. Need-based	- Financial results - Key business developments - Shareholder returns and dividends. - Issues related to share issuances and transfer - Climate change - Diversity and Inclusion - Provision of information on financial and ESG performance - Timely resolution of queries - Provision of regular business updates - Incorporation of feedback on our strategy and performance

²⁴GRI 2-29

Stakeholder	Whether identified as Vulnerable and Marginalized Group (Yes/ No)	Channels of communication (E-mails, SMS, Newspapers, Pamphlets, Advertisement, Community meetings, Notices Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others)- Please specify	Purpose and scope of engagement including key topics and concerns raised during such engagement ²⁴
Customers	NO	- One-on-one interactions - Focus group discussions - Customer meets. - Customer satisfaction surveys - Customer helpline - Customer grievance cell - Social media Website	- Periodic structured feedback meetings - Ongoing - Need-based	- Needs of customers - Customer experience and service quality - Product features and benefits - Technology interface for banking experience - Cybersecurity and Fraud protection - ESG initiatives and disclosure - Product and process innovation - Digital solutions - Service quality and relationship management - Timely resolution of grievances
Government and Regulatory Bodies	NO	- Regulatory filings - Compliance statements - Meetings - e-mails - Industry associations	Need-based	- License request and renewal - Compliance with filings and other regulatory requirements - Participation in government financial sector plans and programmes - Consultations sought by regulatory bodies and industry associations - On-time submission of regulatory and statutory filings
Suppliers	NO	- Meetings - e-mails - Awareness programmes	- Ongoing - Need-based	- Product/Service/ Technology quality and support - Contract commercial and technical terms and conditions - Supplier and business associates' statutory compliances - ESG Code of Conduct for service providers - Supplier friendly terms - On-time vendor payments
Distributors*	NO	- Meetings - e-mails - Awareness programmes	- Ongoing - Need-based	- Product/Service/ Technology quality and support - Contract commercial and technical terms and conditions - Distributor and business associates' statutory compliances - ESG Code of Conduct for service providers - On-time payments

*The Bank does not make any sales to dealers/distributors

Stakeholder	Whether identified as Vulnerable and Marginalized Group (Yes/ No)	Channels of communication (E-mails, SMS, Newspapers, Pamphlets, Advertisement, Community meetings, Notices Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others)- Please specify	Purpose and scope of engagement including key topics and concerns raised during such engagement ²⁴
Employees	NO	• Induction programmes • Town halls • e-mails • Skip-level meetings • Leadership meetings • Employee engagement initiatives • Rewards and recognition programmes • Employee portal • HR helpdesk • Employee satisfaction surveys • Employee volunteering initiatives	• Ongoing • Need-based	• Policies and procedures • Diversity and Inclusion • Performance appraisal and rewards • Training and career development • Work environment • Health and wellness • Safety and security • Community development • Employee volunteering • Cybersecurity • Talent development programmes • Career succession planning • Flexible mode of working • Internal job postings • Employee benefits
Communities and NGOs	Yes	• Community development initiatives including need-based local interventions identified by Group's employees. • Proposals and requests for new initiatives • Impact assessment surveys	• Need-based	• Community development needs • Financial Inclusion • Financial infrastructure • Human and organizational support • Need-based community development programmes. • Skill upgradation for the supporting staff

**The Bank does not make any sales to dealers/distributors*

LEADERSHIP INDICATORS

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board²⁵.

There are identified teams who actively engage with designated stakeholder groups. The feedback received from each stakeholder group is relayed to the respective Board-level Committees. These Committees discuss the feedback received from the stakeholders and suitable actions are taken towards enhancing our practices.

²⁵GRI 2-12, GRI 2-13, GRI 2-16

CSR and ESG Committee - It oversees the development, implementation, and monitoring of the ESG framework, and provides feedback to the Board on the Bank's ESG performance, progress, and compliance with relevant regulations and standards, thereby facilitating consultation between the Board and stakeholders on economic, environmental, and social topics.

Stakeholders Relationship Committee (SRC) – SRC oversees matters related to resolution of security holders' grievances, adherence to service standards for investor servicing, effective exercise of voting rights by shareholders, measures taken for reducing unclaimed dividends and other security holder-related matters, as per the responsibilities delegated to it by the Board.

Customer Service Committee - CSC has been constituted to bring about ongoing improvements in the quality of customer service and improving the level of customer satisfaction for all categories of clientele, at all times. CSC oversees customer service-related matters, including grievance redressal, fair practices, customer satisfaction, and provides periodic reports and detailed memorandums to the Board on these topics.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, stakeholder consultation is used to support the identification and management of environmental and social topics. For instance, we engage with our investors and stakeholders on ESG topics they consider critical for us as a Bank and provide necessary public disclosures on our ESG performance. Our approach to materiality involves identifying and articulating relevant topics, recognizing associated risks, opportunities, and impacts, preparing surveys and conducting stakeholder consultations, analyzing the responses received, presenting the findings to the management and Board, and ultimately integrating the materiality outcomes into our strategy. The material topics identified through this approach informs our ESG policy framework found here –

<https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/ESG-framework-2022.pdf>

Our ESG policy framework outlines our commitment to each of the focus areas identified by us. We also encourage our employees and customers to follow environmental-friendly practices by leveraging technology. We have instituted diversity and inclusion, equal opportunities, and other employee-related policies and practices to promote a fair workplace. Our Code of Conduct for service providers conveys our expectations from our business associates and vendors to address ESG topics in their operations. In order to create awareness about ESG among communities, we implement various programs that not only focus on their upliftment, but also enhance their practices to be more environmentally conscious through some of our CSR interventions.

3. Provide details of instances of engagement with, and actions taken to address the concerns of vulnerable/ marginalized stakeholder groups.

We are committed to ensuring accessibility and inclusivity for all stakeholders, including vulnerable and marginalized groups. To address the concerns of people with disabilities, we have over 650 branches and 980 ATMs that facilitate barrier-free access to our banking services.

Financial literacy is a crucial aspect of empowering our customers and communities to effectively utilize our banking services. During the financial year, we organized over 4,100 financial literacy camps through our rural branches. Additionally, we regularly conduct various digital campaigns to educate our customers and the community on financial matters. For further details on our financial inclusion efforts, please refer to pages 84-85 of the 'Embracing Sustainability' section in this Report.

Furthermore, we undertake various need-based community programs aligned with our identified CSR focus areas, which include education and livelihood, healthcare, environment and sustainable development, and sports. These programs are designed to uplift and empower marginalized communities. For comprehensive details on our CSR initiatives, please refer to pages 112-121 of the 'Supporting Communities' section in this Report.

PRINCIPLE 5: BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS
ESSENTIAL INDICATORS
1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format^{#26}:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. employees workers covered (B)	% (B / A)	Total (C)	No. employees' workers covered (D)	% (D / C)
Employees						
Permanent	61,170	43,623	71.3%	60,438	25,494	42.2%
Other than permanent	14,153	5,924	41.9%	17,485	4,842	27.7%
Total Employees	75,323	49,547	65.8%	77,923	30,336	38.9%
Workers						
Permanent						
Other than permanent						
Total Workers						

*Our Code of Conduct consists of elements on human rights. Hence, Code of Conduct, PoSH, Diversity, Inclusion and Equity trainings coverage has been considered in the above table.

Limited assurance undertaken for the indicator.

2. Details of minimum wages paid to employees and workers, in the following format^{#27}:

Category	FY 2024-25					FY 2023-24				
	Total(A)	Equal to Minimum Wages		More than Minimum wages		Total (D)	Equal to Minimum Wages		More than Minimum wages	
		Number (B)	% (B / A)	Number (C)	% (C / A)		Number (E)	% (E / D)	Number (F)	% (F / D)
	Employees									
Permanent	61,170	12,916	21.1%	48,254	78.9%	60,438	5,393	8.9%	55,045	91.1%
Male	44,462	8,143	18.3%	36,319	81.7%	44,401	3,733	8.4%	40,668	91.6%
Female	16,708	4,773	28.6%	11,935	71.4%	16,037	1,660	10.4%	14,377	89.6%
Other than permanent	14,153	10,183	71.9%	3,970	28.1%	17,485	7,366	42.1%	10,119	57.9%
Male	11,290	7,855	69.6%	3,435	30.4%	13,130	5,501	41.9%	7,629	58.1%
Female	2,863	2,328	81.3%	535	18.7%	4,355	1,865	42.8%	2,490	57.2%
	Workers									
Permanent										
Male										
Female										
Other than permanent	Not Applicable									
Male										
Female										

Limited assurance undertaken for the indicator.

3. Details of remuneration/salary/wages, in the following format:**a. Median remuneration / wages[#]:**

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (₹)*	Number	Median remuneration/ salary/ wages of respective category (₹)*
Board of Directors (BoD)	8	0.74 Cr	3	0.71 Cr
Key Managerial Personnel (KMP)	3	3.60 Cr	2	2.87 Cr
Employees other than BOD and KMP	44,459	6.01 Lakh	16,706	4.78 Lakh
Workers	Not Applicable			

*The figures represent fixed component and does not include variable components of the compensation; Employee remuneration are for permanent employees only. The data is on 31st March, 2025.

Limited assurance undertaken for the indicator.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format[#]:

Safety Incident/Number	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages	20.8%	21.0%

Reasonable assurance undertaken for the indicator.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, our Human Resources function is responsible for the oversight of human rights issues as articulated in the Human Rights and Anti-discrimination Policy. Further details of the policy are found in 'List of Policies' in the Annexures.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

We have established a Whistleblower mechanism accessible to internal stakeholders, allowing them to escalate any violations which includes those relating to human rights issues. This internal digital platform ensures the confidentiality of the whistleblower's identity. The grievance mechanism also includes a robust Whistleblower Policy to address employee grievances related to work environment and company policies, as outlined in the "Raising Concerns" section of the Code of Conduct. Additionally, we are committed to implementing adequate remediation measures to address identified risks and/or human rights violations. Further details can be found in our "Description of Policies" on Pages 503-506.

6. Number of Complaints on the following made by employees and workers^{#28}:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	43	14	13 of the pending cases were resolved in Q1 of FY 2025-26.	45	17	All the pending cases were resolved in Q1 of FY 2024-25.
Discrimination at workplace	0	-	-	0	0	-
Eligible Child Labour	0	-	-	0	0	-
Forced Labour/ Involuntary Labour	0	-	-	0	0	-
Wages	0	-	-	0	0	-
Other human rights related issues	0	-	-	0	0	-

Limited assurance undertaken for the indicator.

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:#

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	43	45
Complaints on POSH as a % of female employees / workers	0.2%	0.2%
Complaint on POSH upheld*	19	16

* The data is as of 31st March of the financial year, and out of the cases pending resolution at the end of FY 2023-24, 13 cases were upheld.

Reasonable assurance undertaken for the indicator.

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

We have a robust Code of Conduct for our employees that includes clauses on anonymity and confidentiality to ensure employees can freely raise their concerns without hesitation. We also make provisions to enable employees to raise anonymous complaints and have zero tolerance for workplace retaliation:

- **Anonymity and Confidentiality:** We maintain strict confidentiality regarding all complaints and related investigations, treating them with utmost sensitivity in compliance with applicable laws and regulations. Employees are provided with the option to raise anonymous complaints, which are accessible only to authorized personnel, such as the Business Head, Human Resources team, and other control functions, as permitted by law. The final action taken is documented and maintained for future reference.
- **Workplace Retaliation:** Our organization has a zero-tolerance policy towards any form of retaliation against individuals who, in good faith, report suspected unethical or illegal conduct. This includes, but is not limited to, fraud, securities law or regulatory violations, potential breaches of company policies such as the Code of Conduct, or other inappropriate workplace behavior. Should an employee experience retaliation, they are encouraged to report the incident to the Human Resources team or through our designated Employee Portal (Kotak Worklife), where their concerns will be addressed promptly and appropriately.

9. Do human rights requirements form part of your business agreements and contracts?

Yes, service agreements with service providers include a Code of Conduct for service providers that covers human rights.

10. Assessments for the year:

	% Of your plants and offices that were assessed (By entity or statutory authorities or third parties)
Child labour	Nil
Forced/involuntary labour	
Sexual harassment	
Discrimination at workplace	
Wages	
Others – please specify	

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question above.

Not Applicable

LEADERSHIP INDICATORS

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

We respect human rights of all our stakeholders and ensure adherence with laws safeguarding these universal rights. We have instituted a Human Rights and Anti-Discrimination policy that supports the United Nations Universal Declaration of Human Rights and the International Labor Organizations' (ILO) fundamental conventions, which are adopted by India in our applicable laws and regulations.

2. Details of the scope and coverage of any Human rights due diligence conducted.

We respect human rights of all our stakeholders and ensure adherence with laws safeguarding these universal rights. We have instituted a Human Rights and Anti-Discrimination policy that supports the United Nations Universal Declaration of Human Rights and the International Labor Organizations' (ILO) fundamental conventions, which are adopted by India in our applicable laws and regulations.

We undertake proactive measures to safeguard human rights. We include in our annual survey some questions to understand how human rights are implemented in the organization. These questions covered topics such as workplace discrimination based on gender, caste, religion and physical disability, workplace challenges related to health and safety, growth opportunities and amenities, and learning and development such as skill development, mentorship programs and career sponsorship. The objective of the survey was to assess organizational effectiveness on parameters such as respect, camaraderie, pride, fairness and credibility.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, twenty-two of our corporate offices with capacity to accommodate more than 17,000 employees have been equipped with disability friendly washrooms. More than 650 branches and more than 980 ATMs have disability friendly entrances making them accessible to both our employees and customers who are Persons with Disabilities (PwD).

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	
Discrimination at workplace	We expect all our value-chain partners to comply with our Code of Conduct, applicable human rights standards and maintain sound health and safety practices. As per the Bank's EMSP
Child Labour	we undertake ESG evaluations of our customers as part of the credit procedures, for eligible
Forced Labour/Involuntary Labour	transactions.
Wages	
Others – please specify	

5. Provide details of any corrective actions taken or underway to address significant risks /concerns arising from the assessments at Question 4 above.

Not Applicable

**PRINCIPLE 6: BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT**

ESSENTIAL INDICATORS

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format²⁹:

Parameter (in GJ)	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	25,109*	33,271
Total fuel consumption (B)	0	0
Energy consumption through other sources (C)	0	0
Total energy consumed from renewable sources (A+B+C)	25,109*	33,271

²⁹GRI 302-1, GRI 302-3

Parameter (in GJ)	FY 2024-25	FY 2023-24
From non-renewable sources		
Total electricity consumption (D)**	4,32,149	4,31,341
Total fuel consumption (E)**	18,314	16,464
Energy consumption through other sources (F)	NA	NA
Total energy consumed from non-renewable sources (D+E+F)	4,50,463	4,47,804
Total energy consumed (A+B+C+D+E+F)	4,75,571	4,81,075
Energy intensity per rupee of turnover		
(Total energy consumed / Revenue from operations) (GJ/ Total Revenue from Operations)	7.01	8.58
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP) (GJ/ revenue from operations adjusted for PPP in crore USD)	144.74	173.49
Energy intensity in terms of physical output	NA	NA
Energy intensity (optional) – the relevant metric may be selected by the entity (GJ/FTE)	6.31	6.17

Notes:

- Coverage of reporting has been enhanced, it includes 13 new corporate offices, 203 additional bank branches including two international bank branches (reported first time), and 654 subsidiary premises from FY 2023-24 and hence the data is not comparable to FY 2024-25.
- Wherever actual units consumed were not available we had estimated energy charges as percentage of overall electricity bill through random sampling of electricity bills sourced from various premises across regions. In FY 2023-24 and FY 2024-25, the state-wise average grid tariff was used for estimating the units consumed. In FY 2024-25, we have used state-wise tariff rates provided by SEBI's latest circular on Sustainable Reporting (BRSR) Core. These tariffs are higher than the rates used by us in FY 2023-24. As a result, the consumption units for FY 2024-25 would be lower even if the amounts spent were the same as FY 2023-24
- For the Bank branches, offsite ATMs and subsidiary premises, where neither billing amount nor consumption data was available, we have estimated consumption based on average calculated from recorded data shared
- In FY 2024-25, we also included units consumed from DG set owned by lessors for corporate offices wherever the data was available (First year of reporting on DG set units). Since, batteries get charged by grid electricity, the power supplied by the batteries is already covered in the grid electricity units.
- In FY 2022-23 and FY 2023-24, we had not included electricity consumption for premises, which were operational for less than six months. In FY 2024-25 we, we included the electricity consumption from such premises as well
- Number of offsite ATMs has reduced (closed offsite ATMs account for 2/3rd of the reduction in electricity consumption vs. FY 2023-24). Balance reduction is from tariff change & energy saving initiatives.
- FTE refers to full time employees of the Bank at the end of the financial year
- *Renewable energy is primarily sourced from open access and also obtained from the rooftop solar installations at select premises
- ** This data also includes energy consumed at the Bank premises shared with a few subsidiaries
- Intensity ratios have been computed based on Total Revenue which includes Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) earned under Schedule 14 of the Audited Standalone Financial Statements of the Bank. For the purpose of calculation of revenue adjusted Purchasing Power Parity (PPP), conversion factor @20.66 ₹/USD as per International Monetary Fund (IMF) website has been considered which is in line with the SEBI guidance
- For more details, refer page 88 in the Embracing Sustainability section

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

This is not applicable to us, as we do not have any sites or facilities identified as designated consumers (DCs)

3. Provide details of the following disclosures related to water, in the following format³⁰:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	0	0
(iii) Third party water	2,63,789.9	0
(iv) Seawater / desalinated water	0	0
(v) Others	0	8,52,455.6
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	2,63,789.9	8,52,455.6
Total volume of water consumption (in kilolitres)	1,20,536.4	1,70,491.1
Water intensity per rupee of turnover (Total water consumption / Revenue from operations) (kilolitres / Revenue from operations in ₹crore)	1.78	3.04
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP) (kilo litre/revenue from operations adjusted for PPP in crore USD)	36.69	61.48
Water intensity in terms of physical output		
Water intensity (optional) – the relevant metric may be selected by the Entity (KL/FTE)	1.60	2.19

Notes:

- Refer pages 92-93 in 'Embracing Sustainability' section, which describes the change in methodology, assumptions and boundary considered by the Bank in measuring and estimating the aforesaid disclosures for the financial year ended March 31, 2025. Due to the change in methodology the data for FY 2024-25, it is not comparable with the data for FY 2023-24. The boundary of water withdrawal and water consumed for FY 2024-25 is key corporate offices only.
- FTE refers to full time employees of the Bank at the end of the financial year
- Using the same methodology and boundary as FY 2023-24 total amount of water withdrawal would be 7,42,298.31 KL & consumption would be 1,48,459.66 KL
- Intensity ratios have been computed based on Total Revenue which includes Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) earned under Schedule 14 of the Audited Standalone Financial Statements of the Bank. For the purpose of calculation of revenue adjusted Purchasing Power Parity (PPP), conversion factor @20.66 ₹/USD as per International Monetary Fund (IMF) website has been considered which is in line with the SEBI guidance

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

4. Provide the following details related to water discharged³¹:

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-

³⁰GRI 303-3, GRI 303-5 | ³¹GRI 303-4

Parameter	FY 2024-25	FY 2023-24
(ii) To Groundwater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties	-	-
- No treatment	1,43,253.5	6,81,964.5
- With treatment – please specify level of treatment	-	-
(v) Others	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	1,43,253.5	6,81,964.5

Notes:

- Refer pages 92-93 in 'Embracing Sustainability' section, which describes the change in methodology, assumptions and boundary considered by the Bank in measuring and estimating the aforesaid disclosures for the financial year ended March 31, 2025. Due to the change in methodology the data for FY 2024-25, it is not comparable with the data for FY 2023-24. The boundary of water discharged for FY 2024-25 is key corporate offices only.
- FTE refers to full time employees of the Bank at the end of the financial year
- Using the same methodology and boundary as FY 2023-24 the amount of water discharged would be 5,93,838.65 KL.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, three of our key corporate offices are Zero Liquid Discharge (ZLD) premises, having sewage treatment plants (STPs) which enables treatment and reuse of wastewater, thereby eliminating any discharge into the environment. These three premises utilize recycled water for non-potable purposes such as flushing in washrooms and horticulture activities. These premises house around 6,000 employees and reused 53,477 KL of water in FY 2024-25. Along with the ZLDs, we have five premises equipped with rainwater-harvesting facilities, which help recharging groundwater aquifers while also supporting irrigation activities. We have also installed low-flow plumbing fixtures and we promote a culture of water conservation among employees by encouraging responsible habits.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:³²

Parameter	Please specify unit	FY 2024-25	FY 2023-24
NOx			
SOx			
Particulate matter (PM)			
Persistent organic pollutants (POP)			
Volatile organic compounds (VOC)			
Hazardous air pollutants (HAP)			
Others – please specify			

³²GRI 305-7

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format³³:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	14,701.1	8,403.9
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	87,287.2	85,788.9
Total Scope 1 and Scope 2 emission intensity³⁴ per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Metric tonnes of CO ₂ equivalent/Revenue from operations in ₹crore	1.50	1.68
Total Scope 1 and Scope 2 emission intensity³⁴ per rupee of turnover adjusted for Purchasing Power Parity (PPP) (tCO ₂ e/ revenue from operations adjusted for PPP in crore USD)	Metric tonnes of CO ₂ equivalent/Revenue from operations adjusted for PPP in crore USD	31.04	34.00
Total Scope 1 and Scope 2 emission intensity³⁴ in terms of physical output		NA	NA
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity	Metric tonnes of CO ₂ Equivalent/ FTE	1.35	1.21

Notes:

- Coverage of reporting has been enhanced, it includes 13 new corporate offices, 203 additional bank branches including two international bank branches (reported first time) and 654 subsidiary premises from FY 2023-24, and hence the data is not comparable to FY 2023-24.
- Scope 1 coverage includes emissions from firefighting equipment, diesel consumed in DG sets and refrigerant refilling in the air conditioning devices from the Bank managed premises.
- Scope 1 data for the bank is inclusive of the offsite ATM data as well, as the data is negligible it has not been put out separately
- Scope 1 emissions from two international sites and for leased offices were not accounted for, as we do not have direct operational control over these facilities. As reporting for scope 1 is not 100% for all locations on all parameters, below mentioned are the limitations:
 - Diesel reporting is limited to locations where DG sets are available and managed by Kotak
 - Refrigerant and Fire extinguisher emissions are based on actuals for all offices and branches of the Bank. Scope 1 data for the Bank is inclusive of the offsite ATM data as well, as the data is negligible it has not been put out separately.
- Scope 1 calculations done for FY 2024-25 are based on the emission factors taken from IPCC, AR6 – updated in August 2024 (this includes all the GWP values used for the refrigerant gases and fire extinguishers and the emission factors used to calculate emissions generated from diesel consumption), had we used the same emissions/conversion factors as used in FY 2023-24
 - Emissions from diesel would have been 0.3% more for the Bank
 - Emissions from refrigerant refilling would have been 13.7% lesser for the Bank
 - Emissions from fire extinguisher refilling would have been 4% lesser for the Bank
- In FY 2024-25, we also included the emissions from DG sets owned by lessors of leased premises that power Bank premises for key corporate offices under Scope 2
- In FY 2024-25, we also included Scope 2 emissions from premises which were operational for less than 6 months, this was not accounted previously
- Renewable energy procured for three of our key corporate offices through open access was 5.28% of the total energy procured (5.5% of the total electricity procured for the Bank) for FY 2024-25. This was removed from the Scope 2 emission calculations as it was confirmed by the vendor to be green energy and was not registered under any RECs. This has resulted in a reduction³⁵ of 5,053 tCO₂e in Scope 2 emissions

³³GRI 305-1, GRI 305-2 | ³⁴GRI 305-4 | ³⁵GRI 305-5

- Scope 2 GHG emissions are calculated based on emission factors in Central Electricity Authority, Govt. of India (CEA Version_20.0): Grid Emission Factors - Weighted Average Emission Rate (Incl RES), including cross-border electricity transfers which is 0.727 kgCO₂ per kWh for FY 2024-25 and was 0.716 for FY 2023-24.
- Intensity ratios have been computed based on Total Revenue which includes Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) earned under Schedule 14 of the Audited Standalone Financial Statements of the Bank. For the purpose of calculation of revenue adjusted Purchasing Power Parity (PPP), conversion factor @20.66 ₹/USD as per International Monetary Fund (IMF) website has been considered which is in line with the SEBI guidance

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.³⁶

Yes, we undertake initiatives to reduce our GHG emissions. We have sixteen LEED/IGBC certified premises across nine cities and seven additional premises are currently undergoing the certification process, targeted for completion by FY 2025-26. Each of the certified premise meets the requirements of the green building rating system certification established by the U.S. Green Building Council and India Green Building Council (IGBC) as per their certifications, while having best-in-class resource efficient installations. These installations help monitor and control energy consumption. There are other initiatives as well which help us reduce GHG emissions, such as:

- **Smart lighting solutions:** Sensor-based lighting systems and timer-controlled lights were utilised across our premises to optimise energy usage during non-occupancy hours.
- **Sustainable lighting:** Replacement of around 675 traditional light sources with LED lights for signboards and occupancy and daylight sensors installation in non-emergency light fixtures resulted in reduced energy consumption.
- **Efficient glow signage management:** Timer controls were installed at over 1,900 premises to regulate operating hours of glow signage boards and minimise unnecessary energy usage.
- **Energy-efficient parking area lighting:** Transition from normal lighting to dimmable lights at our parking areas was done to reduce electricity consumption during non-occupancy periods.
- **Temperature management:** Consistent temperature of 24°C for air conditioning was maintained to minimise energy consumption and improve comfort levels.
- **AI-powered energy monitoring:** AI-driven module to monitor energy consumption of air conditioners, enabling data-driven decision-making.
- **Virtual server adoption:** Transition from physical servers has become 85% in FY 2024-25 from 75% in FY 2023-24, reducing both energy consumption and resource utilisation.
- **Energy-efficient equipment procurement:** Procurement of 3-star rated or higher energy-efficient electronic equipment, such as LED lights, air conditioning units, microwave ovens, and refrigerators was ensured to promote better energy efficiency, longer lifespan, lower electricity consumption, and reduced maintenance costs.
- **Variable Air Volume (VAV) systems:** The implementation of pressure-independent VAV systems optimised air distribution, enabling temperature control according to user requirements and reducing energy consumption during non-occupancy periods.

For further details on initiatives, please refer to 'Embracing Sustainability' of this Report.

³⁶GRI 305-5

9. Provide details related to waste management by the entity, in the following format³⁷:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	12.6	5.5
E-waste (B)	39.9	9.0
Bio-medical waste (C)	0*	0 ⁵
Construction and demolition waste (D)	101.7	92.0
Battery waste (E)	30.8	7.2
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	2.1	3.3
Other Non-hazardous waste generated (H). Please specify, if any (Break-up by composition i.e., by materials relevant to the sector)	1,349.6	1,076.6
Total (A+B + C + D + E + F + G + H)	1,536.8	1,193.7
Waste intensity per rupee of turnover (Total waste generated/ Revenue from operations) (metric tonnes / Revenue from operations in ₹crore)	0.02	0.02
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP) (metric tonnes/revenue from operations adjusted for PPP in crore USD)	0.47	0.43
Waste intensity in terms of physical output	NA	NA
Waste intensity (optional) – the relevant metric may be selected by the entity (MT/FTE)	0.02	0.02
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	735.0	177.3
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	735.0	177.3
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of disposal Method		
(i) Incineration	4.8*	0
(ii) Landfilling	797.0**	1,016.3
(iii) Other disposal operations	0	0
Total	801.8	1,016.3

Note:

- Refer pages 93-95 in 'Embracing Sustainability' section, which describes the change in methodology and assumptions considered by the Bank in measuring and estimating the aforesaid disclosures for the financial year ended 31st March, 2025. Due to the change in methodology the data for FY 2024-25 is not comparable with FY 2023-24. The boundary of waste for FY 2024-25 is key corporate offices only, though E-waste and Construction & Demolition waste has been reported for all Bank premises, while Sanitary waste was reported from all key corporate offices and select branches where segregation of sanitary waste was run as a pilot.
- FTE refers to full time employees of the Bank at the end of the financial year.
- * Biomedical waste generated is 0.002 metric tonnes, as we have rounded the number to 1 decimal point it appears as 0 in the table above. The biomedical waste generated 0.002 metric tonnes was incinerated
- ** All paper purchased is considered as paper waste, paper which is sent out through authorized vendors is considered to be recycled and the remaining we consider to be landfill which may or may not be the case (due to lack of information on disposal method of third party vendors it is considered as a landfill)
- ⁵ Out of the 0.0036 metric tonnes of biomedical waste generated 0.0031 metric tonnes was incinerated and 0.0005 metric tonnes was sent to landfill in FY 2023-24.
- Intensity ratios have been computed based on Total Revenue which includes Interest Earned under Schedule 13 and Other Income, excluding profit/(loss) on sale of buildings & other assets (net) earned under Schedule 14 of the Audited Standalone Financial Statements of the Bank. For the purpose of calculation of revenue adjusted Purchasing Power Parity (PPP), conversion factor @20.66 ₹/USD as per International Monetary Fund (IMF) website has been considered which is in line with the SEBI guidance

³⁷ GRI 306-3, GRI 306-4, GRI 306-5

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

An internal process guides waste management at Kotak. While operating in the service industry, our waste encompasses paper, stationery, e-waste and organic waste (generated through our canteen). Other categories of waste monitored include construction waste, plastic as well as scrap metal, sanitary and sludge waste. Hazardous waste generated from our operations is negligible and includes used oil from fuel-based generators. We have proper process for disposing the generated waste in accordance with the regulations. We collect and safely dispose all the hazardous waste including bio-medical waste through authorised waste management agencies, have buy-back policy for batteries and we attempt to reuse and recycle most of the waste generated. We also undertake various initiatives during the year to reduce our waste such as:

- **Limitation of Single-Use Plastic usage:** Adoption of no single use plastic policy at select corporate offices, discouraging the use of single-use plastic bottles and promoting the adoption of reusable alternatives.
- **Food waste reduction and minimisation:** Implementation of strategies to minimise food wastage by adopting efficient inventory management practices and encouraging employees to plan meals and reduce consumption of perishable items.
- **Organic waste recycling** Organic Waste Converters (OWC) to convert food waste into manure, reducing environmental impact of our operations.
- **Reduction of paper waste through digitalisation:** Leveraging technology to minimise paper waste by adopting digital invoicing practices, streamlining our processes and reducing the need for physical documents.
- **Responsible e-waste disposal and hazardous waste management:** Responsible disposal of e-waste and hazardous waste through authorised channels, ensuring that all electronic devices and hazardous materials were handled and disposed of in an environmentally friendly manner.

For further details on initiatives, please refer to 'Embracing Sustainability' of this Report.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N)
We do not have any operations or offices in ecologically sensitive areas			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain(Yes / No)	Relevant Web link
We did not undertake any projects that required an EIA.					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances.

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
We are in compliance with all applicable environmental law/ regulations/ guidelines in India.				

LEADERSHIP INDICATORS

1. Water withdrawal, consumption, and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area
- Nature of operations,
- Water withdrawal, consumption and discharge in the following format:

As we are a financial services company, this is not applicable to our activities

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

Not Applicable

2. Please provide details of total Scope 3 emissions & its intensity, in the following format³⁸:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	42,397.1	47,005.3
Total Scope 3 emissions per rupee of turnover	Metric tonnes of CO ₂ equivalent/₹Cr.	0.62	0.84
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	Metric tonnes of CO ₂ Equivalent/FTE	0.56	0.60

Notes:

- Refer pages 91-92 in 'Embracing Sustainability' section, which describes the change in methodology and assumptions considered by the Bank in measuring and estimating the aforesaid disclosures for the financial year ended March 31, 2025. Due to the change in methodology the data for FY 2024-25 is not comparable with FY 2023-24
- FTE refers to full time employees of the Bank at the end of the financial year

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, limited assurance undertaken for this indicator. For FY 2024-25, assurance is provided by DNV Business Assurance India Pvt. Ltd.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Energy saving device installation	We had installed energy saving devices at 100 offsite ATMs in FY 2023-24	12% energy savings
2.	Energy saving device installation	Installation of energy saving devices at 100 more offsite ATMs is on-going (44% installation completed)	Energy savings
3	Solar Installation - Pilot	Rooftop solar commissioned at three premises in FY 2023-24 - 62 KVA	Generation of 23.46 MWh of clean energy in FY 2024-25

³⁸GRI 305-3

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
4.	Solar Installation - Pilot	Rooftop solar commissioned at two more premises in FY 2024-25 - 40 KVA	Expected to help reduce 48 tCO2e annually
5.	Efficient glow signage management	Timer controls have been installed at over 1,900 premises to regulate operating hours of glow signage boards	Energy savings
6.	Sustainable signboard lighting	Replacement of approximately 675 traditional light sources with LED lights has been achieved	Energy savings
7.	Transition to recycled paper	recycled paper use has been implemented at select corporate offices - 7.6 tonnes of virgin paper was avoided	10.2 tCO2e emissions saved

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

We have a Business Continuity Management (BCM) Policy that provides guidance for proactively identifying and mitigating risks that may cause disruption to business, to minimize the impact of disruption, and to ensure continuity of key products and services at acceptable levels. It is reviewed annually for its continual improvement. Critical Units in the Bank have a Business Continuity Plan (BCP), which prescribes tested half yearly, the results are communicated periodically and are reviewed to ensure their effectiveness. These results are also submitted to the regulator.

We also maintain a comprehensive IT Disaster Recovery (DR) Plan, which outlines our disaster recovery objectives, disaster determination and recovery procedures, replication methodologies, drill protocols and frequency, ongoing DR maintenance, and defined Recovery Time Objectives (RTO) and Recovery Point Objectives (RPO). Kotak has established a robust infrastructure comprising a Primary Data Center (DC), a Near-Disaster Recovery (NDR) site, and a Far Disaster Recovery (DR) site for identified set of applications. The Bank prepares and executes DR drills for these applications in accordance with a predefined calendar and in alignment with regulatory expectations.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

There is an Environmental Management Systems Plan (EMSP) in place, which lays out the criteria to conduct due diligence and evaluation of select borrowers using an ESG lens. The borrowers are categorized in the EMSP, based on the potential of the sector to which a company belongs along with its associated social and environmental impact. The Plan indicates specific checklists for assessment, which depends on the nature of business and size of the transaction. Additionally, the EMSP outlines an exclusionary list, implementation of which is subject to periodic supervision and monitoring. In FY 2024-25, we have revamped the EMSP questionnaire by updating it in the context of current ESG standards and incorporating practical insights through implementation.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Currently, we do not assess environmental impacts for our value-chain partners. We have implemented a code of conduct for all our outsourced vendors, which is incorporated as part of the standard service contract with the objective of creating awareness on ESG and articulating our expectations from our vendors on ESG. We also encourage our value-chain partners to proactively align their business operations to environmental best-practices.

**PRINCIPLE 7:**

BUSINESSES, WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT

ESSENTIAL INDICATORS**1. Public Policy Advocacy**

- a. Number of affiliations with trade and industry chambers/ associations – 18
- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to³⁹.

Sr. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1.	Federation of Indian Chambers of Commerce and Industry (FICCI)	National
2.	Bombay Chamber of Commerce & Industry (BCCI)	National
3.	Secondary Loan Market Association (SLMA)	National
4.	Confederation of Indian Industry (CII)	National
5.	Fixed Income Money Market and Derivatives Association of India (FIMMDA)	National
6.	Indian Banks' Association (IBA)	National
7.	The Institute of Internal Auditors (IIA)	National
8.	Export Promotion Council for EOUs and SEZs	National
9.	Indo Spanish and Indo Italian Chamber of Commerce	National
10.	The Indian Society of Advertisers (ISA)	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
During the FY 2024-25, no instances of anti-competitive conduct were found, rendering corrective actions unnecessary ⁴⁰		

LEADERSHIP INDICATORS**1. Details of public policy positions advocated by the entity:**

Sr. No.	Public policy advocated	Method resorted for such advocacy	Whether Information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/Quarterly/ Others– please specify)	Web Link, if available
None					

³⁹GRI 2-28 | ⁴⁰GRI 206-1


PRINCIPLE 8: BUSINESSES SHOULD PROMOTE INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT
ESSENTIAL INDICATORS

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year⁴¹**

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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Kotak Mahindra Bank did not undertake any projects that require Social Impact Assessments.

2. **Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format⁴¹**

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
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Kotak Mahindra Bank did not undertake any projects that require Rehabilitation and Resettlement.

3. **Describe the mechanisms to receive and redress grievances of the community.⁴¹**

As a financial services company, our operations typically do not lead to grievances from the community at large. However, our CSR activities involve communities and our NGO partners are responsible for addressing the queries/grievances/complaints raised, which they may route to us on a case-to-case basis. We have also established a grievance redressal mechanism specific to CSR projects, which is available on our website: <https://www.kotak.com/en/about-us/corporate-responsibility/feedback-form.html>

Also, the MoUs signed with NGO partners have mention of the channel (email) on which the grievance can be reported.

Note: The meaning of Community here is understood as project affected area and not the CSR project community

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers[#]:**

Parameter	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	20%	23%
Directly from within India ⁴²	99%	99%

[#] Reasonable assurance undertaken for this indicator.

5. **Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost[#]**

Location	FY 2024-25	FY 2023-24*
Rural	2.1%	2.0%
Semi-urban	3.6%	3.8%
Urban	14.6%	13.8%
Metropolitan	79.7%	80.4%

^{*} FY 2023-24 data is aligned as per the classification considered for FY 2024-25.

[#] Reasonable assurance undertaken for this indicator for FY 2024-25.

⁴¹GRI 413-1 | ⁴²GRI 204-1

LEADERSHIP INDICATORS

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments

Details of negative social impact identified	Corrective action taken
Not applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:⁴³

State	Aspirational District	Amount spent (In ₹Lakh)
Rajasthan	Sirohi	104.6
Madhya Pradesh	Chattarpur	150.0
Bihar	Muzaffarpur	155.5
Jharkhand	Hazaribagh	175.3
Maharashtra	Gadchiroli	7.4
Jharkhand	Pakur	23.3
Rajasthan	Karauli	28.8
Orissa	Kandhamal	24.7

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

No. As a financial services organisation, we do not require substantial input materials for our business.

(b) From which marginalized /vulnerable groups do you procure?

Not Applicable

(c) What percentage of total procurement (by value) does it constitute?

Not Applicable

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not Applicable				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved

Name of authority	Brief of the Case	Corrective action taken
Not Applicable		

⁴³GRI 413-1

6. Details of beneficiaries of CSR Projects*:

Sr. No.	CSR Projects	No. of persons benefitted from CSR Projects*	% of beneficiaries from vulnerable and marginalized groups
1	Education	~3,70,000	While many of our projects work with economically weaker segment, tribal communities, we do not track percentage of beneficiaries from vulnerable/marginalised segment for same
2	Healthcare	~1,26,000	
3	Livelihood	~11,800	
4	Sports	~158	
5	Environment (including sustainable agriculture)	~19,600	
6	Relief and Rehabilitation	~50,000	

* We estimate CSR beneficiaries based on data provided by the implementing agencies. The numbers may not be unique beneficiary.



PRINCIPLE 9:

BUSINESSES SHOULD ENGAGE WITH AND PROVIDE VALUE TO THEIR CUSTOMERS AND CONSUMERS IN A RESPONSIBLE MANNER

ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Bank has implemented a robust mechanism to receive and address consumer complaints and feedback effectively. As a service sector organization, customer centricity is our prime focus. We recognize the importance of prompt and efficient service delivery in ensuring customer satisfaction.

We adopt a holistic approach to establish service standards and continuously enhance the customer experience based on feedback received through multiple channels. Customers can conveniently provide feedback or lodge grievances through multiple modes. The Bank aims to ensure quick and effective handling of customer grievance, as well as prompt corrective & preventive action (including correction of the process, wherever required) in order to avoid recurrence of grievances.

We ensure a streamlined process for grievance redressal, encompassing three escalation levels:

Level 1: Customer Experience Centre, Net Banking / Web form, Branch, PO Box

Level 2: Dedicated Nodal Officer

Level 3: Principal Nodal Officer

Further, in line with the RBI recommendation, the Bank has incorporated the role of an Internal Ombudsman, who is an independent authority to review the Grievances raised by customers. Every complaint which is either partially or fully rejected, is shared with the Internal Ombudsman for review and consent. Only once the Internal Ombudsman consents, can the complaint be rejected. The decision taken by the Internal Ombudsman is binding on the Bank. If the customer is not satisfied with the response or has not received a response from the Bank within a month, then he/she can file a complaint with Banking Ombudsman. The details of the same is updated on the Bank's website.

Every complaint has a specified turnaround time which the customer would be informed of at the time of lodging a complaint. Customer at the time of login of complaint, would ordinarily be informed of the same. The Bank has dedicated teams to handle complaints at Level 1, Level 2 and Level 3. Additionally, there are teams specifically working on the complaints escalated to the Chairman / Managing Director's desk or the RBI banking Ombudsman under the Grievance Redressal desk.

In FY 2024-25, we have reinforced our grievance redressal framework by fortifying our Internal Ombudsman Support Desk with 11 members working closely with the 3 Internal Ombudsmen to address escalated issues effectively.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental product and social parameters relevant to the Product	
Safe and responsible usage	NA
Recycling and/or safe disposal	

3. Number of consumer complaints⁴⁴ in respect of the following:

	FY 2024-25		Remarks	FY 2023-24		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	-	--		-	-	
Advertising	-	-		-	-	
Cybersecurity	-	-		-	-	
Delivery of essential services [*]	2,06,761	5,244	The number of complaints reported excludes complaints redressed within 0 and 1 working days	2,86,154	16,189	The number of complaints reported excludes complaints redressed within 0 and 1 working days
Restrictive Trade Practices	-	-		-	-	
Unfair Trade Practices ^{***}	2,400	81	The number of complaints reported excludes complaints redressed within 0 and 1 working days	5,931	229	The number of complaints reported excludes complaints redressed within 0 and 1 working days
Other				-	-	

* Delivery of Essential Services exclude from total complaints those that pertain to mis-selling/false commitment;

** Unfair Trade practices Complaints - Complaints pertaining to Mis-selling/False commitment

^{*} Limited assurance undertaken for indicator for FY 2024-25 and for FY 2023-24.

^{**} Limited assurance undertaken for this indicator for FY 2024-25.

4. Details of instances of product recalls on account of safety issues:

	Number	Reason for Recall
Voluntary Recall		
Forced Recall		Not Applicable

5. Does the entity have a framework/ policy on cybersecurity and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, we have a policy on cybersecurity. The details of the cybersecurity policy can be found in the annexures on page 505. In addition, the Privacy Policy of Kotak can be found here: <https://www.kotak.com/en/privacy-policy.html>

For further details, please refer to pages 65-67 of the 'Delivering Excellence in Governance' section.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cybersecurity and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

The Bank has Information Security and Cybersecurity Policy (which is approved by the Board and updated on periodic basis to comply with regulatory guidelines and best practices) through which the Bank proactively monitors internal and external infrastructure/applications to detect and respond to any alerts/vulnerabilities in a time sensitive basis. Periodic Vendor security assessments are carried out to protect Bank's data.

7. Provide the following information relating to data breaches^{**45}:

- a) Number of instances of data breaches – 1
- b) Percentage of data breaches involving personally identifiable information of customers- 0%
- c) Impact, if any, of the data breaches - Nil**

** The above information in respect to data breaches has been disclosed based on the Bank's internally defined criteria for such incidents.*

**Reasonable assurance undertaken for the indicator.*

*** The breach was not due to compromise of the bank's systems.*

LEADERSHIP INDICATORS

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information about Kotak Mahindra Bank's products and services are available on our website <https://www.kotak.com/en/home.html>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

We carry out financial literacy and investor education programmes with an emphasis on expanding the knowledge of our customers and communities. Our goal is to create awareness among our existing and potential consumers with the requisite know how to make informed financial decisions and protect their data. We believe that financial literacy is a vital step in educating our customers on the effective usage of our banking services. During the financial year, we organised several financial literacy camps through our rural branches. We also conduct various digital campaigns to educate our customers on a regular basis.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

We proactively communicate with our customers through e-mail, SMS, WhatsApp, website, push notifications and our Mobile app to provide details regarding the potential and ongoing disruption of essential services. Additionally, we have established Relationship Management teams at our Physical branches and Voice channel with a team of Virtual Relationship Managers, who regularly connect with our customers via phone and through digital channels. This approach ensures transparent information about our financial products and services, enabling a seamless customer experience.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/ Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes, we recognise the importance of adequate, clear and transparent information being provided to our customers to enable informed decision making. We also train our employees to practice ethical lending practices and refrain from mis-selling of financial products to our consumers. Yes, we track Net Promoter Score (NPS) at two levels- Relationship NPS (R-NPS) and Transaction NPS (T-NPS). This helps us understand our customers' perception of the Bank as a whole. For further details please refer to page 56 of 'Generating Value for Customers' section.

⁴⁵ GRI 418-1

ANNEXURES - LIST OF POLICIES

Sr. No.	Name of Policy ⁴⁶	Description/ Link to publicly available policies
1	Apex Information Technology Policy	This Information Technology Policy provides guidelines for effective management of the Bank's Information Technology systems. The policy is based on The international standard & Framework ISO IEC 20000, ITIL V-3, COBIT 4.1 and ISO 27001 and Indian regulations. The policy ensures integrity, reliability and availability of the IT systems along with IT Change Management. It specifically articulates process to identify, record, perform impact analysis, prioritise, classify, resolve, escalate and close all incidents. The policy also specifies training of employees of IT security and requires all employees and third-parties to comply with the policy.
2	Business Continuity Management Policy	The Business Continuity Management (BCM) Policy provides guidance for proactively identifying and mitigating risks that may cause disruption to business, to minimize the impact of disruption, and to ensure continuity of key products and services at acceptable levels. More details on this policy can be found under Leadership Indicator 5 of Principle 6.
3	Code of Bank's Commitment to Customers	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Banking-Codes-Standards-Board-of-India/Individuals-Customers/english.pdf
4	Code of Conduct for Directors	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_conduct_directors.pdf
5	Code of Conduct for Senior Management	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_conduct_employee-262021.pdf
6	Code of Conduct for Employees	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_conduct_employee-2972021.pdf
7	Code of Conduct for Conduct for Collection of Dues - Credit Cards	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Code-of-Conduct/code-of-conduct-for-collection-of-dues-credit-cards.pdf
8	Code of Conduct on Dealing in Securities	The objectives of the Code of Conduct on Dealing in Securities are as follows - - To put in place a policy for prohibition of insider trading in securities in line with the extant SEBI (Prohibition of Insider Trading) Regulations, 2015 ("PIT Regulations"). - To regulate, monitor and report trading by Directors and other designated persons towards achieving compliance with the PIT Regulations, as relevant. - To adopt the standards set out in Schedule B (as a Listed Company) and Schedule C (as an Intermediary and Fiduciary) of the PIT Regulations.
9	Code of Fair Disclosure of UPSI	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/code_of_fair_disclosure_of_UPSI.pdf
10	Collection of Dues and Repossession of Security Policy	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Banking-Policies/policy-on-collection-of-dues-and-repossession-of-Security.pdf
11	Compliance Policy	The Compliance Policy defines the Bank's structured approach to regulatory adherence, emphasizing proactive risk management and regulatory discipline. It entrusts the Chief Compliance Officer and the compliance team with maintaining a strong control environment through independent oversight, timely reporting, and continuous engagement across all business functions.
12	Compensation Policy	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/compensation-policy-kmbEffective-April-1-2012.pdf
13	Compensation Policy for Executive Directors	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/compensation-policy-ned.pdf

Sr. No.	Name of Policy ⁴⁶	Description/ Link to publicly available policies
14	Corporate Social Responsibility Policy	https://www.kotak.com/en/about-us/corporate-responsibility.html
15	Customer's Compensation Policy	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Banking-Policies/customer-compensation-policy.pdf
16	Diversity, Inclusion and Equity Statement	Kotak is committed to building a workplace that values diversity and fosters inclusion by ensuring equal opportunity, representation, and respect for all employees, regardless of background, identity, or role. Please find more details on pages 105-107 of the 'Empowering Colleagues' section of this report
17	Data Privacy Policy	KMBL has a documented Data Privacy Policy which sets forth the expected behaviours of KMBL employees and third parties in relation to the collection, use, retention, transfer, rights, disclosure and destruction of any personal data belonging to a KMBL Customers (i.e. the Data Subject).
18	ESG Management Systems Plan (EMSP)	Please find details on page 80 of the 'Embracing Sustainability' section of this report
19	ESG Policy Framework	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/ESG-framework-2022.pdf
20	Employee Volunteering Policy	This policy encourages employees to contribute to social development by volunteering their time and skills through structured opportunities available via the partnerships with social sector organizations.
21	Enterprise-wide Risk Management (ERM) Framework	Details of our ERM framework have been elucidated on page 444 of the 'Management Discussion and Analysis' section of this report.
22	Environment Policy	Our Environment Policy elucidates our commitment to sound environmental management in line with national and local environmental regulations. It also covers our approach to manage our environmental impact through resource efficiency measures, waste management and transitioning our operations to a low carbon economy. The policy also focuses on creating employee and stakeholder awareness on environmental management.
23	Equal Employment Opportunity Policy	Kotak ensures fair and inclusive employment practices for all individuals, including persons with disabilities, by prohibiting discrimination based on age, gender, disability, ethnicity, religion, or any other protected characteristic.
24	Fair Practice Code (Bank)	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Code-of-Conduct/fair-practice-code.pdf
25	Fair Practice Code for Credit Card Operations	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Code-of-Conduct/fair-practice-code-for-credit-card-operations.pdf
26	Fair Practice Code for Lending Activities	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Code-of-Conduct/fair-practice-code-for-lenders.pdf
27	Fair Practice Code – Microfinance Loans	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Code-of-Conduct/Fair-Practice-Code-Microfinance-Loans.pdf
28	Fraud Risk Management Policy	The aim of this policy is to define the fraud governance structure along with roles and responsibilities, relevant aspects of fraud risk identification, measurement, monitoring, mitigation and reporting. It also helps the functionaries strengthen the precautionary measures, which would make the supervision and internal control mechanism more focused and effective. The policy defines the fraud risk identification and monitoring, control measures, and the classification and reporting of fraud cases, investigation, follow-up and closure mechanism.
29	Grievance Redressal Policy	https://www.kotak.com/content/dam/Kotak/Customer-Service/Important-Customer-Information/Banking-Policies/policy-for-grievance-redressal.pdf
30	Health, Safety and Welfare at Work-Place Policy	This policy outlines Kotak's commitment to maintaining a safe and healthy work environment for all employees and partners, supported by a structured Occupational Health and Safety Management System and adherence to applicable legal standards.
31	Human Rights and Anti-discrimination Policy	The policy affirms Kotak's commitment to upholding internationally recognized human rights, including freedom of association, equal pay, and non-discrimination, and applies to all employment practices and value chain partners.

Sr. No.	Name of Policy ⁴⁶	Description/ Link to publicly available policies
32	Information Security and Cybersecurity Policy	The policy outlines a comprehensive framework to safeguard Bank's information assets, systems, and networks against cyber threats. It emphasizes confidentiality, integrity, and availability of data, while aligning with regulatory requirements like RBI's directives. The policy covers governance, risk assessment, access control, incident management, third-party security, and business continuity. It also includes cyber crisis management, secure online banking practices, and continuous monitoring to enhance cyber resilience. Regular training, audits, and compliance checks ensure ongoing effectiveness and awareness across the organization.
33	KYC and Anti-Money Laundering (AML) Policy	The objective of this Board approved policy is to have in place adequate policies, practices and procedures that promote high ethical and professional standards and prevent Bank from being used as a channel either intentionally or unintentionally by criminal elements. The KYC standards and AML measures enable us to understand our customers or beneficial owners and their financial dealings, which in turn helps us to manage our risks prudently. The policy lists guidelines to conduct our customer due diligence process (CDD), Non-face-to-face EDD, risk assessments to identify, assess and take effective measures to avoid terrorist financing and identify, review and monitor politically exposed persons.
34	Mediclaime Policy	Kotak provides comprehensive health insurance coverage for employees, their partners, and two dependent children, with an optional top-up facility to extend coverage to parents or in-laws.
35	New Mother Benefit Policy	The policy supports Kotak Wonder Women (KWW) returning from maternity leave by helping them establish reliable childcare support systems, enabling a smooth transition back to work and promoting work-life balance.
36	Operational Risk Management Policy and Framework	The policy and framework guides governance and reporting structure for operational risk management. It establishes a proactive operational risk management culture, which includes identifying, preventing, reducing, avoiding or transferring operational risk inherent to the business.
37	Outsourcing Policy	The bank has put in place an internal policy for Outsourcing based on the RBI's Guidelines on Managing Risk and Code of Conduct in Outsourcing of Financial Services. The policy is approved by the Board of Directors. It encapsulates guidelines that the Bank shall follow while outsourcing services to third party vendors. It covers due diligence required to be exercised for selection, management, monitoring, and review of outsourced service providers. This policy applies to all departments and functions within the Bank, that engage in outsourcing activities. Updates to the Policy are done on a regular basis.
38	Policy for Determination of Materiality of Events or Information	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/KMBL_materiality_policy1.pdf
39	Policy on Dealing with Related Party Transactions	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/dealing_with_related_party_transactions.pdf
40	Policy on Sexual Harassment of Women (POSH) (Prevention, Prohibition and Redressal)	Aligned with the Sexual Harassment of Women at Workplace Act, this policy provides a formal mechanism for prevention, reporting, and redressal of sexual harassment, ensuring a safe and respectful workplace for women. Please find details on page 111 of the 'Empowering Colleagues' section of this report.
41	Policy on Board Diversity	This Policy has been framed keeping in view the significance of having a diverse Board of the Bank and to harness the unique and individual skills and experiences of its members in such a way that it collectively benefits the Bank in achieving its mission and objectives. https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/board-diversity-policy.pdf
42	Privacy Notice (for EU Users)	https://www.kotak.com/en/privacy-policy/privacy-notice.html
43	Privacy Policy	https://www.kotak.com/en/privacy-policy.html
44	Stress Testing Policy	Details of our stress testing policy have been elucidated on page 454 of the 'Management Discussion and Analysis' section of this report.
45	Staff Home Loan Policy	This policy offers eligible employees subsidized home loans to support the purchase of residential property in India, promoting long-term financial well-being and home ownership.

Sr. No.	Name of Policy ⁴⁶	Description/ Link to publicly available policies
46	Succession Plan Policy	Please refer information about the policy on page 360 of the 'Report on Corporate Governance' section of this report.
47	Training Policy	This policy defines Kotak's approach to employee development through structured learning programs, including internal training, external certifications, and clear processes for nomination, approval, and cost management.
48	Vigilance Policy	The policy covers primarily two types of vigilance – preventive and detective vigilance. The Management Committee and Vigilance Committee is responsible for instituting the anti-corruption measures.
49	Whistle Blower Policy	https://www.kotak.com/content/dam/Kotak/investor-relation/governance/Policies/whistle_blower_policy.pdf

ESG Data Tables

WORKFORCE BREAKDOWN ^{1#}

The boundary for FY 2024-25 includes all subsidiaries of the Group.

KOTAK MAHINDRA BANK- WORKFORCE BREAKDOWN BY GENDER FOR FY 2024-25

Category	Number		Percentage	
	Male	Female	Male	Female
Senior management	308	27	91.9%	8.1%
Middle management	7,101	1,687	80.8%	19.2%
Junior employees	36,137	14,650	71.2%	28.8%
Fixed-term contractual employees	11,290	2,862	79.8%	20.2%
Other employees	916	344	72.7%	27.3%
Total full-time employees	55,752	19,570	74.0%	26.0%
Other part-time employees	-	1	-	100.0%
Total employees	55,752	19,571	74.0%	26.0%

[#] Limited assurance undertaken for this indicator.

KOTAK MAHINDRA GROUP- WORKFORCE BREAKDOWN BY GENDER FY 2024-25*

Category	Number		Percentage	
	Male	Female	Male	Female
Senior management	537	50	91.5%	8.5%
Middle management	12,586	2,785	81.9%	18.1%
Junior employees	57,657	19,845	74.4%	25.6%
Fixed-term contractual employees	16,082	3,698	81.3%	18.7%
Other employees	917	344	72.7%	27.3%
Total full-time employees	87,779	26,722	76.7%	23.3%
Part-time employees of Insurance companies	14,640	10,077	59.2%	40.8%
Other part-time employees	-	1	-	100.0%
Total employees	102,419	36,800	73.6%	26.4%

*Some of the board members hold positions on the board of more than one company among the Bank and its subsidiaries. Therefore, board diversity cannot be depicted by consolidation of directors in a single list at a Group level.

[#] Limited assurance undertaken for this indicator.

KOTAK MAHINDRA BANK- AGE-WISE COMPOSITION OF EMPLOYEES FOR FY 2024-25

Category	Number			Percentage		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management	-	212	123	-	63.3%	36.7%
Middle management	339	8,050	399	3.9%	91.6%	4.5%
Junior employees	25,617	25,015	155	50.4%	49.3%	0.3%
Fixed-term contractual employees	9,700	4,435	17	68.5%	31.3%	0.1%
Other employees	17	281	962	1.3%	22.3%	76.3%
Full-time employees	35,673	37,993	1,656	47.4%	50.4%	2.2%
Other part-time employees	-	1	-	-	100.0%	-
Total employees	35,673	37,994	1,656	47.4%	50.4%	2.2%

[#] Limited assurance undertaken for this indicator.

¹ GRI 2-7, GRI 405-1

KOTAK MAHINDRA GROUP- AGE-WISE COMPOSITION OF EMPLOYEES FOR FY 2024-25*

Category	Number			Percentage		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management	-	365	222	-	62.2%	37.8%
Middle management	1,176	13,432	763	7.7%	87.4%	5.0%
Junior employees	42,413	34,767	322	54.7%	44.9%	0.4%
Fixed-term contractual employees	13,530	6,217	33	68.4%	31.4%	0.2%
Other employees	17	281	963	1.3%	22.3%	76.4%
Total full-time employees	57,136	55,062	2,303	49.9%	48.1%	2.0%
Part-time employees of Insurance companies	2,292	10,643	11,782	9.3%	43.1%	47.7%
Other part-time employees	-	1	-	-	100.0%	-
Total employees	59,428	65,706	14,085	42.7%	47.2%	10.1%

* Some of the board members hold positions on the board of more than one company among the Bank and its subsidiaries. Therefore, board diversity cannot be depicted by consolidation of directors in a single list at a Group level.

Limited assurance undertaken for this indicator.

NEW JOINEES²

The hire rates have been calculated with the formula: No. of persons who joined the organisation in the financial year *100 / Total number of headcount as on 31st March, 2025.

Kotak Mahindra Bank- New Joinees by Gender for FY 2024-25

Category	Number		Rate	
	Male	Female	Male	Female
Senior management ³	36	4	11.7%	14.8%
Middle management	1,250	288	17.6%	17.1%
Junior employees	13,962	5,671	38.6%	38.7%
Fixed-term contractual employees	6,313	1,499	55.9%	52.4%
Other employees	1	-	0.1%	-
Other part-time employees	-	-	-	-
Total employees	21,562	7,462	38.7%	38.1%

Limited assurance undertaken for this indicator.

Kotak Mahindra Group- New Joinees by Gender for FY 2024-25

Category	Number		Rate	
	Male	Female	Male	Female
Senior management	53	6	9.9%	12.0%
Middle management	2,266	567	18.0%	20.4%
Junior employees	28,551	8,568	49.5%	43.2%
Fixed-term contractual employees	9,554	2,139	59.4%	57.8%
Other employees	1	-	0.1%	-
Part-time employees of Insurance companies	7,479	5,019	51.1%	49.8%
Other part-time employees	-	-	-	-
Total employees	47,904	16,299	46.8%	44.3%

Limited assurance undertaken for this indicator.

² GRI 401-1 | ³ GRI 202-2, For the Bank, as significant operations are located in India, we consider India to be local.

Kotak Mahindra Bank- New Joinees by age for FY 2024-25

Category	Number			Rate		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management ⁴	-	26	14	-	12.3%	11.4%
Middle management	203	1,323	12	59.9%	16.4%	3.0%
Junior employees	13,253	6,377	3	51.7%	25.5%	1.9%
Fixed-term contractual employees	6,500	1,312	-	67.0%	29.6%	-
Other employees	-	1	-	-	0.4%	-
Other part-time employees	-	-	-	-	-	-
Total employees	19,956	9,039	29	55.9%	23.8%	1.8%

[#] Limited assurance undertaken for this indicator.

Kotak Mahindra Group- New Joinees by age for FY 2024-25

Category	Number			Rate		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management	-	40	19	-	11.0%	8.6%
Middle management	475	2,327	31	40.4%	17.3%	4.1%
Junior employees	26,828	10,284	7	63.3%	29.6%	2.2%
Fixed-term contractual employees	9,290	2,397	6	68.7%	38.6%	18.2%
Other employees	-	1	-	-	0.4%	-
Part-time employees of Insurance companies	1,506	5,513	5,479	65.7%	51.8%	46.5%
Other part-time employees	-	-	-	-	-	-
Total Employees	38,099	20,562	5,542	64.1%	31.3%	39.3%

[#] Limited assurance undertaken for this indicator.

WORKFORCE TURNOVER DATA ^{5#}

Turnover also includes attrition on account of death, superannuation, disciplinary action and non-regrettable exits by employees with low performance. The turnover rates have been calculated with the formula: No. of persons who have left the employment of the entity in the financial year *100/Average no. of persons employed in the category. In line with the BRSR guidance, Average number of persons employed in a category has been calculated as (Persons employed in the category at the beginning of financial year + Persons employed in the category at the end of financial year)/2.

KOTAK MAHINDRA BANK- PERMANENT EMPLOYEE TURNOVER BY GENDER FOR FY 2024-25

Category	Number		Rate	
	Male	Female	Male	Female
Senior management	42	4	13.9%	15.4%
Middle management	1,005	209	15.1%	13.4%
Junior employees	13,872	5,015	38.0%	34.8%
Other employees	98	28	10.1%	7.8%
Total Permanent employees	15,017	5,256	33.8%	32.1%

[#] Limited assurance undertaken for this indicator.

⁴ GRI 202-2, For the Bank, as significant operations are located in India, we consider India to be local. | ⁵ GRI 401-1

KOTAK MAHINDRA BANK- PERMANENT EMPLOYEE TURNOVER BY AGE FOR FY 2024-25

Category	Number			Rate		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management	-	18	28	-	8.6%	23.5%
Middle management	51	1,130	33	17.6%	14.9%	9.2%
Junior employees	11,225	7,650	12	42.7%	31.2%	8.8%
Other employees	-	1	125	-	0.3%	12.5%
Total Permanent employees	11,276	8,799	198	42.4%	27.0%	12.3%

Limited assurance undertaken for this indicator.

KOTAK MAHINDRA GROUP- PERMANENT EMPLOYEE TURNOVER BY GENDER FOR FY 2024-25

Category	Number		Rate	
	Male	Female	Male	Female
Senior management	57	6	10.9%	12.5%
Middle management	2,018	391	17.3%	15.5%
Junior employees	26,552	7,242	45.6%	37.1%
Other employees	98	28	10.1%	7.8%
Total permanent employees	28,725	7,667	40.3%	34.2%

Limited assurance undertaken for this indicator.

KOTAK MAHINDRA GROUP- PERMANENT EMPLOYEE TURNOVER BY AGE FOR FY 2024-25

Category	Number			Rate		
	<30 years	30-50 years	>50 years	<30 years	30-50 years	>50 years
Senior management	-	28	35	-	7.8%	16.5%
Middle management	238	2,106	65	24.7%	16.8%	9.4%
Junior employees	21,970	11,798	26	51.3%	34.1%	8.8%
Other employees	-	1	125	-	0.3%	12.5%
Total permanent employees	22,208	13,933	251	50.7%	29.2%	11.4%

Limited assurance undertaken for this indicator.

EMPLOYEE TRAINING AND DEVELOPMENT[#]

KOTAK MAHINDRA BANK: AVERAGE HOURS OF TRAINING PER YEAR PER EMPLOYEE FOR FY 2024-25⁶

Category	Average Hours
Senior management	27.7
Middle management	54.2
Junior employees	62.3
Fixed-term contractual employees	9.8
Other employees	23.3
Other part-time employees	23.5
Total employees	49.5

Limited assurance undertaken for this indicator.

⁶ GRI 404-1

KOTAK MAHINDRA BANK: AVERAGE HOURS OF TRAINING PER YEAR PER EMPLOYEE FOR FY 2024-25⁷

Category	Average Hours	
	Male	Female
Permanent Employees	58.1	64.2
Temporary/Contractual Employees	8.9	36.4

[#] Limited assurance undertaken for this indicator.

KOTAK MAHINDRA BANK: CADRE WISE PERFORMANCE REVIEW FY 2024-25⁸

Category	Number of employees who underwent performance review		Percentage of employees who underwent performance review	
	Male	Female	Male	Female
Senior Management	297	27	96.4%	100.0%
Middle Management	6,663	1,580	93.8%	93.7%
Junior Employees	31,700	12,674	87.7%	86.5%
Other Employees	916	344	100.0%	100.0%
Total employees	39,576	14,625	89.0%	87.5%

Note: All employees who are eligible for performance appraisal underwent career development reviews. Temporary/contractual employees and employees on probation are not eligible for performance review.

[#] Limited assurance undertaken for this indicator.

PARENTAL LEAVES^{9#}**KOTAK MAHINDRA BANK: PARENTAL LEAVES AVAILED BY PERMANENT EMPLOYEES DURING FY 2024-25**

Category	Male	Female
Number of employees that took parental leave	2,249	977
Number of employees who returned to work after parental leave ended	2,234	876
Number of employees who returned to work after parental leave ended that were still employed 12 months after their return	1,405	270

[#] Limited assurance undertaken for this indicator.

KOTAK MAHINDRA BANK: GENDER PAY RATIO BY CADRE FOR FY 2024-25¹⁰

Category	Ratio of CTC Female: Male (Average CTC)	Ratio of Basic Female: Male (Average Basic)
Senior Management	1.18	1.23
Middle Management	0.90	0.90
Junior employees	0.90	0.93
Other employees	0.79	0.77
Fixed-term contractual employees	1.00	1.05

[#] Limited assurance undertaken for this indicator.

GRI CONTENT INDEX

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	2-3 Reporting period, frequency and contact point	About this report
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GRI 206: Anti-competitive Behavior 2016	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	497

GRI STANDARD	DISCLOSURE	LOCATION
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GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	92
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GRI 402: Labor/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	63
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GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	484, 485
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to the Management of Kotak Mahindra Bank Limited

Kotak Mahindra Bank Limited (Corporate Identity Number L65110MH1985PLC038137, hereafter referred to as 'KMBL' or 'the Company') has commissioned DNV Business Assurance India Private Limited ('DNV', 'us' or 'we') to undertake an independent assurance of the Company's disclosures in the Business Responsibility and Sustainability Report (hereafter referred as 'BRSR') for the period FY 2024-25. The disclosures include the BRSR Core attributes as per Annexure 17A and the non-financial disclosures as per Annexure 16 of the Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155, dated November 11, 2024.



Our Conclusion:

Reasonable level of Assurance- BRSR Core

Based on our review and procedures followed for a reasonable level of assurance, DNV is of the opinion that, in all material aspects the BRSR Core Key Performance Indicators (KPIs) under 9 ESG attributes (as listed in Annexure I of this statement) for FY 2024-25 are reported in accordance with reporting requirements outlined in Industry Standard on Reporting of BRSR Core.

Limited Level of Assurance- BRSR Disclosures

On the basis of the assessment undertaken, nothing has come to our attention to suggest that the non-financial disclosures (as listed in Annexure I of this statement) in BRSR do not properly adhere to the reporting requirements as per BRSR reporting guidelines in Annexure 16 of SEBI's Master Circular.

Scope of Work and Boundary

The scope of our engagement includes a reasonable level of assurance for the 'BRSR Core' indicators and a limited Level of assurance for the remaining non-financial disclosures in BRSR, for the financial year (FY) 2024-25.

Reasonable assurance of BRSR Core: Boundary covers the performance of KMBL operations that fall under the direct operational control of the Company's Legal structure. Based on the agreed scope with the Company, the boundary of reasonable assurance covers the India operations and 2 international branches (located in DIFC, Dubai and GIFT City, Gujarat*) of KMBL including all offices, branches and ATMs where the company has operational control, unless otherwise stated or specified in the BRSR disclosures by the company.

- BRSR Core Attribute 1 - Green-house gas (GHG) footprint - Total Scope 1 emissions reporting boundary: India Locations
- BRSR Core Attribute 2- Water footprint reporting boundary: 40 key corporate offices
- BRSR Core Attribute 4 - Embracing circularity - details related to waste management by the entity (excluding E-waste, C&D waste**) reporting boundary: 40 key corporate offices

*GIFT City, Gujarat branch is considered by the company as international branch as it only caters to international customers.

**E-waste and C&D waste are reported for all India locations.

Limited assurance of the rest non-financial disclosures in BRSR: Boundary for limited assurance of rest non-financial disclosures in BRSR covers the India operations and 2 international branches (located in DIFC, Dubai and GIFT City, Gujarat) of KMBL including all offices, branches and ATMs where the company has operational control, unless otherwise specified in the BRSR disclosures by the company.

Reporting Criteria and Standards

The disclosures have been prepared by KMBL in reference to:

- Industry Standard on Reporting of BRSR Core, Circular No.: SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated Dec 20, 2024.
- BRSR Core (Annexure 17A) and BRSR reporting guidelines (Annexure 16) as per Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155, dated November 11, 2024.
- Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard.
- ISO 14064-1:2018 - Specification with guidance at the organization level for quantification and reporting of greenhouse gas emissions and removals

DNV Headquarters, Veritasveien 1, P.O.Box 300, 1322 Høvik, Norway. Tel: +47 67 57 99 00. www.dnv.com

DNV Business Assurance India Private Limited

Our competence, and Independence

DNV applies its own management standards and compliance policies for quality control, which are based on the principles enclosed within ISO/IEC 17029:2019- Conformity Assessment - General principles and requirements for validation and verification bodies and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements. DNV has complied with the Code of Conduct during the assurance engagement. DNV's established policies and procedures are designed to ensure that DNV, its personnel and, where applicable, others are subject to independence requirements (including personnel of other entities of DNV) and maintain independence where required by relevant ethical requirements.

This engagement work was carried out by an independent team of sustainability assurance professionals. During the reporting period i.e. FY 2024-25, DNV, to the best of its knowledge, was not involved in any non-audit/non-assurance work with the Company and its Group entities which could lead to any Conflict of Interest. DNV was not involved in the preparation of any statements or data included in the Report except for this Assurance Statement. DNV maintains complete impartiality toward stakeholders interviewed during the assurance process.

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Assurance Methodology/Standard and Level of Assurance

This assurance engagement has been carried out in accordance with DNV's VeriSustain™ protocol, V6.0, which is based on our professional experience and international assurance practice, and the international standard in Assurance Engagements, ISAE 3000 (revised) - Assurance Engagements other than Audits or Reviews of Historical Financial Information. DNV's VeriSustain™ Protocol, V6.0 has been developed in accordance with the most widely accepted reporting and assurance standards. DNV conducted a reasonable level of assurance for BRSR Core KPIs under 9 ESG attributes; and a limited level of assurance for rest non-financial disclosures in BRSR.

Basis of our conclusion

As part of the assurance process, a multi-disciplinary team of assurance specialists performed assurance work for selected sites of KMBL. We carried out the following activities:

BRSR Core Indicators - Reasonable level of Assurance	Rest non-financial disclosures in BRSR - Limited Level of Assurance
Reviewed the disclosures under BRSR Core, encompassing the framework for assurance consisting of a set of Key Performance Indicators (KPIs) under 9 ESG attributes. The Industry Standard on Reporting of BRSR Core used a basis of reasonable level of assurance.	Reviewed the disclosures under BRSR reporting guidelines. Our focus included general disclosures, management processes, principle wise performance (essential indicators, and leadership indicators) and any other key metrics specified under the reporting framework. The BRSR reporting format used a basis of limited level of assurance.
Evaluation of the design and implementation of key systems, processes and controls for collecting, managing and reporting the BRSR Core indicators. Assessment of operational control and reporting boundaries	Understanding the key systems, processes and controls for collecting, managing and reporting the non-financial disclosures in BRSR. Understand and test, on a sample basis to evaluate adherence to the reporting principles.
Seek extensive evidence across all relevant areas, ensuring a detailed examination of BRSR Core indicators. Engaged directly with stakeholders to gather insights and corroborative evidence for each disclosed indicator.	Collect and evaluate documentary evidence and management representations supporting adherence to the reporting principles. We adopted a risk-based approach, that is, we concentrated our assurance efforts on the issues of high material relevance to the Company's business and its key stakeholders.
DNV audit team conducted on-site audits for data testing and also, to assess the uniformity in reporting processes and also, quality checks at different locations of the Company. Sites for data testing and reporting system checks were selected based on the percentage contribution each site makes to the reported indicator, complexity of operations at each location (high/low/medium) and reporting system within the organization. Sites selected for audits are listed in Annexure II.	DNV audit team conducted on-site audits for corporate offices and sites. Sample based assessment of site-specific data disclosures was carried out. We were free to choose sites for conducting our assessment.

In both the cases, DNV teams conducted:

- Interviews with selected senior managers responsible for management of disclosures and review of selected evidence to support environmental KPIs and metrics disclosed the Report. We were free to choose interviewees and interviewed those with overall responsibility of monitoring, data collation and reporting the selected indicators.
- Verification of the consolidated reported performance disclosures in context to the Principle of Completeness as per VeriSustain™ Protocol, V6.0 for both reasonable level and limited level of assurance for the disclosures.

Inherent Limitations

DNV's assurance engagement assume that the data and information provided by the Company to us as part of our review have been provided in good faith, is true, complete, sufficient, and authentic, and is free from material misstatements. The assurance scope has the following limitations:

- The assurance engagement considers an uncertainty of $\pm 5\%$ based on materiality threshold for estimation/measurement errors and omissions.
- DNV has not been involved in evaluation or assessment of any financial data/performance of the company. DNV's opinion on specific BRSR Core Attribute 8 on "Number of days of accounts payable", Attribute 9 "Open-ness of business" and all sections of BRSR indicators where currency or INR has been applied relies on the third party audited financial reports of the Company. DNV does not take any responsibility of the financial data reported in the audited financial reports of the Company.
- The assessment is limited to data and information within the defined Reporting Period. Any data outside this period is not considered within the scope of assurance.
- Data outside the operations specified in the assurance boundary is excluded from the assurance, unless explicitly mentioned otherwise in this statement.
- The assurance does not cover the Company's statements that express opinions, claims, beliefs, aspirations, expectations, aims, or future intentions. Additionally, assertions related to Intellectual Property Rights and other competitive issues are beyond the scope of this assurance.
- The assessment does not include a review of the Company's strategy or other related linkages expressed in the Report. These aspects are not within the scope of the assurance engagement.
- The assurance does not extend to mapping the Report with reporting frameworks other than those specifically mentioned. Any assessments or



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comparisons with frameworks beyond the specified ones are not considered in this engagement.

- Aspects of the Report that fall outside the mentioned scope and boundary are not subject to assurance. The assessment is limited to the defined parameters.
- The assurance engagement does not include a review of legal compliances. Compliance with legal requirements is not within the scope of this assurance, and the Company is responsible for ensuring adherence to relevant laws.

Responsibility of the Company

KMBL has the sole responsibility for the preparation of the BRSR and is responsible for all information disclosed in the BRSR Core and BRSR. The company is responsible for maintaining processes and procedures for collecting, analyzing and reporting the information and also, ensuring the quality and consistency of the information presented in the Report. KMBL is also responsible for ensuring the maintenance and integrity of its website and any referenced BRSR disclosures on their website.

DNV's Responsibility

In performing this assurance work, DNV's responsibility is to the Management of the Company; however, this statement represents our independent opinion and is intended to inform the outcome of the assurance to the stakeholders of the Company. DNV disclaims any liability or co-responsibility for any decision a person or entity would make based on this assurance statement.

Use and distribution of Assurance statement

This assurance statement, including our conclusion has been prepared solely for the exclusive use and benefit of management of the company and solely for the purpose for which it is provided. To the fullest extent permitted by law, DNV does not assume responsibility to anyone other than company for DNV's work or this assurance statement. We have not performed any work, and do not express any conclusion, on any other information that may be published outside of the Report and/or on Company's website for the current reporting period.

The use of this assurance statement shall be governed by the terms and conditions of the contract between DNV and the KMBL. DNV does not accept any liability if this assurance statement is used for any purpose other than its intended use, nor does it accept liability to any third party in respect of this assurance statement.

For DNV Business Assurance India Private Limited,	
Sarkar, Chandan Digitally signed by Sarkar, Chandan Date: 2025.07.07 16:00:03 +05'30'	Sharma, Anjana Digitally signed by Sharma, Anjana Date: 2025.07.07 16:38:35 +05'30'
Chandan Sarkar Lead Verifier	Anjana Sharma Assurance Reviewer
Assurance Team: Roshni Sarage, Ankita Parab, R. Mohan Krishnan	

07/07/2025, Bengaluru, India.



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Annexure I

1. BRSR Core KPIs* - Reasonable level of assurance

Sr. No.	Attribute
1	Green-house gas (GHG) footprint
2	Water footprint
3	Energy footprint
4	Embracing circularity - details related to waste management by the entity
5	Enhancing Employee Wellbeing and Safety
6	Enabling Gender Diversity in Business
7	Enabling Inclusive Development
8	Fairness in Engaging with Customers and Suppliers
9	Open-ness of business

*BRSR Core KPIs Verified Data is attached in the detailed statement issued to KMBL (Statement Number: DNV-2025-ASR-788271).

2. BRSR Disclosures - Limited level of assurance

- Section A: General Disclosures- 20-a, b, 21, 22, 25
- Section C: Principle Wise Performance Disclosure-
 - Principle 1: Essential Indicator 1, Leadership Indicator 1, 6
 - Principle 2: Leadership Indicator 4, 5
 - Principle 3: Essential Indicator 1-a, b, 2, 5, 7, 8, 9, 10, 13, 14; Leadership Indicator 3, 5
 - Principle 5: Essential Indicator 1, 2, 6, 10; Leadership Indicator 4
 - Principle 6: Essential Indicator 6, Leadership Indicator 1, 2, 7
 - Principle 8: Leadership Indicator 6
 - Principle 9: Essential Indicator 2, 3, 4

Annexure II - Sites selected for audits

S.no	Site	Location
1.	Corporate Office	Corporate office, Mumbai
2.	India Sites (onsite)	27BKC, Mumbai; Neptune, Mumbai; Kotak - Infinity Park, Mumbai
3.	India Sites (remote audit)	Sector 125, Noida; Moti Nagar, Delhi



to the Management of Kotak Mahindra Bank Limited

Kotak Mahindra Bank Limited (Corporate Identity Number L65110MH1985PLC038137, hereafter referred to as 'KMBL' or 'the Company') has commissioned DNV Business Assurance India Private Limited ("DNV", "us" or "we") to conduct an independent assurance of its sustainability / non-financial disclosures disclosed in its Integrated Report (hereafter referred as 'Report') for the period FY 2024-25.

Scope of Work and Boundary

The agreed scope of work included a limited level of assurance for the information on non-financial performance disclosed in the Report prepared by KMBL based on GRI Topic-specific Standards for the identified material topics for the activities undertaken by the Company during the reporting period 01/04/2024 to 31/03/2025. The reported topic boundaries of non-financial performance are based on the internal and external materiality assessment covering Company's operations as brought out in the section 'About this Report' of the report.

A reasonable level of assurance was carried out for the below mentioned indicators which were also disclosed in the company's BRSR (Annexure 1).

- a) GRI 302: Energy 2016 - 302-1, 302-3;
- b) GRI 303: Water and Effluents 2018 - 303-3, 303-4, 303-5;
- c) GRI 305: Emissions 2016 - 305-1, 305-2, 305-4; and
- d) GRI 306 Waste 2020 - 306-3; 306-4; 306-5;

Boundary covers the performance of all global operations of KMBL and its subsidiaries that fall under the direct operational control of the Company's Legal structure unless otherwise specified in the section 'About this Report' or respective disclosures of the report.

Reporting Criteria and Standards

The disclosures have been prepared by KMBL:

- With reference to the requirements of Global Reporting Initiative (GRI) standards 2021
- Integrated Reporting (<IR>) framework of the International Integrated Reporting Council (IIRC)
- Business Responsibility and Sustainability Report (BRSR) as mandated by the Securities and Exchange Board of India (SEBI), India.
- Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard.

Assurance Methodology/ Standard

DNV carried out the assurance engagement in accordance with DNV's VeriSustain™ protocol (V6.0), which is based on our professional experience and international assurance practice, and the international standard in Assurance Engagements, ISAE 3000 (revised) - Assurance Engagements other than Audits or Reviews of Historical Financial Information. DNV's VeriSustain™ Protocol (V6.0) has been developed in accordance with the most widely accepted reporting and assurance standards. Apart from DNV's VeriSustain™ protocol (V6.0), DNV team has also followed ISO 14064-3 - Specification with guidance for the verification and validation of greenhouse gas statements; ISO 14046 - Environmental management - Water footprint - Principles, requirements, and guidelines, to evaluate disclosures wrt. Greenhouse gases and water disclosures, respectively.

Basis of our conclusion

As part of the assurance process, a multi-disciplinary team of assurance specialists performed assurance work for selected sites of KMBL. We carried out the following activities:

- We adopted a risk-based approach, that is, we concentrated our assurance efforts on the issues of high material relevance to the Company's business and its key stakeholders.
- Reviewed the disclosures in the report. Our focus included general disclosures, GRI topic specific disclosures and any other key metrics specified under the reporting framework.

DNV Headquarters, Veritasveien 1, P.O.Box 300, 1322 Hovik, Norway. Tel: +47 67 57 99 00. www.dnv.com

DNV Business Assurance India Private Limited

Our competence, and Independence

DNV applies its own management standards and compliance policies for quality control, which are based on the principles enclosed within ISO/IEC 17029:2019- Conformity Assessment - General principles and requirements for validation and verification bodies and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements. DNV has complied with the Code of Conduct during the assurance engagement. DNV's established policies and procedures are designed to ensure that DNV, its personnel and, where applicable, others are subject to independence requirements (including personnel of other entities of DNV) and maintain independence where required by relevant ethical requirements.

This engagement work was carried out by an independent team of sustainability assurance professionals. During the reporting period i.e FY 2024-25, DNV, to the best of its knowledge, was not involved in any non-audit/non-assurance work with the Company and its Group entities which could lead to any Conflict of Interest. DNV was not involved in the preparation of any statements or data included in the Report except for this Assurance Statement. DNV maintains complete impartiality toward stakeholders interviewed during the assurance process.

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- Understanding the key systems, processes and controls for collecting, managing and reporting the non-financial disclosures in report.
- Walk-through of key data sets. Understand and test, on a sample basis, the processes used to adhere to and evaluate adherence to the reporting requirements.
- Collect and evaluate documentary evidence and management representations supporting adherence to the reporting requirements.
- DNV audit team conducted on-site audits for corporate offices and sites. Sample based assessment of site-specific data disclosures was carried out. We were free to choose sites for conducting our assessment.
- Reviewed the process of reporting as defined in the assessment criteria.
- Interviews with selected senior managers responsible for management of disclosures and review of selected evidence to support ESG KPIs and metrics disclosed the Report. We were free to choose interviewees and interviewed those with overall responsibility of monitoring, data collation and reporting the selected indicators.
- Verification of the consolidated reported performance disclosures in context to the Principle of Completeness as per VeriSustain™ Protocol, V6.0 for limited level of assurance for the disclosure.

On the basis of the assessment undertaken, for the GRI disclosures as mentioned in Annexure I, nothing has come to our attention to suggest that the disclosures are not fairly stated and are not prepared, in all material aspects, with reference to the reporting criteria and the principles as per DNV VeriSustain™ Protocol (V6.0) as stated below.

1. Materiality

The process of determining the issues that are most relevant to an organization and its stakeholders.

The Report explains out the materiality assessment process carried out by the Company which has considered concerns of internal and external stakeholders, and inputs from peers and the industry, as well as issues of relevance in terms of impact for KMBL's business. The list of topics has been prioritized, reviewed and validated, and the Company has indicated that there is no change in material topics from the previous reporting period.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Materiality.

2. Responsiveness

The extent to which an organization responds to stakeholder issues.

The Report adequately brings out the Company's policies, strategies, management systems and governance mechanisms in place to respond to topics identified as material and significant concerns of key stakeholder groups.

Nothing has come to our attention to believe that the Report does not meet the requirements related to the Principle of Responsiveness.

3. Reliability/Accuracy

The accuracy and comparability of information presented in the report, as well as the quality of underlying data management systems.

The Report brings out the systems and processes that the Company has set in place to capture and report its performance related to identified material topics across its reporting boundary. The majority of information mapped with data verified through our remote assessments with KMBL's management teams and process owners at the Corporate Office and sampled sites within the boundary of the Report were found to be fairly accurate and reliable. Some of the data inaccuracies identified in the report during the verification process were found to be attributable to transcription, interpretation, and aggregation errors. These data inaccuracies have been communicated for correction and the related disclosures were reviewed post correction.

Nothing has come to our attention to believe that the Report does not meet the principle of Reliability and Accuracy.

4. Completeness

How much of all the information that has been identified as material to the organization and its stakeholders is reported?

The Report brings out the Company's performance, strategies and approaches related to the environmental, social and governance issues that it has identified as material for its operational locations coming under the boundary of the report, for the chosen reporting period while applying and considering the requirements of Principle of Completeness.

Nothing has come to our attention to suggest that the Report does not meet the Principle of Completeness with respect to scope, boundary and time.

5. Neutrality/Balance

The extent to which a report provides a balanced account of an organization's performance, delivered in a neutral tone.

The Report brings out the disclosures related to KMBL's performance during the reporting period in a neutral tone in terms of content and presentation, while considering the overall macroeconomic and industry environment.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Neutrality.



Responsibility of the Company

KMBL has the sole responsibility for the preparation of the Report and is responsible for all information disclosed in the Report. The company is responsible for maintaining processes and procedures for collecting, analyzing and reporting the information and ensuring the quality and consistency of the information presented in the Report. KMBL is also responsible for ensuring the maintenance and integrity of its website and any referenced disclosures on their website.

DNV's Responsibility

In performing this assurance work, DNV's responsibility is to the Management of the Company; however, this statement represents our independent opinion and is intended to inform the outcome of the assurance to the stakeholders of the Company. DNV disclaims any liability or co-responsibility for any decision a person or entity would make based on this assurance statement.

Use and distribution of Assurance statement

This assurance statement, including our conclusion has been prepared solely for the Company in accordance with the agreement between us. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Management of the Company for our work or this assurance statement. We have not performed any work, and do not express any conclusion, on any other information that may be published outside of the Report and/or on Company's website for the current reporting period.

The use of this assurance statement shall be governed by the terms and conditions of the contract between DNV and KMBL. DNV does not accept any liability if this assurance statement is used for any purpose other than its intended use, nor does it accept liability to any third party in respect of this assurance statement.

Inherent Limitations

DNV's assurance engagement assume that the data and information provided by the Company to us as part of our review have been provided in good faith, is true, complete, sufficient, and authentic, and is free from material misstatements. The assurance scope has the following limitations:

- The assurance engagement considers an uncertainty of $\pm 5\%$ based on materiality threshold for estimation/measurement errors and omissions.
- DNV's opinion on financial disclosures relies on the third party audited financial reports of the Company. DNV does not take any responsibility of the financial data reported in the audited financial reports of the Company.
- The assessment is limited to data and information within the defined Reporting Period. Any data outside this period is not considered within the scope of assurance.
- Data outside the operations specified in the assurance boundary is excluded from the assurance, unless explicitly mentioned otherwise in this statement.
- The assurance does not cover the Company's statements that express opinions, claims, beliefs, aspirations, expectations, aims, or future intentions. Additionally, assertions related to Intellectual Property Rights and other competitive issues are beyond the scope of this assurance.
- The assessment does not include a review of the Company's strategy or other related linkages expressed in the Report. These aspects are not within the scope of the assurance engagement.
- The assurance does not extend to mapping the Report with reporting frameworks other than those specifically mentioned. Any assessments or comparisons with frameworks beyond the specified ones are not considered in this engagement.
- Aspects of the Report that fall outside the mentioned scope and boundary are not subject to assurance. The assessment is limited to the defined parameters.
- The assurance engagement does not include a review of legal compliances. Compliance with legal requirements is not within the scope of this assurance, and the Company is responsible for ensuring adherence to relevant laws.

For DNV Business Assurance India Private Limited,	
Sarkar, Chandan Digitally signed by Sarkar, Chandan Date: 2025.07.07 18:47:13 +05'30'	Sharma, Anjana Digitally signed by Sharma, Anjana Date: 2025.07.07 21:09:11 +05'30'
Chandan Sarkar Lead Verifier	Anjana Sharma Assurance Reviewer
Assurance Team: Roshni Sarage, Ankita Parab, R. Mohan Krishnan, Jas Sahib Singh Chadha	

7 July 2025, Bengaluru, India.



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Annexure I

GRI disclosures assured for Reasonable level of assurance as a part of the BRSR Core:

- GRI 302: Energy 2016 – 302-1; 302-3
- GRI 303: Water and Effluents 2018 – 303-3; 303-4; 303-5
- GRI 305: Emissions 2016 – 305-1*; 305-2**
- GRI 306: Waste 2020 – 306-3; 306-4; 306-5

GRI disclosures assured for Limited level of assurance:

- GRI 2: General Disclosures 2021
- GRI 3: Material Topics 2021 – 3-1; 3-2
- GRI 202: Market Presence 2016 – 202-1; 202-2
- GRI 204: Procurement Practices 2016 – 204-1
- GRI 205: Anti-corruption 2016 – 205-2; 205-3
- GRI 206: Anti-competitive Behavior 2016 – 206-1
- GRI 302: Energy 2016 – 302-4
- GRI 303: Water and Effluents 2018 – 303-1; 303-2
- GRI 305: Emissions 2016 – 305-3***; 305-4; 305-5; 305-7
- GRI 306: Waste 2020 – 306-1; 306-2
- GRI 308: Supplier Environmental Assessment 2016 – 308-1; 308-2
- GRI 401: Employment 2016 – 401-1; 401-2; 401-3
- GRI 402: Labor/Management Relations 2016 – 402-1
- GRI 403: Occupational Health and Safety 2018 – 403-1; 403-2; 403-3; 403-4; 403-5; 403-6; 403-7; 403-8; 403-9; 403-10
- GRI 404: Training and Education 2016 – 404-1; 404-2; 404-3
- GRI 405: Diversity and Equal Opportunity 2016 – 405-1; 405-2
- GRI 406: Non-discrimination 2016 – 406-1
- GRI 413: Local Communities 2016 – 413-1
- GRI 418: Customer Privacy 2016 – 418-1

* Calculation of Scope 1 GHG emissions are based on conversion factors, emission factors considered in 2006 IPCC Guidelines for National Greenhouse Gas Inventories, IPCC sixth assessment report, The UK Department for Environment, Food and Rural Affairs (Defra) 2024 and GHG protocol cross sector emission factors.

** Scope 2 GHG emissions for Indian operations are calculated based on emission factors in Central Electricity Authority, Govt. of India (CEA Version_20.0); Grid Emission Factors - Weighted Average Emission Rate (Ind RES), including cross-border electricity transfers which is 0.727 kgCO₂ per kWh.

*** Calculation of Scope 3 GHG emissions are calculated based on emission factors considered in The UK Department for Environment, Food and Rural Affairs (Defra), US Environmental Protection Agency (EPA), US Environmentally-Extended Input-Output (USEEIO), India GHG Program, and Central Electricity Authority, Govt. of India (CEA Version_20.0).

Annexure II – Sites selected for audit

S.no	Site	Location
1.	Corporate Office	Corporate office, Mumbai
2.	India Sites (onsite)	27BKC, Mumbai; Neptune, Mumbai; Kotak - Infinity Park, Mumbai
3.	India Sites (remote audit)	Sector 125, Noida; Moti Nagar, Delhi

Corporate Information

REGISTERED OFFICE

Kotak Mahindra Bank Limited

27BKC, C 27, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
Tel.: +91 22 61660001
E-mail: Kotakbank.Secretarial@kotak.com
Website: www.kotak.com
CIN: L65110MH1985PLC038137

CHIEF FINANCIAL OFFICER

Devang Gheewalla

COMPANY SECRETARY

Avan Doomasia

JOINT STATUTORY AUDITORS

Deloitte Haskins & Sells

Chartered Accountants
19th Floor, Shapath-V
S. G. Highway
Ahmedabad - 380 015
Gujarat, India

KKC & Associates LLP

Chartered Accountants
(formerly Khimji Kunverji & Co LLP)
Sunshine Tower, Level 19,
Senapati Bapat Marg, Elphinstone Road,
Mumbai - 400 013, Maharashtra, India

REGISTRAR AND TRANSFER AGENT

(For Shares)

KFin Technologies Limited

Selenium Tower B, Plot 31 & 32,
Financial District, Nanakramguda,
Serilingampally,
Hyderabad - 500 032, Telangana, India
Toll free number: 1-800-309-4001
E-mail: einward.ris@kfintech.com
Website: <https://ris.kfintech.com/>



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Kotak Mahindra Bank Limited
27BKC, C 27, G Block, Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Website: www.kotak.com

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